

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2021A Bonds (defined herein) is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. In the further opinion of Bond Counsel, interest on the Series 2021A Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel is of the opinion that interest on the Series 2021A Bonds and the Series 2021B Bonds (defined herein) is exempt from State of California personal income taxes. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Bonds. See "TAX MATTERS" herein.

\$305,565,000**CALIFORNIA STATEWIDE COMMUNITIES DEVELOPMENT AUTHORITY****Revenue Bonds****(Front Porch Communities and Services)****consisting of:****\$198,940,000**
Series 2021A**\$106,625,000**
Series 2021B
(Federally Taxable)**Dated: Date of Delivery****Due: As shown on the maturity schedules included herein**

The Revenue Bonds (Front Porch Communities and Services), Series 2021A (the "Series 2021A Bonds") and Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable) (the "Series 2021B Bonds" and, together with the Series 2021A Bonds, the "Bonds" and each a "Series" of Bonds) of the California Statewide Communities Development Authority (the "Authority") will be issued pursuant to a Bond Indenture. The Bonds of each Series are being issued in the Fixed Mode for the respective Initial Fixed Periods, bearing interest at the respective Fixed Rates set forth on the inside cover page and immediately succeeding page hereof. Capitalized terms used on this cover page and not defined are defined elsewhere in this Official Statement.

The Bonds are issuable only as fully-registered bonds, without coupons, in book-entry form, in denominations of, with respect to the initial Interest Rate Period for each Series, \$5,000 or any integral multiple thereof, and when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. Purchases will be made only in book-entry form through the Participants (as herein defined) in DTC, and no physical delivery of the Bonds will be made to Beneficial Owners (as herein defined) except as described herein.

Principal of and interest on the Bonds will be paid from Revenues pledged under the Bond Indenture, which include payments made by Front Porch Communities and Services (the "Corporation") under the Loan Agreement. The obligation of the Corporation to make such payments under the Loan Agreement is further evidenced and secured by the Bond Obligation, issued pursuant to the Master Indenture, including Supplement No. 6 (each as herein defined), whereunder Members of an Obligated Group are jointly and severally obligated to make payments on the Bond Obligation in an amount sufficient to pay principal (or Redemption Price or Purchase Price) of, and interest on the Bonds when due. Upon the issuance of the Bonds, the Corporation and Covia Communities will be the only Members of the Obligated Group. Interest on the Bonds is payable on each April 1 and October 1, commencing April 1, 2022.

The Bonds are subject to optional, extraordinary and mandatory redemption and purchase in lieu of optional redemption prior to their respective maturities, as applicable and as set forth herein. No Series of Bonds will be subject to optional tender for purchase during its respective initial Interest Rate Period. The purchase of the Bonds involves certain investment risks. See "BONDHOLDERS' RISKS" herein.

This Official Statement summarizes certain terms of the Bonds only while the Bonds bear interest at Fixed Rates. During the period in which the Series 2021A Bonds are subject to optional redemption, the Corporation may elect to convert the Series 2021A Bonds to a different Interest Rate Mode or to a new Fixed Period. Should the Series 2021A Bonds be converted to operate in a different Interest Rate Mode or to a new Fixed Period, the Series 2021A Bonds to be converted would be subject to mandatory tender for purchase, and it is expected that a reoffering circular or a supplement to this Official Statement or other disclosure document would be prepared at that time for remarketing such Series 2021A Bonds. The Series 2021B Bonds are not subject to conversion and will remain in their Initial Fixed Period to maturity.

By purchasing the Bonds, each Holder of the Bonds and each Beneficial Owner of the Bonds will be deemed to have irrevocably consented to the Amended and Restated Master Indenture (as described herein), and to have approved, on behalf of themselves and all subsequent Holders and Beneficial Owners of the Bonds, the Amended and Restated Master Indenture. See APPENDIX G – "FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6." The Amended and Restated Master Indenture is expected to become effective on the date of issuance of the Bonds. See "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Proposed Amendment and Restatement of the Master Indenture."

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL (OR REDEMPTION PRICE OR PURCHASE PRICE) OF THE BONDS, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE BOND INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL (OR REDEMPTION PRICE OR PURCHASE PRICE) OF OR INTEREST ON THE BONDS. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NEITHER THE AUTHORITY NOR ANY PROGRAM PARTICIPANT SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE BOND INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT OR FROM THE MEMBERS UNDER THE BOND OBLIGATION.

This cover page contains certain information for immediate reference only. It is not intended to be a complete summary of the terms of or security for the Bonds. Investors are advised to read this entire Official Statement, including the Appendices, to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, withdrawal, or modification of the offer, without any notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, and the approval of certain matters for the Authority by Orrick, Herrington & Sutcliffe LLP. Certain legal matters will be passed upon for the Obligated Group by its special counsel, Arnold & Porter Kaye Scholer LLP, San Francisco, California and its Chief Legal Officer, and for the Underwriter by its counsel, Norton Rose Fulbright US LLP, Los Angeles, California. Ponder & Co. has acted as financial advisor to the Corporation in connection with the issuance of the Bonds. It is expected that the Bonds in definitive form will be available for delivery through the facilities of DTC on or about September 9, 2021.

BofA Securities

Date: August 19, 2021

[†] For an explanation of the ratings on the Bonds, see "RATINGS" herein.

\$305,565,000
California Statewide Communities Development Authority
Revenue Bonds
(Front Porch Communities and Services)

MATURITY SCHEDULE
INTEREST RATE MODE, MATURITIES, PRINCIPAL AMOUNTS, INTEREST RATES,
YIELDS, PRICES AND CUSIP INFORMATION

\$198,940,000 Series 2021A
Initial Interest Rate Mode: Fixed Mode

Maturity (April 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP [†]
2022	\$ 670,000	5.00%	0.15%	102.719	13080SA20
2023	1,125,000	5.00	0.21	107.461	13080SA38
2024	1,165,000	5.00	0.27	112.063	13080SA46
2025	1,190,000	5.00	0.40	116.248	13080SA53
2026	1,230,000	5.00	0.57	119.916	13080SA61
2027	1,270,000	5.00	0.70	123.412	13080SA79
2028	1,310,000	5.00	0.85	126.428	13080SA87
2029	1,350,000	5.00	0.96	129.395	13080SA95
2030	1,390,000	5.00	1.07	132.067	13080SB29
2031	1,430,000	5.00	1.17	134.548	13080SB37
2032	1,470,000	5.00	1.27	133.482 ^C	13080SB45
2033	1,520,000	5.00	1.35	132.635 ^C	13080SB52
2034	1,565,000	5.00	1.40	132.109 ^C	13080SB60
2035	1,600,000	4.00	1.59	121.297 ^C	13080SB78
2036	1,645,000	4.00	1.64	120.804 ^C	13080SB86
2037	10,160,000	3.00	2.07	108.028 ^C	13080SB94
2038	10,485,000	4.00	1.69	120.314 ^C	13080SC28
2039	10,470,000	4.00	1.73	119.923 ^C	13080SC36
2040	9,890,000	4.00	1.78	119.437 ^C	13080SC44
2041	8,885,000	4.00	1.81	119.146 ^C	13080SC51

\$14,755,000 4.00% Term Bonds due April 1, 2046 Yield 1.97% Price 117.610 ^C CUSIP[†]: 13080SC77
\$25,000,000 3.00% Term Bonds due April 1, 2046 Yield 2.40% Price 105.097 ^C CUSIP[†]: 13080SC69
\$25,000,000 4.00% Term Bonds due April 1, 2051 Yield 2.01% Price 117.230 ^C CUSIP[†]: 13080SC93
\$39,365,000 3.00% Term Bonds due April 1, 2051 Yield 2.44% Price 104.748 ^C CUSIP[†]: 13080SC85
\$25,000,000 2.50% Term Bonds due April 1, 2051 Yield 2.65% Price 96.938 CUSIP[†]: 13080SD27

^C Priced to call at par on the optional redemption date of April 1, 2031.

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\$305,565,000
California Statewide Communities Development Authority
Revenue Bonds
(Front Porch Communities and Services)

MATURITY SCHEDULE
INTEREST RATE MODE, MATURITIES, PRINCIPAL AMOUNTS, INTEREST RATES,
YIELDS, PRICES AND CUSIP INFORMATION

\$106,625,000 Series 2021B (Federally Taxable)
Interest Rate Mode: Fixed Mode

Maturity (April 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP [†]
2022	\$6,250,000	0.518%	0.518%	100.000	13080SD35
2023	6,410,000	0.638	0.638	100.000	13080SD43
2024	6,465,000	1.028	1.028	100.000	13080SD50
2025	6,540,000	1.310	1.310	100.000	13080SD68
2026	6,635,000	1.510	1.510	100.000	13080SD76
2027	6,735,000	1.730	1.730	100.000	13080SD84
2028	6,860,000	1.905	1.905	100.000	13080SD92
2029	7,000,000	2.040	2.040	100.000	13080SE26
2030	7,145,000	2.140	2.140	100.000	13080SE34
2031	7,305,000	2.240	2.240	100.000	13080SE42
2032	7,475,000	2.340	2.340	100.000	13080SE59
2033	7,655,000	2.440	2.440	100.000	13080SE67
2034	7,845,000	2.510	2.510	100.000	13080SE75
2035	8,050,000	2.590	2.590	100.000	13080SE83
2036	8,255,000	2.640	2.640	100.000	13080SE91

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This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon. The Underwriter has provided the following sentence for inclusion in this Official Statement. *The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.*

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “LITIGATION—Authority” has been furnished by the Authority, and the information relating to DTC and the book-entry system set forth herein under the caption “THE BONDS—Book-Entry System” and in APPENDIX F hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Members of the Obligated Group. All other information set forth herein has been obtained from the Members of the Obligated Group and other sources (other than the Authority) that are believed to be reliable, but such information is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Authority or the Underwriter. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Members of the Obligated Group or DTC since the date hereof. This Official Statement is being provided to prospective investors in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCE” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and certain statements contained in APPENDIX A to this Official Statement. *The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Members do not plan to issue any updates or revisions to these forward-looking statements if or when changes to its expectations, or events, conditions or circumstances on which such statements are based, occur.*

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Members of the Obligated Group do not plan to issue any updates or revisions to those forward-looking statements if or when changes to its expectations, or events, conditions or circumstances on which such statements are based, occur.

References to web site addresses herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not a part of, this Official Statement.

The CUSIP numbers are included in this Official Statement for the convenience of the holders and potential holders of the Bonds. No assurance can be given that the CUSIP numbers for the Bonds will remain the same after the date of issuance and delivery of such Bonds.

Neither the Bonds nor the Bond Obligation have been registered under the Securities Act of 1933 or the securities laws of any state, nor have the Bond Indenture or the Master Indenture and Supplement No. 6 thereto been qualified under the Trust Indenture Act of 1939 in reliance upon exemptions contained in such acts. The Bonds have not been registered or qualified under the securities laws of any state in reliance upon the state securities law preemption provisions under the Securities Act of 1933. In certain states, however, the filing of a notice with the state securities commission is required for the public sale of the Bonds in such states. The fact that a notice may have been filed in certain states cannot be regarded as a recommendation. Neither such states nor any of their respective agencies have passed upon the merits of the Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AT PRICES LOWER THAN THE OFFERING PRICES STATED ON THE INSIDE COVER PAGE AND IMMEDIATELY SUCCEEDING PAGE HEREOF, AND SAID OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER WITHOUT NOTICE.

TABLE OF CONTENTS

	<u>Page</u>		<u>Page</u>
INTRODUCTION	1	Personnel and Nursing Shortage	38
The Bonds	1	California Budgets.....	39
Front Porch and the Obligated Group.....	1	Legislation Affecting Repayable Entrance	
Plan of Finance.....	2	Fee Contracts	39
The Master Indenture	2	Energy Costs	40
Security for the Bonds	3	Environmental Laws and Regulations	40
Bondholders' Risks	4	State Medicaid Program	40
Continuing Disclosure	4	Taxation of Interest on the Series 2021A	
THE AUTHORITY	4	Bonds.....	41
PLAN OF FINANCE	4	Possible Future Federal Tax Legislation	41
General	4	Tax-Exempt Status of the Obligated Group	
Refinanced Debt	5	Members	41
Project.....	7	Property Taxes; State and Local Tax	
Estimated Sources and Uses of Funds	8	Exemption.....	42
ESTIMATED ANNUAL DEBT SERVICE		Unrelated Business Taxation	43
REQUIREMENTS.....	9	Other Tax Status Issues	43
THE BONDS.....	10	Lack of Marketability for the Bonds	44
The Bonds	10	Amendments to Documents	44
Redemption	11	Other Considerations.....	44
Purchase of the Series 2021A Bonds.....	17	RATINGS.....	46
Book-Entry System	17	INDEPENDENT AUDITORS	46
SECURITY AND SOURCES OF PAYMENT		LITIGATION	47
FOR THE BONDS	18	Authority	47
General	18	The Obligated Group.....	47
Limited Liability of the Authority	19	LEGAL MATTERS	47
The Master Indenture	19	TAX MATTERS	47
Substitution of Master Indenture		Series 2021A Bonds	47
Obligations, including the Bond		Series 2021B Bonds	50
Obligation	22	CERTAIN ERISA CONSIDERATIONS.....	52
Security and Enforceability	22	VERIFICATION REPORT	55
Limitations on Enforceability	23	CONTINUING DISCLOSURE	55
The Loan Agreement.....	26	UNDERWRITING	56
BONDHOLDERS' RISKS.....	26	FINANCIAL ADVISOR.....	56
General	27	CERTAIN RELATIONSHIPS	57
Potential Impact of COVID-19.....	27	MISCELLANEOUS.....	57
Failure to Achieve Sufficient Occupancy			
and to Maintain Turnover or Occupancy;		Appendix A: Information Concerning Front Porch	
Uncertainty of Revenues.....	29	Communities and Services	
Regulatory Matters	29	Appendix B-1: Financial Statements of Front Porch	
State Regulation of the Senior Care and		Communities and Services	
Housing Sector.....	30	Appendix B-2: Financial Statements of Covia Group	
General Risks of the Communities	33	and Controlled Affiliates	
Nature of the Income of the Elderly	34	Appendix C: Summary of Bond Indenture and Loan	
Completion of the Construction Projects.....	34	Agreement	
Rate Setting	34	Appendix D: Form of Opinion of Bond Counsel	
Health Care Reform; Budgetary Restrictions	34	Appendix E: Proposed Form of Continuing	
Claims and Insurance Coverage	35	Disclosure Agreement	
Seismic Risk	36	Appendix F: Book-Entry Only System	
Cybersecurity Risks.....	36	Appendix G: Forms of Amended and Restated	
Fires.....	37	Master Indenture and Supplement	
Drought and Other Climatological		No. 6	
Occurrences	38		
Competition	38		

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OFFICIAL STATEMENT

\$305,565,000

CALIFORNIA STATEWIDE COMMUNITIES DEVELOPMENT AUTHORITY

Revenue Bonds

(Front Porch Communities and Services)

consisting of:

\$198,940,000

Series 2021A

\$106,625,000

Series 2021B (Federally Taxable)

INTRODUCTION

This Introduction is intended only to serve as a brief description of this Official Statement and is expressly qualified by reference to the Official Statement as a whole, as well as the documents summarized or described herein. All capitalized terms used in this Official Statement and not otherwise defined herein are defined in APPENDIX C and APPENDIX G. The Official Statement speaks only as of its date, and the information contained herein is subject to change. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for the complete details of all terms and conditions. All statements herein regarding any such documents are qualified in their entirety by reference to such documents.

The Bonds

The California Statewide Communities Development Authority (the “Authority”) is issuing its \$305,565,000 aggregate principal amount of Revenue Bonds (Front Porch Communities and Services), Series 2021A (the “Series 2021A Bonds”) and Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable) (the “Series 2021B Bonds” and, together with the Series 2021A Bonds, the “Bonds” or the “Series 2021 Bonds” and each a “Series” of Bonds). The Bonds will be issued pursuant to a Bond Indenture, dated as of September 1, 2021 (the “Bond Indenture”), between the Authority and The Bank of New York Mellon Trust Company, N.A., as bond trustee (the “Bond Trustee”). The Authority will loan the proceeds of the Bonds to Front Porch Communities and Services (the “Corporation”) pursuant to a Loan Agreement dated as of September 1, 2021 (the “Loan Agreement”) between the Authority and the Corporation. A description of the Bonds is contained in this Official Statement under the caption “THE BONDS.”

Front Porch and the Obligated Group

The Corporation, a California nonprofit public benefit corporation (together with its subsidiaries, collectively referred to herein as “Front Porch”) provides housing and services to residents of senior living and active adult communities and develops, owns and manages affordable housing for seniors, families and persons with disabilities. On April 1, 2021, the Corporation became the sole corporate member of Covia Group, Covia Communities and Covia Affordable Communities, each a California nonprofit public benefit corporation. As a result of the acquisition of Covia Group and its related entities, the Front Porch organization of affiliated entities is collectively one of the largest not-for-profit senior living providers in the United States. As of the date of this Official Statement, Front Porch operates sixteen multi-level senior living communities (plus one that is currently closed and under evaluation for redevelopment) and three active adult monthly rental communities with limited services (collectively, the “Communities”). All of the Communities are located in California, except for two of the active adult communities with limited

services that are located in Louisiana and in Florida. Front Porch also develops, owns and manages 33 affordable housing communities, all located in California except for one located in Arizona.

Upon the issuance of the Bonds, the Corporation and Covia Communities will be the only members of an Obligated Group (each a “Member” and collectively, the “Members” of the “Obligated Group”) established under the Master Indenture (as described herein). Each of the Corporation and Covia Communities has received a determination letter from the Internal Revenue Service stating that it is exempt from federal income tax under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “Code”), as an organization described in Section 501(c)(3) of the Code. Only the Members of the Obligated Group are subject to the requirements and financial obligations under the Master Indenture, including obligations relating to the payment for any of the Bonds. The Corporation and Covia Communities constitute, on a pro forma basis, (i) 90% and 88% of the total assets of Front Porch as of March 31, 2021 and as of June 30, 2021, respectively, and (ii) 94% and 92% of the total revenue of Front Porch for the fiscal year ended March 31, 2021 and for the three months ended June 30, 2021, respectively (including the financial results for certain communities which are anticipated to be merged into the Corporation during the remainder of the 2021 calendar year following the issuance of the Bonds).

For more information concerning the history, governance, organization, communities, operations and financial performance of Front Porch, see APPENDIX A.

Plan of Finance

The proceeds of the Bonds will be loaned to the Corporation and, with other available moneys, used to: (1) refinance certain bonds issued for the benefit of the Corporation and all of the outstanding bonds issued for the benefit of Covia Communities (collectively, the “Refinanced Bonds”) and certain other debt of the Corporation and its affiliates (collectively, the “Refinanced Debt”); (2) finance the construction, equipping, improvement, renovation, rehabilitation and/or remodeling of certain senior living and related facilities owned and operated by the Corporation (the “Project”); and (3) pay certain expenses of issuing the Bonds and refinancing the Refinanced Debt.

See “PLAN OF FINANCE” for a discussion of the Project and the refinancing of the Refinanced Debt.

The Master Indenture

The Corporation previously entered into a Master Trust Indenture, dated as of September 1, 2017, as supplemented and amended (the “Original Master Indenture”), between The Bank of New York Mellon Trust Company, N.A., as master trustee (the “Master Trustee”), and the Corporation. In connection with the issuance of the Bonds and the refinancing of the Refinanced Debt, the Corporation plans to amend and restate the Original Master Indenture through the execution and delivery of an amendment and restatement to the Original Master Indenture, entered into as of September 1, 2021 and effective on the Effective Date described below (the Original Master Indenture as so amended and restated, the “Amended and Restated Master Indenture”), between the Corporation and the other Members of the Obligated Group from time to time thereunder and the Master Trustee. On the Effective Date, the Corporation and Covia Communities will be the sole Members of the Obligated Group, with Covia Communities being added as a Member in connection with the implementation of the aforementioned amendment and restatement. The form of the Amended and Restated Master Indenture is included as APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6.”

The Amended and Restated Master Indenture is expected to become effective on the date of issuance of the Bonds, when the consent of holders representing not less than a majority in aggregate

principal amount of the Master Indenture Obligations then outstanding under the Original Master Indenture (which will include the Bond Obligation, which will have been issued under the Original Master Indenture as in effect immediately prior to its amendment and restatement becoming effective) is filed with the Master Trustee (the “Effective Date”). **All references to the “Master Indenture” herein refer to the Amended and Restated Master Indenture upon the Effective Date.** See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Proposed Amendment and Restatement of the Master Indenture.” **By purchasing the Bonds, each Holder of the Bonds and each Beneficial Owner of the Bonds will be deemed to have irrevocably consented to the Amended and Restated Master Indenture, and to have approved, on behalf of themselves and all subsequent Holders and Beneficial Owners of the Bonds, the Amended and Restated Master Indenture.**

Security for the Bonds

The Bonds are limited obligations of the Authority payable solely from Revenues received by the Bond Trustee under the Bond Indenture. Revenues generally consist of Loan Repayments to be made by the Corporation under the Loan Agreement. The Corporation’s obligations under the Loan Agreement will be secured by Obligation No. 6 (the “Bond Obligation”) in the original principal amount of \$305,565,000, issued pursuant to the Sixth Supplemental Master Trust Indenture, dated as of September 1, 2021 (“Supplement No. 6”), between the Master Trustee and the Corporation, as Obligated Group Representative. A form of Supplement No. 6 is included in APPENDIX G to this Official Statement. The Authority will pledge and assign certain of its rights under the Loan Agreement and the Bond Obligation to the Bond Trustee as security for the Bonds.

Pursuant to the Master Indenture, each Member of the Obligated Group agrees that, so long as any of the Master Indenture Obligations remain outstanding, all of the Gross Revenues of the Obligated Group will be deposited as soon as practicable upon receipt in one or more deposit accounts that will be designated as the “Gross Revenue Fund,” established with one or more designated banking institutions (each a “Depository Bank”). In addition, each Member of the Obligated Group agrees to enter into one or more deposit account control agreements (“Account Control Agreements”) with each Depository Bank and the Master Trustee. Subject to the provisions of the Master Indenture permitting application of the Gross Revenues for the purposes and upon the terms and conditions set forth therein, each Member of the Obligated Group will pledge and assign to the Master Trustee, and grant to the Master Trustee a security interest in, all of its right, title, and interest, in and to the Gross Revenues and the Gross Revenue Fund and the proceeds thereof as security for the performance by each of the Members of its obligations under the Master Indenture. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.03. Gross Revenues.”

In the Loan Agreement, the Corporation agrees to make the Loan Repayments to the Bond Trustee, which payments, in the aggregate, are required to be in an amount sufficient for the payment in full of all amounts payable with respect to the Bonds, including the total interest payable on the Bonds to the respective dates of maturity of the Bonds or earlier redemption, the principal (or Redemption Price or Purchase Price) of the Bonds, less any amounts available for such payment as provided in the Bond Indenture. The Bonds are otherwise payable from investment earnings and proceeds of insurance or condemnation awards, each in the manner and to the extent set forth in the Bond Indenture. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

Neither the Bonds nor the Bond Obligation is currently secured by a mortgage, deed of trust or any other pledge of real property, and the Master Indenture does not contain any covenant or requirement that the Corporation provide any such security for the holders of Master Indenture Obligations. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Certain

Matters Relating to the Security Interest in Gross Revenues” for a description of the Obligated Group’s pledge of Gross Revenues and the Gross Revenue Fund.

Subject to the conditions contained therein, the Master Indenture also permits the Members of the Obligated Group to incur secured and unsecured indebtedness in addition to the Master Indenture Obligations and to enter into Guaranties. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.10. Limitation on Indebtedness” and “—Section 3.04. Against Encumbrances.”

Bondholders’ Risks

There are risks associated with the purchase of the Bonds. See the information under “BONDHOLDERS’ RISKS” herein for a discussion of certain of these risks.

Continuing Disclosure

Pursuant to the terms of the Master Indenture and the Continuing Disclosure Agreement the Corporation, as Obligated Group Representative, has agreed to provide certain quarterly and annual financial and operating information regarding the Obligated Group as described under “CONTINUING DISCLOSURE.” The form of the Continuing Disclosure Agreement is attached as APPENDIX E.

THE AUTHORITY

The Authority is a joint powers agency organized pursuant to a Joint Powers Agreement among a number of California counties, cities and special districts entered into pursuant to the provisions relating to the joint exercise of powers contained in Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the California Government Code. The Authority is authorized to participate in financings for the benefit of certain organizations described under Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”).

PLAN OF FINANCE

General

The Authority will loan the proceeds of the Bonds to the Corporation pursuant to the Loan Agreement, which proceeds, together with other available moneys, will be used to (1) refinance the Refinanced Debt, (2) pay a portion of the costs of the Project, and (3) pay certain expenses of issuing the Bonds and refinancing the Refinanced Debt.

Refinanced Debt

A portion of the proceeds of the Bonds will be used to refinance the Refinanced Debt shown in the table below.

Refinanced Debt

Issue	Outstanding Principal Amount	Anticipated Redemption or Prepayment Date
California Statewide Communities Development Authority Variable Rate Revenue Bonds, (Front Porch Communities and Services – Wesley Palms Project), Series 2015 (the “Front Porch Series 2015 Bonds”)	\$66,802,000	9/9/2021
California Statewide Communities Development Authority Variable Rate Revenue Bonds, (Front Porch Communities and Services – Wesley Palms Project), Series 2017B (the “Front Porch Series 2017B Bonds”)	\$20,018,784.29	9/9/2021
ABAG Finance Authority for Nonprofit Corporations Revenue Refunding Bonds, Series 2011 (Episcopal Senior Communities) (the “Covia Series 2011 Bonds”)	\$51,570,000	9/9/2021
ABAG Finance Authority for Nonprofit Corporations Revenue Bonds, Series 2012A (Episcopal Senior Communities) (the “Covia Series 2012A Bonds”)	\$68,835,000	7/1/2022
ABAG Finance Authority for Nonprofit Corporations Revenue Refunding Bonds, Series 2012B (Episcopal Senior Communities) (the “Covia Series 2012B Bonds” and, together with the Covia Series 2012A Bonds, the “Covia Series 2012 Bonds”)	\$5,820,000	7/1/2022
California Statewide Communities Development Authority Revenue Refunding Bonds, Series 2015 (Episcopal Senior Communities) (the “Covia Series 2015 Bonds”)	\$7,194,000	9/9/2021
Promissory Note (The Board of Pensions of the Presbyterian Church)	\$11,200,000	9/9/2021
Deed of Trust Note relating to Casa de Mañana	\$24,885,000 ⁽²⁾	9/9/2021
Deed of Trust Note relating to Claremont Manor	\$34,770,000 ⁽²⁾	9/9/2021
Deed of Trust Note relating to Fredericka Manor	\$28,627,000 ⁽²⁾	9/9/2021
Deed of Trust Note relating to Kingsley Manor ⁽¹⁾	\$9,533,000 ⁽²⁾	9/9/2021

(1) To be refinanced with Corporation equity.

(2) Rounded to the nearest thousand.

Front Porch Series 2015 Bonds. The Authority issued the Front Porch Series 2015 Bonds on March 20, 2015, in the maximum principal amount of \$72,000,000, \$66,802,000 of which is outstanding as of the expected date of issuance of the Bonds. The Front Porch Series 2015 Bonds were purchased by BBVA Mortgage Corporation (formerly Compass Mortgage Corporation) (“BBVA Corporation”) in a direct purchase transaction. A portion of the proceeds of the Bonds will be used to redeem the Front Porch

Series 2015 Bonds, concurrently with the issuance of the Bonds, at a redemption price of 100% of the principal amount thereof plus accrued and unpaid interest to the redemption date thereof.

Front Porch Series 2017B Bonds. The Authority issued the Front Porch Series 2017B Bonds on September 28, 2017, in the maximum principal amount of \$21,500,000, \$20,018,784.29 of which is outstanding as of the expected date of issuance of the Bonds. The Front Porch Series 2017B Bonds were purchased by BBVA Corporation in a direct purchase transaction. A portion of the proceeds of the Bonds will be transferred to BBVA Corporation and used to redeem the Front Porch Series 2017B Bonds, concurrently with the issuance of the Bonds, at a redemption price of 100% of the principal amount thereof plus accrued and unpaid interest to the redemption date thereof.

Covia Series 2011 Bonds. ABAG Finance Authority for Nonprofit Corporations (“ABAG”) issued the Covia Series 2011 Bonds on October 27, 2011, in the original principal amount of \$62,200,000, \$51,570,000 of which is outstanding as of the expected date of issuance of the Bonds. A portion of the proceeds of the Bonds will be deposited with the bond trustee for the Covia Series 2011 Bonds and used to redeem the Covia Series 2011 Bonds, concurrently with the issuance of the Bonds, at a redemption price of 100% of the principal amount thereof plus accrued and unpaid interest to the redemption date thereof.

Covia Series 2012 Bonds. ABAG issued the Covia Series 2012 Bonds on December 20, 2012, (1) with respect to the Covia Series 2012A Bonds, in the original principal amount of \$68,835,000, \$68,835,000 of which is outstanding as of the expected date of issuance of the Bonds, and (2) with respect to the Covia Series 2012B Bonds, in the original principal amount of \$19,870,000, \$5,820,000 of which is outstanding as of the date of this Official Statement. The Covia Series 2012 Bonds will be defeased on the date of issuance of the Bonds. A portion of the proceeds of the Bonds, together with other available funds will be deposited with the prior trustee for the Covia Series 2012 Bonds, as escrow agent, in one or more escrow funds (the “Escrow Fund”) established under escrow agreement for the Covia Series 2012 Bonds (the “Covia Series 2012 Escrow Agreement”). The funds held in the Escrow Fund can be held as cash and/or invested in permitted investments as specified in the bond indenture relating to the Covia Series 2012 Bonds and will be in amounts sufficient to pay principal and interest on the Covia Series 2012 Bonds to the redemption date and pay the redemption price of 100% of the principal amount of the Covia Series 2012 Bonds, plus accrued interest to the redemption date. The Covia Series 2012 Bonds are expected to be redeemed on July 1, 2022, which is the earliest date the Covia Series 2012 Bonds can be redeemed.

Covia Series 2015 Bonds. The Authority issued the Covia Series 2015 Bonds on June 5, 2015, in the original principal amount of \$8,718,000, \$7,194,000 of which is outstanding as of the expected date of issuance of the Bonds. The Covia Series 2015 Bonds were purchased by JPMorgan Chase Bank, National Association in a direct purchase transaction. A portion of the proceeds of the Bonds will be transferred to JPMorgan Chase Bank, National Association and used to redeem the Covia Series 2015 Bonds, concurrently with the issuance of the Bonds, at a redemption price of 100% of the principal amount thereof plus accrued and unpaid interest to the redemption date thereof.

Real Estate LLC Communities Loans. Wells Fargo Bank, National Association issued loans evidenced by separate Deed of Trust Notes relating to Casa de Mañana, Claremont Manor, Fredericka Manor and Kingsley Manor (the “Real Estate LLC Communities Loans”) in the original aggregate principal amount of \$119,738,600, \$97,815,000 of which is outstanding as of the expected date of issuance of the Bonds. Promptly following the issuance of the Bonds, a portion of the proceeds of the Bonds, together with an equity contribution from the Corporation, will be transferred to Wells Fargo Bank, National Association, as prepayment for the Real Estate LLC Communities Loans. The Corporation’s equity contribution will be used to prepay the portion of the Real Estate Communities Loans related to Kingsley Manor.

Promissory Note – The Board of Pensions of the Presbyterian Church. On October 26, 2015, The Board of Pensions of the Presbyterian Church (U.S.A.) issued a loan to Covia Communities evidenced by a promissory note (the “Promissory Note”) in the original principal amount of \$11,200,000, \$11,200,000 of which is outstanding as of the expected date of issuance of the Bonds. A portion of the proceeds of the Bonds will be transferred to The Board of Pensions of the Presbyterian Church (U.S.A.), to prepay the Promissory Note concurrently with the issuance of the Bonds.

Project

The Project will include the conversion of Walnut Village’s existing skilled nursing facility, which is currently closed. During the five years prior to its closure in September 2020, Walnut Village’s 99-bed Skilled Nursing Rehabilitation and Care Center averaged fewer than three Walnut Village continuing care retirement community residents per day. An independent Market Facility study substantiated strong regional demand from outside of Walnut Village for increased Memory Care accommodations and high acuity Assisted Living units.

During the last 12 months, the Corporation and Walnut Village have worked with architects, consultants, the City of Anaheim Planning Department and California Department of Social Services to obtain approvals for the conversion of the Skilled Nursing units to 30 units for Memory Care and High Acuity Assisted Living and also 6 new Independent Living units to be marketed on a monthly rental basis.

The total square footage of the building to be converted is 35,000 square feet and the estimated total project cost is approximately \$10 Million.

Following the receipt of final approvals, construction is expected to begin within six months and be completed within 18 months with expected opening in mid-2023.

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Estimated Sources and Uses of Funds

The table below shows the estimated sources and uses of funds for the Bonds, exclusive of investment earnings.

	Series 2021A Bonds	Series 2021B Bonds	Total
Sources of Funds:			
Principal amount of Bonds	\$198,940,000	\$106,625,000	\$305,565,000
Net original issue premium	22,773,469	-	22,773,469
Trustee held funds	10,743,510	312,875	11,056,385
Corporation equity ⁽¹⁾	-	9,745,590	9,745,590
Total Sources	<u>\$232,456,979</u>	<u>\$116,683,465</u>	<u>\$349,140,444</u>
Uses of Funds:			
Project	\$ 10,000,000	\$ -	\$ 10,000,000
Refinanced Debt ⁽¹⁾⁽²⁾	220,441,360	115,592,527	336,033,887
Costs of issuance ⁽³⁾	2,015,619	1,090,939	3,106,557
Total Uses	<u>\$232,456,979</u>	<u>\$116,683,465</u>	<u>\$349,140,444</u>

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- (1) Deed of Trust Note relating to Kingsley Manor will be refinanced with Corporation equity. Corporation equity includes principal, accrued interest and prepayment penalty related to Kingsley Manor.
- (2) Includes accrued interest funded by bond proceeds. Does not include accrued interest to be funded with Corporation equity except the amount related to Kingsley Manor.
- (3) Includes Underwriter's discount, the Underwriter's reimbursable expenses, legal and accounting fees, trustees' fees, financial printing costs, rating agency charges and other expenses associated with the issuance of the Bonds and the refinancing of the Refinanced Debt.

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ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each of the Corporation's fiscal years ending March 31, the amount estimated to be required for payment of principal of and interest on the Bonds. The following table also includes the debt service due on all outstanding bonds previously issued for the benefit of the Corporation, excluding the Refinanced Debt. Amounts shown are rounded to the nearest dollar.

Year Ending March 31,	The Bonds				Total Debt Service on Other Outstanding Bonds ⁽¹⁾	Total
	Series 2021A Bonds Principal	Series 2021A Bonds Interest	Series 2021B Bonds Principal	Series 2021B Bonds Interest		
2023	\$ 670,000	\$ 7,415,484	\$ 6,250,000	\$ 2,124,244	\$ 5,288,300	\$ 21,748,028
2024	1,125,000	6,942,575	6,410,000	1,964,338	5,308,800	21,750,713
2025	1,165,000	6,885,325	6,465,000	1,910,660	5,330,675	21,756,660
2026	1,190,000	6,826,450	6,540,000	1,834,593	5,353,675	21,744,718
2027	1,230,000	6,765,950	6,635,000	1,741,661	5,377,550	21,750,161
2028	1,270,000	6,703,450	6,735,000	1,633,309	5,406,925	21,748,684
2029	1,310,000	6,638,950	6,860,000	1,509,710	5,431,550	21,750,210
2030	1,350,000	6,572,450	7,000,000	1,372,969	5,456,300	21,751,719
2031	1,390,000	6,503,950	7,145,000	1,225,117	5,485,800	21,749,867
2032	1,430,000	6,433,450	7,305,000	1,066,850	5,514,675	21,749,975
2033	1,470,000	6,360,950	7,475,000	897,576	5,542,375	21,745,901
2034	1,520,000	6,286,200	7,655,000	716,728	5,569,750	21,747,678
2035	1,565,000	6,209,075	7,845,000	524,882	5,602,925	21,746,882
2036	1,600,000	6,137,950	8,050,000	322,180	5,637,163	21,747,292
2037	1,645,000	6,073,050	8,255,000	108,966	5,666,800	21,748,816
2038	10,160,000	5,887,750	-	-	5,701,000	21,748,750
2039	10,485,000	5,525,650	-	-	5,739,800	21,750,450
2040	10,470,000	5,106,550	-	-	6,169,900	21,746,450
2041	9,890,000	4,699,350	-	-	7,161,300	21,750,650
2042	8,885,000	4,323,850	-	-	8,538,300	21,747,150
2043	9,205,000	3,985,075	-	-	8,558,500	21,748,575
2044	8,805,000	3,671,875	-	-	9,268,950	21,745,825
2045	8,120,000	3,382,325	-	-	10,248,200	21,750,525
2046	7,035,000	3,130,175	-	-	11,584,000	21,749,175
2047	6,590,000	2,910,700	-	-	12,245,400	21,746,100
2048	6,800,000	2,703,950	-	-	12,246,150	21,750,100
2049	19,615,000	2,291,188	-	-	-	21,906,188
2050	20,330,000	1,658,938	-	-	-	21,988,938
2051	20,980,000	1,011,525	-	-	-	21,991,525
2052	21,640,000	342,800	-	-	-	21,982,000
Total	\$198,940,000	\$149,386,959	\$106,625,000	\$18,953,780	\$179,434,763	\$653,340,502

(1) Comprises the Series 2017A Bonds (as defined herein). See "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Additional Indebtedness."

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof, to the Bond Indenture for all of the provisions relating to the Bonds and to the summary of certain provisions of the Bond Indenture included in APPENDIX C hereto for a more complete description. The discussion herein is qualified by such reference.

The Series 2021A Bonds may bear interest in a Long-Term Period, FRN Period, Fixed Period, Short-Term Period, Two Day Period, VRO Interest Rate Period, Window Period, Daily Period, Weekly Period, Flexible Rate Period or Direct Purchase Period (as such terms are defined and more fully described in the Bond Indenture). This Official Statement summarizes certain terms of the Bonds in the Initial Fixed Period, in which they will bear interest at Fixed Rates to their respective maturity dates. Should the Series 2021A Bonds or portion thereof be converted to operate in a different Interest Rate Mode or a new Fixed Period, the Series 2021A Bonds to be converted will be subject to mandatory tender for purchase, and it is expected that a reoffering circular or a supplement to this Official Statement or other disclosure document would be prepared at that time for remarketing such Series 2021A Bonds.

The Series 2021B Bonds are not subject to conversion and will remain in their Initial Fixed Period to maturity.

Whenever used herein with respect to a Bond, “Holder” or “Bondholder” means the person in whose name such bond is registered; provided, however, that any time the Bonds are held in a book-entry system, “Holder” or “Bondholder” means Beneficial Owner of such Bonds.

The Bonds

General. Each Series of Bonds are being issued pursuant to the Bond Indenture in the respective aggregate principal amounts set forth on the cover of this Official Statement. The Bonds will be issued as fully registered bonds without coupons in the denomination of \$5,000 or any integral multiple thereof. The initial Interest Rate Period for each Series of Bonds will be a Fixed Period that extends, for the Series 2021A Bonds only, subject to conversion to operate in a different Interest Rate Mode or a new Fixed Period, to the respective maturity of the Series of Bonds. Each Series of Bonds will bear interest from their date of delivery at the respective rates set forth on the inside cover and immediately succeeding page of this Official Statement through maturity. Interest will be payable semiannually on each April 1 and October 1 (each, an “Interest Payment Date”), commencing April 1, 2022, to the person whose name appears on the Registration Books maintained by the Bond Trustee as the Holder thereof as of the close of business as of the Record Date (which will be the fifteenth day of the month preceding the month in which such Interest Payment Date occurs, whether or not such day is a Business Day) for such Interest Payment Date. A Conversion Date is also an Interest Payment Date for the Bonds. Interest will be calculated on the basis of a 360-day year consisting of twelve 30-day months.

The Bonds will be transferable and exchangeable as set forth in the Bond Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the Bonds. One fully registered bond will be issued for each maturity of the Bonds in the total aggregate principal amount due on such maturity and will be deposited with DTC or its agent. Ownership interests in the Bonds may be purchased in book-entry form only, in the denominations set forth above. See APPENDIX F – “BOOK-ENTRY SYSTEM.”

So long as Cede & Co. is the registered owner of the Bonds, the principal, Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) and Purchase Price of and interest on the Bonds will be payable by wire transfer by the Bond Trustee to DTC, which, in turn,

will be required to remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX F – “BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the Registration Books maintained by the Bond Trustee as the Holder thereof as of the close of business on the Record Date for each Interest Payment Date, such interest to be paid by check mailed on each Interest Payment Date to the Holder at such Holder’s address as it appears on the Registration Books as of the close of business on the Record Date; provided that in the case of any Holder of Bonds in an aggregate principal amount in excess of \$1,000,000 as shown on the Registration Books who, prior to the Record Date next preceding any Interest Payment Date, provides the Bond Trustee with written wire transfer instructions containing the wire transfer address within the continental United States, interest payable on such Bonds will be paid in accordance with the wire transfer instructions provided by the Holder of such Bond. If the book-entry only system for the Bonds is discontinued, payment of the principal, Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) or Purchase Price of the Bonds will be payable upon surrender or presentation thereof at the designated office of the Bond Trustee.

Conversion. At the option of the Corporation, the Series 2021A Bonds may be converted in whole or in part to a new Fixed Period or a different Interest Rate Mode through a mandatory tender on any date the Series 2021A Bonds are subject to optional redemption. Not fewer than 20 days prior to the proposed Conversion Date, the Bond Trustee, as directed by the Corporation, is required to give Electronic Notice, confirmed by first class mail, of the Conversion and, if applicable, of the mandatory tender of such Series 2021A Bonds to the Holders of such Series 2021A Bonds at their addresses as they appear on the Registration Books as of the date Electronic Notice of the election is received by the Bond Trustee from the Corporation. The Series 2021A Bonds may be converted in whole or in part in Authorized Denominations and in a minimum principal amount of \$5,000,000. The Series 2021A Bonds subject to such Conversion may be assigned a new CUSIP number and shall be designated or numbered to distinguish each Sub-Series of Series 2021A Bonds from another Sub-Series. Interest will accrue on such Series 2021A Bonds at the new interest rate commencing on such Conversion Date, whether or not a Business Day. Any action required to be taken on such Conversion Date, if such day is not a Business Day, may be taken on the next succeeding Business Day as if it had occurred on such Conversion Date. For a description of what occurs should any condition precedent in the Bond Indenture not be satisfied prior to such Conversion, see “—Purchase of the Series 2021A Bonds—Failed Conversion of the Series 2021A Bonds” herein. The Series 2021B Bonds are not subject to conversion.

Redemption

Optional Redemption of the Series 2021A Bonds. The Series 2021A Bonds maturing on and after April 1, 2032 are subject to optional redemption prior to their respective stated maturities, on any date on or after April 1, 2031, at the option of the Corporation, in whole or in part at any time, in such amounts as may be designated by the Corporation, at a Redemption Price equal to the principal amount of the Series 2021A Bonds called for redemption, plus interest accrued thereon, if any, to the date fixed for redemption, without premium.

Optional Redemption of the Series 2021B Bonds. The Series 2021B Bonds are redeemable prior to their respective stated maturities at the option of the Corporation. Such redemption shall be in accordance with the terms of the Series 2021B Bonds, as a whole or in part on any Business Day in such amounts and maturities directed by the Corporation, (i) before October 1, 2035, at the Make-Whole Redemption Price, together with accrued interest thereon to the date fixed for redemption, and (ii) on or after October 1, 2035, at a Redemption Price equal to 100% of the principal amount of the Series 2021B Bonds called for redemption, plus interest accrued thereon, if any, to the date fixed for redemption. As used herein, “Make-

Whole Redemption Price” means the greater of (1) 100% of the principal amount of any Series 2021B Bonds of such maturity being redeemed; or (2) the sum of the present values of the applicable remaining scheduled payments of principal and interest on any Series 2021B Bonds of such maturity being redeemed (exclusive of interest accrued to the date of redemption) discounted to the redemption date on a semiannual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate plus 22.5 basis points. For purposes of this paragraph, the following definitions apply:

“Comparable Treasury Issue” means with respect to Series 2021B Bonds of a particular maturity, the United States Treasury security or securities selected by a Designated Investment Banker as having an actual or interpolated maturity comparable to the remaining average life of the Series 2021B Bonds of such maturity to be redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of a comparable maturity to the remaining average life of such maturity of the Series 2021B Bonds.

“Comparable Treasury Price” means, with respect to any redemption date, with respect to Series 2021B Bonds of a particular maturity, the average of the Reference Treasury Dealer Quotations for such redemption date, excluding the highest and lowest of such Reference Treasury Dealer Quotations, or, if the Designated Investment Banker obtains only one Reference Treasury Dealer Quotation, such Reference Treasury Dealer Quotation.

“Designated Investment Banker” means one of the Reference Treasury Dealers appointed by the Corporation.

“Reference Treasury Dealer” means one or more entities appointed by the Corporation, which in each case, is a primary United States government securities dealer in the city of New York, New York, and its or their respective successors. The Corporation is to notify the Bond Trustee in writing of such appointment.

“Reference Treasury Dealer Quotations” means, with respect to each Reference Treasury Dealer and any redemption date for the Series 2021B Bonds of a particular maturity, the average, as determined by the Designated Investment Banker, of the bid and asked prices for the applicable Comparable Treasury Issue (expressed in each case as a percentage of its principal amount) quoted in writing to the Designated Investment Banker by such Reference Treasury Dealer at 3:30 p.m., New York City time, on the third Business Day preceding such redemption date.

“Treasury Rate” means, with respect to any redemption date, the rate per annum equal to the semiannual equivalent yield to maturity or interpolated (on a day count basis) with respect to the Series 2021B Bonds of a particular maturity of the Comparable Treasury Issue with respect thereto, assuming a price for the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price for such redemption date.

The Make-Whole Redemption Price shall be determined by an independent accounting firm or financial advisor retained by the Corporation and such accounting firm or financial advisor is to perform all actions and make all calculations required to determine the Make-Whole Redemption Price. The Bond Trustee, the Corporation and the Authority may conclusively rely upon such accounting firm’s or financial advisor’s calculations in connection with, and determination of, the Make-Whole Redemption Price, and shall bear no liability for such reliance.

Extraordinary Optional Redemption of the Bonds. Each Series of Bonds is subject to redemption prior to their respective stated maturities, at the option of the Corporation, in whole or in part on any Business Day, in such amounts as are designated by the Corporation, from hazard insurance or

condemnation proceeds received with respect to the facilities of any Member of the Obligated Group and deposited in the Optional Redemption Fund, at a Redemption Price, (a) for the Series 2021A Bonds, equal to the principal amount thereof, plus accrued interest thereon (if any) to the date fixed for redemption, without premium, and (b) for the Series 2021B Bonds equal to the Make-Whole Redemption Price.

Sinking Fund Redemption of the Series 2021A Bonds. The Series 2021A Bonds maturing (i) April 1, 2046 and bearing interest at 4.00%, (ii) April 1, 2046 and bearing interest at 3.00%, (iii) April 1, 2051 and bearing interest at 4.00%, (iv) April 1, 2051 and bearing interest at 3.00%, and (v) April 1, 2051 and bearing interest at 2.50%, (the “Series 2021A Term Bonds”) will be subject to redemption and payment prior to their respective stated maturities on April 1 in each of the following years, in the following principal amounts of such Series 2021A Term Bonds (the “Sinking Fund Installments”) at a Redemption Price equal to the principal amount to be redeemed plus accrued interest to the date fixed for redemption, without premium:

**Series 2021A Term Bond Maturity April 1, 2046
Bearing interest at 4.00%**

Year (April 1)	Principal Amount
2042	\$4,600,000
2043	4,010,000
2044	3,125,000
2045	1,840,000
2046 [†]	1,180,000

[†] Maturity

**Series 2021A Term Bond Maturity April 1, 2046
Bearing interest at 3.00%**

Year (April 1)	Principal Amount
2042	\$4,605,000
2043	4,795,000
2044	4,995,000
2045	5,195,000
2046 [†]	5,410,000

[†] Maturity

Series 2021A Term Bond Maturity April 1, 2051
Bearing interest at 4.00%

Year (April 1)	Principal Amount
2048	\$6,615,000
2049	6,615,000
2050	4,490,000
2051 [†]	7,280,000

[†] Maturity

Series 2021A Term Bond Maturity April 1, 2051
Bearing interest at 3.00%

Year (April 1)	Principal Amount
2047	\$ 6,800,000
2048	6,385,000
2049	7,100,000
2050	12,000,000
2051 [†]	7,080,000

[†] Maturity

Series 2021A Term Bond Maturity April 1, 2051
Bearing interest at 2.50%

Year (April 1)	Principal Amount
2048	\$6,615,000
2049	6,615,000
2050	4,490,000
2051 [†]	7,280,000

[†] Maturity

No Sinking Fund Redemption of the Series 2021B Bonds. The Series 2021B Bonds are not subject to redemption from Sinking Fund Installments.

Selection of Series 2021A Bonds for Redemption. Whenever provision is made in the Bond Indenture for the redemption of less than all of the Series 2021A Bonds or any given portion thereof, the Bond Trustee will be required to select the Series 2021A Bonds to be redeemed, from all Series 2021A

Bonds subject to redemption or such given portion thereof not previously called for redemption, as directed in writing by the Corporation or, in the absence of direction, by lot.

Selection of Series 2021B Bonds for Redemption. Whenever provision is made in the Bond Indenture for the redemption of less than all of the Series 2021B Bonds of any maturity or any given portion thereof, the Bond Trustee will be required to select the Series 2021B Bonds to be redeemed from all Series 2021B Bonds of such maturity subject to redemption or such given portion thereof not previously called for redemption, on a pro rata pass-through distribution of principal basis.

If the Series 2021B Bonds are registered in book-entry only form and so long as Cede & Co. or its registered assigns or a successor Securities Depository is the sole registered owner of such Series 2021B Bonds, if less than all of the Series 2021B Bonds of any maturity are called for prior redemption, the particular Series 2021B Bonds of such maturity or portions thereof to be redeemed shall be allocated on a pro rata pass-through distribution of principal basis in accordance with Cede & Co. or its registered assigns or a successor Securities Depository procedures, provided that, so long as the Series 2021B Bonds are held in book-entry form, the selection for redemption of such Series 2021B Bonds shall be made in accordance with the operational arrangements of Cede & Co. or its registered assigns or a successor Securities Depository then in effect, and, if Cede & Co. or its registered assigns or a successor Securities Depository's operational arrangements do not allow for redemption on a pro rata pass-through distribution of principal basis, the Series 2021B Bonds of such maturity will be selected for redemption, in accordance with Cede & Co. or its registered assigns or a successor Securities Depository procedures, by lot.

The Corporation and the Authority intend that redemption allocations made by Cede & Co. or its registered assigns or a successor Securities Depository be made on a pro rata pass-through distribution of principal basis as described above. However, the Corporation and the Authority can provide no assurance that Cede & Co. or its registered assigns or a successor Securities Depository, Cede & Co. or its registered assigns or a successor Securities Depository's direct and indirect participants or any other intermediary will allocate the redemption of Series 2021B Bonds on such basis.

In connection with any repayment of principal, the Bond Trustee will direct Cede & Co. or its registered assigns or a successor Securities Depository to make a pass-through distribution of principal to the holders of the Series 2021B Bonds.

For purposes of calculation of the "pro rata pass-through distribution of principal," "pro rata" means, for any amount of principal to be paid, the application of a fraction to each denomination of the respective maturity of Series 2021B Bonds where (a) the numerator of which is equal to the amount due to the respective Series 2021B Bondholders on a payment date, and (b) the denominator of which is equal to the total original par amount of the respective maturity of Series 2021B Bonds.

If the Series 2021B Bonds are no longer registered in book-entry-only form, each Beneficial Owner will receive an amount of Series 2021B Bonds equal to the original face amount then beneficially held by that Beneficial Owner, registered in such Beneficial Owner's name. Thereafter, any redemption of less than all of the Series 2021B Bonds of any maturity will continue to be paid to the Beneficial Owners of such Series 2021B Bonds on a pro-rata basis, based on the portion of the original face amount of any such Series 2021B Bonds to be redeemed.

Notice of Redemption for the Bonds. Notice of redemption will be required to be mailed by the Bond Trustee, not fewer than 20 days nor more than 60 days prior to the redemption date to the Holders of Bonds called for redemption at their addresses appearing on the Registration Books as of the date of the giving of such notice. Failure of the Bond Trustee to mail notice to any one or more of the respective Holders of any Bonds designated for redemption (or failure by any such Holder or Holders to receive said

notice) will not affect the sufficiency of the proceedings for the redemption with respect to the Holders to whom such notice was mailed.

Conditional Notice and Rescission of Notice. Notice of redemption of any Bonds to be redeemed pursuant to an optional or extraordinary optional call for redemption of any Bonds will be required to state (i) that it is conditioned upon the deposit with the Bond Trustee on or prior to the redemption date of moneys in an amount equal to the amount necessary to effect the redemption and may also be conditioned on any other conditions as may be set forth in the notice of redemption, and (ii) that the notice may be rescinded by written notice given to the Bond Trustee by the Corporation on or prior to the date specified for redemption, and in either such case such notice and redemption will be of no effect if such moneys are not so deposited or if the notice is rescinded as described herein

Effect of Redemption. Notice of redemption having been given in accordance with the Bond Indenture and moneys for payment of the Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) of, together with interest accrued to the redemption date on, the Series of Bonds (or portions thereof) so called for redemption being held by the Bond Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) of such Series called for redemption will become due and payable at the Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) specified in such notice, together with interest accrued thereon to the redemption date, interest on the Series of Bonds so called for redemption will cease to accrue from and after the redemption date, said Series of Bonds (or portions thereof) will cease to be entitled to any benefit or security under the Bond Indenture, and the Holders of said Series of Bonds will not have any rights in respect thereof except to receive payment of said Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) and accrued interest to the date fixed for redemption from funds held by the Bond Trustee for such payment.

Purchase in Lieu of Redemption. Any Bonds subject to optional redemption and cancellation pursuant to the Bond Indenture will also be subject to optional call for purchase by the Corporation and, at the option of the Corporation, holding, resale or cancellation by the Corporation (i.e., a so-called “purchase in lieu of redemption”) at the same times and at the same purchase price equal to the Redemption Prices (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Prices) as are applicable to the optional redemption of such Bonds, upon written request of the Corporation given to the Bond Trustee. Upon receiving such written request from the Corporation, the Bond Trustee is required to give the Holders of the Bonds to be purchased notice of such purchase in accordance with the Bond Indenture and the purchase of such Bonds will be mandatory and enforceable against such Holders. On the date fixed for purchase pursuant to any exercise of such option, the Corporation or its assignee will be required to pay the purchase price of the Bonds then being purchased to the Bond Trustee in immediately available funds, and the Bond Trustee will be required to pay the same to the sellers of such Bonds against delivery thereof. Following such purchase, the Bond Trustee is required to cause the Bonds to be registered in the name of the Corporation or its assignees and will be required to deliver them to the Corporation or its assignee. In the case of the purchase of less than all of the Bonds, the particular Bonds to be purchased will be selected in accordance with the Bond Indenture. A purchase of the Bonds pursuant to the provisions summarized in this section will not extinguish the indebtedness of the Authority evidenced thereby. No purchase in lieu of redemption will be permitted to be made unless the Corporation delivers an opinion of Bond Counsel addressed to the Bond Trustee and the Authority, to the effect that the purchase of the Bonds (i) is authorized or permitted or not prohibited by or in contravention of the Bond Indenture and (ii) with respect to the Series 2021A Bonds, will not, in and of itself, cause interest on the Series 2021A Bonds to be included in gross income for purposes of federal income taxation.

Conversion of Series 2021A Bonds; Series 2021B Bonds Not Subject to Conversion. The Corporation may elect to convert all or a portion of the Series 2021A Bonds to operate in a different Interest

Rate Mode or a new Fixed Period at any time on and after the date the Series 2021A Bonds are subject to optional redemption, as described above. The Series 2021A Bonds to be converted are subject to mandatory tender for purchase on the Conversion Date at a Purchase Price equal to the principal amount thereof plus accrued and unpaid interest thereon to the Conversion Date. It is expected that a reoffering circular or a supplement to this Official Statement or other disclosure document would be prepared at that time for remarketing of the Series 2021A Bonds. The Corporation may rescind its election to implement any such Conversion in accordance with the Bond Indenture, in which case the Series 2021A Bonds will continue to bear interest at the Fixed Rates set forth on the inside cover page of this Official Statement. The Series 2021B Bonds are not subject to conversion and will remain in their Initial Fixed Period to maturity.

Purchase of the Series 2021A Bonds

Insufficient Funds for Payment of Purchase Price of the Series 2021A Bonds. If the funds available for the purchase of Series 2021A Bonds subject to purchase on a Purchase Date are insufficient to purchase all of such Series 2021A Bonds on such Purchase Date (including Undelivered Bonds of the Series 2021A Bonds), then no purchase of any such Series 2021A Bond will occur on such Purchase Date and, on such Purchase Date, the Bond Trustee will be required to return (i) all of such Series 2021A Bonds that were tendered to the Holders thereof, and (ii) all moneys received by the Bond Trustee for the purchase of such Series 2021A Bonds to the respective Persons that provided such moneys (in the respective amounts in which such moneys were so provided).

The failure to purchase the Series 2021A Bonds on a Fixed Rate Conversion Date will not constitute an Event of Default. If Fixed Bonds are not purchased on a Purchase Date related to a Conversion of such Series 2021A Bonds, then such Fixed Bonds will continue to bear interest at the interest rates in effect prior to such proposed Conversion Date.

Failed Conversion of the Series 2021A Bonds. If, on a Conversion Date, any condition precedent to a proposed Conversion required to be satisfied under the Bond Indenture will not be satisfied, then such Conversion will not occur, and the Series 2021A Bonds, or portion thereof, that would have been converted will continue to bear interest at the current interest rate as in effect immediately prior to such proposed Conversion Date and such Series 2021A Bonds or portion thereof, will not be subject to mandatory tender for purchase on the proposed Conversion Date.

Rescission of Conversion Election. In connection with any proposed Conversion of the Series 2021A Bonds (or a portion of the Series 2021A Bonds, as applicable), the Corporation will have the right to rescind its election to make such Conversion on or prior to 10:00 a.m., New York City time, on the proposed effective date of any such Conversion or prior to the date on which the interest rate for the new Interest Rate Mode is to be determined, whichever is earlier. If the Corporation rescinds its election to implement any such Conversion, then the Interest Rate Mode of such Series 2021A Bonds will not be converted, the mandatory tender will not occur, and, except as otherwise provided in the Bond Indenture, such Series 2021A Bonds will continue to bear interest in the current Interest Rate Mode and the current interest rates in effect immediately prior to such proposed Conversion Date.

Book-Entry System

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX F – "BOOK-ENTRY SYSTEM."

The Authority, the Bond Trustee and the Members of the Obligated Group cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants, or others will distribute to the Beneficial Owners, payments of principal and Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. None of the Authority, the Bond Trustee or the Members of the Obligated Group is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or for any error or delay relating thereto.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds will be limited obligations of the Authority, payable solely from Revenues pledged under the Bond Indenture for such payment. Revenues consist primarily of Loan Repayments made pursuant to the Loan Agreement, payments made by the Members of the Obligated Group pursuant to the Bond Obligation, and other funds held under the Bond Indenture (other than the Rebate Fund and the Bond Purchase Fund). In the Loan Agreement, the Corporation will agree to make Loan Repayments to the Bond Trustee, in an amount sufficient to pay the principal (or Redemption Price, including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price, or Purchase Price) of, and interest on the Bonds on the dates and at the places and in the manner specified in the Bond Indenture, including payments at the times and in the amounts equal to the amounts to be paid as principal (or Redemption Price, including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price, or Purchase Price) of or interest on the Bonds, whether at maturity, upon redemption, by declaration of acceleration or otherwise. The Corporation also will agree to make additional payments, consisting generally of fees and expenses of the Authority and the Bond Trustee and professional fees associated with the Bonds. Payment of the principal (or Redemption Price, including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price, or Purchase Price) of and interest on the Bonds will also be secured by any money and securities in the funds and accounts held by the Bond Trustee under the Bond Indenture, except for moneys and securities held in the Rebate Fund and the Bond Purchase Fund. See APPENDIX C – “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT—THE LOAN AGREEMENT.”

The Authority, pursuant to the Bond Indenture, will assign to the Bond Trustee all of the Revenues and other assets pledged under the Bond Indenture and all of its right, title and interest in the Loan Agreement (except for certain rights of the Authority expressly granted to the Authority in the Bond Indenture or in the Loan Agreement, which include the rights to inspect books and records, to give or receive notices, approvals, consents, requests, and other communications, to receive payment or reimbursement for its fees and expenses, and to receive immunity from and limitation of liability, and indemnification) and the Bond Obligation.

As security for its obligation to make the Loan Repayments, the Corporation, concurrently with the issuance with the Bonds, will issue the Bond Obligation to the Bond Trustee in accordance with the Master Indenture and pursuant to which the Members of the Obligated Group, jointly and severally, agree to make payments to the Bond Trustee in amounts sufficient to pay, when due, the principal, Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) and Purchase Price of and interest on the Bonds.

Limited Liability of the Authority

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL (OR REDEMPTION PRICE OR PURCHASE PRICE) OF THE BONDS OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE BOND INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL (OR REDEMPTION PRICE OR PURCHASE PRICE) OF OR INTEREST ON THE BONDS. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NEITHER THE AUTHORITY NOR THE PROGRAM PARTICIPANTS SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE BOND INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT OR FROM THE MEMBERS UNDER THE BOND OBLIGATION.

The Master Indenture

Proposed Amendment and Restatement of the Master Indenture. In connection with the issuance of the Bonds, the Corporation plans to amend and restate the Original Master Indenture through an amendment and restatement thereto effective as of the date of issuance of the Bonds. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE” for the form of the Amended and Restated Master Indenture.

The Original Master Indenture provides that the holders of not less than a majority in aggregate principal amount of Obligations then Outstanding shall have the right to consent to and approve the execution by the Corporation, acting for itself and as agent for each Member, and the Master Trustee, of amendments to the terms or provisions of the Original Master Indenture, subject to such exceptions as are set forth in the Original Master Indenture. After giving effect to the issuance of the Bonds, the refinancing of the Refinanced Debt and the issuance of the Bond Obligation pursuant to the Original Master Indenture, the consent of the Holders of not less than a majority in aggregate principal amount of all Outstanding Obligations under the Original Master Indenture will have been obtained for the Amended and Restated Master Indenture.

By purchasing the Bonds, the Holders of the Bonds and the Beneficial Owners of the Bonds (i) will be deemed to have irrevocably consented to the Amended and Restated Master Indenture and approved, on behalf of themselves and all subsequent Holders and Beneficial Owners of the Bonds, the Amended and Restated Master Indenture, (ii) pursuant to such consent, will have irrevocably directed the Bond Trustee (as Holder of the Bond Obligation) to consent to the Amended and Restated Master Indenture, and (iii) will have waived, and be deemed to have waived, and consented to the waiver by the Bond Trustee (as Holder of the Bond Obligation) of, any and all other formal notice, implementation, execution or timing requirements that may otherwise be required under the Original Master Indenture in order to implement the Amended and Restated Master Indenture. See also APPENDIX C – “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT—THE BOND INDENTURE—Deemed Consent to Amended and Restated Master Indenture.”

The Amended and Restated Master Indenture will become effective on the Effective Date. The Effective Date is expected to be the date of issuance of the Bonds. All references to the “Master Indenture” herein refer to the Amended and Restated Master Indenture upon the Effective Date.

The Master Indenture imposes certain limited covenants upon the Members of the Obligated Group for the benefit of the holders of Master Indenture Obligations (including the Bond Obligation), including covenants, among others, relating to (i) the admission of a Member into and the withdrawal of a Member from the Obligated Group, (ii) limitations on mergers involving a Member, (iii) limitations on the creation of Liens by a Member, (iv) limitations upon the sale, lease or other disposition of Property of a Member, (v) limitations on Members’ incurrence of Indebtedness and (vi) maintenance of a specified minimum debt service coverage ratio. See below for further summary of certain of these covenants and also see “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6” in APPENDIX G.

Master Indenture Obligations. Under the Master Indenture, the Obligated Group Representative is authorized by the Members to incur, pursuant to a supplement to the Master Indenture, on behalf of the Members, Master Indenture Obligations to evidence or secure Indebtedness (or certain other obligations of a Member not constituting Indebtedness). The Members are jointly and severally liable with respect to the payment of each Master Indenture Obligation, including the Bond Obligation, incurred under the Master Indenture. The Corporation has issued the Bond Obligation under the Master Indenture to evidence its obligation to make Loan Repayments under the Loan Agreement. Payments of the principal of, premium, if any, and interest on the Bond Obligation are required to be sufficient to pay the principal (or Redemption Price or Purchase Price) of and interest on the Bonds, when due.

Membership and Withdrawal from the Obligated Group. Following the release of the existing master trust indenture for Covia Communities and upon the issuance of the Bonds and giving effect to the amendment and restatement of the Original Master Indenture, the Corporation and Covia Communities will be the only Members of the Obligated Group. Under certain conditions described in the Master Indenture, Members may be added to the Obligated Group from time to time and made jointly and severally liable with respect to the Bond Obligation, and all other Master Indenture Obligations outstanding under the Master Indenture. Additionally, in accordance with the Master Indenture, Members may withdraw from the Obligated Group from time to time. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.07. Membership in Obligated Group” and “—Section 3.08. Withdrawal From Obligated Group.”

Covenant Against Liens. Pursuant to the Master Indenture, each Member agrees that it will not create or suffer to be created or permit the existence of any Lien upon any of its Property other than Permitted Liens (which Permitted Liens include the pledge of Gross Revenues and the Gross Revenue Fund pursuant to the Master Indenture). See the definition of “Permitted Liens” in APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 1.01. DEFINITIONS” and “—Section 3.04. Against Encumbrances.”

Pledge of Gross Revenues and the Gross Revenue Fund. Pursuant to the Master Indenture, each Member of the Obligated Group pledges to the Master Trustee, and grants to the Master Trustee a security interest in, all its right, title and interest, to, and under the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (collectively, the “Collateral”) as security for the performance by each of the Members of its obligations under the Master Indenture. “Gross Revenues” means, unless the context provides otherwise, all revenues, income, receipts and money received in any period by the Obligated Group (other than (i) the proceeds of borrowing and (ii) moneys received from the operation of, or pertaining to, the HUD Facilities, except with the express written consent of HUD), including, but without limiting the generality of the foregoing, (a) gross revenues derived from its or their operation of the facilities

owned and/or operated by the Members, (b) gifts, grants, bequests, donations and contributions exclusive of any gifts, grants, bequests, donations and contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of principal of, redemption premium, if any, and interest on Indebtedness or for the payment of operating expenses, (c) proceeds derived from (1) insurance and condemnation proceeds, (2) accounts receivable, (3) securities and other investments, (4) inventory and other tangible and intangible property, (5) medical or hospital insurance or indemnity programs or agreements, and (6) contract rights and other rights and assets now or hereafter owned, held or possessed by or on behalf of any Member, and (d) rentals received from the lease of office space.

Each Member of the Obligated Group agrees pursuant to the Master Indenture that, so long as any of the Master Indenture Obligations remain outstanding under the Master Indenture, all of the Gross Revenues of the Obligated Group will be deposited as soon as practicable upon receipt in one or more deposit accounts designated as the “Gross Revenue Fund,” established with one or more designated banking institutions (each, a “Depository Bank”). In addition, each Member of the Obligated Group will agree to enter into one or more deposit account control agreements (“Account Control Agreements”) with each Depository Bank and the Master Trustee. Gross Revenues and amounts in the Gross Revenue Fund will be permitted to be used and withdrawn by any Member at any time for any lawful purpose, except as provided in the Master Indenture. All Gross Revenues withdrawn by a Member from the Gross Revenue Fund as permitted by the Master Indenture will no longer be subject to the lien of the Master Indenture, nor will any bank account of the Members be subject to such lien other than the Gross Revenue Fund. Gross Revenues may be deposited into other bank accounts of the Members before they are deposited into the Gross Revenue Fund or after they are withdrawn from the Gross Revenue Fund, and such other bank accounts are not subject to the lien of the Master Indenture.

The security interest in the Gross Revenues and the Gross Revenue Fund will be perfected to the extent, and only to the extent, that the security interest may be perfected by the filing of a UCC financing statement under the Uniform Commercial Code of the State of California and the entry into the Account Control Agreements. There may not be a perfected security interest in some or all of the Gross Revenues prior to the deposit of such Gross Revenues into the Gross Revenue Fund, nor will there be a perfected security interest in any Gross Revenues after they are withdrawn from the Gross Revenue Fund.

Even if the lien of the Master Indenture is perfected, the lien may not be of first priority. The security interest in Gross Revenues may be subordinated to the interests and claims of others in several circumstances (for instance statutory liens; liens in favor of the United States or an agency thereof; where assignment violates existing or future prohibitions on assignment under statute; and liens imposed through the exercise by courts of equitable powers). See also “Security and Enforceability—Certain Matters Relating to the Security Interest in Gross Revenues” below.

See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.03. Gross Revenues.”

Additional Indebtedness. Indebtedness in addition to the Bonds may be incurred by Members and secured on a parity with Master Indenture Obligations for the purposes, upon the terms and subject to the conditions provided in the Master Indenture. Each Master Indenture Obligation will be the primary obligation of the Members and each Member will be jointly and severally obligated for the payment of any and all amounts payable under each Master Indenture Obligation. Subject to the conditions therein, the Master Indenture also permits Members to incur secured and unsecured indebtedness in addition to Master Indenture Obligations and to enter into Guarantees. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.10. Limitation on Indebtedness.”

Debt Service Coverage. The Master Indenture requires that the Obligated Group maintain a Debt Service Coverage Ratio for each Fiscal Year, commencing April 1, 2022, of not less than 1.2:1.0. An Event of Default under the Master Indenture will be triggered if the Debt Service Coverage Ratio for any two consecutive Fiscal Years is less than 1.0:1.0. See APPENDIX G – “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.05. Debt Service Coverage.”

Outstanding Indebtedness. After giving effect to the issuance of the Bonds and the refinancing of the Refinanced Debt, the Members of the Obligated Group would have Outstanding Master Indenture Obligations in the aggregate principal amount of \$403,130,000, and the Bond Obligation will represent 76% of such Outstanding Master Indenture Obligations. Obligation No. 3 relating to the Authority’s Revenue Bonds (Front Porch Communities and Services), Series 2017A (the “Series 2017A Bonds”) will remain outstanding following the issuance of the Bonds. See APPENDIX A – “INFORMATION CONCERNING FRONT PORCH COMMUNITIES AND SERVICES—ADDITIONAL INFORMATION—Changes to Outstanding Indebtedness.”

Substitution of Master Indenture Obligations, including the Bond Obligation

The Bond Indenture provides that at the option of the Corporation and without the consent of any Holders, the Bond Obligation may be required to be surrendered by the Bond Trustee and delivered to the Master Trustee for cancellation upon the terms and conditions set forth in the Master Indenture as described below. The Master Indenture provides that at the option of the Obligated Group Representative and without the consent of any Holders of the Master Indenture Obligations, Master Indenture Obligations, including the Bond Obligation, may be required to be surrendered by their Holders and delivered to the Master Trustee for cancellation and in exchange for an obligation issued under a different master indenture securing the obligations of a different obligated group that would include among its members the Members of the Obligated Group. This could, under certain circumstances, lead to the substitution of different security in the form of an obligation secured by an obligated group that is financially and operationally different than the current Obligated Group. The new obligated group could have substantial debt outstanding that would rank on a parity with the substitute obligation. In order to substitute replacement obligations for Master Indenture Obligations, including the Bond Obligation, the Obligated Group will be required to meet certain tests and requirements, including, but not limited to, a requirement that the rating on any bonds secured by Master Indenture Obligations (“Related Bonds”), or on the Master Indenture Obligations, will be at least BBB+ (or equivalent) from each rating agency then rating Master Indenture Obligations or Related Bonds. See APPENDIX C – “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT—THE BOND INDENTURE—Release and Substitution of Bond Obligation Upon Delivery of Replacement Master Indenture” and APPENDIX G — “FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6—MASTER TRUST INDENTURE—Section 3.14. Replacement of Master Indenture Obligations.”

Security and Enforceability

Security for Master Indenture Obligations. All Master Indenture Obligations issued and Outstanding under the Master Indenture are equally and ratably secured by the Master Indenture except to the extent specifically provided otherwise in the Master Indenture. Any one or more series of Master Indenture Obligations may, so long as any Liens created in connection therewith constitute Permitted Liens, be secured by security (including, without limitation, letters of credit, lines of credit, insurance, Liens on Property of the Members, or security interests in a depreciation reserve, debt service or interest reserve or debt service or similar funds). Such security need not extend to any other Indebtedness (including any other Master Indenture Obligations or series of Master Indenture Obligations). Consequently, the Related Supplement pursuant to which any one or more series of Master Indenture Obligations is issued may

provide for such supplements or amendments to the provisions of the Master Indenture, as are necessary to provide for such security and to permit realization upon such security solely for the benefit of the Master Indenture Obligations entitled thereto.

Certain Matters Relating to the Security Interest in Gross Revenues. The effectiveness of the security interest in Gross Revenues granted under the Master Indenture may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of interests in receivables due under the contracts with third party payors (including proceeds thereof), and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of Gross Revenues with other moneys of the Members of the Obligated Group not so pledged under the Master Indenture; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed, conferred or otherwise imposed by a federal or state court in the exercise of equitable jurisdiction; (vi) federal bankruptcy laws which may affect the enforceability of the security interest in the Gross Revenues of the Members of the Obligated Group which are earned by the Members of the Obligated Group within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the any Member of the Obligated Group; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Master Trustee; (viii) claims that might arise if appropriate financing or continuation statements are not filed in accordance with the California Uniform Commercial Code as from time to time in effect; (ix) possible limitations upon the right of the Master Trustee, in the event of the bankruptcy of a Member of the Obligated Group, to collect and retain proceeds of accounts receivable from Medicare, Medicaid and other governmental programs; and (x) the rights of the residents and prospective residents in entrance fees paid to a Member of the Obligated Group. See also “The Master Indenture — Pledge of Gross Revenues and the Gross Revenue Fund.”

In addition to the limitations in connection with enforcing the above-described security interest in Gross Revenues, or possible impairment of priority of such security interest described above, it is possible that a court administering the insolvency or bankruptcy of a Member could determine that a Member’s agreements with residents of continuing care retirement communities providing for the resident’s payment of an entrance fee, with the Member agreeing to repay all or a portion of such residence fee in certain circumstances, should be characterized as, in effect, residential leases with the Member obligation to repay as substantially equivalent to a residential lessor’s obligation to repay or refund a security deposit. This characterization could occur notwithstanding whether any residency agreements themselves generally contain provisions to the effect that they do not evidence a lease or other interest in real property, and that the resident does not have any security interest securing the Member repayment obligation. In such an event, a court might determine that one or more residents had a property or security interest in a portion of such Member’s Gross Revenues that were derived from such residence fees and as a result, impose either temporary restrictions on the application of such Gross Revenues pending resolution on the merits of competing claims to such funds, or actually restrict in whole or in part the Master Trustee’s right to exercise remedies and obtain control of such Gross Revenues on a permanent basis. In either case, delay or loss of access to such funds could result in the Master Trustee realizing less from the Master Indenture Collateral than would otherwise be the case.

Limitations on Enforceability

The obligations of the Members of the Obligated Group under the Bond Obligation and the Master Indenture will be limited to the same extent as the obligations of debtors are typically affected by bankruptcy, insolvency and the application of general principles of creditors’ rights and as additionally described below. Although upon the issuance of the Bonds, the Corporation and Covia Communities will be the only Members of the Obligated Group, the Master Indenture permits the addition of other Members,

as well as the withdrawal of Members, if certain conditions are met. The joint and several obligations described herein of the Members of the Obligated Group to make Required Payments on the Master Indenture Obligations issued pursuant to and under the Master Indenture may not be enforceable. See “— Enforceability of the Bond Obligation” below.

A Member of the Obligated Group may not be required to make any payment of any Master Indenture Obligation, or portion thereof, or the recipient of such payment may be compelled to return such payment, the proceeds of which were not lent or otherwise disbursed to such Member to the extent that such payment would conflict with, or would not be enforceable, prohibited or avoidable under applicable laws.

The legal right and practical ability of the Authority and the Bond Trustee to enforce their rights and remedies against the Corporation under the Bond Indenture and the Loan Agreement, and against the Corporation, the other Members of the Obligated Group or any future Member of the Obligated Group under the Bond Obligation, and of the Master Trustee to enforce its rights and remedies against the Corporation, the other Members of the Obligated Group or any future Member of the Obligated Group under the Master Indenture, will depend upon the exercise of various remedies specified by such documents, which may in many instances require judicial actions that are often subject to discretion and delay or that otherwise may not be readily available or may be limited, or that may require direction of a percentage of holders of Master Indenture Obligations outstanding or provision of indemnification satisfactory to the Master Trustee as a condition to the Master Trustee taking remedial action.

Insufficiency of Assets. There exists common law authority and authority under various state statutes pursuant to which courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that the corporation has insufficient assets to carry out its stated charitable purposes or has taken some action that renders it unable to carry out its purposes. Such court action may arise on the court’s own motion or pursuant to a petition of the attorney general of a particular state or other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

Amendments to Master Indenture, Bond Indenture and Loan Agreement. Certain amendments to the Master Indenture may be made with the consent of the holders of not less than a majority of the principal amount of outstanding Master Indenture Obligations. These amendments may adversely affect the security of the Holders of the Bonds, and a majority may be composed wholly or partially of the holders of Master Indenture Obligations other than the Bond Obligation. Certain amendments to the Bond Indenture and the Loan Agreement may be made with the consent of the Holders of not less than a majority of the outstanding principal amount of the Bonds outstanding under the Bond Indenture. Such amendments may adversely affect the security of the Holders of the Bonds.

Bankruptcy. Should a Member of the Obligated Group become the subject of a bankruptcy case, there could be adverse effects on the holders of the Bonds that could result in delays or reductions in payments on, or other losses with respect to, the Bonds.

If a Member of the Obligated Group is in bankruptcy, the parties (including the Bond Trustee, the Master Trustee, and the holders of the Bonds) may be prohibited from taking any action to collect any amount from such Member or to enforce any obligation of such Member, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Bond Trustee and the Master Trustee from making payments to the holders of the Bonds from funds in the possession of the Bond Trustee or the Master Trustee. A rate covenant, or the covenant under the Master Indenture to maintain the Debt Service

Coverage Ratio at a required level, may not be enforceable in bankruptcy by any party (including the Bond Trustee, the Master Trustee, and the holders of the Bonds).

If a Member of the Obligated Group goes into bankruptcy, such Member may not be required to turn over to the Bond Trustee or the Master Trustee any Gross Revenues that have not already been deposited in the Gross Revenue Fund. Any Gross Revenues collected after the commencement of the bankruptcy case will likely not be subject to the lien of the Master Indenture, and such Member may not be required to deliver such Gross Revenues to the Master Trustee, regardless of the provisions of the Master Indenture.

The Bond Trustee and the Master Trustee may be required to return to any Member of the Obligated Group that is in bankruptcy any Gross Revenues that became subject to the lien of the Master Indenture within the 90 days (or possibly one year) immediately preceding the filing of the bankruptcy petition. Payments previously made to the holders of the Bonds during the 90 days (or possibly one year) immediately preceding the filing of the bankruptcy petition may be avoided as preferential payments, so that the holders would be required to return such payments to the Member of the Obligated Group in bankruptcy.

If a Member of the Obligated Group is in bankruptcy, the obligation of such Member to make Required Payments on behalf of another Member of the Obligated Group may be unenforceable if a court determines that the Member in bankruptcy did not receive reasonably equivalent value in return for assuming the obligation to make Required Payments on behalf of the other Member and the Member in bankruptcy was insolvent at the time the Bonds were issued, at the time such Member became a Member, or at the time such Member made Required Payments on behalf of another Member. If such obligation of the Member in bankruptcy is unenforceable, then Required Payments previously made to the holders of the Bonds by such Member on behalf of another Member may be avoided as fraudulent or voidable transfers, so that the holders would be required to return such payments to the Member of the Obligated Group in bankruptcy.

A Member of the Obligated Group that is in bankruptcy may be able to borrow additional money that is secured by a lien on any of its property (including the Gross Revenues, or assets the cash proceeds of which would constitute Gross Revenues), which lien could have priority over the lien of the Master Indenture, as long as the bankruptcy court determines that the rights of the Bond Trustee, the Master Trustee, and the holders of the Bonds will be adequately protected. Such Member may be able to cause some of the Gross Revenues to be released to it, free and clear of the lien of the Master Indenture, as long as the bankruptcy court determines that the rights of the Bond Trustee, the Master Trustee, and the holders of the Bonds will be adequately protected.

If a Member of the Obligated Group is in bankruptcy it may be able, without the consent and over the objection of the Bond Trustee, the Master Trustee, and the holders of the Bonds, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable.

Actions also could be taken in a bankruptcy of a Member of the Obligated Group that could adversely affect the exclusion of interest on the Series 2021A Bonds from gross income for federal income tax purposes.

There may be delays in payments on the Bonds while the court considers any of these issues. There may be other possible effects of a bankruptcy of a Member of the Obligated Group that could result in delays or reductions in payments on the Bonds, or result in losses to the holders of the Bonds. Regardless of any specific adverse determinations in a bankruptcy of a Member of the Obligated Group, the fact of a

bankruptcy of a Member of the Obligated Group could have an adverse effect on the liquidity and value of the Bonds.

Enforceability of the Bond Obligation. The joint and several obligations described herein of each Member of the Obligated Group to make Required Payments on the Bond Obligation may not be enforceable under any of the following circumstances:

(i) to the extent payments on the Bond Obligation are requested to be made from assets of a Member which are donor-restricted, or which are subject to a direct, express or charitable trust that does not permit the use of such assets for such payments;

(ii) if the purpose of the debt created and evidenced by the Bond Obligation is determined to be not consistent with the charitable purposes of the Member from which such payment is requested or required, or if the debt was incurred or issued for the benefit of an entity other than a nonprofit corporation that is exempt from federal income taxes under Section 501(a) of the Code as a 501(c)(3) organization and is not a “private foundation” as defined in Section 509(a) of the Code;

(iii) to the extent payments on the Bond Obligation would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by such Member; or

(iv) if and to the extent payments are requested to be made pursuant to any loan violating applicable usury laws.

These limitations on the enforceability of the joint and several obligations of the Members of the Obligated Group on the Bond Obligation also apply to their obligations on all Master Indenture Obligations. If the obligation of a particular Member of the Obligated Group to make payment on a Master Indenture Obligation is not enforceable and payment is not made on such Master Indenture Obligation when due in full, then Events of Default will arise under the Master Indenture.

The various legal opinions delivered concurrently with the issuance of the Bonds are qualified as to the enforceability of the various legal instruments by bankruptcy, insolvency, reorganization, receivership, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, and to the exercise of judicial discretion in appropriate cases.

The Loan Agreement

The Loan Agreement provides that the Authority will loan the proceeds of the Bonds to the Corporation and that the Corporation will repay such loan by making payments to the Bond Trustee in amounts sufficient to pay the principal (or Redemption Price) of, if any, and interest on the Bonds when due. The Authority will pledge and assign certain of its rights under the Loan Agreement to the Bond Trustee as security for the Bonds. For more information on the Loan Agreement, see APPENDIX C.

BONDHOLDERS’ RISKS

The purchase and ownership of the Bonds involves investment risks that are discussed throughout this Official Statement. Prospective purchasers of the Bonds should evaluate all of the information presented in this Official Statement. This section on Bondholders’ Risks focuses primarily on the general risks associated with the Obligated Group or senior living community operations, whereas APPENDIX A describes the Obligated Group and Front Porch specifically. These should be read together.

General

As set forth above under “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS,” the Bonds will be payable solely from the Loan Repayments required to be made by the Corporation under the Loan Agreement, Required Payments by the Obligated Group on the Bond Obligation and the money and investments in the various funds and accounts held by the Bond Trustee under the Bond Indenture. The Bonds do not constitute a debt, liability or obligation of the Authority, the State or any political subdivision thereof, and are not payable in any manner from taxation. The Authority has no taxing power. The ability of the Obligated Group to realize revenues in amounts sufficient to pay principal (including Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) or Purchase Price) of and interest on the Bonds when due is affected by and subject to conditions which may change in the future to an extent and with effects that cannot be determined at this time. No representation or assurance can be made that revenues will be realized by the Obligated Group in amounts sufficient to provide funds for payments of the principal (including Redemption Price (including, with respect to the Series 2021B Bonds, the Make-Whole Redemption Price) or Purchase Price) of and interest on the Bonds when due and to make all other payments necessary to meet the obligations of the Obligated Group. None of the provisions of the Master Indenture provide any assurance that the obligations of the Obligated Group will be paid as and when due if any Member of the Obligated Group becomes unable to pay its debts as they come due or otherwise becomes insolvent.

The receipt of future revenues by the Obligated Group will be subject to, among other factors, federal and state policies affecting the senior housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Obligated Group and future economic and other conditions that are impossible to predict. The extent of the ability of the Obligated Group to generate future revenues has a direct effect upon the payment of principal of, premium, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Obligated Group.

This discussion of risk factors is not, and is not intended to be, exhaustive. See also “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—Security and Enforceability.”

Potential Impact of COVID-19

The business and financial results of Front Porch (including the Obligated Group) may be harmed by an international, national or localized outbreak of a highly contagious or epidemic disease. The current pandemic of the novel coronavirus (“COVID-19”), including its variants, is having numerous and varied medical, economic, and social impacts, any and all of which may adversely affect Front Porch’s business and financial results. Because of the evolving nature of the COVID-19 pandemic, the uncertainties relating to its duration and severity, as well as the actions that may be taken by governmental authorities and other institutions to contain or mitigate the impact, the cumulative impact of the crisis on Front Porch’s financial condition and operations cannot be fully determined at this time. In addition to the general information about the COVID-19 crisis described below, see APPENDIX A – “INFORMATION CONCERNING FRONT PORCH COMMUNITIES AND SERVICES—RESPONSE TO COVID-19,” “—FRONT PORCH FINANCIAL INFORMATION FOR THE THREE MONTHS ENDED JUNE 30, 2020 AND 2021—Management’s Discussion,” “—HISTORICAL FRONT PORCH FINANCIAL INFORMATION—Management’s Discussion” and “—HISTORICAL COVID-19 FINANCIAL INFORMATION—Management’s Discussion.”

National, state, and local governments have taken, and may continue to take, various actions, including the passage of laws and regulations, on a wide array of topics, in an attempt to slow the spread of

COVID-19 and to address the health and economic consequences of the pandemic. Many of these governmental actions have caused substantial changes in the way health care is provided. It is not clear how long such measures will remain in place.

Operational Disruptions. The COVID-19 pandemic could materially adversely affect Front Porch’s business operations, financial condition and financial performance.

During the pandemic in response to orders and guidance of national, state and local public health officials, business disruptions included and could also include temporary closures of facilities, the facilities of suppliers and manufacturers, and a reduction in the business hours of facilities. Job losses attributable to the COVID-19 pandemic could result in a reduction of persons insured under commercial health benefit plans, and an increase of persons insured by government health programs. In addition, health care providers could be required to provide significant amounts of uncompensated care. Changes in operations may result in additional costs being incurred related to adjustments to the use of facilities and to staffing, including overtime wages, wages paid to employees who are unable to work due to quarantine, and utilization of more expensive contract staff to provide care. Senior living organizations such as Front Porch may also be subject to potential claims and litigation relating to COVID-19 from residents, residents’ heirs or employees. Any one or more such disruptions could result in a material adverse effect on the Members of the Obligated Group or any of them.

Economic and Market Disruption. In addition, the COVID-19 pandemic has affected, and is expected to continue to affect, travel, commerce and financial markets in the United States and globally and is widely expected to affect economic growth worldwide. The COVID-19 pandemic has resulted in volatility in the U.S. and global financial markets, and significant realized and unrealized losses in investment portfolios. Financial results, generally, and liquidity, in particular, may be materially diminished. Access to capital markets may be hindered and increased costs of borrowing may occur as a result. The continued spread of COVID-19 infections and containment and mitigation efforts could have a material adverse effect on the operations of the State, national and global economies.

Governmental Relief. In response to the COVID-19 emergency, on March 13, 2020, the federal government declared a “national emergency” under both the Robert T. Stafford Disaster Relief and Emergency Assistance Act of 1988, which allows access to disaster relief funds to address the COVID-19 pandemic and related economic dislocation, and the National Emergencies Act, which allows the U.S. Department of Health and Human Services (“HHS”) to waive certain guidelines related to Medicare, Medicaid and the Children’s Health Insurance Program (all of which are described in greater detail below) to address the COVID-19 pandemic. The U.S. Congress has also passed several federal stimulus packages to address the COVID-19 crisis, including (1) the Coronavirus Preparedness and Response Supplemental Appropriations Act of 2020 (“CPRSA Act”), (2) the Families First Coronavirus Response Act (“Families First Act”), (3) the Coronavirus Aid, Relief, and Economic Security Act (“CARES Act”), (4) the Paycheck Protection Program and Health Care Enhancement Act (“Enhancement Act”), (5) the coronavirus response and relief portions of the Consolidated Appropriations Act, 2021 (“CAA”) and (6) the American Rescue Plan Act of 2021 (described below).

On March 11, 2021, the American Rescue Plan Act of 2021 (“ARPA”) was adopted, which legislation included funding related to COVID-19 directed at detecting, diagnosing, tracing, and monitoring COVID-19 infections; establishing community vaccination centers and mobile vaccine units; promoting, distributing, and tracking COVID-19 vaccines; COVID-19 vaccine research, development, manufacturing, production, and purchase expenses; awards to community health centers; and reimbursing rural hospitals and facilities for healthcare-related expenses and lost revenues attributable to COVID-19. Additional funding was allocated to the HHS Office of Inspector General (“OIG”) for oversight activities related to COVID-19 funding. The ARPA bolstered the Patient Protection and Affordable Care Act by increasing the

eligibility for, and amount of, premium tax credits to purchase coverage through an exchange and by creating cost-sharing support for unemployed individuals that are enrolled in a qualified health plan. ARPA requires that Medicaid and CHIP programs cover without cost sharing COVID-19 vaccines, testing and treatment for one year after the end of the public health emergency. The Federal Medical Assistance Percentage (“FMAP”) is set at 100% for amounts expended for COVID-19 vaccines and vaccine administration and permits states to extend coverage for women enrolled in Medicaid or CHIP for up to twelve months following the birth of a child. ARPA also increases the FMAP by 5% for eight calendar quarters to incentivize states to expand their Medicaid program. Finally, ARPA provides subsidies to cover 100% of health insurance premiums under the Consolidated Omnibus Budget Reconciliation Act through September 30, 2021.

The federal stimulus packages are designed to provide economic relief and other support for individuals and businesses, including health care providers. Federal stimulus provisions that may alleviate some of the financial strain on health care providers include, among others: (1) a \$175 billion “Public Health and Social Services Emergency Fund” to reimburse eligible health care providers for “health care related expenses or lost revenues that are attributable to coronavirus” (“Provider Relief Fund”), funded through CARES Act and Enhancement Act and CAA appropriations, (2) an increase in the FMAP for state Medicaid programs by 6.2%, and (3) various other Medicare and Medicaid policy changes that temporarily boost Medicare and Medicaid reimbursement or provide for additional flexibility in patient care during the COVID-19 emergency period. The timing, adequacy and other ultimate effects of any federal or state stimulus relief programs on the Obligated Group, or the economy generally, cannot be predicted at this time. Although the federal government may consider future COVID-19 emergency response and relief legislation, the content and passage of any such legislation is uncertain.

Failure to Achieve Sufficient Occupancy and to Maintain Turnover or Occupancy; Uncertainty of Revenues

The ability of the Members of the Obligated Group to generate sufficient revenues is dependent, among other things, upon the ability of Front Porch to attract sufficient numbers of residents to its Communities. The ability of Front Porch to achieve and then to maintain substantial occupancy depends to some extent on factors outside its control. The success of the Communities is dependent on numerous factors including (but not limited to): the maintenance of high future occupancy levels at the Communities by eligible residents who will be able to pay the fees charged, the capabilities of the management of the Communities, the availability of alternative housing opportunities in the general area and future economic and other conditions which are unpredictable. See “BONDHOLDERS’ RISKS—General Risks of the Communities” and “—Nature of the Income of the Elderly.” Any of these factors may affect revenues and payments on the Bonds. No representation or assurance can be made that revenues will be realized by the Obligated Group in amounts sufficient to make the required payments on the Bonds.

Regulatory Matters

General. Health and senior care communities and facilities are subject to regulation by state, local and other regulatory or accrediting agencies created to oversee planning and development of health care resources and services, the governmental and private agencies that administer the Medicare and Medicaid programs and other federal, state and local governmental agencies. Renewal and continuance of certain licenses, certifications and accreditations issued by these agencies are based on inspections, surveys, audits, investigations or other reviews, some of which may require or include affirmative action or response by the management of Front Porch. These activities generally are conducted in the normal course of business. Nevertheless, an adverse result could be the cause of loss or reduction in a Community’s scope of licensure, certification or accreditation or could reduce payments received. In certain instances, failure to comply with

the guidelines promulgated by such agencies can result in penalties to a Community (including fines or loss of licensure, certification, accreditation or eligibility for certain reimbursement programs).

Compliance. State licensing requirements are subject to change, and there can be no assurance that Front Porch will be able to maintain all licenses needed to operate its Communities as planned or that it will not incur substantial costs in doing so. Failure to comply with state licensing or certification requirements could result in the loss by Front Porch of the right to conduct all or a portion of its business. Further, the Communities are subject to periodic inspection by governmental and other regulatory authorities to assure continued compliance with various standards and to provide for continued licensing under state law.

From time to time, Front Porch may receive notices from state regulatory agencies relating to alleged deficiencies for failure to comply with components of the licensure regulations. While Front Porch will endeavor to comply with all applicable regulatory requirements, it may become subject from time to time to various sanctions and penalties resulting from deficiencies alleged by state survey agencies or even threats to revoke licensure in certain instances. There can be no assurance that the Obligated Group will not be subject to sanctions and penalties in the future as a result of such actions.

Other Government Regulation. The Communities are and will continue to be subject to rules and regulations promulgated by various agencies and bodies of federal, State and local governments which have jurisdiction over such matters as health care, employment, safety, traffic and health. State and local regulators can impact the operations of the Communities in a variety of ways, including by shutting down the Communities due to an outbreak relating to an epidemic, including, but not limited to, COVID-19. The impact of such rules and regulations on the Communities is unknown and cannot be predicted. Future orders, pursuant to existing or subsequently enacted rules or regulations, may require the expenditure by Front Porch of substantial sums to effect compliance.

State Regulation of the Senior Care and Housing Sector

Some of the Communities are continuing care retirement communities. Continuing care retirement communities generally provide housing, meals, residential services, other amenities and nursing care to individuals of retirement age who, initially, live independently in their own apartments. The operation of continuing care retirement communities usually involves (i) a written contract under which the provider of continuing care services agrees to provide the resident of the community with accommodations, meals, laundry services, housekeeping, social and recreational activities, assisted living services and certain health-related care; (ii) the payment of an entrance fee and monthly service fees (often varying in amount according to the size of a resident's residential living apartment and to the level of care a resident requires) by each resident designed to meet all general costs of the community's operation; (iii) the existence on the premises of specialized units for assisted living and often a skilled nursing facility; and (iv) the provision of facilities and services generally designed to meet the social, physical and psychological needs of residents. For more detailed information regarding the Communities as to such operational matters, see APPENDIX A.

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a continuing care contract and is subject to regulation under the California Health and Safety Code (the "Health and Safety Code"). Any person or organization agreeing to provide such care must first obtain: (i) one or more written licenses to operate a residential care facility for the elderly from the California Department of Social Services ("DSS") pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; (ii) where there is a skilled nursing facility on the premises, one or more written licenses to operate such facility from the California Department of Public

Health (“DPH”) pursuant to Division 2, Chapter 2 of the Health and Safety Code; and (iii) a certificate of authority (“Certificate of Authority”) from DSS pursuant to Chapter 10 of Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents.

A provider under a continuing care contract (a “Continuing Care Provider”) must maintain at all times qualifying assets (“Qualifying Assets”) as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the “Debt Service Reserve Amount”) and (b) the amount the Continuing Care Provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the “Operating Expense Reserve Amount”). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the provider during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the provider; (ii) facility rental or leasehold payments, and any related payments, paid by the provider during the immediately preceding fiscal year; and (iii) all payments paid by the Continuing Care Provider during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days’ net operating expenses, which includes all expenses of the Continuing Care Provider except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Continuing Care Provider during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Continuing Care Provider. A Continuing Care Provider that has been in operation for less than 12 months calculates its net operating expenses by using its actual expenses for the months it has operated and, for the remaining months, the projected net operating expense amounts it submitted to DSS as part of its application for a Certificate of Authority. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. A Continuing Care Provider is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Continuing Care Provider is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts.

Any provider offering refundable contracts is required to maintain a refund reserve in trust for each resident holding a refundable contract. The amount of the reserve for each resident is calculated by multiplying the refundable portion of the resident’s entrance fee by a factor, using an interest rate of six percent or less from compound interest tables, that will grow at the assumed compound interest rate to one dollar at the end of the resident’s life expectancy. A contract is not deemed refundable and a provider does not need to establish a refund reserve where the provider’s obligation to repay all or part of the resident’s entrance fee is conditioned upon re-occupancy of the apartment and where the conditional repayment promise is not referred to as a “refund.”

A California law applicable to entrance fee agreements entered into on or after January 1, 2017, requires payment of interest on amounts not repaid within specified periods after termination of the agreement. See “Legislation Affecting Repayable Entrance Fee Contracts” below.

A Continuing Care Provider must also file an annual audit and report with DSS within four months after the end of such Continuing Care Provider’s fiscal year. In addition, a Continuing Care Provider must file, on an annual basis, a report disclosing operational data, margin ratios, liquidity indicators and capital

structure indicators. Continuing Care Providers offering “Type A” continuing care contracts, such as Front Porch, must also file an actuary’s opinion with respect to the Continuing Care Provider’s financial condition. Any forms, including the form of any exhibit, attachment or addendum referred to or incorporated by reference in a continuing care contract, must be filed with and approved by DSS prior to its implementation.

A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the Continuing Care Provider has done any of the following: (i) violated the statutes, or the rules and regulations governing continuing care (the “Continuing Care Law”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificates of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificates of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a Continuing Care Provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

There is no guarantee that Front Porch’s Certificates of Authority and licenses to operate the applicable Communities will not be suspended, conditioned or revoked. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of Front Porch to operate the Communities as now operated. To date, Front Porch’s existing Certificates of Authority have never been suspended, conditioned or revoked.

In addition to suspending, limiting or revoking a Certificate of Authority, if a Continuing Care Provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS’s approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the Continuing Care Provider is located. If at any time DSS determines that further efforts to rehabilitate the Continuing Care Provider would not be in the best interest of the residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for

dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS is required to revoke the Continuing Care Provider's Certificate of Authority.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership (including the granting of any interest in the community, such as a mortgage or deed of trust) of a continuing care retirement community without the approval of DSS. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a license to operate as a continuing care retirement community, a provider must also record a Notice of Statutory Limitation on Transfer with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the continuing care retirement community property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the transfer or sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents and depositors. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and Certificate of Authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. Front Porch has recorded the foregoing statutory limitation on transfer with respect to the Communities listed in the following paragraph.

The Communities that hold an active Certificate of Authority consist of Carlsbad By The Sea, Friends House, San Francisco Towers, St. Paul's Towers, Spring Lake Village, Sunny View Retirement Community, Villa Gardens, Vista Del Monte, Walnut Village and Webster House. See "COMMUNITIES" in APPENDIX A.

From time to time, Front Porch may receive notices from federal and state regulatory agencies relating to alleged deficiencies for failure to comply with any components of licensing or other applicable regulations. There can be no assurance that Front Porch will not be subject to sanctions and penalties in the future as a result of such actions.

For information regarding risk of suspension or revocation of any of Front Porch's licenses, see "BONDHOLDERS' RISKS—Regulatory Matters" and "—State Regulation of the Senior Care and Housing Sector."

General Risks of the Communities

There are many diverse factors not within Front Porch's control that have a substantial bearing on the risks generally incident to the operation of its Communities. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Communities, community acceptance of the Communities, changes in demand for the Communities, changes in the number and type of competing communities and facilities, changes in the costs of operation of the Communities, changes in the laws of the State affecting assisted living programs, the limited income of the elderly, changes in the assisted living and health care industries, difficulties in or restrictions on Front Porch's ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of retirement communities and facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance the Communities will not experience one or more of the adverse factors that

caused other communities to fail. Many other factors may adversely affect the operation of communities like the Communities and cannot be determined at this time.

Nature of the Income of the Elderly

A large percentage of the monthly income of the residents of the Communities is fixed income derived from pensions, investments and Social Security. In addition, some future residents will be liquidating assets in order to pay the monthly and other fees. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, some residents may have difficulty paying or may be unable to pay such increased fees. Front Porch's inability to collect from residents the full amount of their payment obligations may jeopardize the ability of the Obligated Group to pay amounts due under the Loan Agreement.

Completion of the Construction Projects

There can be no assurances given that Front Porch's ongoing construction projects will be completed, or that such construction projects can be completed for the cost and within the time projected by Front Porch. Although the construction projects relate to a minority of the Communities, it is possible that failure to complete the construction projects, or to complete them in a timely fashion at the estimated cost, or the failure to enroll residents at the affected communities once the construction projects are completed, could adversely affect the ability of the Obligated Group to generate sufficient revenues to conduct its planned operations and to make payments with respect to the Bonds.

Whether or not the construction projects will be completed on schedule depends upon a large number of factors, many of which may be beyond the control of Front Porch or the Obligated Group. These include, but are not limited to, adverse weather, strikes, delays in the delivery of or shortages of materials, delays in the issuance of required building permits, environmental restrictions or similar unknown or unforeseeable contingencies. Further, there can be no assurance that the construction projects will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete impossibility of, completion of any of the construction projects, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors.

See APPENDIX A – “INFORMATION CONCERNING FRONT PORCH COMMUNITIES AND SERVICES—COMMUNITIES—Capital Improvement Program.”

Rate Setting

Future legislation granting full or partial rate fixing authority to a State or federal agency could prevent Front Porch from increasing rates adequately to cover potential increases in its operating costs or other expenses.

Health Care Reform; Budgetary Restrictions

The Patient Protection and Affordable Care Act, commonly referred to as the “Affordable Care Act,” impacts almost all aspects of provider operations and healthcare delivery, and has changed and is changing how health care services are covered, delivered, and reimbursed. The Affordable Care Act and its implementation has been, and remains, politically controversial. Accordingly, the Affordable Care Act has continually faced legal and legislative challenges, including repeated repeal efforts, since its enactment. Additionally, on December 14, 2018, a Texas Federal District Court judge, in the case of *Texas v. Azar*, declared the Affordable Care Act unconstitutional, reasoning that an individual mandate tax penalty was

essential to and not severable from the remainder of the statute. The case was ultimately appealed to the Supreme Court, which decided in *California v. Texas* in June of 2021 that the plaintiffs in the matter lacked standing to bring their constitutionality claims. As a result, the Affordable Care Act will continue to remain law, in its entirety, likely for the foreseeable future. The Obligated Group cannot predict whether any meaningful repeal of the Affordable Care Act will occur or the scope or terms of any replacement of the Affordable Care Act. Any repeal or replacement could directly and adversely affect (1) the health insurance coverage and costs provided by Front Porch to its employees, which costs are a substantial portion of the salary and benefits offered by the Obligated Group, (2) the costs to residents of certain services provided by Front Porch and the sources of funds available for residents to pay such costs, or (3) the willingness of prospective residents to consider the Communities as a retirement option.

Previously, attempts to substantially modify the Affordable Care Act have taken the form of legislation or executive orders, which if passed or adopted, may have sweeping impact and possibly significant intended and unintended consequences on health care providers, including the Obligated Group. Such legislation or executive orders could adversely impact the Obligated Group's results of operations, including reductions in reimbursements under the Medi-Cal program, reduced private insurance reimbursements or coverage, migration of patients from private insurance programs to a government-sponsored insurance program, increased compliance costs for Medicare and any government-sponsored insurance programs and other increased operating costs for the Members of the Obligated Group, as employers in their communities.

In addition, new federal and state legislative proposals are likely to be considered in the future to regulate or alter the methods of financing and delivery of health care services, to further reduce payments and change payment methodology under the Medicare program, to enhance competition in the health care industry and health care cost containment, to curtail the installation of new health care facilities, and to mandate minimum levels of charity or free care required to be provided by tax-exempt health care providers. Any new legislation or government policies, if enacted into law, could adversely affect the revenues and operations of the Obligated Group.

As a general matter, federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to the Medicare or Medicaid programs. Additionally, federal health care reform legislation has resulted in significant reimbursement cuts, and future health care reform efforts (including current efforts to repeal and replace the Affordable Care Act) may result in additional cuts. The reduction of Medicare or Medicaid spending may have a material adverse effect upon facilities that accept Medicare and Medicaid payments such as the facilities of the Obligated Group.

Also, through legislation, the federal government has created a debt "ceiling" or limit on the amount of debt that may be issued by the United States Treasury. In past years, political disputes have arisen within the federal government related to debt ceiling increase authorization. Any failure by the Congress to increase the federal debt ceiling may impact the federal government's ability to incur additional debt, pay its existing debt, or to satisfy its obligations relating to the Medicare and Medicaid programs. It is not possible to determine what impact any failure to increase the federal debt ceiling could have on the operations and financial condition of Front Porch and its Communities, although such impact could potentially be material.

Claims and Insurance Coverage

Past increases in costs of insurance coverage for retirement communities and health care facilities have been attributed to a number of factors, including, most notably, an epidemic increase in litigation against retirement communities and health care facilities. In many instances, plaintiffs in elder abuse actions

have access to various enhanced remedies, such as attorneys' fees, post-death pain and suffering, and punitive damages in certain circumstances. As a result, simple negligence cases are increasingly re-characterized as abuse cases. Congressional reports on abuse and increased enforcement activities by State regulatory agencies have also contributed to this phenomenon. Liability insurance does not provide coverage for judgments for punitive damages where prohibited by law, or for the payment of claims of intentional acts. See "ADDITIONAL INFORMATION—Insurance" in APPENDIX A for a discussion of Front Porch's insurance coverage.

Litigation may also arise from the corporate and business activities of the Members of the Obligated Group including from their status as employers. Many of these risks would be covered by insurance, but some might not be. For example, certain antitrust claims, claims arising from alleged violations of the California Labor Code and applicable regulations, claims arising from physical harm or assault, including sexual molestation, business disputes and workers' compensation claims may not be covered by insurance or other sources and may, in whole or in part, be a liability of the Obligated Group if determined or settled adversely.

Seismic Risk

According to the Seismic Safety Commission of the State of California, the State is mapped into seismic hazard zones 3 and 4. Seismic hazard zones account for geographic variation in the expected levels of earthquake ground shaking and are based on the historical records of earthquakes and the location of known earthquake faults. Several earthquake faults run through California, including in the location of some of the Communities. Local building codes take into account the likelihood of ground shaking and are intended to provide safety to the building occupants. See "ADDITIONAL INFORMATION—Insurance" in APPENDIX A for a discussion of Front Porch's insurance coverage. The Corporation's Communities located in California carry limited insurance coverage for damages caused by earthquakes; however, Covia Communities' locations are excluded from insurance coverage for earth movement.

There can be no assurance that the occurrence of a significant seismic event in any area in which Front Porch operates would not have a material adverse effect on the Communities, the operations of Front Porch or the ability of the Obligated Group to make the Loan Repayments.

Cybersecurity Risks

The Members of the Obligated Group rely on their information systems to provide security for processing, transmission and storage of confidential resident and other information, including information relating to health protected by the Health Insurance Portability and Accountability Act of 1996 ("HIPAA"). Although the Members have taken steps to protect the security of their information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of personally identifiable information, as in the event of cyber-attacks. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. If personal or otherwise protected information of residents or others is improperly accessed, tampered with or distributed, the Members may incur significant costs to remediate possible injury to the affected residents or other persons, and the Members may be subject to sanctions and civil penalties if found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health information. Any failure to maintain proper functionality and security of information systems could interrupt the any Member's operations, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations.

The Health Information Technology for Economic and Clinical Health Act (“HITECH”) (i) granted enforcement authority of HIPAA to state attorneys general, (ii) extended the reach of HIPAA beyond “covered entities,” (iii) imposed a breach notification requirement on HIPAA covered entities, (iv) limited certain uses and disclosures of HIPAA protected health information, and (v) restricted covered entities’ permissible marketing communications. The breach notification obligation, in particular, may expose covered entities to heightened liability. Under HITECH, in the event of a privacy breach, covered entities are required to notify affected individuals and the federal government. If more than 500 individuals are affected by the breach, (1) the covered entity must also notify the media and (2) the federal government posts a description of the breach on its website and investigates the incident through the HHS Office for Civil Rights (“OCR”), the administrative office that is tasked with enforcing HIPAA. The OCR may also investigate breaches involving fewer than 500 affected individuals.

Recent settlements of HIPAA breaches have reached the millions of dollars. Any breach of HIPAA, regardless of intent or scope, may result in penalties or settlement amounts that are material to a covered health care provider or health plan. In addition to the costs associated with any such penalties and settlements, covered entities may incur significant costs associated with investigating and handling potential privacy and security breaches.

In addition to HIPAA and HITECH, a number of other laws address the confidentiality of individual health information. These other laws may impose more stringent privacy requirements than HIPAA does. For instance, federal laws place additional confidentiality requirements on records pertaining to alcohol and substance abuse treatment at certain facilities. California and other states have adopted laws that afford greater protection to certain types of particularly sensitive health information, such as behavioral health records. California and many other states have also adopted broad data breach notification laws that extend to compromised medical and health insurance information. Together, all of these laws and regulations add compliance costs and create potentially unanticipated sources of legal liability for the Members.

Existing or future State consumer protection and privacy laws may also provide the basis for legal action for privacy and security breaches and frequently, unlike HIPAA, authorize a private right of action. In particular, the public nature of security incidents exposes health organizations to increased risk of individual or class action lawsuits from patients or other affected persons, in addition to government enforcement and negative media attention. Failure to comply with restrictions on patient privacy or to maintain robust information security safeguards, including taking steps to ensure that contractors who have access to sensitive patient information maintain the confidentiality of such information, could consequently damage a Member’s reputation and materially adversely affect business operations.

Fires

Wildfires in California have become increasingly common and destructive. According to the California Department of Forestry and Fire Protection and the U.S. Forest Service, in 2020, there were approximately 9,917 wildfires that destroyed approximately 4.26 million acres, and in 2019, there were approximately 7,860 wildfires that destroyed approximately 259,823 acres. Some of the Members’ facilities are located in proximity to areas susceptible to wildfires.

In the past three years, Spring Lake Village, Friends House and Jennings Court (an Affordable Housing Community), each located in Santa Rosa, California, have had to be evacuated due to the threat of wildfires. Spring Lake Village was evacuated twice in that time period. While none of the facilities experienced significant damage, over 500 residents had to be relocated to safety sites, other Communities and other similar organizations. The evacuations resulted in total claims of over \$1,775,000. In addition to the facilities located in Santa Rosa, the Communities located in Los Gatos and Pacific Grove, California

are also considered to be in high danger zones. Sunny View Retirement Community, located in Cupertino, California, and Vista Del Monte, located in Santa Barbara, California, are in locations that are considered to be “ember exposed” and could be subject to wildfire. Front Porch has taken measures and implemented protocols in case of another evacuation. Although Front Porch’s facilities are covered by insurance, a future significant wildfire affecting one or more of those facilities could result in material damage and temporary or permanent cessation of operations at such facilities, resulting in a material adverse effect on the Members’ financial position or results of operations. For more information about Front Porch’s insurance coverage in respect of wildfires, see APPENDIX A – “INFORMATION CONCERNING FRONT PORCH COMMUNITIES AND SERVICES—ADDITIONAL INFORMATION—Insurance.”

Drought and Other Climatological Occurrences

California has regularly experienced drought conditions in recent years and has had other historical droughts. Recently, Governor Newsom declared a State of Emergency related to drought and near-drought conditions in various areas of the state. Emergency declarations provide the state with regulatory flexibility to mitigate drought impacts. Any resumption of widespread drought conditions could have significant negative impact on the economy of the State, which could have an adverse effect on the revenues and operations of the Members or either of them.

In May 2009, the California Climate Change Center released a final paper, titled “The Impacts of Sea-Level Rise on the California Coast,” which posited that increases in sea level will be a significant consequence of climate change in the 21st century. A substantial sea-level rise would increase the likelihood and intensity of floods in areas that are already at risk of flooding, as well as increase the overall area at risk of flooding. Sea-level rise would also likely accelerate shoreline recession in areas where the coast erodes easily, which may include the complete erosion of barrier dunes currently protecting certain areas from floods. Certain of Communities are on or near the California coast, and may be subject to damage or disruption as a result of flooding. Climate-related occurrences, including flooding and erosion resulting from sea-level rise, may have an adverse effect on the revenues and operations of the Members.

Competition

The Communities are located in areas where other continuing care retirement communities and other competitive facilities, including acute-care hospitals and other facilities with substantial capacity that accept a wider range of acuity, exist, and may in the future be developed. The Communities may also face additional competition in the future as a result of changing demographic conditions and the construction of new, or the renovation or expansion of existing continuing care communities in the geographic areas served by the Communities. Front Porch presently faces and will continue to face competition from other forms of retirement living, including condominiums, apartment buildings and communities or facilities not specifically designed for the elderly, some of which may be designed to offer similar facilities but not necessarily similar services, at lower prices. In addition, there are few entry barriers to future competitors because competing communities and facilities generally do not require a certificate of need approval for independent living communities, although continuing care communities would be required to obtain a Certificate of Authority from DSS. All of these factors combine to make the elderly housing industry volatile and subject to material change that cannot be currently predicted. See “OPERATIONS—Competition” in APPENDIX A.

Personnel and Nursing Shortage

The health care industry has at times experienced a shortage of qualified health care personnel, such as physician specialists and sub-specialists, nursing personnel, respiratory therapists, pharmacists and other trained health care technicians. A significant factor underlying this trend includes a decrease in the

number of persons entering such professions. This is expected to intensify in the future. Competition for employees, coupled with increased recruiting and retention costs will increase operating costs, possibly significantly, and growth may therefore be constrained.

Front Porch competes with other health care providers and with non-health care providers for both professional and nonprofessional employees. While the Corporation believes that Front Porch will be able to retain the services of an adequate number of qualified personnel (including nursing personnel) to staff Front Porch appropriately and maintain its standard of quality care, there can be no assurance that continued shortages will not in the future affect Front Porch's ability to attract and maintain an adequate staff of qualified health care personnel. A lack of qualified personnel could result in significant increases in labor costs or otherwise adversely affect Front Porch's operating results.

California Budgets

California has faced in the past severe financial challenges, including erosion of general fund tax revenues, falling real estate values, slow economic growth and high unemployment. Shortfalls between revenues and spending have in the past and may in the future result in cutbacks to State and local government health care programs. Nonetheless, California's economy has rebounded to steady growth, although slower than previous economic recoveries, with rising employment and recovery in the housing market.

In addition to the uncertain impact of the COVID-19 pandemic, which could have negative effects on state revenues or require the State to use cash reserves and other funds, it is impossible to predict the impact of future financial challenges to the California economy, including threat of future recessions, changes in federal spending policy and other events that could result in budget deficits. It is also impossible to predict what the State's budget will be in future years or the actions that the Governor, the State legislature or voters—via ballot initiative—may take in the future. It is reasonable to expect, however, that cost containment measures, including aggressive management of the State's health care spending, will be pursued to keep the State's budget in balance, which may have an adverse effect on the financial condition of the Members.

Despite current budget predictions, the financial challenges that California had faced in the past may return in the future. It is possible that such financial challenges could adversely affect the State's credit rating and, therefore, the credit rating on the Bonds.

Legislation Affecting Repayable Entrance Fee Contracts

On July 25, 2016, Governor Brown signed a bill which aimed to protect continuing care residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the reletting of continuing care units (the "Monning Bill"). The Monning Bill provides that any unpaid entrance fee repayments shall accrue interest at the following rates: 4% simple interest on entrance fee repayments unpaid after 180 days after termination of the contract, 6% simple interest on repayments unpaid after 240 days after contract termination, and annually compounded interest of 6% on repayments unpaid after one year and 240 days after contract termination. It also requires Continuing Care Providers to disclose the average and longest length of time for entrance fee repayment. The requirements of the Monning Bill amendments are effective for repayable contracts entered into on or after January 1, 2017. Such legislation could adversely affect a Member if it is unable to relet units previously occupied by repayable contract holders within the prescribed times. In such event, the Member would need to make the prescribed interest payments to the former residents or their estates. If the Member were unable to pass on the cost of any interest payments or foregone interest income in the form of increased

monthly fees, the Member's cost of operations would increase, reducing the Member's net earnings and liquidity.

Energy Costs

Deregulation of the electrical and natural gas industry in California, together with changes in the supply and sale patterns of electricity and natural gas, has resulted in increased costs of energy to businesses located in California and possible disruption in supply. Significant increases in the cost of energy could materially adversely affect the financial condition of the Members.

Environmental Laws and Regulations

There are potential risks relating to liabilities for environmental hazards with respect to the ownership or long-term leasing of any real property. If hazardous substances are found to be located on property, owners of such property may be held liable for costs and other liabilities related to the removal of such substances, which costs and liabilities could exceed the value of a facility.

At the present time, management of Front Porch is not aware of any pending or threatened claim, investigation or enforcement action regarding such environmental issues which, if determined adversely to the Members, would have material adverse consequences. In the event such enforcement actions were initiated, the Members could be liable for the costs of removing or otherwise treating pollutants or contaminants located at Front Porch's Communities. In addition, under certain environmental statutes, in the event an enforcement action was initiated, a lien could attach to one or more of the Communities, which would adversely affect the Members' ability to generate revenues from the operation of the Communities sufficient to meet the debt service requirements with respect to the Bonds and their obligations under the Bond Obligation.

State Medicaid Program

California's Medicaid program (known as "Medi-Cal"), and other state health care programs are an important payor source for the Members, and may become a proportionately larger source of revenue as federal health care reform is implemented, expanding Medicaid coverage to significant numbers of uninsured Americans. These programs often pay providers at levels that may be below the actual cost of the care provided. As Medi-Cal and other state health care programs are partially funded by the states, the financial condition of the states in which the Communities are located may result in lower funding levels and/or payment delays in the future. These could have a material adverse impact on health care providers.

Government revenue sources, such as Medicaid, are subject to change due to legislative changes, statutory and regulatory interpretations, determinations by fiscal intermediaries and carriers, and government funding restrictions, all of which may materially increase or decrease the rate of government payments to nursing facilities. The actions states could take with regard to reducing Medicaid expenditures to accommodate any budgetary shortfalls include a change in the method of payment to nursing home facilities, changing eligibility requirements for Medicaid recipients and delaying actual payments due to health care providers. There is no assurance that government payments under the Medicaid program will in the future remain at levels comparable to the present levels or be sufficient at the present, or in the future, to cover all the operating and fixed costs allocable to Medicaid patients. In view of government budgetary pressures, the trend has been to reduce the levels of Medicaid reimbursement to nursing home facilities.

Fiscal considerations of state governments in establishing their budgets will directly affect the funds available to the providers for payment of services rendered to Medicaid beneficiaries. Delays in appropriations and state budget deficits which may occur from time to time create a risk that payment for

services to Medicaid patients will be withheld or delayed. CMS regulations can also impact services and facilities that are eligible for reimbursement. The impact of future reductions in government funding on revenues to be derived by the Members is uncertain for the additional reason that the allocation of Medicaid funds, of which nursing home facilities are only a part, is determined at the state level. It can be expected that some reduction in revenue to the Members would occur if Medicaid funding were reduced.

Taxation of Interest on the Series 2021A Bonds

Because the exclusion for federal income tax purposes of the interest on the Series 2021A Bonds from the gross income of the owners thereof depends upon events occurring after the date of execution and delivery of the Series 2021A Bonds, the opinion of Bond Counsel described under “TAX MATTERS” herein assumes the compliance by each Member of the Obligated Group with the provisions of the Code and the regulations relating thereto. No opinion is expressed by Bond Counsel with respect to the exclusion from gross income of the interest on the Series 2021A Bonds in the event of noncompliance with such provisions. The failure of the Members of the Obligated Group to comply with the provisions of the Code and the regulations thereunder may cause the interest on the Series 2021A Bonds to become includable in the gross income of the owners thereof as of the date of execution and delivery of the Series 2021A Bonds.

The Members of the Obligated Group have not sought to obtain a private letter ruling from the Internal Revenue Service (the “IRS”) with respect to the Series 2021A Bonds, and the opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination of the Series 2021A Bonds will not adversely affect the market value of the Series 2021A Bonds. See “TAX MATTERS.”

Possible Future Federal Tax Legislation

It is possible that future tax legislation could require that the interest on the Series 2021A Bonds be included in the gross income of the owners for federal income tax purposes, and the value or marketability of the Series 2021A Bonds could be adversely affected by any such legislation. See “TAX MATTERS.”

Tax-Exempt Status of the Obligated Group Members

The IRS has determined that each of the Corporation and Covia Communities is a tax-exempt organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”), and exempt from taxation under Section 501(a) of the Code. As a tax-exempt, charitable organization, each of the Corporation and Covia Communities and their operations are subject to various requirements specified by the Code and the regulations promulgated thereunder. Compliance with those requirements is necessary to maintain the tax-exempt status of the Members of the Obligated Group. If a Member of the Obligated Group should fail to meet any of the requirements specified by the Code and regulations thereunder as necessary to maintain its tax-exempt status, action could be initiated by federal or state tax authorities to attempt to subject such Member of the Obligated Group, its property, and its revenues to taxation. If successful, such action could cause interest on the Series 2021A Bonds to be taxable to the owners thereof. Under the Code as amended to the date of this Official Statement, the failure of the Members of the Obligated Group to maintain their tax-exempt status could constitute a default under the Loan Agreement. The Corporation has covenanted in the Loan Agreement that it will not take or omit to take any action, if such act or omission would cause the interest on the Series 2021A Bonds to be includable in the gross income of any owner for federal income tax purposes. Loss of tax-exempt status by the Members of the Obligated Group could result in loss of tax-exemption of the Series 2021A Bonds and any other tax-exempt debt issued for the Members of the Obligated Group, and defaults in covenants regarding the Series 2021A Bonds would likely be triggered. Such an event would have material adverse consequences on the financial condition of the Members of the Obligated Group.

The maintenance by the Members of the Obligated Group of tax-exempt status depends, in part, upon the maintenance of their status as organizations described in Section 501(c)(3) of the Code. The maintenance of such status is contingent upon compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation primarily for charitable purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals, such as the private benefit and inurement rules. The IRS has announced that it intends to closely scrutinize transactions between nonprofit corporations and for-profit entities, including transactions relating to the Anti-Kickback Law, and has issued revised audit guidelines for tax-exempt health care entities. Although specific activities of health care entities have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities have not been addressed in any official opinion, interpretation or policy of the IRS. Because the Members of the Obligated Group conduct operations involving private parties, there can be no assurance that certain of the Members' transactions would not be challenged by the IRS.

With increasing frequency, the IRS has imposed substantial monetary penalties and public benefit obligations on tax-exempt organizations in lieu of revoking tax-exempt status, as well as requiring that certain transactions be altered, terminated or avoided in the future and/or requiring governance or management changes. These penalties and obligations typically are imposed on the tax-exempt organization pursuant to a "closing agreement," a contractual agreement pursuant to which a taxpayer and the IRS agree to settle a disputed matter. Given the exemption risks involved in certain transactions, the Members may be at risk for incurring monetary and other liabilities imposed by the IRS. These liabilities could be materially adverse.

On July 31, 1996, the Federal Taxpayers Bill of Rights 2 (the "Taxpayers Act") was signed into law. The Taxpayers Act provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Previous to this "intermediate sanctions" law, the IRS could punish such violations only through revocation of an organization's tax-exempt status. Intermediate sanctions may now be imposed where there is an "excess benefit transaction," generally defined to involve a disqualified person (i.e., an insider) engaging in an economic transaction with a tax-exempt organization at other than fair market value. However, these sanctions do not replace the other remedies available to the IRS described above.

A disqualified person who benefits from an excess benefit transaction will be required to restore the excess benefit to the exempt organization and will be subject to a "first tier" penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers (e.g., directors) who participate in an excess benefit transaction knowing it to be improper are subject to a "first-tier" penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$10,000. A "second tier" penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

The Members of the Obligated Group may be audited by the IRS. Because of the complexity of the tax laws and the presence of issues about which reasonable persons can differ, an IRS audit could result in additional taxes, interest and penalties. An IRS audit ultimately could affect the tax exempt status of one or more of the Members of the Obligated Group, as well as the exclusion from gross income for federal income tax purposes of the interest on the Series 2021A Bonds and any other tax-exempt debt issued for the Members of the Obligated Group.

Property Taxes; State and Local Tax Exemption

Local property tax assessors take differing positions as to whether or not communities such as those owned by the Members are exempt from property taxation. Other than El Sombroso Oaks, the Communities

located in California currently qualify for the “welfare exemption” from California property taxes, though Front Porch pays certain fees and assessments to local taxing authorities relating to the Communities. Although exempt, Los Gatos Meadows makes some payments in lieu of taxes. A failure to obtain or continue exemptions or to follow annual procedures in any year could subject the Obligated Group to tax in that year. In addition, budgetary pressures on local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

It is possible that legislation may be proposed to strengthen the role of the California Franchise Tax Board and the Attorney General in supervising nonprofit health care providers. It is likely that the loss by the Members of the Obligated Group of federal tax exemption also would trigger a challenge to the state tax exemption of the Members of the Obligated Group. Depending on the circumstances, such event could be adverse and material.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. The Members of the Obligated Group expect the majority of their real and personal property to be exempt from property taxes. Investigations or audits could lead to challenges of the property tax exemption with respect to Communities that, if successful, could adversely and materially affect the property tax exemption with respect to certain of the Communities or property of the Members of the Obligated Group.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of not-for-profit corporations. There can be no assurance that future changes in the laws and regulations of federal, state or local governments will not materially or adversely affect the operations and financial condition of the Obligated Group by requiring it to pay income or local property taxes.

Unrelated Business Taxation

Changes in tax laws regarding not-for-profit organizations could adversely affect certain of the Members’ revenues. Recently Congress and the IRS have focused more closely on issues of tax-exemption, such as the scope of activities constituting unrelated business taxable income (“UBTI”). The effect on the Members, however, is likely to be de minimis. The IRS and state, county and local taxing authorities may undertake audits and reviews of the operations of tax-exempt organizations with respect to the generation of UBTI. An investigation or audit could lead to a challenge that could result in taxes, interest and penalties with respect to UBTI and, in some cases, ultimately could affect the tax-exempt status of the Members, as well as the exclusion from gross income for federal income tax purposes of the interest payable on the Series 2021A Bonds and other tax-exempt debt issued for the Members of the Obligated Group.

Other Tax Status Issues

Certain activities of the Members relating to senior living communities operated by the Members qualify as “charitable” within the meaning of Section 501(c)(3) of the Code by virtue of their adherence to the requirements of relevant IRS Revenue Rulings specifically concerning the provision of residential services to the elderly. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes

such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization must operate so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, provided that those rental charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons. Although the IRS has addressed various other activities of senior living providers in non-binding private letter rulings, many such activities have not been addressed in any binding opinion, interpretation or policy issued by the IRS.

Lack of Marketability for the Bonds

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

Amendments to Documents

Certain amendments to the documents may be made without the consent of the owners of the Bonds and other amendments may be made with the consent of the owners of a majority in an aggregate principal amount of all outstanding Bonds. Such amendments could affect the security for the Bonds. Certain amendments may be made without the consent of the owners of the Bonds if the amendment does not materially adversely affect the interest of the owners of the Bonds. See APPENDIX C and APPENDIX G.

Other Considerations

Reduced Demand. The reduced need for assisted living services arising from future scientific advances, preventive medicine, home healthcare services, alternative delivery systems, changes in demographics, or a decline in the population or the economic condition of the service area of the Communities may adversely affect the revenues of the Members.

Changes in Tax Policy. Taxing authorities in certain jurisdictions have sought to impose or increase taxes related to the property and operations of nonprofit organizations, including nursing homes and retirement centers, particularly where such authorities are dissatisfied with the amount of service provided to indigents. Front Porch believes its planned services to indigents will be adequate, but it is possible that future administrative or judicial proceedings will have the effect of requiring the Members to increase their services to indigent residents to retain the tax-exempt status of the Members, which would have an adverse effect on the revenues of the Members.

Cost Increases. Cost increases without corresponding increases in revenues would result from, among other factors, increases in insurance premiums, increases in the salaries, wages and fringe benefits of employees, increases in costs associated with advances in medical technology or with inflation and future legislation which would prevent or limit the ability of the Members to increase revenues from operating the Communities or providing services. In addition, it is possible that the State of California will pass legislation requiring certain tax-exempt organizations, such as the Members of the Obligated Group, to pay certain fees for municipal services, which may in turn increase the Members' operating costs. At present, many charitable organizations are not required to pay fees for municipal services in respect of such real property unless the fees represent user fees of general application. Furthermore, the Code places certain limitations on the ability to finance certain projects, invest bond proceeds and advance refund prior tax-exempt bond

issues. These limitations may increase the interest costs for future borrowings by the Members of the Obligated Group.

Governmental Approvals. The possible inability to obtain future governmental approvals to undertake projects necessary to remain competitive both as to rates and charges as well as quality and scope of care could adversely affect the operations of the Members.

Natural Disasters. The occurrence of natural disasters, including earthquakes, fires, floods, hurricanes and tornadoes, may damage the Communities or interrupt utility service to the Communities, otherwise impair the operations of the Communities, or the generation of revenues from the Communities. Front Porch may not be able to obtain insurance against all such hazards at commercially reasonable rates. See also “Fires” and “Drought and Other Climatological Occurrences” above.

Adverse Relations. Adverse community relations or publicity involving the Communities could affect the demand for the services provided by the Communities, or the generation of revenues from the Communities.

Other Legislation. Assisted living and certain retirement communities, such as the Communities, are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations that address, among other things, operations of communities and properties owned or operated by nursing facilities. Among the types of regulatory requirements faced by assisted living communities are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos; requirements related to polychlorinated biphenyls and radioactive substances; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at the nursing facility or hospital; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. The Members may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations of assisted living communities include, to some extent, and in various combinations, the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, radioactive, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, operations of assisted living communities are susceptible to the practical, financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines; or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Members will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the Members.

Other Factors. The occurrence of any of the following events, or other unanticipated events, could affect adversely the operations of the Members:

- (a) shortages of personnel rendering services at assisted living communities and nursing facilities or shortages in nursing staff;
- (b) mandated staffing level increases or mandated additional services within one or more of Front Porch’s license categories;
- (c) reinstatement or establishment of mandatory wage or price controls;
- (d) increases in the cost or limitations on the availability of insurance;

- (e) expansion of programs paying or increasing payments for in-home care;
- (f) employee strikes, other adverse labor actions or disputes with members of the professional staff;
- (g) a decline in the population, a change in the age composition of the population or a decline in the economic conditions of the market area;
- (h) increases in the cost, or decreases in the reliability, of public utilities, including electricity, natural gas, water and sewer services; or
- (i) material and supply shortages (from food to construction materials).

RATINGS

S&P Global Ratings, a division of Standard & Poor's Financial Services, LLC ("S&P") has assigned a rating of "A-" (stable outlook) to the Bonds and Fitch Ratings, Inc. ("Fitch") has assigned a rating of "A" (stable outlook) to the Bonds. The ratings and an explanation of their significance may be obtained from the rating agencies furnishing such ratings. Such ratings reflect only the views of the rating agencies.

The Corporation has furnished S&P and Fitch with certain information and materials relating to the Bonds, Front Porch and the Members that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. None of the Authority, the Underwriter or the Corporation has undertaken any responsibility to bring to the attention of the holders of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such change in or withdrawal of such rating could have an adverse effect on the market price and marketability of the Bonds.

INDEPENDENT AUDITORS

The consolidated financial statements of the Corporation and certain of its affiliates as of and for the years ended March 31, 2021 and 2020 and accompanying supplementary information as of and for the year ended March 31, 2021 included as APPENDIX B-1 in this Official Statement have been audited by BKD LLP, independent auditors, as stated in their report appearing herein.

The consolidated financial statements of Covia Group and its Controlled Affiliates as of and for the years ended March 31, 2021 and 2020 and accompanying supplementary information as of and for the years ended March 31, 2021 and 2020 included in APPENDIX B-2 in this Official Statement have been audited by Moss Adams LLP, independent auditors, as stated in their reports appearing herein. Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its most recent report included in APPENDIX B-2, any procedures on the consolidated financial statements addressed in that report.

LITIGATION

Authority

To the knowledge of the Authority, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental agency, public board or body, pending against the Authority seeking to restrain or enjoin the sale or issuance of the Bonds, or in any way contesting or affecting any proceedings of the Authority taken concerning the sale thereof, the pledge or application of any moneys or security provided for the payment of the Bonds, the validity or enforceability of the documents executed by the Authority in connection with the Bonds, the completeness or accuracy of the Official Statement or the existence or powers of the Authority relating to the sale of the Bonds.

The Obligated Group

The Corporation has been advised that, no litigation, proceedings or investigations are pending or, to its knowledge, are threatened which in any manner questions the right of Front Porch or any Member to secure the Bonds in accordance with the provisions of the Bond Indenture, the Loan Agreement or the Master Indenture. There is no litigation, proceeding or investigation pending or, to the Corporation's knowledge, threatened against Front Porch, except litigation, proceedings or investigations in which the probable ultimate recoveries and the estimated costs and expenses of defense, in the opinion of its counsel either will be entirely within the applicable insurance policy limits of the Front Porch (subject to applicable deductibles) or will not have a materially adverse effect on the operations or condition, financial or otherwise, of Front Porch, taken as a whole. See "ADDITIONAL INFORMATION—Litigation" in APPENDIX A.

LEGAL MATTERS

The Bonds are being offered when, as and if issued and received by the Underwriter, subject to prior sale, withdrawal or modification of the offer without notice. The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority. A complete copy of the proposed form of Bond Counsel opinion is contained in APPENDIX D hereto. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the Obligated Group by its Chief Legal Officer and by its special counsel, Arnold & Porter Kaye Scholer LLP, San Francisco, California, and for the Underwriter by its counsel, Norton Rose Fulbright US LLP, Los Angeles, California.

TAX MATTERS

Series 2021A Bonds

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority ("Bond Counsel"), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2021A Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX D hereto.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Series 2021A Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Series 2021A Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Series 2021A Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Series 2021A Bonds is the first price at which a substantial amount of such maturity of the Series 2021A Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Series 2021A Bonds accrues daily over the term to maturity of such Series 2021A Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Series 2021A Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Series 2021A Bonds. Beneficial Owners of the Series 2021A Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Series 2021A Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Series 2021A Bonds in the original offering to the public at the first price at which a substantial amount of such Series 2021A Bonds is sold to the public.

Series 2021A Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Series 2021A Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Series 2021A Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Series 2021A Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Series 2021A Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Series 2021A Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Series 2021A Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Series 2021A Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Series 2021A Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Series 2021A Bonds may adversely affect the value of, or the tax status of interest on, the Series 2021A Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Arnold & Porter Kaye Scholer LLP, special counsel to the Corporation (“Corporation Counsel”) regarding the current qualification of each of the Corporation and Covia Communities as an organization described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon the representations of the Corporation concerning the “unrelated trade or business” activities as defined in Section 513(a) of the Code of the Corporation and Covia Communities. Neither Bond Counsel nor Corporation Counsel has given any opinion or assurance concerning Section 513(a) of the Code and neither Bond Counsel nor Corporation Counsel can give or has given any

opinion or assurance about the future activities of the Corporation or Covia Communities, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the Internal Revenue Service. Failure of any of the Corporation or Covia Communities to be organized and operated in accordance with the IRS's requirements for the maintenance of their status as organizations described in Section 501(c)(3) of the Code, or to operate the facilities financed and refinanced by the Series 2021A Bonds in a manner that is substantially related to the Corporation's or Covia Communities' charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Series 2021A Bonds being included in federal gross income, possibly from the date of the original issuance of the Series 2021A Bonds.

Although Bond Counsel is of the opinion that interest on the Series 2021A Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Series 2021A Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Series 2021A Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Series 2021A Bonds. Prospective purchasers of the Series 2021A Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Series 2021A Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Members of the Obligated Group, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation have covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Series 2021A Bonds ends with the issuance of the Series 2021A Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Members of the Obligated Group or the Beneficial Owners regarding the tax-exempt status of the Series 2021A Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Authority, the Corporation and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagree, may not be practicable. Any action of the IRS, including but not limited to selection of the Series 2021A Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Series 2021A Bonds, and may cause the Authority, the Members of the Obligated Group or the Beneficial Owners to incur significant expense.

Series 2021B Bonds

In the opinion of Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2021B Bonds is exempt from State of California personal income taxes. Bond Counsel observes that interest on the Series 2021B Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Series 2021B Bonds. The proposed form of opinion of Bond Counsel is contained in APPENDIX D hereto.

The following discussion summarizes certain U.S. federal income tax considerations generally applicable to U.S. Holders (as defined below) of the Series 2021B Bonds that acquire their Series 2021B Bonds in the initial offering. The discussion below is based upon laws, regulations, rulings, and decisions in effect and available on the date hereof, all of which are subject to change, possibly with retroactive effect. Prospective investors should note that no rulings have been or are expected to be sought from the IRS with respect to any of the U.S. federal income tax considerations discussed below, and no assurance can be given that the IRS will not take contrary positions. Further, the following discussion does not deal with U.S. tax consequences applicable to any given investor, nor does it address the U.S. tax considerations applicable to all categories of investors, some of which may be subject to special taxing rules (regardless of whether or not such investors constitute U.S. Holders), such as certain U.S. expatriates, banks, REITs, RICs, insurance companies, tax-exempt organizations, dealers or traders in securities or currencies, partnerships, S corporations, estates and trusts, investors that hold their Series 2021B Bonds as part of a hedge, straddle or an integrated or conversion transaction, investors whose “functional currency” is not the U.S. dollar, or certain taxpayers that are required to prepare certified financial statements or file financial statements with certain regulatory or governmental agencies. Furthermore, it does not address (i) alternative minimum tax consequences, (ii) the net investment income tax imposed under Section 1411 of the Code, or (iii) the indirect effects on persons who hold equity interests in a holder. This summary also does not consider the taxation of the Series 2021B Bonds under state, local or non-U.S. tax laws. In addition, this summary generally is limited to U.S. tax considerations applicable to investors that acquire their Series 2021B Bonds pursuant to this offering for the issue price that is applicable to such Series 2021B Bonds (*i.e.*, the price at which a substantial amount of the Series 2021B Bonds are sold to the public) and who will hold their Series 2021B Bonds as “capital assets” within the meaning of Section 1221 of the Code. The following discussion does not address tax considerations applicable to any investors in the Series 2021B Bonds other than investors that are U.S. Holders.

As used herein, “U.S. Holder” means a beneficial owner of a Series 2021B Bond that for U.S. federal income tax purposes is an individual citizen or resident of the United States, a corporation or other entity taxable as a corporation created or organized in or under the laws of the United States or any state thereof (including the District of Columbia), an estate the income of which is subject to U.S. federal income taxation regardless of its source or a trust where a court within the United States is able to exercise primary supervision over the administration of the trust and one or more United States persons (as defined in the Code) have the authority to control all substantial decisions of the trust (or a trust that has made a valid election under U.S. Treasury Regulations to be treated as a domestic trust). If a partnership holds Series 2021B Bonds, the tax treatment of such partnership or a partner in such partnership generally will depend upon the status of the partner and upon the activities of the partnership. Partnerships holding Series 2021B Bonds, and partners in such partnerships, should consult their own tax advisors regarding the tax consequences of an investment in the Series 2021B Bonds (including their status as U.S. Holders).

Prospective investors should consult their own tax advisors in determining the U.S. federal, state, local or non-U.S. tax consequences to them from the purchase, ownership and disposition of the Series 2021B Bonds in light of their particular circumstances.

U.S. Holders

Interest. Interest on the Series 2021B Bonds generally will be taxable to a U.S. Holder as ordinary interest income at the time such amounts are accrued or received, in accordance with the U.S. Holder's method of accounting for U.S. federal income tax purposes.

To the extent that the issue price of any maturity of the Series 2021B Bonds is less than the amount to be paid at maturity of such Series 2021B Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Series 2021B Bonds) by more than a de minimis amount, the difference may constitute original issue discount ("OID"). U.S. Holders of Series 2021B Bonds will be required to include OID in income for U.S. federal income tax purposes as it accrues, in accordance with a constant yield method based on a compounding of interest (which may be before the receipt of cash payments attributable to such income). Under this method, U.S. Holders generally will be required to include in income increasingly greater amounts of OID in successive accrual periods.

Series 2021B Bonds purchased for an amount in excess of the principal amount payable at maturity (or, in some cases, at their earlier call date) will be treated as issued at a premium. A U.S. Holder of a Series 2021B Bond issued at a premium may make an election, applicable to all debt securities purchased at a premium by such U.S. Holder, to amortize such premium, using a constant yield method over the term of such Series 2021B Bond.

Sale or Other Taxable Disposition of the Series 2021B Bonds. Unless a nonrecognition provision of the Code applies, the sale, exchange, redemption, retirement (including pursuant to an offer by the Authority) or other disposition of a Series 2021B Bond will be a taxable event for U.S. federal income tax purposes. In such event, in general, a U.S. Holder of a Series 2021B Bond will recognize gain or loss equal to the difference between (i) the amount of cash plus the fair market value of property received (except to the extent attributable to accrued but unpaid interest on the Series 2021B Bond, which will be taxed in the manner described above) and (ii) the U.S. Holder's adjusted U.S. federal income tax basis in the Series 2021B Bond (generally, the purchase price paid by the U.S. Holder for the Series 2021B Bond, decreased by any amortized premium, and increased by the amount of any OID previously included in income by such U.S. Holder with respect to such Series 2021B Bond). Any such gain or loss generally will be capital gain or loss. In the case of a non-corporate U.S. Holder of the Series 2021B Bonds, the maximum marginal U.S. federal income tax rate applicable to any such gain will be lower than the maximum marginal U.S. federal income tax rate applicable to ordinary income if such U.S. holder's holding period for the Series 2021B Bonds exceeds one year. The deductibility of capital losses is subject to limitations.

Defeasance of the Series 2021B Bonds. If the Authority defeases any Series 2021B Bond, the Series 2021B Bond may be deemed to be retired and "reissued" for U.S. federal income tax purposes as a result of the defeasance. In that event, in general, a holder will recognize taxable gain or loss equal to the difference between (i) the amount realized from the deemed sale, exchange or retirement (less any accrued qualified stated interest which will be taxable as such) and (ii) the holder's adjusted U.S. federal income tax basis in the Series 2021B Bond.

Information Reporting and Backup Withholding. Payments on the Series 2021B Bonds generally will be subject to U.S. information reporting and possibly to "backup withholding." Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate U.S. Holder of the Series 2021B Bonds may be subject to backup withholding at the current rate of 24% with respect to

“reportable payments,” which include interest paid on the Series 2021B Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Series 2021B Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number (“TIN”) to the payor in the manner required, (ii) the IRS notifies the payor that the TIN furnished by the payee is incorrect, (iii) there has been a “notified payee underreporting” described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against the U.S. Holder’s federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain U.S. holders (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. A holder’s failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

Foreign Account Tax Compliance Act (“FATCA”)

Sections 1471 through 1474 of the Code impose a 30% withholding tax on certain types of payments made to foreign financial institutions, unless the foreign financial institution enters into an agreement with the U.S. Treasury to, among other things, undertake to identify accounts held by certain U.S. persons or U.S.-owned entities, annually report certain information about such accounts, and withhold 30% on payments to account holders whose actions prevent it from complying with these and other reporting requirements, or unless the foreign financial institution is otherwise exempt from those requirements. In addition, FATCA imposes a 30% withholding tax on the same types of payments to a non-financial foreign entity unless the entity certifies that it does not have any substantial U.S. owners or the entity furnishes identifying information regarding each substantial U.S. owner. Under current guidance, failure to comply with the additional certification, information reporting and other specified requirements imposed under FATCA could result in the 30% withholding tax being imposed on payments of interest on the Series 2021B Bonds. In general, withholding under FATCA currently applies to payments of U.S. source interest (including OID) and, under current guidance, will apply to certain “passthru” payments no earlier than the date that is two years after publication of final U.S. Treasury Regulations defining the term “foreign passthru payments.” Prospective investors should consult their own tax advisors regarding FATCA and its effect on them.

The foregoing summary is included herein for general information only and does not discuss all aspects of U.S. federal taxation that may be relevant to a particular holder of Series 2021B Bonds in light of the holder’s particular circumstances and income tax situation. Prospective investors are urged to consult their own tax advisors as to any tax consequences to them from the purchase, ownership and disposition of Series 2021B Bonds, including the application and effect of state, local, non-U.S., and other tax laws.

CERTAIN ERISA CONSIDERATIONS

The Employee Retirement Income Security Act of 1974, as amended (“ERISA”), imposes certain restrictions on employee pension and welfare benefit plans subject to ERISA (“ERISA Plans”) regarding prohibited transactions, and also imposes certain obligations on those persons who are fiduciaries with respect to ERISA Plans. Section 4975 of the Code imposes similar prohibited transaction restrictions on certain plans, including (i) tax-qualified retirement plans described in Section 401(a) and 403(a) of the Code, which are exempt from tax under section 501(a) of the Code and which are not governmental or church plans as defined herein (“Qualified Retirement Plans”), and (ii) individual retirement accounts (“IRAs”) described in Section 408(b) of the Code (the foregoing in clauses (i) and (ii), “Tax-Favored Plans”). Certain employee benefit plans, such as governmental plans (as defined in Section 3(32) of ERISA), non-U.S. plans (as described in Section 4(b)(4) of ERISA) and, if no election has been made under Section 410(d) of the Code, church plans (as defined in Section 3(33) of ERISA), are not subject to ERISA

requirements or Section 4975 of the Code, but may be subject to requirements or prohibitions under applicable federal, state, local, non-U.S. or other laws or regulations that are, to a material extent, similar to the requirements of ERISA and Section 4975 of the Code (“Similar Law”).

In addition to the imposition of general fiduciary obligations, including those of investment prudence and diversification and the requirement that a plan’s investment be made in accordance with the documents governing the plan, ERISA Plans are subject to prohibited transaction restrictions imposed by Section 406 of ERISA. ERISA Plans and Tax-Favored Plans are also subject to prohibited transaction restrictions imposed by Section 4975 of the Code. These rules generally prohibit a broad range of transactions between (i) ERISA Plans, Tax-Favored Plans and entities whose underlying assets include plan assets by reason of ERISA Plans or Tax-Favored Plans investing in such entities (collectively, “Benefit Plans”) and (ii) persons who have certain specified relationships to the Benefit Plans (such persons are referred to as “Parties in Interest” or “Disqualified Persons”), in each case unless a statutory, regulatory or administrative exemption is available. The definitions of “Party in Interest” and “Disqualified Person” are expansive. While other entities may be encompassed by those definitions, they include most notably: (1) a fiduciary with respect to a Benefit Plan; (2) a person providing services to a Benefit Plan; (3) an employer or employee organization any of whose employees or members are covered by a Benefit Plan; and (4) an owner of an IRA. Certain Parties in Interest (or Disqualified Persons) that participate in a non-exempt prohibited transaction may be subject to a penalty (or an excise tax) imposed pursuant to Section 502(i) of ERISA (or Section 4975 of the Code) unless a statutory, regulatory or administrative exemption is available. Without an exemption, an owner of an IRA may disqualify his or her IRA.

Certain transactions involving the purchase, holding or transfer of the Series 2021B Bonds might be deemed to constitute prohibited transactions under ERISA and the Code if assets of the Corporation were deemed to be assets of a Benefit Plan. Under final regulations issued by the United States Department of Labor at 29 C.F.R. section 2510.3-101, as modified by Section 3(42) of ERISA (the “Plan Assets Regulation”), the assets of the Corporation would be treated as plan assets of a Benefit Plan for the purposes of ERISA and the Code if the Benefit Plan acquires an “equity interest” in the Corporation and none of the exceptions contained in the Plan Assets Regulation are applicable. An equity interest is defined under the Plan Assets Regulation as an interest in an entity other than an instrument that is treated as indebtedness under applicable local law and that has no substantial equity features. Although there can be no assurances in this regard, it appears that the Series 2021B Bonds should be treated as debt without substantial equity features for purposes of the Plan Assets Regulation and accordingly the assets of the Corporation should not be treated as the assets of Benefit Plans investing in the Series 2021B Bonds. The debt treatment of the Series 2021B Bonds for ERISA purposes could change subsequent to issuance of the Series 2021B Bonds. In the event of a withdrawal or downgrade to below investment grade of the rating of the Series 2021B Bonds or a characterization of the Series 2021B Bonds as other than indebtedness under applicable local law, the subsequent purchase of the Series 2021B Bonds or any interest therein by a Benefit Plan is prohibited.

However, without regard to whether the Series 2021B Bonds are treated as an equity interest for such purposes, the acquisition or holding of Series 2021B Bonds by or on behalf of a Benefit Plan could be considered to give rise to a prohibited transaction if the Corporation, the Master Trustee or the Bond Trustee, or any of their respective affiliates, is or becomes a Party in Interest or a Disqualified Person with respect to such Benefit Plan. The fiduciary of a Benefit Plan that proposes to purchase and hold any Series 2021B Bonds should consider, among other things, whether such purchase and holding may involve (i) the direct or indirect extension of credit to a Party in Interest or a Disqualified Person, (ii) the sale or exchange of any property between a Benefit Plan and a Party in Interest or a Disqualified Person, or (iii) the transfer to, or use by or for the benefit of, a Party in Interest or a Disqualified Person, of any Benefit Plan assets.

Certain status-based exemptions from the prohibited transaction rules could be applicable depending on the type and circumstances of the plan fiduciary making the decision to acquire a Series 2021B Bond. These are commonly referred to as prohibited transaction class exemptions or “PTCEs”. Included among these exemptions are:

PTCE 75-1, which exempts certain transactions between a Benefit Plan and certain brokers-dealers, reporting dealers and banks;

PTCE 96-23, which exempts transactions effected at the sole discretion of an “in-house asset manager”;

PTCE 90-1, which exempts certain investments by an insurance company pooled separate account;

PTCE 95-60, which exempts certain investments effected on behalf of an “insurance company general account”;

PTCE 91-38, which exempts certain investments by bank collective investment funds; and

PTCE 84-14, which exempts certain transactions effected at the sole discretion of a “qualified professional asset manager.”

In addition, Section 408(b)(17) of ERISA and Section 4975(d)(20) of the Code generally provide for a statutory exemption from the prohibitions of Section 406(a) of ERISA and Section 4975 of the Code, commonly referred to as the “Service Provider Exemption”. The Service Provider Exemption covers transactions involving “adequate consideration” between Benefit Plans and persons who are Parties in Interest or Disqualified Persons solely by reason of providing services to such Benefit Plans or who are persons affiliated with such service providers, provided generally that such persons are not fiduciaries with respect to “plan assets” of any Benefit Plan involved in the transaction and that certain other conditions are satisfied.

The availability of each of these PTCEs and/or the Service Provider Exemption is subject to a number of important conditions which the Benefit Plan’s fiduciary must consider in determining whether such exemptions apply. There can be no assurance that all the conditions of any such exemptions will be satisfied at the time that the Series 2021B Bonds are acquired by a purchaser, or thereafter, if the facts relied upon for utilizing a prohibited transaction exemption change, or that the scope of relief provided by these exemptions will necessarily cover all acts that might be construed as prohibited transactions. Therefore, a Benefit Plan fiduciary considering an investment in the Series 2021B Bond should consult with its counsel prior to making such purchase.

By its acceptance of a Series 2021B Bond (or an interest therein), each purchaser and transferee (and if the purchaser or transferee is a Benefit Plan, its fiduciary) will be deemed to have represented and warranted that either (i) no “plan assets” of any Benefit Plan or a plan subject to Similar Law have been used to purchase such Series 2021B Bond or (ii) the purchase and holding of such Series 2021B Bonds is exempt from the prohibited transaction restrictions of ERISA and Section 4975 of the Code pursuant to a statutory, regulatory or administrative exemption and will not violate Similar Law. A purchaser or transferee who acquires Series 2021B Bonds with assets of a Benefit Plan represents that such purchaser or transferee has considered the fiduciary requirements of ERISA, the Code or Similar Laws and has consulted with counsel with regard to the purchase or transfer.

None of the Corporation, the Master Trustee, the Bond Trustee, or the Underwriter is undertaking to provide impartial investment advice or to give advice in a fiduciary capacity in connection with the acquisition or transfer of the Series 2021B Bonds by any Benefit Plan.

The foregoing discussion is general in nature and is not intended to be all-inclusive. Due to the complexity of these rules and the penalties that may be imposed upon persons involved in non-exempt prohibited transactions, it is particularly important that any Benefit Plan fiduciary or other person considering whether to purchase Series 2021B Bonds on behalf of a Benefit Plan consult with its counsel regarding the applicability of the fiduciary responsibility and prohibited transaction provisions of ERISA and the Code to such investment and the availability of any exemption. In addition, persons responsible for considering the purchase of Series 2021B Bonds by a governmental plan, non-electing church plan or non-U.S. plan should consult with their counsel regarding the applicability of any Similar Law to such an investment.

VERIFICATION REPORT

Concurrently with the issuance of the Bonds, The Arbitrage Group, Inc., as verification agent, will deliver a report with respect to the mathematical accuracy of certain computations, contained in schedules provided to it, which were prepared by the Underwriter, relative to the sufficiency of moneys and securities deposited into the Escrow Fund established pursuant to the Covia Series 2012 Escrow Agreement to pay, when due, the principal, whether at maturity or upon prior redemption, and interest requirements of the Covia Series 2012 Bonds. The report of The Arbitrage Group, Inc. will include the statement that the scope of its engagement is limited to verifying the mathematical accuracy of the aforesaid computations and that it has no obligation to update its report because of events occurring, or data or information coming to its attention, subsequent to the date of the report.

CONTINUING DISCLOSURE

The Corporation, on behalf of the Obligated Group, will enter into a Continuing Disclosure Agreement for the Bonds (the “Continuing Disclosure Agreement”) for the benefit of the Bondholders to provide certain information annually and to provide notice of certain events to the Municipal Securities Rulemaking Board on EMMA pursuant to the requirements of the Rule 15c2-12. The information to be provided on an annual and quarterly basis, the events which will be noticed on an occurrence basis and the other terms of the Continuing Disclosure Agreement, including termination, amendment and remedies, are set forth in the form of such agreement included as APPENDIX E.

Failure by the Corporation to comply with the Continuing Disclosure Agreement will not constitute an Event of Default under the Master Indenture or the Bond Indenture, or a Loan Default Event under the Loan Agreement, and Bondholders are limited to the remedies described in the Continuing Disclosure Agreement, as set forth in APPENDIX E. Such failure must be reported in accordance with the Rule and must be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of the Bonds.

The Corporation and Covia Communities have previously entered into or assumed responsibility for certain continuing disclosure undertakings entered into pursuant to SEC Rule 15c2-12 relating to prior debt obligations. The Corporation believes it and Covia Communities have complied in all material respects with their prior continuing disclosure undertakings over the prior five year period, except that Covia Communities filed one quarterly report late by one day and did not file notice of a ratings upgrade in November 2017. The Corporation believes it has established processes designed to ensure that the Obligated Group will make its continuing disclosure filings as required.

UNDERWRITING

The Bonds are being purchased by BofA Securities, Inc. (the “Underwriter”) at an aggregate purchase price of \$326,994,762.90, which reflects the aggregate principal amount of the Bonds plus net original issue premium of \$22,773,468.85, less an underwriting discount of \$1,343,705.95. The Corporation has agreed to indemnify the Underwriter and the Authority against certain liabilities arising out of materially incorrect information contained in or material information omitted from this Official Statement. The Bond Purchase Agreement provides that the Underwriter is obligated to purchase all of the Bonds of each series, if any Bonds of such series are purchased, but such obligation is subject to certain conditions. The Bond Purchase Agreement provides that the fees of counsel for the Underwriter will be paid by the Corporation.

The Underwriter of the Bonds has entered into a distribution agreement with its affiliate Merrill Lynch, Pierce, Fenner & Smith Incorporated (“MLPF&S”). As part of this arrangement, the Underwriter may distribute securities to MLPF&S, which may in turn distribute such securities to investors through the financial advisor network of MLPF&S. As part of this arrangement, the Underwriter may compensate MLPF&S as a dealer for their selling efforts with respect to the Bonds.

The Underwriter and its affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriter and its affiliates may have certain creditor and/or other rights against the Authority and the Corporation and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriter and its affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the Authority and the Corporation (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the Authority and the Corporation. The Underwriter and its affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

FINANCIAL ADVISOR

Ponder & Co. (“Ponder”) has served as financial advisor to the Corporation for purposes of assisting with the development and implementation of a bond structure in connection with the Bonds and related financings. Ponder has not been engaged by the Corporation to compile, create, or interpret any information in this Official Statement relating to the Corporation, including without limitation any of the financial and operating data of the Corporation, whether historical or projected. Any information contained in this Official Statement concerning the Corporation has not been independently verified by Ponder and inclusion of such information is not, and should not be construed as, a representation by Ponder as to its accuracy or completeness or otherwise. Ponder is not a public accounting firm and has not been engaged by the Corporation to review or audit any information in this Official Statement in accordance with auditing standard generally accepted in the United States.

CERTAIN RELATIONSHIPS

A member of the Corporation's Board of Directors is the wife of a partner at Norton Rose Fulbright US LLP, Counsel to the Underwriter.

The Corporation intends to use a portion of the proceeds of the Bonds to refund the Refinanced Bonds. To the extent the Underwriter or an affiliate thereof is an owner of any Refinanced Bonds, the Underwriter or its affiliate, as applicable, would receive a portion of the proceeds of the issuance of the Bonds contemplated herein in connection with the refunding of such Refinanced Bonds.

MISCELLANEOUS

The summaries or descriptions of provisions of the Continuing Disclosure Agreement, the Bonds, the Loan Agreement, the Bond Indenture, the Bond Obligation and the Master Indenture, and all references to other materials not purported to be quoted in full, are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to the Continuing Disclosure Agreement, the Bonds, the Loan Agreement, the Bond Indenture, the Bond Obligation and the Master Indenture, for a full and complete statement of the provisions thereof. Such documents are on file at the offices of the Underwriter and following delivery of the Bonds will be on file at the offices of the Bond Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement that may have been made orally or in writing shall be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices A, B-1, B-2, C, D, E, F and G are integral parts of this Official Statement and must be read together with all of the foregoing statements.

All information contained herein relating to Front Porch has been provided and approved by the Corporation for use within this Official Statement.

All projections, estimates and other statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representation of fact. This Official Statement is not to be construed as a contract or agreement between the Authority or the Corporation and the purchasers or owners of any of the Bonds.

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This Official Statement has been duly delivered by the Authority, and duly authorized, executed and delivered by the Corporation, on behalf of the Members of the Obligated Group. The Authority has not, however, prepared nor made any independent investigation of the information contained in this Official Statement except the information under the captions “THE AUTHORITY” and “LITIGATION—Authority.”

**FRONT PORCH COMMUNITIES AND
SERVICES,
as Obligated Group Representative**

By: /s/ Eduardo Salvador
Chief Financial Officer

APPENDIX A

INFORMATION CONCERNING
FRONT PORCH COMMUNITIES AND SERVICES

The information in this Appendix A has been provided by Front Porch Communities and Services.

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TABLE OF CONTENTS

	<u>Page</u>
INTRODUCTION	A-1
Overview	A-1
History	A-2
Mission, Vision and Values	A-2
ORGANIZATION	A-3
Organizational Charts	A-3
The Obligated Group	A-5
Affordable Housing Communities	A-6
Certain Initiatives and Programs	A-7
Philanthropic Support	A-7
GOVERNANCE	A-8
General	A-8
Boards of Directors	A-8
Other Relationships	A-11
Resident Representation to the Board of Directors	A-11
Standing Committees of the Boards of Directors	A-11
Management	A-11
Organizational Accountability	A-14
Compensation Program	A-14
COMMUNITIES	A-14
General	A-14
Revenues by Business Lines	A-19
Services Provided at the Communities	A-20
Fees and Monthly Charges	A-21
Licenses	A-22
Capital Improvement Program	A-23
Expansion Plans	A-24
RESIDENCY AGREEMENTS	A-24
Terms of Residency Agreements	A-24
Entrance Fees and Entrance Fee Contracts	A-26
Changes in Occupancy	A-26
Financial Assistance	A-26
OPERATIONS	A-27
General	A-27
Historical Units/Beds by Community	A-27
Historical Occupancy	A-29
Marketing	A-31

TABLE OF CONTENTS
(continued)

	<u>Page</u>
Competition	A-31
Resident Fee Adjustments.....	A-32
Care Center Payor Mix	A-33
RESPONSE TO COVID-19	A-33
Prevention Measures.....	A-33
Vaccination Efforts	A-34
Financial Measures	A-34
UNAUDITED PRO FORMA HISTORICAL COMBINED FINANCIAL INFORMATION.....	A-35
General.....	A-35
Revenues and Assets Attributable to the Obligated Group and the Communities.....	A-36
Financial Results.....	A-37
FRONT PORCH FINANCIAL INFORMATION FOR THE THREE MONTHS ENDED JUNE 30, 2020 AND 2021	A-39
General.....	A-39
Financial Results.....	A-40
Management’s Discussion	A-42
COVID-19	A-43
FINANCIAL RATIOS.....	A-45
Pro Forma Combined Debt Service Coverage Ratio	A-45
Pro Forma and Historical Combined Liquidity – Days Cash on Hand.....	A-46
Pro Forma and Historical Combined Cash to Debt Ratios	A-47
HISTORICAL FRONT PORCH FINANCIAL INFORMATION	A-47
General.....	A-47
Financial Results.....	A-48
Management’s Discussion	A-50
HISTORICAL COVIA FINANCIAL INFORMATION.....	A-53
General.....	A-53
Financial Results.....	A-54
Management’s Discussion	A-56
ADDITIONAL INFORMATION.....	A-60
Changes to Outstanding Indebtedness	A-60
Derivatives	A-61
Investments	A-61
Retirement and Deferred Compensation Plans	A-62
Insurance	A-62
Environmental Matters.....	A-63
Employees and Labor Relations	A-63
Litigation.....	A-63

INTRODUCTION

Overview

Front Porch Communities and Services (the “Corporation”) is a California nonprofit public benefit corporation incorporated in 1995 that provides housing and services to residents of its senior living and active adult communities and that develops, owns and manages affordable housing for seniors, families and persons with disabilities. As of June 30, 2021, the Corporation and its subsidiaries (collectively, “Front Porch”) had more than 2,900 employees serving over 7,500 residents. The Corporation’s headquarters are located in Glendale, California with a regional office located in Walnut Creek, California.

On April 1, 2021, the Corporation became the sole corporate member of Covia Group, Covia Communities and Covia Affordable Communities, each California nonprofit public benefit corporations, which expanded the Corporation’s operations in Northern California. Covia Group was the parent of Covia Communities and Covia Affordable Communities prior to the acquisition. Covia Communities owns and operates six entrance fee continuing care retirement communities (“CCRCs”), owns one community that is currently not operational,¹ and owns and operates one active adult community with limited services. Covia Affordable Communities owns eight and manages one affordable housing communities. As described herein, the Corporation and Covia Communities are governed by boards of directors composed of the same directors and managed by a single management team. The Corporation anticipates that Covia Communities will be merged into the Corporation by the end of 2021 following the issuance of the Series 2021 Bonds.

As a result of the acquisition of Covia Group and its related entities as described above, the Front Porch organization of affiliated entities is collectively one of the largest not for profit senior living providers in the United States. Front Porch operates sixteen multi-level senior living (excluding one community that is currently not operational) and three active adult monthly rental communities with limited services containing 3,313 independent living and assisted living residential units, 166 memory support units, and 671 skilled-nursing beds (collectively, the “Communities”). All of the Communities are located in California, except for two of the active adult communities with limited services, England Oaks in Louisiana and Cecil Pines in Florida. Ten of the Corporation’s Communities are CCRCs, some of which have been in operation for more than 100 years. Six of the Corporation’s multi-level Communities are monthly rental communities. See the map on the second page succeeding the inside cover page of this Official Statement for a description of the locations of the Communities. The Corporation, through its subsidiaries, also develops, owns and/or manages 25 affordable housing communities, all located in California except for one located in Arizona, with 2,650 affordable housing units serving more than 3,400 residents, including seniors, families and children, who are economically, physically, mentally or developmentally challenged.

The Corporation anticipates that promptly following the issuance of the Series 2021 Bonds, the limited liability companies that own the Real Estate LLC Communities (as hereinafter defined) will be merged into the Corporation. On a pro forma basis, the Corporation (including the financial results for the Real Estate LLC Communities) and Covia Communities (which will become an Obligated Group Member upon the issuance of the Series 2021 Bonds) constitute (i) 90% and 88% of the total assets of Front Porch as of March 31, 2021 and as of June 30, 2021, respectively, and (ii) 94% and 92% of the total revenue of Front Porch for the fiscal year ended March 31, 2021 and for the three months ended June 30, 2021,

¹ Los Gatos Meadows closed in September 2019 and all residents were relocated. The Corporation is currently evaluating options for redeveloping this property. See “COMMUNITIES – General – Los Gatos Meadows” for more information.

respectively. See “ORGANIZATION – Organizational Charts” and “UNAUDITED PRO FORMA HISTORICAL COMBINED FINANCIAL INFORMATION” in this Appendix A.

The Corporation and Covia Communities are each tax-exempt charitable organizations under Section 501(c)(3) of the Internal Revenue Code and analogous provisions of the California Revenue and Taxation Code. **The Corporation and, upon the issuance of the Series 2021 Bonds, Covia Communities, will be the sole Members of the Obligated Group. Under the Master Indenture, Obligated Group Members are jointly and severally liable to make payments with respect to Obligations issued under the Master Indenture. See “SECURITY FOR THE BONDS – The Master Indenture” in the front part of this Official Statement. No other subsidiary or affiliate of the Corporation or Covia Communities is obligated with respect to Obligations issued under the Master Indenture or with respect to the Series 2021 Bonds.**

Capitalized terms used in this Appendix A and not specifically defined herein have the meaning assigned to such terms in Appendix G or as elsewhere defined in the Official Statement.

History

The Corporation was incorporated in 1995 as The Internext Group. Its Articles of Incorporation were amended in August 1998 in preparation for the March 1999 consolidation of the operations and certain assets of California Lutheran Homes, FACT Retirement Services and Pacific Homes. The Corporation changed its name to Front Porch Communities and Services in 2002.

In 2006, the Corporation purchased a continuing care retirement community, Sunny View Retirement Community, and an affordable housing community, Sunny View Lutheran Home, each located in Cupertino, California.

The Covia organization’s original property, Canterbury Woods, opened in 1965 in Pacific Grove, California. St. Paul’s Towers was dedicated in Oakland, California, on November 5, 1966. Los Gatos Meadows was purchased prior to its opening and opened in Los Gatos on October 12, 1971. Spring Lake Village in Santa Rosa, California, was dedicated on August 29, 1986, and expanded, renovated, and repositioned in 2015. The fifth continuing care retirement community, San Francisco Towers, opened on November 1, 1997 in San Francisco, California. The organization acquired Webster House in 2007 and Friends House in March of 2021.

There have been two name changes for the organization. In 2007, Episcopal Homes Foundation became Episcopal Senior Communities. In 2017, the name was changed to Covia Communities.

As noted above, on April 1, 2021, the Corporation became the sole corporate member of Covia Group, Covia Communities and Covia Affordable Communities.

Mission, Vision and Values

Front Porch’s stated mission is “[t]o inspire and build community, cultivating meaningful relationships and experiences that respond creatively to changing needs.” Front Porch seeks to provide residents the opportunity to live an engaged life, to pursue their passions and find joy, meaning and purpose in community with others and is dedicated to providing quality, accessible, and affordable human services to individuals in the markets it serves. Front Porch offers the advantages of economies of scale while maintaining the individual identities, constituencies and heritages of its individual senior living Communities. Front Porch continues to cultivate partnerships, joint ventures, and affiliations to develop facilities and services that meet the changing needs of its residents. Front Porch is organized around six core

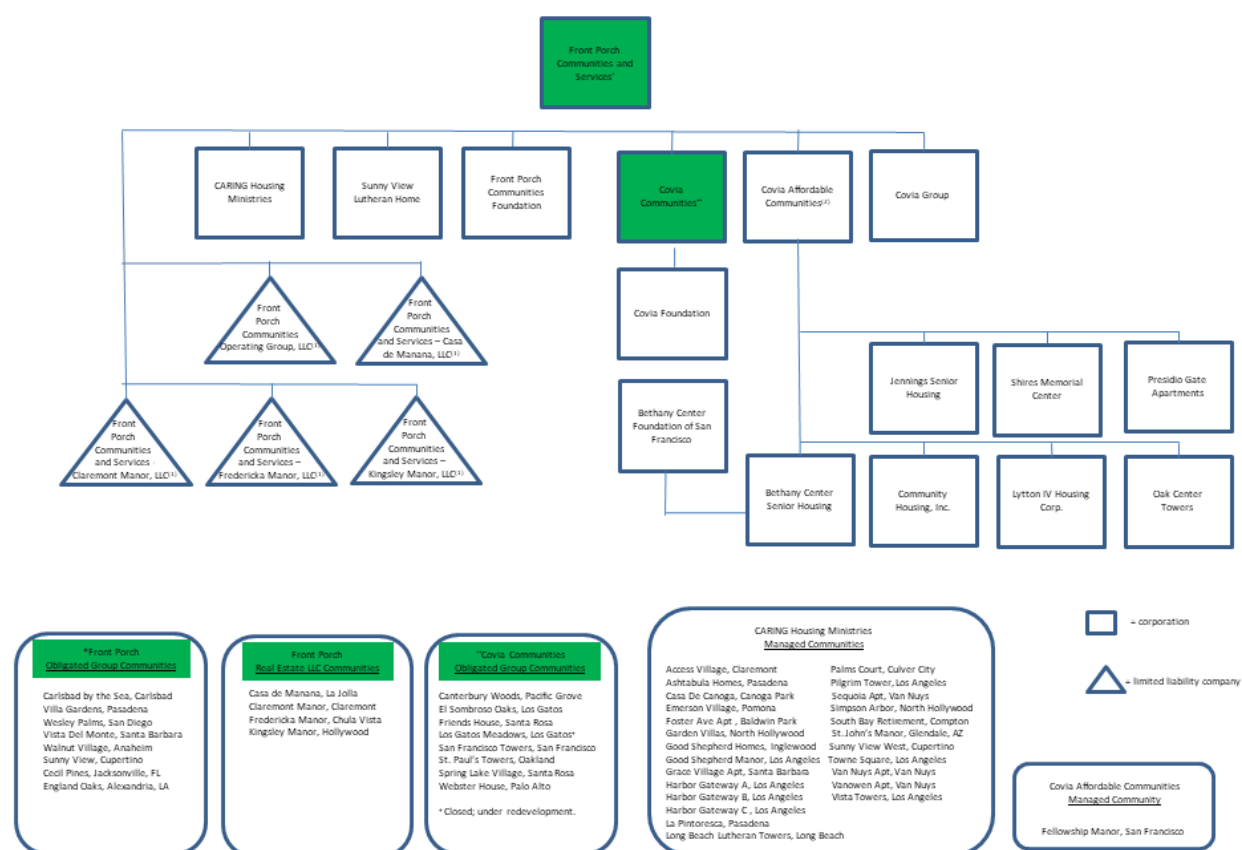
values: connect; build trust; collaborate: lead responsibly; inspire creativity; and embrace change. These values, along with the mission, support Front Porch’s vision: “To empower individuals to lead connected and fulfilled lives through community and innovation.”

Front Porch’s mission, vision and values permeate its planning and daily operations. As described under the caption “GOVERNANCE – Organizational Accountability” below, Front Porch annually evaluates all of its operations to determine whether it is furthering its mission, vision and values.

ORGANIZATION

Organizational Charts

A chart depicting the current organizational structure of Front Porch and its Communities as of the date of this Official Statement is below.

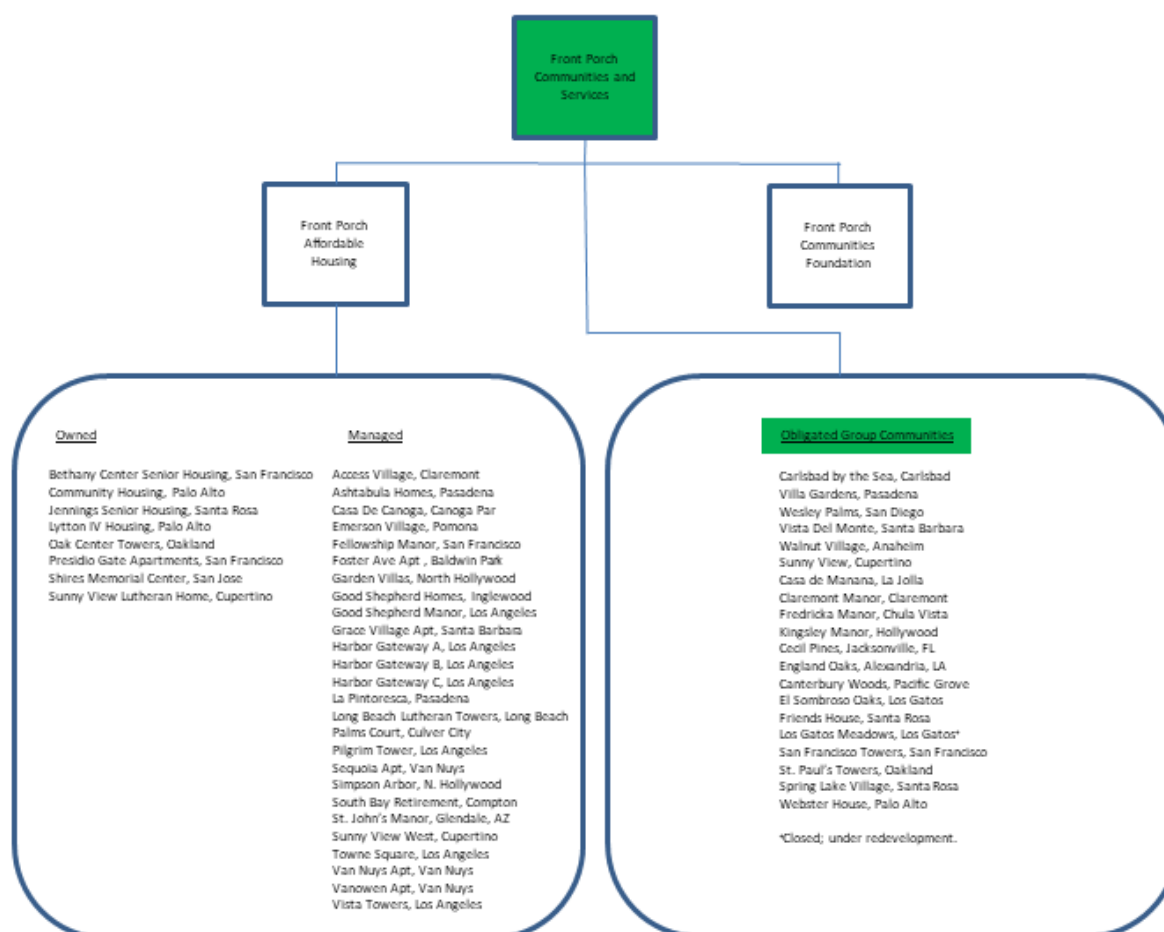


Note: Post Series 2021 financing Obligated Group highlighted in green. Obligated Group Communities listed under “Front Porch Obligated Group Communities”, “Front Porch Real Estate LLC Communities” and “Covia Communities Obligated Group Communities”.

- (1) Please see reference to Real Estate LLCs under “Organization” in Appendix A.
- (2) Corporations listed under Covia Affordable Communities are owned communities.

The issuance of the Series 2021 Bonds and the refinancing of the Refinanced Debt are part of the Corporation’s overall plan to complete, by the end of 2021, the consolidation and integration of the Front Porch organizations resulting from the April 1, 2021 acquisition of the Covia Group entities. On July 20, 2021, the Board of the Corporation approved the consolidation and merger of Covia Foundation and Bethany Center Foundation into Front Porch Communities Foundation, which merger is expected to be

effective by the end of 2021, following receipt of regulatory approvals. Immediately following the issuance of the Series 2021 Bonds, Covia Communities will become a member of the Obligated Group along with the Corporation. The HUD-insured Loans (as defined below) relating to the Real Estate LLCs (as hereinafter defined) will be refinanced in connection with the issuance of the Series 2021 Bonds. Promptly thereafter, the Corporation anticipates that the Real Estate LLCs that own and control the Real Estate LLC Communities will be merged into the Corporation. The Corporation anticipates that by the end of 2021, subject to regulatory notices and/or approvals, the organizations that own and operate the affordable housing communities, CARING Housing Ministries and Covia Affordable Communities, will be consolidated into a single entity. Subsequently, Covia Group, which was initially established to support strategic initiatives for the Covia Group entities, plans to merge into the Corporation and its funds are expected to be transferred to the Front Porch Communities Foundation. As a final step to the consolidation, Covia Communities is expected to merge into the Corporation by the end of 2021, as well, subject to regulatory notices and/or approvals, which will result in there being a single Obligated Group Member, the Corporation. The chart below shows the anticipated organizational structure of Front Porch, including the Corporation and certain remaining related entities, following the steps described in this paragraph and discussed more fully below in this Appendix A. There can be no assurance that the anticipated actions after the issuance of the Series 2021 Bonds will occur as described above or in the timeframe set forth above.



Note: Post Series 2021 financing Obligated Group highlighted in green. Communities that are part of the Obligated Group are listed under “Obligated Group Communities”

- (1) All Affordable Housing Communities designated as “Owned” are owned by the respective subsidiary corporations shown on the previous Organizational Chart. Front Porch Affordable Housing is anticipated to be the sole member of such corporations.

The Obligated Group

The Corporation is currently the only member of the Obligated Group established pursuant to the Master Indenture described in the front part of the Official Statement. Upon the issuance of the Series 2021 Bonds, Covia Communities will also become a member of the Obligated Group. The names and locations of the Communities that will be owned and operated by the two Members of the Obligated Group are as follows:

Communities	Location	Type
Canterbury Woods ⁽¹⁾	Pacific Grove, CA	Rental
Carlsbad By The Sea	Carlsbad, CA	CCRC
Casa de Mañana ⁽²⁾	La Jolla, CA	Rental
Cecil Pines ⁽³⁾	Jacksonville, FL	Rental
Claremont Manor ⁽²⁾	Claremont, CA	Rental
El Sombroso Oaks ⁽¹⁾⁽³⁾	Los Gatos, CA	Rental
England Oaks ⁽³⁾	Alexandria, LA	Rental
Fredericka Manor ⁽²⁾	Chula Vista, CA	Rental
Friends House ⁽¹⁾	Santa Rosa, CA	CCRC
Kingsley Manor ⁽²⁾	Los Angeles, CA	Rental
Los Gatos Meadows ⁽¹⁾⁽⁴⁾	Los Gatos, CA	N/A
San Francisco Towers ⁽¹⁾	San Francisco, CA	CCRC
Spring Lake Village ⁽¹⁾	Santa Rosa, CA	CCRC
St. Paul's Towers ⁽¹⁾	Oakland, CA	CCRC
Sunny View Retirement Community	Cupertino, CA	CCRC
Villa Gardens	Pasadena, CA	CCRC
Vista del Monte	Santa Barbara, CA	CCRC
Walnut Village	Anaheim, CA	CCRC
Webster House ⁽¹⁾	Palo Alto, CA	CCRC
Wesley Palms	San Diego, CA	Rental

(1) Communities owned by Covia Communities.

(2) Communities owned by Real Estate LLCs anticipated to be merged into the Corporation following the issuance of the Bonds.

(3) Cecil Pines, El Sombroso Oaks and England Oaks are active adult communities with limited services.

(4) Los Gatos Meadows closed in September 2019 and all residents were relocated. The Corporation is currently evaluating options for redeveloping this property. See "COMMUNITIES – General – Los Gatos Meadows" for more information.

Each of the Communities is described below under the caption "COMMUNITIES – General."

Front Porch Communities and Services – Casa de Mañana, LLC ("Casa de Mañana, LLC"), Front Porch Communities and Services – Claremont Manor, LLC ("Claremont Manor, LLC"), Front Porch Communities and Services – Fredericka Manor, LLC ("Fredericka Manor, LLC") and Front Porch Communities and Services – Kingsley Manor, LLC ("Kingsley Manor, LLC"), each California limited liability companies, are collectively referred to as the "Real Estate LLCs." The Real Estate LLCs are the respective owners of four (4) Communities (the "Real Estate LLC Communities") that are now operated by Front Porch Communities Operating Group, LLC ("Front Porch OpCo"). As the sole member of the Real Estate LLCs and Front Porch OpCo, the Corporation has exclusive control over their facilities and operations.

In 2012, the Corporation formed the Real Estate LLCs and Front Porch OpCo for the purpose of obtaining long-term bank loans insured by the U.S. Department of Housing and Urban Development ("HUD") under Section 232 of the National Housing Act (the "HUD-insured Loans") to refinance portions

of certain then existing debt of the Corporation allocable to each Real Estate LLC Community. Since HUD-insured loans were only available to single asset entities, each Real Estate LLC was formed to hold title to its respective Real Estate LLC Community, serve as borrower on its respective HUD-insured Loan and act as a lessor of its respective Real Estate LLC Community to Front Porch OpCo as lessee.

The Corporation provides management and administrative services for Front Porch OpCo, as well as for the Real Estate LLCs, none of which have any employees of their own. Front Porch OpCo operates and maintains the Real Estate LLC Communities on a day-to-day basis with personnel who are employees of the Corporation. As discussed above, it is anticipated that following the issuance of the Series 2021 Bonds, the Real Estate LLCs will be merged into the Corporation, thereby transferring ownership of the Real Estate LLC Communities back to the Corporation. Front Porch OpCo will lease back the Real Estate LLC Communities from the Corporation, and the Corporation will manage the Real Estate LLC Communities on Front Porch OpCo's behalf, until such time as regulatory approvals are obtained and licenses are issued.

In addition, the Corporation is the sole member, or controlling parent organization, of the following:

- Bethany Center Foundation of San Francisco ("Bethany Center Foundation")
- CARING Housing Ministries ("CHM")
- Covia Affordable Housing ("CAC")
- Covia Foundation
- Covia Group
- Front Porch Communities Foundation ("FPCF")
- Sunny View Lutheran Home ("SVLH")

The Corporation and, upon the issuance of the Series 2021 Bonds, Covia Communities, will be the sole Members of the Obligated Group. No other subsidiary or affiliate of the Corporation or Covia Communities is obligated with respect to Obligations issued under the Master Indenture or with respect to the Series 2021 Bonds.

Affordable Housing Communities

CAC, through subsidiary corporations, owns eight affordable housing communities serving approximately 1,275 individuals residing in more than 911 affordable housing units. SVLH owns one affordable housing community located in Cupertino, California, serving approximately 118 individuals residing in 100 affordable housing units ("Sunny View West").

CHM currently manages 25 affordable housing communities (including Sunny View West) serving approximately 2,400 individuals residing in more than 1,700 affordable housing units. CAC manages one affordable housing community located in San Francisco, California, serving approximately 130 individuals residing in 105 affordable housing units.

CAC has a staff of 98 employees, seven of whom work in Front Porch's Walnut Creek office. CHM has a staff of 97 employees, 15 of whom work in its home office in El Monte, California. Corporate staffing of both CAC and CHM include personnel in the areas of accounting/finance, operations, training, administration, property supervision, service coordination, maintenance services and risk management.

SVLH has no employees, and management and administrative services are provided to SVLH by the CHM.

CAC provides Resident Service Coordinators (“RSCs”) to all the senior affordable housing communities for Front Porch. In addition, CAC provides RSCs on a contract basis to 14 affordable communities outside of Front Porch. RSCs help residents remain independent longer by providing personalized support to access entitlement programs and local services as well as supplying learning resources about potential issues before they can become problems. They also encourage resident participation in the community at large.

The 34 affordable housing communities are referred to herein as the “Affordable Housing Communities.” For purposes of this Appendix A, references to “Communities” do not include the Affordable Housing Communities. The Obligated Group Members do not own any of the Affordable Housing Communities.

It is anticipated that by the end of 2021 subject to regulatory notices and/or approvals, CAC and CHM will be consolidated into a single entity.

The assets and operations of CHM and SVLH are included in the Front Porch Consolidated Audit Entities (as defined below) and the assets and operations of CAC are included in the Covia Consolidated Audit Entities (as defined below); all of which are excluded from the Obligated Group as of the date of this Official Statement and as of the issuance of the Bonds.

Certain Initiatives and Programs

The Front Porch Center for Innovation and Wellbeing™ (“CIW”) is a program designed to collaborate with a variety of partners to explore innovative uses of technology to empower individuals to live well, especially in their later years. Core initiatives focus on how technology can assist in maintaining brain health; enhance social connectedness; promote engagement and growth; empower control over health and wellness; prevent emergencies or serious events; and increase resources and support for formal and informal caregivers. The CIW integrates residents, staff, research partners and technology companies to identify potential opportunities, test them out, find the ones that work and then rapidly deploy these solutions.

Humanly Possible® is another program of the Corporation designed to encourage innovation and greater collaboration among all levels of the Front Porch organization. Humanly Possible® also supports outside collaboration including the formation of innovative partnerships with other nonprofit organizations, for-profit companies and academia to advance and develop new approaches, methodologies and technology applications for delivering services to the senior population.

Covia Communities has operated community-based programs known as “Community Services” for the past 20 years that are aimed at improving the quality of life for older adults who may not live within one of our physical communities. These programs address needs such as food insecurity, social isolation, and housing affordability and safety. Each year over 15,000 low and moderate income individuals participate in creative, innovative programming, including: Home Match, (a home sharing partnership with local municipalities); Market Day (neighborhood “pop up” low cost produce markets); Creative Spark (training on creative education and resources); and Social Call and Well Connected (both national programs which use complimentary approaches to alleviate social isolation, create community, and provide activities of interest, education, and support in both in English and Spanish).

Philanthropic Support

Front Porch supports, and its Communities, Affordable Housing Communities, and programs are, in turn, supported by, three philanthropic partner organizations: FPCF, Covia Foundation and Bethany

Center Foundation. Front Porch also receives approximately \$300,000 per year from other foundations, including California Lutheran Homes. On July 20, 2021, the Corporation's Board approved the merger of Covia Foundation and Bethany Center Foundation with and into FPCF, which merger is expected to become effective by the end of 2021, after regulatory notices have been given and/or approvals have been obtained.

FPCF is a California nonprofit public benefit corporation formed from the April 1, 2021 merger of the Corporation's prior philanthropic partners: FACT Foundation, Pacific Homes Foundation and Sunny View Lutheran Communities and Services. In connection with the merger, the Corporation became the sole member of FPCF.

The ultimate purpose of FPCF will be to establish, grow and maintain funds to benefit and provide continuing support for the capital, benevolence and assistance needs of Front Porch and its programs.

In the past ten years, Front Porch philanthropy has totaled in excess of \$42 million through the fiscal year ended March 31, 2021. Certain assets of the aforementioned organizations, based on accounting rules related to designations and restrictions, are accounted for as described in Note 5 to the audited financial statements in Appendix B-1.

GOVERNANCE

General

Front Porch operates its Communities from the Corporation's corporate headquarters located in Glendale, California, and the Corporation's regional office located in Walnut Creek, California. The corporate offices provide general administration, management, finance, legal, information services, human resources, and plant and facilities management for the Communities. Each Community is managed by an executive director responsible for the operation of the applicable Community in accordance with established goals and operating practices, as well as industry regulations.

Boards of Directors

The affairs of the Corporation and Covia Communities are each governed by a Board of Directors (each, the "Board" of the respective entity, and the members of each such Board being "Directors") consisting of the same fifteen Directors. As of April 1, 2021, six Directors of each Board were nominated by Covia Communities and appointed by the Corporation, and nine Directors were nominated and appointed by the Corporation (collectively, the "Initial Directors"). The Initial Directors will each serve an initial term until December 31, 2023. Following such date the Initial Directors will serve a second term based on their class, as described below.

Directors for open seats are nominated by the Executive Committee of each Board and elected by the applicable full Board. Generally, no member of the Board may serve more than two successive three-year terms. An exception is addressed in the bylaws when a Director begins service during an unexpired term.

Each Board is organized into three classes of Directors, designated as "Class A," "Class B" and "Class C." After the initial term, the Initial Directors assigned to Class A shall serve a second term expiring on December 31, 2024, the Initial Directors assigned to Class B shall serve a second term expiring on December 31, 2025, and the Initial Directors assigned to Class C shall serve a second term expiring on December 31, 2026. Thereafter, the Director positions of each class have a three-year term (which, in all cases other than the Initial Directors, may be renewed for a second three-year term) that expires at the end of a calendar year on a staggered basis. The relevant Executive Committee addresses vacancies by

reviewing candidates and making recommendations to the applicable Board. Directors are elected by a majority vote of the entire Board.

Each Director signs an annual *Duty of Care and Conflict of Interest Statement*.

Directors receive reasonable remuneration in the form of annual retainers and Board meeting attendance fees. In addition, all out-of-pocket expenses to attend Board and Committee meetings and/or to conduct the business of the Board are reimbursed.

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The members of the respective Boards of the Corporation and Covia Communities are as follows:

Name	Occupation	Committee Membership
Deborah Proctor ⁽¹⁾ <i>Chair</i>	Retired President and CEO of St. Joseph Health System, Orange County	Executive Committee (Chair) Finance Committee
Vince Forte ⁽²⁾ <i>Vice Chair</i>	Retired investment banker and manager of nonprofit, financial, private healthcare and cultural organizations	Executive Committee Business Development and Assessment (“BDA”) Committee
Peter Dunckel ^{(2)(a)}	Retired executive of Crown-Zellerbach Corp. San Francisco	Audit Committee
Nancy Duranteau ⁽²⁾	Chief Learning Officer of University of California, San Francisco	BDA Committee
Joanne Handy ⁽²⁾	Past President and CEO of LeadingAge California, Sacramento, and Board Chair of Trinity Continuing Care, Livonia (Michigan)	Audit Committee
Mary Ellen Heising ^{(2)(b)}	Retired Founding Executive Director of Second Harvest Food Bank of Silicon Valley, San Jose	Finance Committee
Laura Jacobs ⁽¹⁾	Retired Managing Principal of GE Healthcare consulting division	Executive Committee BDA Committee (Chair)
Jimmie D. Kennedy ^{(1)(2)(c)}	Retired Chief of Anaheim Police Department Anaheim	Finance Committee
Kevin Kroecker ⁽¹⁾	General Counsel, SCAN Health Plan Long Beach	Audit Committee
Marion McGovern ⁽¹⁾	Chair of The Myers-Briggs Company	BDA Committee
Kay Murphy ^{(1)(d)}	Retired owner of consulting firm assisting nonprofit organizations with public and media relations	Audit Committee
Suanne Ramar ⁽²⁾	Senior Vice President at Bailard, Inc., San Mateo	Executive Committee Finance Committee (Chair)
Lannie Tonnu ⁽¹⁾	Vice President, Chief Financial Officer of Orthopaedic Institute for Children, Los Angeles	Executive Committee Audit Committee (Chair)
Oliver Wesson, Jr. ⁽¹⁾	Retired Senior Vice President, Bank of America –Global Commercial Banking-Healthcare and Institutions Group	Executive Committee Finance Committee
Susan Whittaker ⁽¹⁾	Retired Vice-President of Sponsorship for Providence St. Joseph Health	BDA Committee

(1) Member of Corporation’s Board prior to April 1, 2021

(2) Member of Covia Communities’ Board prior to April 1, 2021

Resident at the following Community:

- (a) San Francisco Towers
- (b) Spring Lake Village
- (c) Walnut Village
- (d) Claremont Manor

Other Relationships

Marion McGovern, a member of the Boards and the Business Development Committee, is the wife of a partner at Norton Rose Fulbright US LLP, counsel to the Underwriter.

Resident Representation to the Board of Directors

A Resident Representative is elected annually by his/her peer residents from each Community. From the CCRC Communities, four Resident Representatives are elected to attend, but not vote at, meetings of the Boards in compliance with applicable statutes. Resident Representatives also do not sit on Board Committees. Resident Representatives to the Boards are in addition to the statutorily-required voting Resident-Director elected to the Boards from among candidates proposed by residents of the Communities located in California.

The Resident Representatives are responsible for assessing, representing, and voicing the resident perspective to each other, to the Boards and to Front Porch's senior management. Resident Representatives also are charged with the responsibility of conveying and representing actions of the Boards in a fair manner to the residents of the Community from which they have been elected.

All Resident Representatives, and resident association Presidents who are not also resident representatives, receive the same notice of meetings and copies of minutes, agendas and other materials as the Board of Directors and Resident Representatives selected to attend the meetings of the Board. To further facilitate communication between the residents and the Board of Directors, senior management staff and select Board members conduct meetings with all Resident Representatives prior to scheduled Board meetings to provide information and solicit feedback.

Standing Committees of the Boards of Directors

The Boards currently have four standing committees: (a) Executive Committee, (b) Audit Committee, (c) Business Development and Assessment Committee, and (d) Finance Committee. Only Board members may serve on Board Committees, except the Chief Executive Officer serves *ex officio* on the Executive Committees.

Directors are informed of Front Porch's business through Board and Committee meetings and discussions with the Chief Executive Officer and other members of Front Porch's senior management. The Boards are routinely provided interim financial and operating reports and conduct independent discussions with Front Porch's auditors as part of their annual review.

The Chief Executive Officer, the Secretary, and the Chief Financial Officer attend Board meetings. Other management staff and/or officers of Front Porch attend Board meetings on an as-needed basis. Executive sessions may be held, without management present, at each meeting of the Board, the Executive Committee, the Audit Committee, the Business Development and Assessment Committee, and the Finance Committee. The Corporation's compliance officers report directly and independently to the Audit Committee and have oversight of Front Porch's compliance program.

Management

The Corporation and Covia Communities are managed by a single management team. The Chief Executive Officer has responsibility for oversight of Front Porch including governance and board management, strategic facilitation, development and implementation, new business development, regulatory compliance, management oversight of all affiliates/subsidiaries and relationships with the

philanthropic partner organizations. The Board of Directors considers leadership continuity, capacity and depth as critical success factors for the Corporation and Covia Communities.

The members of the Corporation's and Covia Communities' senior management are identified below.

John Woodward, *Chief Executive Officer (69)*. Mr. Woodward became Chief Executive Officer in 2015. His career includes over 35 years of investment banking and consulting experience assisting a wide range of not-for-profit organizations, including health care systems, academic medical centers, and large senior living organizations. His role involves planning and implementing major expansion programs, reorganizations, mergers and the acquisition of facilities. As an advisor to senior management and boards of directors, he participates in strategic planning as well as legislative initiatives. Mr. Woodward was actively involved in the combination of the three predecessor organizations—FACT Retirement Services, California Lutheran Homes and Community Services, and Pacific Homes—to form The Internext Group that was later renamed Front Porch Communities and Services. He also participated in discussions resulting in the affiliation and eventual acquisition of Sunny View Lutheran Home located in Cupertino. His educational background includes A.B. degrees in economics and mathematics from the University of California at Santa Cruz and an M.B.A. from the University of Chicago with a specialization in hospital administration.

Eduardo Salvador, *Chief Financial Officer (52)*. Mr. Salvador joined Front Porch in 2017 as the Chief Financial Officer. Prior to joining the Corporation, Mr. Salvador served as CFO for St. Jude Medical Center for 9 ½ years, a ministry of St. Joseph Health System. Previously, Mr. Salvador served as CFO for Tenet Healthcare and Vanguard Healthcare, where he directed all financial activities for the investor-owned companies. Mr. Salvador graduated from the University of California, Irvine, with a master's degree in business administration, following his bachelor's degree in business administration with an emphasis in finance from California State University, Long Beach. Mr. Salvador previously served as a board member of AccessOC, a non-profit providing access to outpatient surgeries for the medically uninsured population of Orange County. He has also been a member with the Healthcare Financial Management Association (HFMA) and the American College of Healthcare Executives (ACHE).

Ron Schaefer, *Chief Operating Officer (56)*. Mr. Schaefer became Chief Operating Officer of Covia Communities in 2016 and continued in that role for Front Porch following the affiliation with the Corporation in April of 2021. With more than 30 years' experience in senior living executive management, Mr. Schaefer has become a very respected organizational and operational leader with key skills in the areas of strategy, quality, communications, leadership, and organizational integrity. While an abundance of Mr. Schaefer's experience lies within the multi-level/CCRC segment of senior living, he also has experience in Affordable Housing, Development, and Community-Service programs. In addition to frequent industry presentations, Mr. Schaefer has also taught several core curriculum courses at the University of Southern California's Davis School of Gerontology in the school's Master's degree program. His own educational preparation includes a B.A. in Chemistry/Math from Southern California College and a Master's of Healthcare Administration from Chapman University with an emphasis in Business Administration.

Diana Jamison, *Chief Capital Strategies Officer (58)*. Ms. Jamison joined Covia Communities in December 2007 and held the positions of Assistant Controller, Director of Finance and Chief Financial Officer. Ms. Jamison became the Chief Capital Strategies Officer of Front Porch in April 2021. Her emphasis and focus as a member of the executive team is forecasting, strategic capital planning, debt restructuring, insurance, and development. Ms. Jamison has extensive experience managing the finance and information technology departments. Prior to joining Covia, Ms. Jamison spent 6 years with Elder Care

Alliance as Controller and Chief Financial Officer. A frequent speaker at senior living financial conferences, Diana received her BS in Accounting from California State University-East Bay.

Mary McMullin, *Chief Advancement Officer (59)*. Joining Covia Communities in 2017 and Front Porch in 2021, Ms. McMullin focuses on marketing, sales, strategy, philanthropy, communications, and resident experience, which reflects her career work on market leadership and product innovation. Prior to Covia, Ms. McMullin was the president of New Life Management & Development, a consulting and development firm with national clientele. At New Life, Mary worked on the successful greenfield development of over two dozen communities along with supporting nearly fifty communities as a marketing partner. Ms. McMullin's extensive senior living experience includes direct responsibility for the successful strategy, marketing and management of senior living communities, all phases of senior living product development, and sales coaching, mentoring, and training. Before her consulting career, Ms. McMullin was marketing director and vice president for marketing and sales at Springpoint Senior Living and previously worked for LeadingAge in the development of standards and outreach for the CCAC. She received her B.A. in Economics and English from Drew University and is a frequent speaker at state and national conferences on senior living.

Kari Olson, *Chief Innovation and Technology Officer and President of the Front Porch Center for Innovation and Wellbeing (57)*. Ms. Olson has over twenty years of experience in the long term health care and retirement housing industry. She joined California Lutheran Homes and Community Services in 1995 and has held a number of senior leadership roles with the Corporation or an affiliated organization. In 2010, Ms. Olson founded the award-winning Front Porch Center for Innovation and Wellbeing. In 2013, Ms. Olson became the Corporation's Chief Innovation Officer, and she is the architect of Front Porch Humanly Possible®. In her current role, Ms. Olson leads the business innovation strategy for the Corporation and its partners while also leading business and resident technology strategy and initiatives. Prior to joining the Corporation, Ms. Olson led major technology initiatives in the health care and social services sectors and worked as a consultant to a variety of national clients. Ms. Olson has been involved in the Aging 2.0 Alliance and Leading Age Center for Aging Services Technologies ("CAST") where she is currently serving as a commissioner and steering committee member. She has also served as a CAST Boomer Technology Needs Research chair, co-chair of the Provider Workgroup and Leading Age Innovation Cabinet member. She speaks nationally about the Corporation's work in innovation and technology. She holds a Bachelor of Arts degree in economics from UCLA.

Joseph Butler, *Chief Legal Officer and Secretary (70)*. Mr. Butler became the General Counsel of the Corporation in 2007. He has been practicing law in the Los Angeles community for over forty-five years and has a broad range of legal experience. Prior to joining the Corporation, he was a partner in the Los Angeles office of McKenna, Long & Aldridge. He is also a former Assistant United States Attorney for the Central District of California. He graduated with a B.A. from the University of California at Los Angeles and received his law degree from the University of San Diego School of Law. He has been a member of the State Bar of California since 1975.

Desiree Burton, *Chief Human Resources Officer (62)*. Ms. Burton became the Senior Vice President, Human Resources in July 2006. Ms. Burton has over 30 years of experience in human resources. Before coming to the Corporation in 2001, she held a variety of executive leadership positions over a 21 year career with Bank of America. At the Corporation, she has developed and implemented new benefit structures, negotiated union contracts, implemented a new compensation strategy and reduced workers' compensation costs. At her prior organization, she developed and implemented business staffing strategies, oversaw Southern California retail bank operations, improved workflow redundancies, and provided leadership to executives, implemented training courses and has successfully integrated organizations during mergers and acquisitions. Ms. Burton holds a Certificate in Retail Bank Management, specializing in Human Resources, from the University of Virginia.

Organizational Accountability

The Corporation's Senior Vice President for the Organizational Accountability Group reports directly to the Chief Advancement Officer, with direct access to the Board of Directors' Audit Committee relative to statutory and regulatory compliance matters. The Senior Vice President for the Organizational Accountability Group is responsible for monitoring the Corporation's service and social responsibilities including the assessment of quality of all services, compliance with applicable statutes and regulations and assessment of resident and employee satisfaction.

Compensation Program

In accordance with the Corporation's governing documents and policies, compensation for senior management is under the jurisdiction of the Executive Committee of the Board of Directors. The Directors serving on the Executive Committee set the overall compensation principles and policy of the company and review the entire compensation program regularly, with independent comparative review approximately every two to three years and, at the Committee's discretion, with major changes recommended to and approved by the full Board. The Committee regularly engages outside, independent consultants in setting and determining whether the amounts and types of compensation the company pays its senior management are competitive, appropriate, and consistent with legal guidelines governing compensation of senior executives in nonprofit corporations.

COMMUNITIES

General

The Corporation and Covia Communities own or lease and operate 16 multi-level senior living communities (plus one that is currently not operational) and three active adult communities with limited services. Ten of the multi-level Communities are CCRCs, while six are rental communities. The Communities offer residents a wide variety of contract options, prices, and locations.

As noted previously, for purposes of this Appendix A, the term "Communities" does not include the Affordable Housing Communities (which are not owned by the Obligated Group Members). Independent and assisted living units are referred to as "Residential Living Units." Memory support units are collectively referred to as "Memory Care" units or by the brand name "Summer House®" for the Corporation and "Maggie's Place" for Covia Communities and skilled-nursing beds are collectively referred to as "Care Center" beds.

The map on the second page succeeding the inside cover of this Official Statement shows the locations of the Communities owned or leased by the Obligated Group Members.

The Corporation or Covia Communities owns and operates the following multi-level senior living communities (including one community that is currently not operational):

Canterbury Woods, Pacific Grove, California. Canterbury Woods is a continuing care retirement community that currently offers only monthly agreements situated on approximately 6.5 acres in Pacific Grove, California, within walking distance of the ocean. Canterbury Woods' facilities and offerings to residents include:

- 130 private residences;
- 24-bed Medicare-certified skilled nursing and rehabilitative care center;
- Assisted living and personal care services; and

- All residences are available on a month-to-month fee basis with no entrance fees.

Carlsbad By The Sea, Carlsbad, California. Carlsbad By The Sea is a continuing care retirement community situated on approximately 3.8 acres adjacent to the Pacific Ocean in the village of Carlsbad, California. Carlsbad By The Sea's facilities and offerings to residents include:

- 159 private residences;
- 33 bed Medicare-certified skilled nursing and rehabilitative care center;
- Truly Yours assisted living and personal care services available;
- Residences are available on a month-to-month fee basis with no entrance fees; and
- Entrance fee options range from non-refundable to 90% repayable contracts.

Casa de Mañana, La Jolla, California. Casa de Mañana is a monthly agreement residential care facility situated on approximately 5.3 acres overlooking the ocean near the village of La Jolla. Casa de Mañana's facilities and offerings to residents include:

- 183 private residences;
- Truly Yours assisted living and personal care services; and
- All residences are available on a month-to-month fee basis with no entrance fees.

Claremont Manor, Claremont, California. Claremont Manor is a monthly agreement residential care facility situated on approximately 15.2 acres near the Village of Claremont and the campuses of the Claremont Colleges. Claremont Manor's facilities and offerings to residents include:

- 215 private residences;
- 17 residences in Summer House® at Claremont Manor;
- 59 bed Medicare-certified skilled nursing and rehabilitation center;
- Truly Yours assisted living and personal care services; and
- All residences are available on a month-to-month fee basis with no entrance fees.

Fredericka Manor, Chula Vista, California. Fredericka Manor is a monthly agreement residential care facility situated on approximately 24 acres located near the Third Avenue Downtown Village in Chula Vista, California. Fredericka Manor's facilities and offerings to residents include:

- 249 private residences;
- 22 residences in Summer House® at Fredericka Manor memory care neighborhood;
- 174-bed Medicare-certified skilled nursing and rehabilitation center;
- 60-bed specialized Alzheimer's skilled nursing unit;
- Truly Yours assisted living and personal care services; and
- All residences are available on a month-to-month fee basis with no entrance fees.

Friends House, Santa Rosa, California. Friends House is a continuing care retirement community situated on approximately 8 acres in Santa Rosa, California. Friends House's facilities and offerings to residents include:

- 67 private residences;
- Options program and assisted living services;
- Moderate cost structure;
- Fellowship and community living aligned with Quaker values; and
- Entrance fees are offered on a pro-rated amortized basis.

Kingsley Manor, Los Angeles, California. Kingsley Manor is a monthly agreement residential care facility situated on approximately four acres in the heart of Hollywood. Kingsley Manor's facilities and offerings to residents include:

- 217 private residences;
- 51-bed Medicare-certified skilled nursing and rehabilitative care center;
- Truly Yours assisted living and personal care services; and
- All residences are available on a month-to-month fee basis with no entrance fees.

Los Gatos Meadows, Los Gatos, California. Los Gatos Meadows is situated on 11 acres in Los Gatos, California. The former continuing care retirement community was closed in September 2019, and all of the residents were relocated. The Corporation is currently evaluating options for redevelopment of the property.

San Francisco Towers, San Francisco, California. San Francisco Towers is a continuing care retirement community situated on approximately 1.5 acres in San Francisco, California. The community sits in the heart of San Francisco, in an architecturally gracious building, known by some as the Versailles on Van Ness, that occupies a city block and is 12 stories in height. San Francisco Towers is the community of choice for seniors who want to remain in the city and live in a neighborhood with easy access to shopping, fine dining and the many cultural benefits San Francisco offers. San Francisco Towers' facilities and offerings to residents include:

- 240 private residences;
- Specialized memory care currently under construction;
- 27-bed Medicare-certified skilled nursing and rehabilitative care center;
- Assisted living and personal care services;
- Easy access to San Francisco cultural venues for symphony, theater and ballet; and
- Entrance fee options range from pro-rated amortized to 75% repayable contracts.

Spring Lake Village, Santa Rosa, California. Spring Lake Village is a continuing care retirement community situated on approximately 28 acres in Santa Rosa, California that opened in 1986. Historic Santa Rosa, Napa and Sonoma wineries, parks with lakes and hiking trails and an easy trip to beaches on the coast are all nearby. Expanded to add 64 homes in 2015, the one-story cottages and multi-story apartment buildings are all in craftsman style architecture. Spring Lake Village's facilities and offerings to residents include:

- 325 private residences;
- 70-bed Medicare-certified skilled nursing and rehabilitative care center;
- 26 assisted living apartments;
- 13 accommodations for specialized memory care;
- Options assisted living and personal care services;
- Award winning wellness programming and
- Entrance fee options range from pro-rated amortized to 75% repayable contracts.

St. Paul's Towers, Oakland, California. St. Paul's Towers is a continuing care retirement community situated on approximately 0.5 acres adjacent to Lake Merritt in Oakland, California. A 23-story urban high rise community built in 1966, St. Paul's Towers appeals primarily to East Bay seniors, many of whom are well traveled, educated professionals, and many of whom are associated with the nearby University of California, Berkeley. With easy access to Bay Area Rapid Transit (BART) and other Bay Area transit options, the community site is in a bustling neighborhood that supports quality of life for those

who choose to live in the East Bay. St. Paul's offers a wide range of floor plans in its 109 independent living accommodations, each with views. St. Paul's Towers' facilities and offerings to residents include:

- 195 private residences;
- Award-winning dining;
- 43-bed Medicare-certified skilled nursing and rehabilitative care center;
- 21 apartments for assisted living;
- 12 specialized memory care accommodations;
- Options assisted living and personal care services;
- A vibrant and varied calendar of programs and events; and
- Entrance fee options range from pro-rated amortized to 75% repayable contracts.

Sunny View Retirement Community, Cupertino, California. Sunny View is a continuing care retirement community situated on approximately 12 acres near the foothills of Cupertino in a residential neighborhood. Sunny View has a spiritual focus. Sunny View shares its campus with Sunny View West, an affordable housing community managed by CHM. Sunny View's facilities and offerings to residents include:

- 93 private residences;
- 23 residences in Summer House® at Sunny View memory care neighborhood;
- 48 bed Medicare-certified skilled nursing and rehabilitative care center;
- Truly Yours assisted living and personal care services available;
- Residences are available on a month-to-month fee basis with no entrance fees; and
- Entrance fee options include amortized and repayable contracts.

Villa Gardens, Pasadena, California. Villa Gardens Retirement Community is a continuing care retirement community situated on approximately four acres in a residential area near downtown Pasadena. Villa Gardens facilities and offerings to residents include:

- 189 private residences;
- 19 residences in Summer House® at Villa Gardens memory care neighborhood;
- 54 bed Medicare-certified skilled nursing and rehabilitative care center;
- Truly Yours assisted living and personal care services;
- Residences are available on a month-to-month fee basis with no entrance fees;
- Entrance fee options include amortized and repayable contracts; and
- Fitness and aquatic center.

Vista del Monte, Santa Barbara, California. Vista del Monte is a continuing care retirement community situated on approximately 9.5 acres in Santa Barbara's Hidden Valley. Vista del Monte's facilities and offerings to residents include:

- 169 private residences;
- 24 residences at Summer House® at Vista del Monte memory care neighborhood;
- Truly Yours assisted living and personal care services;
- Residences are available on a month-to-month fee basis with no entrance fees;
- Entrance fee options range from non-refundable to 90% repayable contracts; and
- The Vista del Monte Fitness and Aquatics Center is a resource for residents and the Santa Barbara community.

Walnut Village, Anaheim, California. Walnut Village is a continuing care retirement community situated on approximately 8.5 acres in Anaheim California. Walnut Village's facilities and offerings to residents include:

- 156 private residences;
- 14 residences in Summer House® at Walnut Village;
- Truly Yours assisted living and personal care services;
- Residences are available on a month-to-month fee basis with no entrance fees;
- Entrance fee options include amortized and refundable to 90% repayable contracts;
- Indoor fitness and aquatic center with Masters swimming pool, a performing arts center and lifelong learning center; and
- The Walnut Village Care Center is being repurposed. See "PLAN OF FINANCE – Project" in the forepart of this Official Statement and "Capital Improvement Program – Walnut Village" herein.

Webster House, Palo Alto, California. Webster House is a continuing care retirement community situated on approximately two acres in Palo Alto, California. Ideally situated within easy walking distance to shops, restaurants, services and attractions on University Avenue in central Palo Alto, Webster House offers an intimate community ideal for long time Palo Alto residents and retired Stanford faculty. Webster House's facilities and offerings to residents include:

- 38 private residences;
- 90-bed Medicare-certified skilled nursing and rehabilitative care center;
- Options assisted living services;
- An outdoor swimming pool; and
- Entrance fee options range from pro-rated amortized to 75% repayable contracts.

Wesley Palms, San Diego, California. Wesley Palms is a monthly agreement residential care facility situated on approximately 35 acres in Pacific Beach overlooking Mission Bay and the Pacific Ocean. The Community recently completed an extensive revitalization adding new patio homes in the California mid-century style. Wesley Palms' facilities and offerings to residents include:

- 293 private residences;
- 22 residences in Summer House® at Wesley Palms, a uniquely designed memory care neighborhood with individual cottages;
- Truly Yours assisted living and personal care services; and
- All residences are available on a month-to-month fee basis with no entrance fees.

The Corporation leases and operates two active adult communities with limited services in Florida and Louisiana, and Covia Communities owns one such community in Los Gatos, California, which are described below.

Cecil Pines, Jacksonville, Florida. Cecil Pines is a monthly rental active adult community with limited services situated on approximately 53 acres on the grounds of the former Cecil Naval Air Field just outside of Jacksonville, Florida. Cecil Pines is operated by the Corporation under the terms of a lease with the City of Jacksonville, Florida that expires in 2030 with a mutual right to extend the term for three periods of five years each. Cecil Pines' facilities and offerings to residents include:

- 91 single and duplex private residences offering maintenance free living (inside and out);
- Community meeting rooms and gathering areas;

- All residences are available on a month-to-month fee basis with no entrance fees;
- An adjacent public golf course; and
- Organized community activities.

El Sombroso Oaks, Los Gatos, California. El Sombroso Oaks is a monthly rental active adult community with limited services situated on approximately 2 acres in Los Gatos, California. The Community is located on quiet residential cul-de-sacs, near shopping, services, parks and downtown Los Gatos. El Sombroso Oaks' facilities and offerings to residents include:

- 23 private residences;
- All residences are available on a month-to-month fee basis with no entrance fees; and
- All residences feature maintenance, trash services, and groundskeeping.

England Oaks, Alexandria, Louisiana. England Oaks is a monthly rental active adult community with limited services situated on approximately 63 acres on the grounds of the former England Air Force base near Alexandria, Louisiana. Established in 1986, England Oaks was the first active adult community in the country created from former military officer housing on a closed military base. England Oaks is operated by the Corporation under the terms of a lease with the England Economic and Industrial Development District that expires in 2024 with a lessee option to renew for up to three additional terms of ten years each with the England Economic and Industrial Development District. England Oaks' facilities and offerings to residents include:

- 179 single and duplex private residences offering maintenance free living (inside and out);
- A central clubhouse and pool;
- Community meeting rooms and gathering areas;
- All residences are available on a month-to-month fee basis with no entrance fees; and
- Organized community activities.

See "Licenses" below for a description of the licenses issued by the State of California to each of the Communities located in California.

Revenues by Business Lines

The following table shows the unaudited revenues of Front Porch by business line and other sources for the three months ended June 30, 2021:

Business Line ⁽¹⁾	Front Porch
Residential Living	61.40%
Memory Care ⁽¹⁾	7.15%
Care Centers ⁽²⁾	23.75%
Other	7.70% ⁽³⁾
Total	100.00%

(1) "Residential Living Units" include independent living and assisted living units. Memory support units are referred to as "Memory Care" units. Revenue includes amortization of entrance fees.

(2) Skilled nursing beds are referred to as "Care Center" beds.

(3) Includes revenues from the gift and sundries stores located at all of the Communities and revenues from the Affordable Housing Communities.

Services Provided at the Communities

Front Porch offers a wide variety of residential services across its various licensed Communities. The active adult communities with limited services are not licensed. These services are organized by Front Porch as follows:

Residential living: Full-service community living including a private residence within the community (ranging from studios and apartments/villas to cottages/patio homes with up to three bedrooms), restaurant-style dining, maintenance, housekeeping, transportation, most utilities, whole person wellbeing offerings, volunteer services, fitness and life enrichment programs including lifelong learning, and recreational opportunities and on-site security. Monthly fees include use of all amenities and common spaces within the community such as landscaped grounds, library, dog park/outdoor areas, putting greens/shuffleboard/bocce courts, pools/fitness center, arts and creative programming areas, chapel, sundry store, gardens and gathering places (indoor and out) ranging from gazebos to pubs.

Assisted living and personal care services: Front Porch offers assisted living and personal care services to meet residents' needs where they choose to reside in a Community – in their private apartment, in an assisted living unit, or in memory care. The Corporation's program is known as "Truly Yours." Covia Communities has piloted a similar program called "Options". Each Truly Yours and piloted "Options" plan is customized to the specific needs of the individual and priced in accordance with a 'points system' to meet the changing needs of residents as they age in place at a Community. The aim of both programs is to provide the fullness of care needs a resident may experience without requiring a transfer into a skilled nursing facility.

Memory care: Front Porch offers care for residents with cognitive impairment that require both a supportive physical environment and specialized program and services to support the individual's emotional and physical well-being. The Corporation offers "Summer House®" memory care, and Covia Communities offers memory care services under the name "Maggie's Place." Summer House® is a unique concept in memory care support for those with Alzheimer's and dementia-related diseases who need an extra level of care, but do not require skilled nursing care. Each Summer House® is a well-designed family-style "neighborhood" set within a Community. All are intimate in scale (from 10 to 24 accommodations) with protected courtyards and community spaces for dining and 'life enrichment' opportunities. A distinguishing feature of Summer House® is the one-on-one and small group programming and the use of innovative technologies designed to engage residents in meaningful ways.

Skilled nursing and rehabilitative care centers: Eleven Communities in California offer Medicare-certified sub-acute skilled nursing and rehabilitative care ranging in size from 24 to 172 beds.

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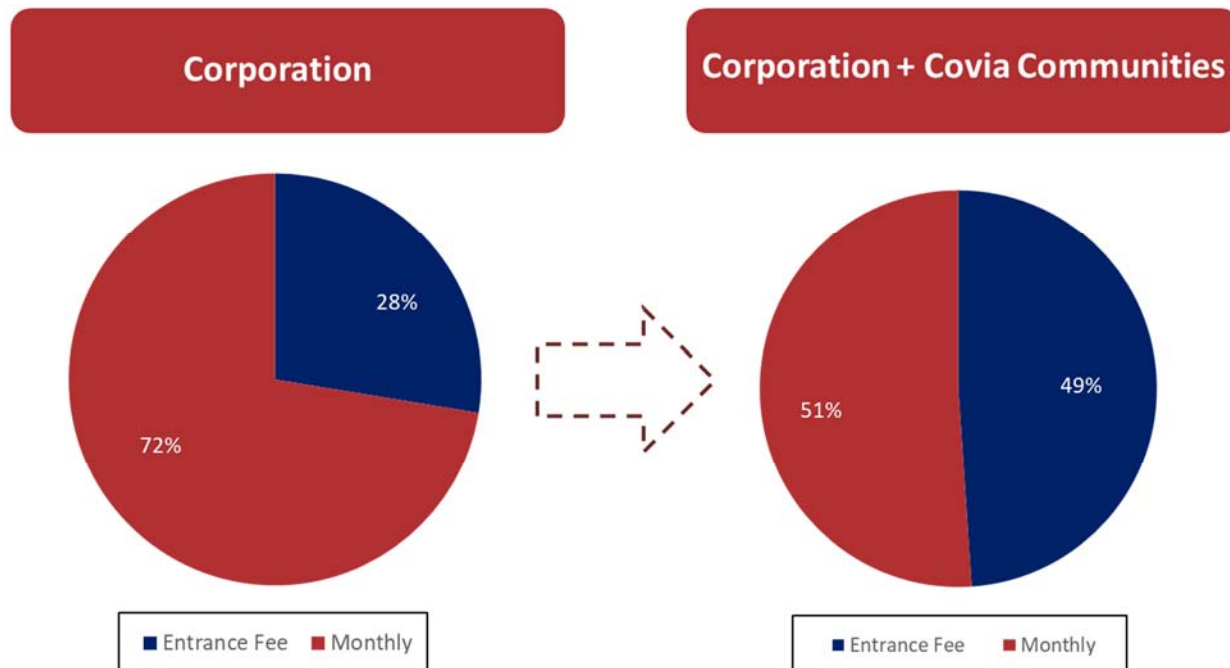
Fees and Monthly Charges

Depending upon the Community, the Corporation and Covia Communities offer residents different fee structures: month-to-month payments and/or contract fee options (entrance fees with a monthly service fee). The ranges of fees for the various fee structures for each Community is set forth in the following table.

Fees and Monthly Charges As of June 30, 2021

Name of Community	Contract Structures	Fee Structure Ranges
Canterbury Woods	Month-to-month	\$5,045 - \$6,867
Carlsbad By The Sea	Entrance Fee & Monthly Service Fee	\$119,000 - \$1,316,000 \$4,370 - \$11,330
Casa de Mañana	Month-to-month	\$3,750 - \$12,855
Cecil Pines	Month-to-month	\$1,149 - \$1,428
Claremont Manor	Month-to-month	\$4,805 - \$9,685
El Sombroso Oaks	Month-to-month	\$4,502 - \$6,279
England Oaks	Month-to-month	\$975 - \$1,320
Fredericka Manor	Month-to-month	\$2,550 - \$10,405
Friends House	Entrance Fee & Monthly Service Fee	\$154,642 - \$424,109 \$2,954 - \$4,303
Kingsley Manor	Month-to-month	\$2,615 - \$8,430
Los Gatos Meadows	N/A	
San Francisco Towers	Entrance Fee & Monthly Service Fee	\$134,249 - \$3,349,606 \$4,218 - \$10,916
Spring Lake Village	Entrance Fee & Monthly Service Fee	\$110,201 - \$2,820,994 \$3,862 - \$8,301
St. Paul's Towers	Entrance Fee & Monthly Service Fee	\$54,240 - \$2,775,162 \$3,975 - \$11,889
Sunny View Retirement Community	Entrance Fee & Monthly Service Fee	\$106,000 - \$337,875 \$4,330 - \$7,630
	Month-to-month	\$5,015 - \$11,065
Villa Gardens	Entrance Fee & Monthly Service Fee	\$239,000 - \$1,000,000 \$4,235 - \$9,050
	Month-to-month	\$7,715 - \$13,915
Vista del Monte	Entrance Fee & Monthly Service Fee	\$108,000 - \$340,007 \$3,390 - \$10,050
	Month-to-month	\$4,750 - \$11,890
Walnut Village	Entrance Fee & Monthly Service Fee	\$158,613 - \$595,900 \$4,540 - \$8,195
Webster House	Entrance Fee & Monthly Service Fee	\$433,000 - \$1,641,500 \$6,059 - \$9,220
Wesley Palms	Month-to-month	\$3,210 - \$13,105

The following pie charts illustrate the change in the percentage of revenues derived from entrance fee and month-to-month contracts for the Corporation (including the financial results for the Real Estate LLC Communities) prior to the affiliation of the Corporation and Covia Communities, as combined, each as of March 31, 2021. As the pie charts below show, the percentage of the revenues from entrance fees increased to 49% from 28% before the affiliation for the fiscal year ended March 31, 2021.



Note: As percentage of residential living and assisted living revenue for fiscal year 2021.

Licenses

Ten of the Communities (Carlsbad By The Sea, Friends House, San Francisco Towers, St. Paul’s Towers, Spring Lake Village, Sunny View, Villa Gardens, Vista del Monte, Walnut Village and Webster House) operate as CCRCs, as they each have a Certificate of Authority (the “COA”) issued by the State of California Department of Social Services, Continuing Care Contracts Branch. A COA permits the Corporation or Covia Communities to enter into continuing care contracts with residents at those communities which are defined by the State of California as agreements between a person 60 years or older and the provider where, in exchange for payment, a promise is made to provide a range of services at the community for a period longer than one year. The Corporation and Covia Communities must submit audited financial statements and reserve reports annually to the State.

All Communities located in California other than El Sombroso Oaks are licensed as Residential Care Facilities for the Elderly by the State of California Department of Social Services.

The California Department of Public Health has licensed the skilled nursing beds in each of the Communities located in California.

The Administrator of each of the skilled nursing facilities in California is licensed by the Department of Public Health as a Skilled Nursing Administrator. The Executive Director of each

Community in California is also licensed by the Department of Social Services as a Residential Care Facility for the Elderly Administrator.

Capital Improvement Program

Front Porch regularly invests in improvement, modernization and redevelopment of all of the Communities in order that they can remain marketable, attractive and competitive. Front Porch uses a combination of operating cash flow, reserves, and debt to fund its capital improvement program. The following table provides the cash used for capital improvements to the Communities for the last five fiscal years and budgeted for the fiscal year ending March 31, 2022.

Routine Capital Expenditures (in thousands)

Fiscal Year Ended March 31	Corporation - Amount	Covia Communities - Amount
2017	\$22,403	\$22,888
2018	\$29,324	\$24,680
2019	\$31,527	\$24,298
2020	\$35,708	\$18,814
2021	\$45,104	\$13,512
Five Year Average	\$32,813	\$22,670
2022 Budget	\$38,805	\$21,251

The table above does not include the multi-year renovation and construction project at Wesley Palms (the “Wesley Palms Project”), which commenced in 2015 and was completed on January 31, 2021, with a total cost of \$92.5 million, financed with proceeds from the Front Porch Series 2015 Bonds and Front Porch Series 2017B Bonds. The Wesley Palms Project involved the replacement of 150 independent living cottages with 170 patio homes and the renovation of 121 independent living units in the main building.

In addition to its regular capital improvements program, Front Porch expects to begin the following capital projects in the near future:

San Francisco Towers. Covia Communities is in the process of converting a portion of skilled nursing to ten memory care accommodations. Construction is anticipated to be completed by the end of the calendar year, with admissions expected by the new fiscal year. The total cost of the project is projected to be approximately \$5 million, and the San Francisco Towers improvements are being paid for with Covia Communities’ own funds.

Walnut Village. The Corporation is in the process of seeking approval from the City of Anaheim to renovate and convert the former Care Center facility at Walnut Village to (i) memory care, (ii) high acuity assisted living, and (iii) independent living units. Once approvals are obtained, construction is expected to be completed within 24 months. The Corporation expects to finance the Walnut Village project with approximately \$10 million of the proceeds of the Series 2021 Bonds. See “PLAN OF FINANCE – Project” in the front part of this Official Statement. Walnut Village otherwise remains open and functioning.

Expansion Plans

The Corporation routinely evaluates opportunities for affiliation, joint venture and other arrangements with other organizations as well as opportunities for the acquisition of other organizations or properties, including retirement community and nursing care properties. Other than the internal consolidation of entities within Front Porch described herein, the Corporation has no current plans to acquire another community, merge into another organization or dispose of one or more of its Communities.

RESIDENCY AGREEMENTS

Terms of Residency Agreements

Except where noted herein, the Residency Agreements used by the Corporation and Covia Communities at their respective communities are the same with regard to material provisions. Each resident of a Community (excluding residents at Cecil Pines, El Sombroso Oaks, and England Oaks, who sign rental agreements) is required to enter into an agreement with the Corporation, Covia Communities, or Front Porch OpCo, as applicable (the “Residency Agreement”). The Residency Agreement provides that the resident will pay Front Porch a non-refundable processing fee, a monthly fee, and in certain Communities, an entrance fee. See “Entrance Fees and Entrance Fee Contracts” below. The processing fee presently ranges from \$300 to \$500. In all cases, the fee structures may be adjusted from time to time upon 30 to 60 days’ written notice.

Under the terms of the Residency Agreement, Front Porch agrees to provide an unfurnished living unit that includes building and grounds maintenance, utilities (except telephone), up to three daily meals, and regularly scheduled housekeeping and linen services, recreation, social services, and transportation services. Assistance with self-administered medications and care of minor ailments is also provided as needed at an additional charge. Optional services are available for additional fees.

Front Porch has three types of contracts with residents:

Extensive (Type A) – Includes housing, residential services, amenities and limited, specific health-related services with annual increases in monthly payments, to cover normal operating costs and inflation adjustments. Type A contracts allow residents to transfer to other levels of care at their current monthly rate. The Corporation stopped offering residents Type A Contracts in April of 2006 but Covia Communities continues to offer Type A Contracts.

Modified (Type B) – Includes housing, residential services and amenities and a specific amount of health care with annual increases in monthly payments to cover normal operating costs and inflation adjustments. Residents pay either a discounted rate or the full per diem rates for required health care services.

Rental (Month-to-Month) – Allows residents the opportunity to rent their housing and includes access to certain healthcare services which would be paid on a full fee-for-service basis.

Front Porch considers applications for residence at a Community based upon the guidelines for the acceptance of residents described below and maintains sole discretion on the decision to accept the resident. An application for residence in an independent living unit will be accepted only if the applicant demonstrates the ability to live independently at the time the Residency Agreement is executed and meets the financial obligations of the independent living unit. For the Corporation, at least one independent living resident must be 60 years of age or older at the time of establishing occupancy, while Covia Communities

requires a minimum age of 62. No dependent children may reside in a Community unless otherwise agreed by Front Porch.

In the event a resident should consistently require special care, the resident may receive additional care in the original accommodation or may be transferred to an assisted living unit, memory care, skilled nursing facility, or other outside facility. While Front Porch attempts to ensure that space in its Care Centers is available to residents of its residential units, no assurance of availability is provided in the Residency Agreement. In the event such a transfer is necessary, Front Porch relies on the recommendation of licensed physicians and Front Porch's professional staff.

With respect to the Residency Agreement entered into for Communities that charge entrance fees, and consistent with state statutes, Front Porch has a 90-day rescission period during which either the resident or Front Porch may terminate with or without cause. If a decision is made to terminate a residence during the cancellation period, a portion of the monthly fee and any entrance fee paid is refunded. If residence is terminated for any reason after 90 days, Front Porch must refund a portion of any entrance fee paid as provided in each agreement. See "Entrance Fees and Entrance Fee Contracts" below. Front Porch reserves the right to request a resident leave for good cause, upon giving the resident 90 days' written notice. A resident may also leave voluntarily for any reason upon 90 days' written notice.

The Residency Agreement also sets forth a statement of the respective rights of residents and Front Porch and certain required statutory disclosures.

In order to reserve an independent living unit, a prospective resident for a Community of the Corporation must execute a Residency Agreement, provide a self-disclosure of health and financial resources, pay an application processing fee, and place a deposit equal to 10% of the entrance fee on the selected independent living unit. For Covia Communities, the prospective resident must provide a self-disclosure of health and financial resources, pay an application processing fee, and submit to the application approval process. No deposit is required.

Front Porch has a separate Residency Agreement for residents entering the skilled nursing facilities from its Communities (the "Care Center Admission Agreement"). Under the Care Center Admission Agreement, the resident pays a basic daily rate, presently ranging from \$250 - \$400 per day depending on the type of room and the cost of providing care. The basic daily rate includes general nursing care, dietary services, housekeeping services, linens, beddings and an activity program. Rates from third-party payors (Medicare, managed care contracts, insurance, etc.) may be higher or lower than private rates, but generally include other services such as therapy or medications. Medi-Cal (California's Medicaid program) rates are typically lower than private rates. See "FINANCIAL INFORMATION – Care Center Payor Mix."

The form and content of the Care Center Admission Agreement is regulated by the State of California Department of Health Services.

In the Residency Agreements, each resident agrees to make a temporary transfer to an assisted living unit, memory care or the skilled nursing facility if deemed appropriate, in the event that the Community determines that such resident is unable to live independently in his or her independent living unit. To the extent feasible, the Community will make all determinations concerning temporary or permanent transfers in consultation with the resident, family members or representatives, the resident's primary physician, the Community's Medical Advisor, and the Executive Director. If moved to the assisted living or memory care units, a resident will be considered a permanent transferee and will forfeit rights to his or her independent living unit if he or she is unlikely to return to such unit within 90 days.

Entrance Fees and Entrance Fee Contracts

Ten of the nineteen Communities offer residents the option of a contract rate with an entrance fee as compared to a month-to-month rate at the other nine communities. Those choosing the entrance fee contract option (net of refunds) amounted to 49% of the residential living and memory care revenue of the Front Porch and Covia as of fiscal year 2021.

The Corporation offers three basic types of entrance fee contracts: (1) non-refundable amortized contracts; (2) 90% repayable contracts; and (3) 50% repayable contracts. For the fiscal year ended March 31, 2021, the percentages by residents for the three types of contracts were as follows: 66% non-refundable amortized contracts, 32% 90% repayable contracts, and 2% 50% repayable contracts. See Note 19 in the audited financial statements in Appendix B-1.

Covia Communities offers two basic types of entrance fee contracts: (1) pro-rated non-refundable amortized contracts; and (2) 75% repayable contracts. For the fiscal year ended March 31, 2021, the current entrance fee mix (including those residents on legacy contracts no longer offered) by residents were: 83% pro-rated non-refundable amortized contracts, 3% 75% repayable contracts, and 14% 90% repayable contracts.

Amortized contracts are amortized into income using a straight-line method over the estimated remaining life expectancy of the resident. If a voluntary withdrawal occurs within the initial 90-day period, the amount refunded shall be equal to the entrance fee, less the reasonable value of services rendered by Front Porch and a reasonable processing fee to cover costs. If a voluntary withdrawal occurs after the 90-day period, the amount refunded shall be equal to the entrance fee, less an amount amortized on a basis ranging from 60 to 67 months from the date of the agreement, in the case of the Corporation, or 50 months, in the case of Covia Communities. After the stated amortization period, there is no refund of any portion of the then fully amortized entrance fee.

For repayable contracts, if the resident withdraws after the initial 90-day period, the amount refunded shall be a certain percentage of the entrance fee less costs incurred by Front Porch to return the residence to its condition prior to residency and unpaid charges or obligations of the resident. If Front Porch terminates a repayable contract for good cause after the 90-day period, the refunded amount shall be all amounts paid under the agreement less processing costs and the reasonable value of services provided by Front Porch. If Covia Communities terminates an agreement at any time, the entire entrance fee shall be refunded less processing costs, reasonable value of services provided by Covia Communities, costs and charges related to the Residency Agreement, and the cost of returning the property to its condition prior to residency. Repayable contracts are subject to refund after the unit has been resold and in accordance with the California State Department of Social Services Continuing Care Contract Statutes.

Changes in Occupancy

If an independent living unit is occupied by two persons and one surrenders possession of the unit other than by death or by transfer to the other resident, the obligations of the person remaining in the unit under the Residency Agreement remain in legal force and effect, except that the monthly service fee will be adjusted to reflect the single occupancy rate then in effect for the unit.

Financial Assistance

The Corporation may assist residents who become unable to pay in full the monthly service fee or other charges by reason of circumstances beyond the resident's control. If the Corporation determines that there are facts justifying such assistance, the Corporation may subsidize in whole or in part a resident's

monthly service fee and other charges. Any decision to grant financial assistance to a resident will be within the sole discretion of the Corporation and will be limited by the Corporation's obligation to meet its commitments to all residents and to operate on a sound financial basis.

OPERATIONS

General

Front Porch's management team is responsible for the operations of all of the Communities. See "GOVERNANCE – Management" herein.

Historical Units/Beds by Community

The following table shows the average number of units/beds by Community and primary business line for the fiscal years ended March 31, 2019, 2020 and 2021 and three months ended June 30, 2021.

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Average Available Units/Beds by Community

Community Name	Fiscal Year Ended March 31,									Three Months Ended		
	2019			2020			2021			June 30, 2021		
	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers
Canterbury Woods	151	**	24	151	**	24	151	**	24	150	**	24
Carlsbad By The Sea	159	**	33	157	**	33	158	**	33	159	**	33
Casa de Mañana	188	**	**	188	**	**	187	**	**	183	**	**
Cecil Pines	92	**	**	92	**	**	92	**	**	91	**	**
Claremont Manor	217	10	59	213	10	59	209	13	59	216	17	59
El Sombroso Oaks	22	**	**	22	**	**	22	**	**	22	**	**
England Oaks	180	**	**	179	**	**	179	**	**	179	**	**
Fredericka Manor	284	22	174	280	22	174	261	22	174	247	22	174
Friends House	**	**	**	**	**	**	**	**	**	80	**	**
Kingsley Manor	219	**	51	215	**	51	215	**	51	216	**	51
Los Gatos Meadows	147	10	39	**	**	**	**	**	**	**	**	**
San Francisco Towers	254	**	25	253	**	25	253	**	25	253	**	25
Spring Lake Village	350	13	70	350	13	70	350	13	70	350	13	70
St. Paul's Towers	217	12	43	216	12	43	216	12	43	216	12	43
Sunny View	93	22	48	93	23	48	93	23	48	93	23	48
Villa Gardens	191	18	54	191	19	54	186	16	54	190	19	54
Vista del Monte	168	10	**	168	18	**	169	24	**	169	24	**
Walnut Village	156	14	99	156	14	99	156	14	41	156	14	**
Webster House	37	**	136	37	**	136	38	**	94	38	**	93
Wesley Palms	241	22	**	267	22	**	293	22	**	293	22	**
Consolidated Total	3,366	145	855	3,228	153	816	3,228	159	716	3,301	166	674

** Not applicable.

Historical Occupancy

The following table shows the average annual historical occupancy by Community and by unit type for the fiscal years ended March 31, 2019, 2020 and 2021 and the three months ended June 30, 2021.

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Average Occupancy by Community

Community Name	Fiscal Year ended March 31, 2019			Fiscal Year ended March 31, 2020			Fiscal Year ended March 31, 2021			Three Months ended June 30, 2021		
	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers	Residential Living	Memory Care	Care Centers
Canterbury Woods	93%	**	75%	89%	**	79%	85%	**	71%	85%	**	75%
Carlsbad By The Sea	97%	**	89%	96%	**	85%	91%	**	68%	93%	**	74%
Casa de Mañana	98%	**	**	97%	**	**	92%	**	**	96%	**	**
Cecil Pines	100%	**	**	99%	**	**	99%	**	**	100%	**	**
Claremont Manor	92%	87%	82%	95%	94%	84%	92%	89%	70%	81%	88%	72%
El Sombroso Oaks	82%	**	**	91%	**	**	86%	**	**	82%	**	**
England Oaks	89%	**	**	89%	**	**	91%	**	**	96%	**	**
Fredericka Manor	84%	81%	93%	84%	93%	89%	80%	93%	76%	79%	97%	74%
Friends House	**	**	**	**	**	**	**	**	**	80%	**	**
Kingsley Manor	99%	**	88%	97%	**	84%	92%	**	72%	90%	**	70%
Los Gatos Meadows	86%	70%	77%	**	**	**	**	**	**	**	**	**
San Francisco Towers	97%	**	76%	98%	**	68%	95%	**	60%	94%	**	64%
Spring Lake Village	97%	77%	84%	96%	62%	80%	93%	54%	70%	89%	54%	67%
St. Paul's Towers	91%	67%	74%	97%	83%	70%	94%	75%	54%	90%	67%	49%
Sunny View	98%	91%	86%	99%	97%	87%	97%	96%	73%	92%	96%	71%
Villa Gardens	98%	98%	86%	97%	96%	85%	91%	91%	64%	90%	93%	78%
Vista del Monte	90%	93%	**	91%	84%	**	88%	94%	**	88%	96%	**
Walnut Village	98%	100%	89%	97%	99%	85%	92%	99%	40%	90%	100%	**
Webster House	89%	**	87%	97%	**	79%	90%	**	90%	95%	**	78%
Wesley Palms	83%	97%	**	83%	99%	**	75%	89%	**	71%	94%	**
Consolidated Total	93%	88%	86%	91%	91%	83%	90%	88%	71%	88%	89%	72%

** Not applicable.

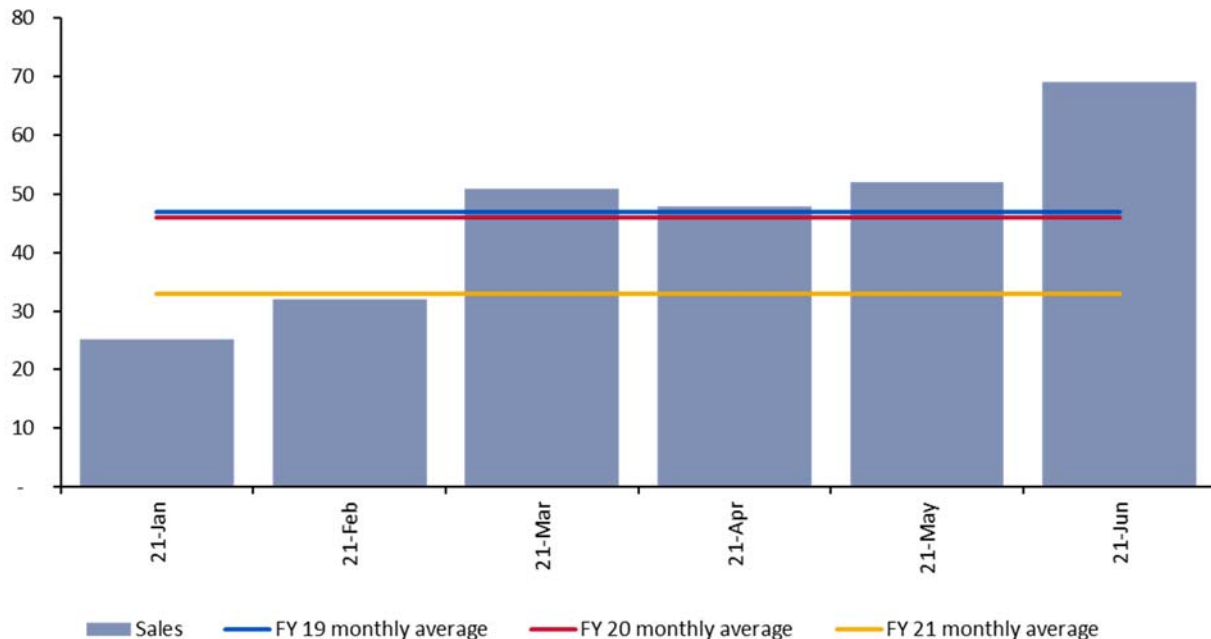
Marketing

Front Porch's Sales and Marketing Department focuses on fostering full occupancy. This is done through motivation, training, mentoring and supporting operations and sales team members. Staffed with eight FTE's, the Department's team members have more than 20 years of longevity with the Corporation and 150 years of combined sales and sales leadership experience.

Each Community has a full-time Director of Sales and Marketing who, together with the Executive Director, are responsible to ensure that quality leads are being directed to the Community and that the leads are converted to move-ins, which in turn, generate high occupancy levels. Communities have a variety of sales positions including sales managers, sales counselors, transition coordinators and sales and marketing assistants. Each Community develops and owns a fiscal year Sales and Marketing Plan which documents detailed goals and strategies for lead generation.

The primary strategies for lead generation include website traffic and inquiry forms, digital, social media, print, and broadcast advertising, e-blasts, print and electronic newsletters, direct mail, event invitations and events on site and virtual. Front Porch maintains leads in a Customer Relationship Management database and uses data in the system to forecast marketing results and associated tactics.

Monthly sales continue to improve and trend above fiscal year 2019 and 2020 monthly averages on a combined Corporation (including the financial results for the Real Estate LLC Communities) and Covia Communities basis. These gains have been substantially offset by move outs, transfers to higher levels of care and deaths that also trended higher during the pandemic.



Competition

The primary competitor for each of the Communities is the prospective resident's own home and the emergence of available technologies and services to keep the prospect in their home. In addition, each Community competes with other retirement communities within their primary market area. Front Porch

conducts a competitive analysis annually focusing on rates and services which are shared with the sales teams.

See also “BONDHOLDERS’ RISKS – Competition” in the forepart to this Official Statement.

Resident Fee Adjustments

Front Porch has the authority to increase the resident’s Monthly Service Fees with 60 days’ notice. Historically, Front Porch has annually increased Monthly Service Fees on April 1st, which corresponds to the first day of the new fiscal year of each of the Corporation and Covia Communities.

Additionally, the Corporation has the authority to increase the resident care services (“Truly Yours” at the Corporation and “Options” at Covia Communities) for Residential Living residents with 60 days’ notice. Some examples of resident care services are medication management, outside pharmacy, toileting and incontinent care, companion care, laundry services, wound care and escort services to/from doctors, etc. These services are on a fee basis and vary among Communities. Delivering these services is labor intensive, therefore, annual increases are initiated to maintain acceptable margins.

Entrance fees are adjusted based on market demand and closely parallel the real estate market.

The Corporation offers a single rate increase for each business line. Covia Communities offers different rates at each of its Communities; therefore, annual rate increase ranges are shown in the table below for Covia Communities.

Corporation’s Annual Rate Increase

Fiscal Year Ended March 31	Annual Rate Increase
2017	4.25%
2018	4.50%
2019	4.15%
2020	4.50%
2021	4.90%
2022	3.90%

Covia Communities’ Annual Rate Increase

Fiscal Year Ended March 31	Annual Rate Increase Ranges
2017	3.45% - 4.95%
2018	3.45% - 4.95%
2019	2.75% - 4.75%
2020	4.00% - 4.95%
2021	4.00% - 5.00%
2022	4.50% - 5.25%

Care Center Payor Mix

The tables below set forth the percentage of gross resident service revenues for Care Center beds (nursing care), net of contractual adjustments, for the Corporation (including the financial results of the Real Estate LLC Communities) and Covia Communities by payor source for the three fiscal years ended March 31, 2019, 2020 and 2021 and the three months ended June 30, 2020 and 2021.

Payor	Corporation and Covia Communities Fiscal Year ended March 31,			Corporation and Covia Communities Three Months ended June 30,	
	2019	2020	2021	2020	2021
Private Pay	20.0%	21.1%	23.4%	24.1%	19.2%
Medi-Cal	34.3%	38.5%	43.5%	45.2%	40.5%
Medicare	30.3%	26.0%	18.2%	17.1%	25.2%
Managed Care Insurance	8.1%	7.9%	6.0%	4.6%	6.9%
Continuing Care Residents	7.3%	6.5%	8.9%	9.0%	8.2%
Total	100.0%	100.0%	100.0%	100.0%	100.0%

Care Center beds are available to both residents of the Communities as well as residents of the surrounding area.

RESPONSE TO COVID-19

In late January 2020, management of the Communities began responding to the increased threat of COVID-19/Coronavirus through social restrictions. By February 28, 2020, the Communities started escalating their response to “incident command center” level; resident gatherings and all visitors were prohibited. In early March 2020, both the Corporation and Covia Communities established enterprise coordination of the management and response to the emerging pandemic. By the end of March 2020, both corporate offices were on modified attendance protocols; the Corporation employed a reduced-presence approach, while Covia Communities employed a full remote-work approach.

Prevention Measures

From mid-March 2020 through March 2021, each of the Corporation and Covia Communities’ adhered to guidance notices and order from the CDC, state licensing departments, and local public health authorities. Typical protocols were as follows:

- Communities had very limited gatherings of residents, and those that did occur mandated that attendees wear appropriate facial coverings and remain socially distanced at 6+ feet.
- All employees completed COVID-19 symptom screening and contact questions prior to every shift.
- Community staff wore job-specific PPE at all times.
- Meal service, where offered, was delivered to residents’ front doors or by pre-arranged pick up times.
- Housekeeping, where offered, shifted focus from tidiness to infection control as a priority.

- Where possible, outdoors visitation centers were established using clear barriers to separate people.
- Corporate staff was only permitted to visit Communities when there was an essential service that they could not provide remotely.
- The organizations each developed a centralized purchasing program for PPE distributed at the community level. This allowed for a minimum inventory levels of PPE at 45 days' usage rate to span any regional supply shortages.
- Covia Communities established a COVID-19 Task Force at the corporate level to review, analyze, and disseminate information to the community management team.
- The Corporation implemented a company-wide system (Regroup) that allowed the sharing of COVID-19 data in real time via messaging, email, and phone calls to all residents, family and staff.

Beginning in April 2021, health authorities began easing some of the restrictive protocols on senior communities, including the enforced isolation of residents. These easing of restrictions continue to evolve with updated orders and notices issued by the CDC, state licensing departments, and local public health authorities. Front Porch Communities remain committed to adhering to those orders, which vary by locality.

Vaccination Efforts

Beginning in January 2021, COVID-19 vaccines became available to Front Porch residents and employees. As of August 9, 2021, more than 95% of residents and about 90% of employees were fully vaccinated.

Resident participation was strong from the outset of the availability of the vaccinations. Although employee participation was initially slower, strong advocacy and education resulted in steady improvement since January. Front Porch continues its educational efforts to further increase employee participation.

On August 18, 2021, the White House announced its plan to order the Department of Health and Human Services to require that staffs of federally funded nursing homes be vaccinated in order to participate in the Medicare and Medicaid programs. The regulations implementing these new rules are not anticipated to be issued by the Center for Medicare and Medicaid Services until September of 2021. Currently, there is no guidance for which employees of Front Porch will be required to comply with these rules, by what deadline, or how any penalties for noncompliance will be implemented. When applicable regulations are promulgated and guidance provided, Front Porch intends to take the action required to preserve its ability to participate in the Medicare and Medicaid programs.

Financial Measures

During fiscal year 2021, the Corporation and Covia Communities undertook the following to address the ongoing challenges of the pandemic:

- The Corporation deferred its annual rate increase
- Covia Communities scaled back capital spending

- Employee appreciation and incentive compensation were paid despite weaker operating performance
- Recognized \$8.7 million of grants related to COVID-19 relief for fiscal year 2021 on a combined consolidated basis

For additional information, see “HISTORICAL FRONT PORCH FINANCIAL INFORMATION – Management’s Discussion” and “HISTORICAL COVIA FINANCIAL INFORMATION – Management’s Discussion.”

UNAUDITED PRO FORMA HISTORICAL COMBINED FINANCIAL INFORMATION

General

As discussed above, on April 1, 2021, the Corporation became the sole member of Covia Group, Covia Communities and Covia Affordable Communities. Accordingly, consolidated audited financial statements of the Corporation and its subsidiaries for the fiscal years ended March 31, 2019, 2020 and 2021 (the “Front Porch Consolidated Audit Entities”) that include the Covia Group and its Controlled Affiliates for the fiscal years ended March 31, 2019, 2020 and 2021 (the “Covia Consolidated Audit Entities”) have not been prepared for the fiscal years ended March 31, 2019, 2020 and 2021. The following unaudited financial information prepared by Front Porch management summarizes the combined statements of operations and combined balance sheets for the Front Porch Consolidated Audit Entities and the Covia Consolidated Audit Entities as of March 31, 2019, 2020 and 2021. The information presented under this heading shows the combined pro forma operations of the Front Porch Consolidated Audit Entities and Covia Consolidated Audit Entities, as if the acquisition of the Covia Consolidated Audit Entities had occurred at the beginning of fiscal year 2019, in order to provide consistent, meaningful information for all periods presented. The unaudited financial information was derived by management from the following financial statements:

1. The audited consolidated financial statements for the Front Porch Consolidated Audit Entities for the fiscal years ended March 31, 2019, 2020 and 2021. The audited consolidated financial statements for Front Porch Consolidated Audit Entities for the fiscal years ended March 31, 2020 and 2021 are included in this Official Statement as Appendix B-1.

2. The audited consolidated financial statements for Covia Consolidated Audit Entities for the fiscal years ended March 31, 2019, 2020 and 2021. The audited consolidated financial statements for the Covia Consolidated Audit Entities for the fiscal years ended March 31, 2020 and 2021 are included in this Official Statement as Appendix B-2.

The unaudited pro forma combined consolidated statements of operations for the fiscal years ended March 31, 2019, 2020 and 2021 reflect the combination of audited Front Porch Consolidated Audit Entities information and the audited Covia Consolidated Audit Entities information. The unaudited pro forma combined consolidated balance sheets as of March 31, 2019, 2020 and 2021 reflect the combination of audited Front Porch Consolidated Audit Entities information and the audited Covia Consolidated Audit Entities information. Certain amounts for the Covia Consolidated Audit Entities have been reclassified to conform to the Corporation’s presentation.

Fair value measurements recorded in acquisition accounting are dependent upon certain valuation studies of the Covia Consolidated Audit Entities’ assets and liabilities which are incomplete and are not to a stage whereby there is sufficient information for a reasonable measurement. As such, the unaudited pro forma combined financial statements do not include any adjustments to account for acquisition accounting.

The final values recorded at the acquisition date will be recorded and these adjustments could have a material impact on the unaudited pro forma combined financial information set forth in the following tables.

The unaudited pro forma combined financial information should be read in conjunction with the information under the headings “HISTORICAL FRONT PORCH FINANCIAL INFORMATION,” “HISTORICAL COVIA FINANCIAL INFORMATION” in this Appendix A, and Appendix B-1 and Appendix B-2, including the notes thereto.

The unaudited pro forma combined financial information has been presented for informational purposes only. The unaudited pro forma combined financial statements do not purport to represent actual results of operations that Front Porch would have achieved had the companies been combined during these periods or to project the future results of operations that Front Porch may achieve after completion of the acquisition.

Revenues and Assets Attributable to the Obligated Group and the Communities

The financial information within this Appendix A is that of Front Porch rather than that of the Obligated Group. Promptly following the issuance of the Series 2021 Bonds, it is expected that the Real Estate LLC Communities will be merged into the Corporation. On a pro forma basis, the Corporation (including the financial results for the Real Estate LLC Communities) and Covia Communities (which will become an Obligated Group Member upon the issuance of the Series 2021 Bonds) constitute (i) 90% and 88% of the total assets of Front Porch as of March 31, 2021 and as of June 30, 2021, respectively, and (ii) 94% and 92% of the total revenue of Front Porch for the fiscal year ended March 31, 2021 and for the three months ended June 30, 2021, respectively.

The Corporation and, upon the issuance of the Series 2021 Bonds, Covia Communities, will be the sole Members of the Obligated Group. Under the Master Indenture, Obligated Group Members are jointly and severally liable to make payments with respect to Obligations issued under the Master Indenture. See “SECURITY FOR THE BONDS – The Master Indenture” in the front part of this Official Statement. No other subsidiary or affiliate of the Corporation or Covia Communities is obligated with respect to Obligations issued under the Master Indenture or with respect to the Series 2021 Bonds.

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Financial Results

Unaudited Pro Forma Combined Consolidated Statements of Operations (in thousands)

	Fiscal years ended March 31,		
	2019	2020	2021
Revenues, Gains, and Other Support Without Donor Restrictions			
Resident and patient service revenue	\$337,770	\$334,340	\$312,184
Amortization of entrance fees	30,828	33,304	34,378
Other	2,961	3,380	6,869
Net assets released from restriction used for operations	3,598	3,068	2,958
Total revenues, gains, and other support without donor restrictions	375,157	374,092	356,389
Expenses			
Medical services	90,275	87,280	77,110
Facility operating costs	49,523	48,064	48,235
Dietary services	56,919	57,144	53,859
Residential services	26,263	25,469	24,526
Administrative services	68,186	70,433	74,070
Depreciation	57,317	57,609	61,356
Amortization of deferred costs	1,154	497	497
Interest expense	17,791	18,785	18,074
Other	4,201	4,994	2,969
Covia only - Other components of net periodic benefit costs	-	(817)	1,397
Covia only - program expenses for community outreach	2,714	3,035	2,453
Covia only - exit costs (Los Gatos)	11,136	-	-
Loss on disposal of property and equipment	-	-	1,149
Total operating expenses	385,479	372,493	365,695
Operating Income (Loss) Before Other Operating Charges	(10,322)	1,599	(9,306)
Other Operating Charges			
Asset impairment/asset disposal	(12,024)	(360)	0
COVID19 related income	-	-	4,298
COVID19 related expense	0	(309)	(8,476)
Total other operating charges	(12,024)	(669)	(4,178)
Operating Income (Loss)	(22,346)	930	(13,484)
Investment Return, net	18,296	(45,658)	173,123
Covia only - Inherent Contribution	6,420	-	12,591
Covia only - Change in Pension Benefit Obligation	(596)	(13,523)	19,450
	24,120	(59,181)	205,164
Excess (Deficiency) of Revenue over Expenses	1,774	(58,251)	191,680
Net Assets Released from Restriction for Capital Expenditures	465	72	56
Increase (Decrease) in Net Assets Without Donor Restrictions	2,239	(58,179)	191,736

Unaudited Pro Forma Combined Consolidated Balance Sheets
(in thousands)

	As of March 31,		
	2019	2020	2021
Assets			
Current Assets			
Cash and cash equivalents	\$ 35,586	\$ 42,033	\$ 48,634
Short-term investments	168,680	149,372	183,139
Assets limited as to use – required for current liabilities	16,732	15,229	17,592
Resident and patient accounts receivable	23,278	14,901	14,196
Prepaid expenses and other	6,370	7,225	9,172
Intercompany receivables	-	-	-
Total current assets	250,646	228,760	272,733
Investments			
Assets limited as to use, net of current portion	22,572	27,265	26,206
Long-term investments	309,718	264,822	378,274
Derivative instruments	59	23	75
Total investments	332,349	292,110	404,555
Property and Equipment, Net	726,176	727,005	729,003
Other Assets			
Interest in net assets of Pacific Homes Foundation	12,649	10,780	14,880
Receivables from supporting organizations	12,576	12,403	15,199
ROU assets - operating leases	-	13,579	11,726
Other receivables	2,318	2,100	1,704
Deferred costs, net	12,723	15,584	19,185
Other assets	739	414	614
Total other assets	41,005	54,860	63,308
Total assets	\$1,350,176	\$1,302,735	\$1,469,599
Liabilities and Net Assets			
Current Liabilities			
Current maturities of long-term debt	\$ 8,092	\$ 8,738	\$ 21,303
Current portion of operating leases	-	2,133	2,120
Accounts payable	22,550	13,862	16,372
Accrued payroll and related expenses	20,210	18,663	20,894
Intercompany payables	-	-	-
Accrued interest	5,258	5,224	5,225
Other accrued expenses	13,202	11,599	16,677
Total current liabilities	69,312	60,219	82,591
Asset retirement obligation	2,124	2,049	2,067
Accrued workers compensation	12,230	10,955	4,956
Operating lease liabilities	-	13,104	11,081
Other accrued liabilities	42,861	63,388	48,602
Refundable entrance fees	154,432	140,353	126,848
Deferred revenue from entrance fees	207,653	211,997	209,449
Long-term debt	483,734	483,398	466,170
Total liabilities	972,346	985,463	951,764
Net assets:			
Without donor restrictions	344,094	285,815	477,552
With donor restrictions	33,736	31,457	40,283
Total net assets	377,830	317,272	517,835
Total liabilities and net assets	\$1,350,176	\$1,302,735	\$1,469,599

**FRONT PORCH FINANCIAL INFORMATION
FOR THE THREE MONTHS ENDED JUNE 30, 2020 AND 2021**

General

The selected financial data for the three-month period ended June 30, 2021, included below, was derived from interim consolidated financial information of Front Porch. Such financial data reflects the April 1, 2021 acquisition of the Covia Group entities, but does not include the fair value adjustments related to the affiliation. Such financial data has not been audited but includes all adjustments, consisting of normal recurring adjustments, that Corporation management considers necessary for a fair presentation on a basis consistent with the audited financial statements.

For purposes of comparison, the selected pro forma financial data for the three-month period ended June 30, 2020 prepared by Front Porch management and included below, reflects the combination of Front Porch Consolidated Audit Entities information and Covia Consolidated Audit Entities information for such period, as if the acquisition of the Covia Consolidated Audit Entities occurred at the beginning of the period. The financial data has not been audited but includes all adjustments, consisting of normal recurring adjustments, that Corporation management considers necessary for a fair presentation on a basis consistent with the audited financial statements. Certain amounts for the Covia Consolidated Audit Entities have been reclassified to conform to the Front Porch Consolidated Audit Entities' presentation.

Fair value measurements recorded in acquisition accounting are dependent upon certain valuation studies of the Covia Consolidated Audit Entities' assets and liabilities which are incomplete and are not to a stage whereby there is sufficient information for a reasonable measurement. As such, the pro forma financial data does not include any adjustments to account for acquisition accounting. The final values recorded at the acquisition date will be recorded and these adjustments could have a material impact on the unaudited combined financial information set forth in the following tables.

The results for the three-month period ended June 30, 2021 is not necessarily indicative of the results that may be expected for the entire fiscal year ending March 31, 2022.

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Financial Results

Front Porch Consolidated Statements of Operations (in thousands)

	Three months ended June 30,	
	2020	2021
	(unaudited pro forma combined)	(unaudited consolidated) ⁽¹⁾
Revenues, Gains, and Other Support Without Donor Restrictions		
Resident and patient service revenue	\$ 72,849	\$ 75,922
Amortization of entrance fees	8,395	9,828
Other	5,991	6,978
Net assets released from restriction used for operations	770	761
Total revenues, gains, and other support without donor restrictions	88,005	93,489
Expenses		
Medical services	\$ 19,767	\$ 18,911
Facility operating costs	8,891	9,517
Dietary services	13,120	13,427
Residential services	7,570	7,577
Administrative services	17,532	18,046
Depreciation	14,952	16,513
Amortization of deferred costs	124	124
Interest expense	4,727	4,619
Other	3,023	3,561
Covia only - Other components of net periodic benefit costs	575	150
Covia only - program expenses for community outreach	-	-
Covia only - exit costs (Los Gatos)	-	-
Loss on disposal of property and equipment	-	-
Total operating expenses	90,282	92,445
Operating Income (Loss) Before Other Operating Charges	(2,277)	1,044
Other Operating Charges		
Other	\$ (2)	\$ -
COVID19 related income	3,739	1,386
COVID19 related expense	(3,074)	(1,298)
Total other operating charges	662	88
Operating Income (Loss)	(1,614)	1,132
Investment Return, net	67,406	34,065
Covia only - Inherent Contribution	-	-
Covia only - Change in Pension Benefit Obligation	-	-
	-	-
Excess (Deficiency) of Revenue over Expenses	\$ 65,791	\$ 35,197
Net Assets Released from Restriction for Capital Expenditures	6	-
Increase (Decrease) in Net Assets Without Donor Restrictions	\$ 65,797	\$ 35,197

Note: Prior to fiscal year 2022, the Front Porch Communities Foundation was accounted as an Interest in net assets of and receivables from Supporting Organizations and was not consolidated into Front Porch's Consolidated Audit. As of fiscal year 2022, the Front Porch Communities Foundation will be consolidated into Front Porch's Consolidated Audit and is reflected in the June 30, 2021 financial information. The comparable prior year period (June 30, 2020) excludes the Front Porch Communities Foundation. As of June 30, 2021, the Front Porch Communities Foundation had total assets of \$37,715,425 and total revenue of \$220,949 for the three month period.

(1) Does not include the fair value adjustments related to the affiliation with Covia.

Front Porch Consolidated Balance Sheets
(in thousands)

	As of June 30,	
	2020 (unaudited pro forma combined)	2021 (unaudited consolidated) ⁽¹⁾
Assets		
Current Assets		
Cash and cash equivalents	\$ 41,760	\$ 43,254
Short-term investments	170,840	195,224
Assets limited as to use – required for current liabilities	10,535	29,982
Resident and patient accounts receivable	10,877	13,702
Prepaid expenses and other	9,959	10,756
Other receivables	196	1,106
Total current assets	244,166	294,024
Investments		
Assets limited as to use, net of current portion	33,591	41,704
Long-term investments	302,613	401,553
Other investments	7,014	9,242
Total investments	343,218	452,499
Property and Equipment, Net	720,947	726,723
Other Assets		
Interest in net assets of Pacific Homes Foundation	10,780	-
Receivables from supporting organizations	13,170	1,183
ROU assets - operating leases	13,090	11,230
Other receivables	2,130	1,734
Other assets	16,782	19,769
Total other assets	55,953	33,916
Total assets	\$ 1,364,285	\$ 1,507,162
Liabilities and Net Assets		
Current Liabilities		
Current maturities of long-term debt	\$ 19,142	\$ 19,165
Current portion of operating leases	2,133	2,121
Accounts payable	10,163	9,358
Accrued payroll and related expenses	17,810	18,982
Intercompany payables	(377)	64
Accrued interest	5,805	5,857
Other accrued expenses	20,114	15,848
Total current liabilities	74,790	71,395
Asset retirement obligation	2,058	2,029
Accrued workers compensation	6,991	4,955
Operating lease liabilities	12,575	10,531
Other accrued liabilities	43,527	42,128
Other	23,728	6,495
Refundable entrance fees	135,336	126,854
Deferred revenue from entrance fees	207,548	214,669
Long-term debt	473,544	467,784
Total liabilities	980,098	946,840
Net assets:		
Without donor restrictions	351,556	526,780
With donor restrictions	32,630	33,542
Total net assets	384,186	560,322
Total liabilities and net assets	\$ 1,364,285	\$ 1,507,162

Note: Prior to fiscal year 2022, the Front Porch Communities Foundation was accounted as an Interest in net assets of and receivables from Supporting Organizations and was not consolidated into Front Porch's Consolidated Audit. As of fiscal year 2022, the Front Porch Communities Foundation will be consolidated into Front Porch's Consolidated Audit and is reflected in the June 30, 2021 financial information. The comparable prior year period (June 30, 2020) excludes the Front Porch Communities Foundation. As of June 30, 2021, the Front Porch Communities Foundation had total assets of \$37,715,425 and total revenue of \$220,949 for the three month period.

(1) Does not include the fair value adjustments related to the affiliation with Covia.

Management's Discussion

The following discussion addresses the financial performance for the Front Porch Consolidated Audit Entities for the three months ended June 30, 2021 (unaudited) and 2020 (unaudited, pro forma, combined).

This discussion contains forward-looking statements based on current expectations that involve risks and uncertainties. Actual results and the timing of certain events may differ significantly from those projected in such forward-looking statements due to a number of factors, including those discussed in the forepart of this Official Statement in the section entitled "BONDHOLDERS' RISKS."

Results of Operations²

Occupancy: Three Months Ended June 30, 2021 compared to Three Months Ended June 30, 2020

Residential Living occupancy decreased from 92% for the first quarter of fiscal year 2021 to 88% for the first quarter of fiscal year 2022 reflecting a general decline in move-ins during the COVID-19 pandemic. Communities with the biggest declines from the first quarter of fiscal year 2021 to the first quarter of fiscal year 2022 were: Claremont Manor -16%, El Sombroso Oaks -9%, St. Paul's Towers -7% and Villa Gardens -7%. England Oaks was the only community with a year over year increase in occupancy of +8% that resulted in part from a regional housing shortage following severe weather events.

Summer House® occupancy decreased from 91% for the first quarter of fiscal year 2021 to 89% for the first quarter of fiscal year 2022. Occupancy remained steady or declined at all communities with memory care except for Vista del Monte where it increased from 90% for the first quarter of the fiscal year 2021 to 96% for the first quarter of fiscal year 2022 due to steadily increasing internal transitions of existing Vista del Monte residents from residential living to memory care. Villa Gardens and Claremont Manor experienced the sharpest year over year declines in memory care occupancy of -17% and -12%, respectively.

Care Centers were affected by the COVID-19 pandemic as acute care hospitals postponed elective surgeries. After the resumption of elective surgeries, Care Center admissions have slowly recovered as patients were discharged to their homes rather than a skilled nursing facility. Admissions declined at the Care Center within Walnut Village during fiscal year 2021 following the announcement of its intended closure. While it did not officially close its doors until September 1, 2020, admissions to Walnut Village Care Center were suspended as of February 1, 2020.

Payor Mix: Three Months Ended June 30, 2021 compared to Three Months Ended June 30, 2020

The payor mix for Private Pay, Continuing Care and Medi-Cal continue to decline year over year. Private Pay accounted for 24% of Care Center revenues in the first quarter of fiscal year 2021 but declined to 19% in the first quarter of fiscal year 2022. Continuing Care accounted for 9% in the first quarter of fiscal year 2021 but declined to 8% in the first quarter of fiscal year 2022. Medi-Cal accounted for 45% in the first quarter of fiscal year 2021 but declined to 41% in the first quarter of fiscal year 2022. Medicare and Managed Care increased from 17% to 25% and 5% to 7%, respectively, from the first quarter of fiscal

² Front Porch refers to independent and assisted living units as "Residential Living" units. Memory support units are collectively referred to by the brand name "Summer House®" for the Corporation and "Maggie's Place" for Covia Communities. Skilled nursing beds are collectively referred to as "Care Center" beds.

year 2021 to the first quarter of fiscal year 2022. Care Center capacity declined by 17% from 816 to 674 beds reflecting the closure of the Walnut Village Care Center and the decrease in capacity at Webster House from 136 to 93 beds.

Income Statement: Three Months Ended June 30, 2021 compared to Three Months Ended June 30, 2020

Resident and net patient service revenue increased by 4.2% from \$72.8 million for the first quarter of fiscal year 2021 to \$75.9 million for the first quarter of fiscal year 2022. Management with the support of the Board of Directors agreed to the deferral of the Front Porch annual rate increase scheduled for April 1, 2020 (the first quarter of fiscal year 2021) for 90 days, which negatively impacted revenues by approximately \$2 million. Amortization of entrance fees increased by 17% from \$8.4 million for the first quarter of fiscal year 2021 to \$9.8 million for the first quarter of fiscal year 2022. Total revenues without donor restrictions increased by 6% from \$88.0 million for the first quarter of fiscal year 2021 to \$93.5 million for the first quarter of fiscal year 2022.

Total expenses increased by 2.4% from \$90.3 million for the first quarter of fiscal year 2021 to \$92.4 million for the first quarter of fiscal year 2022. Depreciation expense increased by 10.4% from \$15.0 million for the first quarter of fiscal year 2021 to \$16.5 million for the first quarter of fiscal year 2022 primarily due to completed capital projects including the Wesley Palms renovation. Additionally, expenses related to labor, supplies, utilities and food continue to increase. Measures are being taken to control costs and optimize productivity. Medical Services declined by 4.3% from \$19.8 million in the first quarter of fiscal year 2021 to \$18.9 million in the first quarter of fiscal year 2022.

Operating Income (Loss) Before Other Operating charges improved from a loss of \$2.3 million in the first quarter of fiscal year 2021 to a gain of \$1.0 million in the first quarter of fiscal year 2022. This improvement reflected the rate increase implemented on July 1, 2020, and the reduction in staffing at the Walnut Village Care Center in advance of its closure in September 2021.

Balance Sheet

As of June 30, 2021

Total assets increased from \$1.4 billion at June 30, 2020 to \$1.5 billion at June 30, 2021. Cash and cash equivalents plus short-term investments increased from \$213 million at June 30, 2020 to \$238 million at June 30, 2021. Long term investments increased from \$303 million at June 30, 2020 to \$402 million at June 30, 2021. The increased value is due in large part to strong market returns. Property and Equipment, Net increased from \$721 million at June 30, 2020 to \$727 million at June 30, 2021. The company continues to re-invest in their communities and capital spending will resume to normal levels as the pandemic subsides. For much of fiscal 2021 capital spending was either deferred or slowed due to safety measures at the communities. Long-term debt, net decreased from \$474 million at June 30, 2020 to \$468 million at June 30, 2021.

COVID-19

Management continues to take actions to address the challenges created by the COVID-19 and now the Delta variant, including accessing opportunities under the CARES Act and other emergency funds. Front Porch has determined it is not eligible for PPP funding, as under affiliation rules it is not considered a small business. For the quarter ended June 30, 2021, the Corporation and its affiliates have incurred \$1.3 million of COVID-related expenses while also recognizing \$1.4 million of the relief funds that had

been previously reflected on the balance sheet. The COVID-related expenses are reflected under Other Operating Charges on the income statement.

Marketing Review

System-wide, Front Porch experienced strong sales for residential living during the quarter ending June 30, 2021, with 170 moves to independent living. This sales activity exceeded levels experienced in the last four years.

The sales team has maintained communications and relationships with prospective residents and is highlighting the opportunity for living in a community that prioritizes safety in social contact, the opportunity for engagement on a daily basis, along with desired traditional services.

Front Porch utilizes a variety of media, including digital advertising, broadcast, direct mail, print advertising, retargeting, and unified content that are generating leads.

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FINANCIAL RATIOS

Pro Forma Combined Debt Service Coverage Ratio

The following table sets forth, for the fiscal years ended March 31, 2019, 2020 and 2021, the historical unaudited pro forma combined Debt Service Coverage Ratio, assuming, for purposes of calculating Pro Forma Maximum Annual Debt Service, that the Series 2021 Bonds are issued, the Refinanced Debt is refinanced, all as of the first day of the fiscal year ended March 31, 2019.

Historical Pro Forma MADS Coverage Ratio (Dollars in thousands)

Item	Unaudited Pro Forma Combined Fiscal Year ended March 31		
	2019	2020	2021
Excess of revenues over expenses	\$ 1,774	\$ (58,251)	\$191,625
Additions:			
Depreciation	52,734	57,188	60,922
Amortization of Deferred Costs	1,407	749	497
Interest Expense	17,791	18,784	18,004
Entrance Fees Received	57,724	59,357	39,108
Unrealized Losses (Gains)	(73)	59,803	(126,785)
Asset Impairment	11,463	-	-
Exit Costs	11,136	-	-
Deductions:			
Changes in Pension Liability	596	13,523	(19,450)
Inherent Contribution	(6,420)	-	(12,591)
Refunds of Entrance Fees	(18,074)	(22,405)	(22,146)
Amortization of Entrance Fees	(30,828)	(33,304)	(34,378)
Total Income Available for Debt Service	\$ 99,230	\$ 95,444	\$ 94,806
Debt Service Requirement			
Principal payments of LT Debt	\$ 7,520	\$ 9,475	\$ 8,862
Interest Expense	17,731	18,764	17,936
Capitalized Interest	441	-	-
Annual Debt Service	\$ 25,692	\$ 28,239	\$ 26,798
Debt Service Coverage Ratio	3.86	3.38	3.54
Pro Forma MADS ⁽¹⁾	19,261	19,261	19,261
Historical Pro Forma MADS Coverage Ratio	5.15	4.96	4.92

(1) Proforma MADS is calculated per the Amended and Restated Master Trust Indenture, which smooths total debt (\$403.13 million) over 30 years at Revenue Bond Index (2.5% as of August 19, 2021).

Pro Forma and Historical Combined Liquidity – Days Cash on Hand

The following table sets forth unaudited pro forma combined Days Cash on Hand as of March 31, 2019, 2020 and 2021 for the Front Porch Consolidated Audit Entities and Covia Consolidated Audit Entities, as combined, and June 30, 2021 for Front Porch.

Days Cash on Hand (Dollars in thousands)

Item	Unaudited Pro Forma Combined As of March 31			Front Porch As of June 30, 2021 (unaudited)
	2019	2020	2021	
Cash and cash equivalents	\$ 35,586	\$ 42,033	\$ 48,634	\$ 43,254
Short term investments	168,680	149,372	183,139	195,224
Long term investments	296,307	254,865	367,027	401,553
Total unrestricted cash & investments	500,573	446,270	598,800	640,031
Operating expenses before other operating charges	397,451	373,668	364,401	92,294
Less: depreciation	(52,734)	(57,188)	(60,922)	(16,513)
Less: impairment loss	(11,410)	-	(1,149)	
Less: amortization of deferred cost	(1,407)	(749)	(497)	(124)
Operating expenses less depreciation and amortization of deferred cost	\$331,900	\$315,731	\$301,833	\$ 75,657
Divided number of days per year	365	366	365	91
Daily average operating expenses excluding depreciation and amortization	909	863	827	831
Days Cash on Hand ⁽¹⁾	550	517	724	770

(1) Days cash on hand is unrestricted cash and investments divided by daily average operating expenses excluding depreciation and amortization. Depreciation is not adjusted for fair value adjustments related to the affiliation.

Pro Forma and Historical Combined Cash to Debt Ratios

The following table sets forth unaudited pro forma combined Cash to Debt Ratios as of March 31, 2019, 2020 and 2021 for the Front Porch Consolidated Audit Entities and Covia Consolidated Audit Entities, as combined, and June 30, 2021 for Front Porch.

Cash to Debt (Dollars in thousands)				
Item	Unaudited Pro Forma Combined As of March 31			Front Porch
	2019	2020	2021	As of June 30, 2021 (unaudited)
Cash and cash equivalents	\$ 35,586	\$ 42,033	\$ 48,634	\$ 43,254
Short-term investments	168,680	149,372	183,139	195,224
Long-term investments	296,307	254,865	367,026	401,553
Total unrestricted cash & investments	\$500,573	\$446,270	\$598,800	\$640,031
Long Term Indebtedness ⁽¹⁾	\$491,826	\$492,136	\$487,473	\$486,949
Cash to debt ratio⁽²⁾	1.02	0.91	1.23	1.31

(1) Long-Term Indebtedness is current portion of long term debt plus long term debt.

(2) Cash to debt ratio is unrestricted cash and investments divided by long term indebtedness.

HISTORICAL FRONT PORCH FINANCIAL INFORMATION

General

The following financial information reflects the operating results and financial condition of Front Porch derived from the audited consolidated financial statements of the Front Porch Consolidated Audit Entities for the fiscal years ended March 31, 2019, 2020 and 2021. The summary of financial information should be read in conjunction with the consolidated financial statements and related notes contained in Appendix B-1 for the fiscal years ended March 31, 2020 and 2021. The consolidated financial statements included in Appendix B-1 include information with respect to certain members of the Front Porch Consolidated Audit Entities that are not Members of the Obligated Group. See “UNAUDITED PRO FORMA HISTORICAL COMBINED FINANCIAL INFORMATION - Revenues and Assets Attributable to the Obligated Group and the Communities” below. In addition, the consolidated financial statements of the Front Porch Consolidated Audit Entities do not include information with respect to the Covia Consolidated Audit Entities for the fiscal years ended March 31, 2019, 2020 and 2021.

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Financial Results

Front Porch Consolidated Audit Entities Consolidated Statements of Operations (in thousands)

	Fiscal years ended March 31,		
	2019 (audited)	2020 (audited)	2021 (audited)
Revenues, Gains, and Other Support Without Donor Restrictions			
Resident and patient service revenue	\$197,218	\$205,535	\$188,963
Amortization of entrance fees	9,422	10,297	10,199
Other	1,291	1,592	927
Net assets released from restriction used for operations	1,037	571	466
Total revenues, gains, and other support without donor restrictions	208,968	217,995	200,555
Expenses			
Medical services	\$ 51,107	\$ 52,643	\$ 46,248
Facility operating costs	20,971	21,274	21,405
Dietary services	32,873	34,288	32,501
Residential services	17,623	18,503	17,180
Administrative services	42,299	41,831	39,594
Depreciation	29,250	30,857	33,126
Amortization of deferred costs	1,154	497	497
Interest expense	9,441	9,315	8,758
Other	2,064	2,279	2,969
Covia only - Other components of net periodic benefit costs	-	-	-
Covia only - program expenses for community outreach	-	-	-
Covia only - exit costs (Los Gatos)	-	-	-
Loss on disposal of property and equipment	-	-	-
Total operating expenses	206,782	211,487	202,278
Operating Income (Loss) Before Other Operating Charges	2,186	6,508	(1,723)
Other Operating Charges			
Asset impairment/asset disposal	\$ (53)	\$ -	\$ -
COVID19 related income			4,298
COVID19 related expense	0	(309)	(8,476)
Total other operating charges	(53)	(309)	(4,178)
Operating Income (Loss)	2,133	6,199	(5,901)
Investment Return, net	12,159	(38,322)	117,385
Covia only - Inherent Contribution	-	-	-
Covia only - Change in Pension Benefit Obligation			
	12,159	(38,322)	117,385
Excess (Deficiency) of Revenue over Expenses	\$ 14,292	\$(32,123)	\$111,484
Net Assets Released from Restriction for Capital Expenditures	465	72	56
Increase (Decrease) in Net Assets Without Donor Restrictions	\$ 14,757	\$(32,051)	\$111,540

Front Porch Consolidated Audit Entities Consolidated Balance Sheets
(in thousands)

	As of March 31,		
	2019 (audited)	2020 (audited)	2021 (audited)
Assets			
Current Assets			
Cash and cash equivalents	\$ 10,864	\$ 19,345	\$ 16,168
Short-term investments	9,521	8,999	2,392
Assets limited as to use – required for current liabilities	11,031	9,513	11,929
Resident and patient accounts receivable	8,791	7,788	5,836
Prepaid expenses and other	2,721	3,017	3,151
Intercompany receivables	-	-	-
Total current assets	42,928	48,662	39,476
Investments			
Assets limited as to use, net of current portion	3,760	3,731	4,029
Long-term investments	296,307	254,865	367,027
Derivative instruments	59	23	75
Total investments	300,126	258,619	371,131
Property and Equipment, Net	363,820	372,327	374,092
Other Assets			
Interest in net assets of Pacific Homes Foundation	12,649	10,780	14,880
Receivables from supporting organizations	12,576	12,403	15,199
ROU assets - operating leases	-	8,063	6,644
Other receivables	1,582	1,350	952
Deferred costs, net	-	-	-
Other assets	739	414	614
Total other assets	27,546	33,010	38,289
Total assets	\$734,420	\$712,618	\$822,988
Liabilities and Net Assets			
Current Liabilities			
Current maturities of long-term debt	\$ 4,920	\$ 5,301	\$ 6,585
Current portion of operating leases	-	1,755	1,742
Accounts payable	8,107	6,629	6,813
Accrued payroll and related expenses	13,530	13,605	13,718
Intercompany payables	-	-	-
Accrued interest	2,563	2,572	2,690
Other accrued expenses	13,202	11,599	12,955
Total current liabilities	42,322	41,461	44,503
Asset retirement obligation	2,124	2,049	2,067
Accrued workers compensation	8,393	6,991	4,956
Operating lease liabilities	-	7,561	5,916
Other accrued liabilities	23,351	32,833	35,367
Refundable entrance fees	71,870	64,451	58,100
Deferred revenue from entrance fees	39,638	42,942	41,102
Long-term debt	281,843	283,686	281,489
Total liabilities	469,541	481,974	473,500
Net assets:			
Without donor restrictions	240,223	208,172	319,712
With donor restrictions	24,656	22,472	29,776
Total net assets	264,879	230,644	349,488
Total liabilities and net assets	\$734,420	\$712,618	\$822,988

Management's Discussion

The following discussion addresses the financial performance for the Front Porch Consolidated Audit Entities for the fiscal years ended March 31, 2021, 2020 and 2019.

This discussion contains forward-looking statements based on current expectations that involve risks and uncertainties. Actual results and the timing of certain events may differ significantly from those projected in such forward-looking statements due to a number of factors, including those discussed in the forepart of this Official Statement in the section entitled "BONDHOLDERS' RISKS."

Results of Operations³

Fiscal Year Ended March 31, 2021

Residential Living occupancy decreased from 92.5% for fiscal year 2020 to 88.4% for fiscal year 2021, reflecting restrictions related to the COVID-19 pandemic. These restrictions were eased following the decrease in infections and the availability of vaccines for both residents and employees beginning in January 2021.

Summer House® occupancy decreased from 94.9% for fiscal year 2020 to 92.9% for fiscal year 2021. While Summer House® occupancy declined at most locations, Vista del Monte experienced an improvement from 83.8% to 94.2%, due to steadily increasing internal transitions of existing Vista del Monte residents from residential living to memory care.

Care Center occupancy decreased from 86.2% for fiscal year 2020 to 69.3% for fiscal year 2021 reflecting the decrease in elective surgery at acute care hospitals. Referrals also declined as an increased number of acute care patients were discharged to directly to their home. The planned closure of the Walnut Village Care Center in September of 2020, also impacted occupancy. The Care Center payor mix experienced an increase in Private Pay and Medi-Cal while Medicare and Managed Care declined. The average available beds declined from 518 in fiscal year 2020 to 460 in fiscal year 2021 reflecting the closure of the Walnut Village Care Center.

Resident and patient service revenue decreased from \$205.5 million for fiscal year 2020 to \$189.0 million for fiscal year 2021, a 8.1% decrease. Amortization of entrance fees decreased slightly from \$10.3 million for fiscal year 2020 to \$10.2 million for fiscal year 2021, a 1.0% decrease. Total revenues, gains and other support without donor restriction declined from \$218.0 million for fiscal year 2020 to \$200.6 million for fiscal year 2021, a 8.0% decrease. Total operating expenses decreased from \$211.5 million for fiscal year 2020 to \$202.3 million for fiscal year 2021, a 4.3% decrease. Operating income (loss) before Other Income declined from a gain of \$6.2 million for fiscal year 2020 to a loss of \$5.9 million for fiscal year 2021. These results include COVID-19 expenses of \$8.5 million partially offset by \$4.3 million of income from the Coronavirus Aid, Relief and Economic Security Act (the "CARES Act") for COVID-19 relief.

Fiscal Year Ended March 31, 2020

Residential Living occupancy decreased slightly from 92.6% for fiscal year 2019 to 92.5% for fiscal year 2020. Kingsley Manor experienced the largest decline in occupancy while Claremont Manor

³ Front Porch refers to independent and assisted living units as "Residential Living" units. Memory support units are collectively referred to by the brand name "Summer House®." Skilled nursing beds are collectively referred to as "Care Center" beds.

saw the largest improvement. Wesley Palms Residential Living occupancy remained stable from 82.7% for fiscal year 2019 to 82.8% for fiscal year 2020 as newly completed units became available during the fiscal year increasing capacity. In March 2020, Wesley Palms completed the renovation project resulting in an increase to its Residential Living capacity from 150 independent living cottages to 170 patio homes.

Summer House® occupancy increased from 93.1% for fiscal year 2019 to 94.9% for fiscal year 2020. Fredericka Manor, Claremont Manor and Sunny View experienced the strongest occupancy improvements while Vista del Monte had occupancy challenges in fiscal year 2020.

Care Center occupancy decreased from 88.8% for fiscal year 2019 to 86.2% for fiscal year 2020 with only two of seven Care Centers increasing occupancy compared to fiscal year 2019. Walnut Village Care Center's occupancy declined following the February 2020 announcement of its planned closure later that year. Care Center payor mix saw improvement in Private Pay and Medi-Cal from fiscal year 2019 to fiscal year 2020, while Medicare declined. Managed Care was flat versus prior year. The average available beds remained unchanged at 518 from fiscal year 2019 to fiscal year 2020.

Resident and patient service revenue increased from \$197.2 million for fiscal year 2019 to \$205.5 million for fiscal year 2020, a 4.2% improvement. Amortization of entrance fees increased from \$9.4 million for fiscal year 2019 to \$10.3 million for fiscal year 2020, a 9.3% increase. Total revenues, gains and other support without donor restriction improved from \$209.0 million for fiscal year 2019 to \$218.0 million for fiscal year 2020, a 4.3% increase. Total operating expenses increased from \$206.8 million for fiscal year 2019 to \$211.5 million for fiscal year 2020, a 2.3% increase. Operating income improved from \$2.1 million for fiscal year 2019 to \$6.2 million for fiscal year 2020.

Fiscal Year Ended March 31, 2019

Residential Living occupancy declined from 93.7% for fiscal year 2018 to 92.6% for fiscal year 2019 primarily due to declining occupancy at Fredericka Manor and England Oaks. Residential Living occupancy at Wesley Palms increased from 79.8% for fiscal year 2018 to 82.7% for fiscal year 2019 as completed units became active and online.

Summer House® occupancy declined from 98.0% for fiscal year 2018 to 93.1% for fiscal year 2019 primarily due to the expansion of memory care capacity at Fredericka Manor and Claremont Manor.

Care Center occupancy improved from 86.1% for fiscal year 2018 to 88.8% for fiscal year 2019, with Villa Gardens experiencing the biggest improvement. Changes in Care Center payor mix reflect increasing revenues in Medi-Cal and Managed Care and declining revenues in Private Pay and Medicare. Average available beds decreased from 540 in fiscal year 2018 to 518 in fiscal year 2019 due to the closure of the Vista del Monte Care Center.

Resident and net patient service revenue less provision for uncollectible accounts increased from \$190.0 million for fiscal year 2018 to \$197.2 million for fiscal year 2019, a 3.8% improvement. Amortization of entrance fees remained stable at \$9.4 million for fiscal year 2018 and fiscal year 2019. Total unrestricted revenues, gains and other support improved from \$201.5 million for fiscal year 2018 to \$209.0 million for fiscal year 2019, a 3.7% increase.

Total operating expenses increased from \$200.3 million for fiscal year 2018 to \$206.8 million for fiscal year 2019, a 3.2% increase. Operating income improved from \$0.8 million for fiscal year 2018 to \$2.1 million for fiscal year 2019.

Balance Sheet

As of March 31, 2021

Total assets of \$823.0 million for fiscal year 2021 increased \$110.4 million compared to \$712.6 million for fiscal year 2020. Cash and short-term investments decreased \$9.7 million from \$28.3 million for fiscal year 2020 to \$18.6 million for fiscal year 2021.

Long-term investments increased by \$112.1 million from \$254.9 million for fiscal year 2020 to \$367.0 million for fiscal year 2021, due to market performance.

Net property and equipment increased by \$1.8 million from \$372.3 million for fiscal year 2020 to \$374.1 million for fiscal year 2021, reflecting continued investment in Wesley Palms.

Long-term debt decreased by \$2.2 million from \$283.7 million for fiscal year 2020 to \$281.5 million for fiscal year 2021. The Series 2017B Bonds officially closed and the final draw occurred on January 31, 2021, with the final cumulative draw down amount of \$20.5 million.

Net assets increased by \$118.9 million from \$230.6 million for fiscal year 2020 to \$349.5 million for fiscal year 2021, driven primarily by positive investment returns.

Cash provided by operating activities decreased from \$62.4 million at March 31, 2020 to \$37.7 million at March 31, 2021. Capital expenditures decreased from \$44.2 million at March 31, 2020 to \$32.7 million at March 31, 2021. Capital spending and construction activity declined in 2020 due to the COVID-19 pandemic. Proceeds from entrance fees, net decreased from \$16.2 million at March 31, 2020 to \$5.6 million at March 31, 2021. Cash and cash equivalents decreased from \$19.3 at March 31, 2020 to \$16.2 million at March 31, 2021.

As of March 31, 2020

Total assets of \$712.6 million for fiscal year 2020 decreased \$21.8 million compared to \$734.4 million for fiscal year 2019. Cash and short-term investments increased \$7.9 million from \$20.4 million for fiscal year 2019 to \$28.3 million for fiscal year 2020.

Long-term investments decreased by \$41.4 million from \$296.3 million for fiscal year 2019 to \$254.9 million for fiscal year 2020.

Net property and equipment increased by \$8.6 million from \$363.8 million for fiscal year 2019 to \$372.4 million for fiscal year 2020, reflecting continued capital investment in the Communities.

Long-term debt increased by \$1.9 million from \$281.8 million for fiscal year 2019 to \$283.7 million for fiscal year 2020 because of the continuing draw down from Series 2017B Bonds for the Wesley Palms Project.

Net assets increased by \$34.3 million from \$264.9 million for fiscal year 2019 to \$230.6 million for fiscal year 2020.

Cash provided by operating activities increased from \$53.1 million at March 31, 2019 to \$62.4 million at March 31, 2020. Capital expenditures declined slightly from \$45.8 million at March 31, 2019 to \$44.2 million at March 31, 2020. Proceeds from entrance fees, net declined slightly from

\$17.9 million at March 31, 2019 to \$16.2 million at March 31, 2020. Cash and cash equivalents increased from \$10.9 million at March 31, 2019 to \$19.3 million at March 31, 2020.

As of March 31, 2019

Total assets of \$734.4 million for fiscal year 2019 increased \$30.3 million compared to \$704.1 million for fiscal year 2018. Cash and short-term investments decreased \$3.4 million from \$23.8 million for fiscal year 2018 to \$20.4 million for fiscal year 2019.

Long-term investments increased by \$16.7 million from \$279.6 million for fiscal year 2018 to \$296.3 million for fiscal year 2019.

Net property and equipment increased by \$17.1 million from \$346.7 million for fiscal year 2018 to \$363.8 million for fiscal year 2019 reflecting continued capital investment at the Communities, including the Wesley Palms Project.

Long-term debt increased by \$7.6 million from \$274.2 million for fiscal year 2018 to \$281.8 million for fiscal year 2019 as a result of continuing to draw down on the Series 2017B Bonds for the Wesley Palms Project.

Net assets increased by \$15.7 million from \$249.2 million for fiscal year 2018 to \$264.9 million for fiscal year 2019.

Cash provided by operating activities increased from \$47.3 million at March 31, 2018 to \$53.0 million at March 31, 2019. Net entrance fees increased from \$12.5 million at March 31, 2018 to \$17.9 million at March 31, 2019. Capital expenditures decreased from \$49.4 million at March 31, 2018 to \$45.8 million at March 31, 2019. Cash and cash equivalents decreased from \$13.0 million at March 31, 2018 to \$10.9 million at March 31, 2019.

HISTORICAL COVIA FINANCIAL INFORMATION

General

The following financial information reflects the operating results and financial condition of the Covia Consolidated Audit Entities derived from the audited consolidated financial statements of the Covia Consolidated Audit Entities for the fiscal years ended March 31, 2019, 2020 and 2021. The summary of financial information should be read in conjunction with the consolidated financial statements and related notes contained in Appendix B-2 for the fiscal years ended March 31, 2020 and 2021. The consolidated financial statements included in Appendix B-2 include information with respect to certain members of the Covia Consolidated Audit Entities that will not become Members of the Obligated Group simultaneously with the issuance of the Series 2021 Bonds. See “UNAUDITED PRO FORMA HISTORICAL COMBINED FINANCIAL INFORMATION - Revenues and Assets Attributable to the Obligated Group and the Communities” below. In addition, the consolidated financial statements of the Covia Consolidated Audit Entities do not include information with respect to the Front Porch Consolidated Audit Entities.

Financial Results

Covia Consolidated Audit Entities Consolidated Statement of Operations (in thousands)

	Fiscal years ended March 31,		
	2019	2020	2021
CHANGES IN UNRESTRICTED ASSETS			
Revenues and gains			
Resident fees	\$ 74,240	\$ 69,170	\$ 68,563
Amortization of deferred revenue from entrance fees	21,406	23,007	24,179
Nursing center	45,363	37,771	30,983
Outside and other medical fees	608	546	426
Affordable housing fees and rents	20,341	21,316	23,401
Other	1,670	1,788	1,417
Contributions	459	164	67
Grant revenue - Provider Relief Fund	-	-	4,421
Net assets released from restrictions for assistance & operations	2,102	2,333	2,425
Total revenues and gains	166,189	156,096	155,882
Expenses			
Nursing expenses	33,581	29,648	26,064
Outside and other medical expenses	5,587	4,983	5,454
Dining service	24,046	22,861	21,677
Environmental services	7,569	7,279	7,391
Maintenance	13,373	12,446	12,630
General and administrative expenses	27,554	28,754	32,376
Marketing	3,168	2,554	2,025
Utility expenses	7,610	7,065	7,519
Other	5,926	6,966	5,931
Program expenses	2,714	3,035	2,406
Fundraising activities	17	11	24
Depreciation and amortization	28,067	26,751	28,230
Loss on disposal of property and equipment	560	360	1,149
Interest	8,350	9,469	9,246
Impairment of property and equipment	11,410	-	-
Exit costs	11,136	-	-
Total expenses	190,668	162,182	162,122
Loss Before Other Components of Net Periodic Benefit Cost	(24,479)	(6,087)	(6,240)
Other Components of Net Periodic Benefit Cost	-	817	(1,397)
INVESTMENT INCOME (LOSS)			
Investment income and net realized gains on investments	6,109	10,796	16,371
Unrealized gains (loss) on investments	27	(18,132)	39,367
Total Investment Gain (Loss)	6,136	(7,336)	55,738
NET (LOSS) INCOME	(18,343)	(12,606)	48,101
Inherent contribution	6,420	-	12,591
Change in pension benefit obligation	(596)	(13,523)	19,450
(DECREASE) INCREASE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	(12,519)	(26,129)	80,142
CHANGES IN NET ASSETS WITH DONOR RESTRICTIONS			
Contributions	1,759	2,898	1,779
Investment income	106	101	47
Net realized gains on investments	19	1	510
Unrealized gains (loss) on investments	44	(137)	49
Changes in split interest gift agreements	80	(625)	750
Inherent contribution	-	-	812
Net assets released from restrictions for assistance and operations	(2,102)	(2,333)	(2,425)
(Decrease) increase in net assets with donor restrictions	(94)	(95)	1,522
(DECREASE) INCREASE IN NET ASSETS	(12,613)	(26,224)	81,664
NET ASSETS, beginning of year	125,564	112,951	86,628
Prior Period Adjustment	-	(99)	-
NET ASSETS, end of year	\$112,951	\$ 86,628	\$168,292

Covia Consolidated Audit Entities Consolidated Balance Sheets
(in thousands)

	As of March 31,		
	2019	2020	2021
ASSETS			
Current Assets			
Cash and cash equivalents	\$ 24,722	\$ 22,688	\$ 32,466
Assets held by bond indenture for current debt service	5,701	5,716	5,663
Marketable securities	159,159	140,373	180,747
Receivables, net	14,487	7,113	8,391
Current portion of pledges receivable, net of discount	363	133	415
Prepaid expenses, deposits and other assets	3,287	4,077	5,398
Total current assets	207,719	180,100	233,080
ASSETS WHOSE USE IS LIMITED			
Assets held by bond indenture & restricted for debt service	14,443	14,270	14,142
Less portion available to satisfy current debt service	(5,701)	(5,716)	(5,663)
Noncurrent portion	8,742	8,554	8,479
Funded reserves for replacement and insurance	10,070	10,724	10,295
Restricted deposits	-	4,256	3,403
Investments held in trust	5,078	6,350	7,814
Restricted investments	8,333	3,607	3,433
Total long-term assets whose use is limited	32,223	33,491	33,424
Long-term pledge receivables, net of current portion and discount	736	750	752
Right of use asset, net of accumulated amortization	-	5,516	5,082
Property and equipment, net of accumulated depreciation	362,356	354,678	354,911
Deferred charges and other assets	12,723	15,584	19,185
Total Assets	<u>\$615,757</u>	<u>\$590,119</u>	<u>\$646,434</u>
LIABILITIES AND NET ASSETS			
Current Liabilities:			
Accounts Payable	\$ 14,443	\$ 7,233	\$ 9,332
Accrued Payroll and Payroll Taxes	6,680	5,058	7,176
Current portion of Long-Term Debt	3,172	3,437	14,718
Accrued Interest	2,696	2,652	2,535
Current portion of lease liability	-	378	378
Self-Insurance and Other Current Liabilities	3,837	3,964	3,797
Total current liabilities	30,828	22,722	37,936
Refundable Deposits	1,347	1,462	1,456
Repayable Entrance Fees	4,228	2,362	1,821
Refundable Entrance Fees	76,987	72,078	65,471
Accrued Retirement Benefits	7,195	19,667	1,391
Long-Term Debt	201,891	199,712	184,681
Deferred Revenues from Entrance Fees	168,015	169,055	168,347
Liabilities for payment to trust beneficiaries	2,362	2,886	3,571
Long-term lease liability, net	-	5,543	5,165
Other Long Term Liabilities	9,953	8,002	8,303
Total liabilities	502,806	503,491	478,142
NET ASSETS			
Without donor restriction			
Controlling interest	102,096	76,381	156,321
Noncontrolling interest in Oak Centers, L.P. ("OCLP")	1,775	1,262	1,464
Total net assets without donor restrictions	103,871	77,643	157,785
With donor restrictions	9,080	8,985	10,507
Total Net Assets	<u>112,951</u>	<u>86,628</u>	<u>168,292</u>
Total Liabilities and Net Assets	<u>\$615,757</u>	<u>\$590,119</u>	<u>\$646,434</u>

Management's Discussion

The following discussion addresses the financial performance for the Covia Consolidated Audit Entities for the fiscal years ended March 31, 2021, 2020 and 2019.

Results of Operations

Fiscal Year Ended March 31, 2021

Loss Before Other Components of Net Periodic Benefit Cost was \$6.2 million compared to a loss of \$6.1 million in fiscal year 2020. These results include COVID-19 expenses of \$5.3 million partially offset by \$4.4 million of income from the CARES Act for COVID-19 relief. Despite the loss from operations, there was an overall increase in net assets of \$81.7 million, compared to a decrease in Net Assets of \$26.2 million in the prior fiscal year. Notable differences were experienced in investment gains of \$55.7 million, and a favorable change in Pension liability of \$19.5 million both due to the strong market recovery. Additionally, a \$12.6 million inherent contribution resulting from the merger with Friends House of the Elderly added growth in this area.

Total revenues and gains remained relatively stable at \$155.9 million as compared to \$156.0 million in fiscal year 2020. Stabilization came from the Affordable Housing revenue growth as this assisted in offsetting the decline seen in occupancy at the life plan communities. Operating expenses remained relatively stable at \$162.1 million for fiscal year 2021.

Resident revenue decreased 0.9% from \$69.2 million in the prior fiscal year to \$68.6 million in fiscal year 2021 driven by the decrease in residential living occupancy. Amortization of entrance fees increased 5.1% to \$24.2 million primarily due to current contract mix and an increase in resident terminations. Nursing center revenues which include assisted living and memory care, decreased 18% to \$31.0 million from \$37.8 million in prior year which is directly related to the decline in census as well as the strict COVID-19 admission guidelines. Affordable Housing revenues represent 15% of total revenues in fiscal year 2021 at \$23.4 million which reflected a 9.8% increase over the prior year. Increase was driven by the annual HUD increase.

Residential Living occupancy for both independent living and assisted living saw a decrease from 95.6% to 92.3% in fiscal year 2021. The COVID-19 pandemic directly impacted occupancy as normal apartment turnover/re-occupancy was slowed by the pandemic.

Affordable Housing occupancy remained stable at 97% with 855 occupied compared to 877 available units.

Memory Care occupancy decreased from 72.0% to 64.0%.

Nursing Center census decreased 3.0% from 76.8% to 73.8%. Overall decline in industry-wide skilled nursing referrals coupled with strict admission guidelines related to COVID-19 contributed to the decline. In response to the downward trend within the industry, Webster House shut down one floor removing 42 beds from service and decreased short-term Medicare stays in the fourth quarter of fiscal year 2020.

Fiscal Year Ended March 31, 2020

Loss Before Other Components of Net Periodic Benefit Cost was \$6.1 million compared to a loss of \$24.5 million in fiscal year 2019, which included a \$22.5 million in impairment and exit costs related to

the closure of Los Gatos Meadows (“LGM”). The closure was announced in February 2019 and LGM officially closed in September of the same year. Investment income was severely impacted by the COVID-19 pandemic resulting in a net loss on investments of \$7.3 million in fiscal year 2020. Unrealized loss for the year was \$18.1 million, with a similar impact on the Pension Plan as the change in pension liability was \$13.5 million, which also added to the decrease in Net Assets without Donor Restrictions of \$26.1 million.

Total revenues and gains experienced a 6.1% decline at \$156.1 million over prior year revenues of \$166.2 million. Operating expenses decreased 14.9% in direct response to the decline in revenue and the LGM closure. Expenses totaled \$162.2 million compared to \$190.7 million in fiscal year 2019. Cost savings were seen across all departments.

Resident revenue decreased 6.8% from \$74.2 million to \$69.2 million, driven by the decrease seen in occupancy and the closure of LGM. Amortization of entrance fees increased 7.5% to \$23.0 million from \$21.4 million. Nursing Center revenues which include assisted living and memory care, decreased 16.7% to \$37.8 million from \$45.4 million in fiscal year 2019 relating directly to the overall decline in census in all care centers as well as the LGM closure. Affordable Housing revenues represented 13.7% of total revenues at \$21.3 million reflecting a 4.8% increase over the prior fiscal year. Growth was directly related to annual rate increases.

Residential living occupancy increased from 93.4% to 95.6% in fiscal year 2020. St. Paul’s Towers and Webster House experienced the largest improvement in occupancy at 97.2% and 97.3%, respectively in 2020 compared to 91.2% and 89.2% the fiscal year prior. Canterbury Woods saw the largest decline at 89.4% compared to 92.7% in the prior fiscal year.

In September of 2019, LGM was closed due to structural safety concerns. As a result of the closure system-wide capacity was reduced to 1,352 beds from 1,550 in fiscal year 2019. All levels of care were impacted by the closure. El Sombroso Oaks, a satellite residential rental community of LGM, remained open.

Affordable Housing occupancy was 97% with 860 occupied units out of 880 available compared to 98% in fiscal year 2019 with 870 occupied units out of 888 available.

Memory Care occupancy increased slightly from 71.4% to 72.0% for the current year.

Nursing Center census decreased from 81.9% to 76.8% in the fiscal year 2020. Payor mix experienced an increase in Private Pay and Medi-Cal while Medicare and Managed Care declined.

Fiscal Year Ended March 31, 2019

In February of 2019, Management announced that LGM would be closing due to structural and safety concerns. Feasibility studies performed reflected a failing infrastructure and the decision was made to relocate all remaining residents and close the community. Management began an extensive resident relocation effort and plan to maintain the property after closure. Management accrued for \$22.5 million in expenses related to the wind-down of the community in fiscal year 2019.

Loss Before Other Components of Net Periodic Benefit Cost was \$24.5 million as compared to an operating loss of \$5.2 million, in fiscal year 2018. The variance was directly related to the LGM closure. Investment income declined \$9.0 million to \$6.1 million as compared to \$15.1 million in fiscal year 2018. Unrealized gains experienced a \$9.8 million decrease as compared to the prior year due to unstable market conditions. Ending Net Assets of \$113.0 million represented a \$12.6 million decrease over the prior fiscal year directly related to the LGM closure.

Total revenues and gains experienced an 8.8% increase at \$166.2 million over the prior year revenues of \$152.7 million driven by improved occupancy and the addition of a new affordable housing community. Operating expenses experienced a 20.8% increase at \$190.7 million compared to \$157.9 million in 2018. The increase was directly related to the announcement of the LGM closure and the recording of the impairment and exit costs related to the closure.

Resident revenue increased 4.7% to \$74.2 million from \$70.9 million, driven by stable occupancy and annual rate increase. Amortization of entrance fees increased 10.9% to \$21.4 million from \$19.3 million.

Nursing Center revenues increased by 8.1% to \$45.4 million from \$42.0 million in the fiscal year 2018 directly related to the increase in census and payor mix.

Affordable Housing revenues represent 12.2% of total revenues at \$20.3 million, a 37.3% increase over the prior fiscal year. Growth was directly related to the affiliation with Bethany Center Senior Housing.

Residential Living occupancy was relatively stable at 93.4%. St. Paul's Towers experienced a large improvement in occupancy at 91.2% compared to 82.6% in 2018 while the remaining communities experienced a nominal increase and/or a decline. LGM experienced the largest decline at 4.1% at 85.2%.

Affordable Housing residential occupancy remained stable at 98% with 870 occupied out of 880 available units in fiscal year 2019. In April of 2018, the Affordable Communities affiliated with Bethany Center Senior Housing, located in San Francisco. 133 units were added to capacity as a result in fiscal year 2019.

Memory Care occupancy was unchanged at 71.4% on a capacity of 35 beds.

Care Center census increased to 81.9% from 73.2% in the fiscal year 2018. San Francisco Towers removed 18 of their 43 care center beds from capacity to make room for the construction of a new Memory Care unit which resulted in an increase in census from 41.9% to 76.0%.

Balance Sheet

As of March 31, 2021

Total assets of \$646.4 million increased by \$56.3 million compared to the prior fiscal year. Cash and investments increased \$50.1 million to \$213.2 million due to the rebound in market performance.

Net property and equipment increased \$0.2 million from \$354.6 million to \$354.9 million in fiscal year 2021. Controlled Cap-ex spend during COVID-19 led to marginal growth in this area.

Deferred Charges and Other Assets reflected a \$3.6 million increase from \$15.6 million to \$19.2 million in fiscal year 2021, driven by an increase in development project spend.

Current Portion of Long-term debt increased by \$11.3 million from \$3.4 million in the prior fiscal year due to a maturing note related to the purchase of El Sombroso Oaks, in 2015.

Pension Benefit Obligation decreased significantly to \$1.4 million as compared to \$19.7 million in the prior fiscal year. This decrease is attributed to the freezing of this plan effective December 31, 2020 as well as the increase in plan assets from improved market performance.

Net assets without donor restrictions increased to \$157.8 million from \$77.6 million in the prior fiscal year, driven by positive investment returns and the Friends House merger. Total Net Assets grew to \$168.3 million from \$86.6 million as a result of additional market gains seen in donor restricted investments.

Net cash provided by operating activities increased from \$33.9 million in 2020 to \$40.5 million in fiscal year 2021. Net proceeds from entrance fees decreased to \$11.3 million from \$20.7 million in the prior fiscal year, while capital expenditures totaled \$13.5 million as compared to \$18.8 million in the prior fiscal year. Entrance fees, capital spending and construction activity all declined in fiscal year 2021 due to the limitations of the COVID-19 pandemic. As a result, cash and cash equivalents increased from \$22.7 million in 2020 to \$32.5 million in 2021.

As of March 31, 2020

Total assets of \$590.1 million decreased \$25.6 million as compared to \$615.8 million in the fiscal year 2019. Cash and investments decreased \$20.8 million to \$163.1 million directly related to the decline in market performance in the fourth quarter of fiscal year 2020.

Accounts Receivables decreased \$7.4 million over the prior fiscal year of \$14.5 million which was directly related to improved collection efforts and the settlement of short-term promissory notes used to bridge entrance fees.

Net property and equipment decreased \$7.7 million from \$362.4 million compared to \$354.7 million directly related to the impairment from the LGM closure.

Deferred Charges and Other Assets reflected a \$2.9 million increase from \$12.7 million to \$15.6 million in fiscal year 2020, driven by the increase in development project spend.

Pension Benefit Obligation, increased \$12.5 million to \$19.7 million in the fiscal year 2020. The increase was directly related to the decline in plan asset values due to the poor market performance related to the COVID-19 outbreak.

Repayable/Refundable entrance fees decreased 8.3% to \$74.4 million due to the demand for non-repayable contract types and steady terminations in this area.

Lease Liability increased \$5.5 million resulting from the adoption of a new capital lease guidance in the fiscal year 2020 and a corresponding Right of Use asset was also recorded.

Net assets without donor restrictions decreased \$26.3 million to \$77.6 million from \$103.9 million in the fiscal year 2019, driven by poor market performance in the fourth quarter of fiscal year 2020.

Net cash provided from operating activities decreased to \$33.9 million from \$39.1 million in 2019. Net proceeds from entrance fees decreased to \$20.7 million from \$21.8 million in the prior year, attributed to an increase in resident refunds. Capital expenditures totaled \$18.8 million as compared to \$24.3 million in the fiscal year 2019. Capital spending and construction activity were slowed in fourth quarter as a result of the COVID-19 pandemic and the uncertainty around ongoing impact of the outbreak.

As of March 31, 2019

Total assets of \$615.8 million reflects an increase over the prior fiscal year of \$595.1 million. Cash and investments experienced an increase of \$11.9 million to \$183.9 million.

Accounts Receivables experienced an increase of \$4.5 million to \$14.5 million over the prior fiscal year, directly related to the increase seen in short-term promissory notes used to bridge new resident entrance fees.

Net property and equipment increased \$3.6 million to \$362.4 million from \$358.8 million reflecting the property and equipment impairment from the LGM closure.

Deferred Charges and Other Assets reflected a \$2.7 million increase from \$10.0 million to \$12.7 million in the fiscal year 2019, driven by a steady increase in development project spend.

Accounts payable and Other Long-Term Liabilities both experienced an increase over the prior year of \$7.3 million and \$6.0 million, respectfully. Increases were attributed to the short-term and long-term classification of the LGM exit costs.

Long-term debt increased \$18.0 million to \$201.9 million from the prior year. The increase was the direct result of the affiliation and assumption of debt for the Bethany Center Senior Housing community.

Repayable/Refundable entrance fees decreased 7.1% to \$81.2 million due to the demand for non-repayable contract types and steady terminations in this area.

Ending Net assets decreased \$12.6 million to \$113.0 million from \$125.6 million in the fiscal year 2018 directly related to the closure of LGM.

Net cash provided from operating activities decreased to \$39.1 million from \$44.0 million in 2018. Net proceeds from entrance fees increased to \$21.8 million from \$19.1 million in the prior year attributed to an increase in new resident move-ins. Capital expenditures totaled \$24.3 million as compared to \$24.7 million in the fiscal year 2018. Cash and cash equivalents increased \$4.1 million to \$24.7 million from \$20.6 million in 2018.

ADDITIONAL INFORMATION

Changes to Outstanding Indebtedness

As described in the Official Statement under the caption “PLAN OF FINANCE – Refinanced Debt,” the Corporation is refunding certain indebtedness of the Corporation and Covia Communities, and has redeemed or will redeem certain outstanding bonds and/or repay certain outstanding loans in full. The only pre-existing long-term indebtedness that will not be refunding or repaid with the proceeds of the Series 2021 Bonds is the Front Porch 2017A Bonds.

The Series 2021 Bonds are expected to be issued on or about September 9, 2021. The following table compares the long-term indebtedness derived from the audited financial statements in Appendix B to the projected total long-term indebtedness of the Obligated Group as of September 9, 2021.

Summary of Projected Change in Long-Term Indebtedness
(in thousands)

Long-Term Indebtedness	Principal Outstanding Balance	
	As of March 31, 2021	Proforma – Post Series 2021 Financing
Covia Series 2011 Bonds	\$ 52,920	\$ —
Covia Series 2012A Bonds	68,835	—
Covia Series 2012B Bonds	7,335	—
Covia Series 2015 Bonds	7,471	—
Promissory Note (The Board of Pensions of the Presbyterian Church)	11,200	—
Casa de Mañana HUD Loan	25,245	—
Claremont Manor HUD Loan	35,282	—
Fredericka Manor HUD Loan	29,155	—
Kingsley Manor HUD Loan	9,736	—
Front Porch Series 2015 Bonds	67,876	—
Front Porch Series 2017A Bonds	98,450	97,565
Front Porch Series 2017B Bonds	21,200	—
Front Porch Series 2021A Bonds	-	198,940
Front Porch Series 2021B Bonds	-	106,625
Total	\$434,705	\$ 403,130

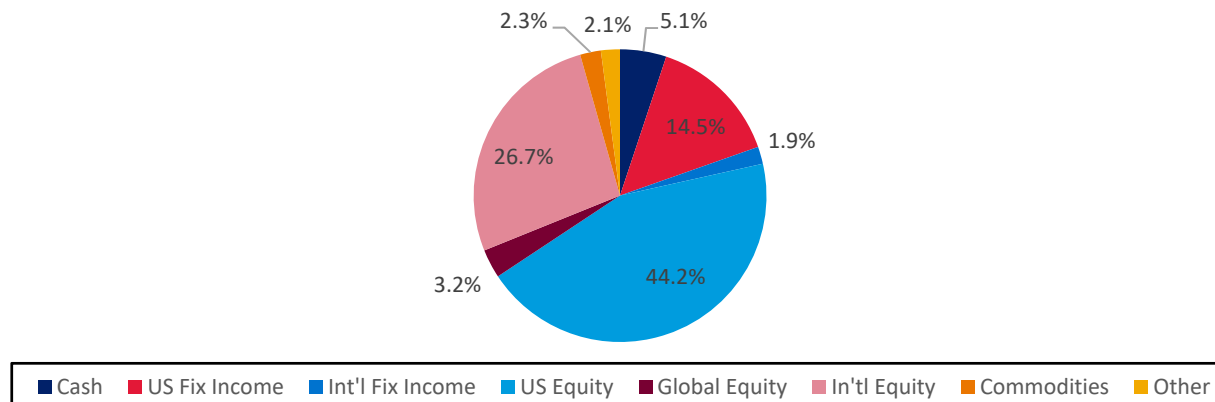
Derivatives

The Corporation does not have material interest rate derivative instruments.

Investments

Currently, Front Porch and Covia still maintain separate investment managers and a unified investment policy and investment management is one of the areas of opportunity for streamlining the organization and reducing costs. The current asset allocation of the long term investment portfolio is below and there has been a 34% increase in unrestricted investments from fiscal year 2020 to fiscal year 2021.

Fiscal Year 2021 Combined Asset Allocation – Long Term Investment Portfolio



Retirement and Deferred Compensation Plans

Each of the Corporation and Covia Communities sponsors a Section 403(b) defined contribution plan and a nonqualified deferred compensation plan. See Note 15 to the Front Porch audited financial statements in Appendix B-1. See Note 9 to the Covia Group audited financial statements for fiscal year 2021 in Appendix B-2.

Insurance

The Corporation and Covia Communities maintain Insurance covering such risks in such amounts as in their judgment are adequate to protect them and their properties and operations and as are customary for senior living providers of similar size and character.

Professional liability claims are a significant risk facing senior living providers. With their Affiliation, the Corporation and Covia Communities maintain both primary and excess General and Professional Liability Insurance coverage under the same policy. As the severity of claims continues to escalate, premium costs for such coverage are increasing depending on loss history and location. That Liability policy also provides the Corporation and Covia Communities with Directors & Officers, Employment Practices and Fiduciary liability coverages as well.

The Corporation and Covia Communities otherwise maintain separate Insurance programs.

The Corporation maintains Property Insurance that provides coverage for the various properties within its portfolio against ALL Risk of Physical Loss or Damage, except as excluded per the terms and conditions of the policy. The coverage is provided on a blanket limit basis with policy limits of \$500,000,000 with a replacement cost valuation. There are no limitations/sublimits on coverage for any of the Corporation's locations. The blanket coverages include a combination of Building, Business Personal Property and Business Interruption. The Corporation's Property policy also provides coverage for Earth Movement, with an annual policy aggregate limit of \$10,000,000. The policy includes an annual aggregate limit for Flood of \$10,000,000. Within that specified limit, the Corporation's Cupertino, Santa Barbara and Anaheim, California locations are subject to an annual aggregate sublimit of \$2,000,000. The Corporation also maintains flood coverage for the Cupertino and Santa Barbara locations through the National Flood Insurance program.

Covia Communities also maintains Property Insurance that covers certain of its properties (including Business Interruption) on a blanket basis with policy limits of \$500,000,000 at full replacement cost subject to certain limits, including limits relating to damage caused by wildfire, flood and earth movement. Certain other Covia Communities properties are located in areas at high risk for wildfire which makes it challenging to find coverage capacity for those high value/high risk locations resulting in higher Property coverage premiums and/or lower maximum limits for those Communities. Working in partnership with its brokers, their consultants and carriers, Covia Communities has determined the appropriate limits, and secured coverage at such limits, for each of its properties that falls outside the \$500,000,000 blanket limit. Covia Communities' locations are excluded from coverage under its Property policy for earth movement.

The Corporation and Covia Communities also carry Automobile Liability (primary and excess), Cyber (with a \$2,000,000 policy aggregate limit of liability for the Corporation and a \$5,000,000 policy aggregate limit of liability for Covia Communities), Crime, and Errors and Omissions Insurance.

The Corporation and Covia Communities have each structured a self-insured Workers Compensation Insurance Programs for their California based employees. The Corporation's Excess Workers' Compensation Program has a Self-Insured Retention per Occurrence of \$850,000. The Maximum Limit of Indemnity per Occurrence for this policy is \$25,000,000. The Corporation also has Workers' Compensation Coverage with statutory limits for employees based in Arizona, Louisiana and Florida. Covia Communities' Program has a Self-Insured Retention per Occurrence of \$1,500,000. Its Maximum Limit of Indemnity per Occurrence is \$10,000,000. The Corporation and Covia Communities have their Excess Workers' Compensation policies with the same carrier.

Environmental Matters

Front Porch is unaware of any material environmental problems at any of the Communities Front Porch owns and operates in California. With respect to the two Communities that the Corporation leases and operates in Alexandria, Louisiana and Jacksonville, Florida that consist of former military officer housing on military air installations closed in the 1990s (and which have been re-purposed as civilian airports), the Corporation is unaware of any material environmental problems that pose a threat to health or safety.

Employees and Labor Relations

Front Porch employed more than 2,900 employees as of June 30, 2021. None of Front Porch's employees is represented by a union. Front Porch considers its relationship with its employees to be satisfactory and enhanced by emphasis on teamwork and communication at all levels. Management conducts regular employee town halls, surveys and training sessions as part of its employee relations programs.

Litigation

In the normal course of business, the Corporation and Covia Communities are subject to allegations that may or do result in litigation or administrative claims. The Corporation and Covia Communities investigate and evaluate such allegations to determine the validity of any potential lawsuits or claims.

Covia Communities has been named as a defendant in a sexual battery case filed by a former resident of Webster House Health Center. The claims against Covia Communities stem from an alleged sexual assault by a former employee of Webster House in June of 2019. Covia Communities also received an A-level Patient Rights Citation (the "Citation") in connection with this matter from the California

Department of Public Health (“DPH”). The maximum penalty of an A-level citation is \$20,000. Covia Communities has challenged the Citation in the Santa Clara Superior Court, where it remains pending. Due to the preliminary stage of the court proceedings for both the lawsuit and the Citation, and the ongoing attempts to reach a settlement agreement in the lawsuit, the likelihood of success is uncertain; however, Covia Communities is vigorously defending both the lawsuit and the Citation. At this time, management cannot accurately estimate the amounts of any judgments or settlements that may result. Management of Front Porch is of the opinion that even if the lawsuit were to ultimately result in judgments or settlement amounts in excess of applicable insurance limits, payment of such amounts would not, in the context of the overall financial resources of Front Porch, have a material adverse impact on the financial position or results of operations of Front Porch as a whole. However, there can be no assurance that the final resolution of this matter will not adversely affect the financial condition or operations of Front Porch, taken as a whole.

The Corporation has received notice of a potential lawsuit by a former employee alleging Class Action claims and representative action claims under California’s Private Attorney General Act (“PAGA”). PAGA, which is codified in California’s Labor Code, authorizes aggrieved employees to file lawsuits to recover civil penalties on behalf of themselves, other employees and the State of California for Labor Code violations. The complainant in this case submitted a notice on April 22, 2021 to the California Labor and Workforce Development Agency with a draft Complaint. The draft Complaint seeks damages and penalties for alleged wage and hour and wage statement violations as well as relief on individual claims pertaining to the complainant’s employment. The filing of the notice is a prerequisite to the filing of a PAGA claim, however the Complaint has not yet been filed or served on the Corporation. The Corporation maintains that the complainant waived her right to bring any class action claims against Front Porch, and agreed to submit all individual employment claims to arbitration, upon signing an arbitration agreement at the beginning of her employment. The Corporation sent a demand to cease and desist to complainant’s counsel on the basis of the arbitration agreement. On August 12, 2021, the Corporation learned that the complainant submitted a demand for arbitration of her individual employment claims. While it is impossible to predict the outcome of this matter or whether the Complaint will be filed, management is of the opinion that even if the complainant were to be successful, Front Porch has adequate resources to cover any damages that would be awarded and that the payment of such amounts would not, in the context of the overall financial resources of Front Porch have a material adverse impact on the financial position or results of operations of Front Porch as a whole. However, there can be no assurance that the final resolution of this matter will not adversely affect the financial condition or operations of Front Porch, taken as a whole.

APPENDIX B-1

FINANCIAL STATEMENTS OF FRONT PORCH COMMUNITIES AND SERVICES

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Front Porch Communities & Services

Independent Auditor's Report and Consolidated Financial Statements

March 31, 2021 and 2020

Front Porch Communities & Services

March 31, 2021 and 2020

Contents

Independent Auditor's Report	1
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Consolidated Financial Statements

Balance Sheets	3
Statements of Operations	4
Statements of Changes in Net Assets	5
Statements of Cash Flows	6
Notes to Financial Statements	7

Supplementary Information

Consolidating Schedule – Balance Sheet Information – March 31, 2021	42
Consolidating Schedule – Statement of Operations Information – Year Ended March 31, 2021	43
Consolidating Schedule – Statement of Cash Flows Information – Year Ended March 31, 2021	44

Independent Auditor's Report

Board of Directors
Front Porch Communities & Services
Glendale, California

We have audited the accompanying consolidated financial statements of Front Porch Communities & Services, which comprise the consolidated balance sheets as of March 31, 2021 and 2020, and the related consolidated statements of operations, changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Front Porch Communities & Services as of March 31, 2021 and 2020, and the results of its operations, changes in net assets, and cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying supplementary consolidating information listed in the table of contents is presented for purposes of additional analysis and is not a required part of the 2021 consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the 2021 consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the 2021 consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the 2021 consolidated financial statements or to the 2021 consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the 2021 consolidated financial statements as a whole.

BKD, LLP

Tulsa, Oklahoma
July 20, 2021

Front Porch Communities & Services

Consolidated Balance Sheets

March 31, 2021 and 2020

(In Thousands)

Assets

	2021	2020
Current Assets		
Cash and cash equivalents	\$ 16,168	\$ 19,345
Short-term investments	2,392	8,999
Assets limited as to use – required for current liabilities	11,929	9,513
Resident and patient accounts receivable	5,836	7,788
Prepaid expenses and other	3,151	3,017
Total current assets	39,476	48,662
Investments		
Assets limited as to use, net of current portion	4,029	3,731
Long-term investments	367,027	254,865
Derivative instruments	75	23
Total investments	371,131	258,619
Property and Equipment, Net	374,092	372,327
Other Assets		
Interest in net assets of Pacific Homes Foundation	14,880	10,780
Receivables from supporting organizations	15,199	12,403
ROU assets – operating leases	6,644	8,063
Other receivables	952	1,350
Other assets	614	414
Total other assets	38,289	33,010
Total assets	\$ 822,988	\$ 712,618

Liabilities and Net Assets

	2021	2020
Current Liabilities		
Current maturities of long-term debt	\$ 6,585	\$ 5,301
Current portion of operating lease liabilities	1,742	1,755
Accounts payable	6,813	6,629
Accrued payroll and related expenses	13,718	13,605
Accrued interest	2,690	2,572
Other accrued expenses	12,955	11,599
Total current liabilities	44,503	41,461
Other Liabilities		
Asset retirement obligations	2,067	2,049
Accrued workers' compensation	4,956	6,991
Operating lease liabilities	5,916	7,561
Other accrued liabilities	35,367	32,833
Refundable entrance fees	58,100	64,451
Deferred revenue from entrance fees	41,102	42,942
Long-term debt	281,489	283,686
Total liabilities	473,500	481,974
Net Assets		
Without donor restrictions	319,712	208,172
With donor restrictions	29,776	22,472
Total net assets	349,488	230,644
Total liabilities and net assets	\$ 822,988	\$ 712,618

Front Porch Communities & Services
Consolidated Statements of Operations
Years Ended March 31, 2021 and 2020
(In Thousands)

	2021	2020
Revenues, Gains, and Other Support Without Donor Restrictions		
Resident and patient service revenue	\$ 188,963	\$ 205,535
Amortization of entrance fees	10,199	10,297
Other	927	1,592
Net assets released from restrictions used for operations	466	571
	<u>200,555</u>	<u>217,995</u>
Total revenues, gains, and other support without donor restrictions	<u>200,555</u>	<u>217,995</u>
Expenses		
Medical services	46,248	52,643
Facility operating costs	21,405	21,274
Dietary services	32,501	34,289
Residential services	17,180	18,502
Administrative services	39,594	41,831
Depreciation	33,126	30,857
Amortization of deferred costs	497	497
Interest expense and other financing costs	8,758	9,315
Other	2,969	2,279
	<u>202,278</u>	<u>211,487</u>
Total expenses	<u>202,278</u>	<u>211,487</u>
Operating Income (Loss) Before Other Operating Activities	<u>(1,723)</u>	<u>6,508</u>
Other Operating Activities		
COVID-19-related income	4,298	-
COVID-19-related expenses	(8,476)	(309)
	<u>(4,178)</u>	<u>(309)</u>
Total other operating activities	<u>(4,178)</u>	<u>(309)</u>
Operating Income (Loss)	(5,901)	6,199
Investment Return, Net	<u>117,385</u>	<u>(38,322)</u>
Excess (Deficiency) of Revenues over Expenses	111,484	(32,123)
Net Assets Released from Restrictions Used for Purchase of Property and Equipment	<u>56</u>	<u>72</u>
Increase (Decrease) in Net Assets Without Donor Restrictions	<u>\$ 111,540</u>	<u>\$ (32,051)</u>

Front Porch Communities & Services
Consolidated Statements of Changes in Net Assets
Years Ended March 31, 2021 and 2020
(In Thousands)

	2021	2020
Net Assets Without Donor Restrictions		
Excess (deficiency) of revenues over expenses	\$ 111,484	\$ (32,123)
Net assets released from restrictions used for purchase of property and equipment	<u>56</u>	<u>72</u>
Increase (decrease) in net assets without donor restrictions	<u>111,540</u>	<u>(32,051)</u>
Net Assets with Donor Restrictions		
Contributions received and investment return	3,592	47
Change in interest in net assets of Pacific Homes Foundation	3,843	(1,787)
Change in beneficial interest in perpetual trust	391	199
Net assets released from restrictions used for operations	(466)	(571)
Net assets released from restrictions used for purchase of property and equipment	<u>(56)</u>	<u>(72)</u>
Increase (decrease) in net assets with donor restrictions	<u>7,304</u>	<u>(2,184)</u>
Change in Net Assets	118,844	(34,235)
Net Assets, Beginning of Year	<u>230,644</u>	<u>264,879</u>
Net Assets, End of Year	<u><u>\$ 349,488</u></u>	<u><u>\$ 230,644</u></u>

Front Porch Communities & Services
Consolidated Statements of Cash Flows
Years Ended March 31, 2021 and 2020
(In Thousands)

	2021	2020
Operating Activities		
Cash received from contract residents	\$ 43,785	\$ 44,922
Proceeds from entrance fees received	16,761	26,798
Cash received from and on behalf of noncontract residents	144,370	158,722
Reimbursement for services to nonresidents	2,040	2,854
Other receipts from operations	927	1,592
Unrestricted investment income received	6,879	8,702
Processing fees	36	70
Government grants	5,681	-
Cash paid to suppliers, employees, and others	(173,884)	(171,598)
Cash paid for interest on long-term debt, net of amounts capitalized	(8,926)	(9,685)
	<u>37,669</u>	<u>62,377</u>
Net cash provided by operating activities	<u>37,669</u>	<u>62,377</u>
Investing Activities		
Capital expenditures	(32,692)	(44,227)
Proceeds from sale of trading investments	167,111	181,441
Purchase of trading investments	(160,224)	(184,632)
Purchase of assets limited as to use	(3,191)	(943)
Proceeds from sale of assets limited as to use	482	2,490
Repayment from (advances to) Brookmore Apartment Corporation	(200)	400
	<u>(28,714)</u>	<u>(45,471)</u>
Net cash used in investing activities	<u>(28,714)</u>	<u>(45,471)</u>
Financing Activities		
Refunds of entrance fees	(11,132)	(10,582)
Principal payments on long-term debt	(5,300)	(5,965)
Proceeds from Series 2017B debt issuance	4,244	8,050
Proceeds from contributions for purchases of property and equipment	56	72
	<u>(12,132)</u>	<u>(8,425)</u>
Net cash used in financing activities	<u>(12,132)</u>	<u>(8,425)</u>
Increase (Decrease) in Cash and Cash Equivalents	(3,177)	8,481
Cash and Cash Equivalents, Beginning of Year	<u>19,345</u>	<u>10,864</u>
Cash and Cash Equivalents, End of Year	<u><u>\$ 16,168</u></u>	<u><u>\$ 19,345</u></u>

See Notes to Consolidated Financial Statements

	2021	2020
Cash Flows from Operating Activities		
Change in net assets	\$ 118,844	\$ (34,235)
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation	33,126	30,857
Gain on disposal of assets	(3)	-
Amortization of deferred costs	497	497
Accretion of asset retirement obligations	68	(21)
Amortization of bond premium included in interest expense	(354)	(358)
Entrance fees received	16,761	26,798
Amortization of entrance fees	(10,199)	(10,297)
Realized and unrealized (gain) loss on investments, net	(112,447)	45,080
Unrealized (gain) loss on derivative financial instruments, net	(52)	36
Change in interest in net assets of Pacific Homes Foundation	(4,100)	1,869
Change in receivables from supporting organizations	(2,796)	173
Proceeds from contributions for purchases of property and equipment	(56)	(72)
Changes in operating assets and liabilities		
Accounts receivable, net	1,269	1,034
Prepaid expenses and other	264	(64)
Accounts payable and accrued expenses	(1,779)	1,246
Operating leases	(239)	1,253
Other accrued liabilities	(1,135)	(1,419)
Net cash provided by operating activities	<u>\$ 37,669</u>	<u>\$ 62,377</u>
Supplemental Cash Flows Information		
Property and equipment purchases included in accounts payable and other accrued expenses	\$ 3,399	\$ 1,203
Entrance fees included in accounts receivable	\$ 958	\$ 1,579
Operating lease obligations incurred for equipment and rental space	\$ 128	\$ 9,593

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Note 1: Nature of Operations and Summary of Significant Accounting Policies

Nature of Operations

Front Porch Communities & Services (the Corporation) is a California nonprofit public benefit corporation as described in Section 501(c)(3) of the Internal Revenue Code (the Code). The Corporation is exempt from federal income taxes on related income pursuant to Section 501 of the Code and is also exempt from state franchise taxes under similar provisions for the state of California. The Corporation owns and operates continuing care retirement communities (CCRC), other multilevel retirement communities, and other operations providing services that enhance the quality of life for those served through independent retirement living, assisted living, memory care, skilled nursing, social services, affordable housing, and contract management of subsidized housing.

The Corporation operates the various communities under two different operating organizations. The services provided by these two operating organizations are summarized below as of March 31, 2021:

Operator	Residential Living Units	Memory Care Units	Care Center Beds	Total Units/Beds
Obligated Group	1,333	100	135	1,568
Front Porch Communities Operating Group, LLC	<u>868</u>	<u>37</u>	<u>284</u>	<u>1,189</u>
Total Front Porch Communities & Services	<u><u>2,201</u></u>	<u><u>137</u></u>	<u><u>419</u></u>	<u><u>2,757</u></u>

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Obligated Group

Certain operations of the Corporation, hereinafter referred to as the Obligated Group, are aggregated to facilitate long-term borrowings and include the following as of March 31, 2021:

Community	City	Type	Residential Living Units	Memory Care Units	Care Center Beds	Total Units/Beds
Owned Communities						
Carlsbad by the Sea	Carlsbad, CA	CCRC	159	-	33	192
Sunny View Retirement Community	Cupertino, CA	CCRC	94	23	48	165
Villa Gardens	Pasadena, CA	CCRC	190	17	54	261
Vista del Monte	Santa Barbara, CA	CCRC	169	24	-	193
Walnut Village	Anaheim, CA	CCRC	156	14	-	170
Wesley Palms	San Diego, CA	Rental	293	22	-	315
Leased Communities						
Cecil Pines	Jacksonville, FL	Rental	92	-	-	92
England Oaks	Alexandria, LA	Rental	180	-	-	180
Total Obligated Group			<u>1,333</u>	<u>100</u>	<u>135</u>	<u>1,568</u>

Nonobligated Group

The following wholly owned subsidiaries of the Corporation are not members of the Obligated Group and are under “Other Entities” in the accompanying consolidating schedules:

Front Porch Communities Operating Group, LLC

Front Porch Communities Operating Group, LLC (OpCo) is a California nonprofit limited liability company as described in Section 501(c)(3) of the Code. OpCo is exempt from federal income taxes on related income pursuant to Section 501 of the Code and is also exempt from state franchise taxes under similar provisions for the state of California. OpCo was formed in connection with the refinancing of certain Obligated Group debt, as discussed in *Note 8*, and operates exclusively to further the charitable purpose of its sole member, the Corporation.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

OpCo currently leases property from the following entities and operates them in accordance with the Corporation's management philosophies, policies, and procedures and with existing Corporation staff members:

Community	City	Type	Residential Living Units	Memory Care Units	Care Center Beds	Total Units/Beds
Front Porch Communities and Services – Casa de Mañana, LLC	La Jolla, CA	Rental	187	-	-	187
Front Porch Communities and Services – Claremont Manor, LLC	Claremont, CA	Rental	214	15	59	288
Front Porch Communities and Services – Kingsley Manor, LLC	Los Angeles, CA	Rental	215	-	51	266
Front Porch Communities and Services – Fredericka Manor, LLC	Chula Vista, CA	Rental	252	22	174	448
Total OpCo			868	37	284	1,189

Front Porch Communities and Services – Casa de Mañana, LLC; Front Porch Communities and Services – Claremont Manor, LLC; Front Porch Communities and Services – Kingsley Manor, LLC; and Front Porch Communities and Services – Fredericka Manor, LLC

These four entities (collectively, the Real Estate LLCs) were formed in connection with the refinancing of certain Obligated Group debt. These entities own the real estate associated with each of the specified campuses and each has a nonrecourse loan against its property, as discussed in *Note 8*. As noted above, these entities each lease their property to OpCo, which holds the license to operate and is responsible for all operations of these campuses post-refinancing.

CARING Housing Ministries, Inc.

CARING Housing Ministries, Inc. (CARING) manages 24 U.S. Department of Housing and Urban Development (HUD)-subsidized and tax credit facilities, which provide housing to approximately 2,300 residents. CARING's managed facilities are located throughout California and in Glendale, Arizona. CARING's management fees received from clients are based on a percentage of its clients' operating revenues or are earned on a per-unit-per-month basis. CARING is a California nonprofit corporation, and the Corporation is the sole corporate member of CARING.

Sunny View Lutheran Home

Sunny View Lutheran Home (Sunny View) (formerly, Sunny View West) is a California nonprofit corporation that owns a 100-unit, HUD-subsidized senior living facility located in Cupertino, California. Sunny View does not own or operate Sunny View Retirement Community, which is owned and operated by the Corporation. The Corporation is the sole corporate member of Sunny View.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Related Parties

The following related parties are not consolidated into the Corporation:

Front Porch Enterprises, Inc.

Front Porch Enterprises, Inc. (FPE) was created as a California nonprofit corporation in July 2006. FPE was formed to provide support, financial and otherwise, to organizations engaged in housing, health and human services, education, and research and to sponsor affordable housing communities. FPE serves as the sole corporate member of Front Porch Active Adult Communities, LLC and the sole shareholder of Front Porch Development Company, Inc., described below. The Corporation and FPE are not affiliated, though there is overlap in the membership of the two boards. FPE is not included in the accompanying consolidated financial statements because the Corporation does not control FPE through majority ownership or control of the majority voting interest of the board.

Front Porch Active Adult Communities, LLC

Front Porch Active Adult Communities, LLC (Active Adult Communities) was created in January 2006 as a Delaware for-profit limited liability company to own and operate active adult communities in Mexico and elsewhere. FPE is the sole member of Active Adult Communities.

Front Porch Development Company, Inc.

Front Porch Development Company, Inc. (Development Company) was created in February 2006 as a California for-profit corporation organized for the purpose of providing real estate development services to the Corporation, Active Adult Communities, and other unrelated entities. Development Company is a wholly owned subsidiary of FPE.

The boards of FPE, Active Adult Communities, and Development Company agreed to dissolve these entities on July 8, 2014. The dissolutions will be effective upon resolution of all outstanding liabilities and filing of the appropriate legal documents. Operations previously performed by these entities began to be performed by the Corporation effective July 1, 2014, and, therefore, are included with the Corporation effective July 1, 2014. Development Company was dissolved as of July 22, 2019. The other entities have not yet been legally dissolved as of March 31, 2021.

Center for Technology Innovation and Wellbeing

Center for Technology Innovation and Wellbeing (CTIW) was formed in June 2008 as a nonprofit entity for the purpose of exploring innovative uses of technology to empower individuals to live well, especially in their later years. CTIW's bylaws provide that directors, officers, and employees of the Corporation are precluded from constituting a majority of CTIW's directors. As a result, CTIW is not included in the accompanying consolidated financial statements because the Corporation does not control CTIW through majority ownership or control of the majority voting interest of the board.

The board of CTIW agreed to dissolve this entity on March 6, 2015. The dissolution will be effective upon filing of the appropriate legal documents. Operations previously performed by

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

CTIW began to be performed by the Corporation effective April 1, 2015. However, CTIW has not yet been legally dissolved as of March 31, 2021.

Principles of Consolidation

The accompanying consolidated financial statements include the accounts of the Obligated Group, OpCo, the Real Estate LLCs, CARING, and Sunny View. All significant intercompany transactions and balances have been eliminated in consolidation.

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Corporation considers all liquid investments with original maturities of three months or less to be cash equivalents. At March 31, 2021 and 2020, cash equivalents consisted primarily of money market mutual funds of \$5,496 and \$198, respectively. These funds are not insured by the Federal Deposit Insurance Corporation (FDIC). At March 31, 2021, the Corporation's cash accounts exceeded federally insured limits by \$11,896.

Uninvested cash and cash equivalents included in investment accounts, including assets limited as to use, are not considered to be cash and cash equivalents.

Investments and Net Investment Return

The Corporation measures securities at fair value. Investment return includes dividend, interest, and other investment income; realized and unrealized gains and losses on investments carried at fair value; and realized gains and losses on other investments, less external and direct internal investment expenses. Gains and losses on the sale of securities are recorded on the trade date and are determined using the specific identification method.

Investment return that is initially restricted by donor stipulation and for which the restriction will be satisfied in the same year is included in net assets without donor restrictions. Other investment return is reflected in the accompanying consolidated statements of operations and changes in net assets with or without donor restrictions based upon the existence and nature of any donor or legally imposed restrictions.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Assets Limited as to Use

Assets limited as to use represent: (a) funds held by a trustee that are legally restricted for bond reserve accounts; (b) deposit subscriptions held in trust; (c) entrance fees refundable within the first 90 days of residency in accordance with state law; (d) assets restricted by the donor for specific purposes; (e) HUD facility reserves and tenant deposits held in accordance with regulatory agreements governing the operation of Sunny View requiring HUD approval prior to any withdrawals; and (f) assets held in escrow for payment of property taxes and insurance, debt service, owner repairs, and reserves for replacements pursuant to the loan agreements insured by HUD for the Real Estate LLCs. Amounts required to meet certain current liabilities of the Corporation are classified as current assets.

Resident and Patient Accounts Receivable

Resident accounts receivable reflect the outstanding amount of consideration to which the Corporation expects to be entitled in exchange for providing resident care. These amounts are due from residents, third-party payors (including health insurers and government programs), and others. As a service to the resident, the Corporation bills third-party payors directly and bills the resident when the resident's responsibility for co-pays, co-insurance, and deductibles is determined. Resident accounts receivable are due in full when billed.

The Corporation performs individual credit risk assessments that evaluate the individual circumstances, abilities, and intentions of each resident prior to providing the patient care services. If, subsequent to providing the services, the Corporation becomes aware of patient-specific events, facts, or circumstances indicating patients no longer have the ability or intent to pay the amount of consideration to which the Corporation expects to be entitled for providing the patient care services, then the related patient receivable balances are written off as bad debt expense. There was no material bad debt expense recorded during the years ended March 31, 2021 and 2020.

Property and Equipment

Property and equipment acquisitions exceeding \$1,000 with an estimated life of three or more years are recorded at cost and depreciated on a straight-line basis over the estimated useful life of each asset. Assets under leasehold improvements are depreciated over the shorter of the lease term or their respective estimated useful lives.

The estimated useful lives for each major depreciable classification of property and equipment are as follows:

Land improvements	2–40 years
Buildings and building and leasehold improvements	5–50 years
Equipment	3–25 years

Donations of property and equipment are reported at fair value as an increase in net assets without donor restrictions unless use of the assets is restricted by the donor. Monetary gifts that must be

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

used to acquire property and equipment are reported as restricted support. The expiration of such restrictions is reported as an increase in net assets without donor restrictions when the donated asset is placed in service.

Long-Lived Asset Impairment

The Corporation evaluates the recoverability of the carrying value of long-lived assets whenever events or circumstances indicate the carrying amount may not be recoverable. If a long-lived asset is tested for recoverability and the undiscounted estimated future cash flows expected to result from the use and eventual disposition of the asset is less than the carrying amount of the asset, the asset cost is adjusted to fair value and an impairment loss is recognized as the amount by which the carrying amount of a long-lived asset exceeds its fair value.

No asset impairment was recorded during the years ended March 31, 2021 and 2020.

Interest in Net Assets of and Receivables from Supporting Organizations

The Corporation recognizes its rights to assets held by a recipient organization in accordance with Accounting Standards Codification (ASC) 958, *Not-for-Profit Entities*. Such rights are recognized as an asset unless the donor has explicitly granted the recipient organization variance power, that is, the unilateral power to redirect the use of the assets. Those rights are either an interest in the net assets of the recipient organization, a beneficial interest in the recipient organization, or a receivable. The Corporation accounts for its interest in the net assets of the Pacific Homes Foundation (Interest) in a manner similar to the equity method (see *Note 5*). Changes in the Interest are included in the accompanying consolidated statements of changes in net assets as a component of the change in net assets with donor restrictions. Transfers of assets between Pacific Homes Foundation and the Corporation are recognized as increases or decreases in the Interest.

Debt Issuance Costs

Debt issuance costs represent costs incurred in connection with the issuance of long-term debt. The Corporation records these costs as direct deductions from the related debt consistent with debt discounts or premiums. Such costs are being amortized over the term of the respective debt using the straight-line method.

Deferred Revenue from Entrance Fees

Fees paid by residents upon entering into a continuing care contract, net of the portion thereof that is refundable to the resident, are recorded as deferred revenue and are amortized into income using the straight-line method over the estimated remaining life expectancy of the resident.

Estimated Future Service Obligation

Annually, the Corporation calculates the present value of the net cost of future services and the use of facilities to be provided to current residents by contract type and compares those amounts with

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

the balance of deferred revenue from entrance fees. If the present value of the net cost of future services and the use of facilities exceeds the deferred revenue from entrance fees, a liability is recorded (estimated future service obligation) with a corresponding charge to income. As of February 2006, while honoring previously issued contract types, the Corporation discontinued the use of all other contract types with the exception of Type B contracts. Type A contracts previously stipulated that the amount charged to the resident would not change when the resident's level of care changes; Type B contracts stipulate that the amount charged to the resident will change if the resident's level of care changes. The obligations for Type A and Type B contracts are discounted based on the Corporation's weighted-average borrowing rate. As of March 31, 2021 and 2020, there was no estimated future service obligation related to Type A or Type B contracts.

Net Assets

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor restrictions.

Net assets without donor restrictions are available for use in general operations and not subject to donor restrictions. The governing board has designated, from net assets without donor restrictions, net assets for certain specified purposes, as detailed in *Note 11*.

Net assets with donor restrictions are those whose use by the Corporation has been limited by donors to a specific time period or purpose or have been restricted by donors to be maintained by the Corporation in perpetuity. Such net assets are to be used for future capital expenditures and to support the activities of the Corporation's retirement communities as specified by the donor.

Excess (Deficiency) of Revenues over Expenses

The accompanying consolidated statements of operations include excess (deficiency) of revenues over expenses. Changes in net assets without donor restrictions, which are excluded from excess (deficiency) of revenues over expenses, consistent with industry practice, include net assets released from restrictions used for purchase of property and equipment.

Resident and Patient Service Revenue

Resident and patient service revenue includes monthly fees from residents and patient service revenue. Monthly resident fees are recognized as revenue in the related month of occupancy. Patient service revenue is recognized as the Corporation satisfies performance obligations under its contracts with patients. Patient service revenue is reported at the estimated transaction price or amount that reflects the consideration to which the Corporation expects to be entitled in exchange for providing patient care to patients and others for services rendered. The Corporation determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party payors.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Benefits to the Broader Community

The Corporation's retirement communities provide many benefits to the broader community. Most of these services are provided at no charge. Examples of these services include:

- Adult education classes
- Community centers used for other groups
- Retired Senior Volunteer Program
- Polling place for elections
- Adult literacy assistance services
- Meals on Wheels Program
- Training sites for various colleges, universities, and regional occupational programs
- Alzheimer's support groups

Contributions

Gifts of cash and other assets received without donor stipulations are reported as revenue and net assets without donor restrictions. Gifts received with a donor stipulation that limits their use are reported as revenue and net assets with donor restrictions. When a donor-stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statement of operations as net assets released from restrictions. Gifts and investment income having donor stipulations that are satisfied in the period the gift is received are recorded as revenue and net assets without donor restrictions. Conditional contributions having donor stipulations that are satisfied in the period the gift is received are recorded as revenue and net assets without donor restrictions.

Donations of property and equipment are recorded as support at their estimated fair value at the date of donation. Gifts of land, buildings, equipment, and other long-lived assets are reported as revenue and net assets without donor restrictions unless explicit donor stipulations specify how such assets must be used, in which case the gifts are reported as revenue and net assets with donor restrictions. Absent explicit donor stipulations for the time long-lived assets must be held, expirations of restrictions resulting in reclassification of net assets with donor restrictions as net assets without donor restrictions are reported when the long-lived assets are placed in service.

Professional Liability and Workers' Compensation Claims

The Corporation recognizes an accrual for claim liabilities based on estimated ultimate losses and costs associated with settling claims and a receivable to reflect the estimated insurance recoveries, if any. Professional liability claims are described more fully in *Note 6*. Workers' compensation claims are described more fully in *Note 7*.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Income Taxes

The Corporation is a nonprofit organization as described in Section 501(c)(3) of the Code and has been recognized as exempt from federal income and state franchise taxes on related income pursuant to Section 509(a)(2) of the Code and similar provisions of the California Franchise Tax Code. However, the Corporation is subject to income taxes on any net income that is derived from a trade or business, regularly carried on, and not in furtherance of the purposes for which it was granted exemption. For the fiscal years ended March 31, 2021 and 2020, no income tax provision has been recorded as the net income from any unrelated trade or business, in the opinion of management, is not material to the accompanying consolidated financial statements taken as a whole. The Corporation files tax returns in the U.S. federal jurisdiction.

Subsequent Events

Covia Affiliation

Effective April 1, 2021, the Corporation affiliated with Covia Communities (Covia) pursuant to an affiliation agreement signed in June 2020. As a result of the affiliation, the Corporation became the sole corporate member of Covia. This affiliation was executed in order to improve service lines, expand the Corporation and Covia's respective missions, and enhance corporate support functions.

For the fiscal year ended March 31, 2021, Covia had total revenues and gains on a consolidated basis of \$156 million and total assets on a consolidated basis of \$646 million and owns and operates five CCRCs in California. None of Covia's revenue and earnings are included in the Corporation's consolidated statement of operations for the year ended March 31, 2021.

The initial accounting for this business combination was not complete at the time the accompanying consolidated financial statements were issued. Due to this matter, disclosures related to acquisition-related costs and supplemental pro forma information were not able to be made. The costs associated with the affiliation are not material to the financial statements and are included in operating expenses in the fiscal year when incurred.

Supporting Organizations Merger

Pacific Homes Foundation (PH Foundation), FACT Foundation (FACT), and Sunny View Lutheran Communities and Services (SVLCS) are supporting organizations established for the charitable purpose of promoting and supporting the work of the Corporation and the retirement communities. Effective April 1, 2021, these three supporting foundations merged, with PH Foundation as the surviving entity. In connection with the merger, PH Foundation changed its name to Front Porch Communities Foundation, and the Corporation became the sole corporate member of the foundation, effectively establishing control. This merger was executed to better align the organizations supporting the Corporation.

Through March 31, 2021, the Corporation recorded a beneficial interest in PH Foundation and receivables from supporting organizations related to FACT and SVLCS. See *Note 5* for more information.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

The initial accounting for this business combination was not complete at the time the accompanying consolidated financial statements were issued. Due to this matter, disclosures related to acquisition-related costs and supplemental pro forma information were not able to be made. This business combination is not expected to have a material impact on the Corporation's change in net assets.

Planned Debt Issuance

The Corporation is currently considering issuing both taxable and tax-exempt bonds in a par amount not to exceed \$310 million during the 3rd quarter of calendar year 2021. The proceeds of these bonds are anticipated to finance and refinance the acquisition, construction, equipping, improvement, renovation, rehabilitation, and remodeling of the senior living and related facilities of both the Corporation and Covia and pay certain costs incurred in connection with the issuance of the bonds. The decision as to whether to incur indebtedness will be made by the Corporation and is subject to its discretion, based on market conditions and other considerations.

Subsequent events have been evaluated through July 20, 2021, which is the date the consolidated financial statements were issued.

Note 2: Concentration of Credit Risk

The Corporation grants credit without collateral to its skilled nursing patients, most of whom are area residents and are insured under third-party payor agreements.

The mix of net receivables related to skilled nursing services from patients and third-party payors at March 31 was:

	2021	2020
Medicare	25%	26%
Medi-Cal (including Medi-Cal managed care payors)	40%	39%
PPO/HMO (other contracted payors)	27%	26%
Patients and other	8%	9%
	<u>100%</u>	<u>100%</u>

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

Note 3: Investments and Investment Return

Short-term investments at fair value consisted of the following at March 31:

	2021	2020
U.S. Treasury and U.S. agency securities	\$ 36	\$ 261
Corporate bonds	1,456	8,738
Money market mutual funds	900	-
	<u>\$ 2,392</u>	<u>\$ 8,999</u>

Assets limited as to use at fair value consisted of the following at March 31:

	2021	2020
Cash	\$ 14,432	\$ 11,434
Certificates of deposit	1,277	1,608
Money market mutual funds	249	202
	<u>15,958</u>	<u>13,244</u>
Less amounts required to meet current obligations	<u>11,929</u>	<u>9,513</u>
	<u>\$ 4,029</u>	<u>\$ 3,731</u>

Assets limited as to use consist of amounts with restrictions for the following purposes as of March 31:

	2021	2020
Held by trustee under indenture agreements for bond fund and other reserves	\$ 4,218	\$ 3,277
HUD facility reserves	5,282	4,794
Other held by trustee	330	-
Deposit subscriptions held in trust	2,075	1,471
90-day refundable accommodation fees	3,721	3,375
Restricted by donors for capital expenditures	306	301
Resident deposits held in trust	26	26
	<u>\$ 15,958</u>	<u>\$ 13,244</u>

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

Long-term investments at fair value consisted of the following at March 31:

	2021	2020
Commodity mutual funds	\$ 13,777	\$ 13,614
Real estate mutual funds	18,662	13,833
Other mutual funds	274	783
U.S. Treasury and U.S. agency securities	9,627	10,957
Equity securities – domestic	185,485	132,275
Equity securities – international	73,177	45,446
Corporate bonds	66,025	37,957
	<u>\$ 367,027</u>	<u>\$ 254,865</u>

The Corporation invests in certain mutual funds that have required holding periods and varying redemption penalties if sold prior to the end of the holding period. However, at March 31, 2021, none of the mutual funds held by the Corporation were subject to any redemption provisions.

The Corporation entered into certain derivative instruments. The derivative instruments related to interest rate cap purchased in 2015 are included in the accompanying consolidated balance sheets as derivative instruments under investments.

Total investment return is comprised of the following for the years ended March 31 and is included in net assets without donor restrictions:

	2021	2020
Interest and dividend income	\$ 6,879	\$ 8,701
Realized gains (losses) on sales of securities, net	25,081	(3,445)
Unrealized gains (losses) on investments valued at fair value, net	87,366	(41,635)
Unrealized gains (losses) on derivative financial instruments, net	52	(36)
Investment fees	(1,993)	(1,907)
	<u>\$ 117,385</u>	<u>\$ (38,322)</u>
Investment return, net		

The change in net assets with donor restrictions for the years ended March 31, 2021 and 2020, includes investment return of \$3,099 and \$(764), respectively.

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

Note 4: Property and Equipment

A summary of property and equipment at March 31 follows:

	2021	2020
Land and land improvements	\$ 75,967	\$ 72,853
Buildings	339,171	338,885
Building improvements	197,965	185,520
Leasehold improvements	12,866	12,094
Equipment	225,450	206,401
Construction in progress	6,901	7,765
	<u>858,320</u>	<u>823,518</u>
Less accumulated depreciation	<u>484,228</u>	<u>451,191</u>
	<u><u>\$ 374,092</u></u>	<u><u>\$ 372,327</u></u>

Note 5: Interest in Net Assets of and Receivables from Supporting Organizations

PH Foundation, FACT, California Lutheran Homes (CLH), and SVLCS are nonprofit corporations established for the charitable purpose of promoting and supporting the work of the Corporation and the retirement communities. The four organizations have separate boards of directors over which the Corporation does not exercise control.

Because PH Foundation was established to operate exclusively for the benefit of the Corporation and, upon dissolution, the net assets of PH Foundation would be transferred to the Corporation to be used to benefit the residents of the former Pacific Homes communities, and since variance power from the donors does not exist, the Corporation records its interest in the net assets of PH Foundation. However, FACT, CLH, and SVLCS are not organized solely for the benefit of the Corporation and, upon dissolution, the net assets may be directed to other nonprofit organizations. Consequently, the Corporation records a receivable from these three supporting organizations related only to those net assets restricted by the donor for the benefit of the Corporation.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

As of March 31, the interest in the net assets of PH Foundation and receivables from supporting organizations are as follows:

	2021	2020
Interest in net assets of PH Foundation	\$ 14,880	\$ 10,780
Receivables from supporting organizations		
FACT	\$ 11,839	\$ 9,101
CLH	1,213	1,308
SVLCS	2,147	1,994
	\$ 15,199	\$ 12,403

Note 6: Professional Liability Claims

The Corporation purchases professional and general liability insurance under a claims-made policy. Under such a policy, only claims made and reported to the insurer during the policy term, regardless of when the incidents giving rise to the claims occurred, are covered. The Corporation also purchases excess umbrella liability coverage, which provides additional coverage above the basic policy limits up to the amount specified in the umbrella policy.

Based upon the Corporation's claims experience, no accrual had been made for the Corporation's portion of malpractice costs as of March 31, 2021 and 2020. It is reasonably possible this estimate could change materially in the near term.

Note 7: Workers' Compensation

Effective March 31, 2003, the Corporation became qualified to self-insure its workers' compensation claims in California. In addition, for the years ended March 31, 2021 and 2020, the Corporation had an excess workers' compensation policy in place for individual claims exceeding \$750. This policy had a maximum coverage limit of \$25,000 for the years ended March 31, 2021 and 2020.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Amounts accrued to cover potential workers' compensation claims, based on actuarial valuation, as of March 31 are as follows:

	<u>2021</u>	<u>2020</u>
Estimated amounts expected to be paid		
Within one year, included in accrued payroll and related expenses	\$ 1,485	\$ 1,829
In excess of one year, included in accrued workers' compensation	<u>4,956</u>	<u>6,991</u>
	<u>\$ 6,441</u>	<u>\$ 8,820</u>

While the ultimate amount of claims to be incurred is dependent on future developments, the Corporation's management believes the aggregate accrual is adequate to cover such amounts. However, by their nature, the amounts recorded are estimates and actual results could differ from the amounts recorded.

The liability for expected workers' compensation claims is presented excluding expected insurance recoveries. Estimated insurance recovery receivables of \$952 and \$1,350 are included as other receivables in the accompanying consolidated balance sheets at March 31, 2021 and 2020, respectively.

Note 8: Long-Term Debt

The following is a summary of long-term debt at March 31:

	<u>2021</u>	<u>2020</u>
Series 2017A Revenue Bonds (A)	\$ 98,450	\$ 99,275
Series 2017B Revenue Bonds (B)	20,174	16,231
Series 2015 Revenue Bonds (C)	67,876	68,921
Mortgage payable, bank (D)	9,737	10,135
Mortgage payable, bank (E)	35,282	36,284
Mortgage payable, bank (F)	25,245	25,943
Mortgage payable, bank (G)	<u>29,156</u>	<u>30,186</u>
	285,920	286,975
Plus unamortized premium	6,769	7,124
Less unamortized debt issuance costs	(4,615)	(5,112)
Less current maturities	<u>(6,585)</u>	<u>(5,301)</u>
	<u>\$ 281,489</u>	<u>\$ 283,686</u>

- (A) Series 2017A Revenue Bonds issued by California Statewide Communities Development Authority (CSCDA); interest at 3.50% to 5.00% paid semiannually; principal due in varying installments through 2047, paid annually. Unamortized debt issuance costs were \$1,450 and

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

\$1,504 at March 31, 2021 and 2020, respectively. The effective interest rate was 4.54% for the years ended March 31, 2021 and 2020.

- (B) Series 2017B Revenue Bonds issued as drawdown bonds with principal amount up to \$21,500 by CSCDA; variable interest at a specified percentage of the London InterBank Offered Rate (LIBOR) plus applicable spread paid monthly, 1.02% and 1.97% at March 31, 2021 and 2020, respectively; principal due in varying installments through 2045, paid semiannually. Unamortized debt issuance costs were \$129 and \$162 at March 31, 2021 and 2020, respectively. The effective interest rate was 1.24% and 2.84% for the years ended March 31, 2021 and 2020, respectively. Bonds were placed directly with one investor.
- (C) Series 2015 Revenue Bonds issued as drawdown bonds with principal amount up to \$72,000 by CSCDA; full principal amount drawn as of March 31, 2021; variable interest at a specified percentage of LIBOR plus applicable spread paid monthly, 1.02% and 1.97% at March 31, 2021 and 2020, respectively; principal due in varying installments through 2040, paid semiannually. Unamortized debt issuance costs were \$801 and \$1,001 at March 31, 2021 and 2020, respectively. The effective interest rate was 1.40% and 2.90% for the years ended March 31, 2021 and 2020, respectively. Bonds were placed directly with one investor with an initial 10-year hold period. In 2025, the borrower and current investor can agree on new terms, the debt can be sold to a new investor, or it must be redeemed and refinanced.
- (D) Mortgage payable to bank in monthly principal and interest installments of \$56, including interest at 2.80%, through 2040; plus monthly deposits of \$12 for replacement reserves, collateralized by a deed of trust on substantially all of Front Porch Communities and Services – Kingsley Manor, LLC’s real and personal property insured by HUD under Section 232 of the *National Housing Act*. Unamortized debt issuance costs were \$289 and \$323 at March 31, 2021 and 2020, respectively. The effective interest rate was 3.12% and 3.13% for the years ended March 31, 2021 and 2020, respectively.
- (E) Mortgage payable to bank in monthly principal and interest installments of \$165, including interest at 2.73%, through 2046; plus monthly deposits of \$23 for replacement reserves, collateralized by a deed of trust on substantially all of Front Porch Communities and Services – Claremont Manor, LLC’s real and personal property insured by HUD under Section 232 of the *National Housing Act*. Unamortized debt issuance costs were \$724 and \$783 at March 31, 2021 and 2020, respectively. The effective interest rate was 2.90% and 2.91% for the years ended March 31, 2021 and 2020, respectively.
- (F) Mortgage payable to bank in monthly principal and interest installments of \$138, including interest at 3.74%, through 2044; plus monthly deposits of \$14 for replacement reserves, collateralized by a deed of trust on substantially all of Front Porch Communities and Services – Casa de Mañana, LLC’s real and personal property insured by HUD under Section 232 of the *National Housing Act*. Unamortized debt issuance costs were \$554 and \$602 at March 31, 2021 and 2020, respectively. The effective interest rate was 3.95% for the years ended March 31, 2021 and 2020.
- (G) Mortgage payable to bank in monthly principal and interest installments of \$169, including interest at 3.35%, through 2040; plus monthly deposits of \$24 for replacement reserves,

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

collateralized by a deed of trust on substantially all of Front Porch Communities and Services – Fredericka Manor, LLC’s real and personal property insured by HUD under Section 232 of the *National Housing Act*. Unamortized debt issuance costs were \$668 and \$737 at March 31, 2021 and 2020, respectively. The effective interest rate was 3.58% and 3.59% for the years ended March 31, 2021 and 2020, respectively.

The Master Indenture contains various restrictive covenants, which, among other things, require the maintenance of certain financial ratios, including a debt service coverage ratio of 1.20. All outstanding bonds are collateralized by the gross revenues of the Obligated Group.

Under the terms of the four HUD-insured mortgages, the Real Estate LLCs are required to maintain reserve accounts for replacements that are included in assets limited as to use on the accompanying consolidated balance sheets. The Real Estate LLCs are also subject to restrictions on acquisition, use, and disposition of the mortgaged property and revenues derived therefrom.

Scheduled annual principal payments on long-term debt at March 31, 2021, are as follows:

Year Ending March 31,	
2022	\$ 6,585
2023	6,839
2024	7,098
2025	7,366
2026	6,682
Thereafter	251,350
	<u>\$ 285,920</u>

Note 9: Resident and Patient Service Revenue

Resident service revenue is the amount that reflects the consideration to which the Corporation expects to be entitled in exchange for standing ready to provide services to the residents under a continuing care contract. The nonrefundable portion of the entrance fee payment is recognized on a straight-line basis over the expected life of the resident(s), which is when the performance obligations are satisfied. The monthly service fees are billed monthly and are recognized as performance obligations are satisfied.

Patient service revenue is reported at the amount that reflects the consideration to which the Corporation expects to be entitled in exchange for providing patient care. These amounts are due from patients, third-party payors (including health insurers and government programs), and others and include variable consideration for retroactive revenue adjustments due to settlement of audits, reviews, and investigations. Generally, the Corporation bills the patients and third-party payors monthly after the services are performed or the patient is discharged from the care center, and patient accounts receivable are due in full when billed. Revenue is recognized as performance obligations are satisfied.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Performance Obligations

Performance obligations are determined based on the nature of the services provided by the Corporation. Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total expected charges. The Corporation believes that this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. The Corporation measures performance obligations for resident service revenue from admission to the care center to the point when it is no longer required to provide services to that resident, which is generally at the time of discharge. The Corporation measures performance obligations for resident service revenue and resident fee revenue as a series of distinct services that are considered one performance obligation that is satisfied over time.

Transaction Price

The Corporation determines the transaction price based on standard charges for goods and services provided, reduced by explicit price concessions, which consist of contractual adjustments provided to third-party payors. The Corporation determines its estimates of contractual adjustments and discounts based on contractual agreements, discount policies, and historical experience. The Corporation determines its estimate of implicit price concessions based on its historical collection experience with this class of residents.

Third-Party Payors

Agreements with third-party payors typically provide for payments at amounts less than established charges. A summary of the payment arrangements with major third-party payors follows:

Medicare – Services rendered to Medicare program beneficiaries for skilled nursing are reimbursed under a prospective methodology, and no additional settlement will be made on the difference between the per diem rates paid and actual cost.

Medi-Cal – Reimbursements for Medi-Cal services are generally paid at prospectively determined rates per day.

Other – Payment agreements with certain commercial insurance carriers provide for payment using prospectively determined rates per day.

Laws and regulations concerning government programs, including Medicare and Medi-Cal, are complex and subject to varying interpretation. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations, which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge the Corporation's compliance with these laws and regulations, and it is not possible to determine the

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

impact (if any) such claims or penalties would have upon the Corporation. In addition, the contracts the Corporation has with commercial payors also provide for retroactive audit and review of claims.

Revenue Composition

The Corporation has determined that the nature, amount, timing, and uncertainty of revenue and cash flows are affected by the following factors: payors and service lines.

Details of these factors for the years ended March 31 are presented below:

	Care Center	Residential	Memory Care	Total
2021				
Medicare	\$ 10,672	\$ -	\$ -	\$ 10,672
Medi-Cal	18,402	-	-	18,402
Other third-party payors	4,225	-	-	4,225
Private	11,705	130,674	13,226	155,605
Amortization of entrance fees	-	10,199	-	10,199
	<u>\$ 45,004</u>	<u>\$ 140,873</u>	<u>\$ 13,226</u>	<u>\$ 199,103</u>
2020				
Medicare	\$ 17,350	\$ -	\$ -	\$ 17,350
Medi-Cal	21,940	-	-	21,940
Other third-party payors	7,448	-	-	7,448
Private	12,454	133,933	12,410	158,797
Amortization of entrance fees	-	10,297	-	10,297
	<u>\$ 59,192</u>	<u>\$ 144,230</u>	<u>\$ 12,410</u>	<u>\$ 215,832</u>

Financing Component

The Corporation has elected the practical expedient allowed under ASC 606-10-32-18 and does not adjust the promised amount of consideration from patients and third-party payors for the effects of a significant financing component due to the Corporation's expectation that the period between the time the service is provided to a patient and the time the patient or a third-party payor pays for that service will be one year or less. However, the Corporation does, in certain instances, enter into payment agreements with patients that allow payments in excess of one year. For those cases, the financing component is not deemed to be significant to the contract.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Contract Costs

The Corporation has applied the practical expedient provided by ASC 340-40-25-4, and all incremental resident contract acquisition costs are expensed as they are incurred, as the amortization period of the asset that the Corporation otherwise would have recognized is one year or less in duration. However, incremental costs incurred to obtain resident contracts for which the amortization period of the asset that the Corporation otherwise would have recognized is longer than one year are capitalized and amortized over the life of the contract based on the pattern of revenue recognition from these contracts. The Corporation regularly evaluates its resident contract costs and considers whether they should be capitalized over the life of the contract. These amounts are not considered to be significant to the overall financial statements and are expensed as incurred since they have a minimal effect on operations.

Note 10: Net Assets with Donor Restrictions

Net assets with donor restrictions are available for the following purposes or periods at March 31:

	2021	2020
Resident assistance and special projects	\$ 9,440	\$ 6,336
Purchase of property and equipment	190	144
Scholarships	792	426
Time-restricted	8,512	5,461
Other	3,031	2,683
Investments to be held in perpetuity, the income is expendable	7,811	7,422
	<u>\$ 29,776</u>	<u>\$ 22,472</u>

Net assets with donor restrictions are held by supporting organizations and releases are not subject solely to the Corporation meeting the restriction.

Net assets with donor restrictions were released from donor restrictions by incurring expenses satisfying the restricted purposes or by occurrence of the passage of time or other events specified as follows:

	2021	2020
Available for resident assistance and operations	<u>\$ 466</u>	<u>\$ 571</u>
Capital expenditures	<u>\$ 56</u>	<u>\$ 72</u>

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Note 11: Net Assets Without Donor Restrictions

The Board designated \$2,000 of net assets without donor restrictions to establish The Front Porch Center for Innovation and Wellbeing/Innovation Initiative Fund (the Innovation Fund) and \$1,000 of net assets without donor restrictions to establish The Alhambra Affordable Housing Preservation and Development Fund (the Affordable Housing Fund) during the year ended March 31, 2014. Designated net assets remain under the control of the Board, which may, at its discretion, later use these designated funds for other purposes. Designated funds are included with investments on the accompanying consolidated balance sheets. During the year ended March 31, 2021, the Board released \$5 of funds originally designated for the Innovation Fund to cover certain operating costs and released \$200 of funds from the Affordable Housing Fund as an advance to Brookmore Apartment Corporation (Brookmore). The \$200 advance to Brookmore is included in other assets on the accompanying consolidated balance sheets at March 31, 2021. During the year ended March 31, 2020, the Board released \$1 of funds originally designated for the Innovation Fund to cover certain operating costs and released \$75 of funds from the Affordable Housing Fund as an advance to Brookmore, which was repaid during fiscal year 2020. The remaining unreleased amounts were \$1,909 and \$1,914 of the Innovation Fund and \$800 and \$1,000 of the Affordable Housing Fund as of March 31, 2021 and 2020, respectively.

Note 12: Liquidity and Availability

The Corporation's financial assets available to meet general expenditures within one year of the balance sheet date are:

	2021	2020
Cash and cash equivalents	\$ 16,168	\$ 19,345
Investments	369,419	263,864
Resident and patient accounts receivable	5,836	7,788
Other receivables	200	-
Financial assets available to meet general expenditures within one year	<u>\$ 391,623</u>	<u>\$ 290,997</u>

The Corporation has certain board-designated assets that are available for general expenditures within one year in the normal course of operations (see *Note 11*). Accordingly, these assets have been included in the information above for financial assets available to meet general expenditures within one year.

The Corporation has assets limited as to use for debt service, deposit subscriptions held in trust, refundable entrance fees, donor restriction, and various required reserves. These assets limited as to use, which are more fully described in *Notes 1* and *3*, are not available for general expenditure within the next year. The Corporation does not have a specific liquidity policy.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Note 13: Uncompensated Community Benefits

Each year, the Corporation provides services to residents with limited means and benefits to the broader community. The cost of such services is reported on the Corporation's IRS Form 990. Additionally, the Corporation accepts Medi-Cal patients for which it is reimbursed at amounts that do not cover the cost of health care services provided. The estimated cost, based on historical cost-to-revenue ratios by community, of providing such under-reimbursed care in excess of reimbursements received was \$3,465 and \$4,620 for the years ended March 31, 2021 and 2020, respectively.

Note 14: Functional Expenses

The Corporation provides residential and health care services to residents. Certain costs attributable to more than one function have been allocated among the residential and health care services and general and administrative functional expense classifications based on direct assignment, expenses, and other methods.

The following schedule presents the natural classification of expenses by function as follows for the years ended March 31:

	Residential and Health Care Services	General and Administrative	Total
2021			
Salaries and wages	\$ 61,015	\$ 20,727	\$ 81,742
Employee benefits	23,636	2,803	26,439
Professional services	5,652	6,862	12,514
Supplies and other	31,497	16,180	47,677
Depreciation and amortization	30,472	3,151	33,623
Interest and other financing costs	8,715	43	8,758
	<u>\$ 160,987</u>	<u>\$ 49,766</u>	<u>\$ 210,753</u>
2020			
Salaries and wages	\$ 62,196	\$ 19,369	\$ 81,565
Employee benefits	23,658	4,975	28,633
Professional services	7,107	6,137	13,244
Supplies and other	35,842	11,843	47,685
Depreciation and amortization	28,111	3,243	31,354
Interest and other financing costs	9,247	68	9,315
	<u>\$ 166,161</u>	<u>\$ 45,635</u>	<u>\$ 211,796</u>

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

Note 15: Employee Benefit Plans

403(b) Defined Contribution Plan and Supplemental Retirement Plan

The Corporation sponsors a 403(b) defined contribution plan for its employees. Under the current plan, all employees with at least one year of service are eligible to participate, and the Corporation contributes an amount equal to 3% of each participant's compensation. Additionally, the Corporation provides an executive supplemental retirement plan and contributes 4.5% of each participant's compensation. Expense for all retirement plans, equal to the contributions, totaled \$2,470 and \$2,446 for the years ended March 31, 2021 and 2020, respectively.

Deferred Compensation Plan

The Corporation offers a nonqualified deferred compensation plan to a select group of management that provides the opportunity to defer a specified percentage of their cash compensation. Participants may elect to defer up to 30% of their annual base salary. In addition, the Corporation offers an at-risk compensation plan that requires a mandatory 30% of any at-risk pay awarded to be held as deferred compensation. Participants may elect to defer the remaining 70% of their award. The Corporation's obligations under this plan are unfunded for tax purposes and for purposes of Title 1 of the *Employee Retirement Income Security Act of 1974* and are unsecured general obligations of the Corporation to pay in the future the value of the deferred compensation adjusted to reflect the performance, whether positive or negative, of selected investment measurement options chosen by each participant during the deferral period. As of March 31, 2021 and 2020, \$968 and \$617, respectively, of deferred compensation is accrued and included in other accrued liabilities in the accompanying consolidated balance sheets.

Note 16: Disclosures About Fair Value of Assets

Fair value is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date. Fair value measurements must maximize the use of observable inputs and minimize the use of unobservable inputs. There is a hierarchy of three levels of inputs that may be used to measure fair value:

- Level 1** Quoted prices in active markets for identical assets
- Level 2** Observable inputs other than Level 1 prices, such as quoted prices for similar assets, quoted prices in markets that are not active, or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets
- Level 3** Unobservable inputs supported by little or no market activity and significant to the fair value of the assets

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Recurring Measurements

The following tables present the fair value measurements of assets recognized in the accompanying consolidated balance sheets measured at fair value on a recurring basis and the level within the fair value hierarchy in which the fair value measurements fall at March 31:

		Fair Value Measurements Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Fair Value			
2021				
Financial assets				
Equities – domestic	\$ 185,485	\$ 185,485	\$ -	\$ -
Equities – international	73,177	73,177	-	-
Money market mutual funds	1,149	1,149	-	-
Certificates of deposit	1,277	-	1,277	-
Commodity mutual funds	13,777	13,777	-	-
Real estate mutual funds	18,662	18,662	-	-
Other mutual funds	274	274	-	-
U.S. Treasury and U.S. agency securities	9,663	5,045	4,618	-
Corporate bonds and commercial paper	67,481	57,633	9,848	-
	370,945	\$ 355,202	\$ 15,743	\$ -
Cash and cash equivalents (at cost)	14,432			
Total investments and assets limited as to use	\$ 385,377			
Derivative instruments	\$ 75	\$ -	\$ 75	\$ -
Receivables from supporting organizations	\$ 15,199	\$ -	\$ -	\$ 15,199

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

		Fair Value Measurements Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Fair Value			
2020				
Financial assets				
Equities – domestic	\$ 132,275	\$ 132,275	\$ -	\$ -
Equities – international	45,446	45,446	-	-
Money market mutual funds	202	202	-	-
Certificates of deposit	1,608	-	1,608	-
Commodity mutual funds	13,614	13,614	-	-
Real estate mutual funds	13,833	13,833	-	-
Other mutual funds	783	783	-	-
U.S. Treasury and U.S. agency securities	11,218	6,600	4,618	-
Corporate bonds and commercial paper	46,695	36,582	10,113	-
	265,674	\$ 249,335	\$ 16,339	\$ -
Cash and cash equivalents (at cost)	11,434			
Total investments and assets limited as to use	\$ 277,108			
Derivative instruments	\$ 23	\$ -	\$ 23	\$ -
Receivables from supporting organizations	\$ 12,403	\$ -	\$ -	\$ 12,403

Following is a description of the valuation methodologies and inputs used for assets measured at fair value on a recurring basis and recognized in the accompanying consolidated balance sheets, as well as the general classification of such assets pursuant to the valuation hierarchy. There have been no significant changes in the valuation techniques during the year ended March 31, 2021. For assets classified within Level 3 of the fair value hierarchy, the process used to develop the reported fair value is described below.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Investments

Where quoted market prices are available in an active market, investments are classified within Level 1 of the valuation hierarchy. Level 1 investments include various mutual funds, certain corporate bonds and commercial paper, U.S. Treasury and U.S. agency securities, and exchange-traded equity securities. If quoted market prices are not available, then fair values are estimated by using pricing models, quoted prices of investments with similar characteristics, or discounted cash flows. Level 2 investments include certain corporate bonds and commercial paper, U.S. Treasury and U.S. agency securities, derivative instruments, and certificates of deposit. In certain cases where Level 1 or Level 2 inputs are not available, investments are classified within Level 3 of the hierarchy.

Derivative Instruments

Fair value is estimated using forward looking interest rate curves and discounted cash flows that are observable or can be corroborated by observable market data and, therefore, are classified within Level 2 of the valuation hierarchy.

Receivables from Supporting Organizations

Fair value is estimated at the present value of the future distributions from the supporting organizations. Due to the nature of the valuation inputs, the receivables from supporting organizations are classified within Level 3 of the hierarchy.

Level 3 Reconciliation

The following is a reconciliation of the beginning and ending balances of recurring fair value measurements recognized in the accompanying consolidated balance sheets using significant unobservable (Level 3) inputs:

	Receivables from Supporting Organizations
Balance, April 1, 2020	\$ 12,403
Total realized and unrealized gains included in change in net assets	<u>2,796</u>
Balance, March 31, 2021	<u><u>\$ 15,199</u></u>
Total gains for the period included in change in net assets attributable to the change in unrealized gains or losses related to assets and liabilities still held at the reporting date	<u><u>\$ 2,796</u></u>

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

	Receivables from Supporting Organizations
Balance, April 1, 2019	\$ 12,576
Total realized and unrealized gains included in change in net assets	<u>(173)</u>
Balance, March 31, 2020	<u><u>\$ 12,403</u></u>
Total gains for the period included in change in net assets attributable to the change in unrealized gains or losses related to assets and liabilities still held at the reporting date	<u><u>\$ (173)</u></u>

Note 17: Asset Retirement Obligations

ASC 410, *Asset Retirement and Environmental Obligations*, requires that an asset retirement obligation (ARO) associated with the retirement of a tangible long-lived asset be recognized as a liability in the period in which it is incurred or becomes determinable (as defined by the standard) even when the timing and/or method of settlement may be conditional on a future event.

The Corporation has AROs arising from regulatory requirements to perform asbestos abatement at the time certain property is disposed of. The liability, included in asset retirement obligations in the accompanying consolidated balance sheets, was initially measured at fair value based upon historical removal costs per square foot applied to assets identified as requiring asbestos abatement and is subsequently adjusted for accretion expense and changes in the amount or timing of the estimated cash flows. The corresponding asset retirement costs are capitalized as part of the carrying amount of the related long-lived asset and depreciated over the asset's useful life. The following table presents the activity for the AROs for the years ended March 31:

	2021	2020
Balance, beginning of year	\$ 2,049	\$ 2,124
Change in estimate and accretion expense	<u>18</u>	<u>(75)</u>
Balance, end of year	<u><u>\$ 2,067</u></u>	<u><u>\$ 2,049</u></u>

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Note 18: Significant Estimates and Concentrations

Accounting principles generally accepted in the United States of America require disclosure of certain significant estimates and current vulnerabilities due to certain concentrations. Those matters include the following:

Variable Consideration

Estimates of variable consideration in determining the transaction price for resident and patient service revenue are described in *Notes 1* and *9*.

Investments

The Corporation invests in various investment securities. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported in the accompanying consolidated balance sheets.

Self-Insurance Claims

Estimates related to the accrual for self-insured workers' compensation claims are described in *Notes 1* and *7*.

Litigation

In the normal course of business, the Corporation is, from time to time, subject to allegations that may or do result in litigation. The Corporation evaluates such allegations by conducting investigations to determine the validity of each potential claim. Based upon the advice of counsel, and an independent actuary with respect to workers' compensation claims, management records an estimate of the amount of ultimate expected loss, if any, for each of these matters. Events could occur that would cause the estimate of ultimate loss to differ materially in the near term.

Regulatory Matters

The health care industry is subject to numerous laws and regulations of federal, state, and local governments. These laws and regulations include, but are not necessarily limited to, matters such as licensure, accreditation, government health care program participation requirements, and reimbursement for patient services. Government activity has continued with respect to investigations and allegations concerning possible violations of fraud and abuse statutes and regulations by health care providers. Violations of these laws and regulations could result in expulsion from government health care programs with the imposition of significant fines and penalties, as well as significant repayments for patient services previously billed. In addition, changes to the regulatory environment could negatively impact the Corporation's consolidated financial position.

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Asset Retirement Obligations

As discussed in *Note 17*, the Corporation has recorded a liability for its conditional AROs related to asbestos abatement.

Note 19: Refundable and Amortized Entrance Fees and Deferred Revenue

Entrance fee arrangements apply to five of the Corporation's facilities as of March 31, 2021 and 2020. For the right to occupy a unit for life and to receive certain services at these facilities, residents are required to pay an upfront entrance fee. The entrance fee is based upon the type of unit rented and the monthly payment plan selected by the resident. In addition, residents are charged monthly service fees. Service fees are established at the inception of residency and may be increased by the Corporation, provided a 60-day advance notice is given to the resident.

The resident may voluntarily withdraw from the facility upon rendering proper notification. Upon voluntary withdrawal, a repayment of part or all of the entrance fees and monthly care fees may occur.

The following is a summary of the withdrawal clauses:

- If the resident voluntarily withdraws within the first seven days, all amounts will be repaid.
- If voluntary withdrawal or death occurs within 90 days of the contract date, an amount equal to the entrance fee and the monthly care fee, less any amounts used to care for the resident during the time of the residency, will be repaid to the resident, estate, trust, heirs, or representatives.
- For amortized contracts, if voluntary withdrawal occurs subsequent to the 90-day period, the amount repaid shall be equal to the entrance fee, less an amount amortized on a basis ranging from 60 to 67 months from the date of the agreement. If voluntary withdrawal occurs after the "amortization period," as defined in the resident contract, no repayment shall be awarded. If death occurs more than 90 days after the contract date, entrance fees are either retained by the Corporation or partially refunded based upon the individual facility's contracts.
- For repayable contracts, upon withdrawal of a resident for any reason subsequent to the 90-day period, the repayable percentage of the entrance fee will be repaid to the resident, estate, trust, heirs, or representatives within 14 calendar days of the Corporation's receipt of a new entrance fee or, in certain circumstances, monthly fee contract for the unit.

The estimated amount of entrance fees expected to be repaid to current residents, net of amounts estimated to be repaid within one year, amounted to \$24,292 and \$23,181 at March 31, 2021 and 2020, respectively, and is included in other accrued liabilities in the accompanying consolidated balance sheets. Amounts estimated to be repaid within one year totaled \$8,166 and \$7,073 at March 31, 2021 and 2020, respectively, and are recorded as other current accrued expenses in the accompanying consolidated balance sheets. These estimates are based on the Corporation's

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

historical repayment experience and the Corporation's repayment policy. At March 31, 2021 and 2020, \$107,811 and \$113,243, respectively, are contractually repayable under these agreements, which represent the amount due to residents if all residents were to cancel their contracts at that date based on the repayment policies above. The contractually repayable amount, net of estimated repayable entrance fees described above, is included in refundable entrance fees and deferred revenue from entrance fees in the accompanying consolidated balance sheets.

Entrance fees subject to refund or reoccupancy and actual refunds disbursed as of and for the year ended March 31 are as follows:

	Entrance Fees Subject to Refund or Reoccupancy as of March 31	Actual Refunds Disbursed for the Year Ended March 31
2021	\$ 135,962	\$ 11,132
2020	\$ 141,215	\$ 10,582
2019	\$ 135,095	\$ 8,454
2018	\$ 128,447	\$ 8,533
2017	\$ 123,677	\$ 6,110

Note 20: Leases

Nature of Leases

The Corporation has entered into the following operating lease arrangements:

The Corporation has certain leases with related parties, which are eliminated in the accompanying consolidated financial statements. See *Note 1* for further description of these leases.

The Corporation has leases for office space at various locations that expire in various years through 2034. These leases generally contain renewal options for periods ranging from 5 to 10 years and require the Corporation to pay all executory costs (property taxes, maintenance, and insurance). Lease payments are based on a fair value cost per square foot. Termination of the lease is generally prohibited unless there is a violation under the lease agreement.

The Corporation has certain other operating leases, including leases with expected lease terms of less than 12 months, for various equipment, vehicles, and space that are not material at March 31, 2021.

Accounting Policies

The Corporation determines if an arrangement is a lease or contains a lease at inception. Leases result in the recognition of ROU assets and lease liabilities on the accompanying consolidated

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

balance sheets. ROU assets represent the right to use an underlying asset for the lease term, and lease liabilities represent the obligation to make lease payments arising from the lease, measured on a discounted basis. The Corporation determines lease classification as operating or finance at the lease commencement date.

The Corporation combines lease and nonlease components, such as common area and other maintenance costs, in calculating the ROU assets and lease liabilities for its office buildings and equipment.

At lease inception, the lease liability is measured at the present value of the lease payments over the lease term. The ROU asset equals the lease liability adjusted for any initial direct costs, prepaid or deferred rent, and lease incentives. The Corporation has made a policy election to use a risk-free rate (the rate of a zero-coupon U.S. Treasury instrument) for the initial and subsequent measurement of all lease liabilities. The risk-free rate is determined using a period comparable with the lease term.

The lease term may include options to extend or terminate the lease that the Corporation is reasonably certain to exercise. Lease expense is generally recognized on a straight-line basis over the lease term.

The Corporation has elected not to record leases with an initial term of 12 months or less on the accompanying consolidated balance sheets. Lease expense on such leases is recognized on a straight-line basis over the lease term.

Quantitative Disclosures

The lease cost and other required information for the years ended March 31 are:

	2021	2020
Operating lease cost	\$ 1,881	\$ 1,905
Short-term lease cost	327	359
Total lease cost	<u>\$ 2,208</u>	<u>\$ 2,264</u>

Other Required Information

Cash paid for amounts included in the measurement of lease liabilities

Operating cash flows from operating leases	\$ 2,091	\$ 2,094
ROU assets obtained in exchange for new operating lease liabilities	\$ 128	\$ 9,593
Weighted-average remaining lease term		
Operating leases	7.16 years	7.50 years
Weighted-average discount rate		
Operating leases	4.1%	3.8%

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

Future minimum lease payments and reconciliation to the accompanying consolidated balance sheet at March 31, 2021, are as follows:

	Operating Leases
2022	\$ 2,034
2023	1,717
2024	1,462
2025	595
2026	449
Thereafter	2,931
	9,188
Less interest	1,530
Operating lease liabilities	<u><u>\$ 7,658</u></u>

Note 21: COVID-19 Pandemic and CARES Act Funding

On March 11, 2020, the World Health Organization designated the SARS-CoV-2 virus and the incidence of COVID-19 as a global pandemic. Occupancy levels and the related revenues were significantly affected by COVID-19 as various policies were implemented by federal, state, and local governments in response to the pandemic that led many people to remain at home and forced the closure of or limitations on certain businesses, as well as suspended elective procedures by health care facilities.

While some of these policies have been eased and states have lifted moratoriums on non-emergent procedures, some restrictions remain in place, and some state and local governments re-imposed certain restrictions due to increasing rates of COVID-19 cases prior to the widespread availability of a vaccine.

The Corporation's pandemic response plan has multiple facets and continues to evolve as the pandemic unfolds. The Corporation has taken precautionary steps to enhance its operational and financial flexibility and react to the risks the COVID-19 pandemic presents to its business, including the following:

- Implementation of targeted cost reduction initiatives
- Implementation of additional cash flow management strategies

In addition, the Corporation received \$3,217 of accelerated Medicare payments and \$5,681 in general and targeted Provider Relief Fund distributions, both as provided for under the *Coronavirus Aid, Relief, and Economic Security Act* (the CARES Act).

The extent of the COVID-19 pandemic's adverse effect on the Corporation's operating results and financial condition has been and will continue to be driven by many factors, most of which are

Front Porch Communities & Services

Notes to Consolidated Financial Statements

March 31, 2021 and 2020

(In Thousands)

beyond the Corporation's control and ability to forecast. Such factors include, but are not limited to, the scope and duration of stay-at-home practices and business closures and restrictions, continued declines in occupancy levels for an indeterminable length of time, incremental expenses required for supplies and personal protective equipment, and changes in professional and general liability exposure.

Because of these and other uncertainties, the Corporation cannot estimate the length or severity of the effect of the pandemic on the Corporation's business. Decreases in cash flows and results of operations may have an effect on debt covenant compliance and on the inputs and assumptions used in significant accounting estimates, including estimated implicit price concessions related to uninsured patient accounts, and potential impairments of long-lived assets.

Provider Relief Fund

During the year ended March 31, 2021, the Corporation received \$5,681 of distributions from the CARES Act Provider Relief Fund (Provider Relief Fund). These distributions from the Provider Relief Fund are not subject to repayment provided the Corporation is able to attest to and comply with the terms and conditions of the funding, including demonstrating that the distributions received have been used for qualifying expenses or lost revenue attributable to COVID-19, as defined by the U.S. Department of Health and Human Services.

The Corporation accounts for such payments as conditional contributions in accordance with ASC 958-605, *Revenue Recognition*. Payments are recognized as contribution revenue once the applicable terms and conditions required to retain the funds have been substantially met. Based on an analysis of the compliance and reporting requirements of the Provider Relief Fund and the effect of the pandemic on the Corporation's revenues and expenses through March 31, 2021, the Corporation recognized \$4,298 related to the distributions from the Provider Relief Fund, and these payments are recorded as COVID-19-related income in the accompanying consolidated statements of operations. The unrecognized amount of distributions from the Provider Relief Fund is recorded as other accrued expenses in the accompanying consolidated balance sheets.

The Corporation will continue to monitor compliance with the terms and conditions of the Provider Relief Fund and the effect of the pandemic on the Corporation's revenues and expenses. The terms and conditions governing the Provider Relief Fund are complex and subject to interpretation and change. If the Corporation is unable to attest to or comply with current or future terms and conditions, the Corporation's ability to retain some or all of the distributions received may be affected. Additionally, the amounts recorded in the accompanying consolidated financial statements compared to the Corporation's Provider Relief Fund reporting could differ. Provider Relief Fund payments are subject to government oversight, including potential audits.

Medicare Accelerated and Advance Payment Program

During the year ended March 31, 2021, the Corporation requested accelerated Medicare payments as provided for in the CARES Act, which allows for eligible health care facilities to request up to six months of advance Medicare payments for acute care hospitals or up to three months of advance Medicare payments for other health care providers. These amounts were expected to be

Front Porch Communities & Services
Notes to Consolidated Financial Statements
March 31, 2021 and 2020
(In Thousands)

recaptured by the Centers for Medicare & Medicaid Services according to the payback provisions. During the year ended March 31, 2021, the Corporation received \$3,217 from these accelerated Medicare payment requests. In March 2021, the Corporation paid these amounts back to Medicare in full.

Supplementary Information

Front Porch Communities & Services
Consolidating Schedule – Balance Sheet Information
March 31, 2021
(In Thousands)

Assets

	Obligated Group	Other Entities	Eliminations	Consolidated
Current Assets				
Cash and cash equivalents	\$ 13,151	\$ 3,017	\$ -	\$ 16,168
Short-term investments	2,392	-	-	2,392
Assets limited as to use – required for current liabilities	10,639	1,290	-	11,929
Resident and patient accounts receivable	2,559	3,277	-	5,836
Prepaid expenses and other	2,574	577	-	3,151
Intercompany receivables	9,135	1,801	(10,936)	-
Total current assets	<u>40,450</u>	<u>9,962</u>	<u>(10,936)</u>	<u>39,476</u>
Investments				
Assets limited as to use, net of current portion	1	4,028	-	4,029
Long-term investments	367,027	-	-	367,027
Derivative instruments	75	-	-	75
Total investments	<u>367,103</u>	<u>4,028</u>	<u>-</u>	<u>371,131</u>
Property and Equipment, Net	<u>290,120</u>	<u>83,997</u>	<u>(25)</u>	<u>374,092</u>
Other Assets				
Interest in net assets of Pacific Homes Foundation	14,880	-	-	14,880
Receivables from supporting organizations	15,199	-	-	15,199
ROU assets – operating leases	6,078	566	-	6,644
Other receivables	952	-	-	952
Other assets	200	414	-	614
Total other assets	<u>37,309</u>	<u>980</u>	<u>-</u>	<u>38,289</u>
Total assets	<u>\$ 734,982</u>	<u>\$ 98,967</u>	<u>\$ (10,961)</u>	<u>\$ 822,988</u>

Liabilities and Net Assets

	Obligated Group	Other Entities	Eliminations	Consolidated
Current Liabilities				
Current maturities of long-term debt	\$ 3,353	\$ 3,232	\$ -	\$ 6,585
Current portion of operating lease liabilities	1,345	397	-	1,742
Accounts payable	4,761	2,260	(208)	6,813
Accrued payroll and related expenses	9,361	4,357	-	13,718
Intercompany payables	2,941	7,787	(10,728)	-
Accrued interest	2,427	263	-	2,690
Other accrued expenses	11,674	1,281	-	12,955
	<u>35,862</u>	<u>19,577</u>	<u>(10,936)</u>	<u>44,503</u>
Other Liabilities				
Asset retirement obligations	237	1,830	-	2,067
Accrued workers' compensation	3,910	1,046	-	4,956
Operating lease liabilities	5,748	168	-	5,916
Other accrued liabilities	32,036	3,331	-	35,367
Refundable entrance fees	57,872	228	-	58,100
Deferred revenue from entrance fees	41,090	12	-	41,102
Long-term debt	187,538	93,951	-	281,489
	<u>364,293</u>	<u>120,143</u>	<u>(10,936)</u>	<u>473,500</u>
Net Assets				
Without donor restrictions	340,913	(21,176)	(25)	319,712
With donor restrictions	29,776	-	-	29,776
	<u>370,689</u>	<u>(21,176)</u>	<u>(25)</u>	<u>349,488</u>
Total liabilities and net assets	<u>\$ 734,982</u>	<u>\$ 98,967</u>	<u>\$ (10,961)</u>	<u>\$ 822,988</u>

Front Porch Communities & Services
Consolidating Schedule – Statement of Operations Information
Year Ended March 31, 2021
(In Thousands)

	Obligated Group	Other Entities	Eliminations	Consolidated
Revenues, Gains, and Other Support Without Donor Restrictions				
Resident and patient service revenue	\$ 104,076	\$ 85,140	\$ (253)	\$ 188,963
Amortization of entrance fees	10,196	3	-	10,199
Other	5,115	694	(4,882)	927
Net assets released from restrictions used for operations	<u>457</u>	<u>9</u>	<u>-</u>	<u>466</u>
Total revenues, gains, and other support without donor restrictions	<u>119,844</u>	<u>85,846</u>	<u>(5,135)</u>	<u>200,555</u>
Expenses				
Medical services	23,520	22,728	-	46,248
Facility operating costs	12,721	8,684	-	21,405
Dietary services	18,892	13,862	(253)	32,501
Residential services	9,840	7,340	-	17,180
Administrative services	29,332	15,144	(4,882)	39,594
Depreciation	23,376	9,750	-	33,126
Amortization of deferred costs	287	210	-	497
Interest expense and other financing costs	5,013	3,745	-	8,758
Other	<u>2,011</u>	<u>958</u>	<u>-</u>	<u>2,969</u>
Total expenses	<u>124,992</u>	<u>82,421</u>	<u>(5,135)</u>	<u>202,278</u>
Operating Income (Loss) Before Other Operating Activities	<u>(5,148)</u>	<u>3,425</u>	<u>-</u>	<u>(1,723)</u>
Other Operating Activities				
COVID-19-related income	2,131	2,167	-	4,298
COVID-19-related expenses	<u>(4,812)</u>	<u>(3,664)</u>	<u>-</u>	<u>(8,476)</u>
Total other operating activities	<u>(2,681)</u>	<u>(1,497)</u>	<u>-</u>	<u>(4,178)</u>
Operating Income (Loss)	<u>(7,829)</u>	<u>1,928</u>	<u>-</u>	<u>(5,901)</u>
Investment Return, Net	<u>117,357</u>	<u>28</u>	<u>-</u>	<u>117,385</u>
Excess of Revenues over Expenses	<u>109,528</u>	<u>1,956</u>	<u>-</u>	<u>111,484</u>
Net Assets Released from Restrictions Used for Purchase of Property and Equipment				
	<u>49</u>	<u>7</u>	<u>-</u>	<u>56</u>
Increase in Net Assets Without Donor Restrictions	<u>\$ 109,577</u>	<u>\$ 1,963</u>	<u>\$ -</u>	<u>\$ 111,540</u>

Front Porch Communities & Services
Consolidating Schedule – Statement of Cash Flows Information
Year Ended March 31, 2021
(In Thousands)

	Obligated Group	Other Entities	Eliminations	Consolidated
Operating Activities				
Cash received from contract residents	\$ 43,405	\$ 380	\$ -	\$ 43,785
Proceeds from entrance fees received	16,761	-	-	16,761
Cash received from and on behalf of noncontract residents	61,086	83,284	-	144,370
Reimbursement for services to nonresidents	579	1,461	-	2,040
Other receipts from operations	5,115	694	(4,882)	927
Unrestricted investment income received	6,851	28	-	6,879
Processing fees	36	-	-	36
Government grants	5,681	-	-	5,681
Cash paid to suppliers, employees, and others	(110,650)	(68,116)	4,882	(173,884)
Cash paid for interest on long-term debt, net of amounts capitalized	(5,232)	(3,694)	-	(8,926)
Net cash provided by operating activities	23,632	14,037	-	37,669
Investing Activities				
Capital expenditures	(19,730)	(12,962)	-	(32,692)
Proceeds from sale of trading investments	167,111	-	-	167,111
Purchase of trading investments	(160,224)	-	-	(160,224)
Purchase of assets limited as to use	(2,382)	(809)	-	(3,191)
Proceeds from sale of assets limited as to use	161	321	-	482
Advances to Brookmore Apartment Corporation	(200)	-	-	(200)
Net cash used in investing activities	(15,264)	(13,450)	-	(28,714)
Financing Activities				
Refunds of entrance fees	(11,132)	-	-	(11,132)
Principal payments on long-term debt	(2,170)	(3,130)	-	(5,300)
Proceeds from Series 2017B debt issuance	4,244	-	-	4,244
Proceeds from contributions for purchases of property and equipment	49	7	-	56
Net cash used in financing activities	(9,009)	(3,123)	-	(12,132)
Decrease in Cash and Cash Equivalents	(641)	(2,536)	-	(3,177)
Cash and Cash Equivalents, Beginning of Year	13,792	5,553	-	19,345
Cash and Cash Equivalents, End of Year	<u>\$ 13,151</u>	<u>\$ 3,017</u>	<u>\$ -</u>	<u>\$ 16,168</u>

	Obligated Group	Other Entities	Eliminations	Consolidated
Cash Flows from Operating Activities				
Change in net assets	\$ 116,881	\$ 1,963	\$ -	\$ 118,844
Adjustments to reconcile change in net assets to net cash provided by operating activities				
Depreciation	23,376	9,750	-	33,126
Gain on disposal of assets	(3)	-	-	(3)
Amortization of deferred costs	287	210	-	497
Accretion of asset retirement obligations	9	59	-	68
Amortization of bond premium included in interest expense	(354)	-	-	(354)
Entrance fees received	16,761	-	-	16,761
Amortization of entrance fees	(10,196)	(3)	-	(10,199)
Realized and unrealized gain on investments, net	(112,447)	-	-	(112,447)
Unrealized gain on derivative financial instruments, net	(52)	-	-	(52)
Change in interest in net assets of Pacific Homes Foundation	(4,100)	-	-	(4,100)
Change in receivables from supporting organizations	(2,796)	-	-	(2,796)
Proceeds from contributions for purchases of property and equipment	(49)	(7)	-	(56)
Changes in operating assets and liabilities				
Accounts receivable, net	1,030	239	-	1,269
Prepaid expenses and other	242	230	-	264
Due to/from related parties	(1,586)	1,378	-	-
Accounts payable and accrued expenses	(2,426)	647	-	(1,779)
Operating leases	(238)	(1)	-	(239)
Other accrued liabilities	(707)	(428)	-	(1,135)
Net cash provided by operating activities	<u>\$ 23,632</u>	<u>\$ 14,037</u>	<u>\$ -</u>	<u>\$ 37,669</u>
Supplemental Cash Flows Information				
Property and equipment purchases included in accounts payable and other accrued expenses	\$ 2,606	\$ 793	\$ -	\$ 3,399
Entrance fees included in accounts receivable	\$ 958	\$ -	\$ -	\$ 958
Operating lease obligations incurred for equipment and rental space	\$ 128	\$ -	\$ -	\$ 128

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APPENDIX B-2

**FINANCIAL STATEMENTS OF COVIA GROUP
AND CONTROLLED AFFILIATES**

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*Report of Independent Auditors and
Consolidated Financial Statements with
Supplementary Information*

**Covia Group and
Controlled Affiliates**

March 31, 2021

Table of Contents

REPORT OF INDEPENDENT AUDITORS	1
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CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Statement of Financial Position	4
Consolidated Statement of Activities and Changes in Net Assets.....	6
Consolidated Statement of Cash Flows.....	8
Notes to Consolidated Financial Statements	9

SUPPLEMENTARY INFORMATION

Consolidating Statement of Financial Position.....	39
Consolidating Statement of Changes in Net Assets Without Donor Restrictions Information	41

Report of Independent Auditors

To the Audit Committee
Covia Group and Controlled Affiliates

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of Covia Group (the “Group”) and Controlled Affiliates (collectively referred to as the “Corporation”), which comprise the consolidated statement of financial position as of March 31, 2021, and the related consolidated statements of activities and changes in net assets, and cash flows for the year then ended, and the related notes to the consolidated financial statements.

Management’s Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor’s Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity’s preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity’s internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Covia Group and Controlled Affiliates as of March 31, 2021, and the consolidated results of its operations and cash flows for the year then ended, in accordance with accounting principles generally accepted in the United States of America.

Other Matter

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying supplementary schedules of consolidating statement of financial position, and consolidating statement of activities and changes in net assets without donor restrictions information, as of and for the year ended March 31, 2021, presented as supplementary information, are presented for the purpose of additional analysis and are not a required part of the basic consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole.

A handwritten signature in cursive script that reads "Moss Adams LLP".

San Francisco, California
July 21, 2021

Consolidated Financial Statements

Covia Group and Controlled Affiliates
Consolidated Statement of Financial Position
March 31, 2021

ASSETS

CURRENT ASSETS

Cash and cash equivalents	\$ 32,465,665
Assets held by bond indenture trustee for current debt service	5,663,190
Marketable securities	180,747,470
Receivables, net	8,390,585
Current portion of pledges receivable, net of discount	415,017
Prepaid expenses, deposits, and other assets	<u>5,398,111</u>

Total current assets	<u>233,080,038</u>
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ASSETS WHOSE USE IS LIMITED

Assets held by bond indenture trustee and restricted for construction and debt service	14,142,071
Less portion available to satisfy current debt service	<u>(5,663,190)</u>

Noncurrent portion	8,478,881
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Funded reserves for replacement and insurance	10,294,768
Restricted deposits	3,402,900
Investments held in trust	7,814,391
Restricted investments	<u>3,433,462</u>

Total long-term assets whose use is limited	<u>33,424,402</u>
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LONG-TERM PLEDGES RECEIVABLE, NET OF CURRENT PORTION AND DISCOUNT	751,885
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PROPERTY AND EQUIPMENT, NET OF ACCUMULATED DEPRECIATION	354,910,892
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RIGHT OF USE ASSET, NET OF ACCUMULATED AMORTIZATION	5,081,592
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DEFERRED CHARGES AND OTHER ASSETS	<u>19,184,955</u>
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Total assets	<u><u>\$ 646,433,764</u></u>
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Covia Group and Controlled Affiliates
Consolidated Statement of Financial Position (Continued)
March 31, 2021

LIABILITIES AND NET ASSETS

CURRENT LIABILITIES

Accounts payable	\$ 9,331,809
Accrued payroll and payroll taxes	7,176,386
Current portion of long-term debt	14,718,229
Current portion of lease liability	378,436
Accrued interest	2,534,384
Self-insurance and other liabilities	<u>3,796,469</u>

Total current liabilities 37,935,713

REFUNDABLE DEPOSITS 1,456,161

REPAYABLE ENTRANCE FEES 1,820,700

REFUNDABLE ENTRANCE FEES 65,470,689

PENSION BENEFIT OBLIGATION 1,391,161

LONG-TERM DEBT, NET 184,681,079

DEFERRED REVENUE FROM ENTRANCE FEES 168,346,597

LIABILITIES FOR PAYMENT TO TRUST BENEFICIARIES 3,571,292

LONG-TERM LEASE LIABILITY, NET 5,164,925

OTHER LIABILITIES 8,303,409

Total liabilities 478,141,726

NET ASSETS

Without donor restrictions:	
Controlling interest	156,320,853
Noncontrolling interest in Oak Centers, L.P. ("OCLP")	<u>1,463,849</u>

Total net assets without donor restrictions 157,784,702

With donor restrictions 10,507,336

Total net assets 168,292,038

Total liabilities and net assets \$ 646,433,764

Covia Group and Controlled Affiliates
Consolidated Statement of Activities and Changes in Net Assets
Year Ended March 31, 2021

CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTIONS

Revenues and gains	
Resident fees	\$ 68,562,911
Amortization of deferred revenue from entrance fees	24,178,856
Nursing center	30,983,058
Outside and other medical fees	426,049
Affordable housing fees and rents	23,401,328
Other	1,417,172
Contributions	67,315
Grant revenue - Provider Relief Fund	4,421,027
Net assets released from restriction for assistance and operations	<u>2,424,582</u>
Total revenues and gains	<u>155,882,298</u>

Expenses	
Nursing expenses	26,064,094
Outside and other medical expenses	5,453,781
Dining services	21,676,586
Environmental services	7,391,011
Maintenance	12,630,296
General and administrative expenses	32,376,456
Marketing	2,024,801
Utility expenses	7,519,097
Other	5,931,570
Program expenses	2,406,104
Fundraising activities	23,963
Depreciation and amortization	28,230,379
Loss on disposal of property and equipment	1,148,967
Interest	<u>9,246,017</u>
Total expenses	<u>162,123,122</u>

LOSS BEFORE OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS, INHERENT CONTRIBUTION AND INVESTMENT INCOME (6,240,824)

OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS (1,396,527)

INHERENT CONTRIBUTION 12,590,601

INVESTMENT INCOME

Investment income	4,531,722
Net realized gains on investments	11,839,657
Net unrealized gains on investments	<u>39,366,768</u>
Total investment income	<u>55,738,147</u>

Covia Group and Controlled Affiliates
Consolidated Statement of Activities and Changes in Net Assets (Continued)
Year Ended March 31, 2021

NET INCOME	\$ 60,691,397
CHANGE IN PENSION BENEFIT OBLIGATION	<u>19,449,858</u>
INCREASE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	<u>80,141,255</u>
CHANGES IN NET ASSETS WITH DONOR RESTRICTIONS	
Contributions	1,778,813
Investment income	46,615
Net realized gains on investments	509,987
Net unrealized gains on investments	48,577
Changes in split interest gift agreements	750,393
Inherent contribution	812,451
Net assets released from restrictions for assistance and operations	<u>(2,424,582)</u>
Increase in net assets with donor restrictions	<u>1,522,254</u>
CHANGE IN NET ASSETS	81,663,509
NET ASSETS, beginning of year	<u>86,628,529</u>
NET ASSETS, end of year	<u><u>\$ 168,292,038</u></u>

Covia Group and Controlled Affiliates
Consolidated Statement of Cash Flows
Year Ended March 31, 2021

CASH FLOWS FROM OPERATING ACTIVITIES

Change in net assets	\$ 81,663,509
Adjustments to reconcile change in net assets to net cash provided by operating activities:	
Amortization of deferred revenue from entrance fees	(24,178,856)
Proceeds from entrance fees	22,347,357
Depreciation and amortization	28,230,379
Loss on disposal of property and equipment	1,148,967
Amortization of debt issuance costs and other	133,240
Amortization of bond premium	(322,851)
Change in unrealized gain on investments	(40,165,738)
Change in pension benefit obligation	(19,449,858)
Inherent contribution, net of cash acquired	(10,589,297)
Change in	
Receivables, net	(212,364)
Other assets	(1,300,048)
Accounts payable	(321,797)
Other liabilities	2,931,644
Lease liability	(378,436)
Accrued retirement benefits	1,174,213
Self-insurance liabilities	(167,843)
Net cash provided by operating activities	<u>40,542,221</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Property acquisitions and construction in progress	(13,512,136)
Proceeds from property disposition	629,711
Change in deferred charges and other assets	(2,845,164)
Marketable securities sold	21,176,542
Marketable securities acquired	(20,437,977)
Net cash used in investing activities	<u>(14,989,024)</u>

CASH FLOWS FROM FINANCING ACTIVITIES

Long-term debt repayment	(3,559,697)
Refunds of deposits and entrance fees	(11,013,773)
Net cash used in financing activities	<u>(14,573,470)</u>

NET INCREASE IN CASH, CASH EQUIVALENTS AND RESTRICTED CASH 10,979,727

CASH, CASH EQUIVALENTS AND RESTRICTED CASH, beginning of year 55,634,807

CASH, CASH EQUIVALENTS AND RESTRICTED CASH, end of year \$ 66,614,534

RECONCILIATION OF CASH, CASH EQUIVALENTS, AND RESTRICTED CASH

Cash, cash equivalents and restricted cash	\$ 32,465,665
Cash, cash equivalents and restricted cash - marketable securities	4,449,951
Cash, cash equivalents and restricted cash - assets whose use is limited	<u>29,698,918</u>
	<u><u>\$ 66,614,534</u></u>

NONCASH DISCLOSURES

Noncash property acquisition and construction in progress	\$ 1,803,553
Cash paid for interest	\$ 9,363,760

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 1 – DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization – Covia Group (the “Group”), is a California nonprofit public benefit corporation. The Group is the sole member of Covia Communities (the “Communities”) and the sole member of Covia Affordable Communities (the “Affordable Communities”).

Covia Group related enterprises – Covia Communities, a California nonprofit public benefit corporation, provides housing, related facilities, and services for elderly persons on a nonprofit, religious, and charitable basis. The Communities operates six active life plan communities: Canterbury Woods in Pacific Grove, St. Paul's Towers in Oakland, Spring Lake Village in Santa Rosa, San Francisco Towers in San Francisco, Webster House in Palo Alto, and Friends House in Santa Rosa, which was merged into the Communities on March 31, 2021 (see Note 2), under licenses from the California Department of Social Services. The Communities' sole member is Covia Group which is also a California nonprofit public benefit corporation providing housing and services to elderly persons in addition to providing support to its subsidiary entities. The consolidated financial statements of the Communities are included in the accompanying consolidated financial statements of the Group.

The Communities controls a supporting organization, Covia Foundation (the “Foundation”), a California nonprofit, public benefit corporation. The primary purpose of the Foundation is to raise funds on behalf of the Communities and to administer those funds for the needs of the Communities. The Communities is the sole corporate member of the Foundation and it is included in the consolidated financial statements of the Communities.

Covia Group is affiliated with the Affordable Communities, established in 2000, and is its sole member. The Affordable Communities is the sole member of Community Housing, Inc. (“CHI”), which owns and operates a 220-apartment affordable senior residential community (“Lytton I”) and a 100-unit apartment complex, consisting of 50 residential care apartments and 50 independent living apartments (“Lytton II”). The Affordable Communities is also the sole corporate member of Lytton IV Housing Corporation (“Lytton IV”) which owns and operates a 51-apartment affordable senior residential community. CHI and Lytton IV are California nonprofit public benefit corporations located in Palo Alto. The Affordable Communities is also the sole member of three other California nonprofit public benefit corporations that own and operate affordable senior housing communities, namely, Oak Center Towers (“OCT”), a 196-apartment complex for elderly or disabled persons in Oakland, California; Presidio Gate Apartments (“PGA”), a 54-apartment complex for elderly or disabled persons in San Francisco, California; Jennings Senior Housing, Inc. (“JSH”), a 54-apartment complex for elderly or disabled persons in Santa Rosa, California, and Shire Memorial Center (“SMC”), a 99-apartment complex for low income and senior restricted community in San Jose, California, all of which are operated under Regulatory Agreements with the U.S. Department of Housing and Urban Development. OCT, in turn, is the general partner of Oak Centers, L.P. (“OCLP”), a California limited partnership organized as a low income housing tax credit vehicle that purchased the Project from OCT in order to refinance, rehabilitate, own, and operate OCLP. In April 2018, Affordable Communities entered into an affiliation agreement with Bethany Center Senior Housing (“BCSH”), which operates a 135 apartment complex for low income seniors located in San Francisco, California, and became the sole member. BCSH is the sole member of Bethany Center Foundation of San Francisco (“BCF”), a nonprofit public benefit corporation organized in 2007 to provide financial, administrative, programmatic, and other forms of support to its sole member. All of the affordable communities (collectively, the “Affordable Communities Affiliates”) operate under Regulatory Agreements with the U.S. Department of Housing and Urban Development. The consolidated financial statements of the Affordable Communities Affiliates are included in the accompanying consolidated financial statements of the Group.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Basis of consolidation – The accompanying consolidated financial statements include the accounts of the Group, the Communities, and the Affordable Communities (collectively referred to as the “Corporation”). All significant intercompany balances and transactions have been eliminated.

Performance indicator – “Net income” as reflected in the accompanying consolidated statement of activities and changes in net assets is the performance indicator. Net income includes all changes in net assets without donor restrictions other than certain pension provisions.

Cash and cash equivalents – Cash and cash equivalents include cash held in demand deposit, sweep, savings accounts, and certain investments in highly liquid instruments with original maturities of three months or less.

Concentration of risk – Financial instruments potentially subjecting the Corporation to concentrations of credit risk consist primarily of bank demand deposits in excess of Federal Deposit Insurance Corporation limits.

Marketable securities – Marketable securities, including those held by the bond indenture trustee and restricted investments, are measured at fair value in the consolidated statement of financial position. Investment income or loss (including realized gains and losses on investments, interest, and dividends) is included in income unless the income or loss is restricted by donor or law.

Receivables – In addition to receiving payment from residents and from nonresidents for services provided, the Communities also receives payment for health services from insurance companies, Medicare, and other third-party payors. The Communities regularly reviews its accounts and provide allowances for uncollectible accounts. Also included in receivables are amounts due to the Communities under short-term notes receivable issued as consideration by the residents for all or part of their entrance fees. These notes receivable are generally due in 90 to 120 days.

Receivables for the Affordable Communities – The Affordable Communities receive payment from residents and Housing and Urban Development (“HUD”) for services provided. The Affordable Communities uses the specific write-off method to provide for doubtful accounts since past experience and management’s estimation indicates an adequate allowance for such accounts is immaterial.

Assets whose use is limited – Assets whose use is limited include assets restricted by bond indenture for construction and debt service. Such assets consist of cash and government securities carried at fair value (Note 3).

Restricted deposits and funded reserves for the Affordable Communities – Assets whose use is limited are funded reserves for operating, bond, replacement, and insurance. Such assets consist of cash and cash equivalents and corporate bond securities carried at fair value based on quoted market prices (Note 6). Restricted deposits and funded reserves are included in funded reserves for replacement and insurance in the consolidated statement of financial position.

Investments held in trust and restricted investments – Investments held in trust and restricted investments consist primarily of marketable securities which are restricted by the donor as to use (Note 3), and are measured at fair value in the consolidated statement of financial position. Investment income or loss (including realized gains and losses on investments, interest and dividends) is reported in the consolidated statement of activities and changes in net assets. Investment income is reported as an increase in net assets, depending on donor-imposed restrictions on the use of the income.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Property and equipment – Property and equipment are stated at cost. Acquisitions of \$5,000 or more and with a useful life of more than one year are capitalized. Depreciation is based upon straight-line method at rates based on the estimated useful lives of the various classes of property which range from 3 to 40 years. The Corporation periodically evaluates the carrying value of its long-lived assets for impairment. Based on this evaluation, no impairment was recorded for the year ended March 31, 2021.

Deferred charges and other assets – Deferred charges and other assets primarily represent predevelopment costs and other capitalized software of \$15,671,880 as of March 31, 2021. Deferred charges and other assets also includes 457(f) investments of \$1,665,076 as of March 31, 2021.

Obligations under charitable annuity agreements – In exchange for irrevocable deferred gifts, the Foundation is required to pay a certain sum of money to the donor(s), and, consequently, a liability is reflected in obligations under annuity agreements. These liabilities are included in other liabilities in the accompanying consolidated statement of financial position. These types of arrangements are summarized as follows:

Charitable gift annuities – As consideration for certain gifts made to the Foundation, the Foundation enters into agreements to pay fixed annual payments to the donors for the life of the contract. In accordance with Section 11521 of the California Insurance Code, a liability has been established for the future payments under the outstanding annuity contracts. In 2021, the annual computation of the temporarily restricted amount of the gift is based upon a 2005 Group Annuity Mortality Table, with an interest assumption at approximately 3.15% per annum. Assets in excess of liabilities, if any, related to these annuities are available for the use of the Foundation with the approval of the California Department of Insurance.

Charitable remainder annuity trusts – Annuity trusts are trust agreements that provide for a fixed annual specified payment based on the initial appraised value of the trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed pursuant to the donor's intent.

Charitable remainder unitrust – Unitrusts are trust agreements that provide for a fixed annual payment of not less than 5% of the market value as of the first business day of the calendar year of trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed pursuant to the donor's intent.

Self-insurance liabilities – The Corporation is self-insured for workers' compensation and unemployment, which includes a reinsurance policy covering individual claims in excess of \$1,500,000 per incident at March 31, 2021. The undiscounted liability includes estimates of the ultimate costs for both known claims and claims incurred but not reported based on actuarial studies. At March 31, 2021, the Corporation had \$3,714,230 accrued related to such claims. This amount is included in self-insurance and other liabilities in the consolidated statement of financial position. Any related insurance recovery receivables are recorded under deferred charges and other assets in the consolidated statement of financial position. There was no recovery receivable recorded at March 31, 2021.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Professional liability insurance – The Communities has secured claims-made policies for malpractice and general liability insurance with self-insured retentions over the past three years of \$35,000 for each claim. No accrual has been made for the estimated costs of known claims incurred prior to March 31, 2021, which is within the retention amount. In addition, no accrual has been made at March 31, 2021, for estimated costs of claims incurred but not yet reported. Accounting principles generally accepted in the United States of America require that a healthcare organization disclose the estimated costs of claims in the period of the incident, if it is reasonably possible that liabilities may be incurred, and losses can be reasonably estimated. Management is unable to reasonably estimate the range of future costs, if any, of unasserted claims arising from incidents in current and prior periods. Management believes that any unreported liability will not have a material adverse effect on the Group's financial position or results of operations.

Obligation to provide future services – If the present value of estimated future cash outflows to provide services to residents exceeds the present value of estimated future cash inflows from residents, a liability is recognized. The Communities has determined that no accrual for the obligation to provide future services and use of facilities to current residents is required at March 31, 2021. The discount rate used to calculate the obligation to provide future services is 5.5%.

Net assets – The Corporation classifies net assets as follows:

Net assets without donor restrictions represent unrestricted resources available to support the Corporation's operations and temporarily restricted resources which have become available for use by the Corporation in accordance with the intention of the donor.

Net assets with donor restrictions represent contributions that are limited in use in accordance with temporary donor-imposed stipulations. These stipulations may expire with time or may be satisfied by the actions of the Corporation according to the intention of the donor. Upon satisfaction of such stipulations, the associated net assets are released from net assets with donor restrictions and recognized as net assets without donor restrictions. Net assets with donor restrictions are available primarily for assistance and capital projects as designated by the donors. There are no board designated net assets.

Net assets with donor restrictions also represent net assets subject to donor-imposed stipulations that they be maintained by the Corporation in perpetuity. The Board of Directors has interpreted California's Prudent Management of Institutional Funds Act ("CPMIFA"), as requiring the preservation of the fair value of the original gift as of the gift date of permanently restricted donations absent explicit donor stipulations to the contrary. As a result of this interpretation, the Corporation classifies as net assets with donor restrictions (a) the original value of the gifts donated to the permanent endowment, (b) the original value of the subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining portion of the donor-restricted endowment fund that is not classified in the permanent endowment is available for appropriation for expenditure by the Communities in a manner consistent with the standard for expenditure prescribed CPMIFA. The endowment fund has a spending policy of appropriating all of the net income earned on the investment of these funds for distribution according to the instructions of the donor at the time the gift is made. The original value of the gifts donated to the permanent endowment is to be classified as permanently restricted and any earnings are classified as temporarily restricted until appropriated for expenditure. The spending policy and return objective is supported by maintaining a strategic asset allocation of 50% equity securities and 50% fixed income securities and further enhanced by allowing up to half of the fixed income allocation to be invested in securities with greater risk and potential return such as high yield, global, and emerging market debt.

Repayable and refundable entrance fees – The Communities offers a variety of contract options, from nonrepayable entrance fees to repayable entrance fees. Repayable and refundable entrance fees have been recorded as a liability in the consolidated statement of financial position. Entrance fees on repayable 75%, 80%, and 90% Classic Continuing Care and Lifetime Contracts are repayable upon contract termination, resale, and reoccupancy. The repayable portion of entrance fees as of March 31, 2021, was \$65,470,689. Actual refunds of such entrance fees were \$8,594,335 for the year ended March 31, 2021.

It is management's expectation that future refunds will not have a significant effect on the consolidated financial statements.

As a part of the transaction with Sunrise Webster House, L.P. ("Sunrise") in September 2011, Webster House assumed Sunrise's liabilities for the repayments of entrance fees in the amount of \$9,768,013. No amortization is recognized with respect to these continuing care contracts purchased in the acquisition. As of March 31, 2021, this liability was \$1,820,700, as included in the repayable entrance fees in the consolidated statement of financial position. Actual refunds were \$541,740 for the year ended March 31, 2021.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Revenue recognition – The Corporation has elected the lessor practical expedient ASU 2018-11, *Leases*, Targeted Improvements (“ASU 2018-11”) within ASC 842, *Leases*, and recognizes, measures, presents, and discloses the revenue for services under their senior living residency agreements based upon the predominant component, either the lease or nonlease component, of the contracts. The Communities has assessed the predominant component of independent living, assisted living and memory care monthly lease payment to be for the monthly rent of the apartment, as other services such as meals and housekeeping would be insignificant. The Communities will therefore recognize these revenue streams as lease income under ASC 842. The Communities further determined that the entrance fee relates to the stand ready obligation to provide health care services and does not relate to the IL, AL or MC unit (or lease asset), therefore is not part of the calculation of lease payment. The Communities has assessed the predominant component of skilled nursing payments to be health care services and not apartment rent, and therefore have continued to recognize revenue under this service line as revenue under ASC 606.

The Corporation revenue streams consist of:

Resident services revenue

Resident services revenue is reported at the amount that reflects the consideration to which the Communities expect to be entitled to in exchange for the services provided. Under the Communities’ resident services agreement, the Communities provide senior living services to residents for a stated monthly fee.

Nursing center revenue

Nursing center revenue on the consolidated statements of activities and changes in net assets includes revenue for assisted living and memory care of \$6,835,356 for the year ended March 31, 2021. The remaining nursing center revenue is reported at the amount that reflects the consideration to which the Communities expect to be entitled to in exchange for providing care. These amounts are due to patients, third-party payors (including health insurers and government programs) and others and includes variable consideration for retroactive adjustments due to settlement of audits, reviews and investigations. Generally, the Communities bill patients and third-party payors at the end of the month in which services are provided or in the month following. Revenue is recognized in the month in which the performance obligations are satisfied.

Revenue for nursing center performance obligations satisfied over time is recognized based on actual charges incurred. The Communities believe this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to residents in our skilled nursing facilities. The Communities measure the performance obligation from admission into the skilled nursing facility to the point when it is no longer required to provide health care services to that resident, which is typically at the time of discharge.

The Communities determine the transaction price based on standard charges for goods and services provided reduced by contractual adjustments provided to third-party payors. The Communities determine their estimate of contractual adjustments based on contractual agreements and historical experience.

Agreements with third-party payors provide for payments at amounts less than established charges. A summary of the payment arrangements with major third-party payors follows:

- **Medicare:** Certain health care services are paid at prospectively determined rates per discharge based on clinical, diagnostic or other factors. Certain services are paid based on a cost-reimbursement methodologies subject to certain limits. Physical services are paid based upon established fee schedules.
- **Secondary Insurance:** Payment agreements with certain commercial insurance carriers, health maintenance organizations and preferred provider organizations provide for payment using prospectively determined rates per discharge, discounts from established charges, and prospectively determined daily rates.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations, which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge the Communities' compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims, or penalties would have upon the Communities.

Settlements with third-party payors for retroactive adjustments due to audits, review or investigations are considered variable consideration and are included in the determination of estimated transaction price for providing patient care. These settlements are estimated based on the terms of the payment agreement with the payor, correspondence from the payor and the Communities' historic settlement activity, including an assessment to ensure that it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Estimated settlements are adjusted in future periods as adjustments become known (that is, new information becomes available), or as years are settled or are no longer subject to such audits, reviews and investigations. Adjustments arising from a change in the transaction price were not significant in 2021.

Generally, patients who are covered by third-party payors are responsible for related deductibles and coinsurance, which vary in amount. The Communities estimate the transaction price for patients with deductibles and coinsurance based on historical experience and current market conditions. The initial estimate of the transaction price is determined by reducing the standard charge by any contractual adjustments determined on a resident by resident basis. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to nursing center revenue in the period of the change. Subsequent changes that are determined to be the result of an adverse change in the resident's ability to pay are recorded as bad debt expense. Bad debt expense for the year ended March 31, 2021, was not significant.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The following table shows nursing center revenue by line of service:

	Year ended March 31, 2021
Nursing center line of service	
Medicare and Medicaid programs	\$ 13,556,359
Other services, private pay and other third party payer SNF service	10,591,343
	<u>\$ 24,147,702</u>

Amortization of entrance fees

The Communities receive an upfront entrance fee when the basic residency agreement is signed. The basic residency agreement is inclusive of care and services which is dictated by specific contract types and can vary accordingly. All contracted residents are provided with services such as housekeeping, number of meals, 24-hour security, defined apartment maintenance, utility and prearranged transportation. In exchange for this fixed entrance fee and the monthly resident service fees the resident has the right to occupy a unit and continue to live in the Communities. The basic residency agreement creates a performance obligation to be satisfied over the resident's remaining life at the Communities. The Communities recognize the revenue associated with the entrance fee using a straight-line method over the actuarially determined estimated life of each resident. Resident life expectancies are reevaluated annually and any changes in the revenue as a result of that revaluation will be recognized in the period noted. As of March 31, 2021, the Communities had \$168,346,597 in deferred revenue from entrance fees to be recognized as the performance obligations are satisfied. See Note 13 for changes in the unearned entrance fee revenue for the year ended March 31, 2021. The performance obligation is satisfied upon termination of the residency agreement.

Affordable housing fees and rents revenues

Affordable housing fees and rents consists of rental income and contract services revenue. Rental income is shown at its maximum gross potential. Rental income is derived from rental rates subject to HUD approval. Vacancy loss is shown as a reduction in rental income. Rental units occupied by employees are included in rental income and as an expense of operations. Other income includes fees for late payments, cleaning, damages, laundry facilities, and other charges and is recorded when earned. Contract services revenue is received when customers simultaneously receive and consume the benefits provided by the Affordable Communities' performance required under various agreements which entail providing Resource Service Coordinators to support residents at the customer locations. The revenue is recorded as earned when services are provided. The Affordable Communities recognizes revenue for services under the resident agreements in accordance with the provisions of ASC Topic 842, *Leases*, which is recognized as the services are performed.

Contribution income – Other than deferred gifts such as charitable gift annuities or charitable remainder annuity trusts, contributions are recognized as revenue when received or unconditionally promised.

Statutory reserve requirements – The Communities is subject to statutory reserve requirements. At March 31, 2021, the Communities' reserves, as calculated in accordance with the Continuing Care Contract Statutes of the California Health and Safety Code, were in excess of such requirements.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Tax-exempt status – The Corporation and related enterprises are not-for-profit corporations under Internal Revenue Code Section 501(c)(3) and have been granted tax-exempt status by the Internal Revenue Service and the California Franchise Tax Board.

The Corporation adopted the provisions of Accounting Standards Codification (“ASC”) Topic 740-10, *Income Taxes*, relating to accounting for uncertain tax positions on April 1, 2009, which had no financial statement impact to the Corporation. The Corporation recognizes the tax benefit from uncertain tax positions only if it is more likely than not that the tax positions will be sustained on examination by the tax authorities, based on the technical merits of the position. The tax benefit is measured based on the largest benefit that has a greater than 50% likelihood of being realized upon ultimate settlement. The Corporation recognizes interest and penalties related to income tax matters in operating expenses. At March 31, 2021, there were no such uncertain tax positions.

Use of estimates – The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. Major items requiring estimates and assumptions include deferred revenues and amortization of entrance fees, accrued self-insurance liabilities, useful lives of fixed assets, obligation to provide future services, obligation for payment to trust beneficiaries, valuation of financial instruments, valuation of assets acquired and liabilities assumed from the merger with Friends Association of Services for the Elderly (“FASE”), and valuation of pension and retirement obligations.

Property taxes – The Corporation has filed and received exemptions from certain property taxes in accordance with Section 214 of the California Code.

Fair value of financial instruments – Unless otherwise indicated, the fair value of all reported assets and liabilities that represent financial instruments approximates their carrying values. The Corporation’s policy is to recognize transfers in and transfers out of Level 1 and Level 2 as of the end of the reporting period. Liabilities for payment to trust beneficiaries and deferred revenue from investment contracts are classified as Level 2 in the fair value hierarchy. Please see Note 3 for fair value hierarchy disclosures of marketable securities and assets whose use is limited, which includes assets held by bond indenture trustee and restricted for construction and debt service, funded reserves for replacement and insurance, other reserves, investments held in trust, and restricted investments.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Noncontrolling interest – The Financial Accounting Standards Board (“FASB”) issued ASC 958-810, *Consolidation of Not-for-Profit Entities*, requiring that a recognized noncontrolling interest in another entity, whether a business or a not-for-profit entity, be measured at its fair value at its acquisition date. In addition, this statement also provides guidance on the presentation of noncontrolling interest in a not-for-profit entity’s financial statements. Noncontrolling interest in net assets of consolidated subsidiaries is reported as a separate component of the appropriate class of net assets in the consolidated statement of financial position. Included below is a table to reconcile the beginning and the end of period carrying amounts of the Group’s interest and noncontrolling interest for net assets:

	Controlling interest	Noncontrolling interest	Total
Balance , March 31, 2020	\$ 76,381,409	\$ 1,262,038	\$ 77,643,447
Net income	60,489,586	201,811	60,691,397
Other increase in net assets without donor restrictions	19,449,858	-	19,449,858
Balance , March 31, 2021	<u>\$ 156,320,853</u>	<u>\$ 1,463,849</u>	<u>\$ 157,784,702</u>

New accounting pronouncements – In August 2018, the FASB issued Accounting Standards Update (“ASU”) No. 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework – Changes to the Disclosure Requirements for Fair Value Measurements* (“ASU 2018-13”) which eliminates, adds and modifies certain disclosure requirements for fair value measurements. Management adopted ASU 2018-13 for the year ended March 31, 2021 and determined that the adoption did not have a material impact on the Corporation’s consolidated financial statements.

In August 2018, the FASB issued ASU No. 2018-14, *Compensation – Retirement Benefits – Defined Benefit Plans – General (Subtopic 715-20): Disclosure Framework – Changes to the Disclosure Requirements for Defined Benefit Plans* (“ASU 2018-14”). The amendments in this update remove disclosures that no longer are considered cost beneficial, clarify the specific requirements of disclosures, and add disclosure requirements identified as relevant including an explanation of the reasons for significant gains and losses related to changes in the benefit obligation. The new standard requires the amendments to be applied on a retrospective basis. The adoption of ASU 2018-14 is effective for the Corporation beginning April 1, 2021. The adoption of ASU 2018-14 is not expected to have a material impact on the Corporation’s consolidated financial statements.

In August 2018, the FASB issued ASU No. 2018-15, *Intangibles – Goodwill and Other – Internal-Use Software (Subtopic 350-40)* (“ASU 2018-15”). ASU 2018-15 aligns the requirements for capitalizing implementation costs incurred in a hosting arrangement that is a service contract with the requirements for capitalizing implementation costs incurred to develop or obtain internal-use software. Management adopted ASU No. 2018-15 for the year ended March 31, 2021 and determined that the adoption did not have a material impact on the Corporation’s consolidated financial statements.

In March 2020, the FASB issued ASU No. 2020-04, *Reference Rate Reform (Topic 848): Facilitation of the Effects of Reference Rate Reform on Financial Reporting* (“ASU 2020-04”), to provide optional expedients and exceptions for applying U.S. GAAP to contracts, hedging relationships, and other transactions affected by reference rate reform if certain criteria are met. This update is as of March 12, 2020 through December 31, 2022. Management is currently evaluating the impact of the provisions of ASU 2020-04 on the consolidated financial statements.

In September 2020, the FASB issued ASU No. 2020-07, *Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets* ("ASU 2020-07"), to increase the transparency of contributed nonfinancial assets for not-for-profit entities through enhancements to presentation and disclosure. ASU 2020-07 should be applied on a retrospective basis and is effective for the Corporation for the year ending March 31, 2023, with early adoption permitted. Management is currently evaluating the impact of the provisions of ASU 2020-07 on the consolidated financial statements.

NOTE 2 – MERGER WITH FRIENDS ASSOCIATION OF SERVICES FOR THE ELDERLY

On March 31, 2021, the Communities entered into an agreement to merge Friends Association of Services for the Elderly ("FASE") with and into the Communities. The Communities became the sole member of FASE to further the mission of serving seniors. FASE is a California nonprofit corporation that owns and operates Friends House, a facility that provides residential apartments, skilled nursing and assisted living house facilities and related services for the elderly in Santa Rosa, California. The merger of FASE with the Communities was accounted for as a business combination using the acquisition method of accounting, which requires the basis of the assets acquired and the liabilities assumed to be recorded at their respective fair values at the merger date. The fair value determination of assets and liabilities assumed to be recorded are those of management. For the valuation of property and equipment and entrance fee contract liability, management utilized independent valuation specialists to assist them in determining fair value.

The Communities did not provide any consideration to FASE in conjunction with this transaction, which resulted in the fair value of assets net of liabilities assumed being recorded as an inherent contribution. The operations of FASE are included in the accompanying consolidated financial statements of the Corporation from the date of the merger.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The following table summarizes the estimated fair value of the inherent contribution recognized for the assets acquired and liabilities assumed for the merger with FASE as of the merger date:

	Friends Association of Services for the Elderly
Cash and cash equivalents	\$ 2,813,755
Receivables, net	166,391
Marketable securities	119,307
Prepaid expenses, deposits, and other assets	777,241
Property and equipment	14,491,754
Accounts payable	(616,724)
Accrued payroll and payroll taxes	(128,374)
Refundable deposits	(81,000)
Refundable entrance fees	(390,000)
Deferred revenue from entrance fees	(3,415,571)
Other liabilities	(333,727)
Fair value of assets acquired and liabilities assumed from merger	13,403,052
Inherent contribution - net assets without donor restrictions	12,590,601
Inherent contribution - net assets with donor restrictions	812,451
Total inherent contribution	<u>\$ 13,403,052</u>

NOTE 3 – FAIR VALUE

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy is also established which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in active markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

As required by ASC Topic 820, the investments are classified within the level of the lowest significant input considered in determining fair value. In evaluating the level at which the Corporation's investments have been classified, the Corporation has assessed factors including, but not limited to the ability to redeem at net asset value ("NAV") at the measurement date and the existence or absence of certain restrictions at the measurement date. In accordance with this guidance, if the Corporation has the ability to redeem from the investment at the measurement date or in the near-term at NAV, the investment would not be required to be classified in the fair value hierarchy. Alternatively, if the Corporation will never have the ability to redeem from the investment or is restricted from redeeming for an uncertain or extended period of time from the measurement date, the investment would be classified as a Level 3 fair value measurement.

The following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying consolidated statement of financial position at March 31, 2021, as well as the general classification of such instruments pursuant to the valuation hierarchy.

Marketable securities – Where quoted market prices are available in an active market, securities are classified within Level 1 of the valuation hierarchy. Level 1 securities include exchange-traded equities and cash equivalents included in money market funds. Level 2 securities include certificate of deposit and nonpublicly exchanged equity securities. Asset holdings are reviewed within the investment managers' audited financial statements, interim financial statements, and fund manager communications, for purposes of assessing valuation.

The following table presents the fair value measurements of assets recognized in the accompanying consolidated statement of financial position measured at fair value on a recurring basis and the level within the ASC Topic 820 fair value hierarchy in which the fair value measurements fall at March 31:

Description	Level 1	Level 2	Level 3	Balance at March 31, 2021
Cash equivalents	\$ 20,451,201	\$ -	\$ -	\$ 20,451,201
Fixed income bonds				
Government bonds	676,886	-	-	676,886
Corporate bonds	10,741	-	-	10,741
Equity securities				
U.S. Equities	75,492,927	-	-	75,492,927
Non-U.S. Equities	57,084,068	-	-	57,084,068
Fixed income securities	40,338,912	-	-	40,338,912
Total	<u>\$ 194,054,735</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 194,054,735</u>
Investments valued at NAV:				
Limited partnership				\$ 11,524,958
Dynamic asset allocation overlay				<u>557,701</u>
Total investments valued at NAV				<u>\$ 12,082,659</u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The following table provides the fair value and redemption terms and restrictions for investments redeemable at net asset value at March 31, 2021:

Major Category	Fair value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Limited partnership ^(a)	\$ 11,524,958	-	Quarterly	60 business days
Dynamic asset allocation overlay ^(b)	\$ 557,701	-	Daily	Daily

^(a) This category invests in multi-asset classes: (1) Common Stock that are traded on a national securities exchange; (2) Fixed Income Securities include bank loans, high yield corporate bonds, and restricted high yield corporate bonds; (3) Forward Foreign Currency Contracts include forward foreign currency contracts entered for hedging against fluctuations in foreign exchange rates. The fair values of investments in this category have been estimated using the NAV per share of investments at the percentage of the Communities ownership shares, which is 1.54% at March 31, 2021. At March 31, 2021, the timing of liquidation of these assets and the date when restrictions from redemption might lapse are unknown.

^(b) This category invests in a diversified portfolio of securities and other financial instruments, including derivative instruments that provide exposure to a variety of asset classes. The investment objective is to manage the volatility of an equity or fixed-income oriented asset allocation over the long-term, as part of the overall asset allocation managed by Bernstein.

The Corporation has a finance and investment committee that meets at least quarterly with management and the investment advisors to review the strategy and ongoing performance of all investments, including analyzing changes in fair value measurements from period to period.

Marketable securities at fair value consisted of the following at March 31, 2021:

Cash equivalents	\$ 20,451,201
Marketable securities	173,603,534
Investments measured at NAV	<u>12,082,659</u>
Total	206,137,394
Less assets held by bond indenture trustee and restricted for construction and debt service	(14,142,071)
Less marketable securities included in restricted investments and investments held in trusts	<u>(11,247,853)</u>
Total marketable securities	<u>\$ 180,747,470</u>

According to the trust agreements for the Series 2011 Certificates, Series 2012 Certificates, and the Series 2015 Certificates, certain funds are to be maintained and held by a trustee, primarily for debt service. Such funds, at fair value of \$14,142,071, were classified as assets whose use are limited and were invested in government securities at March 31, 2021. The portion of these assets available to satisfy current debt service is shown as a current asset in the accompanying consolidated statement of financial position.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 4 – PROPERTY AND EQUIPMENT

Property and equipment consisted of the following at March 31, 2021:

Building and building improvements	\$ 593,201,313
Furniture and equipment	35,928,603
Motor vehicles	<u>250,997</u>
Total	629,380,913
Less accumulated depreciation	<u>(349,704,412)</u>
Total	279,676,501
Land and land improvements	66,768,680
Construction in progress	<u>8,465,711</u>
Total	<u><u>\$ 354,910,892</u></u>

Depreciation expense included in operations was \$27,796,073 for the year ended March 31, 2021.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 5 – LONG-TERM DEBT

Long-term debt consisted of the following at March 31, 2021:

Covia Communities

ABAG Finance Authority for Nonprofit Corporations, Refunding Revenue Certificates of Participation, Series 2011, dated October 1, 2011, in the original amount of \$62,200,000; interest from 3.00% to 6.125% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2022, July 1, 2024, July 1, 2026, July 1, 2031, and July 1, 2041.	\$ 52,920,000
ABAG Finance Authority for Nonprofit Corporations, Revenue Certificates of Participation, Series 2012A, dated December 20, 2012, in the original amount of \$68,835,000; interest at 5.00% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2032, July 1, 2042, and July 1, 2047.	68,835,000
ABAG Finance Authority for Nonprofit Corporations, Refunding Revenue Certificates of Participation, Series 2012B, dated December 20, 2012, in the original amount of \$19,870,000; interest from 2.00% to 5.00% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2018, July 1, 2019, July 1, 2020, July 1, 2021, July 1, 2022, July 1, 2023, July 1, 2024, and July 1, 2025.	7,335,000
Private bank placement with JPMorgan, California Statewide Communities Development Authority, Revenue Refunding Bonds, Series 2015, dated June 1, 2015, in the original amount of \$8,718,000; variable interest at 67% of 1 month LIBOR plus 97 basis points paid semiannually; principal paid annually. The rate as of March 31, 2021 was 1.18%.	7,471,000
Promissory note with The Board of Pensions of the Presbyterian Church, dated October 26, 2015, in the original amount of \$11,200,000; interest at 5% per annum paid monthly; principal paid at maturity November 1, 2021	11,200,000

Covia Affordable Communities

HUD Section 202 Capital Advance, dated February 1, 2007, secured by first deed of trust on the property, bearing no interest. The advance is a forgivable loan and shall only be repayable if the Project fails to remain available to very low-income households as approved by HUD for a 40-year period from March 2008 through February 2048.	6,870,900
Housing Authority of the City of Santa Rosa, note, dated February 10, 2006, secured by second deed of trust on the property, bearing 3% simple interest per annum from the date of each advance beginning February 2004. Payment of principal and interest is to be made from 75% of annual "Surplus Cash," if any (as defined by the loan agreement), paid only from Residual Receipts and only with the approval of HUD. The balance of principal and accrued interest is due at maturity in February 2048. The 42-year term is designed to coincide with the closing of the HUD Capital Advance period.	4,984,708
Affordable Housing Program ("AHP") direct subsidy repayment to Sonoma National Bank, dated November 1, 2006, secured by third deed of trust on the property, bearing no interest. The subsidy will be forgiven in full, June 1, 2023, as long as the property has maintained affordability limits as required by the AHP Program.	216,000

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Covia Affordable Communities (continued)

California Statewide Communities Development Authority Variable Rate Demand Multifamily Housing Revenue Bonds 2005 Series L, dated June 1, 2005, in the original amount of \$11,450,000 which was reduced to \$3,820,000 on November 15, 2007. Bonds bear a variable rate of interest determined weekly by the remarketing agent, payable monthly, and mature on December 15, 2037, secured by the borrower's leasehold interest in land and ownership of improvements. The interest rate at March 31, 2021 was 0.12%.	2,920,000
HUD Section 202 Capital Advance, dated November 26, 1993, secured by first deed of trust on real property, bearing no interest. The advance is essentially a forgivable loan and shall only be repayable if the Project fails to remain available to very low-income households as approved by HUD through June 1, 2035.	5,738,600
City of Palo Alto note, dated November 30, 1993, bearing 5% simple interest per annum beginning December 1, 1995. Payments may only be made from residual receipts with the approval of HUD. The balance of principal and interest is due at the maturity in June 1, 2035. The term is designed to coincide with the closing of the HUD Capital Advance period. At this time, the City has an option to acquire the Project in exchange for cancellation of the principal and accrued interest outstanding at that date.	459,676
Mortgage loan payable insured by the Federal Housing Administration under the provisions of Section 207, pursuant to Section 223(f) of the National Housing Act, dated June 1, 2013, with an initial term of 35 years, secured by a first deed of trust on real property, bearing interest of 3.22% per annum. Principal and interest are payable in monthly installments of \$22,563, due in full on June 1, 2048.	4,917,151
U.S. Department of Housing and Urban Development Section 221(d)(4) mortgage loan agreement with CBRE loan services for borrowings up to \$23,533,400 for the construction and rehabilitation of Bethany Center project. Note dated January 1, 2017, with an initial term of 41 years, bearing interest of 4.11% per annum. Principal and interest are due in full on October 1, 2058.	<u>22,943,906</u>
Total	196,811,941
Less debt issuance costs, net	(2,466,639)
Plus bond premium, net	<u>5,054,006</u>
	199,399,308
Less current portion	<u>(14,718,229)</u>
Long-term debt	<u><u>\$ 184,681,079</u></u>

The Series 2011, 2012, and 2015 bonds are secured by a security interest in the gross revenues of Covia Communities Obligated Group and a mortgage and security interest in the real and personal property pursuant to the Communities' deeds of trust.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Costs incurred in connection with the issuance of debt are amortized over the life of the related debt using the effective interest method. Amortization of debt issuance cost for the Communities and the Affordable Communities was 99,681 and 33,559, respectively, for the year ended March 31, 2021, as included in interest expense in the consolidated statement of activities and changes in net assets.

The Communities is subject to certain financial covenants related to its Series 2011, 2012, and 2015 bonds. Management believes that the Communities was in compliance with these financial covenants as of March 31, 2021.

Annual maturities of long-term debt consist of the following:

Year Ending March 31,

2022	\$ 14,718,229
2023	3,590,909
2024	3,665,169
2025	3,744,031
2026	3,815,520
Thereafter	<u>167,278,083</u>
	<u><u>\$ 196,811,941</u></u>

NOTE 6 – RESTRICTED DEPOSITS AND FUNDED RESERVES FOR OCT AND THE AFFORDABLE COMMUNITIES

Operating reserves – OCLP is required to maintain two operating reserve funds.

Pursuant to the Partnership Agreement, on November 15, 2007, the General Partner funded an interest-bearing operating reserve account in the amount of \$334,555. The operating reserve funds shall be maintained throughout the term of the Partnership. Any withdrawal from the operating reserve must be approved by OCLP.

Pursuant to the terms of the Reimbursement Agreement for California Statewide Communities Development Authority ("CSCDA") Variable Rate Demand Multifamily Housing Revenue Bonds 2005 Series (the "Revenue Bonds 2005 Series"), OCLP is required to make monthly deposits to a separate operating reserve account beginning November 15, 2007 (the date of conversion of the Permanent Financing Phase). Monthly payments are determined by the Loan Servicer based on six months of debt service coverage on the loan and shall be adjusted annually.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Replacement reserves – In accordance with the HUD regulatory agreement, PGA, JSH, Lytton Gardens I, Lytton Gardens II, and Lytton IV Housing Corporation are required to maintain a reserve for replacement and repair of property and equipment. The reserves are required to be funded in the amount of \$73,014 per month. Changes occur to the funded amount in conjunction with changes to the chargeable rents. The funds for Lytton Gardens II, Lytton IV Housing Corporation, and JSH are held by the mortgagee in trust in interest-bearing accounts and can be used for replacement of property and equipment with the approval of HUD. The funds for Lytton Gardens I are held by the mortgagor, GMAC, in an interest-bearing account and also require approval of HUD to be used for replacement of property and equipment. The Affordable Communities replacement reserves in funded reserves for replacement and insurance is \$9,721,377 as of March 31, 2021.

Insurance and tax impounds – PGA, JSH, Lytton Gardens I, Lytton Gardens II, and Lytton IV Housing Corporation are required to make monthly impound payments to the mortgagee for mortgage insurance, property insurance, and real estate taxes to be used for those purposes. The balance of insurance and tax impounds was \$103,055 as of March 31, 2021.

Residual receipts – The respective Affordable Subsidiaries are required to deposit surplus cash within 90 days after year end in a separate, interest-bearing account. The funds can be used for the operating or certain debt service needs of the respective Affordable Subsidiaries property with the prior written approval of HUD. The Affordable Communities residual receipts in funded reserves for replacement and insurance is \$470,336 as of March 31, 2021.

Segregated repair reserves – In accordance with FHA Insured Loan under the provisions of Section 207, pursuant to Section 223(f) of the National Housing Act, PGA is required to maintain deposits in a segregated repair reserve fund. The funds are to be used for replacement and maintenance of the property. All expenditures require prior approval from HUD. The Affordable Communities segregated repair reserve in funded reserves for replacement and insurance is \$1,029,741 as of March 31, 2021.

Other reserves – PGA is required to make monthly impound payments to the mortgagee for mortgage insurance, property insurance, and real estate taxes to be used for those purposes. At March 31, 2021, PGA has \$49,424. BCSH has \$92,655 at March 31, 2021. Affordable Communities has amounts set aside by the Board for resident assistance or development and the chaplaincy fund included in other reserves, in the amount of \$1,415,353. The remaining reserves are related to operating reserves, bond reserves, restabilization reserves and restricted deposits totaling \$464,766, and tenant security deposits of \$350,961, as of March 31, 2021.

NOTE 7 – NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions in the consolidated financial statements at March 31, 2021, are available for the following:

Assistance fund	\$ 690,734
Community fund and other	8,531,677
Deferred contribution to pooled annuities and trusts	<u>1,284,925</u>
Total net assets with donor restrictions	<u>\$ 10,507,336</u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Assistance funds have been established from donations and bequests. Management defines assistance provided to residents as the difference between monthly maintenance fees and the fees charged to assisted residents. The total cost of resident assistance was \$1,859,472 for the year ended March 31, 2021. Total resident assistance covered by the Foundation was approximately \$1,477,140 for the year ended March 31, 2021.

NOTE 8 – OPERATING LEASES

The Communities lease office space which is recorded as an operating lease. The current lease term expires on August 2025 with an optional 5 years to extend. Right of use asset and lease liability of \$5,081,592 and \$5,543,361, respectively, was recorded in the consolidated statement of financial position as of March 31, 2021. The maturity and future minimum commitments of total operating lease obligations at March 31, 2021, are as follows:

Year Ending March 31,

2022	\$ 624,680
2023	642,965
2024	662,086
2025	682,604
2026	706,555
Thereafter	<u>3,380,468</u>
Total lease payments	6,699,358
Less present value discount:	<u>(1,155,997)</u>
Lease liability	<u>\$ 5,543,361</u>

Lease expenses are recorded on a straight-line basis over the life of the lease as included in interest expense in the consolidated statement of activities and changes in net assets.

The following tables include supplemental lease information as of and for the year ended March 31, 2021:

Weighted average remaining lease term (in years)	9.50
Weighted average discount rate	4%

NOTE 9 – RETIREMENT PLAN

The Communities has a defined benefit pension plan which provides benefits under retirement annuity contracts. Salaried and hourly employees who have attained the age of 21 and have performed 1,000 hours of service in the plan year are eligible to participate in the plan upon completion of one-year continuous employment. Benefits are based on years of service and compensation prior to retirement. The Communities makes all contributions, which are funded based on actuarially determined amounts. Amortization is based on the average remaining lives of active employees. The defined benefit pension plan was frozen effective December 31, 2020. During the year ended March 31, 2021, an additional \$264,400 in net periodic benefit cost was recorded in connection with the reconciliation of the curtailment. There have been no other plan settlements, special termination benefits or substantive commitments.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

A reconciliation of the plan's benefit obligations, fair value of assets, funded status, and amounts recognized in the Corporation's consolidated statement of financial position is as follows as of March 31, 2021:

Change in benefit obligation:	
Benefit obligation, beginning of year	\$ 63,690,527
Service cost	1,668,792
Interest cost	1,868,375
Actuarial gain (includes curtailment)	(3,146,117)
Benefits paid	<u>(2,467,977)</u>
Benefit obligation at measurement date	<u>61,613,600</u>
Change in plan assets:	
Fair value of plan assets, beginning of year	44,023,721
Actual return on plan assets	16,866,695
Employer contribution	1,800,000
Benefits paid	<u>(2,467,977)</u>
Fair value of plan assets at measurement date	<u>60,222,439</u>
Funded status at measurement date	<u><u>\$ (1,391,161)</u></u>
Amounts recognized in the statement of financial position consist of:	
Noncurrent liabilities	<u>\$ (1,391,161)</u>
Amounts recognized in net assets without donor restrictions consist of:	
Unrecognized net actuarial loss	<u>\$ 8,918,541</u>
Amounts recognized in net assets without donor restrictions at measurement date	<u><u>\$ 8,918,541</u></u>
Accumulated benefit obligation	<u><u>\$ 61,613,600</u></u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The components of net periodic benefit cost included as part of employee costs in the Corporation's consolidated statement of activities and changes in net assets are as follows for the year ended March 31, 2021:

Service cost	\$ 1,668,792
Interest cost	1,868,375
Expected return on plan assets	(3,184,927)
Amortization of prior service credit	2,654,695
Amortization of net gain	(14,006)
Effect of curtailment	(18,717)
Net periodic benefit cost	<u>2,974,212</u>
Other changes in plan assets and benefit obligations recognized in net assets without donor restrictions:	
Net actuarial gain	(16,827,886)
Amortization of net loss	(2,654,695)
Amortization of prior service credit	14,006
Effect of curtailment	<u>18,717</u>
Amounts recognized in net assets without donor restrictions at measurement date	<u>(19,449,858)</u>
Total recognized in net periodic benefit cost and net assets without donor restrictions at measurement date	<u>\$ (16,475,646)</u>

The following assumptions were used for the March 31, 2021, measurement date:

Actuarial present value of the benefit obligation	
Weighted-average discount rate	3.15%
Rate of increase in future compensation levels	N/A
Long-term rate of return on plan assets	6.75%
Net periodic benefit cost	
Weighted-average discount rate	3.10%
Rate of increase in future compensation levels	3.00%
Long-term rate of return on plan assets	6.75%

The expected long-term rate of return on plan assets of 6.75% is based on an investment allocation of 71% equities, 24% fixed income securities and 5% real estate securities.

Pension plan assets as of the March 31, 2021, measurement date were as follows:

Equity securities	71%
Fixed income securities	24%
Real estate securities	<u>5%</u>
Total	<u>100%</u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The fair value of the Communities' pension plan assets as of March 31, 2021, by asset category are as follows:

Description	Level 1	Level 2	Level 3	Total
Mutual funds				
Small/mid-U.S. equity	\$ 2,874,795	\$ -	\$ -	\$ 2,874,795
International equity	20,103,097	-	-	20,103,097
Fixed income	14,682,716	-	-	14,682,716
Total mutual funds	<u>\$ 37,660,608</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 37,660,608</u>
Investments valued at NAV:				
Pooled separate accounts				<u>\$ 22,561,831</u>

Pooled separate accounts ("PSAs") – Includes investment in large and small cap funds that invests mainly in domestic equity and a real estate fund. The PSAs can be redeemed at NAV as of the measurement date, redeemed on a daily basis, and unfunded commitments are not applicable to PSAs. Investments are valued using the NAV per share of the fund. The NAV per share is based on the value of the underlying assets owned by the fund, minus its liabilities, divided by the shares outstanding. At March 31, 2021, the timing of liquidation of these assets and the date when restrictions from redemption might lapse are unknown.

Explanation of investment strategies and policies – The Communities employs a total return investment approach whereby a mix of equities and fixed income investments are used to maximize the long-term return of plan assets for a prudent level of risk. The intent of this strategy is to minimize plan expenses by outperforming plan liabilities over the long run. Risk tolerance is established through careful consideration of plan liabilities, plan funded status, and corporate financial condition. The investment portfolio contains a diversified blend of equity and fixed income investments. Furthermore, equity investments are diversified across U.S. and non-U.S. stocks as well as growth, value, small and large capitalizations. Investment risk is measured and monitored on an ongoing basis through annual liability measurements, periodic asset/liability studies, and quarterly investment portfolio reviews.

The Communities does not expect to contribute to its pension plan in the fiscal year ending March 31, 2022 as the plan was frozen effective December 31, 2020.

The following benefit payments, which reflect expected future service, as appropriate, are expected to be paid:

2022	\$ 3,300,000
2023	\$ 2,680,000
2024	\$ 2,700,000
2025	\$ 2,790,000
2026	\$ 2,840,000
Years 2027 - 2030	\$ 15,020,000

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Supplementary deferred compensation plan – The Communities also maintains for certain key employees, a Supplementary Deferred Compensation Plan (“Supplementary Plan”) which is a nonqualified, deferred compensation plan which provides a defined contribution benefit pursuant to 409A and 457(f) of the Internal Revenue Code. All participants are awarded an Annual Retention Benefit in each year. Each award will vest on the earlier of the participant’s death or disability, reaching the age of 65, or five years after the award is made. The accrued liability as of March 31, 2021, was \$1,522,763, included in other liabilities in the consolidated statement of financial position.

Tax deferred annuity plan – The Communities has implemented a 403(b) tax deferred annuity plan (the “403(b) Plan”). Eligible employees who have satisfied the age and service requirements are allowed to make salary reduction contributions with a maximum contribution of up to the statutory limit. The Communities matches 1.5% of the first 3% of the participant’s wages. The Communities pays for all the administrative expenses to operate the 403(b) Plan. Effective January 1, 2021, the Communities amended the 403(b) Plan, terminating the employer match and adopting a 3% employer 403(b) contribution to the employee’s individual plan accounts. Employees are not required to contribute, and certain age and service requirements apply. The Communities’ contribution for the year ended March 31, 2021 totaled \$1,144,087.

Employee benefit plan – The Affordable Communities and its affiliates have implemented a 403(b) tax deferred annuity plan (the “Plan”). Eligible employees who have satisfied the age and service requirements are allowed to make salary reduction contributions with a maximum contribution of up to the statutory limit. The Plan pays for all the administrative expenses to operate the Plan. Effective August 1, 2018, the Affordable Communities amended the Plan, terminated the employer match, and adopted a 10% employer 403(b) contribution to the employee’s individual plan accounts in accordance with HUD Notice H 5-08 across all Affordable Communities projects. Employees are not required to contribute, and certain age and service requirements apply. The Affordable Communities’ contribution for the year ended March 31, 2021, totaled \$521,522.

NOTE 10 – RELATED PARTIES

During fiscal year 2021, the Communities purchased general and professional liability insurance for \$1,202,682 from an insurance company in which the Communities is a shareholder. At March 31, 2021, the Communities’ investment was \$301,104. This investment is recorded at cost because it represents less than 5% of the shares of the insurance company.

NOTE 11 – COMMITMENTS AND CONTINGENCIES

Litigation – The Corporation is party to various claims and legal actions in the normal course of business. In the opinion of management, the Corporation has substantial meritorious defenses to pending or threatened litigation and, based upon current facts and circumstances, the resolution of these matters is not expected to have a material adverse effect on the consolidated financial position of the Corporation.

Asbestos – The Communities is aware of the existence of asbestos in certain of its buildings. The Communities has not recorded a liability for any asbestos abatement costs because the cost cannot be reasonably estimated at this time. At such time in the future that plans are made to make changes to structures with asbestos and the related asbestos removal cost estimates are completed, the Communities will record an estimate of the costs of the required asbestos abatement.

Operating deficit guarantee – With respect to OCT's obligations as the General Partner of OCLP, the Communities has guaranteed that it will advance funds to OCT in an amount necessary for OCT to make the required Operating Deficit Contribution when such Operating Deficit cannot be satisfied from Partnership funds including OCLP's Operating Reserve and OCT does not have sufficient funds to make an Operating Deficit Contribution to OCLP. The advances shall be interest free and payable out of Capital proceeds. The operating deficit period begins after the completion date and ends on the date that the following have occurred: (1) OCLP has operated at break-even for at least three consecutive calendar years following the stabilization date of OCLP; and (2) the balance in the Operating Reserve equals or exceeds the Operating Reserve amount. As of March 31, 2021, no advances have been made under the agreement.

Credit adjuster and additional advance guaranty – With respect to OCT's obligations as the General Partner of OCLP, the Communities has guaranteed to advance funds to OCT in the amount necessary for OCT to make the required Credit Adjuster Advance or Additional Advance. The Credit Adjuster Advance is limited to \$835,799.

City of Palo Alto repurchase rights

Lytton Gardens I – The City of Palo Alto (the "City") has the right to repurchase the Lytton Gardens I's land and building currently held by CHI for \$1 in either of the following situations: (1) CHI's federal government insured loan is repaid; (2) 45 years has passed from the October 26, 1971, original purchase date by the CHI; (3) there is a default under the original purchase agreement with the City; or (4) there is a foreclosure by the holder of any secured lien. If the City gains the right to repurchase but fails to exercise that right within one year, then CHI must pay the City a forbearance fee of \$300,000, payable \$100,000 per year over three years.

In October 2015, Lytton I's federal government insured loan was paid in full as 45 years had passed since the original purchase date, triggering the repurchase rights for Palo Alto. In May 2016, approval was granted by HUD to pay the forbearance fee from operating cash. As of April 2017, Lytton I is negotiating terms of a new regulatory agreement that will maintain affordability restrictions and be subordinate to any refinancing or tax credit syndication undertaken by Lytton I. Palo Alto has extended their period to exercise their option to repurchase. Lytton I recognized the expense and reserved the forbearance fee for payment at an agreed time with Palo Alto during 2017. As of March 31, 2021, there is \$300,000 included in accounts payable for the forbearance fee.

Lytton Gardens II – The City has the right to repurchase the Lytton Gardens II's land and building currently held by CHI for \$1 in either of the following situations: (1) CHI's federal government insured loan is repaid; (2) 45 years has passed from the October 26, 1971, original purchase date by CHI; (3) there is a default under the original purchase agreement with the City; or (4) there is a foreclosure by the holder of any secured lien. If the City gains the right to repurchase but fails to exercise that right within one year, then CHI must pay the City a forbearance fee of \$400,000, payable \$100,000 per year over four years.

In May 2019, Lytton II's federal government insured loan will be paid in full and 45 years will have passed since the original purchase date, triggering the repurchase rights for Palo Alto. Lytton II is scheduling payment to Palo Alto in advance of the one-year period to exercise their option. In May 2016, approval was granted by HUD to pay the forbearance fee from operating reserve cash. As of April 2017, Lytton II is negotiating terms of a new regulatory agreement that will maintain affordability restrictions and be subordinate to any refinancing or tax credit syndication undertaken by Lytton II. Lytton II recognized the expense and reserved the forbearance fee for payment at an agreed time with Palo Alto during 2017. As of March 31, 2021, there is \$400,000 included in accounts payable for the forbearance fee.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Lytton IV Housing Corporation – Upon expiration of the 40-year term of HUD regulatory agreement, dated December 1, 1993, the City, may, at its sole option, require Lytton IV Housing Corporation to transfer ownership of its project (all improvements and land) to the City. The City must exercise said option within six months of the termination of the HUD regulatory agreement. In consideration of the exercise of said option, the City shall cancel any remaining balance then owed by Lytton IV Housing Corporation on the note with the City.

Healthcare reform – The Patient Protection and Affordable Care Act (“PPACA”) allowed for the expansion of Medicaid members in the State of California. Any further federal or state funding changes could have an impact on the Corporation. With the changes in the executive branch, the future of PPACA and impact of future changes in Medicaid to the Corporation is uncertain at this time.

COVID-19 pandemic – In March 2020, the World Health Organization declared the novel coronavirus (“COVID-19”) a global pandemic and recommended containment and mitigation measures worldwide. The related adverse public health developments, including orders to shelter-in-place, travel restrictions, and mandated business closures, have adversely affected workforces, organizations, their patients and customers, economies, and financial markets globally, leading to increased market volatility and disruptions in normal business operations, including the Corporation’s operations.

On March 27, 2020, the United States Congress passed the Coronavirus Aid, Relief, and Economic Securities (“CARES”) Act. The CARES Act included provisions for health care under the Provider Relief Fund. Throughout fiscal year 2021, the Communities received funds under the Provider Relief Fund, administered by the U.S. Department of Health & Human Services (“HHS”) of \$4,421,027. The Communities was required to and did timely sign attestations agreeing to the terms and conditions of payment. Those terms and conditions include measures to prevent fraud and misuse. Documentation is required to ensure that these funds are to be used for healthcare-related expenses or lost revenue attributable to COVID-19, limitations of out of pocket payments from certain patients, and the acceptance of several other reporting and compliance requirements. It is noted that anti-fraud monitoring and auditing will be performed by HHS and the Office of the Inspector General. For the year ended March 31, 2021, the Corporation has recognized \$4,421,027 of the Provider Relief Fund in grant revenue – Provider Relief Fund on its consolidated statement of activities and changes in net assets.

The Corporation’s management has been closely monitoring the impact of COVID-19 on the Corporation’s operations, including the impact on its patients and employees. The duration and intensity of the pandemic is uncertain but may influence patient decisions, donor decisions, and may also negatively impact collections of the Corporation’s receivables.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 12 – HEALTH AND SAFETY CODE SECTION 1790(A)(3) DISCLOSURE

The following disclosure is made pursuant to section 1790(a)(3) of the California Health & Safety Code: The Board of Directors have identified certain contingencies listed below to which the net assets without donor restrictions of the Communities may be exposed; and, therefore, directed that prudent reserves be established as a safeguard against such contingencies. Although not restricted in accordance with ASC Topic 958, *Not-for-Profit Entities*, the Board of Directors designated funds represent the current intentions of the Board of Directors.

Plant replacement reserves	\$ 42,646,275
Income fund	31,521,160
Self-insurance fund	<u>18,541,759</u>
 Total	 <u><u>\$ 92,709,194</u></u>

Maintaining such reserves meets the needs of the continuing care retirement communities by providing a source of funds to replace plant, either in the normal course of its operations and/or with respect to uninsured losses, and to otherwise meet its obligations as they become due in periods of reduced entrance or monthly fee revenue.

In addition, the Board has designated the initial amount of \$1,000,000 to be held in the Dr. Darby Betts Fund to promote needed services to seniors either by making grants to other organizations or expanding the Communities' own efforts to support seniors in the larger community and who are not residents of its retirement or affordable housing communities. This fund is jointly administered by the Communities and Episcopal Diocese of California. This commitment meets the needs of the continuing care retirement communities by demonstrating a broader community benefit in support of and to preserve its tax-exempt status. As of March 31, 2021, the balance of the fund was \$1,438,644, and \$69,500 was expended from the fund for such purposes during the year then ended.

NOTE 13 – UNEARNED ENTRANCE FEE REVENUE

Unearned entrance fee activity for the year ended March 31, 2021, are as follows:

<u>April 1, 2020</u>	<u>Additions</u>	<u>Refunds back to resident</u>	<u>Deaths and Withdrawals (nonrefundable advance fee)</u>	<u>Amortization</u>	<u>Deferred entrance fees from merger (see note 2)</u>	<u>March 31, 2021</u>
\$ 169,054,600	21,932,980	(1,877,698)	(6,582,995)	(17,595,861)	3,415,571	\$ 168,346,597

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 14 – LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of March 31, 2021, comprise the following:

Cash and cash equivalents	\$ 32,465,665
Marketable securities	180,747,470
Receivables, net	<u>8,390,585</u>
	221,603,720
Less amount unavailable for general expenditures within one year	<u>(1,597,428)</u>
	<u><u>\$ 220,006,292</u></u>

As part of the Corporation's liquidity management plan, it invests cash in excess of its daily requirements in short-term investments which can be sold and used for operations if necessary.

NOTE 15 – FUNCTIONAL EXPENSES

	Year Ended March 31, 2021						
	Residential Services	Assisted Living & Memory Care	Skilled Nursing	Program Services	Fundraising	General and Administrative	Total
Salaries and benefits	\$ 24,372,181	\$ 6,424,961	\$ 22,433,465	\$ -	\$ 174,002	\$ 20,042,072	\$ 73,446,681
Supplies	5,212,732	1,131,685	3,634,319	-	2,314	553,803	10,534,853
Other purchased services	4,633,132	751,923	1,596,182	-	34,920	4,469,793	11,485,950
Repairs and maintenance	3,502,480	232,565	616,681	-	-	1,735,941	6,087,667
Utilities	5,484,294	418,475	609,316	-	-	1,679,389	8,191,474
Depreciation and amortization	17,427,413	1,441,801	2,429,098	-	-	6,932,067	28,230,379
Assistance for resident fees	-	-	-	1,477,140	-	-	1,477,140
Other	10,195,647	708,581	3,048,913	1,160,257	38,595	7,516,985	22,668,978
	<u>\$ 70,827,879</u>	<u>\$ 11,109,991</u>	<u>\$ 34,367,974</u>	<u>\$ 2,637,397</u>	<u>\$ 249,831</u>	<u>\$ 42,930,050</u>	<u>\$ 162,123,122</u>

The consolidated financial statements report certain expense categories that are attributable to more than one residential, health care or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, amortization, interest and other occupancy costs, are allocated to a function based on a square footage, meals or census.

NOTE 16 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the consolidated statement of financial position date but before the consolidated financial statements are available to be issued. The Corporation recognizes in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the consolidated statement of financial position, including the estimates inherent in the process of preparing the consolidated financial statements. The Corporation's consolidated financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the consolidated statement of financial position but arose after the consolidated statement of financial position date and before consolidated financial statements are issued.

On June 1, 2020, the Board of Directors for Front Porch, Covia Communities and Covia Group voted to affiliate. The affiliation was approved and completed on April 1, 2021.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The Corporation has evaluated subsequent events through July 21, 2021, which is the date the consolidated financial statements are available to be issued.

Supplementary Information

Covia Group and Controlled Affiliates
Consolidating Statement of Financial Position
March 31, 2021

	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
ASSETS							
CURRENT ASSETS							
Cash and cash equivalents	\$ 12,978,391	\$ 826,539	\$ -	\$ 13,804,930	\$ 18,660,735	\$ -	\$ 32,465,665
Assets held by bond indenture trustee for current debt service	5,663,190	-	-	5,663,190	-	-	5,663,190
Marketable securities	163,635,902	15,256,020	-	178,891,922	1,855,548	-	180,747,470
Receivables, net	6,756,933	50,988	-	6,807,921	1,582,664	-	8,390,585
Current portion of pledges receivable, net of discount	415,017	-	-	415,017	-	-	415,017
Current portion of receivables from affiliates	194,987	251,903	(251,903)	194,987	-	(194,987)	-
Prepaid expenses, deposits, and other assets	4,004,820	330,573	-	4,335,393	1,062,718	-	5,398,111
Total current assets	193,649,240	16,716,023	(251,903)	210,113,360	23,161,665	(194,987)	233,080,038
ASSETS WHOSE USE IS LIMITED							
Assets held by bond indenture trustee and restricted for construction and debt service	14,142,071	-	-	14,142,071	-	-	14,142,071
Less portion available to satisfy current debt service	(5,663,190)	-	-	(5,663,190)	-	-	(5,663,190)
Noncurrent portion	8,478,881	-	-	8,478,881	-	-	8,478,881
Funded reserves for replacement and insurance	-	-	-	-	10,294,768	-	10,294,768
Restricted deposits	-	-	-	-	3,402,900	-	3,402,900
Investments held in trust	7,173,986	-	-	7,173,986	640,405	-	7,814,391
Restricted investments	3,433,462	-	-	3,433,462	-	-	3,433,462
Total long-term assets whose use is limited	19,086,329	-	-	19,086,329	14,338,073	-	33,424,402
LONG-TERM PLEDGES RECEIVABLE, NET OF CURRENT PORTION AND DISCOUNT RECEIVABLES FROM AFFILIATES, NET OF CURRENT PORTION	751,885	-	-	751,885	-	-	751,885
PROPERTY AND EQUIPMENT, NET OF ACCUMULATED DEPRECIATION	294,641,011	-	-	294,641,011	60,269,881	-	354,910,892
RIGHT-OF-USE-ASSET, NET OF ACCUMULATED AMORTIZATION	5,081,592	-	-	5,081,592	2,037,989	(2,037,989)	5,081,592
DEFERRED CHARGES AND OTHER ASSETS	14,821,589	410,000	-	15,231,589	3,974,286	(20,920)	19,184,955
INVESTMENTS IN AFFILIATES	-	450,900	-	450,900	-	(450,900)	-
Total assets	\$ 528,896,713	\$ 17,576,923	\$ (251,903)	\$ 546,221,733	\$ 103,781,894	\$ (3,569,863)	\$ 646,433,764

Covia Group and Controlled Affiliates
Consolidating Statements of Financial Position (Continued)
March 31, 2021

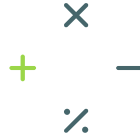
	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
LIABILITIES AND NET ASSETS							
CURRENT LIABILITIES							
Accounts payable	\$ 7,551,402	\$ 105,900	\$ -	\$ 7,657,302	\$ 1,674,507	\$ -	\$ 9,331,809
Accounts payable - affiliated organizations	-	-	(251,903)	(251,903)	470,362	(218,459)	-
Accrued payroll and payroll taxes	6,224,183	-	-	6,224,183	952,203	-	7,176,386
Current portion of long-term debt	14,342,000	-	-	14,342,000	376,229	-	14,718,229
Current portion of lease liability	378,436	-	-	378,436	113,733	(113,733)	378,436
Accrued interest	2,521,190	-	-	2,521,190	13,194	-	2,534,384
Self-insurance and other liabilities	3,681,522	3,304	-	3,684,826	111,643	-	3,796,469
Total current liabilities	34,698,733	109,204	(251,903)	34,556,034	3,711,871	(332,192)	37,935,713
REFUNDABLE DEPOSITS	1,105,200	-	-	1,105,200	350,961	-	1,456,161
REPAYABLE ENTRANCE FEES	1,820,700	-	-	1,820,700	-	-	1,820,700
REFUNDABLE ENTRANCE FEES	65,470,689	-	-	65,470,689	-	-	65,470,689
PENSION BENEFIT OBLIGATION	1,391,161	-	-	1,391,161	-	-	1,391,161
LONG-TERM DEBT, NET	136,685,157	-	-	136,685,157	47,995,922	-	184,681,079
DEFERRED REVENUE FROM ENTRANCE FEES	168,346,597	-	-	168,346,597	-	-	168,346,597
LIABILITIES FOR PAYMENT TO TRUST BENEFICIARIES	2,930,887	-	-	2,930,887	640,405	-	3,571,292
LONG-TERM LEASE LIABILITY, NET	5,164,925	-	-	5,164,925	2,037,989	(2,037,989)	5,164,925
OTHER LIABILITIES	5,936,781	-	-	5,936,781	3,115,410	(748,782)	8,303,409
Total liabilities	423,550,830	109,204	(251,903)	423,408,131	57,852,558	(3,118,963)	478,141,726
NET ASSETS							
Without donor restrictions:							
Controlling interest	94,977,891	17,467,719	-	112,445,610	44,326,143	(450,900)	156,320,853
Noncontrolling interest in OCLP	-	-	-	-	1,463,849	-	1,463,849
Total net assets without donor restrictions	94,977,891	17,467,719	-	112,445,610	45,789,992	(450,900)	157,784,702
With donor restrictions	10,367,992	-	-	10,367,992	139,344	-	10,507,336
Total net assets	105,345,883	17,467,719	-	122,813,602	45,929,336	(450,900)	168,292,038
Total liabilities and net assets	\$ 528,896,713	\$ 17,576,923	\$ (251,903)	\$ 546,221,733	\$ 103,781,894	\$ (3,569,863)	\$ 646,433,764

Covia Group and Controlled Affiliates

Consolidating Statement of Changes in Net Assets Without Donor Restrictions Information

Year Ended March 31, 2021

	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTIONS							
Revenues and gains							
Resident fees	\$ 68,562,911	\$ -	\$ -	\$ 68,562,911	\$ -	\$ -	\$ 68,562,911
Amortization of deferred revenue from entrance fees	24,178,856	-	-	24,178,856	-	-	24,178,856
Nursing center	30,983,058	-	-	30,983,058	-	-	30,983,058
Outside and other medical fees	426,049	-	-	426,049	-	-	426,049
Affordable housing fees and rents	-	-	-	-	23,401,328	-	23,401,328
Other	2,171,565	230,082	-	2,401,647	35,525	(1,020,000)	1,417,172
Contributions	61,163	-	-	61,163	6,152	-	67,315
Grant revenue - Provider Relief Fund	4,421,027	-	-	4,421,027	-	-	4,421,027
Net assets released from restriction for assistance and operations	2,424,582	-	-	2,424,582	-	-	2,424,582
Total revenues and gains	133,229,211	230,082	-	133,459,293	23,443,005	(1,020,000)	155,882,298
Expenses							
Nursing expenses	26,064,094	-	-	26,064,094	-	-	26,064,094
Outside and other medical expenses	5,453,781	-	-	5,453,781	-	-	5,453,781
Dining services	20,271,333	-	-	20,271,333	1,405,253	-	21,676,586
Housekeeping	7,391,011	-	-	7,391,011	-	-	7,391,011
Maintenance	8,702,862	-	-	8,702,862	3,927,434	-	12,630,296
General and administrative expenses	24,307,879	1,603,821	-	25,911,700	7,364,756	(900,000)	32,376,456
Marketing	2,024,801	-	-	2,024,801	-	-	2,024,801
Utility expenses	6,020,105	-	-	6,020,105	1,498,992	-	7,519,097
Other	5,402,770	-	-	5,402,770	648,800	(120,000)	5,931,570
Program expenses	2,406,104	-	-	2,406,104	-	-	2,406,104
Fundraising activities	23,963	-	-	23,963	-	-	23,963
Depreciation and amortization	24,617,900	-	-	24,617,900	3,612,479	-	28,230,379
Loss on disposal of property and equipment	1,148,967	-	-	1,148,967	-	-	1,148,967
Interest	7,800,364	-	-	7,800,364	1,445,653	-	9,246,017
Total expenses	141,635,934	1,603,821	-	143,239,755	19,903,367	(1,020,000)	162,123,122
(LOSS) INCOME BEFORE OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS, INHERENT CONTRIBUTION AND INVESTMENT INCOME	(8,406,723)	(1,373,739)	-	(9,780,462)	3,539,638	-	(6,240,824)
OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS	(1,396,527)	-	-	(1,396,527)	-	-	(1,396,527)
INHERENT CONTRIBUTION	12,590,601	-	-	12,590,601	-	-	12,590,601
INVESTMENT INCOME							
Investment income	3,494,168	1,037,554	-	4,531,722	-	-	4,531,722
Net realized gains on investments	11,839,657	-	-	11,839,657	-	-	11,839,657
Net unrealized gains on investments	35,157,230	3,517,637	-	38,674,867	691,901	-	39,366,768
Total investment income	50,491,055	4,555,191	-	55,046,246	691,901	-	55,738,147
NET INCOME	53,278,406	3,181,452	-	56,459,858	4,231,539	-	60,691,397
CHANGE IN PENSION BENEFIT OBLIGATION	19,449,858	-	-	19,449,858	-	-	19,449,858
INCREASE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	\$ 72,728,264	\$ 3,181,452	\$ -	\$ 75,909,716	\$ 4,231,539	\$ -	\$ 80,141,255



*Report of Independent Auditors and
Consolidated Financial Statements with
Supplementary Information*

**Covia Group and
Controlled Affiliates**

March 31, 2020



MOSSADAMS

Table of Contents

REPORT OF INDEPENDENT AUDITORS	1
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CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Statement of Financial Position	4
Consolidated Statement of Activities and Changes in Net Assets.....	6
Consolidated Statement of Cash Flows.....	8
Notes to Consolidated Financial Statements.....	9

SUPPLEMENTARY INFORMATION

Consolidating Statements of Financial Position.....	37
Consolidating Statement of Changes in Net Assets Without Donor Restrictions Information	39

Report of Independent Auditors

To the Audit Committee
Covia Group and Controlled Affiliates

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of Covia Group (the “Group”) and Controlled Affiliates (collectively referred to as the “Corporation”), which comprise the consolidated statement of financial position as of March 31, 2020, and the related consolidated statements of activities and changes in net assets, and cash flows for the year then ended, and the related notes to the consolidated financial statements.

Management’s Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor’s Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity’s preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity’s internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Covia Group and Controlled Affiliates as of March 31, 2020, and the consolidated results of its operations and cash flows for the year then ended, in accordance with accounting principles generally accepted in the United States of America.

Emphasis of a Matter

As discussed in Note 1 to the consolidated financial statements, on April 1, 2019, the Communities adopted Financial Accounting Standards Board Accounting Standards Update (“ASU”) No. 2016-01, *Financial Instruments*. The ASU has been applied through a modified-retrospective approach. Our opinion is not modified with respect to this matter.

As discussed in Note 1 to the consolidated financial statements, the Communities adopted ASU No. 2016-02, *Leases* (Topic 842), as of and for the year ended March 31, 2020. The ASU has been applied using the modified-retrospective approach. Our opinion is not modified with respect to this matter.

As discussed in Note 1 to the consolidated financial statements, as of and for the year ended March 31, 2020, the Communities adopted FASB ASU No. 2016-18, *Restricted Cash*. The ASU has been applied retrospectively to all periods presented. Our opinion is not modified with respect to this matter.

Other Matter

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying supplementary schedules of consolidating statements of financial position, and consolidating statements of activities and changes in net assets without donor restrictions information, as of and for the year ended March 31, 2020, presented as supplementary information, are presented for the purpose of additional analysis and are not a required part of the basic consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole.

The image shows a handwritten signature in cursive script that reads "Moss Adams LLP".

San Francisco, California
June 30, 2020

Consolidated Financial Statements

Covia Group and Controlled Affiliates
Consolidated Statement of Financial Position
March 31, 2020

ASSETS

CURRENT ASSETS

Cash and cash equivalents	\$ 22,687,737
Assets held by bond indenture trustee for current debt service	5,716,094
Marketable securities	140,373,146
Receivables, net of allowance for doubtful accounts in the amount of \$1,106,418	7,113,412
Current portion of pledges receivable, net of discount	132,660
Prepaid expenses, deposits, and other assets	4,076,682
Total current assets	180,099,731

ASSETS WHOSE USE IS LIMITED

Assets held by bond indenture trustee and restricted for construction and debt service	14,269,810
Less portion available to satisfy current debt service	(5,716,094)
Noncurrent portion	8,553,716
Funded reserves for replacement and insurance	10,724,101
Restricted deposits	4,256,108
Investments held in trust	6,350,461
Restricted investments	3,606,881
Total long-term assets whose use is limited	33,491,267

LONG-TERM PLEDGES RECEIVABLE, NET OF CURRENT PORTION AND DISCOUNT 750,092

PROPERTY AND EQUIPMENT, NET OF ACCUMULATED DEPRECIATION 354,678,200

RIGHT OF USE ASSET, NET OF ACCUMULATED AMORTIZATION 5,515,898

DEFERRED CHARGES AND OTHER ASSETS 15,583,931

Total assets \$ 590,119,119

Covia Group and Controlled Affiliates
Consolidated Statement of Financial Position (Continued)
March 31, 2020

LIABILITIES AND NET ASSETS

CURRENT LIABILITIES

Accounts payable	\$ 7,233,329
Accrued payroll and payroll taxes	5,058,290
Current portion of long-term debt	3,436,788
Current portion of lease liability	378,436
Accrued interest	2,652,127
Self-insurance and other liabilities	<u>3,964,312</u>

Total current liabilities	22,723,282
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REFUNDABLE DEPOSITS	1,461,559
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REPAYABLE ENTRANCE FEES	2,362,440
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REFUNDABLE ENTRANCE FEES	72,078,079
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PENSION BENEFIT OBLIGATION	19,666,806
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LONG-TERM DEBT, NET	199,711,828
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DEFERRED REVENUE FROM ENTRANCE FEES	169,054,600
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LIABILITIES FOR PAYMENT TO TRUST BENEFICIARIES	2,886,258
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LONG-TERM LEASE LIABILITY, NET	5,543,361
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OTHER LIABILITIES	<u>8,002,377</u>
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Total liabilities	<u>503,490,590</u>
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NET ASSETS

Without donor restriction:	
Controlling interest	76,381,409
Noncontrolling interest in Oak Centers, L.P. ("OCLP")	<u>1,262,038</u>

Total net assets without donor restrictions	77,643,447
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With donor restrictions	<u>8,985,082</u>
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Total net assets	<u>86,628,529</u>
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Total liabilities and net assets	<u><u>\$ 590,119,119</u></u>
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Covia Group and Controlled Affiliates
Consolidated Statement of Activities and Changes in Net Assets
Year Ended March 31, 2020

CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTIONS

Revenues and gains	
Resident fees	\$ 69,170,513
Amortization of deferred revenue from entrance fees	23,007,021
Nursing center	37,770,630
Outside and other medical fees	546,289
Affordable housing fees and rents	21,315,926
Other	1,787,696
Contributions	163,961
Net assets released from restriction for assistance and operations	<u>2,332,711</u>
Total revenues and gains	<u>156,094,747</u>
Expenses	
Nursing expenses	29,647,778
Outside and other medical expenses	4,982,579
Dining services	22,860,860
Environmental services	7,278,673
Maintenance	12,446,058
General and administrative expenses	28,754,335
Marketing	2,554,126
Utility expenses	7,065,142
Other	6,966,416
Program expenses	3,035,266
Fundraising activities	10,811
Depreciation and amortization	26,750,550
Loss on disposal of property and equipment	359,764
Interest	<u>9,468,847</u>
Total expenses	<u>162,181,205</u>

LOSS BEFORE OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS AND INVESTMENT (LOSS) INCOME	(6,086,458)
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OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS	817,246
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INVESTMENT INCOME	
Investment income	3,377,036
Net realized gains on investments	7,418,969
Net unrealized losses on investments	<u>(18,132,140)</u>
Total investment loss	<u>(7,336,135)</u>

NET LOSS	(12,605,347)
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Covia Group and Controlled Affiliates
Consolidated Statement of Activities and Changes in Net Assets (Continued)
Year Ended March 31, 2020

CHANGE IN PENSION BENEFIT OBLIGATION	<u>\$ (13,523,003)</u>
DECREASE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	<u>(26,128,350)</u>
CHANGES IN NET ASSETS WITH DONOR RESTRICTIONS	
Contributions	2,897,869
Investment income	100,899
Net realized gains on investments	611
Net unrealized loss on investments	(136,837)
Changes in split interest gift agreements	(624,684)
Net assets released from restrictions for assistance and operations	<u>(2,332,711)</u>
Decrease in net assets with donor restrictions	<u>(94,853)</u>
DECREASE IN NET ASSETS	(26,223,203)
NET ASSETS, beginning of year	<u>112,851,732</u>
NET ASSETS, end of year	<u><u>\$ 86,628,529</u></u>

Covia Group and Controlled Affiliates
Consolidated Statement of Cash Flows
Year Ended March 31, 2020

CASH FLOWS FROM OPERATING ACTIVITIES

Decrease in net assets	\$ (26,223,203)
Adjustments to reconcile decrease in net assets to net cash provided by operating activities:	
Amortization of deferred revenue from entrance fees	(23,007,021)
Proceeds from entrance fees	32,558,935
Depreciation and amortization	26,750,550
Loss on disposal of property and equipment	359,764
Amortization of debt issuance costs and other	128,841
Amortization of bond premium	(322,848)
Change in unrealized loss on investments	18,893,661
Change in pension benefit obligation	13,523,003
Change in	
Receivables, net of allowance for doubtful accounts	3,550,488
Other assets	(789,920)
Accounts payable	(7,174,954)
Other liabilities	(3,026,730)
Lease liability	(346,277)
Accrued retirement benefits	(1,051,168)
Self-insurance liabilities	127,179
Net cash provided by operating activities	<u>33,950,300</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Property acquisitions and construction in progress	(18,814,181)
Change in deferred charges and other assets	(2,860,654)
Marketable securities sold	14,951,733
Marketable securities acquired	(15,830,232)
Net cash used in investing activities	<u>(22,553,334)</u>

CASH FLOWS FROM FINANCING ACTIVITIES

Long-term debt repayment	(3,510,256)
Long-term debt borrowing	1,790,252
Refunds of deposits and entrance fees	(11,822,675)
Net cash used in financing activities	<u>(13,542,679)</u>

NET INCREASE IN CASH (2,145,713)

CASH, CASH EQUIVALENTS AND RESTRICTED CASH, beginning of year 57,780,520

CASH, CASH EQUIVALENTS AND RESTRICTED CASH, end of year \$ 55,634,807

RECONCILIATION OF CASH, CASH EQUIVALENTS, AND RESTRICTED CASH

Cash, cash equivalents and restricted cash	\$ 22,687,737
Cash, cash equivalents and restricted cash - marketable securities	2,560,181
Cash, cash equivalents and restricted cash - assets whose use is limited	30,386,889
	<u>\$ 55,634,807</u>

NONCASH DISCLOSURES

Noncash property acquisition and construction in progress	\$ 198,486
Noncash right of use asset acquisition in exchange of lease liability	\$ 5,515,898
Cash paid for interest	\$ 9,512,078

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 1 – DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization – Covia Group (the “Group”), is a California nonprofit public benefit corporation. The Group is the sole member of Covia Communities (the “Communities”) and the sole member of Covia Affordable Communities (the “Affordable Communities”).

Covia Group related enterprises – Covia Communities, a California nonprofit public benefit corporation, provides housing, related facilities, and services for elderly persons on a nonprofit, religious, and charitable basis. The Communities operates five active life plan communities: Canterbury Woods in Pacific Grove, St. Paul's Towers in Oakland, Spring Lake Village in Santa Rosa, San Francisco Towers in San Francisco, and Webster House in Palo Alto, under licenses from the California Department of Social Services. The Communities' sole member is Covia Group which is also a California nonprofit public benefit corporation providing housing and services to elderly persons in addition to providing support to its subsidiary entities. The consolidated financial statements of the Communities are included in the accompanying consolidated financial statements of the Group.

On February 19, 2019, Covia Communities announced the closure of one of its life plan communities, Los Gatos Meadows. After extensive review of the facility and to ensure the safety of residents and staff, the Board of Directors determined closure was the best course of action. Operations ceased on September 30, 2019 and resident relocation and staff reduction processes were in accordance with Covia Guiding Principles and all applicable regulations. As of March 31, 2020, the following exit costs have been incurred to date:

	<u>Original Accrual</u>	<u>Incurred as of March 31, 2020</u>
Life Care contract terminations	\$ 5,271,870	\$ 2,014,731
Employee benefits	913,852	1,996,339
Other	<u>4,950,387</u>	<u>4,372,274</u>
Total	<u>\$ 11,136,109</u>	<u>\$ 8,383,344</u>

Management continues to maintain Los Gatos Meadows as a "facility" only with no residents being cared for. Continued maintenance is to remain in compliance with the Master Trust Indenture and bond financing. Management plans to continue to maintain the community until further redevelopment plans are solidified.

The Communities controls a supporting organization, Covia Foundation (the “Foundation”), a California nonprofit, public benefit corporation. The primary purpose of the Foundation is to raise funds on behalf of the Communities and to administer those funds for the needs of the Communities. The Communities is the sole corporate member of the Foundation and it is included in the consolidated financial statements of the Communities.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Covia Group is affiliated with Covia Affordable Communities (the “Affordable Communities”), established in 2000, and is its sole member. The Affordable Communities is the sole member of Community Housing, Inc. (“CHI”), which owns and operates a 220-apartment affordable senior residential community (“Lytton I”) and a 100-unit apartment complex, consisting of 50 residential care apartments and 50 independent living apartments (“Lytton II”). The Affordable Communities is also the sole corporate member of Lytton IV Housing Corporation (“Lytton IV”) which owns and operates a 51-apartment affordable senior residential community. CHI and Lytton IV are California nonprofit public benefit corporations located in Palo Alto. The Affordable Communities is also the sole member of three other California nonprofit public benefit corporations that own and operate affordable senior housing communities, namely, Oak Center Towers (“OCT”), a 196-apartment complex for elderly or disabled persons in Oakland, California; Presidio Gate Apartments (“PGA”), a 54-apartment complex for elderly or disabled persons in Santa Francisco, California; Jennings Senior Housing, Inc. (“JSH”), a 54-apartment complex for elderly or disabled persons in Santa Rosa, California, and Shire Memorial Center (“SMC”), a 99-apartment complex for low income and senior restricted community in San Jose, California, all of which are operated under Regulatory Agreements with the U.S. Department of Housing and Urban Development. OCT, in turn, is the general partner of Oak Centers, L.P. (“OCLP”), a California limited partnership organized as a low income housing tax credit vehicle that purchased the Project from OCT in order to refinance, rehabilitate, own, and operate OCLP. In April 2018, Affordable Communities entered into an affiliation agreement with Bethany Center Senior Housing (“BCSH”), which operates a 135 apartment complex for low income seniors located in San Francisco, California, and became the sole member. BCSH is the sole member of Bethany Center Foundation of San Francisco (“BCF”), a nonprofit public benefit corporation organized in 2007 to provide financial, administrative, programmatic, and other forms of support to its sole member. All of the affordable communities (collectively, the “Affordable Communities Affiliates”) operate under Regulatory Agreements with the U.S. Department of Housing and Urban Development. The consolidated financial statements of the Affordable Communities Affiliates are included in the accompanying consolidated financial statements of the Group.

Basis of consolidation – The accompanying consolidated financial statements include the accounts of the Group, the Communities, and the Affordable Communities (collectively referred to as the “Corporation”). All significant intercompany balances and transactions have been eliminated.

Performance indicator – “Net loss” as reflected in the accompanying consolidated statement of activities and changes in net assets is the performance indicator. Net loss includes all changes in net assets without donor restrictions other than, certain pension provisions, and gains or losses for extinguishment of debt.

Cash and cash equivalents – Cash and cash equivalents include cash held in demand deposit, sweep, savings accounts, and certain investments in highly liquid instruments with original maturities of three months or less.

Concentration of risk – Financial instruments potentially subjecting the Corporation to concentrations of credit risk consist primarily of bank demand deposits in excess of Federal Deposit Insurance Corporation limits.

Marketable securities – Marketable securities, including those held by the bond indenture trustee and restricted investments, are measured at fair value in the consolidated statement of financial position. Investment income or loss (including realized gains and losses on investments, interest, and dividends) is included in income unless the income or loss is restricted by donor or law.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Receivables – In addition to receiving payment from residents and from nonresidents for services provided, the Communities also receives payment for health services from insurance companies, Medicare, and other third-party payors. The Communities regularly reviews its accounts and provide allowances for uncollectible accounts. Also included in receivables are amounts due to the Communities under short-term notes receivable issued as consideration by the residents for all or part of their entrance fees. These notes receivable are generally due in 90-120 days.

Receivables for the Affordable Communities – The Affordable Communities receive payment from residents and Housing and Urban Development (“HUD”) for services provided. The Affordable Communities uses the specific write-off method to provide for doubtful accounts since past experience and management’s estimation indicates an adequate allowance for such accounts is immaterial.

Assets whose use is limited – Assets whose use is limited include assets restricted by bond indenture for construction and debt service. Such assets consist of cash and government securities carried at fair value (Note 2).

Restricted deposits and funded reserves for the Affordable Communities – Assets whose use is limited are funded reserves for operating, bond, replacement, and insurance. Such assets consist of cash and cash equivalents and corporate bond securities carried at fair value based on quoted market prices (Note 5). Restricted deposits and funded reserves are included in funded reserves for replacement and insurance in the consolidated statement of financial position.

Investments held in trust and restricted investments – Investment held in trust and restricted investments consist primarily of marketable securities which are restricted by the donor as to use (Note 2), and are measured at fair value in the consolidated statement of financial position. Investment income or loss (including realized gains and losses on investments, interest and dividends) is reported in the consolidated statement of activities and changes in net assets. Investment income is reported as an increase in net assets, depending on donor-imposed restrictions on the use of the income.

Property and equipment – Property and equipment are stated at cost. Acquisitions of \$5,000 or more and with a useful life of more than one year are capitalized. Depreciation is based upon straight-line method at rates based on the estimated useful lives of the various classes of property which range from 3 to 40 years. The Corporation periodically evaluates the carrying value of its long-lived assets for impairment. Based on this evaluation, no impairment was recorded for the year ended March 31, 2020.

Deferred charges and other assets – Deferred charges and other assets primarily represent predevelopment costs of \$8,447,975 as of March 31, 2020. Deferred charges and other assets also includes 457(f) investments of \$1,376,128 as of March 31, 2020.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Obligations under charitable annuity agreements – In exchange for irrevocable deferred gifts, the Foundation is required to pay a certain sum of money to the donor(s), and, consequently, a liability is reflected in obligations under annuity agreements. These liabilities are included in other liabilities in the accompanying consolidated statement of financial position. These types of arrangements are summarized as follows:

Charitable gift annuities – As consideration for certain gifts made to the Foundation, the Foundation enters into agreements to pay fixed annual payments to the donors for the life of the contract. In accordance with Section 11521 of the California Insurance Code, a liability has been established for the future payments under the outstanding annuity contracts. In 2020, the annual computation of the temporarily restricted amount of the gift is based upon a 2005 Group Annuity Mortality Table, with an interest assumption at approximately 3.10% per annum. Assets in excess of liabilities, if any, related to these annuities are available for the use of the Foundation with the approval of the California Department of Insurance.

Charitable remainder annuity trusts – Annuity trusts are trust agreements that provide for a fixed annual specified payment based on the initial appraised value of the trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed pursuant to the donor's intent.

Charitable remainder unitrust – Unitrusts are trust agreements that provide for a fixed annual payment of not less than 5% of the market value as of the first business day of the calendar year of trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed pursuant to the donor's intent.

Self-insurance liabilities – The Corporation is self-insured for workers' compensation and unemployment, which includes a reinsurance policy covering individual claims in excess of \$1,500,000 per incident at March 31, 2020. The undiscounted liability includes estimates of the ultimate costs for both known claims and claims incurred but not reported based on actuarial studies. At March 31, 2020, the Corporation had \$3,869,949 accrued related to such claims. This amount is included in self-insurance and other liabilities in the consolidated statement of financial position. Any related insurance recovery receivables are recorded under deferred charges and other assets in the consolidated statement of financial position. There was no recovery receivable recorded at March 31, 2020.

Professional liability insurance – The Communities has secured claims-made policies for malpractice and general liability insurance with self-insured retentions over the past three years of \$35,000 for each claim. No accrual has been made for the estimated costs of known claims incurred prior to March 31, 2020, which is within the retention amount. In addition, no accrual has been made at March 31, 2020, for estimated costs of claims incurred but not yet reported. Accounting principles generally accepted in the United States of America require that a healthcare organization disclose the estimated costs of claims in the period of the incident, if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is unable to reasonably estimate the range of future costs, if any, of unasserted claims arising from incidents in current and prior periods. Management believes that any unreported liability will not have a material adverse effect on the Group's financial position or results of operations.

Obligation to provide future services – If the present value of estimated future cash outflows to provide services to residents exceeds the present value of estimated future cash inflows from residents, a liability is recognized. The Communities has determined that no accrual for the obligation to provide future services and use of facilities to current residents is required at March 31, 2020. The discount rate used to calculate the obligation to provide future services is 5.5%.

Net assets – The Corporation classifies net assets as follows:

Net assets without donor restrictions represent unrestricted resources available to support the Corporation's operations and temporarily restricted resources which have become available for use by the Corporation in accordance with the intention of the donor.

Net assets with donor restrictions represent contributions that are limited in use in accordance with temporary donor-imposed stipulations. These stipulations may expire with time or may be satisfied by the actions of the Corporation according to the intention of the donor. Upon satisfaction of such stipulations, the associated net assets are released from net assets with donor restrictions and recognized as net assets without donor restrictions. Net assets with donor restrictions are available primarily for assistance and capital projects as designated by the donors.

Net assets with donor restrictions also represent net assets subject to donor imposed stipulations that they be maintained by the Corporation in perpetuity. The Board of Directors has interpreted California's Prudent Management of Institutional Funds Act ("CPMIFA"), as requiring the preservation of the fair value of the original gift as of the gift date of permanently restricted donations absent explicit donor stipulations to the contrary. As a result of this interpretation, the Corporation classifies as net assets with donor restrictions (a) the original value of the gifts donated to the permanent endowment, (b) the original value of the subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining portion of the donor-restricted endowment fund that is not classified in the permanent endowment is available for appropriation for expenditure by the Communities in a manner consistent with the standard for expenditure prescribed CPMIFA. The endowment fund has a spending policy of appropriating all of the net income earned on the investment of these funds for distribution according to the instructions of the donor at the time the gift is made. The original value of the gifts donated to the permanent endowment is to be classified as permanently restricted and any earnings are classified as temporarily restricted until appropriated for expenditure. The spending policy and return objective is supported by maintaining a strategic asset allocation of 50% equity securities and 50% fixed income securities and further enhanced by allowing up to half of the fixed income allocation to be invested in securities with greater risk and potential return such as high yield, global, and emerging market debt.

Repayable and refundable entrance fees – The Communities offers a variety of contract options, from nonrepayable entrance fees to repayable entrance fees. Repayable and refundable entrance fees have been recorded as a liability in the consolidated statement of financial position. Entrance fees on repayable 75%, 80%, and 90% Classic Continuing Care and Lifetime Contracts are repayable upon contract termination, resale, and reoccupancy. The repayable portion of entrance fees as of March 31, 2020, was \$72,078,079. Actual refunds of such entrance fees were \$6,432,903 for the year ended March 31, 2020.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

It is management's expectation that future refunds will not have a significant effect on the consolidated financial statements.

As a part of the transaction with Sunrise Webster House, L.P. ("Sunrise") in September 2011, Webster House assumed Sunrise's liabilities for the repayments of entrance fees in the amount of \$9,768,013. No amortization is recognized with respect to these continuing care contracts purchased in the acquisition. As of March 31, 2020, this liability was \$2,362,440, as included in the repayable entrance fees in the consolidated statement of financial position. Actual refund was \$2,440,500 for the year ended March 31, 2020.

Revenue recognition – The Corporation has elected the lessor practical expedient ASU 2018-11, *Leases*, Targeted Improvements ("ASU 2018-11") within ASC 842, *Leases*, and recognizes, measures, presents, and discloses the revenue for services under their senior living residency agreements based upon the predominant component, either the lease or nonlease component, of the contracts. The Communities has assessed the predominant component of independent living, assisted living and memory care monthly lease payment to be for the monthly rent of the apartment, as other services such as meals and housekeeping would be insignificant. The Communities will therefore recognize these revenue streams as lease income under ASC 842. The Communities further determined that the entrance fee relates to the stand ready obligation to provide health care services and does not relate to the IL, AL or MC unit (or lease asset), therefore is not part of the calculation of lease payment. The Communities has assessed the predominant component of skilled nursing payments to be health care services and not apartment rent, and therefore have continued to recognize revenue under this service line as revenue under ASC 606. The Corporation revenue streams consist of:

Resident services revenue

Resident services revenue is reported at the amount that reflects the consideration to which the Communities expect to be entitled to in exchange for the services provided. Under the Communities' resident services agreement, the Communities provide senior living services to residents for a stated monthly fee.

Nursing center revenue

Nursing center revenue on the consolidated statements of activities and changes in net assets includes revenue for assisted living and memory care of \$6,902,320 for the year ended March 31, 2020. The remaining nursing center revenue is reported at the amount that reflects the consideration to which the Communities expect to be entitled to in exchange for providing care. These amounts are due to patients, third-party payors (including health insurers and government programs) and others and includes variable consideration for retroactive adjustments due to settlement of audits, reviews and investigations. Generally, the Communities bill patients and third-party payors at the end of the month in which services are provided or in the month following. Revenue is recognized in the month in which the performance obligations are satisfied.

Revenue for nursing center performance obligations satisfied over time is recognized based on actual charges incurred. The Communities believe this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to residents in our skilled nursing facilities. The Communities measure the performance obligation from admission into the skilled nursing facility to the point when it is no longer required to provide health care services to that resident, which is typically at the time of discharge.

The Communities determine the transaction price based on standard charges for goods and services provided reduced by contractual adjustments provided to third-party payors. The Communities determine their estimate of contractual adjustments based on contractual agreements and historical experience.

Agreements with third-party payors provide for payments at amounts less than established charges. A summary of the payment arrangements with major third-party payors follows:

- Medicare: Certain health care services are paid at prospectively determined rates per discharge based on clinical, diagnostic or other factors. Certain services are paid based on a cost-reimbursement methodologies subject to certain limits. Physical services are paid based upon established fee schedules.
- Secondary Insurance: Payment agreements with certain commercial insurance carriers, health maintenance organizations and preferred provider organizations provide for payment using prospectively determined rates per discharge, discounts from established charges, and prospectively determined daily rates.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations, which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge the Communities' compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims or penalties would have upon the Communities.

Settlements with third-party payors for retroactive adjustments due to audits, review or investigations are considered variable consideration and are included in the determination of estimated transaction price for providing patient care. These settlements are estimated based on the terms of the payment agreement with the payor, correspondence from the payor and the Communities' historic settlement activity, including an assessment to ensure that it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Estimated settlements are adjusted in future periods as adjustments become known (that is, new information becomes available), or as years are settled or are no longer subject to such audits, reviews and investigations. Adjustments arising from a change in the transaction price were not significant in 2020.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Generally, patients who are covered by third-party payors are responsible for related deductibles and coinsurance, which vary in amount. The Communities estimate the transaction price for patients with deductibles and coinsurance based on historical experience and current market conditions. The initial estimate of the transaction price is determined by reducing the standard charge by any contractual adjustments determined on a resident by resident basis. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to nursing center revenue in the period of the change. Subsequent changes that are determined to be the result of an adverse change in the resident's ability to pay are recorded as bad debt expense. Bad debt expense for the year ended March 31, 2020, was not significant.

The following table shows nursing center revenue by line of service:

	Year ended March 31, 2020
Nursing Center line of service	
Medicare and Medicaid programs	\$ 18,183,860
Other services, private pay and other third party payer SNF service	12,684,450
	<u>\$ 30,868,310</u>

Amortization of entrance fees

The Communities receive an upfront entrance fee when the basic residency agreement is signed. The basic residency agreement is inclusive of care and services which is dictated by specific contract types and can vary accordingly. All contracted residents are provided with services such as housekeeping, number of meals, 24-hour security, defined apartment maintenance, utility and prearranged transportation. In exchange for this fixed entrance fee and the monthly resident service fees the resident has the right to occupy a unit and continue to live in the Communities. The basic residency agreement creates a performance obligation to be satisfied over the resident's remaining life at the Communities. The Communities recognize the revenue associated with the entrance fee using a straight-line method over the actuarially determined estimated life of each resident. Resident life expectancies are reevaluated annually and any changes in the revenue as a result of that revaluation will be recognized in the period noted. As of March 31, 2020, the Communities had \$169,054,600 in deferred revenue from entrance fees to be recognized as the performance obligations are satisfied. See Note 13 for changes in the unearned entrance fee revenue for the years ended March 31, 2020. The performance obligation is satisfied upon termination of the residency agreement.

Management fee revenues

The Communities provide management services to third parties and affiliated organizations. Under these management services agreements, the Communities oversee and manage the general operations of the communities. Management fee revenue is recognized in the month in which it's earned in accordance with the terms of the individual agreements. Revenue recognized under these agreements was \$390,000 for the year ended March 31, 2020.

Affordable housing fees and rents revenues

Affordable housing fees and rents consists of rental income and contract services revenue. Rental income is shown at its maximum gross potential. Rental income is derived from rental rates subject to HUD approval. Vacancy loss is shown as a reduction in rental income. Rental units occupied by employees are included in rental income and as an expense of operations. Other income includes fees for late payments, cleaning, damages, laundry facilities, and other charges and is recorded when earned. Contract services revenue is received when customers simultaneously receive and consume the benefits provided by the Affordable Communities' performance required under various agreements which entail providing Resource Service Coordinators to support residents at the customer locations. The revenue is recorded as earned when services are provided. CAC recognizes revenue for services under the resident agreements in accordance with the provisions of ASC Topic 842, *Leases*, which is recognized as the services are performed.

Contribution income – Other than deferred gifts such as charitable gift annuities or charitable remainder annuity trusts, contributions are recognized as revenue when received or unconditionally promised.

Statutory reserve requirements – The Communities is subject to statutory reserve requirements. At March 31, 2020, the Communities' reserves, as calculated in accordance with the Continuing Care Contract Statutes of the California Health and Safety Code, were in excess of such requirements.

Tax-exempt status – The Corporation and related enterprises are not-for-profit corporations under Internal Revenue Code Section 501(c)(3) and have been granted tax-exempt status by the Internal Revenue Service and the California Franchise Tax Board.

The Corporation adopted the provisions of Accounting Standards Codification ("ASC") Topic 740-10, *Income Taxes*, relating to accounting for uncertain tax positions on April 1, 2009, which had no financial statement impact to the Corporation. The Corporation recognizes the tax benefit from uncertain tax positions only if it is more likely than not that the tax positions will be sustained on examination by the tax authorities, based on the technical merits of the position. The tax benefit is measured based on the largest benefit that has a greater than 50% likelihood of being realized upon ultimate settlement. The Corporation recognizes interest and penalties related to income tax matters in operating expenses. At March 31, 2020, there were no such uncertain tax positions.

Use of estimates – The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. Major items requiring estimates and assumptions include deferred revenues and amortization of entrance fees, accrued self-insurance liabilities, useful lives of fixed assets, obligation to provide future services, obligation for payment to trust beneficiaries, valuation of financial instruments, and valuation of pension and retirement obligations.

Property taxes – The Corporation has filed and received exemptions from certain property taxes in accordance with Section 214 of the California Code.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Fair value of financial instruments – Unless otherwise indicated, the fair value of all reported assets and liabilities that represent financial instruments approximates their carrying values. The Corporation's policy is to recognize transfers in and transfers out of Level 1 and Level 2 as of the end of the reporting period. Liabilities for payment to trust beneficiaries and deferred revenue from investment contracts are classified as Level 2 in the fair value hierarchy. Please see Note 2 for fair value hierarchy disclosures of marketable securities and assets whose use is limited, which includes assets held by bond indenture trustee and restricted for construction and debt service, funded reserves for replacement and insurance, other reserves, investments held in trust, and restricted investments.

Noncontrolling interest – The Financial Accounting Standards Board ("FASB") issued ASC 958-810, *Consolidation of Not-for-Profit Entities*, requiring that a recognized noncontrolling interest in another entity, whether a business or a not-for-profit entity, be measured at its fair value at its acquisition date. In addition, this statement also provides guidance on the presentation of noncontrolling interest in a not-for-profit entity's financial statements. Noncontrolling interest in net assets of consolidated subsidiaries is reported as a separate component of the appropriate class of net assets in the consolidated statement of financial position. Included below is a table to reconcile the beginning and the end of period carrying amounts of the Group's interest and noncontrolling interest for net assets:

	Controlling interest	Noncontrolling interest	Total
Balance , March 31, 2019	\$ 101,996,940	\$ 1,774,857	\$ 103,771,797
Net loss	(12,092,528)	(512,819)	(12,605,347)
Other decrease in net assets without donor restrictions	(13,523,003)	-	(13,523,003)
Balance , March 31, 2020	<u>\$ 76,381,409</u>	<u>\$ 1,262,038</u>	<u>\$ 77,643,447</u>

New accounting pronouncements – In January 2016, the FASB issued Accounting Standards Update ("ASU") No. 2016-01, *Recognition and Measurement of Financial Assets and Financial Liabilities, Financial Instruments – Overall* (Subtopic 825-10). The standard requires entities to measure equity investments that are not accounted for under the equity method or do not result in consolidation to be recorded at fair value and recognize any changes in fair value in the performance indicator. The new standard was adopted by the Corporation on January 1, 2020. The standard requires the use of the cumulative effect transition method, except for equity securities without readily determinable fair values, for which the standard requires the application of the prospective transition method. As a result, unrealized losses of \$18,132,140 for the year ended March 31, 2020, are presented within net loss. Management determined no cumulative effect adjustment was necessary as of April 1, 2019. There was no net impact to change in total net assets.

The Corporation also adopted FASB issued ASU No. 2016-18, *Statement of Cash Flows* (Topic 230), in the current year which requires the consolidated statement of cash flows to explain the change during the period in the total cash, cash equivalents, and amounts generally described as restricted cash or restricted cash equivalents. As a result of adopting ASU 2016-18, the Corporation revised the presentation of cash, cash equivalents, and restricted cash on the consolidated statements of cash flows for April 1, 2019.

In March 2017, the FASB issued ASU 2017-07, *Compensation – Retirement Benefits (Topic 715): Improving the Presentation of Net Periodic Pension Cost and Net Periodic Postretirement Benefit Cost*. The amendments in this update require that an employer disaggregate the service cost component from the other components of net benefit cost and provide explicit guidance on how to present the service cost component and the other components of net benefit cost in the consolidated statements of operations. The Corporation adopted ASU 2017-07 as of and for the year ended March 31, 2020, resulting in a breakout of other components of net periodic benefit cost in the consolidated statement of activities and changes in net assets.

The Corporation also adopted FASB issued ASU No. 2018-08, *Not-for-Profit-Entities (Topic 958): Clarifying the Scope and the Accounting Guidance for Contributions Received and Contributions Made* (“ASU 2018-08”), in the current year which assists entities in (1) evaluating whether transactions should be accounted for as contributions (nonreciprocal transactions) within the scope of Topic 958, *Not-for-Profit-Entities*, or as exchange (reciprocal) transactions subject to other guidance and (2) determining whether a contribution is conditional. Based on the assessment of contributions received during the year, the adoption of ASU 2018-08 did not have a significant impact on the consolidated financial statements.

In February 2016, the FASB issued ASU No. 2016-02, *Leases (Topic 842)*. ASU No. 2016-02 was issued to increase transparency and comparability among organizations by recognizing lease assets and lease liabilities on the balance sheets and disclosing key information about leasing arrangements. Under the provisions of ASU No. 2016-02, a lessee is required to recognize a right-to-use (ROU) asset and lease liability, initially measured at the present value of the lease payments, in the statement of financial position. In addition, lessees are required to provide qualitative and quantitative disclosures that enable users to understand more about the nature of the Corporation's leasing activities. The Corporation make certain assumptions and judgements in determining the discount rate. As most of the Corporation' leases do not provide an implicit rate, the Corporation use the risk free rate in determining the present value of lease payments. The new standard provides a number of optional practical expedients in transition. The Corporation elected the short-term lease recognition exemption for all leases that qualify. This means, for those leases that qualify, the Corporation do not recognize ROU assets or lease liabilities and includes not recognizing ROU assets or lease liabilities for existing short-term leases of those assets in transition. See Note 7.

In August 2018, the FASB issued ASU No. 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework – Changes to the Disclosure Requirements for Fair Value Measurements* (“ASU 2018-13”) which eliminates, adds and modifies certain disclosure requirements for fair value measurements. ASU 2018-13 is effective for the Corporation for the year ending March 31, 2021, and is permitted to early adopt either the entire standard or only the provisions that eliminate or modify requirements. The adoption of ASU 2018-13 is not expected to have a material impact on the Corporation' consolidated financial statements.

NOTE 2 – FAIR VALUE

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy is also established which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Level 2 – Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in active markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

As required by ASC Topic 820, the investments are classified within the level of the lowest significant input considered in determining fair value. In evaluating the level at which the Corporation's investments have been classified, the Corporation has assessed factors including, but not limited to the ability to redeem at net asset value ("NAV") at the measurement date and the existence or absence of certain restrictions at the measurement date. In accordance with this guidance, if the Corporation has the ability to redeem from the investment at the measurement date or in the near-term at NAV, the investment would not be required to be classified in the fair value hierarchy. Alternatively, if the Corporation will never have the ability to redeem from the investment or is restricted from redeeming for an uncertain or extended period of time from the measurement date, the investment would be classified as a Level 3 fair value measurement.

Following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying consolidated statement of financial position at March 31, 2020, as well as the general classification of such instruments pursuant to the valuation hierarchy.

Marketable securities – Where quoted market prices are available in an active market, securities are classified within Level 1 of the valuation hierarchy. Level 1 securities include exchange-traded equities and cash equivalents included in money market funds. Level 2 securities include certificate of deposit and nonpublicly exchanged equity securities. Asset holdings are reviewed within the investment managers' audited financial statements, interim financial statements, and fund manager communications, for purposes of assessing valuation.

The following table presents the fair value measurements of assets recognized in the accompanying consolidated statement of financial position measured at fair value on a recurring basis and the level within the ASC Topic 820 fair value hierarchy in which the fair value measurements fall at March 31:

Description	Level 1	Level 2	Level 3	Balance at March 31, 2020
Cash equivalents	\$ 17,966,861	\$ -	\$ -	\$ 17,966,861
Fixed income bonds				
Government bonds	843,616	-	-	843,616
Corporate bonds	719,076	-	-	719,076
Equity securities				
U.S. Equities	76,473,623	-	-	76,473,623
Non-U.S. Equities	28,980,201	-	-	28,980,201
Fixed income securities	30,029,726	-	-	30,029,726
Total	<u>\$ 155,013,103</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 155,013,103</u>
Investments valued at NAV:				
Limited partnership				\$ 8,971,062
Dynamic asset allocation overlay				616,133
Total investments valued at NAV				<u>\$ 9,587,195</u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

There were no significant transfers in or out of Level 1 and Level 2 fair value measurements for the year ended March 31, 2020.

The following table provides the fair value and redemption terms and restrictions for investments redeemable at net asset value at March 31, 2020:

Major Category	Fair value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Limited partnership ^(a)	\$ 8,971,062	-	Quarterly	60 business days
Dynamic asset allocation overlay ^(b)	\$ 616,133	-	Daily	Daily

^(a) This category invests in multi-asset classes: (1) Common Stock that are traded on a national securities exchange; (2) Fixed Income Securities include bank loans, high yield corporate bonds, and restricted high yield corporate bonds; (3) Forward Foreign Currency Contracts include forward foreign currency contracts entered for hedging against fluctuations in foreign exchange rates. The fair values of investments in this category have been estimated using the NAV per share of investments at the percentage of the Communities ownership shares, which is 1.98% at March 31, 2020.

^(b) This category invests in a diversified portfolio of securities and other financial instruments, including derivative instruments that provide exposure to a variety of asset classes. The investment objective is to manage the volatility of an equity or fixed-income oriented asset allocation over the long-term, as part of the overall asset allocation managed by Bernstein.

The Corporation has a finance and investment committee that meets at least quarterly with management and the investment advisors to review the strategy and ongoing performance of all investments, including analyzing changes in fair value measurements from period to period.

Marketable securities at fair value consisted of the following at March 31, 2020:

Cash equivalents	\$ 17,966,861
Marketable securities	137,046,242
Investments measured at NAV	<u>9,587,195</u>
Total	164,600,298
Less assets held by bond indenture trustee and restricted for construction and debt service	(14,269,810)
Less marketable securities included in restricted investments and investments held in trusts	<u>(9,957,342)</u>
Total marketable securities	<u>\$ 140,373,146</u>

According to the trust agreements for the Series 2011 Certificates, Series 2012 Certificates, and the Series 2015 Certificates, certain funds are to be maintained and held by a trustee, primarily for debt service. Such funds, at fair value of \$14,269,810, were classified as assets whose use are limited and were invested in government securities at March 31, 2020. The portion of these assets available to satisfy current debt service is shown as a current asset in the accompanying consolidated statement of financial position.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 3 – PROPERTY AND EQUIPMENT

Property and equipment consisted of the following at March 31, 2020:

Building and building improvements	\$ 580,389,479
Furniture and equipment	34,270,021
Motor vehicles	<u>250,997</u>
Total	614,910,497
Less accumulated depreciation	<u>(329,886,530)</u>
Total	285,023,967
Land and land improvements	63,186,323
Construction in progress	<u>6,467,910</u>
Total	<u>\$ 354,678,200</u>

Depreciation expense included in operations was \$26,330,737 for the year ended March 31, 2020.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 4 – LONG-TERM DEBT

Long-term debt consisted of the following at March 31, 2020:

Covia Communities

ABAG Finance Authority for Nonprofit Corporations, Refunding Revenue Certificates of Participation, Series 2011, dated October 1, 2011, in the original amount of \$62,200,000; interest from 3.00% to 6.125% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2022, July 1, 2024, July 1, 2026, July 1, 2031, and July 1, 2041.	\$ 54,200,000
ABAG Finance Authority for Nonprofit Corporations, Revenue Certificates of Participation, Series 2012A, dated December 20, 2012, in the original amount of \$68,835,000; interest at 5.00% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2032, July 1, 2042, and July 1, 2047.	68,835,000
ABAG Finance Authority for Nonprofit Corporations, Refunding Revenue Certificates of Participation, Series 2012B, dated December 20, 2012, in the original amount of \$19,870,000; interest from 2.00% to 5.00% paid semiannually; principal paid annually at July 1; maturing in installments at July 1, 2018, July 1, 2019, July 1, 2020, July 1, 2021, July 1, 2022, July 1, 2023, July 1, 2024, and July 1, 2025.	8,865,000
Private bank placement with JPMorgan, California Statewide Communities Development Authority, Revenue Refunding Bonds, Series 2015, dated June 1, 2015, in the original amount of \$8,718,000; variable interest at 67% of 1 month LIBOR plus 97 basis points paid semiannually; principal paid annually. The rate as of March 31, 2020 was 2.37%.	7,739,000
Promissory note with The Board of Pensions of the Presbyterian Church, dated October 26, 2015, in the original amount of \$11,200,000; interest at 5% per annum paid monthly; principal paid at maturity November 1, 2021	11,200,000

Covia Affordable Communities

HUD Section 202 Capital Advance, dated February 1, 2007, secured by first deed of trust on the property, bearing no interest. The advance is a forgivable loan and shall only be repayable if the Project fails to remain available to very low-income households as approved by HUD for a 40-year period from March 2008 through February 2048.	6,870,900
Housing Authority of the City of Santa Rosa, note, dated February 10, 2006, secured by second deed of trust on the property, bearing 3% simple interest per annum from the date of each advance beginning February 2004. Payment of principal and interest is to be made from 75% of annual "Surplus Cash," if any (as defined by the loan agreement), paid only from Residual Receipts and only with the approval of HUD. The balance of principal and accrued interest is due at maturity in February 2048. The 42-year term is designed to coincide with the closing of the HUD Capital Advance period.	4,984,708
Affordable Housing Program ("AHP") direct subsidy repayment to Sonoma National Bank, dated November 1, 2006, secured by third deed of trust on the property, bearing no interest. The subsidy will be forgiven in full, June 1, 2023, as long as the property has maintained affordability limits as required by the AHP Program.	216,000

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Covia Affordable Communities (continued)

California Statewide Communities Development Authority Variable Rate Demand Multifamily Housing Revenue Bonds 2005 Series L, dated June 1, 2005, in the original amount of \$11,450,000 which was reduced to \$3,820,000 on November 15, 2007. Bonds bear a variable rate of interest determined weekly by the remarketing agent, payable monthly, and mature on December 15, 2037, secured by the borrower's leasehold interest in land and ownership of improvements. The interest rate at March 31, 2020 was 1.5%.	3,020,000
HUD Section 202 Capital Advance, dated November 26, 1993, secured by first deed of trust on real property, bearing no interest. The advance is essentially a forgivable loan and shall only be repayable if the Project fails to remain available to very low-income households as approved by HUD through June 1, 2035.	5,738,600
City of Palo Alto note, dated November 30, 1993, bearing 5% simple interest per annum beginning December 1, 1995. Payments may only be made from residual receipts with the approval of HUD. The balance of principal and interest is due at the maturity in June 1, 2035. The term is designed to coincide with the closing of the HUD Capital Advance period. At this time, the City has an option to acquire the Project in exchange for cancellation of the principal and accrued interest outstanding at that date.	488,924
Mortgage loan payable insured by the Federal Housing Administration under the provisions of Section 207, pursuant to Section 223(f) of the National Housing Act, dated June 1, 2013, with an initial term of 35 years, secured by a first deed of trust on real property, bearing interest of 3.22% per annum. Principal and interest are payable in monthly installments of \$22,563, due in full on June 1, 2048.	5,018,564
U.S. Department of Housing and Urban Development Section 221(d)(4) mortgage loan agreement with CBRE loan services for borrowings up to \$23,533,400 for the construction and rehabilitation of Bethany Center project. Note dated January 1, 2017, with an initial term of 41 years, bearing interest of 4.11% per annum. Principal and interest are due in full on October 1, 2058. For the year ended March 31, 2020, draws on the loan totaled \$23,194,943.	23,194,943
Total	200,371,639
Less debt issuance costs, net	(2,599,876)
Plus bond premium, net	5,376,853
	203,148,616
Less current portion	(3,436,788)
Long-term debt	\$ 199,711,828

The Series 2011, 2012, and 2015 bonds are secured by a security interest in the gross revenues of Covia Communities Obligated Group and a mortgage and security interest in the real and personal property pursuant to the Communities' deeds of trust.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Costs incurred in connection with the issuance of debt are amortized over the life of the related debt using the effective interest method. Amortization of debt issuance cost for the Communities for the year ended March 31, 2020, was \$99,682, as included in interest expense in the consolidated statement of activities and changes in net assets. OCT has incurred \$481,212 in the bond and debt issuance costs for the Reimbursement Agreement for California Statewide Communities Development Authority ("CSCDA") Variable Rate Demand Multifamily Housing Revenue Bonds 2005 Series (the "Revenue Bonds 2005 Series"), which will be amortized over a 40-year and 17.5-year lives, respectively. Amortization expense for the year ended March 31, 2020, was \$4,854, included in interest expense in the consolidated statement of activities and change in net assets. PGA incurred \$302,549 in debt issuance costs with the refinancing of its HUD debt, which is amortized over a 35-year life. Amortization expense for the year ended March 31, 2020, was \$57,628, included in interest expense in the consolidated statement of activities and change in net assets. BCSH incurred \$176,092 in debt issuance costs with the financing of its FHA debt, which will be amortized over the life of the loan. Amortization has not commenced as of the year ended March 31, 2020.

The Communities is subject to certain financial covenants related to its Series 2011, 2012, and 2015 bonds. Management believes that the Communities was in compliance with these financial covenants as of March 31, 2020.

Annual maturities of long-term debt consist of the following:

Year Ending March 31,

2021	\$ 3,436,788
2022	14,718,535
2023	3,591,225
2024	3,665,495
2025	3,744,368
Thereafter	<u>171,215,228</u>
	<u>\$ 200,371,639</u>

NOTE 5 – RESTRICTED DEPOSITS AND FUNDED RESERVES FOR OCT AND THE AFFORDABLE COMMUNITIES

Operating reserves – OCLP is required to maintain two operating reserve funds.

Pursuant to the Partnership Agreement, on November 15, 2007, the General Partner funded an interest-bearing operating reserve account in the amount of \$334,555. The operating reserve funds shall be maintained throughout the term of the Partnership. Any withdrawal from the operating reserve must be approved by OCLP.

Pursuant to the terms of the Reimbursement Agreement for California Statewide Communities Development Authority ("CSCDA") Variable Rate Demand Multifamily Housing Revenue Bonds 2005 Series (the "Revenue Bonds 2005 Series"), OCLP is required to make monthly deposits to a separate operating reserve account beginning November 15, 2007 (the date of conversion of the Permanent Financing Phase). Monthly payments are determined by the Loan Servicer based on six months of debt service coverage on the loan and shall be adjusted annually.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Replacement reserves – In accordance with the HUD regulatory agreement, PGA, JSH, Lytton Gardens I, Lytton Gardens II, and Lytton IV Housing Corporation are required to maintain a reserve for replacement and repair of property and equipment. The reserves are required to be funded in the amount of \$73,014 per month. Changes occur to the funded amount in conjunction with changes to the chargeable rents. The funds for Lytton Gardens II, Lytton IV Housing Corporation, and JSH are held by the mortgagee in trust in interest-bearing accounts and can be used for replacement of property and equipment with the approval of HUD. The funds for Lytton Gardens I are held by the mortgagor, GMAC, in an interest-bearing account and also require approval of HUD to be used for replacement of property and equipment. The Affordable Communities replacement reserves in funded reserves for replacement and insurance is \$10,204,618 as of March 31, 2020.

Insurance and tax impounds – PGA, JSH, Lytton Gardens I, Lytton Gardens II, and Lytton IV Housing Corporation are required to make monthly impound payments to the mortgagee for mortgage insurance, property insurance, and real estate taxes to be used for those purposes.

Residual receipts – The respective Affordable Subsidiaries are required to deposit surplus cash within 90 days after year end in a separate, interest-bearing account. The funds can be used for the operating or certain debt service needs of the respective Affordable Subsidiaries property with the prior written approval of HUD. The Affordable Communities residual receipts in funded reserves for replacement and insurance is \$416,106 as of March 31, 2020

Segregated repair reserves – In accordance with FHA Insured Loan under the provisions of Section 207, pursuant to Section 223(f) of the National Housing Act, PGA is required to maintain deposits in a segregated repair reserve fund. The funds are to be used for replacement and maintenance of the property. All expenditures require prior approval from HUD. The Affordable Communities segregated repair reserve in funded reserves for replacement and insurance is \$1,028,491 as of March 31, 2020

NOTE 6 – NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions in the consolidated financial statements at March 31, 2020, are available for the following:

Assistance fund	\$ 1,252,434
Community fund and other	7,415,570
Deferred contribution to pooled annuities and trusts	<u>317,078</u>
Total net assets without donor restrictions	<u>\$ 8,985,082</u>

Assistance funds have been established from donations and bequests. Management defines assistance provided to residents as the difference between monthly maintenance fees and the fees charged to assisted residents. The total cost of resident assistance was \$1,918,428 for the year ended March 31, 2020. Total resident assistance covered by the Foundation was approximately \$1,885,547 for the year ended March 31, 2020.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 7 – OPERATING LEASES

The Communities lease office space which is recorded as an operating lease. The current lease term expires on August 2025 with an optional 5 years to extend. After adoption of ASC 842, right of use asset and lease liability of \$5,515,898 and \$5,921,797, respectively was recorded in the consolidated statement of financial position as of March 31, 2020. The maturity and future minimum commitments of total operating lease obligations at March 31, 2020, are as follows:

Year Ending March 31,

2021	\$ 606,485
2022	624,680
2023	642,965
2024	662,086
2025	682,604
Thereafter	<u>4,086,612</u>
Total lease payments	7,305,432
Less present value discount:	<u>(1,383,635)</u>
Lease liability	<u>\$ 5,921,797</u>

Lease expenses are recorded on a straight-line basis over the life of the lease as included in interest expense in the consolidated statement of activities and changes in net assets.

The following tables include supplemental lease information as of and for the year ended March 31, 2020:

Weighted average remaining lease term (in years)	10.60
Weighted average discount rate	4%

NOTE 8 – RETIREMENT PLAN

The Communities has a defined benefit pension plan which provides benefits under retirement annuity contracts. Salaried and hourly employees who have attained the age of 21 and have performed 1,000 hours of service in the plan year are eligible to participate in the plan upon completion of one-year continuous employment. Benefits are based on years of service and compensation prior to retirement. The Communities makes all contributions, which are funded based on actuarially determined amounts. Amortization is based on the average remaining lives of active employees.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

A reconciliation of the plan's benefit obligations, fair value of assets, funded status, and amounts recognized in the Corporation's consolidated statement of financial position is as follows as of March 31, 2020:

Change in benefit obligation:	
Benefit obligation, beginning of year	\$ 54,677,923
Service cost	2,166,083
Interest cost	2,048,312
Actuarial loss	7,192,479
Benefits paid	<u>(2,394,270)</u>
Benefit obligation at measurement date	<u>63,690,527</u>
Change in plan assets:	
Fair value of plan assets, beginning of year	47,482,953
Actual return on plan assets	(3,464,962)
Employer contribution	2,400,000
Benefits paid	<u>(2,394,270)</u>
Fair value of plan assets at measurement date	<u>44,023,721</u>
Funded status at measurement date	<u><u>\$ (19,666,806)</u></u>
Amounts recognized in the statement of financial position consist of:	
Noncurrent liabilities	<u><u>\$ (19,666,806)</u></u>
Amounts recognized in net assets without donor restrictions consist of:	
Unrecognized net actuarial loss	
Unrecognized prior service cost	\$ 28,401,122
	<u>(32,723)</u>
Amounts recognized in net assets without donor restrictions at measurement date	<u><u>\$ 28,368,399</u></u>
Accumulated benefit obligation	<u><u>\$ 62,204,721</u></u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The components of net periodic benefit cost included as part of employee costs in the Corporation's consolidated statement of activities and changes in net assets are as follows for the year ended March 31, 2020:

Service cost	\$ 2,166,083
Interest cost	2,048,312
Expected return on plan assets	(3,550,541)
Amortization of prior service credit	741,951
Amortization of net loss	<u>(57,002)</u>
Net periodic benefit cost	<u>1,348,803</u>
Other changes in plan assets and benefit obligations recognized in net assets without donor restrictions:	
Net actuarial loss	14,207,982
Prior service cost	(741,951)
Amortization of net loss	<u>57,002</u>
Amounts recognized in net assets without donor restrictions at measurement date	<u>13,523,033</u>
Total recognized in net periodic benefit cost and net assets without donor restrictions at measurement date	<u><u>\$ 14,871,836</u></u>

The following assumptions were used for the March 31, 2020, measurement date:

Actuarial present value of the benefit obligation	
Weighted-average discount rate	3.10%
Rate of increase in future compensation levels	3.00%
Long-term rate of return on plan assets	7.50%
Net periodic benefit cost	
Weighted-average discount rate	3.85%
Rate of increase in future compensation levels	3.00%
Long-term rate of return on plan assets	7.50%

The expected long-term rate of return on plan assets of 7.5% is based on an investment allocation of 65% equities, 30% fixed income securities and 5% real estate securities.

Pension plan assets as of the March 31, 2020, measurement date were as follows:

Equity securities	65%
Fixed income securities	30%
Real estate securities	<u>5%</u>
Total	<u><u>100%</u></u>

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

The fair value of the Communities' pension plan assets as of March 31, 2020, by asset category are as follows:

Description	Level 1	Level 2	Level 3	Total
Mutual funds				
Small/mid-U.S. equity	\$ 1,531,260	\$ -	\$ -	\$ 1,531,260
International equity	13,191,853	-	-	13,191,853
Fixed income	13,451,282	-	-	13,451,282
Total mutual funds	<u>\$ 28,174,395</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 28,174,395</u>
Investments valued at NAV:				
Pooled separate accounts				<u>\$ 15,849,326</u>

Pooled separate accounts ("PSAs") – Includes investment in large and small cap funds that invests mainly in domestic equity and a real estate fund. The PSAs can be redeemed at NAV as of the measurement date, redeemed on a daily basis, and unfunded commitments are not applicable to PSAs. Investments are valued using the NAV per share of the fund. The NAV per share is based on the value of the underlying assets owned by the fund, minus its liabilities, divided by the shares outstanding.

Explanation of investment strategies and policies – The Communities employs a total return investment approach whereby a mix of equities and fixed income investments are used to maximize the long-term return of plan assets for a prudent level of risk. The intent of this strategy is to minimize plan expenses by outperforming plan liabilities over the long run. Risk tolerance is established through careful consideration of plan liabilities, plan funded status, and corporate financial condition. The investment portfolio contains a diversified blend of equity and fixed income investments. Furthermore, equity investments are diversified across U.S. and non-U.S. stocks as well as growth, value, small and large capitalizations. Investment risk is measured and monitored on an ongoing basis through annual liability measurements, periodic asset/liability studies, and quarterly investment portfolio reviews.

The Communities expects to contribute at least \$2,400,000 to its pension plan in the fiscal year ending March 31, 2021.

The following benefit payments, which reflect expected future service, as appropriate, are expected to be paid:

2021	\$ 2,570,000
2022	\$ 2,560,000
2023	\$ 2,690,000
2024	\$ 2,780,000
2025	\$ 2,900,000
Years 2026 - 2030	\$ 16,210,000

Supplementary deferred compensation plan – The Communities also maintains for certain key employees, a Supplementary Deferred Compensation Plan ("Supplementary Plan") which is a nonqualified, deferred compensation plan which provides a defined contribution benefit pursuant to 409A and 457(f) of the Internal Revenue Code. All participants are awarded an Annual Retention Benefit in each year. Each award will vest on the earlier of the participant's death or disability, reaching the age of 65, or five years after the award is made. The accrued liability as of March 31, 2020, was \$1,239,943, included in other liabilities in the consolidated statement of financial position.

Employee benefit plan – The Affordable Communities and its affiliates have implemented a 403(b) tax deferred annuity plan (the “Plan”). Eligible employees who have satisfied the age and service requirements are allowed to make salary reduction contributions with a maximum contribution of up to the statutory limit. The Plan pays for all the administrative expenses to operate the Plan.

NOTE 9 – RELATED PARTIES

During fiscal year 2020, the Communities purchased general and professional liability insurance for \$1,019,427 from an insurance company in which the Communities is a shareholder. At March 31, 2020, the Communities’ investment was \$301,104. This investment is recorded at cost because it represents less than 5% of the shares of the insurance company.

NOTE 10 – COMMITMENTS AND CONTINGENCIES

Litigation – The Corporation is party to various claims and legal actions in the normal course of business. In the opinion of management, the Corporation has substantial meritorious defenses to pending or threatened litigation and, based upon current facts and circumstances, the resolution of these matters is not expected to have a material adverse effect on the consolidated financial position of the Corporation.

Asbestos – The Communities is aware of the existence of asbestos in certain of its buildings. The Communities has not recorded a liability for any asbestos abatement costs because the cost cannot be reasonably estimated at this time. At such time in the future that plans are made to make changes to structures with asbestos and the related asbestos removal cost estimates are completed, the Communities will record an estimate of the costs of the required asbestos abatement.

Operating deficit guarantee – With respect to OCT’s obligations as the General Partner of OCLP, the Communities has guaranteed that it will advance funds to OCT in an amount necessary for OCT to make the required Operating Deficit Contribution when such Operating Deficit cannot be satisfied from Partnership funds including OCLP’s Operating Reserve and OCT does not have sufficient funds to make an Operating Deficit Contribution to OCLP. The advances shall be interest free and payable out of Capital proceeds. The operating deficit period begins after the completion date and ends on the date that the following have occurred: (1) OCLP has operated at break-even for at least three consecutive calendar years following the stabilization date of OCLP; and (2) the balance in the Operating Reserve equals or exceeds the Operating Reserve amount. As of March 31, 2020, no advances have been made under the agreement.

Credit adjuster and additional advance guaranty – With respect to OCT’s obligations as the General Partner of OCLP, the Communities has guaranteed to advance funds to OCT in the amount necessary for OCT to make the required Credit Adjuster Advance or Additional Advance. The Credit Adjuster Advance is limited to \$835,799.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

City of Palo Alto repurchase rights

Lytton Gardens I – The City of Palo Alto (the “City”) has the right to repurchase the Lytton Gardens I’s land and building currently held by CHI for \$1 in either of the following situations: (1) CHI’s federal government insured loan is repaid; (2) 45 years has passed from the October 26, 1971, original purchase date by the CHI; (3) there is a default under the original purchase agreement with the City; or (4) there is a foreclosure by the holder of any secured lien. If the City gains the right to repurchase but fails to exercise that right within one year, then CHI must pay the City a forbearance fee of \$300,000, payable \$100,000 per year over three years.

In October 2015, Lytton I’s federal government insured loan was paid in full as 45 years had passed since the original purchase date, triggering the repurchase rights for Palo Alto. In May 2016, approval was granted by HUD to pay the forbearance fee from operating cash. As of April 2017, Lytton I is negotiating terms of a new regulatory agreement that will maintain affordability restrictions and be subordinate to any refinancing or tax credit syndication undertaken by Lytton I. Palo Alto has extended their period to exercise their option to repurchase. Lytton I recognized the expense and reserved the forbearance fee for payment at an agreed time with Palo Alto during 2017. As of March 31, 2020, there is \$300,000 included in accounts payable for the forbearance fee.

Lytton Gardens II – The City has the right to repurchase the Lytton Gardens II’s land and building currently held by CHI for \$1 in either of the following situations: (1) CHI’s federal government insured loan is repaid; (2) 45 years has passed from the October 26, 1971, original purchase date by CHI; (3) there is a default under the original purchase agreement with the City; or (4) there is a foreclosure by the holder of any secured lien. If the City gains the right to repurchase but fails to exercise that right within one year, then CHI must pay the City a forbearance fee of \$400,000, payable \$100,000 per year over four years.

In May 2019, Lytton II’s federal government insured loan will be paid in full and 45 years will have passed since the original purchase date, triggering the repurchase rights for Palo Alto. Lytton II is scheduling payment to Palo Alto in advance of the one-year period to exercise their option. In May 2016, approval was granted by HUD to pay the forbearance fee from operating reserve cash. As of April 2017, Lytton II is negotiating terms of a new regulatory agreement that will maintain affordability restrictions and be subordinate to any refinancing or tax credit syndication undertaken by Lytton II. Lytton II recognized the expense and reserved the forbearance fee for payment at an agreed time with Palo Alto during 2017. As of March 31, 2020, there is \$400,000 included in accounts payable for the forbearance fee.

Lytton IV Housing Corporation – Upon expiration of the 40-year term of HUD regulatory agreement, dated December 1, 1993, the City, may, at its sole option, require Lytton IV Housing Corporation to transfer ownership of its project (all improvements and land) to the City. The City must exercise said option within six months of the termination of the HUD regulatory agreement. In consideration of the exercise of said option, the City shall cancel any remaining balance then owing by Lytton IV Housing Corporation on the note with the City.

Healthcare reform – The Patient Protection and Affordable Care Act (“PPACA”) allowed for the expansion of Medicaid members in the State of California. Any further federal or state changes funding could have an impact on the Corporation. With the changes in the executive branch, the future of PPACA and impact of future changes in Medicaid to the Corporation is uncertain at this time.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 11 – HEALTH AND SAFETY CODE SECTION 1790(A)(3) DISCLOSURE

The following disclosure is made pursuant to section 1790(a)(3) of the California Health & Safety Code: The Board of Directors have identified certain contingencies listed below to which the net assets without donor restrictions of the Communities may be exposed; and, therefore, directed that prudent reserves be established as a safeguard against such contingencies. Although not restricted in accordance with ASC Topic 958, *Not-for-Profit Entities*, Board of Directors designated funds represent the current intentions of the Board of Directors.

Plant replacement reserves	\$ 9,195,890
Income fund	6,796,962
Self-insurance fund	<u>3,998,213</u>
 Total	 <u><u>\$ 19,991,065</u></u>

Maintaining such reserves meets the needs of the continuing care retirement communities by providing a source of funds to replace plant, either in the normal course of its operations and/or with respect to uninsured losses, and to otherwise meet its obligations as they become due in periods of reduced entrance or monthly fee revenue.

In addition, the Board has designated the initial amount of \$1,000,000 to be held in the Dr. Darby Betts Fund to promote needed services to seniors either by making grants to other organizations or expanding the Communities' own efforts to support seniors in the larger community and who are not residents of its retirement or affordable housing communities. This fund is jointly administered by the Communities and Episcopal Diocese of California. This commitment meets the needs of the continuing care retirement communities by demonstrating a broader community benefit in support of and to preserve its tax exempt status. As of March 31, 2020, the balance of the fund was \$1,276,962, and \$1,268,662 was expended from the fund for such purposes during the year then ended.

NOTE 12 – UNEARNED ENTRANCE FEE REVENUE

Unearned entrance fee activity for the year ended March 31, 2020, are as follows:

<u>April 1, 2019</u>	<u>Additions</u>	<u>Refunds back to resident</u>	<u>Deaths and Withdrawals (nonrefundable advance fee)</u>	<u>Amortization</u>	<u>Other adjustment</u>	<u>March 31, 2020</u>
\$ 168,015,229	27,210,354	(2,949,272)	(5,704,580)	(17,302,441)	(214,690)	\$ 169,054,600

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

NOTE 13 - LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of March 31, 2020, comprise the following:

Cash and cash equivalents	\$ 22,687,737
Marketable securities	140,373,146
Receivables, net	<u>7,113,412</u>
	170,174,295
Less amount unavailable for general expenditures within one year	<u>(1,435,746)</u>
	<u><u>\$ 168,738,549</u></u>

As part of the Corporation's liquidity management plan, it invests cash in excess of its daily requirements in short-term investments which can be sold and used for operations if necessary.

NOTE 14 – FUNCTIONAL EXPENSES

	Year Ended March 31, 2020					
	Residential Services	Assisted Living & Memory Care	Skilled Nursing	Program Services	Fundraising	General and Administrative
Salaries and benefits	\$ 22,521,267	\$ 6,199,697	\$ 24,628,567	\$ -	\$ 153,922	\$ 19,879,031
Supplies	4,518,628	777,893	2,645,220	-	279	919,904
Other purchased services	5,559,782	827,544	2,012,926	-	31,152	3,917,604
Repairs and maintenance	4,106,256	293,284	474,742	-	-	1,719,187
Utilities	4,575,610	399,384	595,666	-	-	1,494,482
Depreciation and amortization	16,458,765	1,355,088	2,301,092	-	-	6,635,605
Special event costs of direct benefit to donors	-	-	-	-	-	61,090
Assistance for resident fees	-	-	-	1,885,547	-	-
Other	12,641,102	699,422	5,197,518	1,090,343	14,632	5,588,974
	<u>\$ 70,381,410</u>	<u>\$ 10,552,312</u>	<u>\$ 37,855,731</u>	<u>\$ 2,975,890</u>	<u>\$ 199,985</u>	<u>\$ 40,215,877</u>
						<u>\$ 162,181,205</u>

The consolidated financial statements report certain expense categories that are attributable to more than one residential, health care or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, amortization, interest and other occupancy costs, are allocated to a function based on a square footage, meals or census.

NOTE 15 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the consolidated statement of financial position date but before the consolidated financial statements are available to be issued. The Corporation recognizes in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the consolidated statement of financial position, including the estimates inherent in the process of preparing the consolidated financial statements. The Corporation's consolidated financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the consolidated statement of financial position but arose after the consolidated statement of financial position date and before consolidated financial statements are available to be issued.

Covia Group and Controlled Affiliates

Notes to Consolidated Financial Statements

Subsequent to March 31, 2020, the World Health Organization declared the novel coronavirus ("COVID-19") a global pandemic and recommended containment and mitigation measures worldwide. This contagious disease outbreak, which has continued to spread, and any related adverse public health developments, has adversely affected workforces, customers, economies, and financial markets globally, potentially leading to an economic downturn. It has also disrupted the normal operations of many businesses and organizations, including the Corporation'. It is not possible for the Corporation to predict the duration or magnitude of the adverse results of the outbreak and its disruptive effects on our operations and financial results at this time.

The Corporation held various investments at March 31, 2020. At this time, the market volatility and the continuing situation surrounding the pandemic is uncertain. Management believes that the decline in fair value of these investments is temporary and will continue to monitor the situation closely.

On May 29, 2020, the maturity date for the promissory note with The Board of Pensions of the Presbyterian Church for \$11.2 million was extended to November 1, 2021.

On June 1, 2020, the Boards of Directors for Front Porch, Covia Communities and Covia Group voted to affiliate. The new affiliation will create one of the top not-for-profit organizations providing senior living, affordable housing and community services for more than 10,000 people. The affiliation is subject to the receipt of regulatory approvals and is expected to close in early 2021. Front Porch and Covia will continue to operate their organizations and their respective communities separately until the affiliation is approved.

The Corporation has evaluated subsequent events through June 30, 2020, which is the date the consolidated financial statements are available to be issued.

Supplementary Information

Covia Group and Controlled Affiliates
Consolidating Statements of Financial Position
March 31, 2020

	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
ASSETS							
CURRENT ASSETS							
Cash and cash equivalents	\$ 6,234,936	\$ 1,284,449	\$ -	\$ 7,519,385	\$ 15,168,352	\$ -	\$ 22,687,737
Assets held by bond indenture trustee for current debt service	5,716,094	-	-	5,716,094	-	-	5,716,094
Marketable securities	126,042,503	12,221,151	-	138,263,654	2,109,492	-	140,373,146
Receivables, net of allowance for doubtful accounts in the amount of \$1,106,418	6,128,858	311,569	-	6,440,427	672,985	-	7,113,412
Current portion of pledges receivable, net of discount	132,660	-	-	132,660	-	-	132,660
Current portion of receivables from affiliates	369,635	-	(163,400)	206,235	8,870	(215,105)	-
Prepaid expenses, deposits, and other assets	3,085,045	343,547	-	3,428,592	648,090	-	4,076,682
Total current assets	147,709,731	14,160,716	(163,400)	161,707,047	18,607,789	(215,105)	180,099,731
ASSETS WHOSE USE IS LIMITED							
Assets held by bond indenture trustee and restricted for construction and debt service	14,269,810	-	-	14,269,810	-	-	14,269,810
Less portion available to satisfy current debt service	(5,716,094)	-	-	(5,716,094)	-	-	(5,716,094)
Noncurrent portion	8,553,716	-	-	8,553,716	-	-	8,553,716
Funded reserves for replacement and insurance	-	-	-	-	10,724,101	-	10,724,101
Restricted deposits	-	-	-	-	4,256,108	-	4,256,108
Investments held in trust	5,827,906	-	-	5,827,906	522,555	-	6,350,461
Restricted investments	3,606,881	-	-	3,606,881	-	-	3,606,881
Total long-term assets whose use is limited	17,988,503	-	-	17,988,503	15,502,764	-	33,491,267
LONG-TERM PLEDGES RECEIVABLE, NET OF CURRENT PORTION AND DISCOUNT RECEIVABLES FROM AFFILIATES, NET OF CURRENT PORTION	750,092	-	-	750,092	-	-	750,092
PROPERTY AND EQUIPMENT, NET OF ACCUMULATED DEPRECIATION	745,067	-	-	745,067	-	(745,067)	-
RIGHT-OF-USE-ASSET	295,144,805	-	-	295,144,805	59,533,395	-	354,678,200
NET OF ACCUMULATED AMORTIZATION	5,515,898	-	-	5,515,898	2,152,770	(2,152,770)	5,515,898
DEFERRED CHARGES AND OTHER ASSETS	12,409,005	-	-	12,409,005	3,206,046	(31,120)	15,583,931
INVESTMENTS IN AFFILIATES	-	450,900	-	450,900	-	(450,900)	-
Total assets	\$ 480,263,101	\$ 14,611,616	\$ (163,400)	\$ 494,711,317	\$ 99,002,764	\$ (3,594,962)	\$ 590,119,119

Covia Group and Controlled Affiliates
Consolidating Statements of Financial Position (Continued)
March 31, 2020

	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
LIABILITIES AND NET ASSETS							
CURRENT LIABILITIES							
Accounts payable	\$ 5,383,921	\$ 144,971	\$ -	\$ 5,528,892	\$ 1,704,437	\$ -	\$ 7,233,329
Accounts payable - affiliated organizations	-	172,270	(163,400)	8,870	190,330	(199,200)	-
Accrued payroll and payroll taxes	4,381,503	-	-	4,381,503	676,787	-	5,058,290
Current portion of long-term debt	3,078,000	-	-	3,078,000	358,788	-	3,436,788
Current portion of lease liability	378,436	-	-	378,436	113,717	(113,717)	378,436
Accrued interest	2,638,094	-	-	2,638,094	14,033	-	2,652,127
Self-insurance and other liabilities	3,927,564	8,108	-	3,935,672	28,640	-	3,964,312
Total current liabilities	19,787,518	325,349	(163,400)	19,949,467	3,086,732	(312,917)	22,723,282
REFUNDABLE DEPOSITS	1,114,000	-	-	1,114,000	347,559	-	1,461,559
REPAYABLE ENTRANCE FEES	2,362,440	-	-	2,362,440	-	-	2,362,440
REFUNDABLE ENTRANCE FEES	72,078,079	-	-	72,078,079	-	-	72,078,079
PENSION BENEFIT OBLIGATION	19,666,806	-	-	19,666,806	-	-	19,666,806
LONG-TERM DEBT, NET	151,250,327	-	-	151,250,327	48,461,501	-	199,711,828
DEFERRED REVENUE FROM ENTRANCE FEES	169,054,600	-	-	169,054,600	-	-	169,054,600
LIABILITIES FOR PAYMENT TO TRUST BENEFICIARIES	2,363,703	-	-	2,363,703	522,555	-	2,886,258
LONG-TERM LEASE LIABILITY, NET	5,543,361	-	-	5,543,361	2,039,053	(2,039,053)	5,543,361
OTHER LIABILITIES	5,946,902	-	-	5,946,902	2,847,567	(792,092)	8,002,377
Total liabilities	449,167,736	325,349	(163,400)	449,329,685	57,304,967	(3,144,062)	503,490,590
NET ASSETS							
Without donor restrictions:							
Controlling interest	22,249,627	14,286,267	-	36,535,894	40,296,415	(450,900)	76,381,409
Noncontrolling interest in OCLP	-	-	-	-	1,262,038	-	1,262,038
Total net assets without donor restrictions	22,249,627	14,286,267	-	36,535,894	41,558,453	(450,900)	77,643,447
With donor restrictions	8,845,738	-	-	8,845,738	139,344	-	8,985,082
Total net assets	31,095,365	14,286,267	-	45,381,632	41,697,797	(450,900)	86,628,529
Total liabilities and net assets	\$ 480,263,101	\$ 14,611,616	\$ (163,400)	\$ 494,711,317	\$ 99,002,764	\$ (3,594,962)	\$ 590,119,119

Covia Group and Controlled Affiliates
Consolidating Statement of Changes in Net Assets Without Donor Restrictions Information
Year Ended March 31, 2020

	Consolidated Covia Communities	Covia Group	Eliminations Covia Communities and Covia Group	Subtotal Covia Communities and Covia Group	Consolidated Covia Affordable Communities	Eliminations Communities, Group, and Affordable Communities	Consolidated Covia Group and Controlled Affiliates
CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTIONS							
Revenues and gains							
Resident fees	\$ 69,170,513	\$ -	\$ -	\$ 69,170,513	\$ -	\$ -	\$ 69,170,513
Amortization of deferred revenue from entrance fees	23,007,021	-	-	23,007,021	-	-	23,007,021
Nursing center	37,770,630	-	-	37,770,630	-	-	37,770,630
Outside and other medical fees	546,289	-	-	546,289	-	-	546,289
Affordable housing fees and rents	-	-	-	-	21,315,926	-	21,315,926
Other	2,406,196	399,858	-	2,806,054	1,642	(1,020,000)	1,787,696
Contributions	88,322	-	-	88,322	75,639	-	163,961
Net assets released from restriction for assistance and operations	2,332,711	-	-	2,332,711	-	-	2,332,711
Total revenues and gains	135,321,682	399,858	-	135,721,540	21,393,207	(1,020,000)	156,094,747
Expenses							
Nursing expenses	29,647,778	-	-	29,647,778	-	-	29,647,778
Outside and other medical expenses	4,982,579	-	-	4,982,579	-	-	4,982,579
Dining services	21,286,159	-	-	21,286,159	1,574,701	-	22,860,860
Environmental services	7,278,673	-	-	7,278,673	-	-	7,278,673
Maintenance	8,679,217	-	-	8,679,217	3,766,841	-	12,446,058
General and administrative expenses	21,280,210	933,028	-	22,213,238	7,441,097	(900,000)	28,754,335
Marketing	2,554,126	-	-	2,554,126	-	-	2,554,126
Utility expenses	5,733,586	-	-	5,733,586	1,331,556	-	7,065,142
Other	6,293,864	-	-	6,293,864	792,552	(120,000)	6,966,416
Program expenses	3,035,266	-	-	3,035,266	-	-	3,035,266
Fundraising activities	10,811	-	-	10,811	-	-	10,811
Depreciation and amortization	23,383,072	-	-	23,383,072	3,367,478	-	26,750,550
Loss on disposal of property and equipment	359,764	-	-	359,764	-	-	359,764
Interest	8,111,747	-	-	8,111,747	1,357,100	-	9,468,847
Total expenses	142,636,852	933,028	-	143,569,880	19,631,325	(1,020,000)	162,181,205
LOSS (INCOME) BEFORE OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS AND INVESTMENT (LOSS) INCOME	(7,315,170)	(533,170)	-	(7,848,340)	1,761,882	-	(6,086,458)
OTHER COMPONENTS OF NET PERIODIC BENEFIT COSTS	817,246	-	-	817,246	-	-	817,246
INVESTMENT LOSS							
Investment income	3,073,921	303,115	-	3,377,036	-	-	3,377,036
Net realized gains on investments	7,384,704	34,265	-	7,418,969	-	-	7,418,969
Net unrealized losses on investments	(17,313,297)	(804,541)	-	(18,117,838)	(14,302)	-	(18,132,140)
Total investment loss	(6,854,672)	(467,161)	-	(7,321,833)	(14,302)	-	(7,336,135)
NET (LOSS) INCOME	(13,352,596)	(1,000,331)	-	(14,352,927)	1,747,580	-	(12,605,347)
CHANGE IN PENSION BENEFIT OBLIGATION	(13,523,003)	-	-	(13,523,003)	-	-	(13,523,003)
(DECREASE) INCREASE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	<u>\$ (26,875,599)</u>	<u>\$ (1,000,331)</u>	<u>\$ -</u>	<u>\$ (27,875,930)</u>	<u>\$ 1,747,580</u>	<u>\$ -</u>	<u>\$ (26,128,350)</u>

APPENDIX C

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

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APPENDIX C

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

The following is a summary of certain provisions of the Bond Indenture and the Loan Agreement that are not described elsewhere in this Official Statement. These summaries do not purport to be comprehensive and reference should be made to the Bond Indenture and the Loan Agreement for a full and complete statement of their provisions.

This Official Statement summarizes each Series of the Bonds in their respective Initial Fixed Period while each Series of the Bonds bear interest at the Fixed Rates set forth on the inside cover of this Official Statement. If the Corporation elects to convert the Series 2021A Bonds to a different Interest Rate Mode or to a new Fixed Period, the Series 2021A Bonds will be subject to mandatory tender for purchase on the Conversion Date, and a new reoffering circular or supplement to this Official Statement or other disclosure document will be prepared in connection with any such Conversion. The Series 2021B Bonds may not be converted.

DEFINITIONS OF CERTAIN TERMS

Unless the context otherwise requires, the terms defined in this summary shall, for all purposes of this summary, have the meanings herein specified, to be equally applicable to both singular and plural forms of any of the terms herein defined. Unless otherwise defined in this summary, all terms used herein or elsewhere in the Official Statement shall have the meanings assigned to such terms in the Master Indenture, the Bond Indenture or the Loan Agreement, as applicable.

“Act” means the Joint Exercise of Powers Act, constituting Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Bond Trustee, and reasonable fees and expenses of attorneys and other reasonable expenses incurred by either of them in connection with any Loan Default Event, including, without limitation, fees and expenses incurred in the collection of amounts due under the Bond Obligation or any other sum due or the enforcement of performance of any other obligations of the Corporation, in its capacity as Obligated Group Representative, or the Obligated Group under the Loan Agreement.

“Amended and Restated Master Indenture” means the Master Trust Indenture, dated as of September 1, 2017, amended and restated as of September 1, 2021, and effective on the Date of Issuance of the Bonds, among the Corporation, Covia and any other Obligated Group Member named therein, and the Master Trustee, which amends and restates the Original Master Indenture.

“Authority” means the California Statewide Communities Development Authority, or its successors and assigns.

“Authorized Denominations” means with respect to any Fixed Period, \$5,000 and any integral multiple thereof.

“Beneficial Owner” means any Person which (a) has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any of the Bonds (including any Person holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bond for federal income tax purposes.

“Bond Counsel” means a firm of attorneys, of nationally recognized standing in matters pertaining to the tax-exempt nature of interest on obligations issued by states and their political subdivisions and duly admitted to practice law before the highest court of any state of the United States of America.

“Bond Indenture” means the Bond Indenture, dated as of September 1, 2021 between the Authority and the Bond Trustee relating to the Bonds, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Bond Indenture or otherwise in accordance with the terms thereof.

“Bond Obligation” means the Front Porch Communities and Services Obligated Group Master Indenture Obligation No. 6 issued, authenticated and delivered under Supplement No. 6, which evidences and secures the obligation of the Corporation, with respect to the loan of the proceeds of the Bonds to the Corporation under the Loan Agreement.

“Bond Purchase Fund” means the fund by that name established pursuant to the Bond Indenture.

“Bond Sinking Fund” means the fund by that name established pursuant to the Bond Indenture, as more particularly described in this Appendix C under the section captioned “THE BOND INDENTURE—Bond Sinking Fund.”

“Bond Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association organized under the laws of the United States of America, and, subject to certain limitations contained in the Bond Indenture, any successor or successors to said trustee in the trusts created under the Bond Indenture.

“Bonds” means the Series 2021A and the Series 2021B Bonds, authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“Business Day” means any day on which banks located in the city in which the Corporate Trust Office of the Bond Trustee is located are not required or authorized to be closed and on which The New York Stock Exchange or the Federal Reserve Bank is open.

“Certificate,” “Statement,” “Request” and *“Requisition”* of the Authority or the Corporation means, respectively, a written certificate, statement, request or requisition signed in the name of the Authority or the Corporation by an Authorized Signatory. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

“Code” means the Internal Revenue Code of 1986, as amended from time to time. Each reference to a section of the Code shall be deemed to include the United States Treasury Regulations relating to such section, including temporary and proposed regulations, relating to such section which are applicable to the Bonds or the use of the proceeds thereof.

“Continuing Disclosure Agreement” means any continuing disclosure agreement or certificate executed by the Corporation with respect to the Bonds and which complies with Rule 15c2-12.

“Conversion” means a conversion of all or a portion of the Bonds from one Interest Rate Mode to one or more other Interest Rate Modes in accordance with the terms and provisions of the Bond Indenture and shall also include a conversion from one Fixed Period to a new Fixed Period.

“Conversion Date” means the effective date of a Conversion of the Bonds or a portion of the Bonds.

“Corporate Trust Office” means the office of the Bond Trustee at which its corporate trust business with respect to the Bonds is conducted.

“*Corporation*” means Front Porch Communities and Services, a California nonprofit public benefit corporation that is duly organized and existing under the law of the State of California, and any corporation succeeding thereto pursuant to the Master Indenture.

“*Costs of Issuance Fund*” means the fund so designated and established pursuant to the Bond Indenture.

“*Covia*” means Covia Communities, a California nonprofit public benefit corporation that is duly organized and existing under the law of the State of California.

“*Date of Issuance*” means the date of delivery of the Bonds.

“*Electronic Means*” means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Bond Trustee, or another method or system specified by the Bond Trustee as available for use in connection with its services under the Bond Indenture.

“*Electronic Notice*” means a notice transmitted through Electronic Means.

“*Event of Default*” means any of the events specified as such in the Bond Indenture, described in this Appendix C under the section captioned “THE BOND INDENTURE—Events of Default.”

“*Favorable Opinion of Bond Counsel*” means an opinion of Bond Counsel, addressed to the Authority, the Corporation and the Bond Trustee, to the effect that the action proposed to be taken is authorized or permitted or not prohibited by or in contravention of the Bond Indenture and will not, in and of itself, cause interest on the Series 2021A Bonds to be included in gross income for purposes of federal income taxation.

“*Fitch*” means Fitch Ratings, a corporation organized and existing under the laws of the State of New York, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“*Fixed Bonds*” means Bonds that bear interest at Fixed Rates.

“*Fixed Mode*” means the Interest Rate Mode during which the Bonds bear interest at a Fixed Rate or Fixed Rates to their Maturity Date.

“*Fixed Period*” means the period to the Maturity Date, or to the date on which Fixed Bonds are converted to a new Interest Rate Mode, during which Bonds constitute Fixed Bonds.

“*Fixed Rate*” means the interest rates per annum on Fixed Bonds, set forth on the inside cover of this Official Statement, to their Maturity Date or until the Fixed Rate Conversion Date, if any, and after any Fixed Rate Conversion Date, the fixed interest rate or rates per annum determined prior to such Fixed Rate Conversion Date as provided in the Bond Indenture.

“*Fixed Rate Conversion Date*” means the effective date of a Conversion of the Bonds or a portion of the Bonds into a Fixed Period or from one Fixed Period to a new Fixed Period or another Interest Rate Mode, pursuant to the Bond Indenture.

“*Government Obligations*” means (a) noncallable United States Government Obligations or (b) evidences of a direct ownership of a proportionate or individual interest in future interest or principal payments on noncallable United States Government Obligations, which United States Government Obligations are held in a custodial account by a custodian on behalf of the Bond Trustee pursuant to the terms of a custody agreement; provided, however, that if such Government Obligations consist of obligations for which the principal and interest payments have been “stripped” into separate securities, such custodian shall be a Federal Reserve Bank.

“*Holder*,” “*Bondholder*,” “*Owner*,” “*Registered Owner*” or “*holder*” whenever used with respect to a Bond, means the Person in whose name such Bond is registered; provided, however, that any time the Bonds are held in a book-entry system, “Holder” or “Bondholder” shall mean Beneficial Owner of the Bonds.

“*Initial Fixed Period*” means the applicable Fixed Period commencing on the Date of Issuance with respect to the respective Series of the Bonds.

“*Interest Fund*” means the fund by that name established pursuant to the Bond Indenture, as described in this Appendix C under the section captioned, “THE BOND INDENTURE—Interest Fund.”

“*Interest Payment Date*” means, with respect to any Fixed Period, such dates as described in the forepart of this Official Statement.

“*Interest Rate Mode*” means a Daily Mode, a Two Day Mode, a Weekly Mode, a Short-Term Mode, a Long-Term Mode, an FRN Mode, a VRO Mode, a Window Mode, a Flexible Mode, a Direct Purchase Mode or a Fixed Mode, each as further described in the Bond Indenture.

“*Loan*” means the loan made by the Authority to the Corporation under the Loan Agreement.

“*Loan Agreement*” means the Loan Agreement dated as of September 1, 2021 between the Authority and the Corporation, as it may from time to time be amended in accordance with its terms or the Bond Indenture, initially providing for the loan to the Corporation of the proceeds of the Bonds.

“*Loan Default Event*” means any of the events described as such in the Loan Agreement and described in this Appendix C under the section captioned “THE LOAN AGREEMENT—Loan Default Events.”

“*Loan Repayments*” means the payments of principal of and interest on the Loan referred to in the Loan Agreement.

“*Mandatory Purchase Date*” means any Purchase Date on which Bonds are subject to mandatory purchase pursuant to a Conversion under the provisions of the Bond Indenture, including as set forth in the applicable Supplemental Bond Indenture.

“*Master Indenture*” means the Amended and Restated Master Indenture, as may be supplemented and amended.

“*Master Trustee*” means The Bank of New York Mellon Trust Company, N.A., a national banking association, as Master Trustee under the Master Indenture, or its successor.

“*Maturity Date*” means with respect to the Bonds in the Initial Fixed Period, the maturities set forth on the inside cover of this Official Statement.

“*Member*,” “*Member of the Obligated Group*” or “*Obligated Group Member*” has the meaning set forth in the Master Indenture. On the Date of Issuance of the Bonds, the Members of the Obligated Group are Front Porch and Covia.

“*Moody’s*” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“*New Project*” has the meaning set forth in the Tax Agreement and is as further described in the forepart of this Official Statement under “PLAN OF FINANCE – Project.”

“Obligated Group” means the Obligated Group created by the Master Indenture.

“Obligated Group Representative” means the Corporation, or such other Obligated Group Representative designated under the Master Indenture.

“Officer’s Certificate” means a written certificate of the Corporation signed by the Corporation’s Authorized Signatory, which certificate shall be deemed to constitute a representation of and shall be binding upon the Corporation with respect to matters set forth therein.

“Opinion of Bond Counsel” means a written Opinion of Counsel, which shall be Bond Counsel.

“Opinion of Counsel” means a written opinion of counsel (who may be Bond Counsel or counsel for the Corporation or the Authority) selected by the Corporation and not objected to by the Authority or the Bond Trustee.

“Optional Redemption Fund” means the account by that name established pursuant to the Bond Indenture.

“Original Master Indenture” means the Master Trust Indenture, dated as of September 1, 2017, between the Corporation and the Master Trustee, as previously amended and supplemented, including by Supplement No. 6.

“Outstanding” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Bond Indenture described in this Appendix C under the section captioned “THE BOND INDENTURE—Disqualified Bonds”) all Bonds theretofore, or thereupon being, authenticated and delivered by the Bond Trustee under the Bond Indenture except (a) Bonds theretofore canceled by the Bond Trustee or surrendered to the Bond Trustee for cancellation; (b) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Bond Indenture; (c) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Bond Trustee pursuant to the Bond Indenture; (d) Bonds alleged to have been mutilated, destroyed, lost or stolen and for which security or indemnity has been provided, as provided in the Bond Indenture; and (e) any Undelivered Bond.

“Person” means an individual, corporation, firm, association, partnership, trust or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Program Participants” mean the City of Anaheim, the City of Oakland, the City of Claremont, the County of San Diego, the County of Santa Clara, the County of Sonoma, the County of Monterey and the City and County of San Francisco, each being a Program Participant of the Authority.

“Project Fund” means the fund so designated and established pursuant to the Bond Indenture, as described in this Appendix C under the section captioned “THE BOND INDENTURE—Establishment and Application of Project Fund.”

“Purchase Date” means each date on which Bonds are subject to mandatory purchase pursuant to the Bond Indenture and shall include each Mandatory Purchase Date.

“Purchase Price” means, with respect to a Bond subject to purchase on a Purchase Date, an amount equal to the principal amount thereof plus accrued interest to, but not including, the Purchase Date; provided, however, that if the Purchase Date for any Purchased Bond is an Interest Payment Date, the Purchase Price thereof shall be the principal amount thereof, and interest on such Bond shall be paid to the Holder of such Bond pursuant to the Bond Indenture.

“Qualified Investments” subject to the Tax Agreement, means investments in any of the following:

(a) United States Government Obligations and bonds or securities issued or guaranteed as to principal and interest by a commission, board or other instrumentality of the federal government;

- (b) short-term discount obligations of the Federal National Mortgage Association;
- (c) certificates of deposit (including those placed by a third party pursuant to an agreement between the Corporation and the Bond Trustee), demand deposits, interest bearing money market accounts, trust funds, trust accounts, overnight bank deposits, interest bearing deposits, other bank deposit products, bankers acceptances or time deposits constituting direct obligations of any bank, including the Bond Trustee or any of its affiliates, the full amount of which is insured by the Federal Deposit Insurance Corporation;
- (d) time deposits in any credit union, bank, savings bank, trust company or savings and loan association that is authorized to transact business in the State of California if the time deposits mature in not more than three years;
- (e) unsecured certificates of deposit, time deposits, and bankers' acceptances of any bank the short-term obligations of which are rated, at the time of purchase, in one of the three highest Rating Categories by a Rating Agency (without regard to any credit enhancement) (a "Required Rating");
- (f) obligations of any state of the United States of America or any political subdivision of any state of the United States of America or any agency or instrumentality of any such state or political subdivision, which has at the time of their purchase a Required Rating;
- (f) any security that matures or that may be tendered for purchase at the option of the holder within not more than seven years of the date on which it is acquired, if that security has a rating that is the highest or second highest rating category assigned by S&P, Moody's or other similar nationally recognized rating agency or if that security is senior to, or on a parity with, a security of the same issuer that has such a rating;
- (g) securities of an open-end management investment company or investment trust (including those for which the Bond Trustee or its affiliates receive and retain a fee for services provided to the fund, whether as a custodian, transfer agent or otherwise) if the investment company or investment trust does not charge a sales load, if the investment company or investment trust is registered under the Investment Company Act of 1940, 15 USC 80a-1 to 80a-64, and if the portfolio of the investment company or investment trust is limited to the following: (i) bonds and securities issued by the federal government or a commission, board or other instrumentality of the federal government, (ii) bonds that are guaranteed as to principal and interest by the federal government or a commission, board or other instrumentality of the federal government and (iii) repurchase agreements that are fully collateralized by bonds or securities described under (i) or (ii); and
- (h) commercial paper having, at the time of investment or contractual commitment to invest therein, a rating of A-1 or better from S&P or P-1 from Moody's.

"Rating Agency" means S&P, Moody's or Fitch.

"Rating Category" means a generic securities rating category, without regard, in the case of a long-term rating category, to any refinement or gradation of such long-term rating category by a numerical modifier or otherwise.

"Rebate Amount" means the rebate requirement described in the Tax Agreement with respect to the Series 2021A Bonds determined in accordance with the Bond Indenture and the Tax Agreement.

"Rebate Fund" means the fund by that name created under the Bond Indenture.

"Record Date" means, with respect to any Interest Payment Date, the fifteenth day of the month preceding the month in which such Interest Payment Date occurs, whether or not such day is a Business Day.

“*Redemption Price*” means, (i) with respect to any Series 2021A Bond (or portion thereof), the principal amount of such Series 2021A Bond (or portion) plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Series 2021A Bond and the Bond Indenture, and (ii) with respect to any Series 2021B Bond (or portion thereof), the Make-Whole Redemption Price, as set forth in the Bond Indenture.

“*Registration Books*” means books maintained by the Bond Trustee on behalf of the Authority at the Corporate Trust Office of the Bond Trustee for the purpose of recording the registration, transfer, exchange or replacement of any of the Bonds.

“*Remarketing Agent*” means, with respect to the Bonds, the financial institution or institutions as may be designated by the Corporation as the Remarketing Agent, if any, for such Bonds, or any other Remarketing Agent or successor or additional Remarketing Agent appointed in accordance with the Bond Indenture. No Remarketing Agent shall be required during any Fixed Period.

“*Responsible Officer*” means any officer within the corporate trust department of the Bond Trustee, including any vice president, assistant vice president, senior associate, associate or any other officer of the Bond Trustee who customarily performs functions similar to those performed by the persons who at the time shall be such officers, respectively, or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject and who shall have direct responsibility for the administration of the Bond Indenture.

“*Revenue Fund*” means the fund by that name established pursuant to the Bond Indenture.

“*Revenues*” means all amounts received by the Authority or the Bond Trustee pursuant or with respect to the Loan Agreement or the Bond Obligation, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and whether paid from any source), prepayments, insurance proceeds, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Bond Indenture (other than the Rebate Fund and the Bond Purchase Fund), but not including the Authority’s Unassigned Rights, any Administrative Fees and Expenses, Additional Payments, any moneys required to be deposited in the Rebate Fund or the Bond Purchase Fund or any interest, profits or other income required to be retained in the Rebate Fund) or the Bond Purchase Fund.

“*Rule 15c2-12*” means Rule 15c2-12 promulgated by the Securities and Exchange Commission, as amended from time to time.

“*S&P*” means S&P Global Ratings, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“*Securities Act*” means the Securities Act of 1933, as amended.

“*Securities Depository*” means The Depository Trust Company and its successors and assigns, or any other securities depository selected as set forth in the Bond Indenture.

“*Series*” or “*Sub-Series*,” when used with respect to the Bonds, means all the Bonds designated as being of the same Series or Sub-Series, whether upon initial issuance thereof or upon any Conversion of a portion of a Series or Sub-Series and redesignation thereof into one or more Sub-Series, authenticated and delivered in a simultaneous transaction, and any Bonds thereafter authenticated and delivered upon a transfer or exchange or in lieu of or in substitution for such Bonds of such Series or Sub-Series, or upon a Conversion of a portion of any Series or Sub-Series of the Bonds, as provided in the Bond Indenture. In the event that the Bonds or a portion of the Bonds have been so designated as being in more than a single Series or Sub-Series, references in the Bond Indenture and in the Loan Agreement to the Bonds shall, as the context may require, refer to only the Bonds of the particular Series or Sub-Series in question.

“*Series 2021A Bonds*” means the California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services), Series 2021A, authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“*Series 2021B Bonds*” means the California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable), authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“*Sinking Fund Installment*” means the amount required by the Bond Indenture to be paid on any single date for the retirement of Bonds of a Series.

“*Supplement No. 6*” means the Sixth Supplemental Master Trust Indenture, dated as of September 1, 2021, as from time to time amended or supplemented in accordance with the terms thereof, supplementing the Master Indenture.

“*Supplemental Bond Indenture*” means any indenture hereafter duly authorized and entered into between the Authority and the Bond Trustee, supplementing, modifying or amending the Bond Indenture; but only if and to the extent that such Supplemental Bond Indenture is specifically authorized under the Bond Indenture.

“*Tax Agreement*” means the Tax Certificate and Agreement, dated as of the Date of Issuance, between the Authority and the Corporation with respect to the Series 2021A Bonds.

“*Unassigned Rights*” means the rights of the Authority expressly granted to the Authority in the Bond Indenture or in the Loan Agreement to (a) inspect books and records, (b) give or receive notices, approvals, consents, requests, and other communications, (c) receive payment or reimbursement for expenses, including Administrative Fees and Expenses, (d) the benefit of all provisions providing the Authority immunity from and limitation of liability, (e) indemnification from liability by the Corporation and (f) security for the Corporation’s indemnification obligation.

“*Undelivered Bond*” means any Bond that constitutes an Undelivered Bond under the provisions of the Bond Indenture.

“*United States Government Obligations*” means obligations that are direct, full faith and credit obligations of the United States of America or are obligations with respect to which the United States of America has fully and unconditionally guaranteed the timely payment of all principal or interest or both, but only to the extent of the principal or interest so guaranteed.

“*Written Request*” means with reference to the Authority, a request in writing signed by an Authorized Signatory of the Authority and, with reference to the Corporation, means a request in writing signed by an Authorized Signatory of the Corporation.

THE BOND INDENTURE

General

The Bond Indenture, among other matters, sets forth the terms of the Bonds, the nature and extent of security, the various rights of the Holders of the Bonds, the rights, duties and immunities of the Bond Trustee and the rights and obligations of the Authority. Certain provisions of the Bond Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

This Official Statement summarizes each Series of the Bonds in their respective Initial Fixed Period while each Series of the Bonds bear interest at the Fixed Rates set forth on the inside cover of this Official Statement. If the Corporation elects to convert the Series 2021A Bonds to a different Interest Rate Mode or to a new Fixed

Period, the Series 2021A Bonds will be subject to mandatory tender for purchase on the Conversion Date, and a new reoffering circular or supplement to this Official Statement or other disclosure document will be prepared in connection with any such Conversion. The Series 2021B Bonds may not be converted.

The following is a summary of certain provisions of the Bond Indenture not described elsewhere in this Official Statement. This summary does not purport to be complete or definitive and reference is made to the Bond Indenture for the complete terms thereof.

Registration, Transfer and Exchange.

The Bond Trustee is, pursuant to the Bond Indenture, appointed “bond registrar” for the purpose of registering Bonds and transfers of Bonds as provided in the Bond Indenture. The Bond Trustee shall cause to be kept at its Corporate Trust Office the Registration Books, in which, subject to such reasonable regulations as it may prescribe, the Bond Trustee shall provide for the registration, transfer and exchange of Bonds as provided in the Bond Indenture.

Bonds may be transferred or exchanged only upon the Registration Books maintained by the Bond Trustee as provided in the Bond Indenture. Upon surrender for transfer or exchange of any Bond at the Corporate Trust Office of the Bond Trustee, the Authority shall execute, and the Bond Trustee shall authenticate and deliver, in the name of the designated transferee or transferees, one or more new Bonds of the same maturity and of any Authorized Denominations and of a like aggregate principal amount.

Every Bond presented or surrendered for transfer or exchange shall (if so required by the Bond Trustee, as bond registrar) be duly endorsed, or be accompanied by a written instrument of transfer in form satisfactory to the Bond Trustee, as bond registrar, duly executed by the Owner thereof or his attorney or legal representative duly authorized in writing.

All Bonds issued upon any transfer or exchange of Bonds shall be the valid special limited obligations of the Authority, evidencing the same debt, and entitled to the same security and benefits under the Bond Indenture, as the Bonds surrendered upon such transfer or exchange.

No service charge shall be imposed for any registration, transfer or exchange of Bonds, but the Bond Trustee may require payment of a sum sufficient to cover any tax or other governmental charge that may be imposed in connection with any transfer or exchange of Bonds, and such charge shall be paid before any such new Bond shall be delivered. The fees and charges of the Bond Trustee for making any transfer or exchange and the expense of any bond printing necessary to affect any such transfer or exchange shall be paid by the Corporation. In the event any Registered Owner fails to provide a certified taxpayer identification number to the Bond Trustee, the Bond Trustee may impose a charge against such Registered Owner sufficient to pay any governmental charge required to be paid as a result of such failure. In compliance with Section 3406 of the Code, such amount may be deducted by the Bond Trustee from amounts otherwise payable to such Registered Owner under the Bond Indenture or under the Bonds.

The Bond Trustee shall not be required to (a) transfer or exchange any Bond (other than a Bond tendered for purchase pursuant to a Conversion under the Bond Indenture) during a period beginning 15 days before the day of the mailing of a notice of redemption of such Bond and ending at the close of business on the day of such mailing, or (b) transfer or exchange any Bond so selected for redemption in whole or in part, during a period beginning at the opening of business on any Record Date for such Bonds and ending at the close of business on the relevant Interest Payment Date therefor.

The Person in whose name any Bond is registered on the Registration Books shall be deemed and regarded as the absolute Owner thereof for all purposes, except as otherwise provided in the Bond Indenture when a book-entry system is in effect for the Bonds, and payment of or on account of the principal and Redemption Price of and interest on any such Bond shall be made only to or upon the order of the Registered Owner thereof or his legal representative, but such registration may be changed as provided in the Bond Indenture. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Bond to the extent of the sum or sums so paid.

The Bond Trustee will keep the Registration Books on file at its Corporate Trust Office, which shall include a list of the names and addresses of the last known Owners of all Bonds and the serial numbers of such Bonds held by each of such Owners. At reasonable times and under reasonable regulations established by the Bond Trustee, the list may be inspected and copied by the Authority, the Corporation, or the Owners of 10% in Outstanding principal amount of the Bonds or the authorized representative thereof, provided that the ownership of such Owner and the authority of any such designated representative shall be evidenced to the satisfaction of the Bond Trustee.

The transferor of a Bond shall also provide or cause to be provided to the Bond Trustee all information necessary to allow the Bond Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Internal Revenue Code Section 6045. The Bond Trustee may rely on the information provided to it and shall have no responsibility to verify or ensure the accuracy of such information.

Establishment and Application of Costs of Issuance Fund.

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund.” Moneys deposited in said fund shall be used and withdrawn by the Bond Trustee to pay Costs of Issuance of the Bonds upon Requisition of the Corporation in substantially the form attached to the Bond Indenture stating the Person to whom payment is to be made, the amount to be paid, the purpose for which the obligation was incurred and that such payment is a proper charge against said fund. Each Requisition of the Corporation shall be sufficient evidence to the Bond Trustee of the facts stated therein and the Bond Trustee shall have no duty to confirm the accuracy of such facts. No later than the date that is six months after the Date of Issuance, or earlier upon Request of the Corporation, amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Project Fund and the Costs of Issuance Fund shall thereafter be closed.

Establishment and Application of Project Fund.

The Bond Trustee shall establish, maintain and hold in trust a separate fund designated as the “Project Fund.” The moneys in the Project Fund shall be used and withdrawn by the Bond Trustee to pay or reimburse the costs of the New Project, in accordance with the terms of the Tax Agreement. No moneys in the Project Fund shall be used to pay Costs of Issuance.

When the New Project shall have been completed, the Bond Trustee shall, as directed by the Corporation, transfer any remaining balance in the Project Fund as set forth in the Bond Indenture. Upon such transfer, the Project Fund shall be closed.

Pledge and Assignment.

(a) Subject only to the provisions of the Bond Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Bond Indenture, the Authority, under the Bond Indenture, pledges and assigns to the Bond Trustee all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Bond Indenture (except the Rebate Fund and the Bond Purchase Fund) to secure the payment of the principal, Redemption Price and Purchase Price of and interest on the Bonds in accordance with their terms and the provisions of the Bond Indenture. Said pledge shall constitute a first lien on and security interest in such assets and shall attach, be perfected and be valid and binding from and after delivery by the Bond Trustee of the Bonds, without any physical delivery thereof or further act.

(b) The Authority, under the Bond Indenture, transfers in trust, grants a security interest in and assigns to the Bond Trustee, for the benefit of the Owners from time to time of the Bonds, all of the Revenues and other assets described in paragraph (a) above and pledged under the Bond Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for the Unassigned Rights) and the Bond Obligation. The Authority will also cause the Bond Obligation to be registered in the name of the Bond Trustee. The Bond

Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Bond Trustee and shall forthwith be paid by the Authority to the Bond Trustee. The Bond Trustee also shall be entitled to and may take all steps, actions and proceedings reasonably necessary in its judgment to enforce all of the rights of the Authority and all of the obligations of the Corporation under the Loan Agreement and the Bond Obligation.

Revenue Fund.

(a) All Revenues shall be promptly deposited by the Bond Trustee upon receipt thereof in a special fund designated as the “Revenue Fund,” which the Bond Trustee shall establish, maintain and hold in trust. All Revenues deposited with the Bond Trustee shall be held, disbursed, allocated and applied by the Bond Trustee only as provided in the Bond Indenture.

(b) If, on the date any Loan Repayment or payment upon the Bond Obligation is due, the Bond Trustee does not receive such payment, the Bond Trustee shall request the Master Trustee to give immediate Electronic Notice or telephonic notice promptly confirmed in writing to the Corporation of the nonpayment.

Interest Fund.

(a) The Bond Trustee shall establish and maintain so long as any of the Bonds are outstanding a fund to be known as the “Interest Fund — Front Porch Communities and Services — Series 2021” (the “Interest Fund”).

(b) On each Interest Payment Date, the Bond Trustee shall deposit in the Interest Fund from the Revenue Fund moneys in an amount which, together with the amounts already on deposit therein and available to make such payment, is not less than the interest becoming due on the Bonds on such date.

(c) In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee may, at the written request of the Corporation, use any amounts on deposit in the Interest Fund in excess of the amount needed to pay the interest on the Bonds remaining outstanding on the first Interest Payment Date occurring on or after the date of such redemption or defeasance to pay or provide for the payment of the principal of and interest on the Bonds to be redeemed or defeased or as otherwise directed by the Corporation if a Favorable Opinion of Bond Counsel has been delivered.

Bond Sinking Fund.

(a) The Bond Trustee shall establish and maintain so long as any of the Bonds are outstanding a fund to be known as the “Bond Sinking Fund Front Porch Communities and Services — Series 2021” (the “Bond Sinking Fund”).

(b) On each Sinking Fund Installment date established pursuant to the Bond Indenture and each Maturity Date, after making the relevant deposit required by the Bond Indenture and described in this Appendix C under the section captioned “THE BOND INDENTURE—Interest Fund”, the Bond Trustee shall deposit in the Bond Sinking Fund from the Revenue Fund moneys in an amount which, together with any moneys already on deposit in the Bond Sinking Fund and available to make such payment is not less than the principal becoming due on the Bonds on such dates.

(c) In lieu of the mandatory Bond Sinking Fund redemption, the Bond Trustee shall, at the Written Request of the Corporation, purchase for cancellation an equal principal amount of Bonds of the maturity to be redeemed in the open market identified by the Corporation at prices specified by the Corporation not exceeding the principal amount of the Bonds being purchased plus accrued interest with such interest portion of the purchase price to be paid from the Interest Fund and the principal portion of such purchase price to be paid from the Bond Sinking Fund. In addition, the amount of Bonds to be redeemed on any date pursuant to the mandatory Bond

Sinking Fund redemption schedule shall be reduced by the principal amount of Bonds of the maturity required to be redeemed which are acquired by the Corporation or any other Member and delivered to the Bond Trustee for cancellation.

(d) In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee may, at the written request of the Corporation, use any amounts on deposit in the Bond Sinking Fund in excess of the amount needed to pay principal on the Bonds remaining outstanding on the first principal or Sinking Fund Installment date occurring on or after the date of such redemption or defeasance to pay or provide for the payment of the principal or Redemption Price of and interest on the Bonds to be redeemed or defeased or as otherwise directed by the Corporation if a Favorable Opinion of Bond Counsel has been delivered.

Optional Redemption Fund.

There is established with the Bond Trustee and maintained so long as any of the Bonds are outstanding a separate fund to be known as the “Optional Redemption Fund — Front Porch Communities and Services — Series 2021” (the “Optional Redemption Fund”). In the event of (i) prepayment by or on behalf of the Corporation or any other Member of Loan Prepayments or amounts payable on the Bond Obligation, including prepayment with condemnation or insurance proceeds or proceeds of a sale consummated under threat of condemnation, or (ii) deposit with the Bond Trustee by the Corporation, any other Member or the Authority of moneys from any other source for redeeming Bonds or purchasing Bonds for cancellation, such moneys shall, except as otherwise provided in the Bond Indenture, be deposited in the Optional Redemption Fund. Moneys on deposit in the Optional Redemption Fund shall be used, first, to make up any deficiencies existing in the Interest Fund and the Bond Sinking Fund (in the order listed) and, second, for the redemption or purchase of Bonds in accordance with the provisions of the Bond Indenture.

Investment of Funds.

(a) Upon a Written Request of the Corporation to the Bond Trustee, moneys in the Project Fund, Revenue Fund, the Interest Fund, the Bond Sinking Fund, the Optional Redemption Fund and the Rebate Fund shall be invested in Qualified Investments specified by the Corporation.

(b) Unless otherwise specifically provided in the Bond Indenture, all interest, profits and other income received from the investment of moneys in any fund or account established pursuant to the Bond Indenture shall be deposited when received in such fund or account.

(c) All income from investments on deposit in the Rebate Fund shall be retained therein.

Trust Funds; Establishment of Funds and Accounts.

Except in relation to certain tendered Bonds only, as more particularly described in the Bond Indenture, all moneys received by the Bond Trustee under the provisions of the Bond Indenture shall be trust funds for the benefit of all Bonds outstanding under the Bond Indenture (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of the Authority or the Corporation. Such moneys shall be held in trust and applied in accordance with the provisions of the Bond Indenture. The Bond Trustee is authorized under the Bond Indenture to establish the funds, accounts or subaccounts, or any additional funds, accounts or subaccounts as are necessary or advisable to carry out its duties thereunder.

Rebate Fund for Series 2021A Bonds.

The Bond Trustee shall establish and maintain a separate account to be known as the “Rebate Fund — Front Porch Communities and Services — Series 2021A” (the “Rebate Fund”). The Bond Trustee shall make information regarding the Series 2021A Bonds and investments under the Bond Indenture available to the Corporation and shall deposit income from such investments upon receipt thereof in the Rebate Fund and shall maintain records for each investment relating to the purchase price thereof.

If a deposit to the Rebate Fund is required as a result of the computations made by the Corporation pursuant to the Tax Agreement, the Bond Trustee shall, upon receipt of written direction from the Corporation, accept such payment and deposit such payment in the Rebate Fund for the benefit of the Corporation.

Tax Covenants for Series 2021A Bonds.

The Authority shall at all times do and perform all acts and things reasonably within its control which are necessary or desirable in order to assure that interest paid on the Series 2021A Bonds will be excluded from gross income for federal income tax purposes and shall take no action reasonably within its control that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Authority agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Series 2021A Bonds.

Amendment of Loan Agreement.

(a) Except as provided in paragraph (b) below, the Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination unless the written consent of the Holders of a majority in principal amount of the Bonds then Outstanding to such amendment, modification or termination is filed with the Bond Trustee, provided that no such amendment, modification or termination shall reduce the amount of Loan Repayments to be made to the Authority or the Bond Trustee by the Obligated Group pursuant to the Loan Agreement, or extend the time for making such payments, without the written consent of all of the Holders of the Bonds then Outstanding.

(b) Notwithstanding the provisions of paragraph (a) above, the terms of the Loan Agreement may also be modified or amended from time to time and at any time by the Authority without the necessity of obtaining the consent of any Bondholders only to the extent permitted by law and only for any one or more of the following purposes:

(i) to add to the covenants and agreements of the Authority, the Corporation contained in the Loan Agreement other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the Authority, the Corporation, provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely affect the interests of the Holders of the Bonds;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Loan Agreement, or in regard to matters or questions arising under the Loan Agreement, as the Authority may deem necessary or desirable and not inconsistent with the Loan Agreement or the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds;

(iii) to maintain the exclusion from gross income of interest payable with respect to the Bonds;

(iv) to make any changes required by any Rating Agency to obtain or maintain a rating on the Bonds and which shall not materially adversely affect the interests of the Holders of the Bonds;

(v) to comply with the provisions of federal or state securities laws;

(vi) to make any modification or amendment to the Loan Agreement which will be effective upon the Conversion and/or remarketing of Bonds following the mandatory tender of the Bonds pursuant to the Bond Indenture; and

(vii) to make any other changes which will not materially adversely affect the interests of the Holders of the Bonds.

Release and Substitution of Bond Obligation upon Delivery of Replacement Master Indenture.

(a) At the option of the Corporation and without the consent of any Holders, the Bond Obligation shall be surrendered by the Bond Trustee and delivered to the Master Trustee for cancellation upon the terms and conditions set forth in the Master Indenture.

(b) Upon satisfaction of such conditions, references in the Bond Indenture, the Loan Agreement and in the Bonds to (i) the Bond Obligation shall become references to the Replacement Obligation (as defined in the Master Indenture), (ii) the Master Indenture shall become references to the Replacement Master Indenture (as defined in the Master Indenture), (iii) the Master Trustee shall become references to the master trustee under the Replacement Master Indenture, (iv) the Obligated Group and the Members shall become references to the obligated group and the members of the obligated group under the Replacement Master Indenture and (v) Supplement No. 6 shall become references to the supplemental master indenture, if any, pursuant to which the Replacement Obligation shall be issued.

Continuing Disclosure.

Pursuant to the Loan Agreement, the Corporation has undertaken all responsibility for compliance with continuing disclosure requirements, and the Authority shall have no liability to the Holders of the Bonds or any other Person with respect to Rule 15c2 12. Notwithstanding any other provision of the Bond Indenture, failure of the Corporation or the Dissemination Agent (as defined in the Continuing Disclosure Agreement) to comply with the Continuing Disclosure Agreement shall not be considered an Event of Default; however, the Bond Trustee may (and, at the request of any Participating Underwriter (as defined in the Continuing Disclosure Agreement) or the Holders of at least 25% aggregate principal amount of Outstanding Bonds and being provided indemnification satisfactory to it, shall) or any Bondholder or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the Loan Agreement or to cause the Bond Trustee to comply with its obligations under this section of the Bond Indenture.

Events of Default.

The following events, among others, shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration or otherwise, or default in the redemption of any Bonds from Sinking Fund Installments in the amount and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) failure to pay the Purchase Price of any Bond tendered pursuant to the applicable provisions of the Bond Indenture when such payment is due (failure to pay Purchase Price on a Conversion of Bonds from a Fixed Period is not considered an Event of Default);

(d) a Loan Default Event;

(e) the Authority shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Bonds or in the Bond Indenture or any agreement supplemental thereto to be performed on the part of the Authority, and such default shall continue for the period of 60 days after written notice specifying such default and requiring the same to be remedied shall have been given to the Authority and the Corporation by the Bond Trustee which notice the Bond Trustee may give in its discretion and must give at the written request of the owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding under the Bond Indenture exclusive of Bonds then owned by the Authority

or any Member; provided that, if such default cannot with due diligence and dispatch be cured within 60 days but can be cured, the failure of the Authority to remedy such default within such 60 day period shall not constitute a default under the Bond Indenture if the Bond Trustee is provided with a certification from the Authority or the Corporation, as the case may be, to the effect that such default cannot with due diligence and dispatch be cured within 60 days but can be cured and the Authority or the Corporation, as the case may be, shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch within 180 days of the delivery of such default notice; or

(f) a declaration by the Master Trustee of the entire principal amount of all Outstanding Master Indenture Obligations (as defined in the Master Indenture) and the interest accrued thereon to be immediately due and payable.

Acceleration; Annulment of Acceleration.

(a) If an Event of Default, described in paragraphs (a), (b), (c) or (f) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, then the Bond Trustee shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Bond Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Bond Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(b) If an Event of Default described in paragraph (d) of the section above captioned “THE BOND INDENTURE—Events of Default” shall occur, the Bond Trustee may take whatever action the Authority would be required to take pursuant to the Loan Agreement in order to remedy the Loan Default Event. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Bond Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Bond Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(c) If an Event of Default, described in paragraph (e) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, the Bond Trustee may take whatever action at law or in equity is necessary or desirable to enforce the performance, observance or compliance by the Authority with any covenant, agreement or condition by the Authority under the Bond Indenture. In addition, if an Event of Default described in paragraph (e) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, the Bond Trustee, may and, upon the written request of Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Bond Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Bond Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(d) Upon the declaration by the Bond Trustee of the principal of all Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, the principal of all the Bonds then Outstanding, and the interest accrued thereon, shall become and shall be immediately due and payable, anything in the Bond Indenture to the contrary notwithstanding. The Bond Trustee shall give or cause to be given notice of acceleration of the Bonds by first class mail to the Bondholders and of such date for payment upon acceleration at least eight days before such date for payment. Notice of such declaration having been given as aforesaid, anything to the contrary contained in the Bond Indenture or in the Bonds, interest shall cease to accrue on such Bonds from and after the date set forth in such notice (which date shall be no more than eight days from the date of such declaration). The Bond Trustee shall not be required to make payment to any Bondholder until the Bonds shall be presented to the Bond Trustee for appropriate endorsement or for cancellation if fully paid. Any such declaration,

however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority (but only out of Revenues received from or on behalf of the Corporation) or the Corporation shall deposit with the Bond Trustee a sum sufficient to pay all the principal, Redemption Price and Purchase Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable charges and expenses of the Bond Trustee, and if the Bond Trustee has received notification from the Master Trustee that the declaration of acceleration of the Bond Obligation has been annulled pursuant to the Master Indenture and any and all other defaults known to the Bond Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Bond Trustee or provision deemed by the Bond Trustee to be adequate shall have been made therefor, then the Bond Trustee shall, by written notice to the Authority, the Corporation and the Bond Trustee, on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon.

(e) In the event that the Master Trustee has accelerated the Bond Obligation and is pursuing its available remedies under the Master Indenture, the Bond Trustee, without waiving any Event of Default under the Bond Indenture, agrees not to pursue its available remedies under the Bond Indenture or the Loan Agreement in a manner that would hinder or frustrate the pursuit by the Master Trustee of its remedies under the Master Indenture provided that the Bond Trustee may take any action permitted of an Obligation holder under the Master Indenture.

Rights of the Bond Trustee and the Authority Concerning the Bond Obligation.

The Bond Trustee, as pledgee and assignee of certain of the right, title and interest of the Authority in and to the Loan Agreement and all of its right, title and interest as assignee of the Bond Obligation shall, upon compliance with applicable requirements of law and except as otherwise set forth in the Bond Indenture, be the real party in interest with standing to enforce each and every right granted to the Authority under the Loan Agreement (other than with respect to its Unassigned Rights) and under the Bond Obligation which have been assigned to the Bond Trustee by the Bond Indenture. The Authority and the Bond Trustee agree, under the Bond Indenture, without in any way limiting the effect and scope thereof, that the pledge and assignment under the Bond Indenture to the Bond Trustee of rights of the Authority in and to the Bond Obligation and certain rights of the Authority under the Loan Agreement shall constitute an agency appointment coupled with an interest on the part of the Bond Trustee which, for all purposes of the Bond Indenture, shall be irrevocable and shall survive and continue in full force and effect notwithstanding the bankruptcy or insolvency of the Authority or its default under the Bond Indenture or on the Bonds. In exercising such rights and the rights given the Bond Trustee under the Bond Indenture, the Bond Trustee shall take such action as, in the judgment of the Bond Trustee, would best serve the interests of the Bondholders, taking into account the provisions of the Master Indenture, together with the security and remedies afforded to Holders of Obligations thereunder.

Additional Remedies and Enforcement of Remedies.

(a) Upon the occurrence and continuance of any Event of Default, the Bond Trustee may, upon the written request of the Holders of a majority in principal amount of the Bonds Outstanding, together with indemnification of the Bond Trustee to its satisfaction therefor, proceed forthwith to protect and enforce its rights and the rights of the Bondholders under the Bond Indenture and under the Act and the Bonds by such suits, actions or proceedings as the Bond Trustee, being advised by counsel, shall deem expedient, including but not limited to: (i) civil action to recover money or damages due and owing; (ii) civil action to enjoin any acts or things, which may be unlawful or in violation of the rights of the Holders of Bonds; (iii) enforcement of any other right of the Authority and the Bondholders conferred by law or by the Bond Indenture; and (iv) enforcement of any other right conferred by the Loan Agreement, the Bond Obligation or the Master Indenture.

(b) Regardless of the happening of an Event of Default, the Bond Trustee, if requested in writing by the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, shall, upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised

shall be necessary or expedient (i) to prevent any impairment of the security under the Bond Indenture by any acts which may be unlawful or in violation thereof, or (ii) to preserve or protect the interests of the Holders; provided that such request is in accordance with law and the provisions of the Bond Indenture.

Application of Revenues and Other Funds After Default.

If an Event of Default shall occur and be continuing, all moneys received by the Bond Trustee pursuant to any right given or action taken under the provisions of the Bond Indenture (subject to the trust provisions in the Bond Indenture relating to monies held by the Bond Trustee for the benefit of certain Holders of particular Bonds) shall be applied by the Bond Trustee as follows and in the following order:

(a) To the payment of any expenses necessary in the opinion of the Bond Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees and expenses of the Bond Trustee (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under the Bond Indenture and the creation of a reasonable reserve for anticipated fees, costs and expenses;

(b) To the payment of Administrative Fees and Expenses to the Authority; and

(c) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Bond Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

FIRST: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the Persons entitled thereto, without any discrimination or preference; and

SECOND: To the payment to the Persons entitled thereto of the unpaid principal (including Sinking Fund Installments) or Purchase Price or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption or purchase, in the order of their due dates with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the Persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable to the payment of the principal and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal and interest, to the Persons entitled thereto without any discrimination or preference.

(iii) Notwithstanding anything in the Bond Indenture to the contrary, in no event shall the Bond Trustee be entitled to payment of its fees or expenses from any amounts held under the Bond Indenture which constitute remarketing proceeds or any moneys held under the Bond Purchase Fund.

Remedies Not Exclusive.

No remedy by the terms of the Bond Indenture conferred upon or reserved to the Bond Trustee or the Bondholders is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under the Bond Indenture or existing at law or in equity or by statute (including the Act) on or after the date of the Bond Indenture.

Remedies Vested in Bond Trustee.

All rights of action (including the right to file proof of claims) under the Bond Indenture or under any of the Bonds may be enforced by the Bond Trustee, without the possession of any of the Bonds or the production thereof in any trial or other proceedings relating thereto. Any such suit or proceeding may be brought without the necessity of joining as plaintiffs or defendants any Holders of the Bonds. Subject to the provisions of the Bond Indenture summarized in this Appendix C under the section captioned “THE BOND INDENTURE—Application of Revenues and Other Funds After Default”, any recovery or judgment shall be for the equal benefit of the Holders of the Outstanding Bonds. Nothing in the Bond Indenture shall be deemed to authorize the Bond Trustee to authorize or consent to or accept or adopt on behalf of any Owner any plan of reorganization, arrangement, adjustment, or composition affecting the Bonds or the rights of any Owner thereof, or to authorize the Bond Trustee to vote in respect of the claim of any Owner in any such proceeding without the approval of the Owner so affected.

Bondholders’ Control of Proceedings.

If an Event of Default shall have occurred and be continuing, the Holders of a majority in principal amount of all Bonds then Outstanding shall have the right, at any time, by an instrument or instruments in writing executed and delivered to the Bond Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions of the Bond Indenture, provided that such direction is in accordance with law and the provisions of the Bond Indenture (including indemnity to the Bond Trustee as provided in the Bond Indenture). Nothing in this paragraph shall impair the right of the Bond Trustee in its discretion to take any other action under the Bond Indenture which it may deem proper and which is not inconsistent with such direction by Bondholders.

Individual Bondholder Action Restricted.

(a) No Holder of any Bond shall have any right to institute any suit, action or proceeding in equity or at law for the enforcement of the Bond Indenture or for the execution of any trust under the Bond Indenture or for any remedy thereunder except upon the occurrence of all of the following events:

(i) the Holders of at least a majority in aggregate principal amount of Bonds Outstanding shall have made written request to the Bond Trustee to proceed to exercise the powers granted in the Bond Indenture; and

(ii) such Bondholders shall have offered the Bond Trustee indemnity as provided in the Bond Indenture; and

(iii) the Bond Trustee shall have failed or refused to exercise the duties or powers granted in the Bond Indenture for a period of 60 days after receipt by it of such request and offer of indemnity; and

(iv) during such 60 day period no direction inconsistent with such written request has been delivered to the Bond Trustee by the Holders of a majority in principal amount of Bonds then Outstanding.

(b) No one or more Holders of Bonds shall have any right in any manner whatsoever to affect, disturb or prejudice the security of the Bond Indenture or to enforce any right under the Bond Indenture except in the manner therein provided and for the equal benefit of the Holders of all Bonds Outstanding.

(c) Nothing contained in the Bond Indenture shall affect or impair, or be construed to affect or impair, the right of the Holder of any Bond (i) to receive payment of the principal of or interest on such Bond, as the case may be, on or after the due date thereof or (ii) to institute suit for the enforcement of any such payment on or after such due date; provided, however, no Holder of any Bond may institute or prosecute any such suit or enter judgment therein if, and to the extent that, the judgment therein would, under applicable law, result in the surrender, impairment, waiver or loss of the lien of the Bond Indenture on the money, funds and properties pledged under the Bond Indenture for the equal and ratable benefit of all Holders of Bonds.

Waiver of Event of Default.

(a) No delay or omission of the Bond Trustee or of any Holder of the Bonds to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or in acquiescence therein.

(b) The Bond Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Bond Indenture, on or before the completion of the enforcement of any other remedy thereunder.

(c) The Bond Trustee, upon the written request of the Holders of a majority in principal amount of the Bonds then Outstanding, shall waive any Event of Default under the Bond Indenture and its consequences; provided, however, that a default in the payment of the principal or Redemption Price of or interest on any Bond, when the same shall become due and payable by the terms thereof or upon call for redemption, may not be waived without the written consent of the Holders of all the Bonds at the time Outstanding, for which payment of the principal or Redemption Price of or interest on has not been made.

(d) In case of any waiver by the Bond Trustee of an Event of Default under the Bond Indenture, the Authority, the Bond Trustee and the Bondholders shall be restored to their former positions and rights thereunder, respectively, but no such waiver shall extend to any subsequent or other Event of Default or impair any right consequent thereon. The Bond Trustee shall not be responsible to anyone for waiving or refraining from waiving any Event of Default described in this section.

Limitations on Remedies.

It is the purpose and intention of the Bond Indenture to provide rights and remedies to the Bond Trustee and Bondholders which may be lawfully granted, but should any right or remedy therein granted be held to be unlawful, the Bond Trustee and the Bondholders shall be entitled, as above set forth, to every other right and remedy provided in the Bond Indenture and by law.

No Obligation of Authority to Enforce Assigned Rights.

Notwithstanding anything to the contrary in the Bond Indenture, the Authority shall have no obligation to and instead the Bond Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority under the Bond Indenture or the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Amendments to Bond Indenture.

(a) The Bond Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Bond Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which, the Authority and the Bond Trustee may enter into with the written

consent of the Holders of a majority in aggregate principal amount of the Bonds then Outstanding and the Corporation, shall have been filed with the Bond Trustee. No such modification or amendment shall (1) extend the Maturity Date of any Bond, or reduce the amount of principal thereof, or extend the time of payment or change the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, or reduce any premium payable upon the redemption thereof, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds, the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien prior to or on a parity with the lien created by the Bond Indenture, or deprive the Holders of the Bonds of the lien created by the Bond Indenture (except as expressly provided in the Bond Indenture), without the consent of the Holders of all Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Bond Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Bond Trustee of any Supplemental Bond Indenture pursuant to the provisions of the Bond Indenture described in this paragraph (a), the Bond Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Bond Indenture to the Bondholders at the addresses shown on the registration books maintained by the Bond Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Bond Indenture.

(b) The Bond Indenture and the rights and obligations of the Authority, of the Bond Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Bond Trustee may enter into with the consent of the Corporation, but without the necessity of obtaining the consent of any Bondholders, only to the extent permitted by law and only for any one or more of the following purposes:

(i) to add to the covenants and agreements of the Authority contained in the Bond Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the Authority; provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Bond Indenture, or in regard to matters or questions arising under the Bond Indenture, including but not limited to reflecting the creation of separate Sub-Series for the Bonds, reflecting the serialization of the Bonds upon their Conversion to a Fixed Mode or reflecting the conversion of serial Bonds to term Bonds or other adjustments to the amortization and payment schedule in connection with their Conversion from a Fixed Mode, as the Authority or the Bond Trustee may deem necessary or desirable and not inconsistent with the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds;

(iii) to modify, amend or supplement the Bond Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel;

(iv) to facilitate and implement any book-entry system (or any termination of a book-entry system) with respect to the Bonds in accordance with the terms of the Bond Indenture;

(v) to maintain the exclusion from gross income of interest payable with respect to the Bonds;

(vi) to make any modification or amendment to the Bond Indenture which will be effective upon the Conversion and/or remarketing of Bonds following the mandatory tender of the Bonds pursuant to the Bond Indenture;

(vii) to provide for the appointment of a successor bond trustee or co-trustee pursuant to the Bond Indenture; or

(viii) to make any modification or amendment to the Bond Indenture which shall not materially adversely affect the interests of the Holders of the Bonds.

(c) The Bond Trustee may in its discretion, but shall not be obligated to, enter into any such Supplemental Bond Indenture authorized by paragraphs (a) or (b) above which materially adversely affects the Bond Trustee's own rights, duties or immunities under the Bond Indenture or otherwise.

Effect of Supplemental Bond Indenture.

Upon the execution of any Supplemental Bond Indenture pursuant to the Bond Indenture, the Bond Indenture shall be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Bond Indenture of the Authority, the Bond Trustee and all Holders of Bonds Outstanding shall thereafter be determined, exercised and enforced under the Bond Indenture subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Bond Indenture shall be deemed to be part of the terms and conditions of the Bond Indenture for any and all purposes.

Amendment of Particular Bonds.

The foregoing provisions shall not prevent any Bondholder from accepting any amendment as to the particular Bonds held by such Bondholder; provided that due notation thereof is made on such Bonds.

Discharge of Bond Indenture.

Bonds may be paid in any of the following ways, provided that the Corporation also pays or causes to be paid any other sums payable under the Bond Indenture and related to such Bonds:

(a) by paying or causing to be paid the principal or Redemption Price of and interest on Outstanding Bonds, as and when the same become due and payable;

(b) by depositing with the Bond Trustee, in trust, at or before maturity, money or United States Government Obligations in the amount necessary (as provided in the Bond Indenture and described in this Appendix C under the section captioned "THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee") to pay or redeem all Bonds Outstanding; or

(c) by delivering to the Bond Trustee, for cancellation by it, Outstanding Bonds.

If the Authority, the Corporation or the Bond Trustee shall also pay or cause to be paid all other sums payable under the Bond Indenture by the Authority, and if the Corporation shall have paid all expenses payable to the Authority and the Bond Trustee, and any indemnification owed to the Authority and Bond Trustee, then and in that case, at the election of the Corporation (evidenced by a Certificate of the Corporation, filed with the Bond Trustee, signifying the intention of the Corporation to discharge all such indebtedness and the Bond Indenture), and notwithstanding that any Bonds shall not have been surrendered for payment, the Bond Indenture and the pledge of the trust estate and other assets made under the Bond Indenture and all covenants, agreements and other obligations of the Authority under the Bond Indenture shall cease, terminate, become void and be completely discharged and satisfied (except with respect to the transfer or exchange of Bonds provided for in the Bond Indenture or Bonds, the payment of principal of and interest on the Bonds when due, the redemption of Bonds provided for in the Bond Indenture and the payment of or the provision for any rebate payments then due and

payable to the United States Treasury as specified in the Tax Agreement). In such event, upon Written Request of the Corporation, the Bond Trustee shall execute and deliver to the Authority and the Corporation all such instruments as may be necessary or desirable (and prepared by or on behalf of the Authority or the Corporation) to evidence such discharge and satisfaction, and the Bond Trustee shall pay over, transfer, assign or deliver to the Corporation all moneys or securities or other property held by it pursuant to the Bond Indenture which are not required for the payment or redemption of Bonds not theretofore surrendered for such payment or redemption. The release of the obligations of the Authority under the Bond Indenture shall be without prejudice to the right of the Bond Trustee to be paid reasonable compensation for all services rendered thereunder by it and all reasonable expenses, charges and other disbursements (from any money in its possession under the provisions of the Bond Indenture, subject only to the prior lien of the Bonds for the payment of the principal thereof and the interest thereon) incurred on or about the administration of the trust created by the Bond Indenture and the performance of its duties under the Bond Indenture, nor its right to indemnification thereunder and under the Loan Agreement.

Effect of Defeasance.

Upon the deposit with the Bond Trustee, in trust, at or before maturity, of money or securities in the amount necessary (as provided in the Bond Indenture and described in this Appendix C under the section captioned “THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee”) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond) and, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provisions satisfactory to the Bond Trustee shall have been made for the giving of such notice, the Bond Indenture may be released and discharged in accordance with the relevant provisions thereof, but the liability of the Authority in respect of such Bonds shall continue but only to the extent that the Holder thereof shall thereafter be entitled only to payment out of such money or securities deposited with the Bond Trustee as aforesaid for their payment; and, provided, further, that the provisions of the Bond Indenture described in this Appendix C under the section captioned “THE BOND INDENTURE—Payment of Bonds After Discharge of Bond Indenture” shall apply in any event.

Deposit of Money or Securities with Bond Trustee.

Whenever in the Bond Indenture it is provided or permitted that there be deposited with or held in trust by the Bond Trustee money or securities in the amount necessary to pay or redeem any Bonds, the money or securities so to be deposited or held may include money or securities held by the Bond Trustee in the funds and accounts established pursuant to the Bond Indenture and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) United States Government Obligations (not callable by the issuer thereof prior to maturity), the principal of and interest on which when due will provide money sufficient, without regard to any reinvestment thereof, to pay the principal or Purchase Price for any Bonds tendered for purchase (in which case the tendered Bonds shall be purchased and shall be cancelled), or Redemption Price of and all unpaid interest to maturity or to the Purchase Date or redemption date, as the case may be, on the Bonds to be paid, purchased or redeemed, as such principal or Redemption Price and interest become due; provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice; and, provided further, in each case, that the Bond Trustee shall have been irrevocably instructed (by the terms of the Bond Indenture or by Written Request of the Corporation or the Authority) to apply such money to the payment of such principal or Purchase Price or Redemption Price and interest with respect to such Bonds.

Prior to any defeasance becoming effective as described in this section, the Corporation shall deliver, or caused to be delivered, to the Bond Trustee and the Authority if United States Government Obligations comprise all or part of the defeasance deposit, a copy of a certificate or report of a verification agent or an independent certified public accountant firm indicating the sufficiency of the maturing principal and the interest income on such United States Government Obligations to pay when due the principal or Redemption Price of and interest on such Bonds.

Payment of Bonds After Discharge of Bond Indenture.

Notwithstanding the discharge of the lien of the Bond Indenture as provided in the Bond Indenture, the Bond Trustee shall nevertheless retain such rights, powers and duties under the Bond Indenture as may be necessary and convenient for the payment of amounts due or to become due on the Bonds and the registration, transfer, exchange and replacement of Bonds as provided therein. Subject to any applicable escheat law, any money held by the Bond Trustee for the payment of the principal, Redemption Price or Purchase Price of or interest on any Bond remaining unclaimed for three years after the principal or Purchase Price of all Bonds has become due and payable, whether at maturity or proceedings for redemption or tender for purchase or by declaration as provided in the Bond Indenture, shall then be paid to the Corporation (without liability for interest) and the Holders of any Bonds not theretofore presented for payment shall thereafter be entitled to look only to the Corporation for payment thereof and all liability of the Bond Trustee and the Authority with respect to such moneys shall thereupon cease.

Redemption after Satisfaction of Bond Indenture.

Notwithstanding anything to the contrary in the Bond Indenture, upon the provision for payment of the Bonds or a portion thereof through a date subsequent to any optional redemption date as specified in sub-paragraph (b) under the section captioned “THE BOND INDENTURE—Discharge of Bond Indenture”, the optional redemption provisions of the Bond Indenture allowing such Bonds to be called prior to maturity upon proper notice (notwithstanding provision for the payment of such Bonds having been made through a date subsequent to the first optional redemption date) shall remain available to the Authority, upon direction of the Corporation, unless, in connection with making such deposit, the Authority, at the direction of the Corporation, shall have irrevocably elected in writing to waive any future right to call the Bonds or portions thereof for redemption prior to maturity. Notwithstanding anything to the contrary in the Bond Indenture, upon the provision for payment of the Bonds or a portion thereof prior to the maturity thereof as specified in sub-paragraph (b) under the section captioned “THE BOND INDENTURE—Discharge of Bond Indenture,” the Authority, upon direction of the Corporation, may elect to pay such Bonds on the respective maturity dates therefor unless, in connection with making such deposits, the Authority, at the direction of the Corporation, shall have irrevocably elected in writing to waive such right to provide for the payment thereof on the Maturity Date. No such redemption or restructuring shall occur, however, unless the Corporation shall deliver on behalf of the Authority to the Bond Trustee, (a) United States Government Obligations and/or cash sufficient to discharge such Bonds (or portion thereof) on the redemption or maturity date or dates selected, (b) a copy of a certificate or report of a verification agent or an independent certified public accountant firm indicating that such United States Government Obligations, together with the expected earnings thereon, and/or cash will be sufficient to provide for the payment of such Bonds to the redemption or maturity dates, and (c) with respect to the Series 2021A Bonds, a Favorable Opinion of Bond Counsel. The Bond Trustee will give written notice of any such redemption or restructuring to the owners of the Bonds affected thereby.

Disqualified Bonds.

In determining whether the Holders of the requisite aggregate principal amount of Bonds have concurred in any demand, request, direction, consent or waiver under the Bond Indenture, Bonds which are owned or held by or for the account of the Authority, the Corporation, or by any other obligor on the Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority, the Corporation or any other obligor on the Bonds, shall be disregarded and deemed not to be Outstanding for the purpose of any such determination; except that in determining whether the Bond Trustee shall be protected in

relying upon any such demand, request, direction, consent or waiver of an Owner, only Bonds which a Responsible Officer of the Bond Trustee actually knows to be owned or held by or for the account of the Authority or the Corporation, or by any other obligor on the Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority or the Corporation or any other obligor on the Bonds, shall be disregarded unless all Bonds are so owned or held, in which case such Bonds shall be considered Outstanding for the purpose of such determination. Bonds so owned which have been pledged in good faith may be regarded as Outstanding if the pledgee shall establish to the satisfaction of the Bond Trustee the pledgee's right to vote such Bonds and that the pledgee is not a person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority, the Corporation or any other obligor on the Bonds. In case of a dispute as to such right, any decision by the Bond Trustee taken upon the advice of counsel shall be full protection to the Bond Trustee. Upon request of the Bond Trustee, the Authority and the Corporation shall specify in a certificate to the Bond Trustee those Bonds disqualified and the Bond Trustee may conclusively rely on any such certificate.

Money Held for Particular Bonds.

The money held by the Bond Trustee for the payment of the interest, principal or Redemption Price due on any date with respect to particular Bonds (or portions of Bonds in the case of Bonds redeemed in part only) shall, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Holders of the Bonds entitled thereto, subject, however, to the provisions described under the section captioned "THE BOND INDENTURE—Payment of Bonds After Discharge of Bond Indenture."

Deemed Consent to Amended and Restated Master Indenture.

The Holders, by purchasing the Bonds, will be deemed to have irrevocably consented to and approved the amendments to the Original Master Indenture set forth in the Amended and Restated Master Indenture, and to have waived, and be deemed to have waived, and consented to the waiver by the Bond Trustee of, any and all other formal notice, implementation, execution or timing requirements that may otherwise be required under the Original Master Indenture in order to implement the Amended and Restated Master Indenture. Such consent and waiver will be effective on the Date of Issuance, will be binding on any subsequent purchaser of any Bonds, and may not be revoked after the issuance of the Bonds. Pursuant to the consent of the Holders, the Bond Trustee, as the assignee of the Bond Obligation, is irrevocably directed to consent to the amendments to the Original Master Indenture set forth in the Amended and Restated Master Indenture, waive any and all other formal notice, implementation, execution or timing requirements that may otherwise be required under the Original Master Indenture in order to implement the Amended and Restated Master Indenture, and to evidence its consent to such amendments by executing any direction, consent, instruction, approval or other document, in the Bond Trustee's capacity as holder of the Bond Obligation for the benefit of the Holders, as may be requested by the Master Trustee.

THE LOAN AGREEMENT

General.

The Loan Agreement, among other matters, provides the terms of a loan of the proceeds of the Bonds by the Authority to the Corporation and the repayment of such loan by the Corporation. Certain provisions of the Loan Agreement are summarized below.

The following is a summary of certain provisions of the Loan Agreement not described elsewhere in this Official Statement. This summary does not purport to be complete or definitive and reference is made to the Loan Agreement for the complete terms thereof.

Issuance of the Bonds; Application of Proceeds of Bonds; Issuance of Bond Obligation.

(a) Pursuant to the Bond Indenture, the Authority has authorized the issuance of the Bonds. The proceeds of the Bonds shall be applied under the terms and conditions of the Loan Agreement and the Bond Indenture. The Corporation pursuant to the Loan Agreement approves the Bond Indenture and the issuance of the Bonds thereunder by the Authority, and the assignment thereunder to the Bond Trustee of the right, title and interest (but none of the obligations) of the Authority in the Loan Agreement (except for the Authority's Unassigned Rights) and the Bond Obligation.

(b) In consideration of the issuance of the Bonds by the Authority and the application of the proceeds thereof as provided in the Bond Indenture, the Corporation agrees to issue, or cause to be issued, and to cause to be authenticated and delivered to the Authority or its designee, pursuant to the Master Indenture and Supplement No. 6, concurrently with the issuance and delivery of the Bonds, the Bond Obligation in substantially the form set forth in Supplement No. 6. The Authority agrees that the Bond Obligation shall be registered in the name of the Bond Trustee. The Corporation agrees that the aggregate principal amount of the Bond Obligation shall be limited to the principal amount of the Bonds except for any Obligation authenticated and delivered in lieu of another Obligation as provided in Supplement No. 6 with respect to the mutilation, destruction, loss or theft of the Bond Obligation or, subject to the provisions described in subsection (c) below, upon registration of transfer of the Bond Obligation. Issuance and delivery of the Bonds by the Authority shall be a condition of the issuance and delivery of the Bond Obligation.

(c) The Corporation agrees that, except as described in subsection (d) below, so long as any Bond remains Outstanding, the Bond Obligation shall be issuable only as a single obligation without coupons, registered as to principal and interest in the name of the Bond Trustee, and no transfer of the Bond Obligation shall be registered under the Master Indenture or be recognized by the Corporation except for transfers to a successor Bond Trustee.

(d) Upon the principal of all Master Indenture Obligations Outstanding (within the meaning of that term as used in the Master Indenture) being declared immediately due and payable, the Bond Obligation may be transferred if and to the extent that the Bond Trustee requests that the restrictions described in subsection (c) above on transfers be terminated.

Loan of Bond Proceeds; Loan Repayments

(a) Pursuant to the Bond Indenture, the Authority has authorized the issuance of the Bonds and pursuant to the Loan Agreement loans and advances to the Corporation, and the Corporation pursuant to the Loan Agreement borrows and accepts from the Authority (solely from the proceeds of the sale of such Bonds), the proceeds of the Bonds to be applied under the terms and conditions of the Loan Agreement and the Bond Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees to pay, or cause to be paid, "Loan Repayments" in an amount sufficient to enable the Bond Trustee to make the transfers and deposits required at the times and in the amounts pursuant to the provisions of the Bond Indenture summarized in this Appendix C under the sections captioned "THE BOND INDENTURE—Interest Fund" and "—Bond Sinking Fund." Each Loan Repayment shall be made in immediately available funds. Notwithstanding the foregoing, the Corporation agrees to make payments, or cause payments to be made, at the times and in the amounts required to be paid as principal or Redemption Price of and interest on the Bonds from time to time Outstanding under the Bond Indenture and other amounts required to be paid under the Bond Indenture, as the same shall become due whether at maturity, upon redemption, by declaration of acceleration or otherwise.

(b) Except as otherwise expressly provided in the Loan Agreement, all amounts payable under the Loan Agreement by the Corporation to the Authority shall be paid to the Bond Trustee as assignee of the Authority and the Loan Agreement and all right, title and interest of the Authority in any such payments are assigned and pledged pursuant to the Loan Agreement to the Bond Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority, the Bond Trustee, or their respective designated agents, as the case may be, “Additional Payments,” as follows: All taxes and assessments of any type or character charged to the Authority or to the Bond Trustee affecting the amount available to the Authority or the Bond Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated thereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Bond Trustee and taxes based upon or measured by the net income of the Bond Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Bond Trustee, as the case may be, at the Corporation’s expense, to protest and contest any such taxes or assessments assessed or levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Bond Trustee;

(b) All reasonable fees, charges and expenses of the Bond Trustee for services rendered the Bond Indenture, and all Administrative Fees and Expenses, as and when the same become due and payable;

(c) The reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority or the Bond Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Master Indenture, Supplement No. 6, the Tax Agreement, the Continuing Disclosure Agreement, the Bond Obligation, the Bonds or the Bond Indenture; and

(d) The annual fee of the Authority and the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Loan Agreement, the Master Indenture, Supplement No. 6, the Tax Agreement, the Continuing Disclosure Agreement, the Bond Obligation, the Bonds or the Bond Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving the Loan Agreement, the Master Indenture, Supplement No. 6, the Tax Agreement, the Continuing Disclosure Agreement, the Bond Obligation, the Bonds or the Bond Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Loan Agreement, the Master Indenture, Supplement No. 6, the Tax Agreement, the Continuing Disclosure Agreement, the Bond Obligation, the Bonds or the Bond Indenture.

Credits for Payments

The Corporation shall receive credit against its payments required to be made under the Loan Agreement, in addition to any credits resulting from payment or repayment from other sources, as follows:

(a) on installments of interest in an amount equal to moneys deposited in the Interest Fund, which amounts are available to pay interest on the Bonds, to the extent such amounts have not previously been credited against such payments;

(b) on installments of principal in an amount equal to moneys deposited in the Bond Sinking Fund, which amounts are available to pay principal of the Bonds, to the extent such amounts have not previously been credited against such payments;

(c) on installments of principal and interest in an amount equal to the principal amount of Bonds for the payment at maturity or redemption of which sufficient amounts (as determined by the provisions of the Bond Indenture described in this Appendix C under the section captioned “THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee”) in cash or United States Government Obligations are on deposit as

provided in the provisions of the Bond Indenture described in this Appendix C under the section captioned “THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee”, to the extent such amounts have not previously been credited against such payments, and the interest on such Bonds from and after the date fixed for payment at maturity or redemption thereof. Such credits shall be made against the installments of principal and interest which would have been used, but for such call for redemption, to pay principal of and interest on such Bonds when due or called for mandatory redemption; and

(d) on installments of principal and interest in an amount equal to the principal amount of Bonds acquired by the Corporation and delivered to the Bond Trustee for cancellation or purchased by the Bond Trustee and cancelled, and the interest on such Bonds from and after the date interest thereon has been paid prior to cancellation. Such credits shall be made against the installments of principal and interest which would have been used, but for such cancellation, to pay principal of and interest on such Bonds when due, and with respect to Bonds called for mandatory redemption, against principal installments which would have been used to pay Bonds of the same date.

Prepayment

The Corporation shall have the right at any time or from time to time to prepay all or any part of the Loan Repayments and the Authority agrees that the Bond Trustee shall accept such prepayments when the same are tendered by the Corporation, and the Bond Trustee shall call for redemption Bonds as directed by the Corporation. The Corporation shall be required to prepay Loan Repayments in the amounts and at the times that Bonds are subject to optional or mandatory redemption pursuant to the Bond Indenture. All such prepayments (and the additional payment of any amount necessary to pay the Redemption Price payable upon the redemption of Bonds) shall be deposited upon receipt at the Corporation’s direction in (i) the Bond Sinking Fund or (ii) the Optional Redemption Fund (or in such other Bond Trustee escrow account as may be specified by the Corporation) and, at the request of and as determined by the Corporation, credited against payments due under the Loan Agreement or used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Bond Indenture.

Obligations of the Corporation Unconditional; Net Contract

The obligations of the Corporation to make the Loan Repayments, Additional Payments required and other payments under the Loan Agreement and to perform and observe the other agreements on its part contained in the Loan Agreement shall be absolute and unconditional, and shall not be abated, rebated, setoff, reduced, abrogated, terminated, waived, diminished, postponed or otherwise modified in any manner or to any extent whatsoever, while any Bonds remain Outstanding or any Additional Payments or other payments remain unpaid, regardless of any contingency, event or cause whatsoever, including, without limiting the generality of the foregoing, any natural disaster, acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, the taking by eminent domain or destruction of or damage to its facilities, commercial frustration of purpose, any changes in the laws of the United States of America or of the State of California or any political subdivision of either or in the rules or regulations of any governmental authority, or any failure of the Authority or the Bond Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement or the Bond Indenture. The Loan Agreement shall be deemed and construed to be a “net contract,” and the Corporation shall pay absolutely net the Loan Repayments, Additional Payments and all other payments required under the Loan Agreement, regardless of any rights of setoff, recoupment, abatement or counterclaim that the Corporation might otherwise have against the Authority or the Bond Trustee or any other party or parties.

Tax Covenant relating to Series 2021A Bonds

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Series 2021A Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation

agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Series 2021A Bonds.

Continuing Disclosure

The Corporation pursuant to the Loan Agreement covenants and agrees that it will enter into, comply with and carry out all of the provisions of the Continuing Disclosure Agreement with respect to the Bonds that complies with the provisions of Rule 15c2-12, in form and substance satisfactory to the Participating Underwriter (as defined in Rule 15c2-12). Notwithstanding any other provision of the Loan Agreement or the Bond Indenture, failure of the Corporation to enter into and comply with such a Continuing Disclosure Agreement shall not be considered a Loan Default Event or an Event of Default; however, the Bond Trustee may, and, at the request of any Participating Underwriter (as defined in such Continuing Disclosure Agreement) or the Holders of at least 25% in aggregate principal amount of Outstanding Bonds after receiving indemnification to its satisfaction, shall or any Bondholder or Beneficial Owner may, take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Corporation to comply with its obligations under this section.

Loan Default Events

The following events shall be “Loan Default Events:”

(a) Failure by the Corporation to pay in full any payment required under the Loan Agreement or under the Bond Obligation when due, whether on an interest payment date at maturity, upon a date fixed for prepayment, by declaration, or otherwise pursuant to the terms of the Loan Agreement or thereof;

(b) Failure by the Corporation to observe and perform any other covenant, condition or agreement on its part to be observed or performed in the Loan Agreement for a period of sixty (60) days after written notice, specifying such failure and requesting that it be remedied, shall have been given to the Corporation by the Authority or the Bond Trustee; provided, however, that if the failure is such that it can be corrected but not within such 60-day period, and corrective action is instituted by the Corporation within such period and diligently pursued until such failure is corrected, then such period shall be increased to 180 days after the delivery of such notice of default;

(c) Any representation or warranty made by the Corporation in any document delivered by the Corporation to the Bond Trustee or the Authority in connection with the sale and delivery of the Bonds or the Bond Obligation proves to be untrue when made in any material respect;

(d) An Event of Default under the Bond Indenture or under the Master Indenture; or

(e) The Corporation (i) shall admit in writing its inability to pay its debts generally, (ii) shall make a general assignment for the benefit of creditors, (iii) shall institute any proceeding or voluntary case (A) seeking to adjudicate it a bankrupt or insolvent or (B) seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief or composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief or protection of debtors or (C) seeking the entry of an order for relief or the appointment of a receiver, trustee, custodian or other similar official for it or for any substantial part of its property, (iv) shall take any action to authorize any of the actions described above in this subsection (e), or (v) shall have instituted against it any proceeding (A) seeking to adjudicate it a bankrupt or insolvent or (B) seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief or composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief or protection of debtors or (C) seeking the entry of an order for relief or the appointment of a receiver, trustee, custodian or other similar official for it or for any substantial part of its property, and, if such proceeding is being contested by the Corporation in good faith, such proceeding shall remain undismissed or unstayed for a period of 60 days.

Upon having actual knowledge or written notice of the existence of a Loan Default Event, the Bond Trustee shall give written notice thereof to the Corporation unless the Corporation has expressly acknowledged the existence of such Loan Default Event in a writing delivered by the Corporation to the Bond Trustee or filed by the Corporation in any court.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Bond Trustee on behalf of the Authority, subject to the limitations and its protections in the Bond Indenture as to the enforcement of remedies, may take such action as it deems necessary or appropriate to collect amounts due under the Loan Agreement, to enforce performance and observance of any obligation or agreement of the Corporation under the Loan Agreement or to protect the interests securing the same, and may, without limiting the generality of the foregoing:

(a) Exercise any or all rights and remedies given thereby or available under the Loan Agreement or given by or available under any other instrument of any kind securing the Corporation's performance under the Loan Agreement (including, without limitation, the Bond Obligation and the Master Indenture);

(b) By written notice to the Corporation, declare an amount equal to all amounts then due and payable on the Bonds, whether by acceleration of maturity or otherwise, to be immediately due and payable under the Loan Agreement, whereupon the same shall become immediately due and payable; and

(c) Take any action at law or in equity to collect the payment required under the Loan Agreement then due, whether on the stated due date or by declaration of acceleration or otherwise, for damages or for specific performance or otherwise to enforce performance and observance of any obligation, agreement or covenant of the Corporation under the Loan Agreement.

Notwithstanding any other provision of the Loan Agreement or any right, power or remedy existing at law or in equity or by statute, the Bond Trustee shall not under any circumstances declare the entire unpaid aggregate amount of the payment due under the Loan Agreement to be immediately due and payable except in accordance with the directions of the Master Trustee if the Master Trustee shall have declared the aggregate principal amount of the Bond Obligation and all interest thereon immediately due and payable in accordance with the Master Indenture.

Remedies Not Exclusive; No Waiver of Rights

No remedy in the Loan Agreement conferred upon or reserved to the Authority or the Bond Trustee is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Loan Agreement or now or hereafter existing at law or in equity or otherwise. In order to entitle the Authority or the Bond Trustee to exercise any remedy, to the extent permitted by law, reserved to it contained in the Loan Agreement, it shall not be necessary to give any notice, other than such notice as may be expressly required in the Loan Agreement. Such rights and remedies as are given to the Authority under the Loan Agreement shall also extend to the Bond Trustee, and the Bond Trustee may exercise any rights of the Authority and its own rights under the Loan Agreement, and the Bond Trustee and the Holders of the Bonds shall be deemed third-party beneficiaries of all covenants and conditions in the Loan Agreement contained.

No delay in exercising or omitting to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein, and every such right and power may be exercised from time to time and as often as may be deemed expedient.

Expenses on Default

In the event the Corporation should default under any of the provisions of the Loan Agreement and the Authority or the Bond Trustee should employ attorneys or incur other expenses for the collection of the payments

due under the Loan Agreement, the Corporation agrees that it will on demand therefor pay to the Authority or the Bond Trustee the fees and expenses of such attorneys and such other expenses so incurred by the Authority or the Bond Trustee.

Notice of Default

The Corporation agrees that, as soon as is practicable, and in any event within ten (10) days of a Loan Default Event, the Corporation will furnish the Bond Trustee notice of any event which is a Loan Default Event pursuant to the Loan Agreement which has occurred and is continuing on the date of such notice, which notice shall set forth the nature of such event and the action which the Corporation proposes to take with respect thereto; provided, however, that with respect to a Loan Default Event pursuant to subsection (a) of the provisions of the Loan Agreement summarized in this Appendix C under the section captioned “THE LOAN AGREEMENT—Loan Default Events”, the Bond Trustee shall give the Corporation written notice on the date such default occurs.

Assignment by Authority or Bond Trustee

The Loan Agreement, including the right to receive payments required to be made by the Corporation under the Loan Agreement and to compel or otherwise enforce performance by the Corporation of its other obligations under the Loan Agreement and thereunder, may be assigned and reassigned in whole or in part to one or more assignees or subassignees by the Authority or the Bond Trustee at any time subsequent to its execution without the necessity of obtaining the consent of the Corporation. The Authority expressly acknowledges that all right, title and interest of the Authority in and to the Loan Agreement (excluding Unassigned Rights) have been assigned to the Bond Trustee, as security for the Bonds under and as provided in the Bond Indenture, and that if any Loan Default Event shall occur, the Bond Trustee shall be entitled to act under the Loan Agreement in the place and stead of the Authority.

Application of Moneys Collected

Any amounts collected pursuant to action taken under the provisions of the Loan Agreement relating to loan default events and remedies be applied in accordance with the provisions of the Bond Indenture relating to events of defaults and remedies, and to the extent applied to the payment of amounts due on the Bonds shall be credited against amounts due on the Bond Obligation.

Non-Liability of Authority

(a) The Authority shall not be obligated to pay the principal, Purchase Price or Redemption Price of or interest on the Bonds, except from Revenues and other moneys and assets received by the Bond Trustee pursuant to the Loan Agreement and the Bond Obligation. Neither the faith and credit nor the taxing power of the State of California or any political subdivision thereof (including the Program Participants), nor the faith and credit of the Authority is pledged to the payment of the principal, Purchase Price or Redemption Price of or interest on the Bonds. The Authority shall not be liable for any costs, expenses, losses, damages, claims or actions, of any conceivable kind on any conceivable theory, under or by reason of or in connection with the Loan Agreement, the Bonds or the Bond Indenture, except only to the extent amounts are received for the payment thereof from the Corporation under the Loan Agreement or from the Members under the Bond Obligation.

The Corporation acknowledges that the Authority’s sole source of moneys to repay the Bonds (whether by maturity, redemption, acceleration or otherwise) will be provided by the payments made by the Corporation to the Bond Trustee pursuant to the Loan Agreement or by the Members under the Bond Obligation, together with amounts on deposit in and investment income on certain funds and accounts held by the Bond Trustee under the Bond Indenture, and agrees that if the payments to be made pursuant to the Bond Indenture shall ever prove insufficient to pay all principal, Purchase Price or Redemption Price of and interest on the Bonds as the same shall become due (whether by maturity, redemption, acceleration or otherwise), then upon notice from the Bond Trustee, the Corporation shall pay such amounts as are required from time to time to prevent any deficiency or default in the payment of such principal, Purchase Price or Redemption Price or interest, including, but not

limited to, any deficiency caused by acts, omissions, nonfeasance or malfeasance on the part of the Bond Trustee, the Master Trustee, the Corporation, the Authority or any third party, subject to any right of reimbursement from the Bond Trustee, the Master Trustee, the Authority or any such third party, as the case may be, therefor.

The Corporation acknowledges that the Program Participants shall not be liable for any costs, expenses, losses, damages, claims or actions, of any conceivable kind on any conceivable theory, under or by reason of or in connection with, the Bonds.

Bond Indenture Provisions

The Bond Indenture provisions concerning the Bonds and the other matters therein are an integral part of the terms and conditions of the Loan made by the Authority to the Corporation pursuant to the Loan Agreement, and the execution of the Loan Agreement shall constitute conclusive evidence of approval of the Bond Indenture by the Corporation to the extent it relates to the Corporation. Additionally, the Corporation agrees that, whenever the Bond Indenture by its terms imposes a duty or obligation upon the Corporation, such duty or obligation shall be binding upon the Corporation to the same extent as if the Corporation were an express party to the Bond Indenture, and the Corporation agrees to carry out and perform all of its obligations under the Bond Indenture as fully as if the Corporation were a party to the Bond Indenture.

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APPENDIX D

FORM OF OPINION OF BOND COUNSEL

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APPENDIX D
FORM OF OPINION OF BOND COUNSEL

September 9, 2021

California Statewide Communities
Development Authority
Sacramento, California

California Statewide Communities Development Authority
Revenue Bonds (Front Porch Communities and Services), Series 2021A
and
California Statewide Communities Development Authority
Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable)
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Statewide Communities Development Authority (the “Authority”) in connection with the issuance of \$198,940,000 aggregate principal amount of California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services), Series 2021A (the “Series 2021A Bonds”) and \$106,625,000 aggregate principal amount of California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable) (the “Series 2021B Bonds” and, together with the Series 2021A Bonds, the “Bonds”), issued pursuant to a bond indenture, dated as of September 1, 2021 (the “Bond Indenture”), between the Authority and The Bank of New York Mellon Trust Company, N.A., as bond trustee (the “Bond Trustee”). The Bond Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Front Porch Communities and Services (the “Corporation”) pursuant to a loan agreement, dated as of September 1, 2021 (the “Loan Agreement”), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Bond Indenture.

In such connection, we have reviewed the Bond Indenture; the Loan Agreement; the Tax Agreement relating to the Series 2021A Bonds; an opinion of counsel to the Corporation; certificates of the Authority, the Bond Trustee, the Corporation and others; and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Arnold & Porter Kaye Scholer LLP, special counsel to the Corporation, regarding, among other matters, the current qualification of each of the Corporation and Covia Communities (“Covia”) as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities financed or refinanced with the proceeds of the Series 2021A Bonds in activities that are not considered unrelated trade or business activities of the Corporation or Covia within the meaning of Section 513 of the Code. We note that the opinion of special counsel to the Corporation does not address Section 513 of the Code. Failure of

any of the Corporation or Covia to be organized and operated in accordance with the Internal Revenue Service's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Corporation or Covia within the meaning of Section 513 of the Code, may result in interest on the Series 2021A Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Series 2021A Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Bond Indenture, the Loan Agreement and the Tax Agreement, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Series 2021A Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Bond Indenture, the Loan Agreement and the Tax Agreement and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against joint powers agencies in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or having the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the assets described in or as subject to the lien of the Bond Indenture or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such assets. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement relating to the Bonds, dated August 19, 2021 or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Bond Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Bond Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts held by the Bond Trustee in any fund or account established pursuant to the Bond Indenture, except the Rebate Fund and the Bond Purchase Fund, subject to the provisions of the Bond Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Bond Indenture.

3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.

4. Interest on the Series 2021A Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. Interest on the Series 2021A Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Interest on the Bonds is exempt from State of California personal income taxes. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX E

PROPOSED FORM OF CONTINUING DISCLOSURE AGREEMENT

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MASTER CONTINUING DISCLOSURE AGREEMENT

Dated as of
September 9, 2021

Between
FRONT PORCH COMMUNITIES AND SERVICES
AND
THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A.

\$305,565,000
California Statewide Communities Development Authority
Revenue Bonds
(Front Porch Communities and Services)
consisting of:

\$198,940,000	\$106,625,000
Series 2021A	Series 2021B (Federally Taxable)

MASTER CONTINUING DISCLOSURE AGREEMENT

This **MASTER CONTINUING DISCLOSURE AGREEMENT** dated as of **September 9, 2021** (this “*Agreement*”), is executed and delivered by **Front Porch Communities and Services** (the “*Corporation*”), as Obligated Group Representative (as defined herein), on its own behalf and on behalf of the other members of the Obligated Group (the “*Obligated Group Members*”), and **The Bank of New York Mellon Trust Company, N.A.**, as dissemination agent (the “*Dissemination Agent*”).

RECITALS

1. This Agreement is executed and delivered in connection with the issuance by the **California Statewide Communities Development Authority** (the “*Authority*”) of **\$198,940,000 Revenue Bonds (Front Porch Communities and Services), Series 2021A** (the “*Series 2021A Bonds*”) and **\$106,625,000 Revenue Bonds (Front Porch Communities and Services), Series 2021B (Federally Taxable)** (the “*Series 2021B Bonds*” and, together with the *Series 2021A Bonds*, the “*Series 2021 Bonds*”), pursuant to a Bond Indenture, dated as of September 1, 2021, between the Authority and **The Bank of New York Mellon Trust Company, N.A.**, as Bond Trustee. The proceeds of the Bonds are being loaned by the Authority to the Corporation pursuant to a Loan Agreement, dated as of September 1, 2021, between the Authority and the Corporation.

2. The Corporation and the Dissemination Agent are entering into this Agreement for the benefit of the Beneficial Owners of the Bonds and in order to assist each Participating Underwriter in complying with Rule 15c2-12 of the Securities and Exchange Commission (the “*Rule*”). The Obligated Group Members are the only “*obligated persons*” (as defined by the Rule) with responsibility for continuing disclosure. The Authority has undertaken no responsibility with respect to any reports, notices or disclosures provided or required under this Agreement and has no liability to any person, including any Beneficial Owner of the Bonds, with respect to the Rule.

In consideration of the mutual covenants and agreements herein, the Corporation and the Dissemination Agent covenant and agree as follows:

1. Definitions.

In addition to the definitions set forth in the Bond Indenture, which apply to any capitalized term used in this Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“*Annual Report*” means any Annual Report filed by the Corporation pursuant to, and as described in, **Section 2** of this Agreement.

“*Audited Obligated Group Financial Statements*” means the audited financial statements required to be delivered pursuant to Section 3.11 of the Master Indenture as in effect as of the date hereof.

“*Authority*” means the **California Statewide Communities Development Authority**, and its successors and assigns or any body, agency or instrumentality of the State of California

succeeding to or charged with the powers, duties and functions of the Authority, or any other issuer of a series of Bonds.

“Beneficial Owner” means, with respect to a series of Bonds, any registered owner of any Bonds of such series and any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds of such series (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds of such series for federal income tax purposes.

“Bond Indenture” means with respect to each series of Bonds, the bond indenture between the Authority and the Bond Trustee for the benefit of the bondholders establishing the rights, duties and remedies of the Authority and the Trustee and specifies the security for such series of Bonds.

“Bonds” means all bonds of all series identified on **Schedule 1** as such schedule may be supplemented and amended and, as context may require, the Bonds of any particular series identified on **Schedule 1**. The Corporation may make future series of Bonds subject to this Agreement by delivering the Adoption Agreement attached as **Exhibit D** to the Dissemination Agent.

“Business Day” means a day other than (a) a Saturday, Sunday or legal holiday, (b) a day on which banks located in any city in which the principal corporate trust office or designated payment office of the Trustee or the Dissemination Agent is located are required or authorized by law to remain closed, or (c) a day on which the Securities Depository or the New York Stock Exchange is closed.

“Corporation” means **Front Porch Communities and Services**, a California nonprofit corporation, and its successors and assigns.

“Dissemination Agent” means **The Bank of New York Mellon Trust Company, N.A.**, acting in its capacity as Dissemination Agent hereunder, or any successor Dissemination Agent designated in writing by the Corporation.

“EMMA” means the Electronic Municipal Market Access system for municipal securities disclosures established and maintained by the MSRB, which can be accessed at www.emma.msrb.org.

“Financial Obligation” means a (a) debt obligation; (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (c) guarantee of a debt obligation or any such derivative instrument; provided that “financial obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“Fiscal Year” means the **12-month** period beginning on **April 1** and ending on **March 31** or any other **12-month** period selected by the Corporation, as Obligated Group Representative, as the Fiscal Year of the Obligated Group for financial reporting purposes.

“*Loan Agreement*” means with respect to each series of Bonds, the agreement between the Authority and the Corporation pursuant to which the Authority loans the proceeds of such Bonds to the Corporation.

“*Listed Events*” means any of the events listed in **Section 3(a)** of this Agreement.

“*Master Indenture*” means the Master Trust Indenture dated as of September 1, 2017, as amended and restated as of September 1, 2021 and effective as of September 9, 2021, among the Corporation, the other members of the Obligated Group from time to time thereunder, and The Bank of New York Mellon Trust Company, N.A., as master trustee.

“*MSRB*” means the Municipal Securities Rulemaking Board, or any successor repository designated as such by the Securities and Exchange Commission in accordance with the Rule.

“*Obligated Group*” means the Obligated Group, as constituted from time to time under the Master Indenture.

“*Obligated Group Representative*” means the Corporation, or such other Obligated Group Representative designated under the Master Indenture.

“*Participating Underwriter*” means each of the original underwriters of a series of Bonds required to comply with the Rule in connection with the offering of Bonds of that series.

“*Quarterly Report*” means a document or set of documents that (a) identifies the “*obligated persons*” (as defined by the Rule) as of the date of the Quarterly Report, (b) contains the unaudited financial statements of the Obligated Group, consisting of a statement of operations and statement of changes in net assets for such quarter, all prepared on substantially the same basis as the most recently prepared Audited Obligated Group Financial Statements, and (c) contains the quarterly operating data identified on **Exhibit A**.

“*Quarterly Report Date*” means the date that is the **45th** day following the end of each fiscal quarter of the Obligated Group, commencing with the calendar quarter ending September 30, 2021.

“*Rule*” means Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended.

“*Trustee*” means, with respect to each series of Bonds, the corporate trustee under the applicable Bond Indenture.

2. Provision of Annual and Quarterly Reports.

(a) The Corporation shall, or shall cause the Dissemination Agent to, not later than five months after the end of the Corporation’s Fiscal Year, commencing with the year ending March 31, 2022, file with the MSRB, through EMMA, the following financial information and operating data (the “*Annual Report*”):

(i) The Audited Obligated Group Financial Statements for the prior Fiscal Year. If Audited Obligated Group Financial Statements are not available by the time the Annual Report is required to be filed pursuant to this Section, the Annual Report shall contain unaudited financial statements in a format similar to the audited financial statements contained in the final Official Statement relating to the Bonds, and the Audited Obligated Group Financial Statements shall be filed in the same manner as the Annual Report promptly after they become available.

(ii) Updates as of the end of the Fiscal Year of certain financial information and operating data contained in the final Official Statement for the Series 2021 Bonds, as described in **Exhibit A**, with such modifications to the formatting and general presentation thereof as deemed appropriate by the Corporation; provided, any substantive change to information provided shall be effected only in accordance with **Section 6** hereof.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues with respect to which the each Obligated Group Member is an “obligated person” (as defined by the Rule), which have been filed with the MSRB or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB on EMMA. The Corporation shall clearly identify each such other document so included by reference.

In each case, the Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in this Section; provided that the Audited Obligated Group Financial Statements may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the Obligated Group’s Fiscal Year changes, the Corporation shall give notice of such change in the same manner as for a Listed Event under **Section 3(d)**.

(b) Not later than the date specified in subsection (a) for providing the Annual Report to the MSRB, the Corporation shall either (1) provide the Annual Report to the Dissemination Agent, with written instructions to file the Annual Report as specified in subsection (a), or (2) provide written notice to the Dissemination Agent that the Corporation has filed the Annual Report with the MSRB (or will do so prior to the deadline specified in subsection (a)).

(c) If the Dissemination Agent has not received either an Annual Report with filing instructions or a written notice from the Corporation that it has filed an Annual Report with the MSRB by the date required in subsection (a), the Dissemination Agent shall file a notice with the MSRB in substantially the form attached as **Exhibit B**.

(d) The Dissemination Agent shall, (1) notify the Corporation each year, not later than **30** days prior to the date for providing the Annual Report to the MSRB, of the date on which its Annual Report must be provided to the Dissemination Agent or the MSRB, and (2) unless the Corporation has filed the Annual Report with the MSRB, promptly following receipt of the Annual Report and instructions required in subsection (a) above, file the Annual Report with the MSRB

and submit a report to the Corporation and (if the Dissemination Agent is not the Trustee) the Trustee certifying that the Annual Report has been filed pursuant to this Agreement, stating the date it was filed.

(e) The Corporation shall, or shall cause the Dissemination Agent to, file a Quarterly Report with the MSRB through EMMA not later than each Quarterly Report Date.

(f) The Dissemination Agent shall, unless the Corporation has filed the Quarterly Report with the MSRB, promptly following receipt of the Quarterly Report and instructions to file the Quarterly Report, file the Quarterly Report with the MSRB and provide the Corporation and the Trustee written confirmation that the Quarterly Report was filed with the MSRB in accordance with **Section 2(e)** hereof.

(g) If the Dissemination Agent has not received either the Quarterly Report with filing instructions or a written notice from the Corporation that it has filed the Quarterly Report with the MSRB by the date required in subsection (e), the Dissemination Agent shall file a notice with the MSRB in substantially the form attached as **Exhibit C**.

(h) The Annual Report shall be filed with the MSRB in such manner and format as is prescribed by the MSRB.

3. Reporting of Listed Events.

(a) No later than **10** Business Days after the occurrence of any of the following events, the Corporation shall give, or cause to be given, to the MSRB, through EMMA, notice of the occurrence of any of the following events with respect to the Bonds ("*Listed Events*"):

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) unscheduled draws on debt service reserves reflecting financial difficulties;
- (iv) unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) substitution of credit or liquidity providers, or their failure to perform;
- (vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
- (vii) modifications to rights of bondholders, if material;
- (viii) bond calls, if material, and tender offers;
- (ix) defeasances;

(x) release, substitution or sale of property securing repayment of the Bonds, if material;

(xi) rating changes;

(xii) bankruptcy, insolvency, receivership or similar event of the Corporation or any other Obligated Group Member (which shall be deemed to occur as provided in the Rule);¹

(xiii) the consummation of a merger, consolidation, or acquisition involving the Corporation or any other Obligated Group Member or the sale of all or substantially all of the assets of the Corporation or any other Obligated Group Member, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(xiv) appointment of a successor or additional trustee or the change of name of the trustee, if material.

(xv) incurrence of a Financial Obligation of an Obligated Group Member, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of an Obligated Group Member, any of which affect bondholders, if material; and

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of an Obligated Group Member, any of which reflect financial difficulties.

(b) The Dissemination Agent shall, promptly after obtaining actual knowledge of the occurrence of any event that it believes may constitute a Listed Event, contact the chief financial officer of the Corporation or his or her designee or such other person as the Corporation shall designate in writing to the Dissemination Agent from time to time, inform such person of the event, and request that the Corporation promptly notify the Dissemination Agent in writing whether or not to report the event pursuant to subsection (d). If in response to a request under this subsection (b), the Corporation determines that the event does not constitute a Listed Event, the Corporation shall so notify the Dissemination Agent in writing and instruct the Dissemination Agent not to report the occurrence pursuant to subsection (d).

(c) Whenever the Corporation obtains knowledge of the occurrence of a Listed Event, because of a notice from the Dissemination Agent pursuant to subsection (b) or otherwise, the

¹ For the purposes of the event described in subsection (a)(xii) of this Section 3, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an Obligated Group Member in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Obligated Group Member, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Obligated Group Member.

Corporation shall promptly notify and instruct the Dissemination Agent in writing to report the occurrence pursuant to subsection (d).

(d) If the Dissemination Agent receives written instructions from the Corporation to report the occurrence of a Listed Event, the Dissemination Agent shall promptly file a notice of such occurrence with the MSRB, with a copy to the Corporation.

4. Termination of Reporting Obligation.

The Corporation's obligations under this Agreement for a particular series of Bonds shall terminate upon the legal defeasance, prior redemption or payment in full of that series of Bonds. If the Corporation's obligations under this Agreement are assumed in full by some other entity, such entity shall be responsible for compliance with this Agreement in the same manner as if it were the Corporation, and the Corporation shall have no further responsibility hereunder. If such assumption occurs prior to the final maturity of such Bonds, the Corporation shall give notice of such assumption in the same manner as for a Listed Event under **Section 3(d)**.

5. Dissemination Agent.

The Corporation may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Agreement, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign as dissemination agent hereunder at any time upon 30 days prior written notice to the Corporation. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report (including without limitation the Annual Report) prepared by the Corporation pursuant to this Agreement. The initial Dissemination Agent is The Bank of New York Mellon Trust Company, N.A.

6. Bonds Subject to this Agreement; Amendment; Waiver.

(a) The Series 2021 Bonds are hereby made subject to this Agreement. The Corporation may make any future series of Bonds subject to this Agreement by delivering the Adoption Agreement attached as **Exhibit D** to the Dissemination Agent.

(b) All references to the "Bonds" in this Agreement shall apply separately to each series of Bonds that are or become subject to this Agreement, without further amendment hereto.

(c) The Corporation and the Dissemination Agent may amend this Agreement and any provision of this Agreement may be waived, provided that Bond Counsel or other counsel experienced in federal securities law matters provides the Corporation and the Dissemination Agent with its written opinion that the undertaking of the Obligated Group contained herein, as so amended or after giving effect to such waiver, would have been in compliance with the Rule at the time of the original execution and delivery of the Bonds and after taking into account all current amendments thereto and interpretations thereof that are applicable to this Agreement, as well as any change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of an obligated person with respect to the Bonds or the type of business conducted (including, but not limited to, affiliations, mergers, acquisitions, divestitures or dispositions affecting the Obligated Group Members); provided, however, that this Agreement,

including **Schedule 1** hereto, may be amended for the purpose of (i) extending the coverage of this Agreement to any additional series of Bonds or (ii) removing reference to any series of Bonds for which the Corporation's reporting obligations have terminated in accordance with **Section 4** hereof, each without the provision of a written opinion as otherwise required by this paragraph.

(d) If a provision of this Agreement is amended or waived with respect to a series of Bonds pursuant to **subsection (c)** of this Section, the Corporation shall describe such amendment or waiver in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or, in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Corporation on behalf of the Obligated Group. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (1) notice of such change shall be given in the same manner as for a Listed Event under **Section 3(d)**, and (2) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

7. Additional Information.

Nothing in this Agreement shall be deemed to prevent the Corporation or any other Obligated Group Member from disseminating any other information, using the means of dissemination set forth in this Agreement or any other means of communication, or including any other information in any Annual Report or Quarterly Report or notice of occurrence of a Listed Event, in addition to that which is required by this Agreement. If the Corporation chooses to include any information in any Annual Report or Quarterly Report or notice of occurrence of a Listed Event, in addition to that which is specifically required by this Agreement, the Corporation shall have no obligation under this Agreement to update such information or include it in any future Annual Report, Quarterly Report, or notice of occurrence of a Listed Event.

8. Default.

If there is a failure of the Corporation or the Dissemination Agent to comply with any provision of this Agreement with respect to a series of Bonds, the Trustee for such series of Bonds may (and, at the request of any Participating Underwriter or the Beneficial Owners of at least **25%** aggregate principal amount of outstanding Bonds of such series and upon being indemnified to its satisfaction therefore, shall) take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the Corporation or the Dissemination Agent, as the case may be, to comply with its obligations under this Agreement. A default under this Agreement shall not be deemed an event of default under the Bond Indenture or the Loan Agreement, and the sole remedy under this Agreement if there is any failure of the Corporation or the Dissemination Agent to comply with this Agreement shall be an action to compel performance.

9. Duties, Immunities and Liabilities of Trustee and Dissemination Agent.

Article VIII of the Bond Indenture is hereby made applicable to this Agreement as if this Agreement were (solely for this purpose) contained in the Bond Indenture. The Dissemination Agent shall not be liable except for its negligence or willful misconduct hereunder. The Dissemination Agent shall be entitled to the protections and limitations from liability afforded to the Trustee thereunder. Neither the Trustee nor the Dissemination Agent shall be responsible for the form or content of any Annual Report or notice of Listed Event. The Dissemination Agent shall receive reasonable compensation for its services provided under this Agreement and shall be reimbursed for its reasonable expenses (including attorneys fees and expenses) incurred by it in the exercise or performance of its powers and duties hereunder. The Dissemination Agent (if other than the Trustee or the Trustee in its capacity as Dissemination Agent) shall have only such duties as are specifically set forth in this Agreement. To the extent permitted by law, the Corporation agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities incurred by it in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees and expenses) of defending against any claim of liability, and which are not due to its negligence or its willful misconduct. The obligations of the Corporation under this Section shall survive resignation or removal of the Dissemination Agent and the termination of this Agreement. It is understood and agreed that any information that the Dissemination Agent may be instructed to file with the MSRB shall be prepared and provided to it by the Corporation. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the Corporation has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the Corporation's duty to comply with its continuing disclosure requirements hereunder. The fact that the Dissemination Agent or any affiliate thereof may have any fiduciary or banking relationship with the Corporation shall not be construed to mean that the Dissemination Agent has actual knowledge of any event or condition except as may be provided by written notice from the Corporation. The Dissemination Agent shall have the same rights and protections hereunder as accorded to it as Trustee under the Bond Indenture; provided, however, the Dissemination Agent shall not be liable except for its negligence or willful misconduct hereunder.

10. Notices.

Any notices or communications to or among any of the parties to this Agreement may be given by registered or certified mail, return receipt requested, or by facsimile or by e-mail, receipt confirmed by telephone, or delivered in person or by overnight courier, and will be deemed given on the second day following the date on which the notice or communication is so mailed, as follows:

To the Corporation or the Obligated Group:

Front Porch Communities and Services
800 N. Brand Blvd., 19th Floor
Glendale, CA 91203
Attention: Chief Financial Officer

To the Dissemination Agent:

**The Bank of New York Mellon Trust Company,
N.A.**

400 South Hope Street, Suite 500

Los Angeles, CA 90071

Attention: Global Corporate Trust Services

Any person may, by written notice to the other persons listed above, designate a different address or an email address, telephone number or facsimile number to which subsequent notices or communications should be sent.

11. Beneficiaries.

This Agreement shall inure solely to the benefit of the Obligated Group Members, the Trustee, the Dissemination Agent, each Participating Underwriter, and Beneficial Owners from time to time with respect to a series of Bonds, and shall create no rights in any other person or entity.

12. Severability.

If any provision in this Agreement, the Bond Indenture, the Loan Agreement or the Bonds shall be invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions of this Agreement shall not in any way be affected or impaired thereby.

13. Counterparts.

This Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

14. Electronic Transactions.

The arrangement described herein may be conducted and related documents may be stored by electronic means. Copies, telecopies, facsimiles, electronic files and other reproductions of original documents shall be deemed to be authentic and valid counterparts of such original documents for all purposes, including the filing of any claim, action or suit in the appropriate court of law.

15. Governing Law.

This Agreement shall be governed by and construed in accordance with the laws of the State of California.

IN WITNESS WHEREOF, the Corporation and the Dissemination Agent have caused this Master Continuing Disclosure Agreement to be executed as of the day and year first above written.

Front Porch Communities and Services,
as Obligated Group Representative

By: _____

Title: _____

**The Bank of New York Mellon Trust Company,
N.A.,**
as Dissemination Agent

By: _____

Title: Authorized Officer

Schedule 1

THE BONDS

SERIES 2021A BONDS

Issuer	California Statewide Communities Development Authority
Issue Name	Revenue Bonds (Front Porch Communities and Services) Series 2021A
Obligated Persons	Front Porch Communities and Services
Date of Issuance	September 9, 2021

SERIES 2021B BONDS

Issuer	California Statewide Communities Development Authority
Issue Name	Revenue Bonds (Front Porch Communities and Services) Series 2021B (Federally Taxable)
Obligated Persons	Front Porch Communities and Services
Date of Issuance	September 9, 2021

EXHIBIT A

FINANCIAL INFORMATION AND OPERATING DATA TO BE INCLUDED IN ANNUAL AND QUARTERLY REPORTS

Annual Report Operating Data:

An update of the following financial information and operating data contained in the following described sections and tables contained in Appendix A of the final Official Statement for the Series 2021 Bonds substantially similar in type and scope, to the extent not included in the Audited Obligated Group Financial Statements (including notes thereto):

- OPERATIONS – Historical Units/Beds by Community for the most recently completed fiscal year
- OPERATIONS – Historical Occupancy for the most recently completed fiscal year
- OPERATIONS – Care Center Payor Mix for the most recently completed fiscal year
- The calculation of the Debt Service Coverage Ratio (as defined in the Master Indenture) for the most recently completed fiscal year similar to that contained in FINANCIAL RATIOS – Pro Forma Combined Debt Service Coverage Ratio
- The calculation of Days Cash on Hand as of the end of the most recently completed fiscal year similar to that contained in FINANCIAL RATIOS – Pro Forma and Historical Combined Liquidity – Days Cash on Hand
- The calculation of the historical cash to debt ratios as of the end of the most recently completed fiscal year similar to that contained in FINANCIAL RATIOS – Pro Forma and Historical Combined Cash to Debt Ratios

Quarterly Report Operating Data:

Updates for the most recent fiscal quarter of the following tables contained in Appendix A of the final Official Statement for the Series 2021 Bonds:

- OPERATIONS – Historical Units/Beds by Community
- OPERATIONS – Historical Occupancy
- OPERATIONS – Care Center Payor Mix

EXHIBIT B

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: California Statewide Communities Development Authority

Name of Bond Issue(s): California Statewide Communities Development Authority
Revenue Bonds (Front Porch Communities and Services) Series
2021A and Series 2021B (Federally Taxable)

Name of Obligated Person: Front Porch Communities and Services

NOTICE IS HEREBY GIVEN that Front Porch Communities and Services has not filed an Annual Report with respect to the above-named series of Bonds as required by the Master Continuing Disclosure Agreement dated as of September 9, 2021, between Front Porch Communities and Services and The Bank of New York Mellon Trust Company, N.A., as Dissemination Agent. [The Corporation has informed the Dissemination Agent that it anticipates that the Annual Report will be filed by _____.]

Dated: _____, _____.

The Bank of New York Mellon Trust Company, N.A.,
as Dissemination Agent
on behalf of **Front Porch Communities and Services**

cc: Front Porch Communities and Services

EXHIBIT C

NOTICE OF FAILURE TO FILE QUARTERLY REPORT

Name of Issuer: California Statewide Communities Development Authority

Name of Bond Issue(s): California Statewide Communities Development Authority
Revenue Bonds (Front Porch Communities and Services) Series
2021A and Series 2021B (Federally Taxable)

Name of Obligated Person: Front Porch Communities and Services

NOTICE IS HEREBY GIVEN that Front Porch Communities and Services has not filed a Quarterly Report with respect to the above-named series of Bonds as required by the Master Continuing Disclosure Agreement dated as of September 9, 2021, between Front Porch Communities and Services and The Bank of New York Mellon Trust Company, N.A., as Dissemination Agent. [The Corporation has informed the Dissemination Agent that it anticipates that the Quarterly Report will be filed by _____.]

Dated: _____, _____.

The Bank of New York Mellon Trust Company, N.A.,
as Dissemination Agent
on behalf of **Front Porch Communities and Services**

cc: Front Porch Communities and Services

EXHIBIT D
ADOPTION AGREEMENT

relating to

MASTER CONTINUING DISCLOSURE AGREEMENT

This Adoption Agreement (the “*Adoption Agreement*”) dated as of, _____, 20____, relating to that certain Master Continuing Disclosure Agreement dated as of September 9, 2021, as supplemented and amended to date (the “*Disclosure Agreement*”), is executed and delivered by Front Porch Communities and Services (the “*Corporation*”). Capitalized terms not otherwise defined in this Adoption Agreement have the meanings given those terms in the Disclosure Agreement.

WHEREAS, the Disclosure Agreement was executed and delivered by the Corporation and The Bank of New York Mellon Trust Company, N.A., as dissemination agent (the “*Dissemination Agent*”) for the benefit of the Beneficial Owners of the outstanding Bonds (the “*Prior Bonds*”) with respect to which the Corporation is an obligated person within the meaning of Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended (the “*Rule*”) and governs the continuing disclosure obligations of the Corporation with respect to all future Bonds with respect to which the Corporation is an obligated person within the meaning of the Rule after the date of the Disclosure Agreement;

WHEREAS, the Authority has determined to issue its Revenue Bonds, Series 20____ in the aggregate principal amount of \$_____ (the “*Series 20____ Bonds*”) on a parity with the Prior Bonds, which Series 20____ Bonds have been offered pursuant to an Official Statement dated _____, 20____; and

WHEREAS, the Corporation and the Dissemination Agent have determined that, in order to assist the underwriter[s] of the Series 20____ Bonds in complying with the Rule, they will reaffirm the applicability of the Disclosure Agreement to the Series 20____ Bonds in all respects through this Adoption Agreement;

NOW, THEREFORE, the Corporation covenants and agrees for the benefit of the Beneficial Owners of the Series 20____ Bonds as follows:

Section 1. Affirmation. The applicability of the Disclosure Agreement to the Series 20____ Bonds is hereby affirmed in all respects.

THIS ADOPTION AGREEMENT is entered into by the Corporation as of the day and year first above written.

Front Porch Communities and Services

By _____
[Title]

APPENDIX F

BOOK-ENTRY ONLY SYSTEM

The information in this APPENDIX concerning The Depository Trust Company (“DTC”), New York, New York, and DTC’s book-entry system has been obtained from DTC. None of the Authority, the Corporation, any other Obligated Group Member, the Bond Trustee or the Underwriter takes responsibility for the completeness or accuracy thereof and cannot and do not give any assurances that DTC, Direct Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis, or that DTC, Direct Participants or Indirect Participants will act in the manner described in this APPENDIX.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of each such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“Beneficial Owner”) is in turn to be recorded on the Direct Participants’ and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of

Beneficial Owners. Beneficial Owners will not receive certificates representing their beneficial ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Bond Trustee and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Bonds to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (established by DTC and identified in a listing attached to the Omnibus Proxy).

Principal, premium, redemption proceeds, and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the Authority or the Bond Trustee on a payment date in accordance with their respective holdings shown on DTC's records. Payments by Direct Participants or Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct Participants or Indirect Participants and not of DTC (nor its nominee), the Bond Trustee, the Corporation or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, redemption proceeds, and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Corporation, the Authority or the Bond Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of the Direct Participants and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Bond Trustee. Under such circumstances, in

the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this APPENDIX concerning DTC and DTC's book-entry system has been obtained from sources that the Authority and the Corporation believe to be reliable, but neither the Authority nor the Corporation takes responsibility for the accuracy thereof.

None of the Authority, the Corporation, the Underwriter, or the Bond Trustee will have any responsibility or obligation to Direct Participants, to Indirect Participants or to any Beneficial Owner with respect to (i) the accuracy of any records maintained by DTC, any Direct Participant, or any Indirect Participant; (ii) the payment by DTC or any Direct Participant or Indirect Participant of any amount with respect to the principal of or premium, if any, or interest on the Bonds; (iii) any notice that is permitted or required to be given to Holders under the Bond Indenture; (iv) the selection by DTC, any Direct Participant or any Indirect Participant of any person to receive payment in the event of a partial redemption of the Bonds; (v) any consent given or other action taken by DTC as Bondholder; or (vi) any other procedures or obligations of DTC, Direct Participants or Indirect Participants under the book-entry system.

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APPENDIX G

FORMS OF AMENDED AND RESTATED MASTER INDENTURE AND SUPPLEMENT NO. 6

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APPENDIX G
FORMS OF AMENDED AND RESTATED MASTER INDENTURE
AND SUPPLEMENT NO. 6

MASTER TRUST INDENTURE

FRONT PORCH COMMUNITIES AND SERVICES,
OBLIGATED GROUP MEMBERS FROM TIME TO TIME HEREUNDER,

and

THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A.,
as Master Trustee

Dated as of September 1, 2017
and
Amended and Restated as of September 1, 2021 and Effective on September 9, 2021

TABLE OF CONTENTS

Page

ARTICLE I

DEFINITIONS AND INTERPRETATION

Section 1.01. Definitions.....	2
Section 1.02. Interpretation.....	23
Section 1.03. References to Master Indenture	24
Section 1.04. Contents of Certificates and Opinions; Use of GAAP.....	24

ARTICLE II

AUTHORIZATION AND ISSUANCE OF MASTER INDENTURE OBLIGATIONS

Section 2.01. Authorization of Master Indenture Obligations.....	25
Section 2.02. Issuance of Master Indenture Obligations	25
Section 2.03. Appointment of Obligated Group Representative	25
Section 2.04. Execution and Authentication of Master Indenture Obligations.	26
Section 2.05. Conditions to the Issuance of Master Indenture Obligations.....	26

ARTICLE III

PAYMENTS WITH RESPECT TO MASTER INDENTURE OBLIGATIONS; OBLIGATED GROUP COVENANTS

Section 3.01. Payment of Required Payments.....	27
Section 3.02. Covenants of Corporate Existence, Maintenance of Properties, Etc	29
Section 3.03. Gross Revenues.....	30
Section 3.04. Against Encumbrances.....	32
Section 3.05. Debt Service Coverage	32
Section 3.06. Merger, Consolidation, Sale or Conveyance	33
Section 3.07. Membership in Obligated Group	35
Section 3.08. Withdrawal from Obligated Group.....	35
Section 3.09. Limitation on Disposition of Assets	36
Section 3.10. Limitation on Indebtedness.....	38
Section 3.11. Filing of Financial Statements, Certificate of No Default, Other Information.	40

TABLE OF CONTENTS
(continued)

	Page
Section 3.12. Insurance	41
Section 3.13. Insurance and Condemnation Proceeds	41
Section 3.14. Replacement of Master Indenture Obligations	42

ARTICLE IV

DEFAULTS

Section 4.01. Events of Default	43
Section 4.02. Acceleration; Annulment of Acceleration.	44
Section 4.03. Additional Remedies and Enforcement of Remedies.	45
Section 4.04. Application of Moneys After Default	46
Section 4.05. Remedies Not Exclusive	48
Section 4.06. Remedies Vested in the Master Trustee.....	48
Section 4.07. Master Trustee to Represent Holders.....	48
Section 4.08. Holders' Control of Proceedings	48
Section 4.09. Termination of Proceedings.....	48
Section 4.10. Waiver of Event of Default.....	48
Section 4.11. Appointment of Receiver.....	49
Section 4.12. Remedies Subject to Provisions of Law	49
Section 4.13. Notice of Default.....	49

ARTICLE V

THE MASTER TRUSTEE

Section 5.01. Certain Duties and Responsibilities.....	50
Section 5.02. Certain Rights of Master Trustee.....	51
Section 5.03. Right to Deal in Master Indenture Obligations and Related Bonds.....	53
Section 5.04. Removal and Resignation of the Master Trustee.....	53
Section 5.05. Compensation and Reimbursement	54
Section 5.06. Recitals and Representations	55
Section 5.07. Separate or Co-Master Trustee	55
Section 5.08. Merger or Consolidation	57

TABLE OF CONTENTS
(continued)

Page

ARTICLE VI

SUPPLEMENTS AND AMENDMENTS

Section 6.01. Supplements Not Requiring Consent of Holders.....	57
Section 6.02. Supplements Requiring Consent of Holders.....	58
Section 6.03. Execution and Effect of Supplements.....	59
Section 6.04. Amendment of Related Supplements.....	60

ARTICLE VII

SATISFACTION AND DISCHARGE

Section 7.01. Satisfaction and Discharge of Master Indenture.....	60
Section 7.02. Payment of Master Indenture Obligations After Discharge of Lien.....	61

ARTICLE VIII

MISCELLANEOUS PROVISIONS

Section 8.01. Limitation of Rights.....	61
Section 8.02. Severability	61
Section 8.03. Holidays	61
Section 8.04. Credit Enhancer Deemed Holder of Obligation.....	62
Section 8.05. Governing Law	62
Section 8.06. Counterparts	62
Section 8.07. Immunity of Individuals	62
Section 8.08. Binding Effect.....	62
Section 8.09. Notices.	62
Section 8.10. OFAC	63
Section 8.11. Electronic Signatures	63

APPENDIX A TO MASTER INDENTURE	
EXISTING PERMITTED LIENS	A-1

MASTER TRUST INDENTURE

THIS MASTER TRUST INDENTURE, dated as of September 1, 2017 and amended and restated as of September 1, 2021 and effective on September 9, 2021 (the “Master Indenture”), between Front Porch Communities And Services, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (together with its successors and assigns hereunder, the “Corporation”), the other Obligated Group Members from time to time, and The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under the laws of the United States of America and being qualified to accept and administer the trusts hereby created (as more specifically defined herein, the “Master Trustee”),

WITNESSETH:

WHEREAS, the Corporation previously entered into that certain Master Trust Indenture, dated as of September 1, 2017, as heretofore supplemented and amended (as so supplemented and amended, the “Original Master Indenture”), which provided for the issuance from time to time of obligations hereunder to provide for the financing or refinancing of the acquisition, construction, equipping or improvement of senior living or other facilities, or for other lawful and proper corporate purposes; and

WHEREAS, the Corporation desires to supplement, amend and restate the Original Master Indenture by this Master Indenture; and

WHEREAS, as of the date hereof, Covia Communities, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California, is being added to the Obligated Group; and

WHEREAS, pursuant to Section 6.02(a) of the Original Master Indenture, the Corporation, in its capacity as Obligated Group Representative under and as defined in the Original Master Indenture, and the Master Trustee may supplement and amend certain provisions of the Original Master Indenture with the consent of the Holders of not less than a majority in aggregate principal amount of the Outstanding Master Indenture Obligations; and

WHEREAS, there has been filed with the Master Trustee evidence of the consent of the Holders of not less than a majority in principal amount of Master Indenture Obligations then Outstanding to this Master Indenture; and

WHEREAS, the Master Trustee agrees to accept and administer the trusts created hereby;

NOW, THEREFORE, in consideration of the premises, of the acceptance by the Master Trustee of the trusts hereby created, and of the giving of consideration for and acceptance of the obligations issued hereunder by the holders thereof, and for the purpose of fixing and declaring the terms and conditions upon which such obligations are to be issued, authenticated, delivered and accepted by all persons who shall from time to time be or become holders thereof, the Corporation and each other Member of the Obligated Group covenants and agrees with the Master Trustee for the equal and proportionate benefit of the respective holders from time to time of Obligations issued hereunder, as follows:

ARTICLE I

DEFINITIONS AND INTERPRETATION

Section 1.01. Definitions. Unless the context otherwise requires, the terms defined in this Section shall for all purposes of this Master Indenture and of any supplemental indenture issued hereafter and of any certificate, opinion or other document herein mentioned, have the meanings herein specified, equally applicable to both singular and plural forms of any of the terms herein defined.

Annual Debt Service

“Annual Debt Service” means for each Fiscal Year the sum (without duplication) of the aggregate amount of principal and interest scheduled to become due and payable in such Fiscal Year on all Long-Term Indebtedness of the Obligated Group then Outstanding (by scheduled maturity, acceleration, mandatory redemption or otherwise, but not including purchase price becoming due as a result of mandatory or optional tender or put), less (1) any amounts of such principal or interest to be paid during such Fiscal Year from (a) the proceeds of Indebtedness or (b) moneys or Government Obligations deposited in trust for the purpose of paying such principal or interest; and (2) any Debt Service Subsidy payable in such Fiscal Year; provided that if an Identified Financial Product Agreement has been entered into by any Member with respect to Long-Term Indebtedness, interest on such Long-Term Indebtedness shall be included in the calculation of Annual Debt Service by including for each Fiscal Year an amount equal to the amount of interest payable on such Long-Term Indebtedness in such Fiscal Year at the rate or rates stated in such Long-Term Indebtedness plus any Financial Product Payments under an Identified Financial Product Agreement payable in such Fiscal Year minus any Financial Product Receipts under an Identified Financial Product Agreement receivable in such Fiscal Year; provided that in no event shall any calculation made pursuant to this clause result in a number less than zero being included in the calculation of Annual Debt Service.

Assumed Term

“Assumed Term” means a period selected by the Obligated Group Representative of up to 30 years; provided, however, for any Obligation that has a stated maturity more than 30 years from the date of the relevant calculation, the Assumed Term for such Obligation shall be a period selected by the Obligated Group Representative up to the stated maturity of such Obligation.

Authorized Representative

“Authorized Representative” means with respect to each Obligated Group Member, its chairman or vice chairman of the board, president, chief executive officer, chief financial officer, or any other person designated as an Authorized Representative of such Obligated Group Member by a Certificate of that Obligated Group Member signed by its chairman or vice chairman of the board, president, chief executive officer, or chief financial officer and filed with the Master Trustee.

Balloon Indebtedness

“Balloon Indebtedness” means Long-Term Indebtedness, fifteen percent (15%) or more of the principal of which (calculated as of the date of issuance) becomes due during any period of twelve (12) consecutive months if such maturing principal amount is not required to be amortized below such percentage by mandatory redemption prior to such 12-month period.

Book Value

“Book Value” means, when used in connection with Property, Plant and Equipment or other Property of any Obligated Group Member, the value of such property, net of accumulated depreciation, as it is carried on the books of the Obligated Group Member and in conformity with GAAP, and when used in connection with Property, Plant and Equipment or other Property of the Obligated Group, means the aggregate of the values so determined with respect to such Property of each Obligated Group Member determined in such a way that no portion of such value of Property of any Obligated Group Member is included more than once. For purposes of performing certain calculations under this Master Indenture, the Obligated Group Representative may treat “total assets” as shown on the Obligated Group Audited Financial Statements as the Book Value of the Obligated Group’s Property.

Certificate, Statement, Request, Consent or Order

“Certificate,” “Statement,” “Request,” “Consent” or “Order” of any Obligated Group Member or of the Master Trustee means, respectively, a written certificate, statement, request, consent or order signed in the name of such Obligated Group Member by its Authorized Representative or in the name of the Master Trustee by its Responsible Officer. Any such instrument and supporting opinions or certificates, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or certificate and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by Section 1.04, each such instrument shall include the statements provided for in Section 1.04.

Code

“Code” means the Internal Revenue Code of 1986 and the regulations promulgated thereunder.

Completion Indebtedness

“Completion Indebtedness” means any Long-Term Indebtedness incurred for the purpose of financing the completion of construction or equipping of any project for which Long-Term Indebtedness or Interim Indebtedness has theretofore been incurred in accordance with the provisions hereof, to the extent necessary to provide a completed and fully equipped facility of the type and scope contemplated at the time said Long-Term Indebtedness or Interim Indebtedness was incurred, and in accordance with the general plans and specifications for such facility as originally prepared in connection with said Long-Term Indebtedness or Interim Indebtedness as certified by an Officer’s Certificate.

Corporate Trust Office

“Corporate Trust Office” means the office of the Master Trustee at which its corporate trust business is conducted, which at the date hereof is located at 400 South Hope Street, Suite 500, Los Angeles, California 90071; Attention: Global Corporate Trust Services.

Corporation

“Corporation” means Front Porch Communities and Services, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under this Master Indenture.

Debt Service Coverage Ratio

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Maximum Annual Debt Service.

Debt Service Subsidy

“Debt Service Subsidy” means direct subsidy payments payable to an Obligated Group Member (or a Related Bond Issuer on behalf of an Obligated Group Member) pursuant to Section 54AA of the Internal Revenue Code of 1986 with respect to Indebtedness of such Obligated Group Member or Related Bonds, or any similar federal or state program providing for payment to an Obligated Group Member (or a Related Bond Issuer on behalf of an Obligated Group Member) of all or a portion of debt service on Indebtedness of an Obligated Group Member.

Default

“Default” means an event that, with the passage of time or the giving of notice or both, would become an Event of Default.

Effective Date

“Effective Date” means September 9, 2021.

Event of Default

“Event of Default” means any of the events specified in Section 4.01.

Extraordinary Items

“Extraordinary Items” means the after-tax financial impact of significant events, transactions, or activities that are both unusual in nature and infrequent in occurrence. Such extraordinary events, transactions or activities include, but are not limited to, the following: (i) natural disasters (tornado, flood, fire, pandemic), (ii) affiliation or asset acquisitions activities, including direct expenses incurred related to pre-affiliation or acquisition activities, such as, without limitation, legal fees, consultant fees and due diligence costs, as well as post affiliation or

acquisition adjustments and (iii) insurance settlements, in each case, as determined by the Obligated Group Representative.

Fair Market Value

“Fair Market Value,” when used in connection with Property, means the fair market value of such Property as determined by either:

(a) an appraisal of the portion of such Property which is real property made within three years of the date of determination by a “Member of the Appraisal Institute” and by an appraisal of the portion of such Property which is not real property made within three years of the date of determination by any expert qualified in relation to the subject matter, provided that any such appraisal shall be performed by an Independent Consultant;

(b) a bona fide offer for the purchase of such Property made on an arm’s-length basis within six months of the date of determination, as established by an Officer’s Certificate; or

(c) an officer of the Obligated Group Representative (whose determination shall be made in good faith and set forth in an Officer’s Certificate filed with the Master Trustee) if the fair market value of such Property as set forth in such Officer’s Certificate is less than or equal to the greater of \$5,000,000 or two and one-half percent (2.5%) of cash and equivalents as shown on the most recent Obligated Group Audited Financial Statements.

Financial Product Agreement

“Financial Product Agreement” means any interest rate exchange agreement, hedge or similar arrangement, including, *inter alia*, an interest rate swap, asset swap, a constant maturity swap, a forward or futures contract, cap, collar, option, floor, forward or other hedging agreement, arrangement or security, direct funding transaction or other derivative, however denominated and whether entered into on a current or forward basis.

Financial Product Extraordinary Payments

“Financial Product Extraordinary Payments” means any payments required to be paid to a counterparty by an Obligated Group Member pursuant to a Financial Product Agreement in connection with the termination thereof, tax gross-up payments, expenses, default interest, and any other payments or indemnification obligations to be paid to a counterparty by an Obligated Group Member under a Financial Product Agreement, which payments are not Financial Product Payments.

Financial Product Payments

“Financial Product Payments” means regularly scheduled payments required to be paid to a counterparty by an Obligated Group Member pursuant to a Financial Product Agreement.

Financial Product Receipts

“Financial Product Receipts” means regularly scheduled payments required to be paid to an Obligated Group Member by a counterparty pursuant to a Financial Product Agreement.

Fiscal Year

“Fiscal Year” means the period beginning on April 1 of each year and ending on the next succeeding March 31, or any other twelve-month period hereafter designated by the Obligated Group Representative as the fiscal year of the Obligated Group.

Force Majeure Event

“Force Majeure Event” means any of the following: acts of God; strikes, lockouts or other employee disturbances; acts of public enemies; validly issued orders of any kind of the government of the United States of America, the state or states in which such Member of the Obligated Group is doing business, or any of their departments, agencies, political subdivisions or officials, or any civil or military authority, imposed due to factors not within the control of such Obligated Group Member and having a material effect on its ability to carry out its agreements hereunder; insurrections; riots; epidemics; pandemics; landslides; lightning; earthquakes; fires; hurricanes; storms; floods; washouts; droughts; civil disturbances; explosions, breakage or accident to machinery, transmission pipes or canals; partial or entire failure of utilities; or similar acts or events, other than financial inability, not within the control of such Member of the Obligated Group.

GAAP

“GAAP” means accounting principles generally accepted in the United States of America, consistently applied.

Governing Body

“Governing Body” means, when used with respect to any Obligated Group Member, its board of directors, board of trustees or other board or group of individuals in which all of the powers of such Obligated Group Member are vested, except for those powers reserved to the corporate membership of such Obligated Group Member by the articles of incorporation or bylaws of such Obligated Group Member.

Government Issuer

“Government Issuer” means any municipal corporation, political subdivision, state, territory or possession of the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds hereunder.

Government Obligations

“Government Obligations” means: (1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully and unconditionally guaranteed by the United States of America; (2) obligations issued or guaranteed by any agency, department or instrumentality of the United States of America if the obligations issued or guaranteed by such entity are rated in one of the two highest Rating Categories of a Rating Agency; (3) certificates which evidence ownership of the right to the payment of the principal of and interest on obligations described in clauses (1) and/or (2), provided that such obligations are held in the custody of a bank or trust company in a special account separate from the general assets of such custodian; and (4) obligations the interest on which is excluded from gross income for purposes of federal income taxation pursuant to Section 103 of the Internal Revenue Code of 1986, and the timely payment of the principal of and interest on which is fully provided for by the deposit in trust of cash and/or obligations described in clauses (1), (2) and/or (3).

Government Restriction

“Government Restriction” means federal, state or other applicable governmental laws or regulations affecting any Obligated Group Member and its facilities placing restrictions and limitations on the (i) fees and charges to be fixed, charged or collected by any Obligated Group Member or (ii) the timing of the receipt of such revenues.

Gross Revenue Fund

“Gross Revenue Fund” means the fund so designated and established pursuant to Section 3.03(a).

Gross Revenues

“Gross Revenues” means, unless the context provides otherwise, all revenues, income, receipts and money received in any period by the Obligated Group (other than (i) the proceeds of borrowing and (ii) moneys received from the operation of, or pertaining to, the HUD Facilities, except with the express written consent of HUD), including, but without limiting the generality of the foregoing,

(a) gross revenues derived from its or their operation of the facilities owned and/or operated by the Obligated Group Members,

(b) gifts, grants, bequests, donations and contributions exclusive of any gifts, grants, bequests, donations and contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of principal of, redemption premium, if any, and interest on Indebtedness or for the payment of operating expenses,

(c) proceeds derived from:

(1) insurance and condemnation proceeds,

- (2) accounts receivable,
 - (3) securities and other investments,
 - (4) inventory and other tangible and intangible property,
 - (5) medical or hospital insurance or indemnity programs or agreements,
- and
- (6) contract rights and other rights and assets now or hereafter owned, held or possessed by or on behalf of any Obligated Group Member, and
- (d) rentals received from the lease of office space.

Guaranty

“Guaranty” means any obligation of any Obligated Group Member guaranteeing, directly or indirectly, any obligation of any other Person which would, if such other Person were an Obligated Group Member, constitute Indebtedness.

Holder

“Holder” means the registered owner of any Master Indenture Obligation in registered form or the bearer of any Master Indenture Obligation in coupon form which is not registered or is registered to bearer or the party or parties to any contractual obligation designated to be an Obligation set forth in a related Supplement and identified therein as the party to whom payment is due thereunder or the “holder” thereof.

HUD

“HUD” means the Department of Housing and Urban Development, an agency of the United States Government.

HUD Facilities

“HUD Facilities” means any facility owned or operated by an Obligated Group Member which is subject to a regulatory agreement between such Obligated Group Member and HUD.

Identified Financial Product Agreement

“Identified Financial Product Agreement” means a Financial Product Agreement identified to the Master Trustee in an Officer’s Certificate as having been entered into by an Obligated Group Member with a Qualified Provider with respect to Indebtedness (which is either then-Outstanding or to be issued after the date of such Officer’s Certificate) identified in such Officer’s Certificate.

Immaterial Affiliates

“Immaterial Affiliates” means Persons that are not Members of the Obligated Group and whose combined or consolidated total assets or total revenues, as shown on their financial statements for their most recently completed fiscal year, were less than fifteen percent (15%) of the combined or consolidated total assets or total revenues, as applicable, of the Obligated Group as shown on the Obligated Group Audited Financial Statements, plus the total assets or total revenues, as applicable, of such Persons as if they were Members of the Obligated Group for such period, for the most recently completed Fiscal Year of the Obligated Group.

Income Available for Debt Service

“Income Available for Debt Service” means, unless the context provides otherwise, with respect to the Obligated Group as to any period of time, net income, or excess of revenues over expenses (excluding income from all Irrevocable Deposits) before depreciation, amortization, and interest expense, as determined in accordance with GAAP and as shown on the Obligated Group Audited Group Financial Statements, adjusted as follows (i) minus amortization of deferred revenue from entrance fees, plus proceeds from entrance fees minus refunds of entrance fees of the Obligated Group; and (ii) minus amortization of other deferred revenues received by the Obligated Group not otherwise recognized in the change of Unrestricted Net Assets of the Obligated Group, provided, that no determination thereof shall take into account:

(a) except as permitted by Section 3.11(d), any revenue or expense of a Person which is not a Member of the Obligated Group (and for the avoidance of doubt, revenue or expense of a Person that becomes a Member of the Obligated Group shall not be included to the extent attributable to the period prior to such Person becoming a Group Member);

(b) gifts, grants, bequests, donations or contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or the payment of operating expenses;

(c) the net proceeds of insurance (other than business interruption insurance), settlements in lieu of condemnation awards and condemnation awards;

(d) any gain or loss resulting from the extinguishment or refinancing of Indebtedness or Financial Product Agreements;

(e) any gain or loss resulting from the sale, exchange or other disposition of capital assets not in the ordinary course of business;

(f) any gain or loss resulting from any discontinued operations;

(g) any gain or loss resulting from pension terminations, settlements or curtailments;

(h) any unusual charges for employee severance;

(i) any loss from impairment of the value of an asset;

(j) adjustments to the value of assets or liabilities resulting from changes in GAAP;

(k) unrealized gains or losses on investments, including “other than temporary” declines in Book Value;

(l) gains or losses resulting from changes in valuation of any hedging, derivative, interest rate exchange or similar contract;

(m) any Financial Product Extraordinary Payments or similar payments on any hedging, derivative, interest rate exchange or similar contract that does not constitute a Financial Product Agreement;

(n) any Financial Product Payments or Financial Product Receipts with respect to Identified Financial Product Agreements, if such Financial Product Payments or Financial Product Receipts are used to in calculating Annual Debt Service;

(o) income from moneys or Government Obligations deposited in trust for the purpose of paying principal or interest on Long-Term Indebtedness, if such principal or interest are excluded from the calculation of Annual Debt Service to which such Income Available for Debt Service is be compared;

(p) any items in a Person’s financial statements for a particular fiscal year that are the result of or required by any correction, adjustment or restatement of, or the retrospective application of accounting standards to, such Person’s financial statements for any other fiscal year;

(q) unrealized gains or losses from the write-up, (write-down), reappraisal or revaluation of assets, or pension adjustments;

(r) any gains or losses that are Extraordinary Items and any expenses that are Extraordinary Items; or

(s) other nonrecurring items of any extraordinary nature which do not involve the receipt, expenditure or transfer of assets, or any other non-cash expenses.

Indebtedness

“Indebtedness” means any Guaranty (other than any Guaranty by any Obligated Group Member of Indebtedness of any other Obligated Group Member) and any obligation of any Obligated Group Member (a) for repayment of borrowed money other than intercompany loans between Obligated Group Members, (b) with respect to finance leases or (c) under installment sale agreements; provided, however, that if more than one Obligated Group Member shall have incurred or assumed a Guaranty of a Person other than an Obligated Group Member, or if more than one Obligated Group Member shall be obligated to pay any obligation, for purposes of any computations or calculations under this Master Indenture such Guaranty or obligation shall be included only one time. Indebtedness shall not include any amounts owed by any Obligated Group Member to Residents or their estates under any Residence Agreements. Financial Product Agreements, trade payables, accrued expenses payable in the normal course of business, physician

income guaranties, operating leases and obligations to repay Medicare, Medi-Cal or other insurance provider advance payments pursuant to provider relief programs shall not constitute Indebtedness. Indebtedness of any Obligated Group Member shall include the Indebtedness of any partnership in which such Obligated Group Member is a general partner, except to the extent any such partnership Indebtedness is nonrecourse to such Obligated Group Member.

Independent Consultant

“Independent Consultant” means a firm (but not an individual) which (1) is in fact independent, (2) does not have any direct financial interest or any material indirect financial interest in any Obligated Group Member (other than the agreement pursuant to which such firm is retained), (3) is not connected with any Obligated Group Member as an officer, employee, promoter, trustee, partner, director or person performing similar functions and (4) is qualified to pass upon questions relating to the financial affairs of organizations similar to the Obligated Group or facilities of the type or types operated by the Obligated Group and having the skill and experience necessary to render the particular opinion or report required by the provision hereof in which such requirement appears.

Index Rate

“Index Rate” means, at the option of the Obligated Group Representative, as to any Indebtedness: (a) the “25-Bond Revenue” index rate for 30-year tax-exempt revenue bonds, as published by *The Bond Buyer* on any date selected by the Obligated Group Representative that is within 60 days prior to the date of any calculation made with respect to the Index Rate, or an index reasonably comparable to the “25-Bond Revenue” index rate for 30-year tax-exempt revenue bonds, such alternative index to be selected by the Obligated Group Representative, (b) the weighted average coupon or, if applicable, arbitrage yield calculated for federal tax purposes of such Indebtedness, as selected by the Obligated Group Representative and specified in an Officer’s Certificate, (c) the SIFMA Swap Index, or (d) such other interest rate or interest index as may be selected by the Obligated Group Representative and specified in an Officer’s Certificate as appropriate to the situation.

Industry Restrictions

“Industry Restrictions” means federal, state or other applicable governmental laws or regulations, including conditions imposed specifically on the Obligated Group Members or the Obligated Group Members’ facilities, or general industry standards or general industry conditions placing restrictions and limitations on the rates, fees and charges to be fixed, charged and collected by the Obligated Group Members.

Interim Indebtedness

“Interim Indebtedness” means Indebtedness with an original maturity not in excess of one year, the proceeds of which are to be used to provide interim financing for capital improvements in anticipation of the issuance of Long-Term Indebtedness. Interim Indebtedness shall be considered Long-Term Indebtedness for purposes of this Master Indenture.

Irrevocable Deposit

“Irrevocable Deposit” means the irrevocable deposit in trust of cash in an amount, or Government Obligations, or other securities permitted for such purpose pursuant to the terms of the documents governing the payment of or discharge of Indebtedness, the principal of and interest on which will be an amount, and under terms sufficient to pay all or a portion of the principal of, premium, if any, and interest on, as the same shall become due, any such Indebtedness which would otherwise be considered Outstanding. The trustee of such deposit may be the Master Trustee, a Related Bond Trustee or any other trustee or escrow agent authorized to act in such capacity.

Lien

“Lien” means any mortgage or pledge of, or security interest in, or lien or encumbrance on, any Property of an Obligated Group Member (i) which secures any Indebtedness or any other obligation of such Obligated Group Member or (ii) which secures any obligation of any Person other than an Obligated Group Member, and excluding liens applicable to Property in which an Obligated Group Member has only a leasehold interest unless the lien secures Indebtedness of that Obligated Group Member.

Long-Term Indebtedness

“Long-Term Indebtedness” means Indebtedness other than Short-Term Indebtedness.

Master Indenture

“Master Indenture” means this Master Indenture, as originally executed and as it may from time to time be supplemented, modified or amended in accordance with the terms hereof.

Master Indenture Obligation

“Master Indenture Obligation” means any obligation of the Obligated Group issued pursuant to Section 2.02, as a joint and several obligation of each Obligated Group Member, which may be in any form set forth in a Related Supplement, including, but not limited to, bonds, notes, obligations, debentures, reimbursement agreements, loan agreements, Financial Product Agreements or leases. Reference to a Series of Master Indenture Obligations or to Master Indenture Obligations of a Series means Master Indenture Obligations or Series of Master Indenture Obligations issued pursuant to a single Related Supplement.

Master Trustee

“Master Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association organized under the laws of the United States of America, and, subject to the limitations contained in Section 5.07, any other corporation or association that may be co-trustee with the Master Trustee, and any successor or successors to said trustee or co-trustee in the trusts created hereunder.

Maximum Annual Debt Service

“Maximum Annual Debt Service” means the greatest amount of Annual Debt Service becoming due and payable in any Fiscal Year including the Fiscal Year in which the calculation is made or any subsequent Fiscal Year; provided, however, that any of the following adjustments shall apply at the election of the Obligated Group Representative for the purposes of computing Maximum Annual Debt Service:

(a) with respect to a Guaranty, (i) if the Obligated Group Members have made a payment pursuant to such Guaranty within twenty-four (24) months immediately preceding the date of such computation, one hundred percent (100%) of the Annual Debt Service (calculated as if such Person were an Obligated Group Member) guaranteed by the Obligated Group Members under the Guaranty shall be included in the calculation of Annual Debt Service in the year in which such payment was made and for two Fiscal Years thereafter and (ii) otherwise, the Guaranty shall be excluded from the calculation of Annual Debt Service;

(b) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula (or if Financial Product Payments under an Identified Financial Product Agreement or Financial Product Receipts under an Identified Financial Product Agreement are determined pursuant to a variable rate formula), the interest rate on such Long-Term Indebtedness (or the variable rate formula for such Financial Product Payments under an Identified Financial Product Agreement or Financial Product Receipts under an Identified Financial Product Agreement) for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to (i) if such Long-Term Indebtedness (or Identified Financial Product Agreement) was Outstanding during the twelve (12) calendar months immediately preceding the date of calculation, an average of the interest rates per annum which were in effect, and (ii) if such Long-Term Indebtedness (or Identified Financial Product Agreement) was not Outstanding during the twelve (12) calendar months immediately preceding the date of calculation, at the election of the Obligated Group Representative, (x) an average of the SIFMA Swap Index during the twelve (12) calendar months immediately preceding the date of calculation plus 100 basis points, (y) an average of the interest rates per annum which would have been in effect for any twelve (12) consecutive calendar months during the eighteen (18) calendar months immediately preceding the date of calculation or (z) the Index Rate, in each case, as selected by the Obligated Group Representative and specified in an Officer’s Certificate or, at the sole option of the Obligated Group Representative, such interest rate as shall be specified in a written statement from an investment banking or financial advisory firm selected by the Obligated Group Representative;

(c) if moneys or Government Obligations have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay all or a portion of the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, to the extent provided for, shall not be included in computations of Maximum Annual Debt Service;

(d) debt service on Long-Term Indebtedness incurred to finance capital improvements shall be included in the calculation of Maximum Annual Debt Service only in proportion to the amount of interest on such Long-Term Indebtedness which is payable in the then current Fiscal Year from sources other than proceeds of such Long-Term Indebtedness (other than

proceeds deposited in debt service reserve funds) held by a trustee or escrow agent for such purpose;

(e) with respect to Balloon Indebtedness or Interim Indebtedness, such Balloon Indebtedness or Interim Indebtedness shall be treated, at the sole option of the Obligated Group Representative, as Long-Term Indebtedness (i) bearing interest at an interest rate equal to either (A) if such Indebtedness bears interest pursuant to a variable interest rate formula, a rate determined in accordance with subsection (b) of this definition, or (B) a fixed rate equal to the 25 Revenue Bond Index for fixed rate bonded debt most recently published in *The Bond Buyer* prior to the date of calculation (or if such index is no longer published, a comparable index approved by the Obligated Group Representative) or (C) such interest rate as shall be specified in a written statement from an investment banking or financial advisory firm selected by the Obligated Group Representative, and (ii) subject to amortization with substantially level debt service over a period of up to thirty (30) years or if the stated maturity of the Balloon Indebtedness is in excess of 30 years, a period equal to the stated maturity of the Balloon Indebtedness (which period shall be designated by the Obligated Group Representative) from the date of calculation; or

(f) If applied to all of the Outstanding Long-Term Indebtedness of the Obligated Group, it may be assumed that (i) the principal balance of such Long-Term Indebtedness (after adjustment as provided in clause (a) of this definition) will be refinanced on the date of such calculation, (ii) such principal balance will be payable over the Assumed Term from the date of such calculation, (iii) such principal balance will bear interest at the Index Rate from the date of such calculation, and (iv) the interest and principal on such Long-Term Indebtedness will be payable in equal annual installments or an alternate schedule of amortization sufficient to pay the principal of and interest and other debt service charges over the Assumed Term.

Merger Transaction

“Merger Transaction” has the meaning set forth in Section 3.06.

Nonrecourse Indebtedness

“Nonrecourse Indebtedness” means any Indebtedness which is not a general obligation and which is secured by a Lien, liability for which is effectively limited to the Property, Plant and Equipment subject to such Lien with no recourse, directly or indirectly, to any other Property of any Obligated Group Member.

Obligated Group

“Obligated Group” means all Obligated Group Members. As of the Effective Date, the Corporation and Covia Communities are the Obligated Group Members.

Obligated Group Audited Financial Statements

“Obligated Group Audited Financial Statements” means the audited financial statements prepared in accordance with the provisions of Section 3.11(b).

Obligated Group Member or Member

“Obligated Group Member” or “Member” means each Person that is obligated hereunder from and after the date upon which such Person joins the Obligated Group, but excluding any Person which withdraws from the Obligated Group to the extent and in accordance with the provisions of Section 3.08, from and after the date of such withdrawal.

Obligated Group Representative

“Obligated Group Representative” means the Corporation or such other Obligated Group Member (or Obligated Group Members acting jointly) as may have been designated pursuant to written notice to the Master Trustee executed by the Corporation or a successor Obligated Group Representative.

Officer’s Certificate

“Officer’s Certificate” means a certificate signed by an Authorized Representative of the Obligated Group Representative.

Opinion of Bond Counsel

“Opinion of Bond Counsel” means a written opinion signed by an attorney or firm of attorneys experienced in the field of public finance whose opinions are generally accepted by purchasers of bonds issued by or on behalf of a Government Issuer.

Opinion of Counsel

“Opinion of Counsel” means a written opinion signed by a reputable and qualified attorney or firm of attorneys who may be counsel for the Obligated Group Representative.

Outstanding

“Outstanding,” when used with reference to Indebtedness or Master Indenture Obligations, means, as of any date of determination, all Indebtedness or Master Indenture Obligations theretofore issued or incurred and not paid and discharged other than (1) Master Indenture Obligations theretofore cancelled by the Master Trustee or delivered to the Master Trustee for cancellation or otherwise deemed paid in accordance with the terms hereof, (2) Master Indenture Obligations in lieu of which other Master Indenture Obligations have been authenticated and delivered or which have been paid pursuant to the provisions of a Related Supplement regarding mutilated, destroyed, lost or stolen Master Indenture Obligations unless proof satisfactory to the Master Trustee has been received that any such Master Indenture Obligation is held by a bona fide purchaser, (3) any Master Indenture Obligation held by any Obligated Group Member and (4) Indebtedness deemed paid and no longer outstanding pursuant to the terms thereof; provided, however, that if two or more obligations which constitute Indebtedness represent the same underlying obligation (as when a Master Indenture Obligation secures an issue of Related Bonds and another Master Indenture Obligation secures repayment obligations to a bank under a letter of credit which secures such Related Bonds) for purposes of calculating compliance with the various financial covenants contained herein, but only for such purposes, only one of such Master

Indenture Obligations shall be deemed Outstanding and the Master Indenture Obligation so deemed to be Outstanding shall be that Master Indenture Obligation which produces the greatest amount of Annual Debt Service to be included in the calculation of such covenants.

Parity Financial Product Extraordinary Payments

“Parity Financial Product Extraordinary Payments” means Financial Product Extraordinary Payments that (1) are with respect to a Financial Product Agreement secured or evidenced by an Obligation and (2) have been specified to be payable on a parity with Financial Product Payments in the Related Supplement authorizing the issuance of such Obligation.

Permitted Liens

“Permitted Liens” means and include:

(a) Any judgment lien or notice of pending action against any Obligated Group Member so long as the judgment or pending action is being contested and execution thereon is stayed or while the period for responsive pleading has not lapsed;

(b) (i) Rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of law, affecting any Property, to (A) terminate such right, power, franchise, grant, license or permit, provided that the exercise of such right would not materially impair the use of such Property or materially and adversely affect the Value thereof, or (B) purchase, condemn, appropriate or recapture, or designate a purchase of, such Property; (ii) any liens on any Property for taxes, assessments, levies, fees, water and sewer charges, and other governmental and similar charges and any liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property, which are not delinquent, or the amount or validity of which are being contested and execution thereon is stayed or, with respect to liens of mechanics, materialmen and laborers, have been due and payable or which are not delinquent, or the amount or validity of which, are being contested or, with respect to liens of mechanics, materialmen and laborers, have been due for less than ninety (90) days, or the amount or validity of which are being contested; (iii) easements, rights-of-way, servitudes, restrictions and other minor defects, encumbrances, and irregularities in the title to any Property which do not materially impair the use of such Property or materially and adversely affect the Value thereof; (iv) rights reserved to or vested in any municipality or public authority to control or regulate any Property or to use such Property in any manner, which rights do not materially impair the use of such Property in any manner, or materially and adversely affect the Value thereof; (v) to the extent that it affects title to any Property, any lien created by this Master Indenture; (vi) landlord’s liens; and (vii) minor encumbrances (not securing Indebtedness) imposed or suffered from time to time on any Property that do not materially and adversely affect the interests of the Master Trustee or the Holders;

(c) Any Lien described in **Appendix A** to this Master Indenture which is existing on the date of execution hereof or as **Appendix A** may be supplemented upon addition of an Obligated Group Member with respect to Liens existing on the Property of such additional Obligated Group Member, provided that no such Lien (or the amount of Indebtedness or other obligations secured thereby) may be increased, extended, renewed or modified to apply to any

Property of any Obligated Group Member not subject to such Lien on such date, unless such Lien as so extended, renewed or modified otherwise qualifies as a Permitted Lien;

(d) Any Lien in favor of the Master Trustee securing all Outstanding Master Indenture Obligations equally and ratably;

(e) Liens arising by reason of good faith deposits by any Obligated Group Member in the ordinary course of business (for other than borrowed money), deposits with any Obligated Group Member in connection with leases of real estate, bids or contracts (other than contracts for the payment of money), deposits by any Obligated Group Member to secure public or statutory obligations, or deposits to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;

(f) Any Lien arising by reason of deposits with, or the giving of any form of security to, any governmental agency or any body created or approved by law or governmental regulation for any purpose at any time as required by law or governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Obligated Group Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with workers' compensation, unemployment insurance, pension or profit sharing plans or other similar social security plans, or to share in the privileges or benefits required for companies participating in such arrangements, or to otherwise participate in other alternative risk management programs;

(g) Any Lien arising by reason of any escrow established to pay debt service with respect to Indebtedness or by reason of deposits to any reserve fund, excess depreciation fund, debt service fund or a special redemption fund in respect to any Indebtedness;

(h) Any Lien in favor of a trustee on the proceeds of Indebtedness prior to the application of such proceeds;

(i) Liens securing Indebtedness which is insured or guaranteed under a federal program which pledges the full faith and credit of the United States of America as security for such program, or under a program of any state which pledges the full faith and credit of such state as security for such program, so long as the Indebtedness so secured does not exceed ninety percent (90%) of the Book Value of the Property of the Obligated Group Member securing such Indebtedness being financed or refinanced with the proceeds of such Indebtedness;

(j) Liens on moneys deposited by residents or patients with any Obligated Group Member as security for or as prepayment for the cost of resident or patient care or other care;

(k) Liens on Property received by any Obligated Group Member through gifts, grants, bequests or research grants, such Liens being due to restrictions on such gifts, grants, bequests or research grants or the income thereon, up to the Fair Market Value of such Property;

(l) Rights of the United States of America, including, without limitation, the Federal Emergency Management Agency ("FEMA"), or the State of California, including without

limitation the California Emergency Management Agency, by reason of FEMA and other federal and State of California funds made available to any Obligated Group Member under federal or State of California statutes;

(m) Liens on Property securing Indebtedness incurred to refinance Indebtedness previously secured by a Lien on such Property, provided that (i) the principal amount of such new Indebtedness does not exceed the principal amount of such refinanced Indebtedness, (ii) the Property securing such Indebtedness is not changed, and (iii) the obligor with respect to such Indebtedness, whether direct or contingent, is not changed unless such Indebtedness is permitted under Section 3.10;

(n) Liens granted by an Obligated Group Member to another Obligated Group Member;

(o) Liens securing Nonrecourse Indebtedness incurred pursuant to the provisions hereof;

(p) Liens consisting of purchase money security interests (as defined in the UCC) and lessors' interest in finance leases provided the Lien secures Indebtedness permitted by Section 3.10;

(q) Liens on revenues constituting rentals in connection with any other Lien permitted hereunder on the Property from which such rentals are derived;

(r) the lease or license of the use of a part of the Obligated Group Members' facilities for use in performing professional or other services necessary for the proper and economical operation of such facilities in accordance with customary business practices in the industry;

(s) Liens created on amounts deposited by an Obligated Group Member pursuant to a security annex or similar document to collateralize obligations of such Obligated Group Member under a Financial Product Agreement;

(t) Liens junior to Liens in favor of the Master Trustee;

(u) Liens in favor of banking or other depository institutions encumbering the deposits of any Obligated Group Member held by such institution (including any right of setoff or statutory bankers' liens);

(v) Uniform Commercial Code financing statements filed with the Secretary of State of the State (or such other office maintaining such records) in connection with an operating lease entered into by any Obligated Group Member in the ordinary course of business so long as such financing statement does not evidence the grant of a Lien other than a Permitted Lien;

(w) Rights of tenants under leases or rental agreements pertaining to Property, Plant and Equipment owned by any Obligated Group Member so long as the lease arrangement is in the ordinary course of business of the Obligated Group Member;

(x) Deposits of Property by any Obligated Group Member to meet regulatory requirements for a governmental workers' compensation, unemployment insurance or social security program, other than any Lien imposed by ERISA;

(y) Deposits to secure the performance of another party with respect to a bid, trade contract, statutory obligation, surety bond, appeal bond, performance bond or lease, and other similar obligations incurred in the ordinary course of business of an Obligated Group Member;

(z) Liens resulting from deposits to secure bids from or the performance of another party with respect to contracts incurred in the ordinary course of business of an Obligated Group Member (other than contracts creating or evidencing an extension of credit to the depositor or otherwise for the payment of Indebtedness);

(aa) Present or future zoning laws, ordinances or other laws or regulations restricting the occupancy, use or enjoyment of Property, Plant and Equipment of any Obligated Group Member;

(bb) Any Lien on Property due to the rights of third-party payors for recoupment of amounts paid to any Obligated Group Member;

(cc) Any Lien existing for not more than 10 days after the Obligated Group Member shall have received notice thereof;

(dd) A lease and leaseback arrangement or similar arrangements entered into by any Obligated Group Member with a Related Bond Issuer to the extent required in connection with the issuance of a series of Related Bonds which arrangement does not subject the Property subject to such arrangement to a Lien securing the Indebtedness incurred in connection with such Related Bonds;

(ee) Liens existing on any Property (or revenues therefrom) prior to the time of its acquisition by an Obligated Group Member through purchase, merger, consolidation or otherwise, whether or not assumed by the Obligated Group Member, if the principal amounts secured by any such Lien shall not exceed the greater of the cost or fair market value of such Property as determined in good faith by the Obligated Group Member; provided, that no such Lien (or the amount of Indebtedness secured thereby) may be increased, extended, renewed or modified to apply to any Property or revenues not subject to such Lien on such date unless such Lien as so increased, extended, renewed or modified otherwise qualifies as a Permitted Lien under this Master Indenture;

(ff) The interests of HUD under any regulatory agreements or deeds of trust relating to any HUD Facilities; and

(gg) Any other Lien on Property provided that the Value of all Property encumbered by all Liens permitted under this clause (gg) does not exceed twenty percent (20%) of the sum of the Book Value of all Property of the Obligated Group Members, calculated at the time of creation of such Lien.

Person

“Person” means an individual, corporation, limited liability company, firm, association, partnership, trust or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

Property

“Property” means any and all rights, titles and interests in and to any and all assets of any Obligated Group Member, whether real or personal, tangible or intangible and wherever situated. For purposes of performing certain calculations under this Master Indenture, the Obligated Group Representative may treat “total assets” as shown on the Obligated Group Audited Financial Statements as the Book Value of the Obligated Group’s Property.

Property, Plant and Equipment

“Property, Plant and Equipment” means all Property of any Obligated Group Member which is considered property, plant and equipment of such Obligated Group Member under GAAP.

Qualified Provider

“Qualified Provider” means any financial institution or insurance company or other entity which is a party to a Financial Product Agreement if (i) the unsecured long-term debt obligations of such provider (or of the parent or a subsidiary of such provider if such parent or subsidiary guarantees or otherwise assures the performance of such provider under such Financial Product Agreement), or (ii) obligations secured or supported by a letter of credit, contract, guarantee, agreement, insurance policy or surety bond issued by such provider (or such guarantor or assuring parent or subsidiary), are rated in one of the three highest Rating Categories of a Rating Agency at the time of the execution and delivery of the Financial Product Agreement.

Rating Agency

“Rating Agency” means Fitch Inc., Moody’s Investors Service, Inc., S&P Global Ratings, and any other national rating agency then rating Master Indenture Obligations or Related Bonds.

Rating Category

“Rating Category” means a generic securities rating category, without regard to any refinement or gradation of such rating category by a numerical modifier, outlook or otherwise.

Related Bonds

“Related Bonds” means (i) the revenue bonds or other obligations (including, without limitation, installment sale or lease obligations evidenced by certificates of participation) issued by any Government Issuer, the proceeds of which are loaned or otherwise made available to an Obligated Group Member in consideration of the execution, authentication and delivery of a Master Indenture Obligation or Master Indenture Obligations to or for the order of such Government Issuer and (ii) revenue bonds or other obligations (including, without limitation,

installment sale or lease obligations evidenced by certificates of participation) directly issued by an Obligated Group Member and secured by a Master Indenture Obligation.

Related Bond Indenture

“Related Bond Indenture” means any indenture, bond resolution, trust agreement or other comparable instrument pursuant to which a series of Related Bonds are issued.

Related Bond Issuer

“Related Bond Issuer” means the Government Issuer or Obligated Group Member of any issue of Related Bonds.

Related Bond Trustee

“Related Bond Trustee” means the trustee and its successors in the trusts created under any Related Bond Indenture, and if there is no such trustee, means the Related Bond Issuer.

Related Supplement

“Related Supplement” means an indenture supplemental to, and authorized and executed pursuant to the terms of, this Master Indenture.

Required Payment

“Required Payment” means any payment, whether at maturity, by acceleration, redemption or otherwise, including without limitation, Financial Product Payments, Financial Product Extraordinary Payments and the purchase price of Related Bonds tendered or deemed tendered for purchase pursuant to the terms of a Related Bond Indenture, required to be made by any Obligated Group Member pursuant to any Related Supplement or any Master Indenture Obligation.

Residence Agreement

“Residence Agreement” means each continuing care and residency agreement, or other similar agreement now existing or hereafter created, including any amendments thereto, between any Obligated Group Member and any Resident with respect to any of the facilities owned and/or operated by any Obligated Group Member.

Resident

“Resident” means each Person residing at a facility owned and/or operated by any Obligated Group Member under terms of a Residence Agreement.

Responsible Officer

“Responsible Officer” means, with respect to the Master Trustee, any managing director, any vice president, any assistant vice president, any assistant secretary, any assistant treasurer or any other officer of the Master Trustee customarily performing functions similar to those

performed by the persons above designated or to whom any corporate trust matter is referred because of such person's knowledge of and familiarity with the particular subject and having direct responsibility for the administration of this Master Indenture.

Short-Term Indebtedness

"Short-Term Indebtedness" means all Indebtedness (other than Interim Indebtedness) having an original maturity less than or equal to one year and not renewable at the option of an Obligated Group Member for a term greater than one year from the date of original incurrence or issuance, or Indebtedness with a maturity greater than one year or renewable at the option of an Obligated Group Member for a term greater than one year, if by the terms of such Indebtedness, for a period of at least twenty (20) consecutive days during each calendar year no Indebtedness is permitted to be Outstanding thereunder. For purposes of this definition, (i) only the stated maturity of Indebtedness (and not any tender or put right of the holder of such Indebtedness) shall be taken into account in determining if such Indebtedness constitutes Short-Term Indebtedness hereunder and (ii) classification of Indebtedness as current or short-term under GAAP shall not be controlling. Interim Indebtedness shall not constitute Short-Term Indebtedness for any purpose under this Master Indenture.

SIFMA Swap Index

"SIFMA Swap Index" means, on any date, a rate determined on the basis of the seven-day high grade market index of tax-exempt variable rate demand obligations, as produced by Municipal Market Data and published or made available by the Securities Industry & Financial Markets Association (formerly the Bond Market Association) ("SIFMA") or any Person acting in cooperation with or under the sponsorship of SIFMA or if such index is no longer available "SIFMA Swap Index" shall refer to a substantially comparable index selected by the Obligated Group Representative, with the advice of an investment banking or financial advisory firm.

State

"State" means the State of California.

Subordinated Indebtedness

"Subordinated Indebtedness" means Long-Term Indebtedness specifically subordinated as to payment and security to the payment of all Required Payments and other obligations of the Obligated Group Members under this Master Indenture.

Surviving Entity

"Surviving Entity" has the meaning set forth in Section 3.06.

Tax-Exempt Organization

"Tax-Exempt Organization" means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) of the Code and exempt from federal income taxes under Section 501(a) of the Code (other than the tax on

unrelated business income under Section 511 of the Code), or corresponding provisions of federal income tax laws from time to time in effect.

Total Operating Revenues

“Total Operating Revenues” means, for the period of calculation in question, the total unrestricted revenues, gains and other support of the Obligated Group, as shown on the most recent Obligated Group Audited Financial Statements.

Transaction Test

“Transaction Test” means, with respect to any specified transaction, that (i) no Event of Default or Default then exists and (ii) if such transaction had occurred as of the first day of the most recent full Fiscal Year preceding such transaction for which Obligated Group Audited Financial Statements are available, the Obligated Group would be able to satisfy the conditions for the issuance of \$1.00 of additional Long-Term Indebtedness set forth in Section 3.10(a) as of the final day of such full Fiscal Year taking into account the Income Available for Debt Service generated for such Fiscal Year.

UCC

“UCC” means the Uniform Commercial Code of the State or another state, as applicable, as amended from time to time.

Unrestricted Net Assets

“Unrestricted Net Assets” means for the period of calculation in question, the unrestricted net assets, as shown on the most recent Obligated Group Audited Financial Statements.

Value

“Value,” when used with respect to Property, means the aggregate value of all such Property, with each component of such Property valued, at the option of the Obligated Group Representative, at either its Fair Market Value or its Book Value.

Section 1.02. Interpretation.

(a) Any reference herein to any officer of an Obligated Group Member shall include those succeeding to the functions, duties or responsibilities of such officer pursuant to or by operation of law or who are lawfully performing the functions of such officer.

(b) Unless the context otherwise indicates, words of the masculine gender shall be deemed and construed to include correlative words of the feminine and neuter genders. The singular shall include the plural and vice versa.

(c) Headings of Articles and Sections herein and the table of contents hereto are solely for convenience of reference, and do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

Section 1.03. References to Master Indenture. The terms “hereby,” “hereof,” “hereto,” “herein,” “hereunder,” and any similar terms, used in this Master Indenture refer to this Master Indenture.

Section 1.04. Contents of Certificates and Opinions; Use of GAAP.

(a) Every Certificate or opinion provided for herein with respect to compliance with any provision hereof shall include: (a) a statement that the Person making or giving such certificate or opinion has read such provision and the definitions herein relating thereto; (b) a brief statement as to the nature and scope of the examination or investigation upon which the certificate or opinion is based; (c) a statement that, in the opinion of such Person, such Person has made, or caused to be made, such examination or investigation as is necessary to enable such Person to provide the certificate or express an informed opinion with respect to the subject matter referred to in the instrument to which such Person’s signature is affixed; and (d) a statement as to whether, in the opinion of such Person, such provision has been satisfied.

(b) Any such Certificate or opinion made or given by an officer of an Obligated Group Member or the Master Trustee may be based, insofar as it relates to legal, accounting or senior living matters, upon a Certificate or opinion or representation of counsel, an accountant or Independent Consultant unless such officer knows, or in the exercise of reasonable care should have known, that the Certificate, opinion or representation with respect to the matters upon which such Certificate or opinion may be based, as aforesaid, is erroneous. Any such Certificate, opinion or representation made or given by counsel, an accountant or an Independent Consultant, may be based, insofar as it relates to factual matters (with respect to which information is in the possession of any Obligated Group Member) upon the Certificate or opinion of, or representation by an officer of any Obligated Group Member unless such counsel, accountant or Independent Consultant knows that the Certificate, opinion of or representation by such officer, with respect to the factual matters upon which such Person’s Certificate or opinion may be based, is erroneous. The same officer of any Obligated Group Member or the same counsel or accountant or Independent Consultant, as the case may be, need not certify as to all the matters required to be certified under any provision hereof, but different officers, counsel, accountants or Independent Consultants may certify as to different matters.

(c) Where the character or amount of any asset or liability or item of income or expense is required to be determined or any consolidation, combination or other accounting computation is required to be made for the purposes of this Master Indenture or any agreement, document or certificate executed and delivered in connection with or pursuant to this Master Indenture, such determination or computation shall be done in accordance with GAAP in effect on, at the sole option of the Obligated Group Representative, (i) the date such determination or computation is made for any purpose of this Master Indenture or (ii) the date of execution and delivery of this Master Indenture if the Obligated Group Representative delivers an Officer’s Certificate to the Master Trustee describing why then current GAAP is inconsistent with the intent of the parties on the date of execution and delivery of this Master Indenture; provided that intercompany balances and liabilities among the Obligated Group Members shall be disregarded and that the requirements set forth herein shall prevail if inconsistent with GAAP.

ARTICLE II

AUTHORIZATION AND ISSUANCE OF MASTER INDENTURE OBLIGATIONS

Section 2.01. Authorization of Master Indenture Obligations. Each Obligated Group Member hereby authorizes to be issued from time to time Master Indenture Obligations or Series of Master Indenture Obligations, without limitation as to amount, except as provided herein or as may be limited by law, and subject to the terms, conditions and limitations established herein and in any Related Supplement.

Section 2.02. Issuance of Master Indenture Obligations. From time to time when authorized by this Master Indenture and subject to the terms, limitations and conditions established in this Master Indenture or in a Related Supplement, the Obligated Group Representative may authorize the issuance of a Master Indenture Obligation or a Series of Master Indenture Obligations by entering into a Related Supplement. The Master Indenture Obligation or the Master Indenture Obligations of any such Series may be issued and delivered to the Master Trustee for authentication upon compliance with the provisions hereof and of any Related Supplement.

Each Related Supplement authorizing the issuance of a Master Indenture Obligation or a Series of Master Indenture Obligations shall specify the purposes for which such Master Indenture Obligation or Series of Master Indenture Obligations are being issued; the form, title, designation, manner of numbering or denominations, if applicable, of such Master Indenture Obligations; the date or dates of maturity or other final expiration of the term of such Master Indenture Obligations; the date of issuance of such Master Indenture Obligations; and any other provisions deemed advisable or necessary by the Obligated Group Representative. Each Related Supplement authorizing the issuance of a Master Indenture Obligation shall also specify and determine the principal amount of such Master Indenture Obligation (if any) for purposes of calculating the percentage of Holders of Master Indenture Obligations required to take actions or give consents pursuant to this Master Indenture (which, if such Master Indenture Obligation does not evidence or secure Indebtedness, shall be equal to zero, except with respect to any action which requires the consent of all of the Holders of Master Indenture Obligations). The designation of zero as a principal amount of a Master Indenture Obligation shall not in any manner affect the obligation of the Members to make Required Payments with respect to such Master Indenture Obligation.

Section 2.03. Appointment of Obligated Group Representative. Each Obligated Group Member, by becoming an Obligated Group Member, irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants full power and authority to the Obligated Group Representative (a) to do and perform all acts as the Obligated Group Representative hereunder on behalf of each Obligated Group Member, including, without limitation, to execute and deliver Master Indenture Obligations, to execute and deliver Related Supplements authorizing the issuance of Master Indenture Obligations or Series of Master Indenture Obligations and to execute and deliver any other documents or instruments relating to or securing any borrowings, indebtedness, obligation or the like, including, without limitation, notes, bonds, debentures, capital leases, installment sales agreements, Financial Product Agreements, mortgages, deeds of trust, security agreements and financing statements and (b) to take all other actions and execute and deliver all other documents, instruments and the like as may be deemed necessary or desirable by the Obligated Group Representative in connection with any financing, refinancing or other

transaction involving any Master Indenture Obligation, Related Supplement, Financial Product Agreement or this Master Indenture and (c) to prepare, or authorize the preparation of, any and all documents, certificates or disclosure and continuing disclosure materials reasonably and ordinarily prepared in connection with the issuance of Master Indenture Obligations hereunder, or Related Bonds associated therewith, and to execute and deliver such items to the appropriate parties in connection therewith.

Section 2.04. Execution and Authentication of Master Indenture Obligations.

(a) All Master Indenture Obligations shall be executed by an Authorized Representative of the Obligated Group Representative for and on behalf of the Obligated Group as provided in the Related Supplement authorizing such Master Indenture Obligation. The signatures of such Authorized Representative may be mechanically or photographically reproduced on the Master Indenture Obligations. If any Authorized Representative whose signature appears on any Master Indenture Obligation ceases to be such Authorized Representative before delivery thereof, such signature shall remain valid and sufficient for all purposes as if such Authorized Representative had remained in office until such delivery. Each Master Indenture Obligation shall be manually authenticated by an authorized signatory of the Master Trustee, and no Master Indenture Obligation shall be entitled to the benefits hereof without such authentication.

(b) The form of Certificate of Authentication to be printed on each Master Indenture Obligation and manually executed by an authorized signatory of the Master Trustee shall be as follows:

[FORM OF MASTER TRUSTEE'S CERTIFICATE OF AUTHENTICATION]

The undersigned Master Trustee hereby certifies that this Master Indenture Obligation No. ____ is one of the Master Indenture Obligations described in the within mentioned Master Indenture.

Dated: _____

[Name of Master Trustee],
as Master Trustee

By _____
Authorized Signatory

Section 2.05. Conditions to the Issuance of Master Indenture Obligations. The issuance, authentication and delivery of any Master Indenture Obligation or Series of Master Indenture Obligations shall be subject to the following specific conditions:

(a) The Obligated Group Representative and the Master Trustee shall have entered into a Related Supplement providing for the terms and conditions of such Master Indenture Obligations and the repayment thereof; and

(b) The Master Trustee receives an Officer's Certificate to the effect that:

(i) each Obligated Group Member is in full compliance with all warranties, covenants and agreements set forth in this Master Indenture and in any Related Supplement; and

(ii) neither an Event of Default nor any event which with the passage of time or the giving of notice or both would become an Event of Default has occurred and is continuing or would occur upon issuance of such Master Indenture Obligations under this Master Indenture or any Related Supplement; and

(iii) all requirements and conditions, if any, to the issuance of such Master Indenture Obligations set forth in the Related Supplement have been satisfied; and

(c) The Master Trustee receives an Opinion of Counsel, subject to customary qualifications and exceptions, to the effect that:

(i) such Master Indenture Obligations and Related Supplement have been duly authorized, executed and delivered by the Obligated Group Representative on behalf of the Obligated Group and constitute valid and binding obligations of the Obligated Group, enforceable in accordance with their terms; and

(ii) such Master Indenture Obligations are not subject to registration under federal or state securities laws and such Related Supplement is not subject to registration under the Trust Indenture Act of 1939, as amended (or that such registration, if required, has occurred); and

(d) If such Master Indenture Obligation constitutes or secures Indebtedness, the requirements of Section 3.10 are satisfied; and

(e) The Obligated Group Representative shall have delivered or caused to be delivered to the Master Trustee such opinions, certificates, proceedings, instruments and other documents as the Master Trustee may (but is not obligated to) reasonably request.

ARTICLE III

PAYMENTS WITH RESPECT TO MASTER INDENTURE OBLIGATIONS; OBLIGATED GROUP COVENANTS

Section 3.01. Payment of Required Payments.

(a) Each Obligated Group Member jointly and severally covenants to promptly pay, or cause to be paid, all Required Payments at the place, on or before the dates and in the manner provided herein or in any Related Supplement or Master Indenture Obligation. Each Obligated Group Member acknowledges that the time of such payment and performance is of the essence of the Master Indenture Obligations hereunder. Each Obligated Group Member further covenants to faithfully observe and perform all of the conditions, covenants and requirements of this Master Indenture, any Related Supplement and any Master Indenture Obligation.

The obligation of each Obligated Group Member with respect to Required Payments shall not be abrogated, prejudiced or affected by:

(i) the granting of any extension, waiver or other concession given to any Obligated Group Member by the Master Trustee or any Holder or by any compromise, release, abandonment, variation, relinquishment or renewal of any of the rights of the Master Trustee or any Holder or anything done or omitted or neglected to be done by the Master Trustee or any Holder in exercise of the authority, power and discretion vested in them by this Master Indenture, or by any other dealing or thing which, but for this provision, might operate to abrogate, prejudice or affect such obligation; or

(ii) the liability of any other Obligated Group Member under this Master Indenture ceasing for any cause whatsoever, including the release of any other Obligated Group Member pursuant to the provisions of this Master Indenture or any Related Supplement; or

(iii) any Obligated Group Member's failing to become liable as, or losing eligibility to become, an Obligated Group Member with respect to a Master Indenture Obligation; or

(iv) the validity or sufficiency (or any contest with respect thereto) of the consideration given to support the obligations of the Obligated Group Members under this Master Indenture.

Subject to the provisions of Section 3.08 permitting withdrawal from the Obligated Group, the obligation of each Obligated Group Member to make Required Payments is a continuing one and is to remain in effect until all Required Payments have been paid or deemed paid in full in accordance with Article VII. All moneys from time to time received by the Obligated Group Representative or the Master Trustee to reduce liability on Master Indenture Obligations, whether from or on account of the Obligated Group Members or otherwise, shall be regarded as payments in gross without any right on the part of any one or more of the Obligated Group Members to claim the benefit of any moneys so received until the whole of the amounts owing on Master Indenture Obligations has been paid or satisfied and so that in the event of any such Obligated Group Member's filing bankruptcy, the Obligated Group Representative or the Master Trustee shall be entitled to prove up the total indebtedness or other liability on Master Indenture Obligations Outstanding as to which the liability of such Obligated Group Member has become fixed.

Each Master Indenture Obligation shall be a primary obligation of the Obligated Group Members and shall not be treated as ancillary to or collateral with any other obligation and shall be independent of any other security so that the covenants and agreements of each Obligated Group Member hereunder shall be enforceable without first having recourse to any such security or source of payment and without first taking any steps or proceedings against any other Person. The Obligated Group Representative and the Master Trustee are each empowered to enforce each covenant and agreement of each Obligated Group Member hereunder and to enforce the making of Required Payments. Each Obligated Group Member hereby authorizes each of the Obligated Group Representative and the Master Trustee to enforce or refrain from enforcing any covenant or agreement of the Obligated Group Members hereunder and to make any arrangement or

compromise with any Obligated Group Member or Obligated Group Members as the Obligated Group Representative or the Master Trustee may deem appropriate, consistent with this Master Indenture and any Related Supplement. Each Obligated Group Member hereby waives in favor of the Obligated Group Representative and the Master Trustee all rights against the Obligated Group Representative, the Master Trustee and any other Obligated Group Member, insofar as is necessary to give effect to any of the provisions of this Section.

Section 3.02. Covenants of Corporate Existence, Maintenance of Properties, Etc. Each Obligated Group Member agrees:

(a) Except as otherwise expressly provided herein, to preserve its corporate or other legal existence and all its rights and licenses to the extent necessary or desirable in the operation of its business and affairs and to be qualified to do business in each jurisdiction where its ownership of Property or the conduct of its business requires such qualification; provided, however, that nothing herein contained shall be construed to obligate it to retain or preserve any of its rights or licenses no longer used or, in the judgement of the Governing Body, useful in the conduct of its business or affairs.

(b) At all times to cause its Property, Plant and Equipment to be maintained, preserved and kept in good repair, working order and condition, reasonable wear and tear excepted, and all needed and proper repairs, renewals and replacements thereof to be made; provided, however, that nothing contained in this subsection shall be construed to (i) prevent it from ceasing to operate any immaterial portion of its Property, Plant and Equipment, (ii) prevent it from ceasing to operate any material portion of its Property, Plant and Equipment if in its judgment it is advisable not to operate the same, and within a reasonable time endeavors to effect disposition of such material portion of its Property, Plant and Equipment, or (iii) obligate it to retain, preserve, repair, renew or replace any Property, Plant and Equipment no longer used or useful in the conduct of its business.

(c) To procure and maintain all necessary licenses and permits necessary, in the judgment of its Governing Body, to the operation of its Property, Plant and Equipment; provided, however, that it need not comply with this subsection if and to the extent that its Governing Body shall have determined in good faith, evidenced by a resolution of the Governing Body, that such compliance is not in its best interests and that lack of such compliance would not materially impair its ability to pay its Indebtedness when due.

(d) Not take any action, including any action which would result in the alteration or loss of its status as a Tax-Exempt Organization, which, or fail to take any action which failure, in the Opinion of Bond Counsel, would result in the inclusion of interest on any Related Bond in gross income for purposes of federal income taxation. The foregoing notwithstanding, any Member of the Obligated Group that is a Tax-Exempt Organization may take actions which could result in the alteration or loss of its status as a Tax-Exempt Organization if (i) prior thereto there is delivered to the Master Trustee an Opinion of Bond Counsel to the effect that such action would not adversely affect the validity of any Related Bond and would not, in and of itself, result in the inclusion of interest on any Related Bond in gross income for purposes of federal income taxation and (ii) prior thereto there is delivered to the Master Trustee an Opinion of Counsel to the effect that such action would not adversely affect the enforceability in accordance with its terms

of this Master Indenture against any Member of the Obligated Group and either (A) an Opinion of Counsel for such Member of the Obligated Group to the effect that such actions would not subject any Related Bond or any Master Indenture Obligation to registration under the Securities Act of 1933, as amended, or any state securities law, or require the qualification of any Related Bond Indenture, loan document or this Master Indenture or any Supplement under the Trust Indenture Act of 1939, as amended, or any state securities law, or (B) an Opinion of Counsel that such Related Bond or Master Indenture Obligation has been so registered and such Related Bond Indenture, loan document or Master Indenture or Supplement has been so qualified.

Section 3.03. Gross Revenues.

(a) Each Member covenants and agrees that, so long as any of the Master Indenture Obligations remain Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in one or more deposit accounts that shall be designated as the “Gross Revenue Fund” and that shall be designated by the Members in writing to the Master Trustee as the Gross Revenue Fund which the Members shall establish and maintain, subject to the provisions of subsection (b) of this Section, at such banking institution as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “Depository Bank(s)”) and which banking institution has entered into one or more deposit account control agreements (the “Account Control Agreement”) with the applicable Members and the Master Trustee. The Master Trustee acknowledges that one or more accounts can constitute the Gross Revenue Fund. As security for the performance by each of the Members of its obligations under this Master Indenture, each Member hereby pledges and assigns to the Master Trustee, and grants to the Master Trustee a security interest in, all its right, title and interest, whether now owned or hereafter acquired, in and to the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (collectively, the “Collateral”). Notwithstanding the foregoing, the Collateral shall not include any Gross Revenues withdrawn by an Obligated Group Member from the Gross Revenue Fund in accordance with the terms of this Master Indenture or any deposit account (other than the Gross Revenue Fund) into which such withdrawn Gross Revenues may be deposited. Each of the Members shall cause to be filed Uniform Commercial Code financing statements, and shall execute and deliver such other documents (including, but not limited to, amendments to such Uniform Commercial Code financing statements) as may be necessary or reasonably requested by the Master Trustee in order to perfect or maintain the perfection of such security interest to the extent a security interest in the Gross Revenues and the Gross Revenue Fund can be perfected under the applicable Uniform Commercial Code. Each Member hereby irrevocably authorizes the Master Trustee to execute and file any continuation statements and amendments thereto as may be required to perfect or to continue the perfection of the security interest in the Collateral, including, without limitation, continuation statements that describe the collateral as being of an equal or lesser scope, or with greater or lesser detail, than as set forth in the definition of Collateral. Each Member represents and warrants that (i) it is either (A) a nonprofit corporation duly formed and organized solely under the laws of the State of California or (B) a duly formed and organized entity organized solely under the laws of the state specified with respect to it in this Master Indenture or the Related Supplement executed by such Member and (ii) its complete legal name is as set forth on the signature page of this Master Indenture or Related Supplement, as applicable, executed by such Member. Each Member covenants that it will not change its name or its type or jurisdiction of organization unless (i) it gives thirty

(30) days' notice of such change to the Master Trustee and (ii) before such change occurs it takes all actions as are necessary or advisable, including the filing of Uniform Commercial Code financing statements and amendments to financing statements, to maintain and continue the first priority perfected security interest of the Master Trustee in the Collateral.

(b) Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as hereinafter provided. In the event that any Member is delinquent for more than one business day in the payment of any required payment with respect to any Master Indenture Obligation issued pursuant to a Related Supplement, the Master Trustee, upon notice from any Member or actual knowledge of such delinquency, shall notify the Corporation and the Depository Bank(s) of such delinquency, and exclusive control over the Gross Revenue Fund shall be exercised by the Master Trustee and as provided in the Account Control Agreement. All Gross Revenues shall continue to be deposited in the Gross Revenue Fund as provided in subsection (a) of this Section 3.03 and the Master Trustee shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said account are sufficient to pay in full (or have been used to pay in full) all required payments in default and until all other then-existing Events of Default known to the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee or provision deemed by the Master Trustee to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Member. During any period that the Gross Revenue Fund is subject to the exclusive control of the Master Trustee, the Master Trustee shall use and withdraw from time to time amounts in said fund, to make required payments as such payments become due (whether by maturity, prepayment, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of required payments on Obligations, ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders of the Master Indenture Obligations, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Master Trustee, no Member shall be entitled to use or withdraw any of the Gross Revenues unless (and then only to the extent that) the Master Trustee in its sole discretion so directs for the payment of current or past due operating expenses of such Member; provided, however, that Members shall be entitled to withdraw amounts not constituting Gross Revenues from the Gross Revenue Fund and may submit requests to the Master Trustee as to which expenses to pay out of Gross Revenues and in which order. Each Member agrees to execute and deliver all instruments as may be required to implement this Section. Each Member further agrees that a failure to comply with the terms of this Section shall cause irreparable harm to the Master Trustee or the Holders from time to time of the Obligations, and shall entitle the Master Trustee, with or without notice to the Members, to take immediate action to compel the specific performance of the obligations of each of the Members as provided in this Section.

(c) Upon receipt of Gross Revenues, each Member covenants and agrees: (i) to deposit all Gross Revenues in the Gross Revenue Fund and not in any other fund or account (other than accounts that are subject to instructions requiring that all moneys therein shall on each Business Day be swept into the Gross Revenue Fund); (ii) that the Gross Revenue Fund shall at all times be subject to an Account Control Agreement with the Depository Bank; and (iii) that the

Gross Revenue Fund will not be moved from the Depository Bank without the prior written consent of the Master Trustee, which consent shall not be unreasonably withheld.

Section 3.04. Against Encumbrances.

(a) Each Obligated Group Member agrees that it will not create or suffer to be created or permit the existence of any Lien upon Property now owned or hereafter acquired by it other than Permitted Liens. Each Obligated Group Member, respectively, further covenants and agrees that if such a Lien (other than a Permitted Lien) is nonetheless created by someone other than an Obligated Group Member and is assumed by any Obligated Group Member, the Obligated Group Representative will make or cause to be made effective a provision whereby all Master Indenture Obligations will be secured prior to any such Indebtedness or other obligation secured by such Lien.

(b) Upon written request of the Obligated Group Representative, the Master Trustee shall execute and deliver such releases, subordinations, requests for reconveyance, termination statements or other instruments as may be reasonably requested by the Obligated Group Representative in connection with (1) the disposition of Property in accordance with the provisions of Section 3.09 and the applicable provisions of any Related Supplement, (2) the withdrawal of a Member pursuant to Section 3.08 and the applicable provisions of any Related Supplement and (3) the granting by an Obligated Group Member of any Lien which constitutes a Permitted Lien hereunder, as certified to the Master Trustee in writing by the Obligated Group Representative.

Section 3.05. Debt Service Coverage.

(a) Each Obligated Group Member agrees to manage its business such that the Debt Service Coverage Ratio for each Fiscal Year, commencing April 1, 2022, will not be less than 1.20:1.0, as set forth in the Officer's Certificate delivered pursuant to Section 3.11(c), except as specifically provided in this Section 3.05.

(b) If for any Fiscal Year the Debt Service Coverage Ratio as set forth in the Officer's Certificate delivered pursuant to Section 3.11(c) is less than 1.20 to 1.0, the Obligated Group Representative covenants to promptly retain an Independent Consultant to make recommendations to increase Income Available for Debt Service in the following Fiscal Year to the level required or, if in the opinion of the Independent Consultant the attainment of such level is impracticable, to the highest level attainable. The Obligated Group Representative agrees to transmit a copy thereof to the Master Trustee within twenty (20) days of the receipt of such recommendations. Each Obligated Group Member shall, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law and to a good faith determination by the Governing Body of the Obligated Group Representative that such recommendations are in the best interest of the Obligated Group, take such action as shall be in substantial conformity with such recommendations.

(c) If the Obligated Group substantially complies with the recommendations of the Independent Consultant, the Obligated Group will be deemed to have complied with the

covenants set forth in this Section for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio Service is less than 1.20:1.0; except as provided in subsection (g) hereof.

(d) If a report of an Independent Consultant is delivered to the Master Trustee, which report shall state that Government Restrictions or Industry Restrictions have been imposed which make it impossible for the Debt Service Coverage Ratio to be at least 1.20 to 1.0, then the required amount of Income Available for Debt Service shall be reduced to the maximum coverage permitted by such Government Restrictions or Industry Restrictions; except as provided in subsection (g) hereof.

(e) Notwithstanding the foregoing, an Obligated Group Member may permit the rendering of services or the use of its Property without charge or at reduced charges, at the discretion of the Governing Body of such Obligated Group Member, to the extent necessary for maintaining its tax-exempt status or the tax-exempt status of its Property, Plant and Equipment or its eligibility for grants, loans, subsidies or payments from governmental entities, or in compliance with any recommendation for free services that may be made by an Independent Consultant; except as provided in subsection (g) hereof.

(f) Notwithstanding the foregoing clause (b), if such failure to maintain an Debt Service Coverage Ratio is a direct or indirect result of a Force Majeure Event, as determined in the sole discretion of the Obligated Group Representative, then the Obligated Group Representative shall not be required to retain an Independent Consultant for purposes described in this Section and the Obligated Group will be deemed to have complied with the covenants set forth in this Section for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio Service is less than 1.20:1.0; except as provided in subsection (g) hereof; provided that if such failure is a direct or indirect result of a Force Majeure Event, then the Obligated Group Representative shall deliver an Officer's Certificate to the Master Trustee stating the nature of the Force Majeure Event and describing the steps the Obligated Group is taking with respect to the rates, fees and charges or expenses of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to improve the Debt Service Coverage Ratio for the then current Fiscal Year.

(g) An Event of Default shall exist if the Debt Service Coverage Ratio as set forth in the Officer's Certificate delivered pursuant to Section 3.11(c) for any two consecutive Fiscal Years shall be less than 1.0:1.0. Notwithstanding the foregoing, the Obligated Group Members shall not be excused from taking any action or performing any duty required under this Master Indenture and no other Event of Default shall be waived by the operation of the provisions of this subsection (g).

Section 3.06. Merger, Consolidation, Sale or Conveyance. Each Obligated Group Member covenants that it will not merge or consolidate with any other Person that is not an Obligated Group Member or sell or convey all or substantially all of its assets to any Person that is not an Obligated Group Member (a "Merger Transaction") unless:

(a) After giving effect to the Merger Transaction,

(i) the successor or surviving entity (hereinafter, the “Surviving Entity”) is an Obligated Group Member, or

(ii) the Surviving Entity shall

(A) be a corporation or other entity organized and existing under the laws of the United States of America or any state thereof, and

(B) become an Obligated Group Member pursuant to Section 3.07 and, pursuant to the Related Supplement required by Section 3.07(b), shall expressly assume in writing the due and punctual payment of all Required Payments of the disappearing Obligated Group Member hereunder;

(b) The Master Trustee receives an Officer’s Certificate to the effect that the Transaction Test is satisfied in connection with the Merger Transaction;

(c) So long as any Related Bonds that are tax-exempt obligations are Outstanding, the Master Trustee receives an Opinion of Bond Counsel to the effect that, under then existing law, the consummation of the Merger Transaction would not, in and of itself, result in the inclusion of interest on such Related Bonds in gross income for purposes of federal income taxation;

(d) The Master Trustee receives an Opinion of Counsel to the effect that (i) all conditions in this Section 3.06 relating to the Merger Transaction have been complied with and the Master Trustee is authorized to join in the execution of any instrument required to be executed and delivered; (ii) the Surviving Entity meets the conditions set forth in this Section 3.06 and all Master Indenture Obligations then Outstanding; (iii) the Merger Transaction will not adversely affect the validity of any Master Indenture Obligations then Outstanding and such Master Indenture Obligations then Outstanding are enforceable against the Surviving Entity in accordance with their respective terms; and (iv) the Merger Transaction will not cause the Master Indenture or any Master Indenture Obligations to be subject to registration under federal or state securities laws or the Trust Indenture Act of 1939, as amended (or, that any such registration, if required, has occurred); and

(e) The Surviving Entity shall be substituted for its predecessor in interest in all Master Indenture Obligations and agreements then in effect which affect or relate to any Master Indenture Obligation, and the Surviving Entity shall execute and deliver to the Master Trustee appropriate documents in order to effect the substitution.

From and after the effective date of such substitution (as set forth in the above-mentioned documents), the Surviving Entity shall be treated as an Obligated Group Member and shall thereafter have the right to participate in transactions hereunder relating to Master Indenture Obligations to the same extent as the other Obligated Group Members. All Master Indenture Obligations issued hereunder on behalf of a Surviving Entity shall have the same legal rank and benefit under this Master Indenture as Master Indenture Obligations issued on behalf of any other Obligated Group Member.

Section 3.07. Membership in Obligated Group. Additional Obligated Group Members may be added to the Obligated Group from time to time, provided that prior to such addition the Master Trustee receives:

(a) a copy of a resolution of the Governing Body of the proposed new Obligated Group Member which authorizes the execution and delivery of a Related Supplement and compliance with the terms of this Master Indenture and take any actions on its behalf that are specified in Section 2.03; and

(b) a Related Supplement executed by the Obligated Group Representative, the new Obligated Group Member and the Master Trustee pursuant to which the proposed new Obligated Group Member

(i) agrees to become an Obligated Group Member, and

(ii) agrees to be bound by the terms of this Master Indenture, the Related Supplements and the Master Indenture Obligations, and

(iii) pursuant to Section 2.03, irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants to the Obligated Group Representative the full power and authority to execute (a) Related Supplements authorizing the issuance of Master Indenture Obligations or Series of Master Indenture Obligations, (b) Master Indenture Obligations and (c) all Certificates, Statements, Requests, Consents or Orders, and

(c) an Opinion of Counsel to the effect that (i) the proposed new Obligated Group Member has taken all necessary action to become an Obligated Group Member, and upon execution of the Related Supplement, such proposed new Obligated Group Member will be bound by the terms of this Master Indenture, (ii) the addition of such Obligated Group Member would not adversely affect the validity of any Master Indenture Obligation then Outstanding and (iii) the addition of such Obligated Group Member will not cause the Master Indenture or any Master Indenture Obligations to be subject to registration under federal or state securities laws or the Trust Indenture Act of 1939, as amended (or, that any such registration, if required, has occurred); and

(d) an Officer's Certificate to the effect that immediately after the addition of the proposed new Obligated Group Member, the Transaction Test would be satisfied; and

(e) so long as any Related Bonds that are tax-exempt obligations are Outstanding, an Opinion of Bond Counsel to the effect that the addition of the proposed new Obligated Group Member will not, in and of itself, result in the inclusion of interest on any Related Bonds in gross income for purposes of federal income taxation.

Section 3.08. Withdrawal from Obligated Group. Any Obligated Group Member may withdraw from the Obligated Group and be released from further liability or obligation under the provisions of this Master Indenture, provided that prior to such withdrawal the Master Trustee receives:

(a) an Officer's Certificate to the effect that the Obligated Group Representative has approved the withdrawal of such Obligated Group Member;

(b) an Officer's Certificate to the effect that immediately after the withdrawal of such Obligated Group Member, the Transaction Test would be satisfied; and

(c) an Opinion of Counsel to the effect that (i) the withdrawal of such Obligated Group Member would not adversely affect the validity of any Master Indenture Obligation then Outstanding and (ii) the withdrawal of such Obligated Group Member will not cause the Master Indenture or any Master Indenture Obligations to be subject to registration under federal or state securities laws or the Trust Indenture Act of 1939, as amended (or, that any such registration, if required, has occurred).

Upon compliance with the conditions contained in this Section 3.08, the Master Trustee shall execute any documents reasonably requested by the withdrawing Obligated Group Member to evidence the termination of such Obligated Group Member's obligations hereunder, under all Related Supplements and under all Master Indenture Obligations.

Section 3.09. Limitation on Disposition of Assets. (a) Each Obligated Group Member covenants that it will not sell, lease or otherwise dispose of any part of its Property in any Fiscal Year (other than (A) in the ordinary course of business, or (B) as part of a disposition of all or substantially all of its assets as permitted by Section 3.06) to any Person who is not a Member of the Obligated Group, unless:

(i) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that such Property is, or within the next succeeding 24 calendar months is reasonably expected to become, inadequate, obsolete, unsuitable, unprofitable, undesirable or unnecessary for the operation and functioning of the primary business of the Obligated Group Members; or

(ii) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that the disposition is for Fair Market Value and such disposition will not impair the structural soundness of the remaining Property and does not materially adversely affect the operations of the Obligated Group; or

(iii) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that such Property is being transferred to a Person who is not an Obligated Group Member if such Person shall become a Member pursuant to Section 3.07 coincidental to such transfer; or

(iv) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that such Property is being transferred to a Governmental Issuer solely to accommodate a sale or lease transaction as described in the definition of "Related Bonds;" or

(v) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that such Property was received by such

Obligated Group Member as a gift, grant, bequest or donation and is restricted as to use for a particular purpose inconsistent with its use for the payment of principal of, redemption premium and interest on Indebtedness and such Person has as one of its corporate purposes the receipt of gifts, grants, bequests and donations and the application of such Property in accordance with such restrictions; or

(vi) prior to said disposition there shall have been delivered to the Master Trustee an Officer's Certificate to the effect that the Transaction Test is satisfied; or

(vii) dispositions of Property, Plant and Equipment that is being exchanged for credit against the purchase price of replacement Property, Plant and Equipment or the proceeds of which disposition are applied to the purchase price of such replacement Property, Plant and Equipment within 120 days of such disposition; provided such exchange must be for Fair Market Value of such Property, Plant and Equipment; or

(viii) dispositions of accounts receivable arising in the ordinary course of business, but only in connection with the compromise or collection thereof, so long as the accounts receivable to be so disposed are aged at least 120-days past due at the time of the applicable disposition; or

(ix) dispositions of Property, Plant and Equipment (x) acquired by any Obligated Group Member pursuant to an acquisition of assets or (y) of any new Obligated Group Member whose equity interests were acquired by an Obligated Group Member which assets were owned by such new Obligated Group Member at the time it was acquired, in each case under the preceding clauses (x) and (y) which disposition occurs within 12 months after the date of the applicable acquisition, so long as the assets to be so disposed are readily identifiable as assets acquired pursuant to or owned as of the time of the subject acquisition (for purposes of this clause (ix), a transaction in which an Obligated Group Member becomes the sole member of a nonprofit corporation or limited liability company shall be deemed to be an acquisition of the equity interests of such nonprofit corporation or limited liability company); or

(x) any other sale, lease or other disposition of assets within any 12-month period having a Book Value of no more than five percent (5%) of the Value of the Property of the Obligated Group, so long as there shall have been delivered to the Master Trustee at or prior to the consummation of such transaction an Officer's Certificate certifying same.

(b) Notwithstanding the foregoing, nothing shall prohibit any disposition of assets among Obligated Group Members nor shall prohibit the Obligated Group Members from making loans, including, without limitation, employee relocation loans, physician recruitment loans or other credit/funding extensions, provided that such loans or other credit/funding extensions are in writing and the Master Trustee receives an Officer's Certificate to the effect that (x) such loans are in furtherance of the exempt purposes of the Obligated Group Members, (y) the Obligated Group Members reasonably expect such loans to be repaid, and (z) such loans bear interest at a reasonable rate of interest and on commercially reasonable terms.

Section 3.10. Limitation on Indebtedness. Each Obligated Group Member covenants that it will not incur any Indebtedness except that the Obligated Group Members may incur the following Indebtedness:

(a) Long-Term Indebtedness, if prior to the date of incurrence of the Long-Term Indebtedness there is delivered to the Master Trustee an Officer's Certificate to the effect that:

(i) the Debt Service Coverage Ratio for the most recent Fiscal Year for which Obligated Group Audited Financial Statements are available with respect to all Long-Term Indebtedness then Outstanding at the time of such certification and the additional Long-Term Indebtedness to be incurred, but excluding any Long-Term Indebtedness to be refunded with the proceeds of said additional Long-Term Indebtedness to be incurred, was not less than 1.20:1.0; or

(ii) (A) the Debt Service Coverage Ratio for the most recent Fiscal Year (excluding the additional Long-Term Indebtedness to be incurred) was not less than 1.20:1.0 and (B) the Debt Service Coverage Ratio for each of the two Fiscal Years beginning with the Fiscal Year commencing after the estimated completion of the facilities to be financed by the Indebtedness to be incurred with respect to all Long-Term Indebtedness projected to be outstanding (including the additional Long-Term Indebtedness to be incurred but excluding any Long-Term Indebtedness to be refunded with the proceeds of said additional Long-Term Indebtedness to be incurred), is projected to be not less than 1.20:1.0. Notwithstanding the foregoing, if the Master Trustee receives a report of an Independent Consultant to the effect that Government Restrictions or Industry Restrictions prevent the Obligated Group Members from generating the required levels of Income Available for Debt Service sufficient to result in a Debt Service Coverage Ratio of not less than 1.20:1.0, the 1.20:1.0 ratio requirement described in this subsection (a)(ii) shall be reduced to a ratio of not less than 1.0:1.0; or

(iii) the forecasted Debt Service Coverage Ratio, taking into account all Outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, for the two complete Fiscal Years succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.20:1.0, as shown by forecasted statements of revenues and expenses for each such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based.

(b) Completion Indebtedness without limitation provided that an Officer's Certificate is delivered to the Master Trustee stating that the Obligated Group Representative reasonably expected the aggregate principal amount of Long-Term or Interim Indebtedness originally issued to finance the construction or equipping of the project for which such Completion Indebtedness is being incurred, together with other funds reasonably anticipated to be available for such purposes, to be fully sufficient to provide a completed and fully equipped facility of the type and scope contemplated at the time said Long-Term Indebtedness or Interim Indebtedness was originally incurred, and in accordance with the general plans and specifications for such facility as originally prepared and approved in connection with the related financing, modified or amended

only in conformance with the provisions of the documents pursuant to which the related financing was undertaken.

(c) Short-term Indebtedness provided that the provisions described in subsection (a) above are satisfied calculated as if such Short-term Indebtedness was Long-Term Indebtedness or an Officer's Certificate is delivered to the Master Trustee stating that the total amount of such Short-term Indebtedness shall not exceed twenty percent (20%) of Total Operating Revenues.

(d) Nonrecourse Indebtedness without limitation.

(e) Long-Term Indebtedness, if such Long-Term Indebtedness is issued or incurred to refund Long-Term Indebtedness and the Master Trustee receive an Officer's Certificate to the effect that the issuance of such Long-Term Indebtedness would not increase Maximum Annual Debt Service by more than ten percent (10%).

(f) Subordinated Indebtedness, without limitation.

(g) Any other Indebtedness, provided that an Officer's Certificate is delivered to the Master Trustee stating that the aggregate principal amount of such Indebtedness, together with the aggregate principal amount of Indebtedness incurred pursuant to the provisions of subsection (c) of this Section 3.10, does not, as of the date of incurrence, exceed fifteen percent (15%) of Total Operating Revenues.

(h) Reimbursement or other repayment obligations under reimbursement agreements or similar agreements relating to credit facilities and/or liquidity facilities which provide credit support and/or liquidity for Indebtedness or Financial Product Agreements.

(i) Indebtedness which is incurred to construct, renovate or replace Property, Plant and Equipment of the Obligated Group if federal or state agencies, authorities, officials or similar governmental bodies with jurisdiction over any Obligated Group Members specifically mandates such construction, renovation or replacement as a condition to such Obligated Group Member being able to continue or carry on such of its activities as are subject to the jurisdiction of such federal or state agency, authority, official or similar governmental body.

(j) Indebtedness consisting of (i) Guarantees incurred in the ordinary course of business with respect to surety and appeal bonds, performance bonds, bid bonds, appeal bonds, completion guarantee and similar obligations and; (ii) Guarantees arising with respect to customary indemnification obligations to purchasers in connection with dispositions of Property.

(k) Indebtedness in respect of bid, performance or surety bonds, workers' compensation claims, self-insurance obligations and bankers acceptances issued for the account of an Obligated Group Member in the ordinary course of business, including Guarantees or obligations of an Obligated Group Member with respect to letters of credit supporting such bid, performance or surety bonds, workers' compensation claims, self-insurance obligations and bankers acceptances (in each case other than for an obligation for money borrowed).

(l) Indebtedness owed to any Person providing property, casualty, liability, or other insurance to the Obligated Group Members, so long as the amount of such Indebtedness is not in excess of the amount of the unpaid cost of, and shall be incurred only to defer the cost of, such insurance for the year in which such Indebtedness is incurred and such Indebtedness is outstanding only during such year.

(m) Indebtedness incurred in the ordinary course of business in respect of credit cards, credit card processing services, debit cards, stored value cards, commercial cards (including so-called “purchase cards,” “procurement cards” or “p-cards”), or cash management services.

(n) unsecured Indebtedness (subject to customary rights of setoff) incurred in respect of netting services, overdraft protection, and other like services, in each case, incurred in the ordinary course of business.

(o) accrual of interest, accretion or amortization of original issue discount, or the payment of interest in kind, in each case, on Indebtedness that is otherwise permitted hereunder.

(p) assumed Indebtedness secured by a Lien of the type permitted under clause (k) of the definition of Permitted Liens, so long as the amount of such Indebtedness does not exceed the Fair Market Value of the Property subject to such Lien.

Section 3.11. Filing of Financial Statements, Certificate of No Default, Other Information.

(a) Each Member covenants and agrees that it will keep adequate records and books of accounts in which complete and correct entries shall be made (said books shall be subject to the inspection of the Master Trustee during regular business hours after reasonable notice and under reasonable circumstances, provided the Master Trustee shall have no duty to so inspect).

(b) The Obligated Group Representative covenants and agrees that it will furnish to the Master Trustee and any Related Bond Issuer that shall request the same in writing (referred to herein as the “Obligated Group Audited Financial Statements”):

(i) As soon as practicable, but in no event more than five months after the last day of each Fiscal Year beginning with the Fiscal Year ending March 31, 2022, consolidated or combined financial results including one or more Obligated Group Members and one or more other Persons required to be consolidated or combined with such Obligated Group Member(s) under GAAP.

(ii) If a single financial statement is delivered that includes Persons other than Obligated Group Members, the financial statement shall contain, as “other financial information,” a combining or consolidating schedule from which financial information solely relating to the Obligated Group Members.

(c) At the time of the delivery of the Obligated Group Audited Financial Statements, an Officer’s Certificate (A) setting forth the calculations based upon the Obligated Group Audited Financial Statements for such Fiscal Year of the Debt Service Coverage Ratio for

such Fiscal Year and (B) stating that no event which constitutes an Event of Default has occurred and is continuing as of the end of such Fiscal Year, or specifying the nature of such event and the actions taken and proposed to be taken by the Members to cure such Event of Default.

(d) Notwithstanding the foregoing, the results of operation and financial position of Immaterial Affiliates need not be excluded from Obligated Group Audited Financial Statements delivered to the Master Trustee pursuant to this Section, and such results of operation and financial position may be considered as if they were a portion of the results of operation and financial position of the Obligated Group Members for all purposes of this Master Indenture notwithstanding the inclusion of the results of operation and financial position of such Immaterial Affiliates. The Master Trustee shall have no duty to review, verify or analyze such financial statements and shall hold such financial statements solely as a repository for the benefit of the Holders. The Master Trustee shall not be deemed to have notice of any information contained in such financial statements or event of default which may be disclosed therein in any manner.

Section 3.12. Insurance.

(a) Each Obligated Group Member, respectively, agrees that it will maintain insurance, which may include one or more self-insurance programs, covering such risks and in such amounts as, in its judgment, are adequate to protect it and its properties and operations and as are, with respect to health care activities and properties, customary for health care providers of similar size and character. Such insurance policies may include fire insurance, insurance coverage of boilers and other selected machinery items, general liability insurance and property damage coverage, comprehensive automobile liability insurance, worker's compensation coverage as required by the laws of the state in which such Obligated Group Member does business, use and occupancy insurance covering loss of operating revenues by reason of the total or partial interruption of health care services provided by any Obligated Group Member, professional liability insurance protecting each Obligated Group Member against claims arising from any act or omission in the furnishing of health care services to any patient, and fidelity bonds on officers and employees of any Obligated Group Member who may have access to or custody of the revenues of the Obligated Group.

(b) In lieu of maintaining the insurance coverage stated above, the Obligated Group Members shall have the right to adopt alternative risk management programs which the Governing Body of each such Obligated Group Member determines to be reasonable and in the best interests of such Member, including, without limitation, to self-insure in whole or in part, individually or in connection with other institutions or organizations, to participate in programs of captive insurance companies and/or to create and operate such captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal laws now or hereafter in existence limiting medical malpractice liability, or to establish or participate in other alternative risk management programs.

Section 3.13. Insurance and Condemnation Proceeds.

(a) Any Obligated Group Member may make agreements and covenants with the holder of secured Indebtedness outstanding on the date hereof or which is incurred in

compliance with the provisions hereof and which is secured by a Permitted Lien with respect to the application or use to be made of insurance proceeds or condemnation awards which may be received in connection with Property which is subject to such Permitted Lien.

(b) Except as required by any agreement described in Section 3.13(a) above, amounts received by any Obligated Group Member as insurance proceeds with respect to any casualty loss or as condemnation awards may be used in such manner as it may determine, including, without limitation, applying such moneys to pay or prepay any Indebtedness in accordance with the terms thereof and of any Supplemental Master Indenture, subject to compliance with the provisions hereof and thereof; provided, however, that if the amount of such proceeds or awards received with respect to any casualty loss or condemnation exceeds ten percent (10%) of the Book Value of the Property, Plant and Equipment, the Obligated Group agrees that such proceeds must be applied to the repair or replacement of the lost or damaged Property in connection with which the proceeds or awards are received or to the payment or prepayment of any Obligations in accordance with the terms hereof or of any Supplemental Master Indenture unless the Corporation shall deliver to the Master Trustee:

(1)(A) An Officer's Certificate certifying the expected Debt Service Coverage Ratio for each of the two Fiscal Years following the date on which such proceeds or awards are expected to have been fully applied is not less than 1.50, as shown by pro forma financial statements for each such period, accompanied by a statement of the relevant assumptions including assumptions as to the use of such proceeds or awards, upon which such pro forma statements are based, along with the Officer's Certificate, and (B) a written report of an Independent Consultant confirming such certification; or

(2) A written report of an Independent Consultant stating the Independent Consultant's recommendations, including recommendations as to the use of such proceeds or awards, to cause the Debt Service Coverage Ratio for each of the periods described in paragraph (1)(A) above to be not less than 1.20, or, if in the opinion of the Independent Consultant the attainment of such level is impracticable, to the highest practicable level.

Notwithstanding the foregoing, the 1.20 requirements contained in subsection (b)(2) shall be reduced to 1.00 if the Master Trustee receives an Officer's Certificate to the effect that Government Restrictions or Industry Restrictions prevent the Obligated Group from meeting the requirements of subsection (b)(2).

Section 3.14. Replacement of Master Indenture Obligations. At the option of the Obligated Group Representative and without the consent of any Holders, Master Indenture Obligations shall be surrendered by their Holders and delivered to the Master Trustee for cancellation upon receipt by the Master Trustee and the Holders of the Master Indenture Obligations of the following:

(a) a Request of the Obligated Group Representative requesting such surrender and delivery and stating that the Obligated Group Representative (and each other Member of the Obligated Group) has become a member of an obligated group (the "New Obligated Group") under a master indenture (other than the Master Indenture) and that an obligation or obligations are being

issued to the Holder under such replacement master indenture (the “Replacement Master Indenture”);

(b) a properly executed obligation (the “Replacement Obligation”) for each Master Indenture Obligation issued under the Replacement Master Indenture and registered in the name of the Holder with the same tenor as the previous Master Indenture Obligation of such Holder, duly authenticated by the master trustee under the Replacement Master Indenture;

(c) an Opinion of Counsel to the effect that each Replacement Obligation has been validly issued under the Replacement Master Indenture and constitutes a valid and binding obligation of the Obligated Group Representative (and each other Member of the Obligated Group) and each other member of the obligated group under the Replacement Master Indenture;

(d) a copy of the Replacement Master Indenture, certified as a true and accurate copy by the master trustee under the Replacement Master Indenture; and

(e) written evidence from each Rating Agency then rating any Related Bonds or Master Indenture Obligations that immediately following the delivery of the Replacement Obligations, the rating from such Rating Agency on any Related Bonds or the Master Indenture Obligations shall be at least BBB+ from each Rating Agency; and

(f) so long as any Related Bonds that are tax-exempt obligations are Outstanding, an Opinion of Bond Counsel to the effect that the replacement of the Master Indenture Obligation with the Replacement Obligations will not, in and of itself, result in the inclusion of the interest on such Related Bonds in gross income for purposes of federal income taxation.

ARTICLE IV

DEFAULTS

Section 4.01. Events of Default. Each of the following events shall be an Event of Default hereunder:

(a) Failure on the part of the Obligated Group Members to make due and punctual payment of the principal of, redemption premium, if any, interest on or any other Required Payment on any Master Indenture Obligation.

(b) The occurrence of an Event of Default as described in Section 3.05(g).

(c) Any Obligated Group Member shall fail to observe or perform any other covenant or agreement under this Master Indenture (including covenants or agreements contained in any Related Supplement or Master Indenture Obligation) and shall not have cured such failure within sixty (60) days after the date on which written notice of such failure, requiring the failure to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee or to the Obligated Group Representative and the Master Trustee by the Holders of twenty-five percent (25%) in aggregate principal amount of Outstanding Master Indenture Obligations (provided that if such failure can be remedied but not within such sixty (60) day period, such failure

shall not become an Event of Default for so long as the Obligated Group Representative shall diligently proceed to remedy the failure).

(d) Any Obligated Group Member shall default in the payment of Indebtedness (other than Nonrecourse Indebtedness) in an aggregate outstanding principal amount equal to the greater of one percent (1%) of the aggregate principal amount of Total Operating Revenues of the Obligated Group, and any grace period for such payment shall have expired; provided, however, that such default shall not constitute an Event of Default within the meaning of this Section if, within sixty (60) days or within the time allowed for service of a responsive pleading if any proceeding to enforce payment of the Indebtedness is commenced, (1) any Obligated Group Member in good faith commences proceedings to contest the existence or payment of such Indebtedness, and (2) sufficient moneys are deposited in escrow with a bank or trust company or a bond acceptable to the Master Trustee is posted for the payment of such Indebtedness.

(e) A court having jurisdiction shall enter a decree or order for relief in respect of any Obligated Group Member in an involuntary case under any applicable federal or state bankruptcy, insolvency or other similar law, or appointing a receiver, liquidator, assignee, custodian, trustee, sequestrator (or similar official) of any Obligated Group Member or for any substantial part of the Property of any Obligated Group Member, or ordering the winding up or liquidation of its affairs, and such decree or order shall remain unstayed and in effect for a period of sixty (60) consecutive days.

(f) Any Obligated Group Member shall commence a voluntary case under any applicable federal or state bankruptcy, insolvency or other similar law, or shall consent to the entry of an order for relief in an involuntary case under any such law, or shall consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of any Obligated Group Member or for any substantial part of its Property, or shall make any general assignment for the benefit of creditors, or shall fail generally to pay its debts as they become due or shall take any corporate action in furtherance of the foregoing.

(g) An event of default shall exist under any Related Bond Indenture.

The Obligated Group Representative agrees that, as soon as practicable, and in any event within ten (10) days after such event, the Obligated Group Representative shall notify the Master Trustee of any event which is an Event of Default hereunder which has occurred and is continuing, which notice shall state the nature of such event and the action which the Obligated Group Members propose to take with respect thereto.

Section 4.02. Acceleration; Annulment of Acceleration.

(a) Upon the occurrence and during the continuation of an Event of Default, the Master Trustee may, and upon the written request of the Holders of not less than a majority in aggregate principal amount of Outstanding Master Indenture Obligations shall, by notice to the Obligated Group Representative, declare all Outstanding Master Indenture Obligations immediately due and payable. Upon such declaration of acceleration, all Outstanding Master Indenture Obligations shall be immediately due and payable. If the terms of any Related Supplement give a Person the right to consent to acceleration of the Master Indenture Obligations

issued pursuant to such Related Supplement, the Master Indenture Obligations issued pursuant to such Related Supplement may not be accelerated by the Master Trustee unless such consent is properly obtained pursuant to the terms of such Related Supplement. In the event of acceleration, an amount equal to the aggregate principal amount of all Outstanding Master Indenture Obligations, plus all interest accrued thereon and, to the extent permitted by applicable law, which accrues on such principal and interest to the date of payment, and all other amounts due thereunder, shall be due and payable on the Master Indenture Obligations.

(b) At any time after the Master Indenture Obligations have been declared to be due and payable, and before the entry of a final judgment or decree in any proceeding instituted with respect to the Event of Default that resulted in the declaration of acceleration, the Master Trustee may annul such declaration and its consequences if:

(i) the Obligated Group Members have paid (or caused to be paid or deposited with the Master Trustee moneys sufficient to pay) all payments then due on all Outstanding Master Indenture Obligations (other than payments then due only because of such declaration); and

(ii) the Obligated Group Members have paid (or caused to be paid or deposited with the Master Trustee moneys sufficient to pay) all fees and expenses of the Master Trustee then due; and

(iii) the Obligated Group Members have paid (or caused to be paid or deposited with the Master Trustee moneys sufficient to pay) all other amounts then payable by the Obligated Group hereunder; and

(iv) every Event of Default (other than a default in the payment of the principal or other payments of such Master Indenture Obligations then due only because of such declaration) has been remedied.

No such annulment shall extend to or affect any subsequent Event of Default or impair any right with respect to any subsequent Event of Default.

Section 4.03. Additional Remedies and Enforcement of Remedies.

(a) Upon the occurrence and continuance of any Event of Default, the Master Trustee may, and upon the written request of the Holders of not less than a majority in aggregate principal amount of the Outstanding Master Indenture Obligations (and upon indemnification of the Master Trustee to its satisfaction by the Obligated Group for any such request), shall, proceed to protect and enforce its rights and the rights of the Holders hereunder by such proceedings as may be deemed expedient, including but not limited to:

(i) Enforcement of the right of the Holders to collect amounts due or becoming due under the Master Indenture Obligations;

(ii) Civil action upon all or any part of the Master Indenture Obligations;

(iii) Civil action to require any Person holding moneys, documents or other property pledged to secure payment of amounts due or to become due on the Master Indenture Obligations to account as if it were the trustee of an express trust for the Holders of Master Indenture Obligations;

(iv) Civil action to enjoin any acts which may be unlawful or in violation of the rights of the Holders of Master Indenture Obligations;

(v) Civil action to obtain a writ of mandate against any Obligated Group Member, or against any officer or member of the Governing Body of any Obligated Group Member to compel performance of any act specifically required by this Master Indenture or any Master Indenture Obligation; and

(vi) Enforcement of any other right or remedy of the Holders conferred by law or hereby.

(b) Regardless of the occurrence of an Event of Default, if requested in writing by the Holders of not less than a majority in aggregate principal amount of the Outstanding Master Indenture Obligations (and upon indemnification of the Master Trustee to its satisfaction for such request), the Master Trustee shall institute and maintain such proceedings as it may be advised shall be necessary or expedient (1) to prevent any impairment of the security hereunder by any acts which may be unlawful or in violation hereof, or (2) to preserve or protect the interests of the Holders. However, the Master Trustee shall not comply with any such request or institute and maintain any such proceeding that is in conflict with any applicable law or the provisions hereof or (in the sole judgment of the Master Trustee) is unduly prejudicial to the interests of the Holders not making such request. Nothing herein shall be deemed to authorize the Master Trustee to authorize or consent to or accept or adopt on behalf of any Holder any plan of reorganization, arrangement, adjustment, or composition affecting the Master Indenture Obligations or the rights of any Holder thereof, or to authorize the Master Trustee to vote in respect of the claim of any Holder in any such proceeding without the approval of the Holders so affected.

Section 4.04. Application of Moneys After Default. During the continuance of an Event of Default, all moneys received by the Master Trustee pursuant to any right given or action taken under the provisions of this Article and any other funds then held or thereafter received by the Master Trustee (after payment of the costs of the proceedings resulting in the collection of such moneys and payment of all fees, expenses and other amounts owed to the Master Trustee) shall be applied as follows:

(a) Unless all Outstanding Master Indenture Obligations have become or have been declared due and payable (or if any such declaration is annulled in accordance with the terms of this Article):

First: To the payment of all Required Payments then due on the Master Indenture Obligations (including Financial Product Payments to the extent made pursuant to a Financial Product Agreement secured or evidenced by a Master Indenture Obligation and Parity Financial Product Extraordinary Payments), in the order of their due dates, and, if the amount available is not sufficient to pay in full

all Required Payments due on the same date, then to the payment thereof ratably, according to the amount Required Payments due on such date, without any discrimination or preference;

Second: To the payment of all Financial Product Extraordinary Payments made pursuant to a Financial Product Agreement secured or evidenced by a Master Indenture Obligation (other than Parity Financial Product Extraordinary Payments), in the order of their due dates, and, if the amount available is not sufficient to pay in full all Financial Product Extraordinary Payments due on the same date, then to the payment thereof ratably, according to the amounts of Financial Product Extraordinary Payments due on such date, without any discrimination or preference.

(b) If all Outstanding Master Indenture Obligations have become or have been declared due and payable (and such declaration has not been annulled under the terms of this Article):

First: To the payment of all Required Payments then due on the Master Indenture Obligations (including (i) Financial Product Payments to the extent made pursuant to a Financial Product Agreement secured or evidenced by a Master Indenture Obligation and (ii) Parity Financial Product Extraordinary Payments), and, if the amount available is not sufficient to pay in full the whole amount then due and unpaid, then to the payment thereof ratably, without preference or priority, according to the amounts due respectively, without any discrimination or preference; and

Second: To the payment of all Financial Product Extraordinary Payments made pursuant to a Financial Product Agreement secured or evidenced by a Master Indenture Obligation (other than Parity Financial Product Extraordinary Payments), and, if the amount available is not sufficient to pay in full all such Financial Product Extraordinary Payments, then to the payment thereof ratably, without any discrimination or preference.

Such moneys shall be applied at such times as the Master Trustee shall determine, having due regard for the amount of moneys available and the likelihood of additional moneys becoming available in the future. Upon any date fixed by the Master Trustee for the application of such moneys to the payment of principal, interest on the amounts of principal to be paid on such date shall cease to accrue. The Master Trustee shall give such notices as it may deem appropriate of the deposit with it of such moneys or of the fixing of such dates. The Master Trustee shall not be required to make payment to the Holder of any unpaid Master Indenture Obligation until such Master Indenture Obligation (and all unmatured interest coupons, if any) is presented to the Master Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all Master Indenture Obligations have been paid under the terms of this Section and all fees and expenses of the Master Trustee have been paid, any balance remaining shall be paid to the Person entitled to receive such balance. If no other Person is entitled thereto, then the

balance shall be paid to the Members of the Obligated Group or such Person as a court of competent jurisdiction may direct.

Section 4.05. Remedies Not Exclusive. No remedy granted by the terms of this Master Indenture is intended to be exclusive of any other remedy. Each remedy shall be cumulative and shall be in addition to every other remedy given hereunder or existing at law or in equity.

Section 4.06. Remedies Vested in the Master Trustee. All rights of action (including the right to file proof of claims) hereunder or under any of the Master Indenture Obligations may be enforced by the Master Trustee without the possession of any of the Master Indenture Obligations or the production thereof in any proceeding relating thereto. Any proceeding instituted by the Master Trustee may be brought in its name as the Master Trustee without the necessity of joining any Holders as plaintiffs or defendants. Subject to the provisions of Section 4.04, any recovery or judgment shall be for the equal benefit of the Holders of the Outstanding Master Indenture Obligations.

Section 4.07. Master Trustee to Represent Holders. The Master Trustee is hereby irrevocably appointed as trustee and attorney in fact for the Holders for the purpose of exercising on their behalf the rights and remedies available to the Holders under the provisions of this Master Indenture, the Master Indenture Obligations, any Related Supplement and applicable provisions of law, in each case subject to the provisions of Section 4.08. The Holders, by taking and holding the Master Indenture Obligations, shall be conclusively deemed to have so appointed the Master Trustee.

Section 4.08. Holders' Control of Proceedings. If an Event of Default has occurred and is continuing, notwithstanding anything herein to the contrary, the Holders of at least a majority in aggregate principal amount of Outstanding Master Indenture Obligations shall have the right (upon the indemnification of the Master Trustee to its satisfaction) to direct the method and/or place of conducting any proceeding to be taken in connection with the enforcement of the terms hereof. Such direction must be in writing, signed by such Holders and delivered to the Master Trustee. However, the Master Trustee shall not follow any such direction that is in conflict with any applicable law or the provisions hereof or (in the sole judgment of the Master Trustee) is unduly prejudicial to the interests of the Holders not joining in such direction. Nothing in this Section shall impair the right of the Master Trustee to take any other action authorized by this Master Indenture which it may deem proper and which is not inconsistent with such direction by Holders.

Section 4.09. Termination of Proceedings. In case any proceeding instituted by the Master Trustee with respect to any Event of Default is discontinued or abandoned for any reason or is determined adversely to the Master Trustee or the Holders, then the Obligated Group Members, the Master Trustee and the Holders shall be restored to their former positions and rights hereunder. All rights, remedies and powers of the Master Trustee and the Holders shall continue as if no such proceeding had been taken.

Section 4.10. Waiver of Event of Default.

(a) No delay or omission of the Master Trustee or of any Holder to exercise any right with respect to any Event of Default shall impair such right or shall be construed to be a

waiver of or acquiescence to such Event of Default. Every right and remedy given by this Article to the Master Trustee and the Holders may be exercised from time to time and as often as may be deemed expedient by them.

(b) The Master Trustee may waive any Event of Default which in its opinion has been remedied before the entry of a final judgment or decree in any proceeding instituted by it under the provisions hereof, or before the completion of the enforcement of any other remedy hereunder.

(c) Upon the written request of the Holders of at least a majority in aggregate principal amount of Outstanding Master Indenture Obligations, the Master Trustee shall waive any Event of Default hereunder and its consequences; provided, however, that, except under the circumstances set forth in subsection (b) of Section 4.02, the failure to pay the principal of, premium, if any, or interest on any Master Indenture Obligation when due may not be waived without the written consent of the Holders of all Outstanding Master Indenture Obligations.

(d) In case of any waiver by the Master Trustee of an Event of Default, the Obligated Group Members, the Master Trustee and the Holders shall be restored to their former positions and rights. No waiver shall extend to, or impair any right with respect to, any other Event of Default.

Section 4.11. Appointment of Receiver. Upon the occurrence and continuance of any Event of Default, the Master Trustee shall be entitled (a) without declaring the Master Indenture Obligations to be due and payable, (b) after declaring the Master Indenture Obligations to be due and payable, or (c) upon the commencement of any proceeding to enforce any right of the Master Trustee or the Holders, to the appointment of a receiver or receivers of any or all of the Property of the Obligated Group Members (without the necessity of notice to any Obligated Group Member or any other Person), with such powers as the court making such appointment shall confer. Each Obligated Group Member consents, and will if requested by the Master Trustee, consent at the time of application by the Master Trustee for appointment of a receiver, to the appointment of such receiver and agrees that such receiver may be given the right, to the extent the right may lawfully be given, to take possession of, operate and deal with such Property and the revenues, profits and proceeds therefrom, with the same effect as the Obligated Group Member could, and to borrow money and issue evidences of indebtedness as such receiver.

Section 4.12. Remedies Subject to Provisions of Law. All rights, remedies and powers provided by this Article may be exercised only to the extent that the exercise thereof does not violate any applicable provision of law. All the provisions of this Article are intended to be limited to the extent necessary so that they will not render any provision hereof invalid or unenforceable under the provisions of any applicable law.

Section 4.13. Notice of Default. Within ten (10) days after a Responsible Officer of the Master Trustee has actual knowledge or has received written notice of the occurrence of an Event of Default, the Master Trustee shall mail notice of such Event of Default to all Holders, unless such Event of Default has been cured before the giving of such notice (the term “Event of Default” for the purposes of this Section being limited to the events specified in subsections (a)-(g) of Section 4.01, not including any periods of grace provided for in subsections (c), (d) and (e), and

regardless of the giving of written notice specified in subsection (c) of Section 4.01). Except in the case of default in the payment of the principal of or premium, if any, or interest on any of the Master Indenture Obligations and the Events of Default specified in subsections (e) and (f) of Section 4.01, the Master Trustee shall be protected in withholding such notice if and so long as the Master Trustee in good faith determines that the withholding of such notice is in the best interest of the Holders.

ARTICLE V

THE MASTER TRUSTEE

Section 5.01. Certain Duties and Responsibilities.

(a) Except during the continuance of an Event of Default:

(i) The Master Trustee undertakes to perform such duties and only such duties as are specifically set forth in this Master Indenture, and no implied covenant or obligation shall be read into this Master Indenture against the Master Trustee; and

(ii) In the absence of bad faith on its part, the Master Trustee may conclusively rely, as to the truth of the statements and the correctness of the opinions expressed therein, upon Certificates or opinions furnished to the Master Trustee and conforming to the requirements of this Master Indenture; but in the case of any Certificate or opinion specifically required by the provisions hereof to be furnished to the Master Trustee, the Master Trustee shall be under a duty to examine such Certificate or opinion to determine whether or not it conforms to the requirements of this Master Indenture on its face.

(b) In case an Event of Default has occurred and is continuing, the Master Trustee shall exercise such of the rights and powers vested in it by this Master Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of such person's own affairs.

(c) No provision of this Master Indenture shall be construed to relieve the Master Trustee from liability for its own negligent action, its own negligent failure to act or its own willful misconduct, except that:

(i) this subsection shall not be construed to limit the effect of subsection (a) of this Section;

(ii) the Master Trustee shall not be liable for any error of judgment made in good faith by a Responsible Officer, unless it is proved that the Master Trustee was negligent in ascertaining the pertinent facts;

(iii) the Master Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Holders given in accordance with Section 4.08; and

(iv) no provision of this Master Indenture shall require the Master Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of any of its duties hereunder, or in the exercise of any of its rights or powers, if it shall have reasonable grounds for believing that repayment of such funds or indemnity satisfactory to it against such risk or liability is not reasonably assured.

The Master Trustee will keep on file at its office a list of the names and addresses of the last known Holders of all Master Indenture Obligations and the serial numbers of such Master Indenture Obligations held by each of such Holders. At reasonable times and under reasonable regulations established by the Master Trustee, said list may be inspected and copied by the Obligated Group Members, any Master Indenture Obligation Holder or the authorized representative thereof, provided that the ownership of such Holder and the authority of any such designated representative shall be evidenced to the satisfaction of the Master Trustee.

(d) Every provision of this Master Indenture relating to the conduct of, affecting the liability of or affording protection to the Master Trustee shall be subject to the provisions of this Section.

Section 5.02. Certain Rights of Master Trustee. Subject to Section 5.01:

(a) The Master Trustee may conclusively rely upon any document believed by it to be genuine and to have been signed or presented by the proper party or parties.

(b) Any request or direction of the Obligated Group Representative mentioned herein shall be sufficiently evidenced by an Officer's Certificate. Any action of the Governing Body of any Obligated Group Member shall be sufficiently evidenced by a copy of a resolution certified by the secretary or an assistant secretary of the Obligated Group Member to have been duly adopted by the Governing Body and to be in full force and effect on the date of such certification and delivered to the Master Trustee.

(c) Whenever in the administration of this Master Indenture the Master Trustee shall deem it desirable that a matter be proved or established prior to taking, allowing or omitting any action hereunder, the Master Trustee may (in the absence of bad faith on its part and unless other evidence is specifically prescribed by this Master Indenture) request and conclusively rely upon an Officer's Certificate.

(d) The Master Trustee may consult with counsel of its selection, and any opinion of such counsel shall be full and complete authorization and protection with respect to any action taken, allowed or omitted by it hereunder in good faith and in reliance thereon.

(e) The Master Trustee shall be under no obligation to exercise any of the rights or powers vested in it by this Master Indenture at the request or direction of any of the Holders, unless such Holders shall have offered to the Master Trustee reasonable security or indemnity satisfactory to the Master Trustee against the costs, expenses and liabilities which might be incurred by it in compliance with such request or direction.

(f) The Master Trustee shall not be bound to make any investigation into the facts stated in any document delivered to it hereunder, but the Master Trustee, in its discretion, may make such further inquiry or investigation into such facts as it may see fit. If the Master Trustee determines to make such further inquiry or investigation, it shall be entitled to examine the books, records and premises of any Obligated Group Member (excluding specifically donor records, patient records and personnel records), personally or by agent or attorney, during regular business hours and after reasonable notice.

(g) The Master Trustee may execute any of the trusts or powers hereunder or perform any duties hereunder either directly or through agents. The Master Trustee shall not be responsible for any misconduct or negligence on the part of any agent appointed by it with due care.

(h) The Master Trustee shall not be liable for any action taken, suffered, or omitted to be taken by it in good faith and reasonably believed by it to be authorized or within the discretion or rights or powers conferred upon it by this Master Indenture.

(i) The Master Trustee shall not be deemed to have notice of any default or Event of Default unless a Responsible Officer of the Master Trustee has actual knowledge thereof or unless written notice of any event which is in fact such a default is received by the Master Trustee at the Corporate Trust Office of the Master Trustee, and such notice references this Master Indenture.

(j) The Master Trustee shall not be liable to the parties hereto or deemed in breach or default hereunder if and to the extent its performance hereunder is prevented by reason of force majeure. The term “force majeure” as used in this Section 5.02 means an occurrence that is beyond the control of the Master Trustee and could not have been avoided by exercising due care. Force majeure shall include acts of God, terrorism, war, riots, strikes, fire, floods, earthquakes, epidemics or other similar occurrences.

(k) The permissive right of the Master Trustee to do things enumerated in this Master Indenture shall not be construed as a duty and the Master Trustee shall not be answerable for other than its gross negligence, bad faith or willful misconduct. The Master Trustee shall not be required to give any bond or surety in respect of the execution of the said trusts and powers or otherwise in respect of the premises.

(l) The Master Trustee shall have the right to accept and act upon instructions, including funds transfer instructions (“Instructions”) given pursuant to this Master Indenture and delivered using Electronic Means (“Electronic Means” shall mean the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Master Trustee, or another method or system specified by the Master Trustee as available for use in connection with its services hereunder); provided, however, that the Obligated Group Representative shall provide to the Master Trustee an incumbency certificate listing officers with the authority to provide such Instructions (“Authorized Officers”) and containing specimen signatures of such Authorized Officers, which incumbency certificate shall be amended by the Obligated Group Representative whenever a person is to be added or deleted from the listing. If the Obligated Group Representative

elects to give the Master Trustee Instructions using Electronic Means and the Master Trustee in its discretion elects to act upon such Instructions, the Master Trustee's understanding of such Instructions shall be deemed controlling. The Obligated Group Representative understands and agrees that the Master Trustee cannot determine the identity of the actual sender of such Instructions and that the Master Trustee shall conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Master Trustee have been sent by such Authorized Officer. The Obligated Group Representative shall be responsible for ensuring that only Authorized Officers transmit such Instructions to the Master Trustee and that the Obligated Group Representative and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the Obligated Group Representative. The Master Trustee shall not be liable for any losses, costs or expenses arising directly or indirectly from the Master Trustee's reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The Obligated Group Representative agrees: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Master Trustee, including without limitation the risk of the Master Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Master Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the Obligated Group Representative; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Master Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

(m) The Master Trustee shall not be liable to the parties hereto or deemed in breach or default hereunder if and to the extent its performance hereunder is prevented by reason of force majeure (as defined in Section 5.02 (j)).

(n) The Master Trustee shall not be liable in connection with the performance of its duties hereunder, except for its own negligence or willful misconduct.

(o) The Master Trustee shall have no responsibility or liability with respect to any information, statements or recital in any offering memorandum or other disclosure material prepared or distributed with respect to the issuance of these Master Indenture Obligations.

Section 5.03. Right to Deal in Master Indenture Obligations and Related Bonds. The Master Trustee may buy, sell or hold and deal in any Master Indenture Obligations and Related Bonds with the same effect as if it were not the Master Trustee. The Master Trustee may commence or join in any action which a Holder or holder of a Related Bond is entitled to take with the same effect as if the Master Trustee were not the Master Trustee.

Section 5.04. Removal and Resignation of the Master Trustee.

(a) The Master Trustee may be removed upon thirty (30) days prior notice by an instrument or instruments in writing signed by (1) the Holders of not less than a majority of the

principal amount of Outstanding Master Indenture Obligations or (2) (unless an Event of Default has occurred and is then continuing) the Obligated Group Representative.

(b) The Master Trustee may at any time resign by giving written notice of such resignation to the Obligated Group Representative.

(c) No such resignation or removal shall become effective unless and until a successor Master Trustee has been appointed and has assumed the trusts created hereby. Written notice of removal of the predecessor Master Trustee and/or appointment of the successor Master Trustee shall be given by the successor Master Trustee within ten (10) days of the successor's acceptance of appointment to the Obligated Group Members and to each Holder at the addresses shown on the books of the Master Trustee. A successor Master Trustee may be appointed at the direction of the Holders of not less than a majority in aggregate principal amount of Outstanding Master Indenture Obligations, or, if the Master Trustee has resigned or has been removed by the Obligated Group Representative, by the Obligated Group Representative. In the event a successor Master Trustee has not been appointed and qualified within sixty (60) days of the date notice of resignation or removal is given, the Master Trustee, any Obligated Group Member or any Holder may apply at the expense of the Obligated Group Members to any court of competent jurisdiction for the appointment of an interim successor Master Trustee to act until such time as a permanent successor is appointed.

(d) Unless otherwise ordered by a court or regulatory body having competent jurisdiction, or unless required by law, any successor Master Trustee shall be a national banking association, or a trust company or bank having the powers of a trust company as to trusts, having an officially reported combined capital, surplus, undivided profits and reserves aggregating at least \$50,000,000, if there is such an institution willing, qualified and able to accept the trust upon reasonable or customary terms.

(e) Every successor Master Trustee shall execute and deliver to its predecessor and to each Obligated Group Member a written instrument accepting such appointment. Upon the delivery of such acceptance, the successor Master Trustee shall become fully vested with all the rights, immunities, powers, trusts, duties and obligations of its predecessor. The predecessor shall execute and deliver to the successor Master Trustee a written instrument transferring to the successor Master Trustee all the rights, powers and trusts of the predecessor. The predecessor Master Trustee (upon payment of all amounts owed to it) shall execute any documents necessary or appropriate to convey all interest it may have to the successor Master Trustee. The predecessor Master Trustee shall promptly deliver all records relating to the trust or copies thereof and communicate all material information it may have obtained concerning the trust to the successor Master Trustee.

Section 5.05. Compensation and Reimbursement. Subject to the provisions of any specific agreement between the Obligated Group Representative and the Master Trustee relating to the compensation of the Master Trustee, each Obligated Group Member agrees:

(a) To pay the Master Trustee from time to time reasonable compensation for all services rendered by it hereunder (which compensation shall not be limited by any provision of law in regard to the compensation of a trustee of an express trust).

(b) Except as otherwise expressly provided herein, to reimburse the Master Trustee upon its request for all reasonable expenses, disbursements and advances incurred or made by the Master Trustee in accordance with any provision of this Master Indenture (including the reasonable compensation and the expenses and disbursements of its counsel and its agents), except any such expense, disbursement or advance as may be attributable to its negligence, willful misconduct or bad faith.

(c) To indemnify each of the Master Trustee and its officers, directors, agents and employees and any predecessor Master Trustee for, and to hold it and them harmless against, any and all loss, liability, damages, claim or expense, including taxes (other than taxes based on the income of the Master Trustee) incurred without negligence or bad faith on its part, arising out of or in connection with the acceptance or administration of this trust or its duties hereunder, including without limitation, legal fees and expenses and the costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers or duties hereunder.

When the Master Trustee incurs expenses or renders services in connection with an Event of Default specified in Section 4.01(d) or Section 4.01(e), the expenses (including the reasonable charges and expenses of its counsel) and the compensation for the services are intended to constitute expenses of administration under any applicable federal or state bankruptcy, insolvency or other similar law.

The provisions of this Section shall survive the termination of this Master Indenture and the removal or resignation of the Master Trustee.

Section 5.06. Recitals and Representations. The recitals, statements and representations contained herein or in any Master Indenture Obligation (excluding the Master Trustee's authentication on the Master Indenture Obligations) shall be taken and construed as made by and on the part of the Obligated Group Members, and not by the Master Trustee. The Master Trustee assumes no responsibility for the correctness of such statements.

The Master Trustee makes no representation as to, and is not responsible for, the validity or sufficiency of this Master Indenture or of the Master Indenture Obligations. The Master Trustee shall not be concerned with or accountable to anyone for the use or application of any moneys which shall be released or withdrawn in accordance with the provisions hereof. The Master Trustee shall have no duty of inquiry with respect to any Event of Default without actual knowledge of or receipt by the Master Trustee of written notice of an Event of Default from an Obligated Group Member or any Holder.

Section 5.07. Separate or Co-Master Trustee. At any time, for the purpose of meeting any legal requirements of any jurisdiction, the Master Trustee may appoint one or more Persons either to act as co-master trustee with the Master Trustee, or to act as separate master trustee, and to vest in such Persons or Persons, such rights, powers, duties, trusts or obligations as the Master Trustee may consider necessary or desirable, subject to the remaining provisions of this Section.

Every co-master trustee or separate master trustee shall, to the extent permitted by law, be appointed subject to the following terms:

(a) The Master Indenture Obligations shall be authenticated and delivered solely by the Master Trustee.

(b) All rights, powers, trusts, duties and obligations conferred or imposed upon the trustees shall be conferred or imposed upon and exercised or performed as shall be provided in the instrument appointing such co-master trustee or separate master trustee, except to the extent that, under the law of any jurisdiction in which any particular act or acts are to be performed, the Master Trustee is incompetent or unqualified to perform such act or acts, in which event such act or acts shall be performed by such co master trustee or separate master trustee.

(c) Any request in writing by the Master Trustee to any co-master trustee or separate master trustee to take or to refrain from taking any action hereunder shall be sufficient for the taking, or the refraining from taking, of such action by such Person.

(d) Any co-master trustee or separate master trustee may, to the extent permitted by law, delegate to the Master Trustee the exercise of any right, power, trust, duty or obligation, discretionary or otherwise.

(e) The Master Trustee may at any time, by an instrument in writing, accept the resignation of or remove any co-master trustee or separate master trustee appointed under this Section. Upon the request of the Master Trustee, the Obligated Group Members shall join with the Master Trustee in the execution, delivery and performance of all instruments and agreements necessary or proper to effectuate such resignation or removal.

(f) No trustee hereunder shall be personally liable by reason of any act or omission of any other trustee hereunder, nor will the act or omission of any trustee hereunder be imputed to any other trustee.

(g) Any demand, request, direction, appointment, removal, notice, consent, waiver or other action in writing delivered to the Master Trustee shall be deemed to have been delivered to each such co-master trustee or separate master trustee.

(h) Any moneys, papers, securities or other items of personal property received by any such co-master trustee or separate master trustee hereunder shall be turned over to the Master Trustee immediately.

Upon the acceptance in writing of such appointment by any co-master trustee or separate master trustee, such Person shall be vested with such rights, powers, duties or obligations as are specified in the instrument of appointment jointly with the Master Trustee (except insofar as local law makes it necessary for any such co-master trustee or separate master trustee to act alone) subject to all the terms hereof. Every such acceptance shall be filed with the Master Trustee. To the extent permitted by law, any co-master trustee or separate master trustee may, at any time by an instrument in writing, constitute the Master Trustee its attorney-in-fact and agent, with full power and authority to do all acts and things and to exercise all discretion on its behalf and in its name.

In case any co-master trustee or separate master trustee shall become incapable of acting, resign or be removed, all rights, powers, trusts, duties and obligations of such Person shall, so far as permitted by law, vest in and be exercised by the Master Trustee unless and until a successor co-master trustee or separate master trustee shall be appointed in the manner herein provided.

Section 5.08. Merger or Consolidation. Any company into which the Master Trustee may be merged or converted, or with which it may be consolidated, or any company resulting from any merger, conversion or consolidation to which it is a party, or any company to which the Master Trustee may sell or transfer all or substantially all of its corporate trust business (provided such company is eligible under Section 5.04) shall be the successor to the Master Trustee without the execution or filing of any paper or any further act.

ARTICLE VI

SUPPLEMENTS AND AMENDMENTS

Section 6.01. Supplements Not Requiring Consent of Holders. The Obligated Group Representative (acting for itself and as agent for each Obligated Group Member) and the Master Trustee may, without the consent of or notice to any of the Holders, enter into one or more Related Supplements for any of the following purposes:

- (a) To correct any ambiguity or formal defect or omission in this Master Indenture;
- (b) To correct or supplement any provision which may be inconsistent with any other provision, or to make any other provision with respect to matters or questions arising hereunder and which does not materially and adversely affect the interests of the Holders;
- (c) To grant or confer ratably upon all of the Holders any additional rights, remedies, powers or authority, or to add to the covenants of and restrictions on the Obligated Group Members;
- (d) To qualify this Master Indenture under the Trust Indenture Act of 1939, as amended, or corresponding provisions of federal law from time to time in effect;
- (e) To create and provide for the issuance of a Master Indenture Obligation or Series of Master Indenture Obligations as permitted hereunder;
- (f) To obligate a successor to any Obligated Group Member as provided in Section 3.05;
- (g) To add a new Obligated Group Member as provided in Section 3.06;
- (h) To modify any provision in order to avoid any unintended impact on the compliance by the Obligated Group with financial covenants following any change in GAAP that would affect the computation of any financial ratio or other financial computation under this Master Indenture; or

(i) To make any other change which does not materially and adversely affect the interests of the Holders.

In entering into any Related Supplement, the Master Trustee may rely on an Opinion of Counsel as described in Section 6.03(a).

Section 6.02. Supplements Requiring Consent of Holders.

(a) Other than Related Supplements referred to in Section 6.01 and subject to the terms contained in this Article, the Holders of not less than a majority in aggregate principal amount of the Outstanding Master Indenture Obligations shall have the right to consent to and approve the execution by the Obligated Group Representative (acting for itself and as agent for each Obligated Group Member) and the Master Trustee of such Related Supplements as shall be deemed necessary or desirable for the purpose of modifying, altering, amending, adding to or rescinding any of the terms contained herein; provided, however, that nothing in this Section shall permit or be construed as permitting a Related Supplement which would:

(i) Extend the stated maturity of or time for paying interest on any Master Indenture Obligation or reduce the principal amount of or the redemption premium or rate of interest or change the method of calculating interest payable on or reduce any other Required Payment on any Master Indenture Obligation without the consent of the Holder of such Master Indenture Obligation;

(ii) Modify, alter, amend, add to or rescind any of the terms or provisions contained in Section 3.01 or Article IV so as to affect the right of the Holders of any Master Indenture Obligations in default to compel the Master Trustee to declare the principal of all Master Indenture Obligations to be due and payable, without the consent of the Holders of all Outstanding Master Indenture Obligations;

(iii) Reduce the aggregate principal amount of Outstanding Master Indenture Obligations the consent of the Holders of which is required to authorize such Related Supplement without the consent of the Holders of all Master Indenture Obligations then Outstanding; or

(iv) The creation of any lien or security interest (other than permitted pursuant to Section 3.04 herein) prior to or on parity with the lien and security interest of this Master Indenture or the deprivation of any Holders of the lien created by this Master Indenture, without the consent of the Holders of all the Master Indenture Obligations at the time Outstanding that would be affected by the action to be taken.

(b) The Master Trustee may execute a Related Supplement (in substantially the form delivered to it as described below) without liability or responsibility to any Holder (whether or not such Holder has consented to the execution of such Related Supplement) if the Master Trustee receives:

(i) a Request of the Obligated Group Representative to enter into such Related Supplement; and

(ii) a certified copy of the resolution of the Governing Body of the Obligated Group Representative approving the execution of such Related Supplement; and

(iii) the proposed Related Supplement; and

(iv) an instrument or instruments executed by the Holders of not less than the aggregate principal amount or number of Master Indenture Obligations specified in subsection (a) for the Related Supplement in question which instrument or instruments shall refer to the proposed Related Supplement and shall specifically consent to and approve the execution thereof in substantially the form of the copy thereof as on file with the Master Trustee. For the avoidance of doubt, the written consent of a Holder of a Master Indenture Obligation may be effected through a provision in a Related Bond Indenture that deems the purchase of Related Bonds by the beneficial owners thereof to be consent by the Holder of the related Master Indenture Obligation for purposes of this Section 6.02.

(c) Any such consent shall be binding upon the Holder of the Master Indenture Obligation giving such consent and upon any subsequent Holder of such Master Indenture Obligation and of any Master Indenture Obligation issued in exchange therefor (whether or not such subsequent Holder thereof has notice thereof). At any time after the Holders of the required principal amount or number of Master Indenture Obligations shall have filed their consents to the Related Supplement, the Master Trustee shall file a written statement to that effect with the Obligated Group Representative. Such written statement shall be conclusive evidence that such consents have been so filed.

(d) If the Holders of the required principal amount or number of the Outstanding Master Indenture Obligations have consented to the execution of such Related Supplement, no Holder shall have any right to object to the execution thereof, to object to any of the terms and provisions contained therein or the operation thereof, to question the propriety of the execution thereof or to enjoin or restrain the Master Trustee or the Obligated Group Representative from executing such Related Supplement or from taking any action pursuant to the provisions thereof.

Section 6.03. Execution and Effect of Supplements.

(a) In executing any Related Supplement permitted by this Article, the Master Trustee shall be entitled to receive and to rely upon an Opinion of Counsel stating that the execution of such Related Supplement is authorized or permitted hereby. The Master Trustee may (but shall not be obligated to) enter into any Related Supplement that materially and adversely affects the Master Trustee's own rights, duties or immunities.

(b) Upon the execution and delivery of any Related Supplement in accordance with this Article, the provisions of this Master Indenture shall be deemed modified in accordance therewith. Such Related Supplement shall form a part hereof for all purposes and every Holder shall be bound thereby.

(c) Any Master Indenture Obligation authenticated and delivered after the execution and delivery of any Related Supplement in accordance with this Article may, and, if

required by the Obligated Group Representative or the Master Trustee shall, bear a notation in form approved by the Master Trustee as to any matter provided for in such Related Supplement. If the Obligated Group Representative or the Master Trustee shall so determine, new Master Indenture Obligations so modified as to conform in the opinion of the Master Trustee and the Governing Body of the Obligated Group Representative to any such Related Supplement may be prepared and executed by the Obligated Group Representative and authenticated and delivered by the Master Trustee in exchange for and upon surrender of Master Indenture Obligations then Outstanding.

Section 6.04. Amendment of Related Supplements. Any Related Supplement may provide that the provisions thereof may be amended without the consent of or notice to any of the Holders, or pursuant to such terms and conditions as may be specified in such Related Supplement. If a Related Supplement does not contain provisions relating to the amendment thereof, the amendment of such Related Supplement shall be governed by the provisions of Section 6.01 and Section 6.02 hereof.

ARTICLE VII

SATISFACTION AND DISCHARGE

Section 7.01. Satisfaction and Discharge of Master Indenture. This Master Indenture shall cease to be of further effect (except for Section 5.05, which shall survive) if:

(a) all Master Indenture Obligations previously authenticated (other than any Master Indenture Obligations which have been mutilated, destroyed, lost or stolen and which have been replaced or paid as provided in any Related Supplement) and not cancelled are delivered to the Master Trustee for cancellation; or

(b) all Master Indenture Obligations not previously cancelled or delivered to the Master Trustee for cancellation are paid; or

(c) a deposit is made in trust with the Master Trustee (or with one or more banks, national banking associations or trust companies acceptable to the Master Trustee pursuant to one or more agreements between an Obligated Group Member and such national banking associations or trust companies in form acceptable to the Master Trustee) in cash or Government Obligations or both, sufficient to pay at maturity or upon redemption all Master Indenture Obligations not previously cancelled or delivered to the Master Trustee for cancellation, including principal and interest or other payments (including Financial Product Payments and Financial Product Extraordinary Payments) due or to become due to such date of maturity, redemption date or payment date, as the case may be;

and all other sums payable hereunder by the Obligated Group Members are also paid. The Master Trustee, on demand of the Obligated Group Representative and at the cost and expense of the Obligated Group Members, shall execute proper instruments acknowledging satisfaction of and discharging this Master Indenture and authorizing the Obligated Group Representative to file such terminations and releases as may be necessary to evidence the termination of the Master Trustee's security interest in the Gross Revenues and the Gross Revenue Fund. Unless the deposit(s)

pursuant to clause (c) above is made solely with cash, the Obligated Group Representative shall cause a report to be prepared by a firm nationally recognized for providing verification services regarding the sufficiency of funds for such discharge and satisfaction provided pursuant to clause (c) above, upon which report the Master Trustee may rely.

The Obligated Group Members shall pay and indemnify the Master Trustee against any tax, fee or other charge imposed on or assessed against the Government Obligations deposited pursuant to this Section 7.01 or the principal and interest received in respect thereof other than any such tax, fee or other charge which by law is for the account of the Holders of Outstanding Master Indenture Obligations.

Section 7.02. Payment of Master Indenture Obligations After Discharge of Lien. Notwithstanding the discharge of the lien of this Master Indenture as provided in this Article, the Master Trustee shall retain such rights, powers and duties as may be necessary and convenient for the payment of amounts due or to become due on the Master Indenture Obligations and for the registration, transfer, exchange and replacement of Master Indenture Obligations. Any moneys held by the Master Trustee for the payment of the principal of, premium, if any, or interest or other Required Payment on any Master Indenture Obligation remaining unclaimed for one year after the principal of all Master Indenture Obligations has become due and payable, whether at maturity, upon proceedings for redemption or by declaration as provided herein, shall then be paid to the Obligated Group Members. The Holders of any Master Indenture Obligations or coupons not previously presented for payment shall thereafter be entitled to look only to the Obligated Group Members for payment thereof as unsecured creditors and all liability of the Master Trustee with respect to such moneys shall thereupon cease.

ARTICLE VIII

MISCELLANEOUS PROVISIONS

Section 8.01. Limitation of Rights. With the exception of rights herein expressly conferred, nothing expressed or mentioned in or to be implied from this Master Indenture or the Master Indenture Obligations is intended or shall be construed to give to any Person other than each Obligated Group Member, the Master Trustee, the Related Bonds Issuers and the Holders any legal or equitable right, remedy or claim under or with respect to this Master Indenture. This Master Indenture and all of the covenants, conditions and provisions hereof are intended to be and are for the sole and exclusive benefit of the parties mentioned in this Section.

Section 8.02. Severability. If any part of this Master Indenture is for any reason held invalid or unenforceable, no other part shall be invalidated or deemed unenforceable.

Section 8.03. Holidays. Except to the extent a Related Supplement or a Master Indenture Obligation provides otherwise:

(a) Subject to subsection (b), when any action is provided herein to be done on a day or within a time period named, and the day or the last day of the period falls on a day on which banking institutions in the jurisdiction where the Corporate Trust Office is located are authorized by law to remain closed, the action may be done on the next ensuing day that is not a

day on which banking institutions in such jurisdiction are authorized by law to remain closed, with the same effect as if done on the day or within the time period named.

(b) When the date on which principal of or interest or premium on any Master Indenture Obligation is due and payable is a day on which banking institutions at the place of payment are authorized by law to remain closed, payment may be made on the next ensuing day on which banking institutions at such place are not authorized by law to remain closed with the same effect as if payment were made on the due date, and, if such payment is made, no interest shall accrue from and after such due date.

Section 8.04. Credit Enhancer Deemed Holder of Obligation. Except to the extent a Related Supplement or an Obligation provides otherwise, any credit enhancer of Related Bonds shall be deemed the Holder of the related Obligation for purposes of this Master Indenture for so long as the credit enhancement is in effect and the credit enhancer is not in default thereunder. If the credit enhancement is applicable to a portion of Related Bonds, such Related Obligation shall be treated as if such Related Obligation were two Obligations, one in the principal amount of the Related Bonds for which the credit enhancement is applicable and another in the principal amount of the remainder of the Related Bonds.

Section 8.05. Governing Law. This Master Indenture and the Master Indenture Obligations are contracts made under the laws of the State, and shall be governed by and construed in accordance with such laws applicable to contracts made and performed in said State.

Section 8.06. Counterparts. This Master Indenture may be executed in several counterparts, each of which shall be an original and all of which shall constitute one instrument.

Section 8.07. Immunity of Individuals. No recourse shall be had for the payment of the principal of, premium, if any, or interest on any of the Master Indenture Obligations issued hereunder or for any claim based thereon or upon any obligation, covenant or agreement herein against any past, present or future officer, director, trustee, member, employee or agent of any Obligated Group Member which is a corporation, whether directly or indirectly. All liability of any such individual is hereby expressly waived and released as a condition of and in consideration for the execution hereof and the issuance of the Master Indenture Obligations.

Section 8.08. Binding Effect. This instrument shall inure to the benefit of and shall be binding upon each Obligated Group Member, the Master Trustee and their respective successors and assigns, subject to the limitations contained herein.

Section 8.09. Notices.

(a) Unless otherwise expressly specified or permitted by the terms hereof, all notices, consents or other communications required or permitted hereunder shall be in writing and shall be deemed sufficiently given or served if given: (i) by facsimile or electronic mail with prompt telephonic confirmation of receipt; (ii) personally by hand; (iii) by overnight delivery service; or (iv) by first class mail, postage prepaid and addressed as follows:

(i) If to the Obligated Group Representative, addressed to it at Front Porch Communities and Services, 800 N. Brand Blvd., 19th Floor, Glendale, California 91203, Attention: Chief Financial Officer;

(ii) If to the Master Trustee, addressed to it at the Corporate Trust Office; or

(iii) If to the registered Holder of a Master Indenture Obligation, addressed to such Holder at the address shown on the books of the Master Trustee.

(b) The Obligated Group Representative or the Master Trustee may from time to time designate a different address or addresses for notice by notice in writing to the others and to the Holders.

(c) All notices and other communications given hereunder shall be deemed given as of the date received.

Section 8.10. OFAC. The Corporation covenants and represents that (i) neither it nor any of its subdivisions, affiliates, subsidiaries, directors or offices are the target or subject of any sanctions enforced by the US Government (including, the Office of Foreign Assets Control of the US Department of the Treasury (“OFAC”)), the United Nations Security Council, the European Union, HM Treasury, or other relevant sanctions authority (collectively, “Sanctions”); and (ii) neither it nor any of its subdivision affiliates, subsidiaries, directors or officers will use any payments made pursuant to this Master Indenture (i) to fund or facilitate any activities of or business with any person who, at the time of such funding or facilitation, is the subject or target of Sanctions, (ii) to fund or facilitate any activities of or business with any country or territory that is the target or subject of Sanctions, or (iii) in any other manner that will result in a violation of Sanctions by any person.

Section 8.11. Electronic Signatures. Each of the parties hereto agrees that the transaction consisting of this Master Indenture may be conducted by electronic means under the Uniform Electronic Transactions Act (California Civil Code section 1633.1 et seq.) and California Government Code section 16.5. Each party agrees, and acknowledges that it is such party’s intent, that if such party signs this Master Indenture using an electronic signature, it is signing, adopting, and accepting this Master Indenture and that signing this Master Indenture using an electronic signature is the legal equivalent of having placed its handwritten signature on this Master Indenture on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Master Indenture in a usable format.

IN WITNESS WHEREOF, the Corporation has caused this Master Indenture to be signed in its name by its duly authorized officer, Covia Communities has caused this Master Indenture to be signed in its name by its duly authorized officer and to evidence its acceptance of the trusts and agreements hereby created The Bank of New York Mellon Trust Company, N.A. has caused this Master Indenture to be signed in its name by one of its duly authorized officers, all as of the day and year first above written.

FRONT PORCH COMMUNITIES AND SERVICES

By _____
Chief Executive Officer

COVIA COMMUNITIES

By _____
Chief Executive Officer

THE BANK OF NEW YORK MELLON TRUST
COMPANY, N.A.,
as Master Trustee

By _____
Authorized Representative

APPENDIX A TO MASTER INDENTURE
EXISTING PERMITTED LIENS

A-1

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SIXTH SUPPLEMENTAL MASTER TRUST INDENTURE

FRONT PORCH COMMUNITIES AND SERVICES,
as Obligated Group Representative

and

THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A.,
as Master Trustee

Dated as of September 1, 2021

Supplementing the
Master Trust Indenture
Dated as of September 1, 2017

Securing the
California Statewide Communities Development Authority
Revenue Bonds
(Front Porch Communities and Services)
Series 2021A and Series 2021B (Federally Taxable)

TABLE OF CONTENTS/

	Page
Section 1. Definitions.....	2
Section 2. Issuance of Obligation No. 6	4
Section 3. Payments on Obligation No. 6; Credits	4
Section 4. Prepayment of Obligation No. 6	6
Section 5. Registration, Number, Negotiability and Transfer of Obligation No. 6	7
Section 6. Mutilation, Destruction, Loss and Theft of Obligation No. 6.....	7
Section 7. Execution and Authentication of Obligation No. 6	8
Section 8. Right to Redeem	8
Section 9. Partial Redemption of Obligation No. 6	8
Section 10. Effect of Call for Redemption or Defeasance.....	8
Section 11. Form of Obligation No. 6.....	9
Section 12. Specification of Purpose of Issue.....	13
Section 13. Amended and Restated Master Indenture	13
Section 14. Ratification of Master Indenture	14
Section 15. Severability	14
Section 16. Counterparts	15
Section 17. Electronic Signatures	15
Section 18. Governing Law	15

THIS SIXTH SUPPLEMENTAL MASTER TRUST INDENTURE, is made and entered into and dated as of September 1, 2021 (“Supplement No. 6”), by and between FRONT PORCH COMMUNITIES AND SERVICES, a California nonprofit public benefit corporation (the “Corporation”), as Obligated Group Representative under the Master Indenture (defined below), and THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A., a national banking association duly organized and existing under the laws of the United States of America, as master trustee (the “Master Trustee”).

W I T N E S S E T H:

WHEREAS, the Corporation and the Master Trustee have entered into the Master Trust Indenture, dated as of September 1, 2017, as previously supplemented and amended in accordance with its terms (as so supplemented and amended, the “Original Master Indenture”), which provides for, among other things, the issuance by the Obligated Group Representative of Master Indenture Obligations thereunder upon the Obligated Group Representative and the Master Trustee entering into an indenture supplemental to the Original Master Indenture; and

WHEREAS, the Corporation is the sole Obligated Group Member and is the Obligated Group Representative, and has all requisite corporate power and is authorized under the terms of the Original Master Indenture to issue Master Indenture Obligations, which constitute the joint and several Master Indenture Obligations of the Obligated Group Members; and

WHEREAS, the Corporation, acting as Obligated Group Representative, desires to issue the Front Porch Communities and Services Obligated Group Master Indenture Obligation No. 6 (“Obligation No. 6”) hereunder to secure the obligations of the Corporation arising under that certain Loan Agreement relating to the Bonds (as defined herein), dated as of September 1, 2021, between the California Statewide Communities Development Authority (the “Issuer”) and the Corporation; and

WHEREAS, the Corporation, as Obligated Group Representative, also desires to supplement, amend and restate the Original Master Indenture in the form of the Amended and Restated Master Indenture (as defined herein) attached to this Supplement No. 6 as Exhibit A; and

WHEREAS, the amendments to the Original Master Indenture effected by the Amended and Restated Master Indenture are consistent with the provisions of Section 6.02(a) of the Original Master Indenture and are not amendments of the type described in subsections (i), (ii), (iii) or (iv) of Section 6.02(a) of the Original Master Indenture; and

WHEREAS, pursuant to Section 13 hereof, (i) the Amended and Restated Master Indenture shall become effective on the Effective Date (as defined in the Amended and Restated Master Indenture), which will be the date of the issuance of Obligation No. 6, following the issuance of Obligation No. 6, and (ii) the Bond Trustee (as defined herein) as Holder of Obligation No. 6 has been deemed to consent to such Amended and Restated Master Indenture and with such consent, and the other consents or deemed consents received, the consent of the Holders of not less than a majority in aggregate principal amount of Outstanding Master Indenture Obligations to the Amended and Restated Master Indenture will have been received;

WHEREAS, all references herein to the Master Indenture shall upon such Effective Date, following the issuance of Obligation No. 6, be references to the Amended and Restated Master Indenture;

WHEREAS, all acts and things necessary to constitute this Supplement No. 6 a valid indenture and agreement according to its terms have been done and performed, and the Corporation has duly authorized the execution and delivery hereof and of Obligation No. 6 issued hereby;

NOW, THEREFORE, in consideration of the premises, of the acceptance by the Master Trustee of the trusts hereby created, and of the giving of consideration for and acceptance of Obligation No. 6 issued hereunder by the Holder thereof, the Obligated Group Representative covenants and agrees with the Master Trustee for the benefit of the Holder from time to time of Obligation No. 6 issued hereby as follows:

Section 1. Definitions. Unless otherwise required by the context, all terms used herein that are defined in the Master Indenture shall have the meanings assigned to them therein, except as set forth below:

Amended and Restated Master Indenture

“Amended and Restated Master Indenture” means the Master Trust Indenture, dated as of September 1, 2017 and Amended and Restated as of September 1, 2021 and Effective on September 9, 2021, among the Corporation, the other Obligated Group Members from time to time thereunder, and the Master Trustee, a form of which is attached as Exhibit A hereto and Appendix G to the Official Statement relating to the Bonds, dated August 19, 2021. On the Effective Date, the other Obligated Group Member is Covia Communities.

Bond Indenture

“Bond Indenture” means that certain bond indenture relating to the Bonds, dated as of September 1, 2021, by and between the Issuer and the Bond Trustee, as originally executed or as it may from time to time be supplemented, modified or amended in accordance with the terms thereof.

Bond Trustee

“Bond Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association organized and existing under and by virtue of the laws of the United States of America, or its successor as provided in Section 8.01 of the Bond Indenture, as bond trustee under the Bond Indenture.

Bonds

“Bonds” means collectively, the California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services) Series 2021A and the California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services) Series 2021B (Federally Taxable), authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

Effective Date

“Effective Date” has the meaning given such term in the Amended and Restated Master Indenture.

Interest Payment Date

“Interest Payment Date” has the meaning assigned in the Bond Indenture.

Loan Agreement

“Loan Agreement” means that certain loan agreement relating to the Bonds, dated as of September 1, 2021, by and between the Issuer and the Corporation, as originally executed and as it may from time to time be supplemented, modified or amended in accordance with the terms thereof and of the Bond Indenture.

Master Indenture

“Master Indenture” means (i) prior to the Effective Date, the Original Master Indenture, and (ii) on and after the Effective Date, the Amended and Restated Master Indenture, as may from time to time be amended, supplemented, amended and restated or otherwise modified.

Master Trustee

“Master Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under the laws of the United States of America, and, subject to the limitations contained in the Master Indenture, any other corporation or association that may be co-trustee with the Master Trustee, and any successor or successors to said trustee or co-trustee in the trusts created under the Master Indenture.

Maturity Date

“Maturity Date” has the meaning assigned in the Bond Indenture.

Obligation No. 6

“Obligation No. 6” means the Master Indenture Obligation issued pursuant hereto, as it may be amended and supplemented in accordance with the terms thereof.

Original Master Indenture

“Original Master Indenture” means the Master Trust Indenture, dated as of September 1, 2017, as previously supplemented and amended in accordance with its terms, between the Corporation and the Master Trustee.

Sinking Fund Installment

“Sinking Fund Installment” has the meaning assigned in the Bond Indenture.

Supplement No. 6

“Supplement No. 6” means this Sixth Supplemental Master Trust Indenture, as it may be amended and supplemented in accordance with the terms hereof

Section 1.1 Interpretation.

(a) Any reference herein to any officer of the Corporation or any Obligated Group Member shall include those succeeding to their functions, duties or responsibilities pursuant to or by operation of law or who are lawfully performing their functions.

(b) Unless the context otherwise indicates, words of the masculine gender shall be deemed and construed to include correlative words of the feminine and neuter genders. The singular shall include the plural and vice versa.

(c) Headings of Articles and Sections herein and the table of contents hereto are solely for convenience of reference, and do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

Section 2. Issuance of Obligation No. 6. There is hereby created and authorized to be issued a Master Indenture Obligation of the Obligated Group Members in an aggregate principal amount of THREE HUNDRED FIVE MILLION FIVE HUNDRED SIXTY-FIVE THOUSAND dollars (\$305,565,000). This Master Indenture Obligation shall be dated September 9, 2021 and shall be designated “Front Porch Communities and Services Obligated Group Master Indenture Obligation No. 6” and shall be payable in such amounts, at such times and in such manner and shall have such other terms and provisions as are set forth in the form of Obligation No. 6 as provided in Section 11 hereof.

The aggregate principal amount of Obligation No. 6 is limited to THREE HUNDRED FIVE MILLION FIVE HUNDRED SIXTY-FIVE THOUSAND dollars (\$305,565,000).

Section 3. Payments on Obligation No. 6; Credits.

(a) Principal of and interest and any applicable redemption premium on Obligation No. 6 are payable in any coin or currency of the United States of America that on the payment date is legal tender for the payment of public and private debts. Except as provided in

subsection (b) of this Section with respect to credits, and Section 4 hereof regarding prepayment, payments of the principal of and premium, if any, and interest on Obligation No. 6 shall be made at the times and in the amounts specified in Obligation No. 6 by any Obligated Group Members depositing or causing to be deposited the same in immediately available funds with or to the account of the Bond Trustee at its designated office at or prior to the opening of business on (i) each date on which a Sinking Fund Installment is due and on the Maturity Date (with respect to payments of principal and Sinking Fund Installments) and (ii) each Interest Payment Date (with respect to payments of interest) in an amount equal to the amount necessary for the Bond Trustee to make the transfers and deposits required by Sections 5.03 and 5.04 of the Bond Indenture and Section 4.01 of the Loan Agreement. All amounts required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement for the purpose of paying the Purchase Price of Bonds tendered for optional or mandatory purchase pursuant to the Bond Indenture shall be paid by the Obligated Group Members on Obligation No. 6 at such times and in such amounts as are required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement. All amounts required to be paid by the Corporation pursuant to Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement shall be paid by the Obligated Group Members on Obligation No. 6 at such times and in such amounts as are required to be paid by the Corporation pursuant to Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement. Subject to receipt by the Master Trustee from the Holder of Obligation No. 6 of notice to the contrary, the Master Trustee may conclusively assume that such payment has been made when due.

(b) Subject to the last sentence of this subsection (b), the Obligated Group Members shall receive, as a credit for all payments due on Obligation No. 6, in addition to any credits resulting from payment or prepayment from other sources, as follows:

(i) on installments of interest on Obligation No. 6 in an amount equal to moneys deposited in the Interest Fund created under the Bond Indenture, which amounts are available to pay interest on the Bonds, to the extent such amounts have not previously been credited against payments on Obligation No. 6;

(ii) on installments of principal of Obligation No. 6 in an amount equal to moneys deposited in the Bond Sinking Fund created under the Bond Indenture, which amounts are available to pay principal of the Bonds, to the extent such amounts have not previously been credited against payments on Obligation No. 6;

(iii) on installments of principal and interest of Obligation No. 6 in an amount equal to the principal amount of Bonds for the payment at maturity or redemption of which sufficient amounts (as determined by Section 10.03 of the Bond Indenture) in cash or United States Government Obligations (as defined in the Bond Indenture) are on deposit as provided in Section 10.03 of the Bond Indenture to the extent such amounts have not previously been credited against such payments, and the interest on such Bonds from and after the date fixed for payment at maturity or redemption thereof. Such credits shall be made against the installments of principal and interest which would have been used, but for such call for redemption, to pay principal of and interest on such Bonds when due or called for mandatory redemption;

(iv) on installments of principal and interest on Obligation No. 6 in an amount equal to the principal amount of Bonds acquired by the Corporation and delivered to the Bond Trustee for cancellation or purchased by the Bond Trustee and cancelled, and the interest on such Bonds from and after the date interest thereon has been paid prior to cancellation. Such credits shall be made against the installments of principal and interest which would have been used, but for such cancellation, to pay principal of and interest on such Bonds when due, and with respect to Bonds called for mandatory redemption, against principal installments which would have been used to pay Bonds of the same date;

(v) on requirements to pay the Purchase Price, secured by Obligation No. 6, an amount equal to moneys deposited with the Bond Trustee by the Corporation pursuant to Section 4.05 of the Loan Agreement; and

(vi) for payments in the amount equal to moneys paid to the Issuer, the Bond Trustee or such other party as may be specified in Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement, as the case may be, by the Corporation pursuant to Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement.

Subject to the receipt by the Master Trustee from the Holder of Obligation No. 6 of notice of the failure of the Obligated Group Members to make the foregoing payments as and when due, the Master Trustee may conclusively assume that such payments were made and to such extent a corresponding credit on Obligation No. 6 shall be deemed to have occurred.

Section 4. Prepayment of Obligation No. 6.

(a) So long as all amounts that have become due under Obligation No. 6 have been paid, the Obligated Group Members shall have the right, at any time and from time to time, to pay in advance and in any order of due dates all or part of the amounts to become due under Obligation No. 6. Prepayments may be made by payments of cash, deposit of Qualified Investments (as defined in the Bond Indenture) or surrender of Bonds, as contemplated by the Loan Agreement. All such prepayments (and the additional payment of any amount necessary to pay the Redemption Price (as defined in the Bond Indenture) upon the redemption of Bonds) of Obligation No. 6 shall be deposited upon receipt at the Corporation's direction in the Bond Sinking Fund or the Optional Redemption Fund created under the Bond Indenture (or in such other Bond Trustee escrow account as may be specified by the Corporation) and, at the request of and as determined by the Corporation, credited against payments due under Obligation No. 6 or used for the redemption or purchase of Outstanding (as defined in the Bond Indenture) Bonds in the manner and subject to the terms and conditions set forth in the Master Indenture and the Bond Indenture. Notwithstanding any such redemption or surrender of Bonds, as long as any Bonds remain Outstanding or any additional payments required to be made hereunder remain unpaid, the Obligated Group shall not be relieved of its obligations hereunder.

(b) Prepayments made under subsection (a) of this Section shall be credited against amounts to become due on Obligation No. 6 as provided in Section 3 hereof. The Obligated Group also may prepay all of its indebtedness under Obligation No. 6 by providing for the payment of the Bonds in accordance with Section 4.04 of the Loan Agreement.

Section 5. Registration, Number, Negotiability and Transfer of Obligation No.

6.

(a) The Master Trustee shall keep or cause to be kept at its Corporate Trust Office sufficient books for the registration of transfers of Obligation No. 6.

(b) Except as provided in subsection (c) of this Section, Obligation No. 6 shall consist of a single Master Indenture Obligation without coupons registered as to principal and interest in the name of the Bond Trustee, and no transfer of Obligation No. 6 shall be registered under the Master Indenture except for transfers to a successor Bond Trustee.

(c) Upon the principal of all Master Indenture Obligations then Outstanding being declared immediately due and payable upon and during the continuance of an Event of Default, Obligation No. 6 may be transferred, if and to the extent the Bond Trustee requests that the restrictions of subsection (b) of this Section on transfers be terminated.

(d) Obligation No. 6 shall be registered on the register to be maintained by the Master Trustee as registrar for the Obligated Group Members for that purpose at the Corporate Trust Office of the Master Trustee and Obligation No. 6 shall be transferable only upon presentation of Obligation No. 6 at said office by the Holder or by his duly authorized attorney and subject to the limitations, if any, set forth in this Supplement No. 6. Such transfer shall be without charge to the Holder hereof, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the Holder requesting such transfer as a condition precedent to the exercise of such privilege. Upon any such transfer, the Corporation, as Obligated Group Representative, shall execute and the Master Trustee shall authenticate and deliver in exchange for Obligation No. 6 a new registered Master Indenture Obligation without coupons, registered in the name of the transferee.

Prior to due presentment of Obligation No. 6 for registration of transfer, the Obligated Group Members, the Master Trustee, any paying agent and any registrar with respect to Obligation No. 6 may deem and treat the Person in whose name Obligation No. 6 is registered as the absolute owner thereof for all purposes; and neither the Corporation, any paying agent, the Master Trustee nor any Master Indenture Obligation registrar shall be affected by any notice to the contrary. All payments made to the registered owner pursuant to Obligation No. 6 shall be valid, and, to the extent of the sum or sums so paid, effectual to satisfy and discharge the liability for moneys payable on Obligation No. 6.

Section 6. Mutilation, Destruction, Loss and Theft of Obligation No. 6. If (i) Obligation No. 6 is surrendered to the Master Trustee in a mutilated condition, or the Obligated Group Representative and the Master Trustee receive evidence to their satisfaction of the destruction, loss or theft of Obligation No. 6, and (ii) there is delivered to the Obligated Group Representative and the Master Trustee such security or indemnity as may be required by them to hold them harmless, then, in the absence of proof satisfactory to the Obligated Group Representative and the Master Trustee that Obligation No. 6 has been acquired by a bona fide purchaser and upon the Holder paying the reasonable expenses of the Obligated Group Representative and the Master Trustee, the Obligated Group Representative shall cause to be

executed and the Master Trustee shall authenticate and deliver, in exchange for such mutilated Obligation No. 6 or in lieu of such destroyed, lost or stolen Obligation No. 6, a new Obligation No. 6 of like principal amount, date and tenor. If any such mutilated, destroyed, lost or stolen Obligation No. 6 has become or is about to become due and payable, Obligation No. 6 may be paid when due instead of delivering a new Obligation No. 6.

Section 7. Execution and Authentication of Obligation No. 6. Obligation No. 6 shall be executed for and on behalf of the Corporation, as Obligated Group Representative, by an Authorized Representative of the Obligated Group Representative. The signature of such Authorized Representative may be mechanically or photographically reproduced on Obligation No. 6. If any officer whose signature appears on Obligation No. 6 ceases to be such officer before delivery thereof, such signature shall remain valid and sufficient for all purposes as if such Authorized Representative had remained in office until such delivery. Obligation No. 6 shall be manually authenticated by an authorized signatory of the Master Trustee, without which authentication Obligation No. 6 shall not be entitled to the benefits hereof.

Section 8. Right to Redeem. Obligation No. 6 shall be subject to redemption, in whole or in part, prior to maturity at the times and in the amounts applicable to redemption of the Bonds as specified in the Bond Indenture and in the manner provided herein; provided that in no event shall Obligation No. 6 be redeemed unless a corresponding amount of Bonds is also redeemed in accordance with the terms and subject to the limitations contained in the Bond Indenture.

Section 9. Partial Redemption of Obligation No. 6. Upon the selection and call for redemption, and the surrender of Obligation No. 6 for redemption in part only, the Obligated Group Representative shall cause to be executed and the Master Trustee shall authenticate and deliver to, upon the written order of, the Holder thereof, at the expense of the Obligated Group Members, a new Obligation No. 6 in principal amount equal to the unredeemed portion of Obligation No. 6, which new Obligation No. 6 shall be a fully registered Master Indenture Obligation without coupons.

The Obligated Group Representative may agree with the Holder of Obligation No. 6 that such Holder may, in lieu of surrendering the Master Indenture Obligation for a new fully registered Master Indenture Obligation without coupons, endorse on the Master Indenture Obligation a notice of such partial redemption, which notice shall set forth, over the signature of such Holder, the payment date, the principal amount redeemed and the principal amount remaining unpaid. Such partial redemption shall be valid upon payment of the amount thereof to the registered owner of Obligation No. 6 and the Obligated Group and the Master Trustee shall be fully released and discharged from all liability to the extent of such payment irrespective of whether such endorsement shall or shall not have been made upon the reverse of Obligation No. 6 by the Holder thereof and irrespective of any error or omission in such endorsement.

Section 10. Effect of Call for Redemption or Defeasance. On the date designated for redemption, Obligation No. 6, or the part thereof called for redemption, shall become and be due and payable at the redemption price provided for redemption of Obligation No. 6 or the part thereof called for redemption on such date. If, on the date fixed for redemption,

moneys for payment of the redemption price and accrued interest are held by the Bond Trustee, interest on Obligation No. 6, or the part thereof called for redemption, shall cease to accrue and Obligation No. 6, or the part thereof called for redemption, shall cease to be entitled to any benefit or security under the Master Indenture except the right to receive payment from the moneys held by the Master Trustee or the paying agents and the amount of Obligation No. 6 so called for redemption shall be deemed paid and no longer Outstanding.

Upon payment by the Obligated Group Members of a sum, in cash or United States Government Obligations (as defined in the Bond Indenture and as specified in Article X of the Bond Indenture), or both, sufficient, together with any other cash and United States Government Obligations (as defined in the Bond Indenture) held by the Bond Trustee and available for such purpose, to cause all Outstanding Bonds (as defined in the Bond Indenture) to be deemed to have been paid within the meaning of Article X of the Bond Indenture and to pay all other amounts referred to in Article X of the Bond Indenture, accrued and to be accrued to the date of discharge of the Bond Indenture, Obligation No. 6 shall be deemed to have been paid and to be no longer Outstanding under the Master Indenture.

Section 11. Form of Obligation No. 6. Obligation No. 6 shall be in substantially the following form with such necessary and appropriate omissions, insertions and variations as are permitted or required hereby or by the Master Indenture and are approved by those officers executing such Master Indenture Obligation on behalf of the Corporation and execution thereof by such officers shall constitute conclusive evidence of such approval.

[Form of Obligation No. 6]

FRONT PORCH COMMUNITIES AND SERVICES OBLIGATED GROUP

MASTER INDENTURE OBLIGATION NO. 6

\$305,565,000

Dated: September 9, 2021

KNOW ALL BY THESE PRESENTS that FRONT PORCH COMMUNITIES AND SERVICES (the "Corporation"), a California nonprofit public benefit corporation, as Obligated Group Representative under the Master Trust Indenture, dated as of September 1, 2017, as previously supplemented and amended in accordance with its terms (as so supplemented and amended, the "Original Master Indenture"), between the Corporation and The Bank of New York Mellon Trust Company, N.A., as master trustee (the "Master Trustee"), for value received hereby, acknowledges on behalf of itself and each other Obligated Group Member (as such terms are defined in the hereinafter defined Master Indenture) jointly and severally obligated to, and promises to pay to THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A., as bond trustee (the "Bond Trustee") under the bond indenture, dated as of September 1, 2021 (as it may from time to time be supplemented, modified or amended, the "Bond Indenture"), by and between the Bond Trustee and the California Statewide Communities Development Authority (the "Issuer"), and any successor bond trustee under the Bond Indenture, or registered assigns, relating to the California Statewide Communities Development Authority Revenue Bonds (Front Porch

Communities and Services) Series 2021A and the California Statewide Communities Development Authority Revenue Bonds (Front Porch Communities and Services) Series 2021B (Federally Taxable) (collectively, the “Bonds”), the principal sum of THREE HUNDRED FIVE MILLION FIVE HUNDRED SIXTY-FIVE THOUSAND dollars (\$305,565,000), and to pay interest on the unpaid balance of said sum from the date hereof on the dates and in the manner hereinafter described.

This Obligation No. 6 is a single Master Indenture Obligation limited to THREE HUNDRED FIVE MILLION FIVE HUNDRED SIXTY-FIVE THOUSAND dollars (\$305,565,000) in principal amount (except as provided in the Master Indenture hereinafter identified), designated as “Front Porch Communities and Services Obligated Group Master Indenture Obligation No. 6” (“Obligation No. 6” and, together with all other Master Indenture Obligations issued under the Master Indenture hereinafter identified, “Master Indenture Obligations”), issued under and pursuant to the Sixth Supplemental Master Trust Indenture, dated as of September 1, 2021 (as it may from time to time be supplemented, modified or amended “Supplement No. 6”), supplementing and amending the Original Master Indenture.

The Holder by acceptance of this Obligation No. 6 shall be deemed to have consented to the amendment and restatement of the Original Master Indenture as set forth in the Master Trust Indenture, dated as of September 1, 2017 and Amended and Restated as of September 1, 2021 and Effective on September 9, 2021 (the “Amended and Restated Master Indenture”), among the Corporation, the other Obligated Group Members from time to time thereunder, and the Master Trustee, a form of which is attached as Exhibit A to Supplement No. 6 and Appendix G to the Official Statement relating to the Bonds, dated August 19, 2021. The Amended and Restated Master Indenture shall be effective upon the issuance of this Obligation No. 6 and upon the due execution and delivery thereof by the Corporation and the Master Trustee (the “Effective Date”) and references after the Effective Date to “Master Indenture” shall mean the Amended and Restated Master Indenture, as may be supplemented and amended from time to time in accordance with its terms. Capitalized terms not otherwise defined herein shall have the meanings set forth in the Original Master Indenture and, on and after the Effective Date, the Master Indenture.

Principal hereof, interest hereon and any applicable redemption premium on this Obligation No. 6 are payable in any coin or currency of the United States of America that on the payment date is legal tender for the payment of public and private debts. Except as otherwise provided in Supplement No. 6, the principal hereof, interest hereon and any premium shall be payable in the manner and at the times described in Section 4(a) of Supplement No. 6. All amounts required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement for the purpose of paying the Purchase Price of Bonds tendered for optional or mandatory purchase pursuant to the Bond Indenture shall be paid on this Obligation No. 6 at such times and in such amounts as are required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement. All amounts required to be paid by the Corporation pursuant to Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement shall be required to be paid by the Obligated Group Members on Obligation No. 6 at such times and in such amounts as are required to be paid by the Corporation pursuant to Section 4.02, Section 5.02 and Section 5.03 of the Loan Agreement. Subject to receipt by the Master Trustee from the Holder of this Obligation No. 6 of notice to the

contrary, the Master Trustee may conclusively assume that such payment has been made when due.

The Obligated Group Members shall receive credit for payment on this Obligation No. 6, in addition to any credits resulting from payment or prepayment from other sources, as described in Supplement No. 6.

Copies of the Master Indenture and Supplement No. 6 are on file at the Corporate Trust Office of the Master Trustee, and reference is hereby made to the Master Indenture for the provisions, among others, with respect to the nature and extent of the rights of the holders of Master Indenture Obligations issued under the Master Indenture, the terms and conditions upon which, and the purposes for which Master Indenture Obligations are to be issued and the rights, duties and obligations of the Obligated Group Members and the Master Trustee under the Master Indenture, to all of which the Holder hereof, by acceptance of this Obligation No. 6, assents.

The Master Indenture permits the issuance of additional Master Indenture Obligations under the Master Indenture to be secured by the provisions of the Master Indenture, all of which, regardless of the times of issue or maturity, are to be of equal rank without preference, priority or distinction of any Master Indenture Obligations issued under the Master Indenture over any other such Master Indenture Obligations except as expressly provided or permitted in the Master Indenture.

The Master Indenture permits this Obligation No. 6 to be replaced with a master indenture obligation under a replacement master indenture, pursuant to the terms and conditions set forth in the Master Indenture.

To the extent permitted by and as provided in the Master Indenture, modifications of or changes to the Master Indenture, of any indenture supplemental thereto, and of the rights and obligations of the Obligated Group Members and of the Holders of Master Indenture Obligations in any particular matter may be made by the execution and delivery of an indenture or indentures supplemental to the Master Indenture. Certain modifications or changes that would affect the rights of the Holders of this Obligation No. 6 may be made only with the consent of the Holders of not less than a majority in aggregate principal amount of Master Indenture Obligations then Outstanding under the Master Indenture; other modifications and changes may be made without the consent of any Holder and certain modifications and changes may only be made with the consent of all Holders affected thereby, all as set forth in the Master Indenture. Any such consent by the Holder of this Obligation No. 6 shall be conclusive and binding upon such Holder and all future Holders and owners hereof irrespective of whether or not any notation of such consent is made upon this Obligation No. 6.

In the manner and with the effect provided in Supplement No. 6, this Obligation No. 6 will be subject to redemption and prepayment prior to maturity.

Upon the occurrence of certain Events of Default, the principal of all Master Indenture Obligations then Outstanding may be declared, and thereupon shall become, due and payable as provided in the Master Indenture.

The Holder of this Obligation No. 6 shall have no right to enforce the provisions of the Master Indenture, or to institute any action to enforce the covenants therein, or to take any action with respect to any default under the Master Indenture, or to institute, appear in or defend any suit or other proceeding with respect to any default under the Master Indenture, or to institute, appear in or defend any suit or other proceeding with respect thereto, except as provided in the Master Indenture.

This Obligation No. 6 is issuable only as a registered Master Indenture Obligation without coupons.

Unless the principal of all Master Indenture Obligations has been declared immediately due and payable, no transfer of this Obligation No. 6 shall be permitted except for transfers to a successor bond trustee under the Bond Indenture. This Obligation No. 6 shall be registered on the register to be maintained by the Master Trustee as registrar for the Obligated Group Members for that purpose at the Corporate Trust Office of the Master Trustee and this Obligation No. 6 shall be transferable only upon presentation of this Obligation No. 6 at said office by the Holder or by his duly authorized attorney and subject to the limitations, if any, set forth in Supplement No. 6. Such transfer shall be without charge to the Holder hereof, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the Holder requesting such transfer as a condition precedent to the exercise of such privilege. Upon any such transfer, the Corporation, as Obligated Group Representative, shall execute and the Master Trustee shall authenticate and deliver in exchange for this Obligation No. 6 a new registered Master Indenture Obligation without coupons, registered in the name of the transferee.

Prior to due presentment hereof for registration of transfer, the Obligated Group Members, the Master Trustee, any paying agent and any registrar with respect to this Obligation No. 6 may deem and treat the Person in whose name this Obligation No. 6 is registered as the absolute owner hereof for all purposes; and neither the Corporation, any paying agent, the Master Trustee nor any Master Indenture Obligation registrar shall be affected by any notice to the contrary. All payments made to the registered owner hereof shall be valid, and, to the extent of the sum or sums so paid, effectual to satisfy and discharge the liability for moneys payable on this Obligation No. 6.

No covenant or agreement contained in this Obligation No. 6 or the Master Indenture shall be deemed to be a covenant or agreement of any officer, agent or employee of any Obligated Group Member or of the Master Trustee in its individual capacity, and no agent, employee, officer or member of the governing board of any Obligated Group Member shall be liable personally on this Obligation No. 6 or be subject to any personal liability or accountability by reason of the issuance of this Obligation No. 6.

This Obligation No. 6 shall not be entitled to any benefit under the Master Indenture, or be valid or become obligatory for any purpose, until this Obligation No. 6 shall have been manually authenticated by the execution by an authorized signatory of the Master Trustee, or its successor as Master Trustee, of the Certificate of Authentication inscribed hereon.

This Obligation No. 6 shall be governed by and construed in accordance with the laws of the State of California.

IN WITNESS WHEREOF, the Corporation, as Obligated Group Representative, has caused this Obligation No. 6 to be executed in its name and on its behalf by the manual signature of its duly Authorized Representative as of the date first above written.

FRONT PORCH COMMUNITIES AND
SERVICES,
as Obligated Group Representative

By _____
Authorized Representative

MASTER TRUSTEE'S CERTIFICATE OF AUTHENTICATION

This Obligation No. 6 is one of the Master Indenture Obligations described in the within-mentioned Master Indenture.

Dated: September 9, 2021

THE BANK OF NEW YORK MELLON
TRUST COMPANY, N.A.,
as Master Trustee

By _____
Authorized Signatory

Section 12. Specification of Purpose of Issue. Obligation No. 6 is being issued to evidence the Obligated Group Members' obligation to ensure performance of the obligations of the Corporation arising under the Loan Agreement. The proceeds from the execution and delivery of the Bonds under the Bond Indenture shall be used for the purposes described in the Bond Indenture.

Section 13. Amended and Restated Master Indenture.

(a) The Master Trustee acknowledges that the Bond Trustee, as Holder of Obligation No. 6, by acceptance thereof, shall be deemed to have consented to the amendment and restatement of the Original Master Indenture by the Amended and Restated Master Indenture.

(b) Section 6.02(a) of the Original Master Indenture provides that the Obligated Group Representative (acting for itself and as agent for each Obligated Group Member) and the Master Trustee may, with the consent of the Holders of not less than a majority in aggregate principal amount of the Outstanding Master Indenture Obligations, enter into Related Supplements as deemed necessary or desirable for the purpose of modifying, altering, amending, adding to or rescinding any of the terms contained in the Original Master Indenture (except the provisions described in clauses (i)-(iv), inclusive, of Section 6.02(a) of the Original Master Indenture), upon compliance with the conditions stated in Section 6.02(b) of the Master Indenture. The Obligated Group Representative confirms it has delivered the documents and opinions required by Section 6.02(b) and Section 6.03 of the Original Master Indenture to the Master Trustee and the Master Trustee by the execution of this Supplement No. 6 confirms receipt of such documents and opinions. Therefore, in accordance with Section 6.02(b) of the Original Master Indenture, the Amended and Restated Master Indenture shall become effective on the Effective Date, which is the date hereof, following the issuance of Obligation No. 6. The Corporation and the Master Trustee hereby agree that the Amended and Restated Master Indenture shall become effective on the Effective Date without further action on the part of the Obligated Group Members or the Master Trustee, other than the Corporation, Covia Communities, and the Master Trustee signing the Amended and Restated Master Indenture.

(c) By their purchase of the Bonds, the original purchasers and all subsequent holders of the Bonds and the beneficial owners of the Bonds (i) irrevocably consent to, and shall be deemed to have irrevocably consented to, and have approved, the Amended and Restated Master Indenture on the Effective Date, (ii) pursuant to such consent, irrevocably direct the Bond Trustee (as Holder of Obligation No. 6) to consent to the Amended and Restated Master Indenture, and (iii) waive, and be deemed to have waived, and consented to the waiver by the Bond Trustee (as Holder of Obligation No. 6) of, any and all other formal notice, implementation, execution or timing requirements that may otherwise be required under the Original Master Indenture in order to implement the Amended and Restated Master Indenture. Any such consent and waiver will be effective on the date of issuance of the Bonds, will be binding on any subsequent purchaser of any Bonds and the beneficial owners of the Bonds, and may not be revoked after the issuance of the Bonds.

Section 14. Ratification of Master Indenture. As supplemented hereby, the Master Indenture is in all respects ratified and confirmed and the Master Indenture as so supplemented hereby shall be read, taken and construed as one and the same instrument.

Section 15. Severability. If any provision of this Supplement No. 6 shall be held or deemed to be or shall, in fact, be inoperative or unenforceable as applied in any particular case and any jurisdiction or jurisdictions or in all jurisdictions, or in all cases, because it conflicts with any other provision or provisions hereof or any constitution, statute, rule or public policy, or for any other reason, such circumstances shall not have the effect of rendering the provision in question inoperative or unenforceable in any other case or circumstance, or of rendering any other provision or provisions herein contained invalid, inoperative or unenforceable to any extent whatever.

The invalidity of any one or more phrases, sentences, clauses, sections or subsections contained in this Supplement No. 6 shall not affect the remaining portions of this Supplement No. 6 or any part thereof.

Section 16. Counterparts. This Supplement No. 6 may be executed in several counterparts, each of which shall be an original and all of which shall constitute one instrument.

Section 17. Electronic Signatures. Each of the parties hereto agrees that the transaction consisting of this Supplement No. 6 may be conducted by electronic means under the Uniform Electronic Transactions Act (California Civil Code section 1633.1 et seq.) and California Government Code section 16.5. Each party agrees, and acknowledges that it is such party's intent, that if such party signs this Supplement No. 6 using an electronic signature, it is signing, adopting, and accepting this Supplement No. 6 and that signing this Supplement No. 6 using an electronic signature is the legal equivalent of having placed its handwritten signature on this Supplement No. 6 on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Supplement No. 6 in a usable format.

Section 18. Governing Law. This Supplement No. 6 shall be governed by and construed in accordance with the laws of the State of California.

IN WITNESS WHEREOF, Front Porch Communities and Services has caused these presents to be signed in its name and on its behalf by one of its duly Authorized Representatives and to evidence its acceptance of the trusts hereby created the Master Trustee has caused these presents to be signed in its name and on its behalf by one of its duly authorized signatories, all as of the day and year first above written.

FRONT PORCH COMMUNITIES AND SERVICES,
as Obligated Group Representative

By _____
Authorized Representative

THE BANK OF NEW YORK MELLON TRUST
COMPANY, N.A.,
as Master Trustee

By _____
Authorized Signatory

EXHIBIT A

FORM OF AMENDED AND RESTATED MASTER INDENTURE



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